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REGISTRATION DOCUMENT AND ANNUAL FINANCIAL REPORT

2015

LA BANQUE



POSTALE

BANQUE ET CITOYENNE

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La Banque Postale Group

Registration Document et Annual financial report

2015



Only the French version of the Registration document has been submitted to the AMF. It is therefore the only version that is binding in law.

The original document was filed with the AMF (French Securities Regulator) on 16 March 2016, in accordance with article 212-13 of the AMF's General Regulations. It may be used in support of a financial transaction only if supplemented by a Transaction Note that has received approval from the AMF.

The English language version of this report is a free translation from the original, which was prepared in French. All possible care has been taken to ensure that the translation is an accurate presentation of the original. However, in all matters of interpretation, views or opinion expressed in the original language version of the document in French take precedence over the translation.

This Registration Document was filed with the French Financial Markets Authority (Autorité des marchés financiers) on 16 March 2016 pursuant to Article 212-13 of its General Regulations. It may be used in support of a financial transaction if it is supplemented by a Transaction Note that has received approval from the AMF. This document was prepared by the issuer and its signatories are liable for its content.

Pursuant to Article 28 of EC Regulation 809/2004 of 29 April 2004, the following documents have been incorporated by reference into this Registration Document:

- ▶ the consolidated financial statements for the financial year ended 31 December 2014, together with the related statutory auditors' report, presented respectively on pages 109 to 170 and pages 171–172 of Registration Document No. D.15-0141 registered with the French Financial Markets Authority on 16 March 2015;
- ▶ the consolidated financial statements for the financial year ended 31 December 2013, together with the related statutory auditors' report, presented respectively on pages 111 to 175 and pages 176–177 of Registration Document No. D.14-0128 registered with the French Financial Markets Authority on 10 March 2014.

These documents are available at the Company's registered office at 115 rue de Sèvres – 75275 Paris Cedex 06, France, as well as on its website www.labanquepostale.com

INTRODUCTION

Company name and trading name

The name of the Company is: “La Banque Postale”, herein called La Banque Postale.

Legal form - applicable legislation

Limited Company with Executive and Supervisory Boards.

The Company is governed by current laws and regulations, and specifically by:

- ▶ the provisions of the French Commercial Code regarding commercial companies;
- ▶ the provisions of the French Monetary and Financial Code regarding credit institutions;
- ▶ the provisions of law No. 2005-516 of 20 May 2005 regarding the regularisation of the Post Office business;
- ▶ the provisions of law No. 83-675 of 26 July 1983 regarding the democratisation of the public sector.

Place of registration and registration number – Date of incorporation – Country of origin

The Company was registered with the Paris Trade and Companies Registry under number 421 100 645 on 10 December 1998.

Registered share capital amount

The share capital is set at four billion forty-six million four hundred and seven thousand five hundred and ninety-five euros (€4,046,407,595). It is divided into thirty-five million one hundred and eighty-six thousand one hundred and fifty-three (35,186,153) fully paid-up shares of a single class.

Duration of the Company

The duration of the Company is 99 years from the date of its registration with the Trade and Companies Registry (*i.e.* 10 December 1998), except in the event of dissolution, or of an extension decided by the Extraordinary General Meeting.

Registered office

The Company's registered office is at 115 rue de Sèvres – 75275 Paris Cedex 06, France.

The telephone number for the registered office is +33(0) 1 57 75 60 00.

OVERVIEW OF LA BANQUE POSTALE GROUP

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1.1 KEY FIGURES

La Banque Postale, a Limited Company with Executive and Supervisory Boards, is the parent company of La Banque Postale Group.

A civic-minded bank, it has assumed La Poste's values of trust, accessibility and local presence, endowing it from the start with an unusual and unique positioning on the French market. This policy is driven by an offer based on low service rates, access for all customers and a simple product range that focuses on customer needs.

The Group's organisational structure is based primarily on 23 Financial Centres (19 in Metropolitan France and 4 in the French overseas departments) including six national Financial Centres that have specific expertise, and a dedicated IT Department. It is also based

on 42 subsidiaries and strategic investments and on the distribution capacity of La Poste Retail Brand.

As at 31 December 2015, La Banque Postale represented:

- ▶ 10.8 million active customers;
- ▶ 11.7 million deposit accounts;
- ▶ 10,246 advisors and customer service managers;
- ▶ 714 specialist property advisors, 827 specialist wealth advisors, and 72 wealth management advisors ⁽¹⁾;
- ▶ 8 million bank cards and 7,683 ATMs.

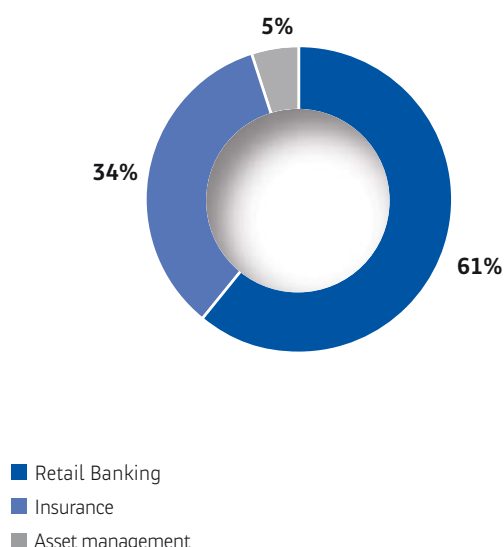
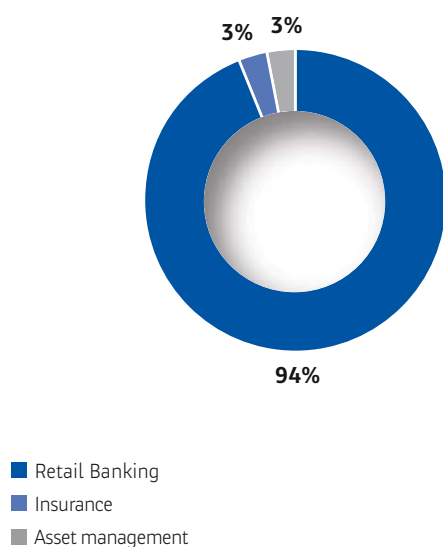
Consolidated key data (published data)

(€ millions)	2011	2012	2013	2014	2015
Net Banking Income	5,231	5,241	5,539	5,673	5,745
Gross operating income	708	755	854	1,001	1,052
Net income, Group share	412	574	579	677	707
Balance sheet total (in € billions)	186	196	200	213	219

La Banque Postale Group's business is focused on retail banking activities in France. It is organised around three business lines:

- ▶ retail banking, its core business, mainly focused on individual customers, and extended to corporate customers in 2011 and local authorities in 2012;
- ▶ insurance (life insurance, contingency, property and casualty, and health);
- ▶ asset management (asset management subsidiaries).

BUSINESS LINE CONTRIBUTION TO NBI AND TO NET INCOME, GROUP SHARE IN 2015



(1) 2015 average figures.

Financial structure

La Banque Postale Group presents a financial structure characterised by solid solvency ratios.

	2011	2012	2013	2014	2015
Tier 1 capital ratio* (CET1)	12.7%	12.1%	11.4%	12.7%	13.2%
Loan to deposit ratio	53%	59%	67%	75%	75%

* Ratios: Basel 2 CRD in 2011, Basel 2.5 CRD in 2012 and 2013, and Basel 3 CRR from 2014.

Rating

At 31 December 2015, La Banque Postale had good credit ratings, reflecting its financial strength and its rigorous risk management:

	Standard & Poor's	Fitch
Long-term rating	A	A-
Outlook	Stable	Stable
Date updated	3 December 2015	21 May 2015
Short-term rating	A-1	F1

In May 2015, Fitch reduced its LT rating from A to A-, a rating accompanied by a stable outlook. This action resulted from an assessment of Government support by the agency, following publication of the BRRD directive and the Single Resolution

Mechanism. La Banque Postale Group's intrinsic rating was raised from BBB+ to A-.

The annual rating review by Standard & Poor's did not result in any change. The intrinsic rating was confirmed at BBB+.

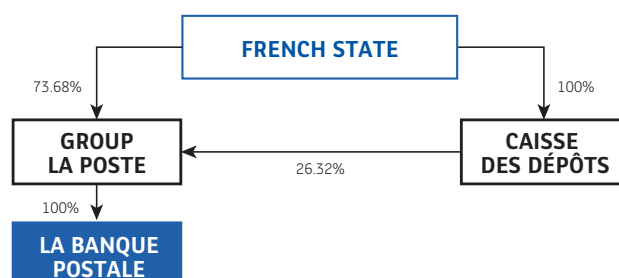
1.2 THE GROUP SHAREHOLDING STRUCTURE

1.2.1 Shareholding

Le Groupe La Poste owns all of La Banque Postale's equity capital and voting rights, except for the eight shares held by the directors. There are no employee shareholders.

Article 1 of law No. 2010-123 of 9 February 2010 provides that La Poste's share capital shall be held by the French State and by other Government bodies, except for any capital that may be held under employee ownership schemes.

La Poste is controlled by the French State, 73.68% directly and 26.32% through the Caisse des dépôts.



1.2.2 Changes in the share capital

After 2014 which was marked by an increase in share capital of €632,672,845, bringing it to €4,046,407,595 through the issue of

5,501,503 new shares with a par value of €115 each, in 2015 there was no change in the share capital.

	2011	2012	2013	2014	2015
Number of shares	27,702,042	27,702,042	29,684,650	35,186,153	35,186,153
Share capital (€)	3,185,734,830	3,185,734,830	3,413,734,750	4,046,407,595	4,046,407,595
La Poste holding	100%	100%	100%	100%	100% ⁽¹⁾

(1) Members of the Supervisory Board (except for employee representative members) each own one share, i.e. eight La Banque Postale shares in total, amounting to less than 0.01%.

The shares that make up the share capital have not been pledged.

1.2.3 Dividend policy

The dividend distribution policy is set by agreement with the shareholder, and is decided by the General Meeting, on the Executive Board's recommendation.

The dividends distributed are as follows:

	2011	2012	2013	2014	2015
Dividend per share	6.7	9.32	8.78	8.66	9.04*
Distribution (€ millions)	186	258	261	305	318*

* For 2015, the proposed dividend is €9.04 for each of the 35,186,153 shares making up the share capital. It will be submitted for approval to the General Meeting that must be held before 31 May 2016.

1.2.4 Shareholder relations

Pursuant to Article 16 of law No. 2005-516 of 20 May 2005, and to its enactment decree of 30 August 2005, La Poste, a Public and Commercial Company, transferred all the assets, rights and obligations relating to its Financial Services to La Banque Postale, with effect from 31 December 2005. Equity interests were included in the transfer, with the exception, where appropriate, of those required by La Poste for its directly managed businesses. As a result of these transactions, La Poste holds all the capital of La Banque Postale (except for the shares held by the members of the Supervisory Board, which amount to less than 0.01% of the capital).

The aforementioned Article 16 expressly provides that La Poste must own a majority interest in the Bank's capital.

The relationship between La Poste and La Banque Postale is very close. It operates both at governance and management body level, and in the companies' industrial and commercial dealings. The Executive Board Chairman of La Banque Postale is also Executive Vice-President of La Poste and a member of the Executive Committee. The La Banque Postale Supervisory Board comprises six members of Le Groupe La Poste, some of whom belong to the Board committees. The Chairman of La Poste is also the Chairman of the Supervisory Board.

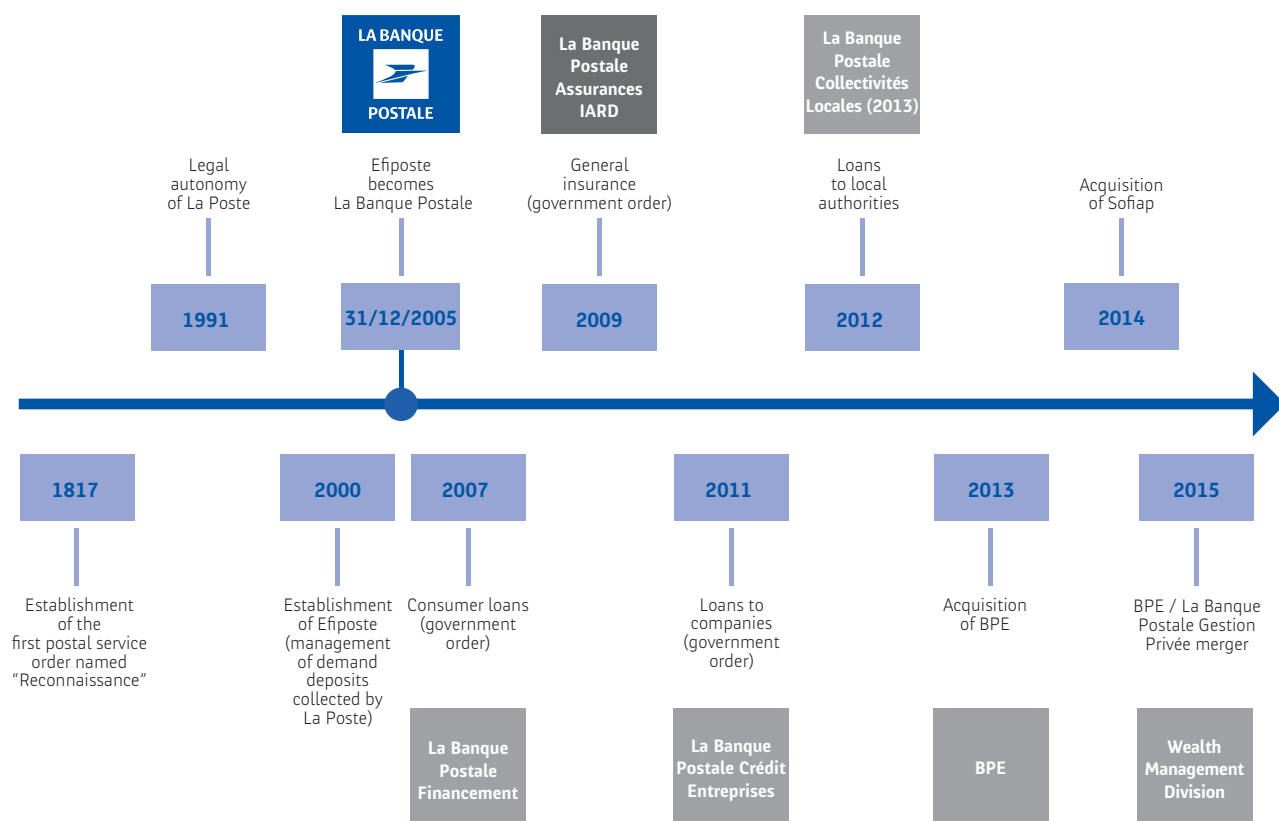
La Poste is La Banque Postale's main service provider, and La Banque Postale uses La Poste's resources to conduct its business. Various agreements have been reached between La Poste and La Banque Postale in this respect, and pursuant to Article 16 of law No. 2005-516 of 20 May 2005. The main agreements have been authorised by the La Banque Postale Supervisory Board. These agreements are regularly updated, depending on the trends observed and presented to the Supervisory Board.

As a subsidiary of Le Groupe La Poste, La Banque Postale must obtain prior authorisation from the Board of Directors of La Poste to carry out certain transactions such as acquisitions, investments, disposals of assets, strategic partnership transactions, and other significant investments and divestments. The Bank must request prior authorisation for any borrowing made by it which has a significant impact on the consolidated balance sheet of Le Groupe La Poste.

Lastly, La Banque Postale is La Poste's main banker.

As well as its close relationship with its parent company, La Banque Postale is in frequent contact with the French Government Holdings Agency (APE), which is regularly informed of the Bank's strategic direction.

1.3 HISTORY



As the successor to La Poste Financial Services, La Banque Postale was established on 31 December 2005, via the legal transformation of Efposte, an investment company established in 2000 to provide financial management for La Poste's demand deposit balances, and which wanted to establish a banking subsidiary able to carry in its balance sheet all customer deposits and loans.

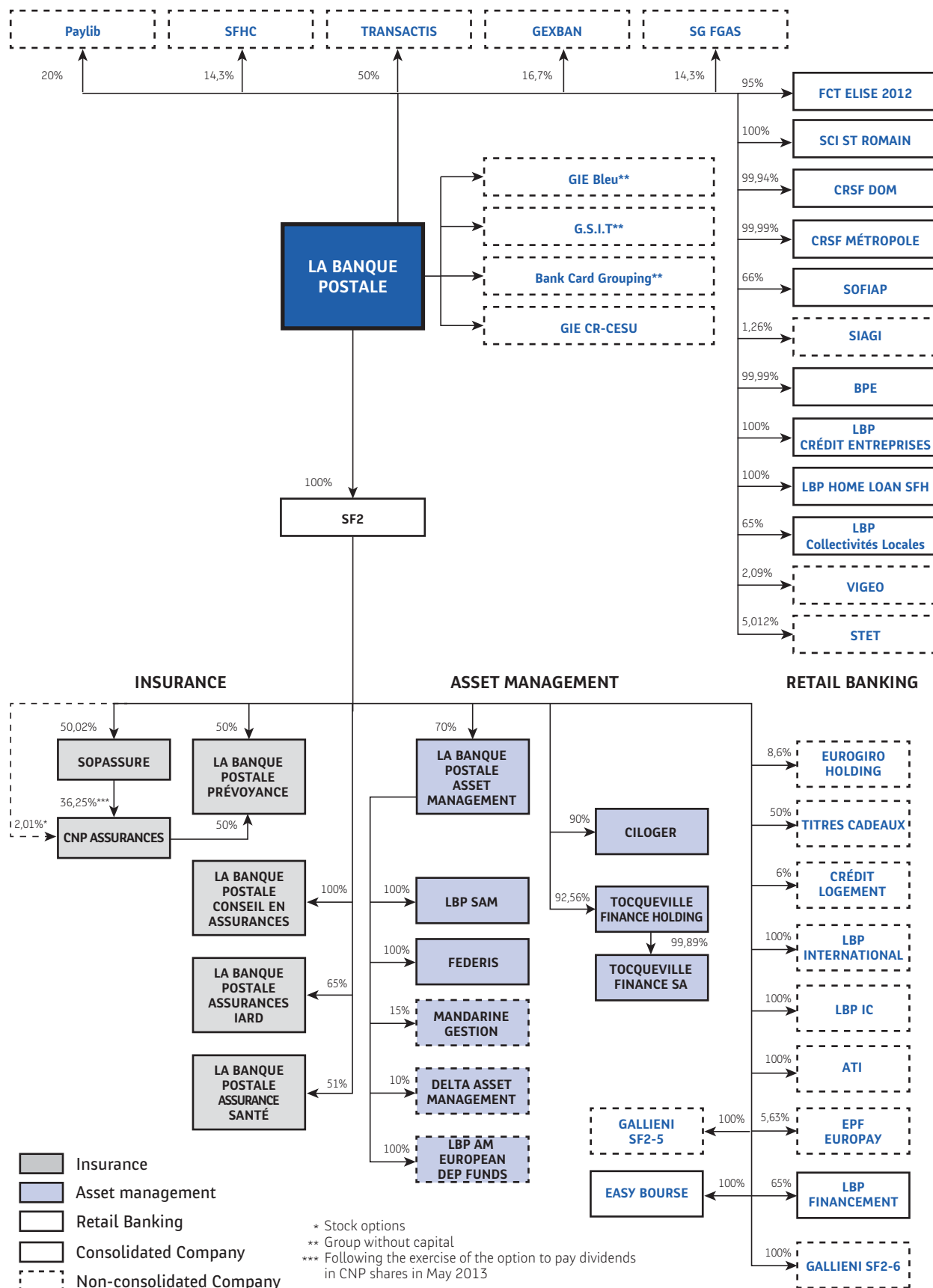
La Banque Postale has a distinguishing feature arising from the public service missions of its sole shareholder in the banking, financial and insurance fields: the obligation to open a Livret A account free of charge for any person who requests it. As part of this mission, it authorises payment transactions to Livret A accounts relating to social security benefits and to civil servants' pensions, as well as direct debits relating to the payment of taxes and duties, water, gas, and electricity bills, and subsidised housing rents. Finally, La Banque Postale is the only bank which authorises withdrawals from and deposits to Livret A accounts starting at €1.5.

Since its establishment, and in accordance with its licence, La Banque Postale has expanded its range to all types of home loans. Previously, La Poste could only offer home loans to customers who had already built up savings, via a PEL or CEL account.

Its business lines have gradually been extended to consumer loans (in 2007), property and casualty insurance (in 2009), the supply of financial products and services to corporations (in 2011), and more recently to financing services for local authorities (in 2012).

Since this date, La Banque Postale has offered the full range of retail banking products and services, and is continuing its development through new acquisitions and the implementation or strengthening of partnerships.

1.4 GROUP ORGANISATION



La Banque Postale Gestion Privée and XAnge Private Equity no longer appear in this organisation, the first having been merged with BPE and the second sold during the year.

1.4.1 Organisational structure

La Banque Postale's structure is based on the La Poste Financial Services organisational chart. This structure includes:

- ▶ La Banque Postale, the Group's parent company (formerly Efposte), to which the Financial Services' activities were transferred. This company is also at the heart of retail banking activities; La Banque Postale directly holds the most recent acquisitions (such as BPE or SOFIAP);
- ▶ SF2, the holding company grouping together the subsidiaries and equity investments of La Banque Postale, except for entities held directly by La Banque Postale. SF2 was transferred to La Banque Postale when the Bank was founded, as it existed prior to La Poste's Financial Services and already included most of the Insurance and Asset Management subsidiaries at the time of the transfer.

1.4.2 Operational relations between La Banque Postale and Le Groupe La Poste

Wholly owned by La Poste, La Banque Postale is both a customer (for mail, parcel, network and other services) and a supplier (as its principal bank) to the Group. La Poste acts as a service provider, supplying staff who act on behalf of La Banque Postale.

The relationship between La Banque Postale and La Poste falls within a framework governed by service agreements specified by the law of 20 May 2005. These agreements cover various services, such as the commercial offer, through a framework agreement and a Marketing Charter, inspection and control systems, procedures to counter money laundering and terrorism, grievance procedures and various service agreements. La Poste staff used by La Banque Postale implement the Bank's policies on its behalf. These employees have been authorised to act on the Bank's behalf, in accordance with specific rules necessary for conducting banking business, and primarily exercise the back and middle-office functions, IT support and the financial product sales force.

Over-the-counter services are performed by La Poste Network's Post Office network and are governed by agreements concerning the type

of work to be carried out, its unit tariff in accordance with an economic model, the way it is carried out and quantitative and qualitative service criteria.

Thus, the operational organisation relies on three categories of staff:

- ▶ 4,179 employees whom La Banque Postale employs directly or in its subsidiaries, and who are spread throughout France;
- ▶ 15,934 employees working in La Poste Financial Services ⁽¹⁾, who are placed under the responsibility of the Chairman of La Banque Postale's Executive Board, in his capacity as Executive Vice-President of La Poste responsible for Financial Services;
- ▶ 10,742 employees of La Poste belonging to the Banking Advisory Line in post offices.

In all, more than 30,000 employees work for and on behalf of La Banque Postale ⁽²⁾.

For more details on the employees, please refer to the section on social indicators in Chapter 6 "Corporate Social Responsibility".

1.4.3 Capital partnerships

In order to broaden its business and skills portfolio, and in order to improve its coverage of customers' requirements, La Banque Postale has implemented a very active partnership policy that focuses primarily on the effective sharing of know-how, and on cost control, in accordance with the values that it embodies.

La Banque Postale's multi-partner policy is based on the pooling of expertise, technology, and tools, and on access to the customer base. Through these partnerships, La Banque Postale has been able to rapidly develop new business lines relying on the expertise of standard-setters in the field. This allows it to offer its customers a constantly expanding and innovative service.

Insurance partnerships

Since 1989 La Poste Financial Services have distributed a range of life insurance policies relying on the expertise of CNP Assurances. The distribution conditions for life insurance products are defined

by a business agreement. In December 2015 CNP Assurances and La Banque Postale announced the conclusion of a preliminary memorandum of understanding renewing their distribution partnership until 2026, extending its scope to BPE, and establishing a direct partnership in collective credit protection insurance for home loans. Moreover, La Banque Postale holds 20.15% ⁽³⁾ of CNP Assurances.

In 1998, CNP Assurances and La Poste Financial Services decided to create a company in which both companies had an equal interest and that was renamed La Banque Postale Prévoyance in 2007, in order to provide a range of contingency insurance products covering the requirements of La Banque Postale's customers. The preliminary agreement signed between CNP Assurances and La Banque Postale in December 2015 provides that La Banque Postale acquires from CNP its 50% share in La Banque Postale Prévoyance, which specialises in particular in individual contingency activities.

(1) The Financial Services include the Financial Centres, the National Centres and the IT Department of the Financial Services and the Retail Brand (DISFE).

(2) Number of permanent employees.

(3) 18.14% via Sopassure and 2.01% call option.

In 2009, La Banque Postale teamed up with Groupama in the general insurance sector, within the La Banque Postale Assurances IARD subsidiary, which is 65% owned by La Banque Postale.

In 2010, the Bank entered into a partnership with La Mutuelle Générale in the health insurance sector, via the establishment of La Banque Postale Assurance Santé, originally 65% owned by La Banque Postale. The launch in 2015 of a new supplementary health product adapted to the requirements of very small, small and medium-sized businesses led to Malakoff Médéric entering the share capital of the subsidiary. La Banque Postale now holds 51% of La Banque Postale Assurance Santé, while Malakoff Médéric and La Mutuelle Générale respectively hold 14% and 35%. The development of the partnership with Malakoff Médéric in the insurance field is part of a larger partnership that also covers asset management.

For more details on the insurance business line, please refer to point "1.6.2. Insurance".

Partnerships in loans

La Banque Postale Financement, owned 65% by La Banque Postale and 35% by Franfinance, a subsidiary of Société Générale, is the entity dedicated to consumer credit. Distribution is provided by post offices, electronic communication channels and a dedicated call centre.

Established in 2013, La Banque Postale Collectivités Locales, 65% owned by La Banque Postale and 35% by Caisse des dépôts, offers services on loans granted by La Banque Postale to local authorities and hospitals. Eligible loans are refinanced by CAFFIL (Caisse Française de Financement Local), a company in which La Banque Postale (5%) and Caisse des dépôts (20%) are also shareholders.

In 2014, La Banque Postale formed a partnership with SNCF following the acquisition from Crédit Immobilier de France and SNCF of a 66% stake in SOFIAP. SOFIAP offers home loans to individual customers mainly employed by SNCF. Since the end of 2014, SOFIAP has also offered regulated loans to Gaz de France employees.

Partnerships in asset management

In June 2015, La Banque Postale Asset Management (LBPAM) and Aegon Asset Management (Aegon AM) finalised a capital and industrial partnership agreement. This agreement allows LBPAM to expand its skills, strengthening its expertise and its institutional positioning. On this occasion, Aegon AM acquired a 25% minority stake in the capital of LBPAM.

In July 2015, La Banque Postale and Malakoff Médéric completed the merger of their subsidiaries La Banque Postale Asset Management (LBPAM) and Fédérès Gestion d'Actifs, allowing LBPAM to develop its asset management activities with mutual insurance companies and to expand its range of products, particularly socially responsible investment (ISR). This transaction took the form of a 100% contribution of capital and voting rights by Fédérès Gestion d'Actifs to LBPAM and a 5% equity stake by Malakoff Médéric in LBPAM's capital.

In June 2015, La Banque Postale also sealed the acquisition of Nexity's equity investment in CILOGER, a key stakeholder in the unlisted real estate business, raising its equity investment from 45% to 90%.

In February 2016, La Banque announced that it was entering into negotiations with Natixis to bring their AEW Europe real-estate assets managers into line with Ciloger's. AEW Europe is 60% owned by Natixis Global Asset Management and 40% by the CDC group. Ciloger is 90% owned by La Banque Postale and 10% by CNP Assurances.

Parallel to these transactions, La Banque Postale and Siparex announced, in May 2015, the merger of XAnge Private Equity (a company specialising in investment in innovative companies or SMEs in the growth or handover phase) and Siparex, an independent French specialist in investment capital in SMEs. On this occasion, La Banque Postale disposed of its 90% equity investment in XAnge, 20% to Le Groupe La Poste and 70% to Siparex. La Banque Postale remains fully invested in monitoring the funds it holds on its own behalf or for its customers.

For more details on the asset management business line, please refer to point "1.6.3 Asset management".

Partnerships in the means of payment field

In 2008, La Banque Postale and Société Générale created Transactis, a joint venture to pool the resources of the two partners to develop and operate electronic money systems. Transactis now handles all transactions of La Banque Postale and Société Générale with retailers, as well as all customer cash flows for both institutions (La Banque Postale and Société Générale). At the end of 2012, Crédit du Nord joined La Banque Postale and Société Générale within Transactis, thus demonstrating Transactis's ability to manage several brands.

In 2013, BNP Paribas, La Banque Postale and Société Générale launched PayLib, a company offering a new, simple and safe solution for internet payments. Le Crédit Mutuel Arkéa joined the consortium in July 2014, followed in November 2014 by Le Crédit Agricole. La Banque Postale owns a 20% stake in the company.

Other partnerships

La Banque Postale and Natixis founded the *Titres Cadeaux* (Gift Vouchers) subsidiary in 2006, in which both parties have an equal interest, in order to market multi-retailer gift vouchers and cards to private customers, professionals, companies, and works councils.

1.5 2015 HIGHLIGHTS

January BPE, La Banque Postale Gestion Privée and La Banque Postale Conseil en Investissement announce the formation of a wealth management unit in the Bank, in order to accelerate the business development of La Banque Postale in this customer segment.	July Malakoff Médéric and La Banque Postale finalise the merger of their asset management subsidiaries: Fédérés Gestion d'Actifs and La Banque Postale Asset Management (LBPAM), resulting in a 5% equity stake by Malakoff Médéric in the LBPAM share capital, received in payment for the contribution of Fédérés Gestion d'Actifs to LBPAM.
February Malakoff Médéric, La Mutuelle Générale and La Banque Postale announce a collective health insurance partnership.	August SF2 disposes of its equity investment in XAnge Private Equity.
March German extra-financial ratings agency Oekom Research awards La Banque Postale the best mark for its extra-financial performance (CSR) out of a panel of 374 international financial institutions assessed.	October La Banque Postale named the leading French bank in terms of commitment to sustainable development, according to the latest 2015 barometer of the "Sustainable Development Observatory" run by IFOP (Institut français d'opinion publique, French Institute of Public Opinion). Finansol label awarded to La Banque Postale's "Solidarity Interest Service", which allows customers to transfer all or part of their savings account interest to one of the non-profit associations belonging to the "Initiative against banking exclusion" club.
April La Banque Postale, La Mutuelle Générale, Malakoff Médéric and La Mutuelle UMC design a supplementary health policy for recipients of supplementary health insurance assistance (ACS), a bid selected by the Ministry of Health for its tender.	November Equity increased via a Tier 2 subordinate issue of €750 million. BPE and La Banque Postale Gestion Privée merge as part of the establishment of the Bank's wealth management division. Participates in COP21 and launches the "green" range, through the financing of energy renovation for housing and the financing and insurance of eco-mobility.
June La Banque Postale, La Banque Postale Asset Management (LBPAM) and Aegon Asset Management (Aegon AM) sign a partnership agreement, resulting in a 25% minority equity stake for Aegon AM in LBPAM. La Banque Postale takes over the Nexity equity investment in Ciloger, raising its investment from 45% to 90%.	December Publication of the Pillar 2 requirements under the Strategic Review and Evaluation Process (SREP) conducted by the European Central Bank, resulting in a total CET1 requirement of 9.3125% at 1 January 2016.

1.6 PRESENTATION OF THE BUSINESS UNITS AND BUSINESS LINES

With nearly 10.8 million active customers and more than 408,000 corporate customers at the end of 2015 (companies, professionals and the local public sector), the development of La Banque Postale relies on building and maintaining a sustainable customer relationship, focused on understanding customer needs and providing advice to them.

The business of La Banque Postale Group is organised around three units: retail banking (including individual, corporate, professionals and local public sector customers), insurance and asset management.

1.6.1 Retail Banking

Retail Banking covers the businesses of La Banque Postale and the retail banking and private banking subsidiaries such as La Banque Postale Financement, La Banque Postale Crédits Entreprises, BPE and SOFIAP. As such, the company resulting from the merger of BPE and La Banque Postale Gestion Privée is attached to this unit.

It markets products to individuals, in the fields of deposits and savings, loans (home and consumer), payment means and insurance products, as well as specific products and services for high-net-worth customers.

This unit also comprises the loans and deposits businesses aimed at companies, professionals, non-profit associations and the local public sector.

Retail Banking also concerns the Limited Property Investment Partnerships (SCIs) that own the operating premises for Financial Centres in metropolitan France and its overseas departments, and the SF2 company, which holds La Banque Postale equity investments and receives dividends from non-consolidated equity investments.

Markets

La Banque Postale offers a product range that is suitable for both young and senior customers, for high-net-worth customers and vulnerable customers, as well as families.

Retail banking customers

Customer relations are a major driver for the development of La Banque Postale, which makes putting the customer's interests first central to all its businesses, from product design to the advice provided to customers.

La Banque Postale is developing closer relations with its young customer base by offering day-to-day money management services, special accounts, recommendations for building up capital and a savings account designed for young people (Swing). La Banque Postale also provides higher-education financing solutions with personal student loans and personal apprenticeship loans that can be used to finance all or part of vocational training. It also offers health insurance for young people abroad. In 2015, 1.2 million young people had their main bank account at La Banque Postale.

Since 2015, the Bank has offered its senior customers the "estate planning" service which provides advice on understanding the mechanisms and considering strategies for transferring assets.

La Banque Postale offers its customers comprehensive retail banking products and services:

Current accounts

La Banque Postale offers *Formule de Compte*, an account formula with products and services which can be tailored to each individual's needs and financial position. With more than 860,000 accounts opened in 2015, the total number of such accounts reached 6.6 million.

Demand deposit balances reached €54 billion at the end of 2015 and grew 7.2%.

Cards and cheques

Total bank cards reached 8 million by the end of 2015. The stock increased by 1.6% compared with the previous year, including +26% for high-added-value bank cards (Visa Premier). The growth rate of card payments to shopkeepers and businesses reached 8.4% in 2015.

La Banque Postale is authorised to issue Universal Personal Service Cheques (CESU), which are a system that makes it easier for individuals to pay their home help's salaries and social security contributions. It also owns 16.66% of the GIE CESU economic interest group, a CESU processing and repayment body founded with five other partners.

Savings products

Balance-sheet savings products

With more than €75 billion total funds in Livret A, LDD and LEP accounts, La Banque Postale is a major stakeholder in regulated savings and represents nearly 18.9% of the market share in these three products ⁽¹⁾.

According to the most recent SOFIA survey (*Baromètre de la Banque, de l'Assurance et du Crédit*, March 2015), 26.5% of all Livret A accounts are at La Banque Postale ⁽²⁾.

The range of home savings products consists of the *Plan épargne logement* or PEL (Home Loan Savings Plan) and the *Compte épargne logement* or CEL (Home Loan Savings Account). Balances for this range increased by 8.3% in 2015 to €30.6 billion due to the substantial appeal of the return on the PEL.

Financial savings products

La Banque Postale life insurance funds grew by 1.7% and reached over €125 billion for a market share in funds of 7.9% ⁽¹⁾. The share of unit-linked products in inflows grew by 18.1% (+1.7 points).

UCITS funds benefited from a positive market effect and stood at €13.4 billion at the end of 2015, up by 5.8%.

Home loans

In a market marked by a resumption of transactions, both for new and old property, 2015 saw 80,000 home loan projects supported, including nearly 49,000 purchases of property, old and new. Part of the production included a number of external redemptions and renegotiations, linked to the low-rates environment. Home loan outstandings thus increased by 1.2% to €54.1 billion.

La Banque Postale's national centre for home loan referrals (*Centre national de mise en relation du crédit immobilier*) includes approximately 40 customer representatives to answer information requests from current and prospective customers. The centre offers, via specialist property advisors, totally electronic financing applications for current and prospective customers who so desire.

La Banque Postale also guides its customers in their first purchase of a primary residence with suitable financing eligible for assisted loans (Home Savings, Zero Interest loans, etc.).

Consumer loans

The consumer credit service was developed in the spirit of the new law No. 2010-737 of 1 July 2010 on the reform of consumer credit, known as the Lagarde law, and is based on the Bank's values, especially transparency for customers, and focusing on the risks of over-indebtedness.

At the end of 2015, La Banque Postale Financement had 478 employees ⁽³⁾ located at two sites in the Paris region. Total consumer loan outstandings reached €4.5 billion (+12.9%).

Online broking

La Banque Postale offers online broking services for customers who want to independently manage their investments on the financial markets through its wholly-owned subsidiary EasyBourse. This company provides easy access to foreign stock markets, to a wide range of financial products and instruments, and to deferred settlement services, as well as to information, through articles, topical files and interviews with market experts. The customer can follow the stock market, manage his or her accounts (positions, unrealised gains and losses, committed and available, and order book) and put through orders.

Gift Vouchers

In the gift voucher market, La Banque Postale owns 50% of *Titres Cadeaux*, a non-consolidated joint venture in which the Bank and Natixis own equal shares. The purpose of this subsidiary is to create, promote, issue, distribute, process and reimburse all gift vouchers and

(1) Source: Banque de France, November 2015.

(2) Source: Sofia, March 2015 batch.

(3) Headcount at the end of the financial year.

cards and other special payment vouchers that are not subject to the banking monopoly and that enable their holders to buy specific items or services from a list of retailers or other companies.

Other businesses

The funds-transfer business is also a buoyant area, based on two businesses: first, the money order business, inherited from La Poste and enabling international money transfers through the Universal Postal Union, and second, Western Union transfers, also available from post offices.

In 2015, La Banque Postale supplemented its foreign exchange service with Travelex, a major provider of B2B digital solutions, and now offers more than 50 foreign currencies on line, at competitive rates, in order to support customers travelling outside the euro zone.

La Banque Postale has also developed innovative partnerships to increase services for young customers (18-29 years, 1.2 million young customers with their main bank account at La Banque Postale), by supporting, since 2011, KissKissBankBank Technologies, which specialise in crowdfunding. Buoyed by its initial success, La Banque Postale, KissKissBankBank and MakeSense launched the second La Social Cup at the end of 2015, the first cup for student social entrepreneurs.

Lastly, on the international front, La Banque Postale Consultants, a wholly-owned subsidiary, provides advisory services on how to set up a post-office banking service.

Financially vulnerable customers

In addition to its banking accessibility function and its reasonable pricing policy, La Banque Postale plays an essential role in combating banking exclusion through its daily actions to enable access to quality banking services to the greatest number of people and by providing guidance to financially vulnerable customers, notably to prevent over-indebtedness and develop an original comprehensive approach to banking inclusion.

Micro-loans

La Banque Postale is one of the benchmark players in the social micro-loans business in France. In May 2007, it was approved by the Fonds de cohésion sociale to receive the fund's guarantee. In this context, La Banque Postale works with 132 regional associations responsible for identifying individuals who do not have access to banking services due to their low solvency, and supporting them in their plans (e.g. partner associations: Secours Catholique, UDAF, French Red Cross, Les Restaurants du Cœur, etc).

In 2012, La Banque Postale launched business micro-loans with Adie, a recognised public-interest association and major player in micro-loans in France. The goal is to help unemployed people who have no access to bank loans to start up a business. Since the introduction of this partnership, around 1,500 micro-entrepreneurs have been assisted and 200 have been able to complete their projects thanks to Adie financing.

Since 2014, La Banque Postale has been experimenting with the distribution of a home micro-loan to finance energy saving work or adapt a home in the event of disability or dependence.

Since February 2014, Bank customers who are refused a consumer loan due to low solvency are presented with the personal micro-loans

option, and are directed either to the platform of *Crédit Municipal de Paris* (for Île-de-France customers), or to the www.france-microcredit.org website for all other customers. The same is true for small entrepreneurs looking for funding to start up or expand their professional activity, who are directed to the Adie phone platform.

Budget and financial support

In November 2013, La Banque Postale created *L'Appui*, a banking and budgetary advisory and guidance platform accessible to customers via a single toll-free number. The purpose of this new service, made up of about 30 employees, is twofold: on the one hand, assisting customers of La Banque Postale experiencing one-off or recurring financial difficulties, and, on the other hand, improving prevention of financial difficulties. By the end of 2015, 16,000 customers had received this support.

On 25 June 2014, La Banque Postale's *L'Appui* was selected among the "15 solidarity involvement initiatives that are changing France ⁽¹⁾". This enabled the Bank to win the 2015 Special Prize, *La Banque de tous*, awarded by the website choisir-ma-banque.com. In November 2015, the French data protection authority (CNIL) agreed that the *L'Appui* service could be provided throughout the country and on all channels for contacting the Bank.

La Banque Postale, a CRESUS partner since 2010 as part of the business of its subsidiary specialising in consumer credit, has strengthened its ties with this recognised public-interest organisation which specialises in supporting customers in debt.

The Bank's commitment also involves assistance on several training projects focused on the use of banking services. This assistance is provided in particular by La Banque Postale or Le Groupe La Poste employees as part of a skills volunteer programme promoting banking inclusiveness. This program was awarded the "Special jury prize" in the 2015 "R Awards" in recognition of employees' volunteer work helping vulnerable customers. In addition, La Banque Postale supports the *Institut pour l'éducation financière du public* (IEFP), a non-profit association accredited by the Ministry of National Education, the purpose of which is to help citizens acquire basic financial knowledge. The Bank is also continuing its work in the think tank *L'Initiative contre l'exclusion bancaire* (The initiative against banking exclusion), set up to bring together committed stakeholders from the social welfare and non-profit association field who want to develop new initiatives against banking and financial exclusion. Now open, this think tank currently includes Adie, ANDML, the Salvation Army, ATD Quart Monde, Crésus, the French Red Cross, La Banque Postale, Emmaüs France, Habitat et Humanisme, les Restos du cœur, Secours catholique, le Secours populaire, Soliha and UNCCAS.

The "Solidarity Interest Service", which enables the account holder to transfer all or part of the interest earned on a tax-exempt savings account (Livret A accounts, LDD, National Savings account (LEP)) to a non-profit association that is a partner member of the initiative, received the "Finansol" label in 2015, vouching for the responsible character of this service.

Lastly, La Banque Postale sits, alongside representatives of the government, consumer and family non-profit associations, non-profit associations combating exclusion, and other lending institution representatives, on the *Observatoire de l'Inclusion Bancaire* (OIB) ⁽²⁾. Its purpose is to monitor the practices of credit institutions with regard to banking inclusion, especially for people who are financially vulnerable.

(1) These initiatives are supported by the President of the Republic as part of the programme called *La France s'engage*.

(2) The composition of the Observatoire, which is chaired by the Governor of the Banque de France, was published by order of the Minister of Finances and Public Accounts dated 1 August 2014, in the *Journal Officiel* (French Government Gazette).

High-net-worth customers

La Banque Postale currently has more than 587,000 high-net-worth customers to whom it offers a range of products and services, which include the following:

- ▶ investment solutions, in particular the discretionary management service offered by BPE and the wealth funds offered by La Banque Postale Asset Management, Fédérïs Gestion d'Actifs, Tocqueville Finance and La Banque Postale Structured Asset Management;
- ▶ top-of-the-range life insurance;
- ▶ top-of-the-range means of payment;
- ▶ tax optimisation solutions;
- ▶ contingency insurance products for individuals.

To support its high-net-worth customers, La Banque Postale has a team of dedicated specialist wealth advisors (827 advisors throughout France) as well as a team of 72 wealth management advisors for the wealthiest customers ⁽¹⁾.

The specialist wealth advisors and the wealth management advisors are able to offer the entire range of La Banque Postale products.

These advisors collaborate with the Group's 714 specialist property advisors on property projects ⁽¹⁾.

The merger on 30 November 2015 between La Banque Postale Gestion Privée and BPE, acquired in 2013 from Crédit Mutuel Arkéa, reflects the desire to accelerate the development of private banking, relying on a stronger sales structure, a complete wealth service offering and an appropriate organisation allowing for maximum synergies. The strengthening of wealth management and tax engineering and the development of discretionary management are among the objectives that will soon be achieved.

BPE is a bank with a personal touch, which has over 30 branches in Île-de-France and in large regional centres. It offers the full services of a private bank (open architecture and multi-management savings, delegated management agreements, asset-based financing) and has a Wealth Management service to manage financial assets worth more than €1 million and to support its customers in wealth engineering, and preparing and supporting business handovers. It offers a vast range of discretionary management options representing various profiles, which can be taken out as part of a life insurance policy, a stock savings plan (PEA) or a securities account. Assets under discretionary management (GSM) stood at €3.3 billion at the end of 2015 (euro fund assets included).

La Banque Postale Immobilier Conseil, wholly owned, extends the property leasing service offered to high-net-worth customers through its property asset management service.

Corporate customers

At the end of 2015, La Banque Postale had over 408,000 corporate customers, from large companies to very small businesses and sole traders, from small non-profit associations to large social housing associations, who now receive an expanded range of services: accounts, payment systems, investments, advice, financing and insurance.

Rolled out in metropolitan France, La Banque Postale's Business Centres are designed to support customers by providing advisory services to professionals. The distribution of financing offers to

corporate customers is also done via a Multi-channel Agency, responsible for advising professionals and very small enterprises (VSE), and examining loan applications.

The marketing of the first financing offers started at the end of 2011 for corporate customers and the start of 2012 for social economy customers.

Since 2012 La Banque Postale has been offering financial leases and leases with a purchase option to all corporate customers, as well as property lease financing. Factoring has been available since 2013.

La Banque Postale is also able to support its customers in four areas:

- ▶ cash flow management: La Banque Postale is one of the specialists in processing large-scale cash flows, both fund deposits (bank transfers, direct debits or international money orders), and cash payments (bank transfers and letters of payment by cheque);
- ▶ cash management: the range of collective investment funds (UCITS) offered by La Banque Postale is widening, and covers short-term investment needs. The range meets customer requirements, and enables the handling of the specific needs of some customers, particularly social housing associations. Lastly, La Banque Postale also offers its large corporate customers customised product ranges, primarily based on deposit in term accounts, or on the issue of negotiable certificates of deposit;
- ▶ means of payment: Visa business cards reserved for professionals, non-profit associations and businesses allow easier expense management and better separation of personal and work-related expenses. On the investment side, La Banque Postale has also made it possible for its customers to use an additional cash management tool;
- ▶ employee-related financial engineering: this business activity contributes to developing employee savings plans, with specific products for each customer segment. La Banque Postale now covers a comprehensive range of employee-related financial engineering products (luncheon vouchers, personal service vouchers, etc.).

Outstanding loans to corporate customers (€9.7 billion) were up 50.4% on 2014.

Using its nationwide network, La Banque Postale is increasing its expertise, at the service of stakeholders in the real and solidarity economy, in order to support their projects and guide them in managing banking for their business.

Non-profit association customers

La Banque Postale is one of the main stakeholders in the non-profit association market, with 280,000 local non-profit associations as customers, including nearly 6,000 management associations ⁽²⁾, which account for one-third of the French market. La Banque Postale provides a community website for non-profit associations, www.assoandco.fr, that inventories all information necessary in the daily life of an association. The website is a place of exchange and a services platform for all users.

Since the end of 2013, La Banque Postale has offered property loans to its management association customers. This type of financing allows management associations to acquire new premises, renovate old premises and carry out their building projects.

(1) 2015 average headcount.

(2) Excluding local non-profit associations managed in the Business Centres.

La Banque Postale rounded out its range of services for non-profit associations and professionals by also launching dedicated insurance products:

- ▶ online comprehensive insurance for non-profit associations, offering a broad range of basic cover and optional cover appropriate for the profile of the association holding the policy;
- ▶ online property and casualty insurance for office activities and local retailers.

Local authority customers

Since 25 May 2012, La Banque Postale has been authorised to provide loans to the local public sector.

It provides simple and understandable liquidity-backed products that are granted under a transparent pricing policy and a responsible approach to advice and risk.

The offers range from a credit line that can be drawn on (for a maximum of 364 days) to a medium- to long-term loan allowing local authorities to manage their investment projects using fixed or variable rates, for periods as long as 15 years, as well as a comprehensive range

of collective management investments including vehicles specifically adapted to the regulatory requirements of local authorities.

At the end of 2014, the first partnership entered into between La Banque Postale and the European Investment Bank (EIB) committed €300 million in support of three far-reaching programmes launched nationally by the Government: the *Hôpital Avenir* (Future Hospital) plan, the *Très Haut Débit* (High-Speed Broadband) programme and the *Collèges et Emplois des Jeunes* ("Youth Academies and Employment") programme.

Total outstanding loans for local authorities reached €4.5 billion at the end of 2015, up by 25.2%.

Professional customers

Self-employed persons, shopkeepers, craft workers, liberal professions: over 3 million "Pros" already visit post offices for their mail and parcel activity. As part of the Group's strategic plan "La Poste 2020: Conquering the Future", La Banque Postale Group intends to expand this customer base.

The Bank's ambition by 2020 is to set up a new dedicated banking pathway in post offices of 1,000 managers for self-employed customers.

1.6.2 Insurance

The Insurance Business line groups together 480 employees working to develop and manage products and customer relations. La Banque Postale is also present in life insurance (savings/retirement), personal insurance (contingency and health) and in property and liability insurance (home, car, legal protection, means of payment and extended cover). It is aimed at individuals as well as professionals and non-profit associations.

Life insurance

La Banque Postale Group holds a 20.15% share ⁽¹⁾ CNP Assurances group and markets its life insurance and capitalisation products. In 2015, it accounted for 28.4% of the revenue of the CNP Assurances group. CNP products make up most of the life insurance products offered by La Banque Postale.

La Banque Postale offers segmented life insurance and retirement solutions in order to better meet customer requirements:

- ▶ retail customers: with products accessible to the great majority of people through appropriate and evolving formulas;
- ▶ high-net-worth customers: with flexible policies that can be customised, specifically designed for the top-of-the-range market. Multi-asset and multi-manager, certain ranges developed with CNP Assurances or with the Allianz Group, another partner of La Banque Postale Group, also offer discretionary management.

Contingency insurance

Through its subsidiary La Banque Postale Prévoyance, La Banque Postale offers a full range of personal contingency insurance products covering all the protection required from the uncertainties of life (death, dependency, funerals, personal accident cover, etc.) and offering a broad range of services beyond financial services.

The quality of the contingency insurance range is regularly recognised by the profession. In 2015, the new autonomy insurance product received the gold award of the 2015 *Trophées de l'Assuré* (Insured Person's Trophies).

With nearly 310,000 new policies in 2015 and more than 2.7 million policies in its portfolio at the end of 2015, La Banque Postale Prévoyance is positioned as the second largest stakeholder in the French market. Its growth has also been boosted by credit protection insurance policies taken out during financing transactions with La Banque Postale or La Banque Postale Financement (home loans, consumer credit).

Health

Since the end of 2011, La Banque Postale Assurance Santé, 51% owned by La Banque Postale (cf. Chapter 1 – 1.4.3 Capital Partnerships) has offered supplementary health insurance, reflecting the values and strategic choices of La Banque Postale.

The successful roll-out of the health insurance products by La Banque Postale is shown by the sale of over 60,000 products in 2015.

As part of its merger with Malakoff Médéric, in April 2015 La Banque Postale Assurance Santé put on the market a collective health insurance product for businesses with fewer than 50 employees.

Lastly, and after being awarded the supplementary health insurance assistance (ACS) tender, La Banque Postale Assurance Santé, together with La Mutuelle Générale and Malakoff Médéric, have been marketing a supplementary health insurance policy with the ACS seal of approval called *Oui santé* (Yes to health) since July 2015.

(1) 18.14% via Sopassure and 2.01% call option.

Property and liability insurance

La Banque Postale offers individuals a range of property and casualty insurance through its subsidiary, La Banque Postale Assurances IARD.

The core of the range is focused on Vehicle, Comprehensive Home and Legal Protection insurance, gradually extended to all distribution channels since the end of 2011.

A multi-channel system (telephone, internet and post offices) allows customers to choose how they will interact and to anticipate changing practices.

In order to meet the widely varying expectations of its customers, in particular young people and families, La Banque Postale Assurances IARD has extended its range by launching pocket products (extended cover, portable device insurance).

In a very competitive and low-growth market, La Banque Postale Assurances IARD exceeded 1.3 million policies in 2015, less than five years after its launch.

Illustrating its strong growth in the market and its effectiveness in constantly seeking better services for its customers, various awards continued to be given to La Banque Postale Assurances IARD in 2015 for its Digishoot and Passeport Secours services.

Furthermore, La Banque Postale Conseil en Assurances, a wholly-owned subsidiary of La Banque Postale, designs and offers turnkey insurance, assistance and service solutions for the various management bodies and subsidiaries of La Banque Postale and for Le Groupe La Poste generally.

These services are closely tied with current accounts (Alliatys means of payment insurance taken out by nearly 7.2 million customers), bank cards (7 million), mobile phones, savings products, and all kinds of loans for individuals, as well as businesses, non-profit associations, companies and social housing associations.

1.6.3 Asset management

The asset-management businesses include the Group's third-party management companies and offer the expertise that La Banque Postale needs to provide its private and corporate customers with a full range of savings and investment products covering traditional financial markets as well as more specific asset classes. The third-party asset management subsidiaries include 215 employees working on macro-economic and financial management and analysis, product development and financial engineering, and customer relations with the various customer categories in the Group.

Assets under management totalled €182.7 billion at the end of 2015 (they included Fédérés and Ciloger assets but excluded the assets of La Banque Postale Gestion Privée).

Since August 2013, all asset management subsidiaries are now formally committed to complying with the PRI (principles for responsible investment), showing their intention to implement responsible management in line with the Group's values. Applied to investment management, an SRI Asset Selection Committee, representing the subsidiaries concerned, pools analyses and research for investment managers.

2015 involved major changes for the unit. Among them, La Banque Postale opened up the equity capital of La Banque Postale Asset Management to two minority shareholders: Aegon Asset Management for 25% and Malakoff Médéric for 5%.

For more details, see Chapter 1 – 1.4.3 – Capital partnerships

These events formed part of a single strategy: to be able to offer all customer categories in the Group – individuals and companies, institutions and key business accounts, independent wealth management advisors and distributor networks – a full range of short-, medium- and long-term savings and investment solutions, exposed to the international financial markets and to a great variety of asset classes, in a context where risk and volatility are ever more tightly controlled and managed.

Asset Management plays a major role in business with high-net-worth customers, as the UCITS-format collective products of La Banque Postale Asset Management and Tocqueville Finance are used for discretionary management.

Full-service investments

La Banque Postale Asset Management is the fifth largest French management company in terms of managed assets, and represents, within the asset management business of La Banque Postale, the specialist in UCITS management and institutional orders, operating now on almost all financial markets.

The research and analysis synergies developed between La Banque Postale Asset Management and its new shareholder, Aegon Asset Management, thus allow it to offer investment solutions in multiple international asset classes of rates and shares. Operational synergies were rapidly realised during the second half of the year: among them, the establishment of a Tactical Allocation Committee between the diversified teams of the two entities, delegation of financial management of LBPAM's global funds to Aegon AM, and advice on asset selection.

In the same way, the arrival in its midst in 2015 of Fédérés Gestion d'Actifs led La Banque Postale Asset Management to: expand its expertise in the financial management of Euro-Private Placement, and consolidate its analysis and mastery of SRI management.

Its other subsidiary, LBPSAM, is designing new structured investment solutions. The most recent services concern structured EMTNs marketed with BPE or more specific funds intended for insurers and adjusted for Solvency 2 constraints.

"Value" share management

La Banque Postale offers its customers UCITS from Tocqueville Finance, a 92.5% owned subsidiary. This subsidiary has a highly developed network of financial investment advisors, independent wealth management advisors, private banks and institutional investors. A specialist in managing shares of the "Value" (discounted values) and "Small and Medium Capitalisation" type, the firm invests to foster the long-term growth of companies, applying management strategies driven by strong convictions that are independent of the indices.

Tocqueville Finance also provides wealth management for customers that do not necessarily hold a bank account with La Banque Postale, and under stock savings plans (PEA) and life insurance policies.

REITs (SCPIs) and open-ended property funds (OPCIs)

With the range of REITs (SCPIs) and open-ended property funds (OPCIs) managed by Ciloger, a subsidiary of La Banque Postale (90% since June 2015) and CNP Assurances (10%), La Banque Postale offers its individual customers diversification and tax optimisation solutions invested in physical property and listed shares in property companies, as well as funds reserved for large institutional investors.

2015 was marked by the successful marketing of the open-ended property fund OPCI Public (Immo Diversification) in the form of accumulation units under CNP Assurances life insurance policies with inflows of around €200 million.

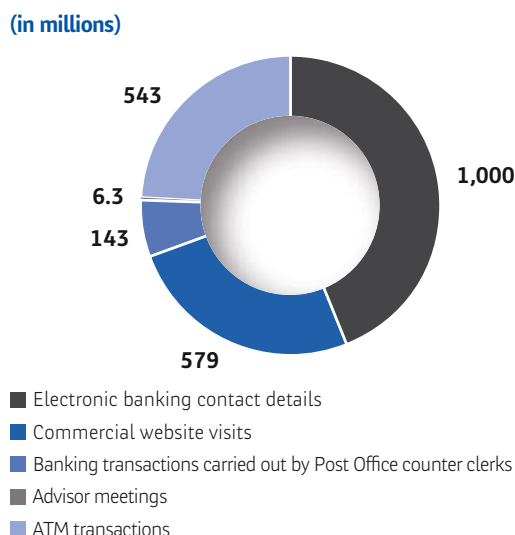
Private equity

In 2015 La Banque Postale disposed of its 90% equity investment in XAnge Private Equity, 20% to Le Groupe La Poste and 70% to Siparex.

1.6.4 A multi-channel relationship serving all business lines

La Banque Postale ensures a close relationship with its customers, using an innovative multi-channel relationship system which allows each customer to select the method of initiating contact with the Bank. La Banque Postale thus offers the customer the possibility of staying in contact with the Bank regardless of his or her whereabouts or requirements: by internet, mobile internet, phone, mail, post office.

NUMBER AND TYPE OF CONTACTS WITH LA BANQUE



This relationship with customers is built on and relies on the relationship in the post Office, staffed by 10,246 advisors and customer service managers helping customers. As part of this, 1,956 new, modern and welcoming spaces dedicated to customer relations have been rolled out in post offices. La Banque Postale also relies on a network of over 7,683 automatic teller machines (ATMs) throughout France, and which processed over 543 million transactions in 2015.

In 2014, the development of customer relationships led La Banque Postale and the La Poste Network to adapt their sales management system by establishing a simple, unified line management, and preparing staff for new jobs by setting up the École de la Banque et du Réseau (EBR). Several new training courses were introduced in 2015.

Financial Centres also play an important role in this multi-channel relationship: 9,641 employees dedicated to transaction processing and customer relations, and over 12 million calls received and processed in these centres in 2015. The National Customer

Introduction Centre has been providing a dedicated solution for customers and prospective customers who want to find out about the Bank and its products since 2009. A single telephone number has been introduced: 3639 ⁽¹⁾. The three specialised platforms of the subsidiaries La Banque Postale Financement, La Banque Postale IARD and La Banque Postale Assurance Santé also play a key role in this remote communication.

The internet site www.labanquepostale.fr, available since June 2014, is a central element in remote communication. With over 48 million visits per month on average in 2015, the website [labanquepostale.fr](http://www.labanquepostale.fr) is a major channel for information, data collection and contacting the bank. In 2015 a new section dedicated to high-net-worth customers was added to this website.

As a substantial proportion of customer contacts with La Banque Postale are made digitally, a tablet application was launched in 2014 and a new mobile application was introduced in 2015. They allow the customer to navigate in an identical world regardless of the medium used for consultation.

Lastly, La Banque Postale customers have the option of a full remote banking relationship using *La Banque Postale Chez Soi*. This new remote communication channel allows users to access all products and services of La Banque Postale at the same rate as the other channels, but also enables fully independent money management and guidance by a dedicated team of advisors. As at 31 December 2015, nearly 100,000 customers were using this service.

An evolving relationship model

Since 2013, La Banque Postale has offered its customers Paylib to make their online payments. With a view to increasing the security of online payments, the Bank developed a new application *Mes paiements* (My payments) in 2015, which allows Paylib to be used for online purchases on partner sites without entering the data of cards previously registered and secured in the *Mes paiements* portfolio. It also introduced the 3D-Secure system with the entry of a personal code directly into the application.

Since 2014, La Banque Postale's *Paiement Mobile Sans Contact* (Contactless Mobile Payment) service allows local purchases to be paid for at all sales outlets accepting contactless payments.

In February 2016, La Banque Postale obtained the consent of the CNIL for the launch of a major innovation in the summer of 2016: voice authentication for remote payment. This innovation, which relies on biometrics, supports customers' new habits, all while reinforcing payment security.

(1) €0.15 inc. tax per minute + any additional charge depending on the operator.

1.7 STRATEGY AND OUTLOOK

A bank offering a comprehensive service, La Banque Postale is capitalising on its customers' take-up of services and the partnerships it has developed.

A singular bank, it maintains a strong relationship with the Le Groupe La Poste, as its sole shareholder is also a service provider for its business.

In line with the Group's strategic plan "La Poste 2020: Conquering the Future", La Banque Postale has set out a development plan up to 2020, under the tag "Daring to create the bank of tomorrow", which prioritises in particular the business development of all its customers.

This development plan is part of an environment undergoing rapid change: economic and financial context, consumer behaviour, changing French regulatory context or banking competition landscape, strongly refocused on the mature market of retail banking.

1.7.1 The objectives of the development plan

Accelerate business development in the retail banking market

La Banque Postale will strengthen its presence on the retail banking market by focusing on several development areas:

- ▶ by making a priority of winning and retaining the loyalty of young customers, building life solutions for seniors, and developing the wealth management business;
- ▶ by offering vulnerable customers tailored solutions and providing long-term financing for La Banque Postale's role as a public interest organisation;
- ▶ by accelerating the development of wealth banking, relying on a strengthened sales structure, a full range of services and appropriate organisation.

Young customers, who represent a market with strong potential, are a major and primary development focus for La Banque Postale. Attractive terms on specialised products, responsiveness to suggestions and the quality of customer relations are the keys to attracting and retaining the loyalty of these demanding customers. Organisers are responsible for managing sales drives for young people and special products are developed for them.

The social issue represented by the ageing population and the management of dependency has led La Banque Postale to provide new solutions and to support its senior customers while taking account of each individual's financial situation, as with its new dependency insurance range.

La Banque Postale is continuing its commitment to banking solutions for vulnerable customers, in particular through the Livret A account, but also through banking and budget support or the support of budgetary and financial education, via workshops with partner non-profit associations.

The formation of a wealth management unit in the Bank and the merger of La Banque Postale Gestion Privée and BPE at the end of 2015 illustrate the Bank's desire to accelerate the expansion of the high-net-worth customer segment, by offering these customers a full range of credit and savings services.

Becoming a bank for professionals by setting up a dedicated unit

La Banque Postale is building and rolling out a specialised sales force in post offices throughout France for professional customers, historically customers of the Group.

The Bank can capitalise on its proximity to these customers with whom it maintains a special relationship, thanks to a simple, useful service that is priced to support their development.

The gradual ramp-up of the *Banque des Pros* (Banking Pros) programme, through training 1,000 Pro advisors by 2020 who will be deployed in post offices throughout France, perfectly illustrates this plan which allows the Bank to capitalise on two aspects of the Pro customer relationship, the business relationship and the personal relationship. In this market dominated by the leading banking groups, La Banque Postale is positioning itself to challenge.

Becoming the reference bank for regional development

La Banque Postale offers a new model of local financing, founded on simple and understandable liquidity-backed products that are granted under a transparent pricing policy and a responsible approach to advice and risk.

By developing new activities, La Banque Postale wants to be recognised as a leading stakeholder in financing the local public sector (authorities, social housing agencies, public companies and hospitals, management associations).

The evolving organisation of the Department of Businesses and Land Development (DEDT) aims to be as close as possible to each region and to rely on synergies between the sales teams.

Leading development of the Bank for major corporate and institutional accounts

The corporate customer market is a development priority, which must be organised in a targeted manner and mastered with companies.

La Banque Postale is gradually consolidating its position as a recognised stakeholder in cash flow and cash management banking and is expanding its portfolio of relations and solutions.

It is continuing with these customers a tradition of trust, simplicity and attention, and is establishing a bank-company relationship based on partnerships and building solutions together.

It provides these customers with a dedicated team and develops new services adapted to their needs, such as, recently, property leasing and equipment leasing.

Developing digital banking

Users of La Banque Postale's online banking services represent a strategic customer segment. Today, 53% of active customers use online services and 79% of online banking users have their main bank account at La Banque Postale.

The development focuses of this digital strategy are:

- ▶ promote digital services in the Group's business development;
- ▶ facilitate interoperability between channels;
- ▶ enhance online services with the expertise of Le Groupe La Poste;
- ▶ boost the appeal, visibility and preference for the La Banque Postale brand;
- ▶ develop new banking methods by using digital ecosystems.

This development of online banking is both a necessity and a major concern in order to optimise and simplify the customer experience, increase operational effectiveness, participate in commercial development and increase the Bank's visibility on social networks.

Preparing La Banque and Network employees for the jobs of tomorrow

The goal of the École de la Banque et du Réseau *La Poste* (EBR), established in 2014, is to provide support for the 70,000 employees of La Banque Postale, Financial Services and La Poste Network, and to train them in the new skills required for the businesses of the future. The training centre is at the heart of La Banque Postale priorities, with the development of skills in all markets, in particular the high-net-worth field and around the self-employed professionals' market.

Since the end of 2014, the EBR has hosted the first class of Pro customer managers with the objective of training 1,000 by 2020. In 2015 the school established an induction course for Branch Managers focusing on banking, trained National Managers and Sales Managers in loans, and designed the joint training course for Regional Managers and Financial Centre Managers, and lastly started the training (resulting in a certificate or diploma) of 750 Post Office managers, which will be completed in 2016.

1.7.2 The levers of the development plan

This development plan relies on a solid balance sheet and increased equity, as well as on the major transformation programmes intended to serve the Bank's commercial ambitions. Among them:

- ▶ the Cap Client 3.0. programme, launched in 2014, allows the banking relationship tool to be optimised and simplifies the work of the advisors while increasing their commercial effectiveness;
- ▶ the Excello programme, launched in September 2015, increases the effectiveness of the Financial Centres through professionalising and developing certain activities in order to provide tailor-made, responsive and professional management of customers;
- ▶ the Concerto project is also a major programme for gradual transformation of the information system. It consists of designing an information system that can meet all the Bank's requirements, in terms of rapid processing, flexibility and security. In particular it involves overhauling the production and processing lines for banking transactions.

La Banque Postale's internal risk assessment method is gradually being integrated and deployed. Based on better knowledge of customers and risks, it should allow the Bank to manage and control the risks related to its activities more effectively. It will be inserted

operationally in La Banque's various management processes, product pricing, loan granting and recovery, and as far as the process of managing the equity capital.

In order to succeed with its ambitious development plan, the Bank is activating every lever at its disposal:

- ▶ service quality, through the quality of the customer experience and effective multi-channel management;
- ▶ improved effectiveness of La Banque Postale-Network, through developing the network's banking culture and by optimising tools, processes and organisation;
- ▶ innovation, through the overhaul of the means of payment model and product innovations;
- ▶ improving the effectiveness of the Financial Centres, by building an agile and successful model, around an innovative social model.

Through its range of banking and insurance products and services, based on simplicity, accessibility and transparency, La Banque Postale proves and will continue to prove that it gives priority to a development that supports changing habits, entirely devoted to customer satisfaction and at the right price.

CORPORATE GOVERNANCE AND INTERNAL CONTROL PROCEDURES

2

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2.1 REPORT OF THE CHAIRMAN OF THE SUPERVISORY BOARD ON THE CONDITIONS UNDER WHICH THE WORK OF THE BOARD WAS PREPARED AND ORGANISED AND ON THE INTERNAL CONTROL PROCEDURES

This report has been prepared on the basis of the work performed by the risk and compliance managers, the Internal Audit Department and the Company Secretary. Regular discussions on the Company's risk and internal control have taken place between the Executive Board, the Chairmen of the committees concerned and the Control function managers, primarily within the Supervisory Board and its committees.

This report was sent to the Financial Statements Committee and to the Risk Committee, which have communicated their observations to the Supervisory Board. This report was approved at the Supervisory Board meeting of 19 February 2016.

2.1.1 Corporate governance

La Banque Postale is a Limited Company with Executive and Supervisory Boards wholly-owned by La Poste. The Company began trading on 1 January 2006, after having received authorisation from the French Prudential Supervision and Resolution Authority (ACPR) on 2 December 2005.

The choice of a dual corporate governance structure allows a clear division between management and control powers, and guarantees the separation of these powers and the balance between them. Thus, there is a tangible separation between the supervision and management powers owned by the Executive Board and the control and decision-making powers exercised by the Supervisory Board.

La Banque Postale is bound by the French Commercial Code, the French Monetary and Financial Code, the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sectors supervised by the French Prudential Supervision and Resolution Authority (ACPR). As a credit institution, it is also bound by the regulations of the French Advisory Committee on Financial Legislation and Regulation (CCLRF). Lastly, as a public sector company, the Bank is bound by the July 1983 law for the democratisation of the public sector.

Corporate Governance Code applied

La Banque Postale has structured its corporate governance rules around the corporate governance principles of listed companies in line with the Code published by the Afep/Medef (Association française des entreprises privées/Mouvement des entreprises de France; www.afep.com) and the report of the Audit Committee working group of the French Financial Markets Authority (AMF).

La Banque Postale complies with most of the recommendations made by these bodies, subject to the distinctive nature of its shareholder base and to the provisions of the law on the democratisation of the public sector and the decree of 15 October 2012, which specifically stipulate:

- ▶ the length of Supervisory Board members' terms of office and the procedures for renewing their terms of office;
- ▶ a large number of employees representatives on the Supervisory Board, i.e. one third of the Board members;
- ▶ a cap on the remuneration of executive corporate officers and the approval by the Minister of the economy of the amount of attendance fees, remuneration for various activities and benefits in kind for corporate officers, as well as remuneration elements,

compensation or benefits due or likely to be due as a result of their termination of activity, changing activity, or subsequent thereto.

Application of the Afep/Medef Code

The recommendations of the Code are applied, except for the following:

- ▶ the number of independent members. The threshold recommended by the Afep/Medef Code for controlled companies is 33%; in 2015, 33% of the Board's members were independent members. This difference is explained by the Company's specific situation, being held by a single shareholder. The threshold of 33% of independent members is reached if no account is taken of the Government representative, appointed by decree;
- ▶ the term of appointment of members of the Supervisory Board is five years, pursuant to law 83-675 of 26 July 1983 on the democratisation of the public sector;
- ▶ no regular meeting of the non-executive members of the Supervisory Board is planned as the Board has no members occupying management posts in the Company;
- ▶ the number of shares owned by members of the Supervisory Board with regard to the attendance fees paid. This provision does not apply to the Company which is wholly owned by La Poste and whose shares are not admitted for trading on a regulated market.

The Board considers that its current operating conditions enable it and its committees to fulfil their duties with the effectiveness, objectivity and independence required, particularly concerning the prevention of potential conflicts of interest.

Declarations of convictions, bankruptcy, sanctions, absence of family connections and benefits as a result of service agreements concerning members of the Supervisory Board and the Executive Board

There are no family ties between the members of the Supervisory Board and the Executive Board. Likewise, over the last five years, no member of either Board has been convicted of fraud or associated, as members of executive or management bodies, with a bankruptcy, receivership or liquidation.

In the last five years, the members of the Supervisory Board and Executive Board have not been subject to any incrimination or official public sanctions, nor have they been prohibited from being Board members.

Members of the Supervisory Board and Executive Board do not enjoy any benefits in respect of service agreements with the Company or one of its subsidiaries.

Conflicts of interest

As far as the Company is aware, there are no conflicts of interest between the duties of the members of the Supervisory and Executive Boards towards the Bank, and their private interests.

The Supervisory Board Members' Charter of La Banque Postale specifies that "(...) every member of the Board shall inform the Supervisory Board and its Chairman as soon as he/she becomes aware of any situation concerning him/her that is likely to give rise to a conflict of interests, even potential or temporary, with La Banque Postale's interest or of any of its subsidiaries".

In such cases, the member of the Supervisory Board shall:

- ▶ abstain from taking part in the discussions and from any decision on the issues in question, if the conflict of interest is temporary;
- ▶ take all measures aimed at ending said conflict of interest, including tendering their resignation from their office as a member of the Board to the Chairman of the Supervisory Board, if it turns out that the conflict of interest is ongoing.

Generally speaking, every member of the Board shall undertake to avoid any conflict that may exist between their material or moral interests and those of La Banque Postale or any of its subsidiaries."

Changes in the composition of the Supervisory Board in 2015 are as follows:

	2015	Comments
Departure	Marc-André Feffer	Retired
Departure	Maryvonne Michelet	Employee representative – Retired
Co-option	Nicolas Routier	
Appointment	Thierry Freslon	Employee representative

At 31 December 2015, the Supervisory Board had nine men and six women members. The percentage of women, not including the five employee representatives in compliance with recommendations of the Afep/Medef Code, was 40%.

All members of the Board are of French nationality.

The Board tries to have a balanced composition both in the representation of women and men and in the diversity of the expertise of its members. As there is no international business activity, nationality is not a determining factor in their appointment.

The members of the Executive Board, as well as the Government Commissioner appointed by the French government due to its public interest remit, the secretary of the Works Council and the Chief Financial Officer also attend the Supervisory Board meetings.

The average age of the members of the Board at 31 December 2015 was 54 years old.

Skills and availability

The Board ensures that its members collectively have the knowledge, skills and experience required in the areas of banking and financial markets, legal and regulatory requirements that apply to the Company, its system of governance including internal control procedures, strategic planning and how to implement it, risk management, accounting and financial reporting and, in addition, insurance markets and the legal and regulatory requirements that apply to companies in this sector.

Regardless of the related party agreements and commitments, there is no arrangement or agreement entered into with clients, suppliers and any other third parties, whereby a member of the Supervisory Board has been appointed.

2.1.1.1 Conditions governing the preparation and structure of the work performed by the Board

Structure and operation of the Board – Composition of the Board

At 31 December 2015, the Supervisory Board had 15 members. It is chaired by Mr Philippe Wahl, Chairman and Chief Executive Officer of La Poste.

In accordance with the provisions of the law on the democratisation of the public sector, Supervisory Board members are appointed for a five-years period. Nine members are appointed by the General Meeting, one member representing of the Government has been appointed by decree and five are appointed through elections by employees.

Among the nine members of the Supervisory Board appointed by General Meeting, six members carry out management functions within Le Groupe La Poste and three are independent.

Board members appointed upon proposal by La Poste are appointed due to the positions they hold within the Group.

The Board also ensures that the members appointed to its special committees have the appropriate skills and experience to carry out their remits on these committees.

Special attention is paid to availability to attend the Company's governing bodies, and to compliance with the rules of the French Commercial Code, French Monetary and Financial Code and the Afep/Medef Code about the holding of multiple offices. The members of the Supervisory Board and the Executive Board are invited to report to the Chairman of the Company's Supervisory Board before accepting a new appointment in order to verify that the new appointment is compatible with legal and regulatory provisions.

Vice-Chairman of the Supervisory Board

The Vice-Chairman of the Supervisory Board is responsible, when the Chairman is absent, for convening the Board, directing discussions, making sure laws and regulations as well as the Board's internal rules are followed and, when necessary, for asking the Executive Board for any information from the members of the Board or the committees.

Information on the new Supervisory Board members

When new members of the Supervisory Board assume their position, they are given a file containing the Bank's Articles of Association, the minutes of recent Supervisory Board meetings, the internal regulations that apply to the Board and its committees, the Supervisory Board Members' Charter and the most recent Registration Document, the professional ethics handbook, the Permanent Control Charter and the principal instruments implementing the CRD IV rules.

Appointments and positions held by members of the Supervisory Board

Nota bene: Terms of office and positions held in companies whose shares are traded on regulated markets are identified by an asterisk*.

Philippe WAHL, born in 1956	Biography
Chairman of the Supervisory Board	▶ Auditor, then Master of Requests at the French Council of State, between 1984 and 1988. ▶ From 1986 to 1988, special advisor to the Chairman of the French Stock Exchange Commission's Office. ▶ From 1988 to 1991, technical advisor responsible for Monetary, Financial and Tax Affairs at the Prime Minister's Office. ▶ Appointed advisor to the Chairman of Compagnie Bancaire in 1991, then as a member of the Management Committee in 1992 and Executive Vice-President in 1994. ▶ Appointed Head of Paribas' Specialist Financial Services Division and as a member of the Executive Committee in 1997. ▶ Appointed Chief Executive Officer of the Caisse Nationale des Caisses d'Épargne in 1999. ▶ Appointed Chief Executive Officer of the Havas group in 2005, and Vice-Chairman of the Bolloré group in 2006. ▶ Appointed Chief Executive Officer of Royal Bank of Scotland's (RBS) French subsidiary in 2007, as advisor to the RBS Global Banking and Markets Board in London in 2008, and Chief Executive Officer of RBS's French, Belgian and Luxembourg subsidiaries in 2009. ▶ Executive Vice-President and member of the Executive Committee of Le Groupe La Poste, and Chairman of the Executive Board of La Banque Postale between January 2011 and October 2013. ▶ Vice-Chairman of the French Banking Association between June 2012 and December 2013 and member of the French Banking Federation's Executive Committee between July 2012 and December 2013. ▶ Director since 1 August 2013 and Chairman and Chief Executive Officer of La Poste since 26 September 2013.
First appointment: 15 October 2013	
Appointment expiry date: 26 February 2018	
Board Committees: Member of the Nomination Committee and Compensation Committee	
Professional address: La Poste – 44, boulevard de Vaugirard – 75757 Paris cedex 15	
Training: Graduate of the IEP, Paris, Research Master's Degree in Monetary and Financial Economics, and former student of the ENA	

Current appointments**Le Groupe La Poste companies**

- ▶ Chairman and Chief Executive Officer of La Poste (a Limited Company).
- ▶ Director of Sopassure (a Limited Company).
- ▶ Director of L'Envol, La Banque Postale's campus (a non-profit association).
- ▶ Permanent Representative of La Poste on the Board of Directors of Poste Immo (a Limited Company).
- ▶ Permanent Representative of La Poste on the Board of Directors of GeoPost (a Limited Company).

Companies outside the Le Groupe La Poste

- ▶ Director and member of the Nomination-Compensation Committee of CNP Assurances* (a Limited Company).
- ▶ Member of the Institut Montaigne Management Committee.

Appointments that expired during the last five years

- ▶ Chief Executive Officer of the Paris branch of The Royal Bank of Scotland plc and of the Royal Bank of Scotland NV.
- ▶ Chairman of the Supervisory Board and member of the Supervisory Board of La Banque Postale Financement (a Limited Company with Executive and Supervisory Boards).
- ▶ Chairman of the Supervisory Board of XAnge Private Equity (a Limited Company with Executive and Supervisory Boards).
- ▶ Member of the Finance Committee, Chairman of the Board of Directors, member and Chairman of the Nomination and Compensation Committee of La Banque Postale Prévoyance (a Limited Company).
- ▶ SF2's representative on the Board of Directors and Chairman and Chief Executive Officer of Sopassure (a Limited Company).
- ▶ Vice-Chairman of the Supervisory Board of Société Financière de Paiements (a Simplified Joint-Stock Company).
- ▶ Chairman of the Board of Directors, General Representative and Vice-Chairman of the Board of Directors of L'Envol, La Banque Postale's campus (a non-profit association).
- ▶ Member of the Audit Committee of CNP Assurances* (a Limited Company).
- ▶ Chairman and Chief Executive Officer of SF2 (a Limited Company).
- ▶ Chairman of the Supervisory Board of La Banque Postale Gestion Privée (a Limited Company with Executive and Supervisory Boards).
- ▶ Chairman of the Board of Directors of La Banque Postale Assurance Santé (a Limited Company).
- ▶ Chairman of the Supervisory Board, member of the Supervisory Board and Chairman of the Compensation Committee of La Banque Postale Asset Management, (a Limited Company with Executive and Supervisory Boards).
- ▶ Chairman of the Board of Directors and Chairman of the Nomination and Compensation Committee of La Banque Postale Assurance IARD (a Limited Company).
- ▶ Representative of La Banque Postale, manager of the Limited Property Investment Partnerships CRSF Dom and CRSF Métropole.
- ▶ Director and member of the Audit Committee of Société de Financement Local (a Limited Company).
- ▶ Member of the Supervisory Board of the Fonds de garantie des dépôts.
- ▶ Vice-Chairman of the Association Française des Banques (French Banking Association).
- ▶ Member of the Executive Committee of the Fédération Bancaire Française (French Banking Federation).
- ▶ Chairman of the Executive Board of La Banque Postale Asset Management (a Limited Company with Executive and Supervisory Boards).
- ▶ Member of the Board of Directors of the association Paris Europlace.
- ▶ Permanent Representative of La Poste on the Board of Directors of GeoPost (a Limited Company).
- ▶ Member of the Nomination and Compensation Committee of La Banque Postale (a Limited Company with Executive and Supervisory Boards).

Attendance rate at the Supervisory Board	100%
Attendance rate at the Nomination Committee	100%
Attendance rate at the Compensation Committee	100%

Yves BRASSART, born in 1960

Member of the Supervisory Board and, since 1 September 2015, Vice-Chairman of the Supervisory Board

First appointment: 24 April 2014

Appointment expiry date: 26 February 2018

Board Committees: Member of the Financial Statements Committee, Risk Committee and since 1 September 2015, Chairman of the Strategy Committee

Professional address:

La Poste 44 – boulevard de Vaugirard – 75757 Paris cedex 15

Training: Graduate of IEP Paris, Public Service Section, ENSPTT and the EDHEC business school, DECS

Biography

- ▶ Has worked within Le Groupe La Poste since 1987. From 1987 to 1990, various positions in the marketing and sales area of the Le Groupe La Poste's Postal Department. Then Marketing and Sales Director for Post/Packages from 1991 to 1993.
- ▶ From 1994 to 1999, Chief Financial Officer at Le Groupe La Poste for western France.
- ▶ From 1999 to 2006, Head of La Poste's Financial Services and also Chief Financial Officer for the General Public Network from 2001 to 2003.
- ▶ From 2006 to 2011, Chief Financial Officer of La Banque Postale.
- ▶ From September 2011 to April 2014, Head of Finance and Strategy at La Banque Postale, as well as supervision of the Financial Operations Department from September 2012.
- ▶ From January 2013 to 7 April 2014, member of the Executive Board of La Banque Postale.
- ▶ From 7 April 2014, Executive Vice-President, Chief Financial Officer and member of the Executive Committee of Le Groupe La Poste then, since 9 September 2015, Executive Vice-President in charge of Finance and Development

Current appointments**Le Groupe La Poste companies**

- ▶ Executive Vice-President of La Poste (a Limited Company) in charge of Finance and Development.
- ▶ Director and member of the Audit Committee of Poste Immo (a Limited Company).
- ▶ Director and member of the Audit and Financial Statements Committee and, since 1 September 2015, member of the Strategy Committee of GeoPost (a Limited Company).
- ▶ Member of the Supervisory Committee of Vehiposte (a Simplified Joint-Stock Company).
- ▶ Member of the LP/SFR Strategy Committee of La Poste Telecom (a Simplified Joint-Stock Company).
- ▶ Chairman of LP 2 (a Simplified Joint-Stock Company).
- ▶ Permanent Representative of La Poste, non-voting advisor of Siparex Associés (a Limited Company) since 30 July 2015.
- ▶ Chairman of the Supervisory Board of XAnge Capital (a Limited Company with Executive and Supervisory Boards) since 8 October 2015.

Companies outside the Le Groupe La Poste

- ▶ Permanent Representative of La Poste, Member of the Supervisory Board of Siparex Proximité Innovation (a Simplified Joint-Stock Company), since 22 December 2015.

Appointments that expired during the last five years

- ▶ Chairman of the Directors Committee of La Banque Postale Immobilier Conseil (a Simplified Joint-Stock Company).
- ▶ Chairman of Galliéni SF2-2, Galliéni SF2-3 and Galliéni SF2-4 (Simplified Joint Stock Companies).
- ▶ Permanent Representative of SF2 on the Board of Directors of La Banque Postale Conseil en Assurances (a Limited Company).
- ▶ Member of the Executive Board and member of the Audit Committee of La Banque Postale (a Limited Company with Executive and Supervisory Boards).
- ▶ Director of SF2 (a Limited Company).
- ▶ Member of the Supervisory Board and member of the Audit Committee of La Banque Postale Asset Management (a Limited Company with Executive and Supervisory Boards).
- ▶ Director of Préviposte (a Limited Company).
- ▶ Permanent Representative of SF2 on the Board of Directors, Chairman of the Audit Committee, member of the Finance Committee and Independence Committee of La Banque Postale Prévoyance (a Limited Company).
- ▶ Permanent Representative of SF2 on the Supervisory Board, member of the Audit Committee and Chairman of the Nomination and Compensation Committee of La Banque Postale Financement (a Limited Company with Executive and Supervisory Boards).
- ▶ Director and member of the Audit Committee of La Banque Postale Assurances IARD (a Limited Company).
- ▶ Chairman of the Board of Directors of La Banque Postale Home Loan SFH (a Limited Company).
- ▶ Chairman of Issy La Banque Postale (a Simplified Joint-Stock Company).
- ▶ Chairman of Auxiliaire Transactions Immobilières (a Simplified Joint-Stock Company).
- ▶ Chairman of Galliéni SF2-5 and Galliéni SF2-6 (Simplified Joint Stock Companies).
- ▶ Member of the Directors Committee and of the Audit and Risk Committee of La Banque Postale Crédit Entreprises (a Simplified Joint-Stock Company).
- ▶ Chairman of the "LBPAM Obli Monde" Mutual Fund.
- ▶ Permanent Representative of La Poste, member of the Supervisory Board of XAnge Private Equity (a Simplified Joint-Stock Company) from 29 July to 29 December 2015.

Attendance rate at the Supervisory Board	90%
Attendance rate at the Financial Statements Committee	100%
Attendance rate at the Risk Committee	83%
Attendance rate at the Strategy Committee	100%

Marc-André FEFER, born in 1949**Vice-Chairman of the Supervisory Board until 1 September 2015****First appointment:** 12 December 2005**End of appointment:** 1 September 2015**Board Committees:** Chairman of Strategy Committee until 1 September 2015**Professional address:**

La Poste – 44, boulevard de Vaugirard – 75757 Paris cedex 15

Training: Graduate of the IEP Paris, holder of a Master's Degree in law, and former student of the ENA**Biography**

- ▶ Public service career: member of the French Council of State, advisor to the President of the European Communities and Head of the French Prime Minister's Office until 1988.
- ▶ Vice-Chairman and General Representative of Canal+ until 2003.
- ▶ Deputy Chief Executive Officer of Le Groupe La Poste since 2004, member of the Executive Committee.
- ▶ From March 2010 to September 2015, Executive Vice-President of La Poste, responsible for development strategy, international and legal affairs, and regulatory matters, member of the Executive Committee and Chairman of the Directors Committee of Poste Immo.

Current appointments until 1 September 2015**Le Groupe La Poste companies**

- ▶ Executive Vice-President, responsible for strategy and for international, legal and regulatory business development for La Poste (a Limited Company).
- ▶ Director of Sopassure (a Limited Company).
- ▶ Director of GeoPost (a Limited Company).
- ▶ Chairman of the Board of Directors of Poste Immo (a Limited Company).
- ▶ Chairman of the Supervisory Board of XAnge Capital (a Limited Company with Executive and Supervisory Boards).
- ▶ Member of the Supervisory Committee of Vehiposte (a Simplified Joint-Stock Company).

Companies outside the Le Groupe La Poste

- ▶ Permanent Representative of Sopassure on the Board of Directors and member of the Strategy Committee of CNP Assurances* (a Limited Company).

Appointments that expired during the last five years

- ▶ Member of the Supervisory Board of GeoPost Intercontinental (a Simplified Joint-Stock Company).
- ▶ Chairman and Chief Executive Officer of Sopassure (a Limited Company).
- ▶ Non-voting advisor of Xelian (a Limited Company).
- ▶ Member of the Directors Committee of Hypios (a Simplified Joint-Stock Company).
- ▶ Non-voting advisor of Sofipost (a Limited Company).

Attendance rate at the Supervisory Board

100%

Attendance rate at the Strategy Committee

100%

Jean-Paul FORCEVILLE, born in 1957**Members of the Supervisory Board****First appointment:** 25 August 2014**Appointment expiry date:** 26 February 2018**Board Committees:** None**Professional address:**

La Poste – 44, boulevard de Vaugirard – 75757 Paris cedex 15

Training: Graduated from the ESC in Paris and the ENSPTT**Biography**

- ▶ Has pursued a career within Le Groupe La Poste since 1979, particularly in charge of various functions in the areas of sales, communication, and he also worked for the Financial Department.
- ▶ From 1990-1992, Technical advisor for Budget, Finance and Planning in French Ministry for Post, Telecommunications and Space.
- ▶ In 1992, Chief Executive Officer of Sofipost, a subsidiary of La Poste.
- ▶ In 1995, Deputy Head of La Poste's Strategic Division and, in 1998, Chief of Staff to the Chairman and Chief Executive Officer of Le Groupe La Poste.
- ▶ From 1997 to 1998, Technical advisor to the Minister for Civil Service, Government Reform and Decentralisation.
- ▶ In 2001, Head of External Relations, and in 2004, Head of European and International Affairs of Le Groupe La Poste.
- ▶ From May 2014, Head of European and National Regulation, while also retaining his duties as Head of External Relations.
- ▶ From 1 January 2015 Head of Regulation and Institutional and European Affairs of Le Groupe La Poste.

Current appointments**Le Groupe La Poste companies**

- ▶ Head of Regulation and Institutional and European Affairs of La Poste (a Limited Company).
- ▶ Director of Sofrepost (a Limited Company).
- ▶ Director of La Poste Global Mail (a Simplified Joint-Stock Company).
- ▶ Chairman of the Board of Directors of Posteurop (a non-profit association).
- ▶ Director of Mediapost Vietnam (a Vietnamese company).
- ▶ Director of Asienda Management (a Simplified Joint-Stock Company).
- ▶ Director of Asendia Holding (a Swiss company).

Companies outside the Le Groupe La Poste

None.

Appointments that expired during the last five years

- ▶ Chairman of the Board of Directors and then Chairman and Chief Executive Officer of Sofrepost (a Limited Company).
- ▶ Chairman of the Board of Directors of Medipost Vietnam (a Vietnamese company) until 3 December 2015.

Attendance rate at the Supervisory Board

100%

Georges LEFEBVRE, born in 1952**Permanent Representative of La Poste, Member of the Supervisory Board****First appointment:** 12 December 2005**Appointment expiry date:** 26 February 2018**Board Committees:** Member of the Nomination Committee and of the Compensation Committee until 20 February 2015**Professional address:**

La Poste – 44, boulevard de Vaugirard – 75757 Paris cedex 15

Training: Degree in Mathematics – Graduate of the ENSPTT**Biography**

- ▶ Pursued a career in the French Post Office and Telecommunications Service, including appointments as Head of Human Resources, then as a Civil Service Administrator.
- ▶ Joined La Poste's Executive Management team in 1991, with responsibility for the employee relations aspects of the change of status.
- ▶ Head of Human Resources and Employee Relations at Le Groupe La Poste since 1998, and member of the Executive Committee.
- ▶ Chief Executive Officer of Le Groupe La Poste, Head of Human Resources and Employee Relations and member of the Executive Committee between 2002 and 2010.
- ▶ From March 2010 to August 2012, General Representative and Head of Human Resources and Employee Relations at Le Groupe La Poste, and member of the Executive Committee.
- ▶ Since September 2012, General Representative of Le Groupe La Poste responsible for Group Cohesion and Unity.
- ▶ From 1 September 2015 to 31 January 2016, General Representative of Le Groupe La Poste responsible for cross-cutting policies and Group cohesion.
- ▶ From 1 February 2016, General Representative of Le Groupe La Poste for relations and development of the social and solidarity economy.

Current appointments**Le Groupe La Poste companies**

- ▶ General Representative of the Group for relations and development of the social and solidarity economy for Le Groupe La Poste.
- ▶ Director and member of the Nomination and Compensation Committee of GeoPost (a Limited Company).
- ▶ Director and member of the Nomination and Compensation Committee of Poste Immo (a Limited Company).
- ▶ Chairman of the Supervisory Committee of Vehiposte (a Simplified Joint-Stock Company).

Companies outside the Le Groupe La Poste

None.

Attendance rate at the Supervisory Board

90%

Attendance rate at the Compensation Committee

100%

Appointments that expired during the last five years

- ▶ Chairman of the Board of Directors of Xelian (a Limited Company).
- ▶ Director and member of the Nomination and Compensation Committee of Sofipost (a Limited Company).
- ▶ Chairman of the following UCITS: "LBPAM Actions Europe Monde", "LBPAM Profil 50", "LBPAM Actions 80", and "LBPAM Profil 15".
- ▶ Member of the Nomination and Compensation Committee and until 20 February 2015, member of the Nomination Committee and of the Compensation Committee of La Banque Postale (a Limited Company with Executive and Supervisory Boards).

Catherine LE FLOCH, born in 1976**Members of the Supervisory Board****First appointment:** 22 October 2014**Appointment expiry date:** 18 February 2016**Board Committees:** Member of the Strategy Committee, the Financial Statements Committee and the Risk Committee until 18 February 2016**Professional address:**

La Poste - 44, boulevard de Vaugirard - 75757 Paris cedex 15

Training: Graduate of the National Higher School of Aeronautics and Space (SUPAERO) – Engineering degree and master's degree in business engineering**Biography**

- ▶ From 2000 to 2009, senior manager at A.T. Kearney.
- ▶ From 2009-2014, Head of Strategy and then Head of Strategy and Sustainable Development of Poste Immo.
- ▶ From September 2014 to 15 January 2016, Head of Strategy, Outlook and Innovation at Le Groupe La Poste.
- ▶ From 18 January 2016, Head of Purchasing at Le Groupe La Poste.

Current appointments**Le Groupe La Poste companies**

- ▶ Member of the Management Committee of Maileva (a Simplified Joint-Stock Company).

Companies outside the Le Groupe La Poste

None.

Attendance rate at the Supervisory Board

90%

Attendance rate at the Financial Statements Committee

100%

Attendance rate at the Risk Committee

67%

Attendance rate at the Strategy Committee

100%

Appointments that expired during the last five years

None.

Nicolas ROUTIER, born in 1963**Members of the Supervisory Board****First appointment:** 30 July 2015 (effective from 1 September 2015)**Appointment expiry date:** 26 February 2018**Board Committees:** None**Professional address:**

La Poste – 44, boulevard de Vaugirard – 75757 Paris cedex 15

Training: Graduate of the IEP Paris and of ENSPITT – holder of a degree in economics**Biography**

- ▶ Has worked within Le Groupe La Poste since 1988. From 1988 to 1991, Strategic Planning Manager and Economic and Financial Strategy Manager then, from 1991 to 1994, Head of the Management Control Service in the Group Financial Department.
- ▶ In 1994, Head of La Poste de l'Oise.
- ▶ In 1997, Member of La Poste's Operational Committee. Creation of the Purchasing Department, becoming Head of it until 2001.
- ▶ In parallel, from 1998 to 2001, Head of Management Control.
- ▶ From 2001, Head of Strategy, member of the Executive Committee and from mid-2002, Executive Vice-President, Group Strategic Development.
- ▶ From 2004 to 2009, advisor to the Group Chairman. Also in 2004 became Chairman of the Direct Distribution Trade Association.
- ▶ From March 2009 to June 2014, Chief Executive Officer, Mail. Also appointed Chairman of the Postal Operators Trade Association.
- ▶ From July 2014 to September 2015, Executive Vice-President of Le Groupe La Poste and Chief Executive Officer of Mail and Parcel Services.
- ▶ Since 7 September 2015, Executive Vice-President of Le Groupe La Poste responsible for institutional strategy, regulatory affairs and international and legal affairs.

Current appointments**Le Groupe La Poste companies**

- ▶ Executive Vice-President, responsible for strategy and for international, legal and regulatory business development of La Poste (a Limited Company).
- ▶ Director of GeoPost (a Limited Company).
- ▶ Director of Poste Immo (SA).
- ▶ Member of the Supervisory Board of Vehiposte (a Simplified Joint-Stock Company) since 15 October 2015.

Companies outside the Le Groupe La Poste

None.

Appointments that expired during the last five years

- ▶ Director and member of the Policy Committee of Docapost (a Simplified Joint-Stock Company).
- ▶ Chairman and member of the Policy Committee of SMP (a Simplified Joint-Stock Company).
- ▶ Director of Société de Traitement de Presse (a Limited Company).
- ▶ Director of Mediapost (a Limited Company).
- ▶ Member of the Policy Committee of Mediapost Publicité (a Simplified Joint-Stock Company).
- ▶ Member of the Policy Committee of Média Prisme (a Simplified Joint-Stock Company).
- ▶ Member of the Policy Committee of Matching (a Simplified Joint-Stock Company).
- ▶ Director and Chairman of the Board of Directors of Sofipost (a Limited Company).
- ▶ Vice-Chairman of the Board of Directors of Asendia Holding AG (a Swiss company) until 22 September 2015.
- ▶ Vice-Chairman of the Board of Directors of Asendia Management (a Simplified Joint-Stock Company) until 22 September 2015.
- ▶ Chairman of the Board of Directors and member of the Policy Committee of Mediapost (a Limited Company) until 7 September 2015.
- ▶ Director of La Poste Global Mail (SAS) until 7 September 2015.
- ▶ Member of the Policy Committee of Viapost (SAS) until 7 September 2015.
- ▶ Member of the Supervisory Committee of Fret GV (a Simplified Joint-Stock Company) until 30 March 2015.

Attendance rate at the Supervisory Board

100%

Nathalie DIERYCKXVISSCHERS, born in 1974**Member of the Supervisory Board, representing the Government****First appointment:** 2 October 2014 (by decree)**Appointment expiry date:** 26 February 2018**Board Committees:** Member of the Strategy Committee, Financial Statements Committee, Risk Committee and, since 20 February 2015, the Nomination Committee and the Compensation Committee**Professional address:**Ministry of Economy and Finance, French Investments Agency (APE)
–139, rue de Bercy Télédéc 228 – 75572 Paris cedex 12**Training:** Holder of a DEA (Master of advanced studies) in private wealth law – Former student of the École normale supérieure de Cachan – Former student of the ENA – Certificate of aptitude for the profession of lawyer (CAPA) – Associate Professor in economics and management**Biography**

- ▶ From 1998 to 1999, Associate Professor in economics and management in a secondary school.
- ▶ From September 1999 to May 2001, legal expert then lawyer specialising in business law at the firm Chaillet Miellet in Paris.
- ▶ From May 2001 to August 2005, Project Leader with the Energy Regulatory Commission.
- ▶ From September 2004 to May 2010, at the Ministry of Economy, Finance and Industry, legal consultant to the Industrial and Financial Law Office of the Legal Affairs Division (September 2004 to October 2005) and Assistant to the Head of the Office of Insurance Companies and Brokers with the French Treasury Department (April 2009 to May 2010).
- ▶ From September 2010 to August 2014, Assistant Financial advisor for the CEI and Georgia at the French Embassy in Russia.
- ▶ Since August 2014, Manager of holdings in the Services and Finances Equity Department of the French Investment Agency (APE).

Current appointments**Le Groupe La Poste companies**

None.

Companies outside the Le Groupe La Poste

- ▶ Head of Holdings with the Department of Holdings in the Services and Finance Section of the Government Holdings Agency.
- ▶ Member of the Supervisory Board since 10 June 2015 and since 11 June 2015 member of the Audit Committee of Montpellier-Méditerranée Airport (a Limited Company with Executive and Supervisory Boards).

Appointments that expired during the last five years

- ▶ Member of the Audit Committee of La Banque Postale (a Limited Company with Executive and Supervisory Boards).

Attendance rate at the Supervisory Board	100%
Attendance rate at the Financial Statements Committee	67%
Attendance rate at the Risk Committee	83%
Attendance rate at the Strategy Committee	100%

Marie-Pierre DE BAILLIENCOURT, born in 1970**Independent members of the Supervisory Board****First appointment:** 22 October 2014**End of appointment:** 7 January 2016**Board Committees:** Member of the Strategy Committee, Financial Statements Committee and Risk Committee, Nomination Committee and Compensation Committee until 7 January 2016.**Professional address:**

DCNS – 40-42 rue du Docteur Finlay – 75015 Paris

Training: Holder of a doctorate in geopolitics (Paris) PhD in International Affairs and Political Science**Biography**

- ▶ From 1995 to 1997, Sherpa for the Secretary-General of the United Nations.
- ▶ From 1998 to 2001, Project Leader with the Chairman's Office, responsible for international development at Rexel (Pinault-Printemps-Redoute).
- ▶ From 2001 to 2004, Senior Consultant and then project manager at McKinsey & Company.
- ▶ From 2004 to 2010 at Dassault Systèmes, Director of the Chief Executive Officer's office from 2004 to 2007 and Vice-President "Industry" from 2007 to 2010.
- ▶ From 2011 to 2012, creation of a consultancy in strategy and innovation, MPBC Conseil.
- ▶ From 2012 to 2014, Executive Vice-President at Bull.
- ▶ Since 2014, Member of the Board of Directors of GTT (Gaztransport and Technigaz).
- ▶ Since January 2015, Executive Vice-President of the company DCNS, responsible for the Group's international development.
- ▶ Since 21 December 2015, member of the Board of Directors of La Poste.

Current appointments**Le Groupe La Poste companies**

Director of La Poste (a Limited Company) since 21 December 2015

Companies outside the Le Groupe La Poste

- ▶ Director, member of the Audit and Risk Management Committee and member of the Nominations and Compensation Committee of Gaztransport and Technigaz* (a Limited Company).
- ▶ Managing Director of MPBC Conseil (a Private Limited Company).
- ▶ Executive Vice-President, development, at DCNS (a Limited Company) since 19 January 2015.
- ▶ Chairman of the Board of Directors of DCNS Coopération (a Limited Company) since 23 March 2015.
- ▶ Chairman of the Board of Directors of DCNS Malaysia (Company Limited by Shares) since 19 March 2015.

Appointments that expired during the last five years

- ▶ Member of the Nomination and Compensation and Audit Committees of La Banque Postale (a Limited Company with Executive and Supervisory Boards).

Attendance rate at the Supervisory Board	80%
Attendance rate at the Financial Statements Committee	100%
Attendance rate at the Nomination Committee	0%
Attendance rate at the Compensation Committee	50%
Attendance rate at the Risk Committee	83%
Attendance rate at the Strategy Committee	50%

Christiane MARCELLIER, born in 1956**Independent members of the Supervisory Board****First appointment:** 23 September 2011**Appointment expiry date:** 26 February 2018**Board Committees:** Member of the Strategy Committee, Financial Statements Committee, Risk Committee and Nomination Committee and Chairman of the Compensation Committee**Professional address:** -**Training:** Holder of a Master's Degree in Applied Economics from the Paris IX Dauphine University and holder of a higher accountancy studies diploma from Paris IX Dauphine University**Biography**

- ▶ Financial Analyst and Head of Research successively at DAFSA, HSBC then NatWest – from 1982 to 1997.
- ▶ Pursued a career in the Strategy and Development Department within the Executive Management of Paribas.
- ▶ Member of the Executive Committee of the Caisse Nationale des Caisses d'Épargne (CNCE) between 2000 and 2004, in charge of the Strategy Department and then of the Insurance Unit.
- ▶ Head of Development, Strategy and Synergies for France and Latin Europe at ABN Amro from 2005 to 2007.
- ▶ Founded JD4C Conseil in 2008, a mergers and acquisitions consultancy company for the banking, insurance and property sectors.
- ▶ From 2013 to 2014, Deputy Chief Executive Officer at Financière de Courcelles, then Senior Adviser in 2015.

Current appointments**Le Groupe La Poste companies**

- ▶ Member of the Supervisory Board, member of the Audit Committee and Chairwoman of the Nomination and Compensation Committee of La Banque Postale Asset Management, (a Limited Company with Executive and Supervisory Boards).

Companies outside the Le Groupe La Poste

- ▶ Managing Partner of JD4C Conseil (a Private Limited Company).
- ▶ Director of Axa Assurances IARD (a Mutual Insurance Company).
- ▶ Director of Axa Assurances Mutuelle Vie (a Mutual Insurance Company).
- ▶ Chairwoman of the Executive Board of Financière Holding CEP (a Simplified Joint-Stock Company).

Appointments that expired during the last five years

- ▶ Member of the Supervisory Board and Chairman of the Audit Committee of Infovista (a Limited Company).
- ▶ Member of the Nomination and Compensation and Audit Committees of La Banque Postale (a Limited Company with Executive and Supervisory Boards).
- ▶ Deputy Chief Executive Officer of Financière de Courcelles (a Limited Company).
- ▶ Chairwoman of the Audit Committee of La Banque Postale Asset Management (a Limited Company with Executive and Supervisory Boards) until 17 June 2015.
- ▶ Director and member of the Audit, Nomination and Compensation Committees of GFI Informatique (a Limited Company)* until 29 October 2015.
- ▶ Director, member of the Strategy and Nomination Committees of Financière Holding CEP (a Simplified Joint-Stock Company) up until 7 January 2016.

Attendance rate at the Supervisory Board	100%
Attendance rate at the Financial Statements Committee	100%
Attendance rate at the Nomination Committee	0%
Attendance rate at the Compensation Committee	50%
Attendance rate at the Risk Committee	100%
Attendance rate at the Strategy Committee	100%

Didier RIBADEAU DUMAS, born in 1946**Independent members of the Supervisory Board****First appointment:** 13 February 2006**Appointment expiry date:** 26 February 2018**Board Committees:** Member of the Strategy Committee and the Compensation Committee, Chairman of the Financial Statements Committee and Nomination Committee.**Professional address:-****Training:** Former student at ENA – Degree in law**Biography**

- ▶ Pursued a career at the French Ministry of the Economy and Finance between 1971 and 1984; Deputy Director at the Treasury between 1981 and 1984.
- ▶ Chief Executive Officer of a CIC group bank until 1989.
- ▶ Vice-Chairman, then Senior Vice-Chairman at the Paris office of the Boston Consulting Group until 2006.
- ▶ Managing Partner of DRD Conseil (2006-2012) and partner in Courcelles (2007-2012).

Current appointments**Le Groupe La Poste companies**

- ▶ Director, Chairman of the Nomination and Compensation Committee, member of the Strategy Committee and, since 17 June 2015, member of the Audit Committee of Poste Immo (a Limited Company).
- ▶ Member of the Supervisory Board of BPE (a Limited Company) since 27 January 2015.

Companies outside the Le Groupe La Poste

- ▶ Managing Partner of Sauvigny (a Limited Property Investment Partnership).
- ▶ Representative of ABC Arbitrage on the Board of Directors of ABC Asset Management (a Limited Company).
- ▶ Director of ABC Arbitrage (a Limited Company).
- ▶ Member of the Supervisory Committee of Comgest (a Limited Company).

Appointments that expired during the last five years

- ▶ Managing Director of DRD Conseil (a Private Limited Company).
- ▶ Non-voting advisor of ABC Arbitrage (a Limited Company).
- ▶ Director of La Mondiale Accidents (a Limited Company).
- ▶ Director of AG2R La Mondiale (a Mutual Group Insurance Company).
- ▶ Chairman of the Audit Committee and of the Nomination-Compensation Committee of La Banque Postale (a Limited Company with Executive and Supervisory Boards).

Attendance rate at the Supervisory Board	100%
Attendance rate at the Financial Statements Committee	100%
Attendance rate at the Nomination Committee	100%
Attendance rate at the Compensation Committee	100%
Attendance rate at the Risk Committee	100%
Attendance rate at the Strategy Committee	67%

Thierry FRESLON, born in 1968**Employee representative members of the Supervisory Board****First appointment:** 1 December 2015**Appointment expiry date:** 26 February 2018**Board Committees:** Member of the Financial Statements Committee and Risk Committee since 1 December 2015**Professional address:**

AVEA – 8, rue Brillat Savarin – 75013 Paris

Training: Certificate in Economic and Employee Relations, IEP Paris – CESB and CESA, HEC DECF – Advanced vocational training certificate in accounting and business management, distinction in English**Biography**

- ▶ Pursued a career in property firms and companies and, in particular, as an accountant and treasurer from 1990 to 1994.
- ▶ Joined Le Groupe La Poste in 1995 and, notably, was Assistant Chief Accountant of the Group Central Treasury Department from 1996 to 1999.
- ▶ From 2000 to 2005, Manager of bank-related accounting then central accounting at Efpiste.
- ▶ From 2006 to 2011, advisor to the Accounting Department of La Banque Postale and, in parallel, Secretary of the Works Council.
- ▶ From 2012 to 31 December 2015, manager for internal control procedures and general resources at Transactis.
- ▶ Since 1 December 2015, Employee Representative on the Supervisory Board of La Banque Postale.
- ▶ Since January 2016, Chairman of AVEA, a non-profit association of Le Groupe La Poste.

Current appointments**Le Groupe La Poste companies**

Chairman of AVEA (non-profit association).

Companies outside the Le Groupe La Poste

None.

Appointments that expired during the last five years

None.

Attendance rate at the Supervisory Board	100%
Attendance rate at the Financial Statements Committee	100%
Attendance rate at the Risk Committee	100%

Jean-Robert LARANGE, born in 1954**Employee representative members of the Supervisory Board****First appointment:** 27 February 2008**Appointment expiry date:** 26 February 2018**Board Committees:** None**Professional address:**

La Banque Postale – 115, rue de Sèvres – 75275 Paris cedex 06

Training: Graduate of the Institut supérieur du commerce International (ISCID-IFCE) and holder of a Master's degree in International Affairs from EDHEC**Biography**

- ▶ Held sales and marketing positions at a number of companies (including Thomson-CSF, Alliance.com, and Iris Développement).
- ▶ Joined Le Groupe La Poste in 2002 as the Head of Business Finance Sales Development in the Paris and Île-de-France Financial Centre, then made responsible for monitoring Internal Audit Department recommendations at La Banque Postale.
- ▶ Head of Banking Services in the jointly-managed La Poste Network and in non-Post Office entities from 2006 to July 2014.
- ▶ Since July 2014, seconded to the ADIE Sud-Ouest, which manages the partnership between La Banque Postale and ADIE and the professional coaching of entrepreneurs and business creators.

Current appointments**Le Groupe La Poste companies**

None.

Companies outside the Le Groupe La Poste

None

Attendance rate at the Supervisory Board

80%

Appointments that expired during the last five years

None.

Steeve MAIGNE, born in 1969**Employee representative members of the Supervisory Board****First appointment:** 27 February 2008**Appointment expiry date:** 26 February 2018**Board Committees:** Member of Financial Statements Committee and Risk Committee**Professional address:**

La Banque Postale – 115, rue de Sèvres – 75275 Paris cedex 06

Training: Background in sales and finance**Biography**

- ▶ Pursued a career at Le Groupe La Poste, as a Financial advisor, and then as a Customer Service Manager between 1998 and 2004.
- ▶ Regional secretary for the Paris/Île-de-France CFE-CGC trade union, member of La Poste's Employee-Relations Committees until 2007.
- ▶ Employee representative on the Supervisory Board of the La Poste Employee Savings Fund until 2007.
- ▶ From 2008 to 2013, Head of the Internal Synergies Project within La Banque Postale's Social and Local Economy Department.
- ▶ Since 2013, Quality Manager at RTB Île-de-France.

Current appointments**Le Groupe La Poste companies**

None.

Companies outside the Le Groupe La Poste

- ▶ Director of Logipostel (a cooperative company for public housing development).
- ▶ Alternate Director and member of the financial and markets commissions at Urssaf Ile de France since 1 January 2015.

Attendance rate at the Supervisory Board

100%

Attendance rate at the Financial Statements Committee

100%

Attendance rate at the Risk Committee

100%

Appointments that expired during the last five years

- ▶ Member of the Audit Committee of La Banque Postale (a Limited Company with Executive and Supervisory Boards).

Maryvonne MICHELET, born in 1952**Employee representative members of the Supervisory Board****First appointment:** 27 February 2008**End of appointment:** 1 December 2015**Board Committees:** Member of the Financial Statements Committee and Risk Committee until 1 December 2015**Professional address:** -**Training:** Post-graduate diploma (DESS) in banking and financial law, certified legal practitioner (CAPA) and holder of a bachelor's degree in applied foreign languages**Biography**

- ▶ Joined the Personnel Department of the French Post and Telecommunications Ministry in 1979, moving to La Poste International Financial Services in 1986 and then to La Poste Legal Affairs Department in 1997.
- ▶ Until 1 December 2015, a lawyer at La Banque Postale, Risks Correspondent for the Legal Department and Head of Property law. Also project leader for La Banque Postale International.

Current appointments**Le Groupe La Poste companies**

None.

Companies outside the Le Groupe La Poste

None.

Attendance rate at the Supervisory Board

88%

Attendance rate at the Financial Statements Committee

100%

Attendance rate at the Risk Committee

83%

Appointments that expired during the last five years

None.

Françoise PAGET BITSCH, born in 1957**Employee representative members of the Supervisory Board****First appointment:** 11 March 2009**Appointment expiry date:** 26 February 2018**Board Committees:** Member of the Strategy Committee**Professional address:**

La Banque Postale – 115, rue de Sèvres – 75275 Paris cedex 06

Training: Degree in Fluid Mechanics (University of Aix-Marseille)**Biography**

- ▶ Joined Le Groupe La Poste in 1979 as a branch management executive.
- ▶ Held positions as Sales Development Manager, Deputy Branch Manager and then Branch Manager until 1994.
- ▶ Delegate management auditor until 2001, then more specifically in charge of implementation and supervision of the management cycle for the Management Contracts Division.
- ▶ Project leader for the switch to the euro in the Vaucluse Department.
- ▶ Departmental management auditor in the area of mail.
- ▶ Since 2006, Banking Controller at RTB Méditerranée.

Current appointments**Le Groupe La Poste companies**

None.

Companies outside the Le Groupe La Poste

None.

Attendance rate at the Supervisory Board

100%

Attendance rate at the Strategy Committee

100%

Appointments that expired during the last five years

None.

Hélène WOLFF, born in 1955**Employee representative members of the Supervisory Board****First appointment:** 26 October 2006**Appointment expiry date:** 26 February 2018**Board Committees:** Member of the Strategy Committee, Nomination Committee and Compensation Committee**Professional address:**

La Banque Postale – 115, rue de Sèvres – 75275 Paris cedex 06

Training: DEA (Master of advanced studies) in International Economics, DESS (specialised Master) in Financial Markets, DEA in Economics and Energy**Biography**

- ▶ Marketing Manager at Crédit Mutuel until 1988, then held a number of management positions in financial companies.
- ▶ Joined Le Groupe La Poste in 1993, occupying a number of positions, including Accounting Planner, and Project Manager in the remuneration and banking process units.
- ▶ AMOA Project Leader in La Banque Postale since 2006, then Head of Project Quality.

Current appointments**Le Groupe La Poste companies**

None.

Companies outside the Le Groupe La Poste

None.

Attendance rate at the Supervisory Board

0%*

Attendance rate at the Nomination Committee

0%*

Attendance rate at the Compensation Committee

0%*

Attendance rate at the Strategy Committee

0%*

* On long-term leave.

Appointments that expired during the last five years

- ▶ Member of the Audit Committee and Nomination and Compensation Committee of La Banque Postale (a Limited Company with Executive and Supervisory Boards).

Dominique Bocquet, born in 1957**Government Commissioner****First appointment:**

By decree of 21 December 2012 published in the Official Journal of 11 January 2013

Professional address:

Ministry of the Economy, Finance and Industry – 139 rue de Bercy – 75572 Paris cedex 12

Training: Graduate of IEP Paris, graduate of ENA (Solidarity class of 1983)**Published works:**

Génération Europe (Editions François Bourin, 1989).

France-Allemagne un couple en panne d'idées (Fondation Saint-Simon, 1996).

Pour une mondialisation raisonnée, Les révolutions discrètes de l'OCDE ("La Documentation Française", 2012).

Biography

- ▶ Special advisor at the Treasury Department, French Ministry of Economy and Finance (1987-1990).
- ▶ General Secretary of Mouvement européen France between 1991 and 1996.
- ▶ From 1996 to 2000, Financial advisor for Africa (Treasury Department) and member of the Central African Banking Commission (Bank of Central African States).
- ▶ Head of Cabinet for the Cooperation and French Language Minister in 2000.
- ▶ Financial Adviser Minister to the French delegation to the OECD between 2003 and 2008.
- ▶ Head of the Economic Department of the French Embassy in Morocco between 2008 and 2012.
- ▶ Since 2013, Economic and Financial Auditor General at the French Treasury Department, Government Commissioner to La Banque Postale and the Sociétés de financement du cinéma (SOFICA) and the rental unit guarantee fund (CGLLS).

Changes to the composition of the Supervisory Board since 1 January 2016:

	2015	Comments
Departure	Marie-Pierre de Bailliencourt	Resignation 7 January 2016
Departure	Catherine Le Floch	Resignation on 18 February 2016 due to a change of position within the Group
Co-option	Virgile Bertola	Co-option on 19 February 2016

Virgile BERTOLA, born in 1972**Members of the Supervisory Board****First appointment:** 19 February 2016**Appointment expiry date:** 26 February 2018**Board Committees:** Member of Strategy, Financial Statements, and Risk Committees**Professional address:**

La Poste – 44, boulevard de Vaugirard – 75757 Paris Cedex 15

Training: Degree in Chartered Accountancy and DESS post-graduate degree in Corporate Finance (Université Paris – Dauphine)**Biography**

- ▶ From October 1996 to December 2003, manager at Andersen.
- ▶ From January 2004 to February 2007, Senior Manager at Deloitte.
- ▶ From March 2007 to April 2012, Manager of Financial Control and Consolidation, reporting to the Executive Vice-President – Finance and Administration at Nexans.
- ▶ From May 2012 to March 2016, Manager of Financial Control of Le Groupe La Poste, reporting to the Executive Vice-President in charge of Finance and Development of the Group: monitoring of the performance of the different branches, including La Banque Postale.
- ▶ As of 1 March 2016, Director of Strategy, Planning and Innovation of Le Groupe La Poste, reporting to the Executive Vice-President in charge of Finance and Development of the Group.

Current appointments**Companies of Le Groupe La Poste**

None.

Companies outside Le Groupe La Poste

Member of the Supervisory Board of Siparex Proximité Innovation (a Simplified Joint-Stock Company) since 22 December 2015.

Appointments that expired during the last five years

None.

Assessment of the notion of independent member

Since La Banque Postale was founded, its Supervisory Board has used the general definition in the Afep/Medef Code to assess the independence of its members. Members of the Supervisory Board are therefore considered to be independent as long as they have no relationship of any kind with the Company, its parent Group or its management that is likely to compromise their freedom of judgement.

Independence is reviewed each year by the Nomination Committee, which presents its findings to the Supervisory Board. In accordance with the conclusions submitted by the Nomination Committee in 2015, the Supervisory Board confirmed the independence of three of its members: Marie-Pierre de Baillencourt, Christiane Marcellier and Didier Ribadeau Dumas. Christiane Marcellier and Didier Ribadeau Dumas hold appointments in other companies of the Group, but these mandates have been deemed as non-prejudicial to their independence. These three members do not have any close family connection with any other Company executive officer, have not been statutory auditors of the Company and have been members of the Board for less than 12 years.

Role of the Supervisory Board

The Supervisory Board exercises the powers granted to it by the French Commercial Code, the law of 26 July 1983 on the democratisation of the public sector, the French Monetary and Financial Code, the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sectors subject to the control of the French Prudential Supervision and Resolution Authority (ACPR), and the Company's Articles of Association.

The Supervisory Board deliberates upon major strategic, economic, financial and technological orientations of the Company, prior to the decisions of the Executive Board on these topics.

It reviews the corporate governance plan and evaluates its effectiveness. It approves and regularly reviews the strategies and policies governing the taking, management, monitoring and reducing of risks. It determines the guidelines and monitors the implementation of the supervision systems and reviews the internal control activity and results.

It provides on-going supervision of the way in which the Executive Board manages the Company, and grants prior approval for

transactions that the latter cannot carry out without its permission, in accordance with Article 14 of the Articles of Association.

The Supervisory Board checks and audits the financial statements. It appoints the members of the Executive Board, sets their remuneration in accordance with the decree of 9 August 1953 amended on 26 October 2012, and also has the power to dismiss them, in accordance with Article 12 of the Articles of Association.

Internal rules and Charter

The Supervisory Board has adopted internal rules, which govern and determine the preparation and organisation of its work. These internal rules are updated on a regular basis, in order to be compliant with legal and regulatory changes, as well as corporate governance recommendations and best practices. The Board has also adopted the "Supervisory Board Members' Charter", which outlines the rights and obligations of Board members. The internal rules and the Supervisory Board Members' Charter are contained in Chapter 9 of this Registration Document.

Conditions governing the preparation and structure of the work performed by the Board

The Supervisory Board meets at least four times a year. Meeting agendas are approved by the Chairman depending on issues the Board is legally required to review or matters reported to the Board concerning the Bank's operations and strategic choices.

The Board members are invited to attend at least ten days before the meeting. At least six days before Board meetings, the agenda, the meeting minutes of the previous meeting and any other documents needed to support the agenda are sent to the Board members.

Supervisory Board meetings last three hours on average.

The items for discussion are presented by a member of the Executive Board or, if applicable, by the person responsible for them. Presentations are followed by an exchange of views, following which the Board issues an opinion as necessary.

The Company Secretary draws up draft minutes of the meeting, and then submits them to the Board members for approval at the beginning of the next meeting.

To support the Board's work, two strategic seminars bringing together Supervisory Board participants were organised in 2015. They focussed on the following issues:

- ▶ the digital Bank;
- ▶ development of the Department of Businesses and Land Development of La Banque Postale;
- ▶ organisation of the commercial branch;
- ▶ partnership with CNP Assurances;
- ▶ the Wealth Management Bank: appraisal and development.

In addition, two Risk Committee seminars, to which all members of the Supervisory Board were invited, were organised. The first seminar was on the issue of governance and the second was on risk management.

Activities of the Board in 2015

The Supervisory Board met ten times during the 2015 financial year with an average attendance rate of 94% (excluding periods of long-term leave).

In addition to the Board members themselves, the Government Commissioner and the Works Council Secretary and the Chief Financial Officer, certain heads of La Banque Postale occasionally participated in the Board meetings depending on points in the agenda. The statutory auditors attended those meetings where the annual and half-year financial statements were presented.

During 2015, the work performed by the Board focused primarily on the following issues:

Strategy:

- ▶ partnership and external growth projects;
- ▶ strategic development of certain subsidiaries;
- ▶ internal reorganisation and intra-group investment activities;
- ▶ renewal of partnership agreements due to expire.

Functioning of the Supervisory Board and governance:

- ▶ appointment of a new Vice-Chairman to replace the Vice-Chairman standing down;
- ▶ co-option of a new Supervisory Board member to replace a member standing down;
- ▶ replacement of a member representing employees on the Supervisory Board, Financial Statements Committee and Risk Committee;
- ▶ changes to the composition of the Supervisory Board special committees;
- ▶ appointment of a new Chairman of the Strategy Committee to replace the Chairman standing down;
- ▶ remuneration of Executive Board members;
- ▶ La Banque Postale's remuneration policy;
- ▶ report prepared pursuant to Article 266 of the decree of 3 November 2014;
- ▶ review of rules relating to holding multiple appointments;
- ▶ review of rules relating to the Fonds de Garantie des Dépôts.

The Bank's business activity:

- ▶ quarterly business reports;
- ▶ overview of the annual and consolidated 2014 financial statements, together with the proposed appropriation of net income and the Executive Board's management report;
- ▶ overview of the half-year financial statements and the half-year business report;
- ▶ overview of the budget.

Control of the Bank's business activity:

- ▶ professional and salary equality policy;
- ▶ internal control and risk management report prepared pursuant to Articles 258 to 264 of the decree of 3 November 2014;
- ▶ corporate governance and internal control report prepared by the Chairman of the Supervisory Board (report pursuant to Article L. 225-68 of the French Commercial Code);
- ▶ risk management policy and Risk Charter;
- ▶ overview of the work performed by the Supervisory Board Committees;
- ▶ approval of related party agreements;
- ▶ review of business activity and results of internal control procedures.

This work and the ensuing discussions enabled the Supervisory Board to exercise its powers of control over the Bank's management team, together with its decision-making powers.

Organisation and operation of special committees in 2015

In order to comply with the decree of 3 November 2014 on internal control implemented pursuant to CRD directive IV, the Supervisory Board, at its meeting of 16 December 2014, decided to replace the Audit Committee by a Financial Statements Committee and a Risk Committee, and to replace the Nomination and Compensation Committee by a Nomination Committee and a Compensation Committee. The Supervisory Board also had a Strategy Committee to assist it in its duties.

The duties of each of these committees, the criteria for the selection of their members and their rules of procedure are featured in the internal rules approved by the Supervisory Board. Some of the internal rules were also updated during 2015 in order to take account of regulatory changes introduced by the decree of 3 November 2014.

Any Board deliberation relating to the area of expertise of one of the five committees, must be adopted after advice has been sought from that committee, whose Chairman shall inform the Board of its recommendations, suggestions or opinion.

Setting up these committees is not intended to delegate powers to them that are assigned to the Executive Board by law or by the Articles of Association, or to reduce or limit the Executive Board's powers.

The Executive Board makes available to the members of these committees, within a reasonable time period, all the items and documents enabling the committees to conduct their work and formulate their recommendations, suggestions or opinions.

The length of a committee member's appointment coincides with the length of their term of office as Board member.

Four out of five of the Supervisory Board Committees are chaired by an independent member.

Financial Statements Committee

Because La Banque Postale has a single public shareholder, and pursuant to the law on the democratisation of the public sector, which provides for the inclusion of employee representatives on the Board, the committee consists of Board members appointed by the General Meeting, by Company employees and by the French Government.

At 31 December 2015, the Financial Statements Committee had eight members as follows:

- ▶ three independent members, Didier Ribadeau Dumas (Chairman of the committee), Marie-Pierre de Baillencourt and Christiane Marcellier;

- ▶ two members from Le Groupe La Poste, Yves Brassart and Catherine Le Floch;
- ▶ one member representing the Government, Nathalie Dieryckxvisschers;
- ▶ two members representing employees, Thierry Freslon and Steeve Maigne.

The Government Commissioner also attends Financial Statements Committee meetings.

The committee's internal rules are updated on a regular basis, in order to ensure that they remain compliant with legal and regulatory changes, as well as with corporate governance recommendations and best practices.

Most members of the committee have financial and accounting experience, primarily from former tenure in positions that they have held or hold (as a head of finance, with the French Ministry of the Economy and Finance, or as member of the senior management team of a bank).

The scope of the committee's responsibilities primarily extends to:

- ▶ checking that the financial information supplied by the Executive Board is clear, and assessing the appropriateness of the accounting methods adopted;
- ▶ participating in the selection of the statutory auditors and ensuring their independence and objectivity.

The Financial Statements Committee meets at least twice per year and, in particular, prior to any meeting of the Supervisory Board where one or more questions relating to its area of expertise are on the agenda. The Chairman of this committee reports on its work to the Supervisory Board after every meeting. It may seek the assistance of any person whose skills and expertise seem necessary to carry out its mission.

The committee listens to the opinions of the statutory auditors, the Bank's Chief Financial Officer, the Heads of Compliance and Risk and the Internal Auditor on issues that concern them, in particular on the Company's risks and significant off-balance sheet commitments, the main points of the results of the legal audit and the accounting options used.

The committee met three times in 2015 with an average attendance rate of 96%.

During 2015, its work focused primarily on the following issues:

- a) Financial data and accounting methods:
 - ▶ account-closing options,
 - ▶ overview of the half-year financial statements and the half-year business report,
 - ▶ overview of the annual financial statements and the Registration Document;
- b) statutory auditors:
 - ▶ assessment of the interim 2015 work programme for the statutory auditors,
 - ▶ detailed summary of the statutory auditors' certification tasks and follow-up to their previous recommendations;
- c) Functioning of the committee:
 - ▶ 2015 work programme of the Financial Statements Committee and assessment of its operation.

Risk Committee

At 31 December 2015, the Risk Committee had eight members as follows:

- ▶ three independent members, Didier Ribadeau Dumas (Chairman of the committee), Marie-Pierre de Baillencourt and Christiane Marcellier;
- ▶ two members from Le Groupe La Poste, Yves Brassart and Catherine Le Floch;
- ▶ one member representing the Government, Nathalie Dieryckxvisschers;
- ▶ two members representing employees, Thierry Freslon and Steeve Maigne.

The Government Commissioner also attends Risk Committee meetings.

Members of the Executive Board and the Company's Head of Finance may be asked to attend committee meetings at the request of the Committee Chairman.

Members of the Risk Committee have the knowledge, skills and expertise necessary to perform their remit and to understand and monitor the Group's strategy and appetite for risk.

The committee's internal rules are updated on a regular basis, to ensure that they remain compliant with legal and regulatory changes, as well as with corporate governance recommendations and best practices.

The scope of the committee's responsibilities primarily extends to:

- ▶ assessing the quality of the internal control procedures, especially the principles and procedures for managing risk;
- ▶ taking note of the Company's Internal Audit Department's Charter and that of the Permanent Control Department;
- ▶ examining accounting aspects of the Company's remuneration policy and practices and its position in terms of risk;
- ▶ more generally, ensuring compliance with the tasks provided by the French Monetary and Financial Code and by the decree of 3 November 2013 on the internal control of banking sector companies, payment services and investment services supervised by the French Prudential Supervision and Resolution Authority (ACPR).

The Risk committee meets at least four times per year and, in particular, prior to any meeting of the Supervisory Board where one or more questions relating to its area of expertise are on the agenda. The Chairman of this Committee reports on its work to the Supervisory Board after every meeting. It may also seek the assistance of any person whose skills and expertise seem necessary to carry out its mission.

The committee listens to the opinions of the statutory auditors, the Bank's Chief Financial Officer, the Heads of Compliance and Risk and the Internal Auditor on issues that concern them, in particular on the Company's risks and significant off-balance sheet commitments, the main points of the results of the legal audit and the accounting options used.

The committee met six times in 2015 with an average attendance rate of 88%.

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- ▶ setting the target to be achieved in relation to gender balance on the Board and the preparation of a policy to achieve this target;
- ▶ annual assessment of the balance and diversity of the knowledge, skills and experience of Board members, both individually and collectively. It also specifies the tasks and qualifications that are necessary for Board positions and assesses the time devoted to Board member functions;
- ▶ review of the management succession plan in order to recommend possible candidates to the Board, notably in the event of an unforeseen vacancy.

In 2015, its work focussed, in particular, on the review of the independence of the members of the Board.

Compensation Committee

- ▶ three independent members, Didier Ribadeau Dumas, Marie-Pierre de Baillencourt and Christiane Marcellier (Chairman of the committee);
- ▶ one members belonging to Le Groupe La Poste, Philippe Wahl;
- ▶ one member representing the Government, Nathalie Dierckxvisschers;
- ▶ a member representing the employees, Hélène Wolff.

- The Government Commissioner also attends the Compensation Committee meetings.

Members of the Executive Board may attend committee meetings at the request of the Chairman of the Compensation Committee.

Its members have the knowledge and skills to carry out the tasks devolved to the committee and are, in particular, qualified to analyse the Company's policies and practices in the field of remuneration, including the Company's risk policy.

The committee's internal rules are updated on a regular basis, to ensure that they remain compliant with legal and regulatory changes, as well as with corporate governance recommendations and best practices.

In order to prepare the work of the Board in the field of remuneration procedures within the Company and its subsidiaries, the Compensation Committee is notably responsible for the following tasks:

- ▶ the annual assessment:
 - ▶ the principles of the remuneration policy,
 - ▶ the remuneration, compensation and benefits of all types awarded to the Company's corporate officers,
 - ▶ the remuneration policy for employees who manage collective investment undertakings and for employees who are financial market professionals, whose activities are likely to have a material impact on the Company's risk exposure,
 - ▶ the report prepared by the Executive Board pursuant to Article 266 of the decree of 3 November 2014, which is communicated to the French Prudential Supervision and Resolution Authority (ACPR);
- ▶ attendance fee policy;
- ▶ examining pension and contingency insurance schemes;

- ▶ examining the opportunity for introducing share-based or other profit-sharing and incentive schemes for corporate officers and/or employees.

The committee makes sure that the remuneration policy complies with the provisions of the decree of 3 November 2014, and that it is consistent with professional standards, regardless of whether the remuneration is fixed or variable, paid in cash or shares, or consists of benefits in kind, and of whether it is deferred or not. The Compensation Committee reviews the remuneration of the Head of Risk, the Head of Compliance, and of the Internal Auditor.

The Compensation Committee met twice in 2015 with an 80% attendance rate (excluding periods of long-term leave).

During 2015, its work focused primarily on the following issues:

- ▶ principles of the remuneration policy, and the report drawn up pursuant to Article 266 of the decree of 3 November 2014;
- ▶ remuneration of Executive Board members;
- ▶ review of the remuneration for the Chief Risk Officer, the Head of Compliance and the Internal Auditor;
- ▶ attendance fees paid for 2014 and 2015;

Strategy Committee

The Strategy Committee had eight members as follows:

- ▶ three independent members, Didier Ribadeau-Dumas, Marie-Pierre de Bailliencourt and Christiane Marcellier;
- ▶ two members from Le Groupe La Poste, Yves Brassart (Chairman of the Group) and Catherine Le Floch;
- ▶ one member representing the Government: Mrs Nathalie Dierckxviisschers;
- ▶ two members who are employee representatives, Hélène Wolff and Françoise Paget Bitsch.

The Government Commissioner also attends the meetings of the Strategy Committee.

The Strategy Committee examines and monitors the implementation of the Company's multi-year strategic plan, together with the strategic plans and operations of the Company and its subsidiaries.

To address strategic issues that should be presented for consideration by the Supervisory Board, the Strategy Committee met six times in 2015 with an attendance rate of 88% (excluding period of long-term leave).

During 2015, its work focused primarily on partnership projects.

The table below summarises the composition of all of the Board's Special Committees.

Composition of special committees (31 December 2015)	Financial Statements Committee	Risk Committee	Nomination Committee	Compensation Committee	Strategy Committee
Yves BRASSART	◊	◊			□
Marie-Pierre de BAILLIENCOURT	◊	◊	◊	◊	◊
Catherine LE FLOCH	◊	◊			◊
Christiane MARCELLIER	◊	◊	◊	□	◊
Didier RIBADEAU DUMAS	□	□	□	◊	◊
Philippe WAHL			◊	◊	
Nathalie DIERYCKXVISSCHERS	•	•	•	•	•
Steeve MAIGNE	Δ	Δ			
Maryvonne MICHELET	Δ	Δ			
Françoise PAGET BITSCH					Δ
Hélène WOLFF			Δ	Δ	Δ

Key:

□: Committee Chairman;

◊: Committee Member;

Δ: Member elected by employees;

•: Member representing the Government.

Assessment of the work performed by the Board and the committees

In 2014, one of the independent members of Supervisory Board carried out an assessment of its operations. The Board was informed that the results were of a satisfactory nature overall, in particular, with regard to its organisation and operation, the allocation of time between information being provided and reviewed, the quality of the documents sent, the availability and responsiveness of the Executive Board to issues and the manner in which meetings are conducted. The changes in the way the Board operates over time was also deemed positive.

This questionnaire also identified some avenues for improvement, including the time available for studying the preparatory papers circulated before each meeting.

At the meeting of the Supervisory Board on 17 December 2015, an agenda item was devoted to the evaluation of its operation. After debating the issue, the members did not consider it necessary to conduct a further formal and complete Board assessment. However, they considered it appropriate to introduce a quick and simple questionnaire in order to measure improvement in the Strategy Committee's operation.

2.1.1.2 Conditions governing shareholder participation at the General Meeting

The conditions governing shareholder participation in the General Meeting of La Banque Postale are defined in Article 31 of the Articles of Association, which are contained in Chapter 8 of this Registration Document.

2.1.1.3 Principles and rules for setting the remuneration of corporate officers

La Banque Postale, supported by the work of the Compensation Committee, has used the principles and rules to set fees and pay corporate officers in accordance with the main recommendations of the Afep/Medef Code and with the provisions of the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sectors, subject to the control of the French Prudential Supervision and Resolution Authority (ACPR).

Remuneration has been reviewed following the order of 15 October 2012 subjecting La Banque Postale to the provisions of Article 3 of the decree of 9 August 1953, as amended by the decree of 26 July 2012 on government control over the remuneration of the managers of public companies. In accordance with the provisions of the French Monetary and Financial Code and the Afep/Medef Code, the individual remuneration of executive corporate officers and the total sum allocated to employee managers and market professionals during the financial year are subject to an advisory vote of the shareholders during the Annual General Meeting.

The standardised overview of the remuneration of the corporate officers established in compliance with the Afep/Medef Code and the recommendations of the French Financial Markets Authority is shown in the "Information on the members of the Supervisory and Executive Boards" section of the Registration Document.

Rules for determining the remuneration of Executive Board members

Fixed and variable remuneration

On the proposal of the Compensation Committee, the Supervisory Board determines the remuneration of the Executive Board.

Since 26 October 2012, in accordance with Article 3, as amended, of the decree of 9 August 1953, the Minister of the Economy must be consulted before any decisions are made relating to the remuneration components for the activities of Executive Board members and its Chairman and must approve them. This remuneration must not exceed a gross amount set by decree; this amount is currently €450,000.

Consequently, the Chairman of the Executive Board now exclusively receives a fixed activity remuneration, equal to the limit, one part of which is paid by La Poste pursuant to an employment contract made necessary by the postal model of La Banque Postale that appointed him Head of the La Poste Financial Services Department (Financial Centres).

The second member of the Executive Board enjoys an annual variable remuneration equal, for 2015, to a maximum of 27% of his fixed remuneration. It is determined on the basis of achievement by the Executive Board of qualitative objectives as well as on the basis of business performance and financial performance criteria. Financial indicators are analysed using six indicators, as follow:

- (i) consolidated net banking income excluding home savings provision;
- (ii) cost-income ratio excluding home savings provision;
- (iii) operating income after risks and excluding home savings provision;
- (iv) the economic contribution from subsidiaries;
- (v) the net income/equity ratio;
- (vi) the change in net banking income from legal entities.

Sales performance is analysed using confidential indicators and qualitative objectives are focused on adherence to the Bank's values, as described in its strategic plan, and on social performance that

incorporates especially efficient training programmes, support for employees transferring between business lines, the quality of working life and on the successful execution of the Bank's major programmes.

Members of the Executive Committee do not receive any remuneration from La Banque Postale other than that paid in respect of their appointment as Company officers nor any remuneration for their terms exercised in the subsidiaries of La Banque Postale Group.

Other benefits or compensation

The members of the Executive Board benefit from the health and contingency insurance subscribed by La Banque Postale for all its employees. They also receive the contingency insurance coverage common to all of the Group's manager grades and a Company car.

Members of the Executive Board do not receive non-compete compensation and are not awarded equity or debt options on the Company's capital or performance-based shares.

Lastly, executive corporate officers do not benefit from any complementary retirement scheme.

Severance compensation

In accordance with Article 3 of the decree of 9 August 1953 amended on 26 July 2012, remuneration, compensation or benefit payments due or likely to fall due to members of the Executive Board or its Chairman, due to the termination of activity or a change in position or subsequent to these, must also be approved by the Minister of the Economy.

Following decisions of the Supervisory Board on 27 February, 31 July and 15 October 2013, the termination of the term of office of the members of the Executive Board, in the case of revocation during a term or at the time of a merger, a change of control or strategy leading to the departure of a member of the Executive Board and when there is no gross misconduct or serious misconduct and without deficiency seriously affecting the financial position of the Company, can give entitlement to compensation.

For the Chairman of the Executive Board, this compensation would be equal to two times the amount of fixed annual remuneration set on the day of termination of office. For the second member of the Executive Board, the compensation would be equal to the aggregate amount of his last annualised fixed remuneration component on the day of termination of his office, and to the average annualised variable component of his remuneration over the last three years.

The payment of this compensation is subject to compliance with a performance condition, i.e. the Executive Board must have a success rate of 80% or higher in meeting the annual targets for two out of the last three financial years ended. These objectives are identical to those determining the variable portion of the members of the Executive Board.

Following exchanges between the French Investments Agency (APE) and La Poste, the members of the Executive Board cannot receive compensation in cases when their terms are not renewed.

One member of the Executive Board, Mr Marc Batave has opted for unemployment insurance subscribed for by La Banque Postale entitling him to limited compensation equal to one year of remuneration in any case, over the selected benefit period. This insurance policy will replace the severance compensation listed above on completion of the waiting period.

Rules for determining the remuneration of Supervisory Board members

Members of the Supervisory Board receive attendance fees which, in compliance with the order of 15 October 2012 making La Banque Postale subject to Article 3 of the decree of 9 August 1953 as amended, must be approved by the French Minister of the Economy.

The attendance fees policy is proposed to the Supervisory Board by the Compensation Committee. This policy, which is set using benchmark analysis performed by a panel of banks, insurance companies and a sample of companies in which the Government has a stake, is detailed below.

Attendance fees are allocated to all members of the Supervisory Board with the exception of members representing the employees.

A yearly lump sum of attendance fees is allocated to the Chairman of the Supervisory Board.

The amount of attendance fees paid to the other Board members is calculated on the basis of their actual attendance at meetings of the Supervisory Board and the committees, with the Chairman of each committee receiving an additional annual fixed amount.

Since financial year 2013, attendance fees are paid twice yearly:

- ▶ a first payment, in the form of an advance calculated using the above-mentioned method, according to the number of Board and committee meetings held during the first half of the year in progress;
- ▶ a second, paid following the approval of the total annual amount of the individual attendance fees by the Minister of the Economy.

Pursuant to the internal regulations of Le Groupe La Poste, the attendance fees allocated to the members of the Supervisory Board from Le Groupe La Poste are paid to La Poste. In addition, these members do not receive any attendance fees in respect of their positions in companies in La Banque Postale Group.

The total sum allocated for this purpose by the General Meeting of 23 May 2006 was €450,000. The General Meeting of 28 May 2015 renewed this same total amount at the same level for the attendance fees allocated for the year 2015.

Attendance fees due for the 2015 financial year

The Chairman of the Supervisory Board received an annual lump sum in attendance fees for the 2015 financial year of €90,000. The amount allocated to each member of the Supervisory Board was calculated on a pro rata basis of their actual attendance up to €15,000 per year.

In addition, the Chairmen of the Audit Committee and Risk Committee received €12,000 in recognition of their position, while the Chairmen of the Nomination, Compensation and Strategy Committees each received €8,000. Finally, the members of the Committees received €1,500 per meeting attended.

Members of the Supervisory Board and the Board's committees from Le Groupe La Poste did not receive their attendance fees, which were directly paid to La Poste.

Information in Article L. 225-100-3 of the French Commercial Code

In accordance with the provisions of Article L. 225-100-3 of the French Commercial Code, the following items should be disclosed and explained, where appropriate, when they are likely to have an impact in the event of a public offer.

The current capital structure of La Banque Postale makes it impossible for a takeover bid to be made on Company shares which are not admitted for trading on a regulated market. However, reference is made below to the items listed in Article L. 225-100-3 of the French Commercial Code to the extent that this information is contained in the Registration Document for other obligations or is directly addressed below:

1. capital structure of the Company: this information appears in Chapter 1 "Overview of La Banque Postale Group";
2. statutory restrictions on the exercise of voting rights and the transfer of shares, or clauses in the agreements brought to the knowledge of the Company pursuant to Article L. 233-11: none (see Chapter 8, Articles of Association);
3. direct or indirect investments in the Company's capital, of which it is aware pursuant to Articles L. 233-7 and L. 233-12: none (see Chapter 1 "Overview of La Banque Postale Group");
4. list of the holders of any securities conferring special control rights and a description of these rights: none. No security confers special control rights;
5. control mechanisms stipulated under any employee-shareholding scheme, where control rights are not exercised by the latter: none. There is no employee-shareholding scheme;
6. shareholder agreements of which the Company is aware and which may result in restrictions on the transfer of shares and the exercise of voting rights: none. La Banque Postale has a single shareholder;
7. rules applicable to the appointment and replacement of members of the Executive Board as well as to the amendment of the Company's Articles of Association: this information appears in Chapter 8 "Articles of Association";
8. powers of the Executive Board, in particular, issuing and buyback of shares: this information appears in Chapter 8 "Articles of Association" (Article 14);
9. agreements entered into by the Company that would be altered or terminated in the event of a change in the Company's control, except where this disclosure would seriously jeopardise its interests, aside from the legal disclosure obligation: none;
10. agreements stipulating compensation for the members of the Executive Board or employees, if they resign or are made redundant without just cause or if their employment is terminated due to a public offering: a very limited number of employees (fewer than 10) is guaranteed an end-of-contract payment by their employment contract.

2.1.2 Internal control

2.1.2.1 Internal control benchmarks

La Banque Postale's internal control system is governed by:

- ▶ the decree of 3 November 2014 on the additional monitoring of financial conglomerates;
- ▶ the decree of 3 November 2014 on internal control;
- ▶ the decree of 3 November 2014 on prudential supervision on a consolidated basis.

The "size" of the institution is embodied in the prudential regulations to regulate the level of obligations to be met in relation to governance, the risk management and control system and capital requirements.

To ensure compliance at all times with the regulatory ratios (solvency, liquidity and leverage), institutions must integrate systems to measure risks taken and potential risks, as well as capital and liquidity management systems. The support for large establishments to develop an internal capacity to evaluate their risks is to be noted within this text.

The role of the supervisory body has been significantly reinforced and it is now responsible for examining the bank's governance system and evaluating its efficiency, for approving and regularly reviewing the strategies governing the taking, management, monitoring and reduction of identified and potential risks. The decree on internal control specifies this role in the definition of the supervision guidelines and policy, approval of the overall limits (in particular liquidity), in establishing a strategy for business continuity and remuneration policy.

As of 1 January 2015, the Supervisory Board of institutions deemed "large" must create three *ad hoc* committees under the terms of the French Monetary and Financial Code, including a Risk Committee.

To support this new role, members of the Supervisory Board shall have the necessary knowledge, skills and expertise to understand and monitor the Group's strategy and appetite for risk. Accordingly, the powers of the ACPR regarding directors, as well as company managers, are reinforced regarding appointments and the assessment of expertise in particular.

2.1.2.2 Guiding principles

The regulatory framework is divided into internal rules, validated by the Bank's Executive Board:

- ▶ the Risk Management Policy for risk management and the Risk Charter (documents prepared by the Group Risk Department (DRG) and approved on April 2015 and October 2015 by the Executive Board);
- ▶ the Permanent Control Charter of the LBP Group approved in January 2015 by the Risk Committee of the Supervisory Board;
- ▶ the Periodic Control Charter of the LBP Group, the last version of which was approved in February 2016 by the Risk Committee of the Supervisory Board.

Besides the customer segments that were already managed by means of risk control systems already in place since the Bank's creation (Sovereign, Banking and Insurance, Retail Banking) and after receiving successive approvals for the financing of companies and local public sector entities, the Bank has added its own risk control systems.

Furthermore, the Bank takes a socially responsible investor approach and is committed to taking into account, in addition to financial criteria, criteria related to the environment, social factors and governance.

The risk management procedures are also reviewed over time.

Reference documents are distributed to the Bank's departments in order to implement the mechanisms, in particular:

- ▶ standards issued by the Group Standards Validation Committee;
- ▶ the key elements of internal control procedures;
- ▶ the procedure implementing the Product Review Committee;
- ▶ methodology guides for the application of standards, etc.

The Executive Board sets the fundamental principles (strategic orientations, values, appetite for risk, governance) around which each business line arranges its priorities and the associated risk management system under the supervision of the Group Risk Department. These fundamentals are reflected in the Risk Management Policy.

The risk management system has three lines of defence that constitute the general framework of internal control:

- ▶ a first line within the operational business lines responsible for applying the risk management procedures which they will have defined in advance in liaison with the DRG;
- ▶ a second line consisting of the Group Risk Department, which ensures the existence of an appropriate, uniform framework to define and improve the risk management procedures;
- ▶ a third line via internal controls designed to give an independent idea of the effectiveness of the risk management system in place.

The internal control system of La Banque Postale includes permanent and periodic controls. This is based on:

- ▶ the existence of a Risk Management Policy and a Permanent Control Charter and Risk Charter created by the Group Risk Department of La Banque Postale Group for all departments. It establishes a series of principles for risk management and control that must be implemented by each management entity in charge of processes. Each department defines, documents and maintains a booklet of its procedures. These include the audit point or points necessary to ensure quality operations;
- ▶ the responsibility of all the players, which constitutes the basis of effective management and control procedures. All employees must ensure that the work that they perform and the transactions that they handle are executed in accordance with the expected procedures and the level of quality required. They must be in a position to account for the effective management of the work that they perform and the inherent risks of that work at any time. This principle relies on close involvement of managers;
- ▶ proportionality between the controls in place and the level of risk to be managed. Each manager shall analyse their own risk and implement an appropriate control framework in order to achieve a reasonable level of confidence that their business activities are properly managed, and that they comply with the Company's internal and external standards and regulations;
- ▶ thoroughness of the scope of the control procedures. It covers all the activities of La Banque Postale. These procedures apply to all kinds of risk, to all those employed directly by the Bank and all those acting in its name and on its behalf, and to all the entities of La Banque Postale Group. The internal control procedures also extend to essential services that have been outsourced.

2.1.2.3 Main parties responsible

For risk control, management and monitoring procedures, La Banque Postale's internal control and risk management system is structured around:

- ▶ control procedures that are as close as possible to business activities;
- ▶ internal control functions covering permanent control, risk monitoring and management as well as periodic audit;
- ▶ governance committees for internal control.

Controls that are as close as possible to the business activities

La Banque Postale has established a specific system for transactions performed within its network. The aim of this system is to audit the transactions performed in post offices, in co-ordination with La Poste Network.

Executive Management of La Poste Network is in charge, concerning banking business activities in post offices, of the design and performance of Level 1 audits conducted by the Branch Managers (DET). To do this, it relies on the mapping of banking risks created in liaison with the Group Risk Department (DRG) and relies on the expertise of the Permanent Control Department (DCP) of La Banque Postale. Branch Managers (DET) have a Control Handbook that includes audit checklists for relevant issues or transactions, as well as a form for tracking all corrective measures taken by Branch Managers following the identification of dysfunctions.

The application of the Control Handbook by Branch Managers is continuously supervised, which allows managers, in particular the Heads of La Poste Network, to be certain that high quality audits have been performed.

Second-level banking controls are conducted by controllers dedicated to the core banking business. In particular, banking controllers, employees of La Banque Postale, perform Level 2 audits on the banking business conducted in post offices, under the responsibility of the Bank's Regional Representatives and the leadership of the Compliance and Permanent Control Department.

Internal control functions

The Compliance and Permanent Control Department manages the permanent control procedures

The Compliance and Permanent Control Department is directly attached to the Executive Board.

Its mission is as follows:

- ▶ manage the risk of non-compliance as defined in Article 10 of the decree of 3 November 2014 ⁽¹⁾ ;
- ▶ the coordination of all Level 2 audits.

To do this, the Compliance and Permanent Control Department is divided into three departments:

- ▶ Customer Protection and Ethics Department;
- ▶ Financial Operations Security Department;
- ▶ Permanent control Department.

The Group Risk Department (DRG)

The Executive Board sets the fundamental principles (strategic orientations, values, appetite for risk, governance) around which each business line arranges its priorities and the associated risk management system under the supervision of the Group Risk Department. These fundamental principles are reflected in the Risk Management Policy (RMP).

The Group Risk Management Policy is part of an approach that is broader than the narrower field of risk monitoring, and plays a full part in the strategic and financial oversight of La Banque Postale.

The risk dimension is built at a very early stage into the La Banque Postale's long-term strategic oversight process. As a result, the strategic objectives set by its shareholder, Le Groupe La Poste, and by the organisation's management bodies in the context of the Medium-Term Plan (MTP), are formulated as objectives for each business activity, they are translated into the reference Risk Appetite Policy for the period in question. There is therefore a guarantee that each activity will have the means (in terms of capital and liquidity) required to achieve its objectives, and that these can only be achieved by complying with the limits imposed at a higher level.

Furthermore, the risk measurement carried out in the La Banque Postale Group feeds a significant number of internal processes which allow the organisation's performance to be monitored and, where applicable, adjustments to be made to more short-term measures so that the strategic objectives can be achieved.

This inclusion of a risk-based approach at a more "tactical" oversight level, is notably demonstrated by the annual budget process which is overseen operationally by the Group Financial Department, since it reviews the capital allocations to each business activity and the income projected from each one feeds into the Bank's Capital Planning system. The performance reviews for each business activity also include a high risk dimension; some indicators like cost of risk, complying with limits, etc. are key components for assessing this performance.

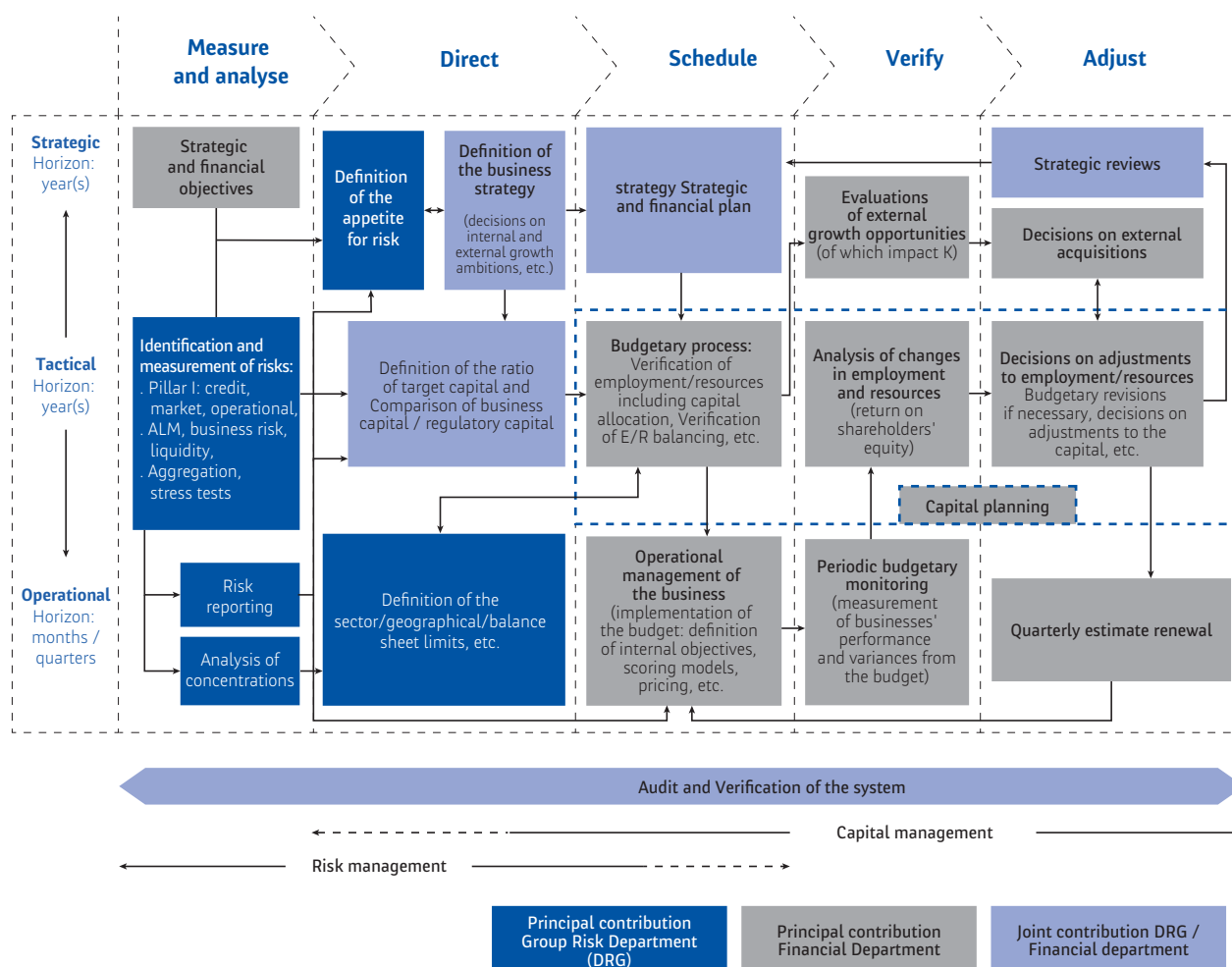
The Bank's strategic and financial oversight is founded on close cooperation between the Risk and Finance functions, which is largely based on a robust risk measurement and monitoring system supported by high quality data.

At the operational level within the Group, the Group Risk Department ensures that risk reports are produced, particularly the elements necessary to monitor and take decisions with regard to risk. It ensures that there is consistency with the most recent regulatory changes/ analytical axes and defines the limits that apply to each business/ activity.

As a result, the Risk and Finance functions and their managers have all the tools necessary for monitoring targets set in the Risk Appetite Framework at all decision-making levels within La Banque Postale.

(1) This is the risk of non-compliance with legal and regulatory provisions, professional standards, business ethics, as well as the guidelines from the Supervisory Board and instructions from the Executive Board.

Schematically, the strategic and financial oversight system, which is audited internally on a periodic basis, involves the following coordination between the Risk and Financial functions:



The **Risk Management Policy** effectively aims to determine the degree of risk tolerance that is compatible with the Bank's strategy, level of capital and financial business plan.

As part of this, its role is to define:

- ▶ the level of acceptable risk for Le Groupe La Banque Postale;
- ▶ the general rules for measuring and framing risk-taking;
- ▶ the general arrangements for supervising and monitoring risks.

The **Risk Appetite Framework** (RAF), and the different levels of target requirements related to it, were prepared by La Banque Postale in order to bring together all of its legal and regulatory requirements, as well as international and European best practice. The purpose of the Risk Appetite Framework defined by La Banque Postale is to ensure that at all times, the Bank has the level of capital necessary to cover all of its risks in relation both to Pillar I and Pillar II/3 of ICAAP and ILAAP. The new targets set by this Risk Appetite Framework were drawn up in order to distance the daily management of the organisation as far as possible from the "crisis" zone that would involve the organisation's recovery or resolution. Limits are set on the basis of this appetite for risk.

The Group **Risk Management Charter** forms part of the set of documents describing the governance arrangements implemented by the Group in order to comply with the provisions of the decree on

internal controls on companies in the banking sector. The internal control procedures covered by this decree include, notably:

- ▶ a system for controlling operations and internal procedures;
- ▶ an accounting and information processing system;
- ▶ risk and results measurement systems;
- ▶ monitoring and risk management procedures;
- ▶ a documentation and information system;
- ▶ a monitoring system for cash and security flows.

The Banque Postale Risk Management Charter describes the structure introduced within the Group to enable the Executive Board and Supervisory Board to be:

- ▶ confident that the risk management framework that they have established in the Risk Management Policy is complied with;
- ▶ aware of the level of risks taken by the Bank and of new risks or major incidents developing.

In the light of this, the Charter defines the tasks, scope of action, remits and general principles of the way risk management is organised at the La Banque Postale Group.

The **risk management system** has three lines of defence that constitute the general internal control framework:

- ▶ a first line within the operational business lines responsible for applying the risk management procedures which they will have defined in advance in liaison with the DRG;
- ▶ a second line consisting of the Group Risk Department, which ensures that there is an appropriate, uniform framework to define and improve the risk management procedures;
- ▶ a third line via internal controls designed to give an independent idea of the effectiveness of the risk management system in place.

The Executive Board answers to the Supervisory Board when it comes to controlling risks. It ensures that both it and the Supervisory Board have a clear vision of the risks and how they are evolving.

For La Banque Postale, risk management within the meaning of the regulations is carried out by the Risk unit which reports to the Head of Group Risks. He advises the management body with regard to all aspects of risk management and, in particular, the preparation of the risk appetite framework. He reports to the Executive Board regarding all of his activities and the level of risk to which the Group is exposed or could be exposed. He has the option to report directly to the Supervisory Board and/or to his Risk Committee in the event that the risks affecting or likely to affect the Bank change. He may inform members of the Supervisory Board of any information necessary for them to perform their duties.

The **Risk unit** is made up of all of the employees of the La Banque Postale Group who, either because of their specific role or in an operational context, make a significant contribution to the three responsibilities of the Risk Department, namely:

- ▶ the drawing up of rules in the field of risk-taking;
- ▶ risk prevention;
- ▶ measuring, monitoring and managing risks at the various monitoring levels within the Group (subsidiaries, business lines and activities, Group-level).

First level permanent control is carried out by employees performing operational activities (auto-control) under the supervision of their management. Business areas are responsible for the risks that they generate through their activities, both at the time they are carried out and during the entire life of the activity.

Second level permanent control is organised by the Risk Department and the Compliance and Permanent Control Department, according to their respective responsibilities as described in the Compliance and Permanent Control Charter. They ensure that the chain of first and second level controls operates correctly.

Additional information is provided on the La Banque Postale risk management system. This information can be found in Part 4 "Risk Management".

The Internal Audit Department is dedicated to periodic audits

The **Internal Audit** Department is responsible for periodic audits as defined in the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sectors under the supervision of the French Prudential Supervision and Resolution Authority (ACPR). It assesses risk management, together with the quality of internal control.

The Internal Audit Department's main mission is to ensure, with regard to all the activities of La Banque Postale Group, and in accordance with Article 17 of the aforementioned decree:

- ▶ the compliance of transactions;
- ▶ the level of risk actually incurred;

- ▶ the compliance with procedures;
- ▶ the effectiveness and appropriateness of permanent control procedures.

To this end, the Internal Audit Department assesses:

- ▶ risk management, the consistency and compliance of operations within the Company;
- ▶ the operational effectiveness and productivity of the business in the light of its objectives;
- ▶ the procedures put in place to ensure quality and continuous progress in customer service.

The Internal Audit Department is organised into two business units responsible for conducting audit missions and two support units.

The Business units:

- ▶ the **"Bank/Insurance" unit** handles thematic and cross-functional audits relating to processes and entities for all of the scope and all of the activities of the La Banque Postale Group;
- ▶ the **Specialist Business Activity unit (Modelled Risks and Information System)** handles specialist audits and provides technical support to the Bank/Insurance unit.

The Support units:

- ▶ the **External Audits Coordination Department** coordinates on-site audits and audit missions conducted by external bodies (supervisory authorities, Le Groupe La Poste audits, etc.);
- ▶ the **Resources unit** handles all the Department's support and cross-functional functions: datamining and IS resources, management, team development and monitoring the implementation of actions plans arising from audits.

Top-level management structures dedicated to control procedures

Three bodies organise and oversee La Banque Postale Group risk management: the Supervisory Board's Audit Committee, the Risk Committee and the Internal Control Coordination and Ethics Committee.

To comply with the decree of 3 November 2014 on internal control (replacing regulation CRBF 97-02), the Audit Committee was replaced in 2015 by a Financial Statements Committee and a Risk Committee and the Risk Committee became the oversight committee for risks.

1. Risk Committee (of the Supervisory Board):

- ▶ its role is to:
 - a) assess the quality of internal control procedures through:
 - reviewing the consistency of the internal control procedures, risk management and the respect of ethical principles,
 - reviewing the periodic control programme,
 - reviewing the monitoring of the principal recommendations of the Internal Audit Department and the supervisory authorities,
 - reviewing the organisation's risk management principles,
 - reviewing the effectiveness of internal control and risk management systems;
 - b) take note of the Permanent Control Charter and of the Periodic Control Charter;
 - body not focussed on the national level;
 - chaired by the Chairman of the Audit Committee, an independent member of the Supervisory Board;
 - frequency: as often as is necessary.

2. Financial Statements Committee (of the Supervisory Board):

► its role is:

a) ensuring that the information provided is clear and assessing the relevance of accounting methods adopted through:

- reviewing the draft financial statements presented to the Board (verification of the conditions of preparation, relevance and permanence of principles and methods),
- reviewing the framework for consolidating the financial statements and the consolidation scope,
- auditing the separate and consolidated financial statements;

b) managing the selection process for the statutory auditors through:

- recommendations to the Supervisory Board regarding their appointment, reappointment, remunerations and independence,
- reviewing the statutory auditors' work programme.

3. The Risk Management Committee:

- its role is to define La Banque Postale's risk management policy, without prejudice to the responsibilities of the Compliance Department, to approve the risk management procedures (authorisation rules, delegations and limits) and to receive reports about compliance with them, as well as to examine credit, market and operational risks and to monitor the principal commitments. The Group Risk Department must also report to this committee about:

- the scope and reliability of consolidated risk measurement systems,
- changes in risks with respect to the general focus of the activity implemented and the management policies of operating activities,
- detecting any concentrations of abnormal risks,
- the vulnerability of the Group to worst-case scenarios (stress scenarios);

- chaired by the member of the Executive Board in charge of internal control;

- supervised by the Head of LBP Group Risk;

- chaired sub-committees:

- the Standards Approvals Committee, chaired by the Head of LBP Group Risk, approves the Group standards that require prior approval of an Executive Board member,
- the Models Approvals Committee, chaired by the Head of LBP Group Risk, approves the models used to measure and control risks that require prior approval of an Executive Board member.

4. The Internal Control Coordination and Ethics Committee addresses:

- the coverage plan for permanent control procedures and its principal salient features;
- the progress of the Internal Audit Department programme and tasks that have already been completed;
- the reporting of operational risks, particularly the business continuity plan;
- the progress of the control plan of the Information Systems Department and its principal salient features;
- the progress of the DRCB control plan and its principal salient features;
- monitoring of fraud and LCFBT reporting;
- the vision of Group audits;
- the vision of the main contentious issues.

In terms of business ethics, the committee:

- monitors the application of business ethics rules and compliance and regulatory changes;
- monitors the updating of the list of "sensitive personal information" and respect for confidentiality rules;
- hears cases of major conflicts of interest.

5. The Product Review Committee determines and assesses risks of non-compliance related to new products created and significant changes to existing products. The Head of Compliance and Permanent Control chairs this committee and issues an opinion before any product comes to market.**Organisational chart**

Control function staff at 31 December 2015**Central functions****Central departments that make up the Internal Control Coordination Committee:**

▶ Group Risk Department	225
▶ Internal Audit Department	85
▶ Compliance and Permanent Control Department	64

Other departments supervised by the Compliance and Permanent Control Department:

▶ Risk and control Department of the Operations Department	20
▶ Finance Department	13
▶ Information Systems Department	6
▶ Department of Businesses and Land Development	3
▶ Retail Banking Department	3
▶ Human Resources Department	2
▶ Insurance Unit	2
▶ Financial Operations Department	1
– A sub-total of	424

Local functions**Control of banking activities in post offices, Financial Centres and subsidiaries:**

▶ Banking controllers (COB)	191
▶ COB manager and assistants	19
▶ Risks and Banking Control Directors (in Financial Centres)	27
▶ Controllers and Risk Experts (in Financial Centres)	89
▶ Risk Department (DE, RAC and DRO of DEX)	91
▶ Risk Departments (subsidiaries)	40
▶ Anti-Money Laundering and Financing of Terrorism	60
▶ Operations Department (operational support and security of assets and persons)	40
– A sub-total of	557
– A total of	981

2.1.2.4 Missions of the Group Risk Department, the Compliance and Permanent Control Department and the Internal Audit Department and accomplishments in 2015

Risk Department

The Group Risk Department (DRG) is charged with carrying out the risk function roles necessary to ensure the consistency, standardisation, efficiency and exhaustivity of the risk measurement, monitoring and control. It is also responsible for managing the Group's consolidated risks.

Within this framework, the DRG's mission is to develop a coordinated policy for managing the Group's risks, subject to the decision of LBP's Executive Board. Each entity is responsible for its risk management policy and regular risk audits upon validation by the DRG. The DRG ensures that subsidiaries' risk management policies are in line with those of the parent company and that they are properly applied.

Among of the missions and responsibilities of the risk management function, the Group Risk Department (DRG) is responsible for the following:

- a) regulatory and operational monitoring (monitoring of best professional practices) of risk management procedure;
- b) supervision of department activities (training, advising, and information for Group entities);
- c) the creation of common risk guidelines for the Group's entities, including the identification of risk factors, i.e. explanations of sources of potential or known loss that the Group can incur (insolvency of borrowers, volatility of market prices, macroeconomic deterioration, fraudulent behaviour, etc.). This identification is based on the creation of risk maps according to different types of risk (credit risk, market risk and operational risk);
- d) the creation of consistent and exhaustive standards subject to validation by the Group Standards Validation Committee;
- e) the creation of systems for measuring risks (market VaR, credit risk grading, listing of operating risks, etc.) that must be validated by the Group's Risk Model Validation Committee;
- f) development of worst-case scenarios (stress scenarios);
- g) controlling the validity of risk measurement systems (back-testing);
- h) the contribution to the creation of Level 1 Permanent control standards applicable to credit risk and financial risks, the implementation of which is the responsibility of the operating lines;
- i) development of Level 2 permanent control standards of credit and financial risks;
- j) definition of mandatory risk reporting at each level of the Group;
- k) control of the proper application of these procedures by the Group's entities based on the reports, memos and minutes provided to the Group Risk Department (DRG).

Operational application of the overall roles

The Group Risk Department (DRG) must measure, monitor and manage the consolidated risks. Accordingly, the DRG is operationally responsible for:

- a) investigating individual, global or operational limits concerning the consolidated risks submitted to the Group Risk Committee;
- b) defining reporting standards specifying the nature and content of the reports that the Group's entities send it, standards, the validation of which is the responsibility of the Group Standards Validation Committee;
- c) reporting the consolidated exposures and risks to the Group Risk Committee and LBP's Executive Board, accompanied by analyses covering:
 - the scope and reliability of consolidated risk measurement systems,
 - changes in risks with respect to the general focus of the activity implemented and the management policies of operating activities,
 - detecting any concentrations of abnormal risks,
 - the vulnerability of the Group to worst-case scenarios (stress scenarios);

- d) alerting LBP's Executive Board if overall limits are breached and then monitoring the action plan for dealing with this breach;
- e) warning the Executive Board and the Internal Audit Department if the action plan has not been executed within the allotted time limits;
- f) reporting incidents related to Article 17 ter to the ACPR.

The DRG is the priority contact with the Supervisory Authority for non-compliance risks. It manages the items relating to the Risks unit for regulatory disclosures prepared on a consolidated basis. When questioned, it shall inform LBP's Executive Board, the management bodies of the entities concerned, the Group's Internal Auditor and, if applicable, the Group Compliance Director.

The DRG is structured into five permanent departments and one department managing the "Internal Models" programme;

It is composed of the following:

- the Retail Credit Risk Department (DRCP);
- the Enterprise and Institutional Credit Risk Department (DRCEI);
- the Financial Risk Department (DRF);
- the Operational Risk Department (DRO);
- the Cross-Entity Risk Management Department (DPTR);
- the "Basel 2 Internal Models (BA2MI)" Programme Department.

The creation of an Insurance Risk Department within the Insurance Division completes this system. The Insurance risk manager reports functionally to the Group Risks Director.

A Solvency 2 Management Committee advances the work within the subsidiaries of the Insurance Division on the various aspects related to these regulations (governance, risk management, capital requirements, etc.). These regulations came in to force on 1 January 2016.

Internal Audit Department

As in previous years, at the end of 2014, the Internal Audit Department created its programme of missions for 2015 based on the audit universe, the risk map, requests from the Audit Committee, the Executive Committee and the subsidiaries, as well as the proposals of the Management Committee of the Internal Audit Department. This schedule complies with the regulatory obligation to conduct a full cycle of investigations on all business activities over the smallest possible number of financial years, set at four by La Banque Postale.

Approximately 51 missions were conducted in 2015, addressing the points deemed most sensitive with respect to the Bank's business activities and its organisation, while continuing to cover all the Bank's activities and entities, and those of its subsidiaries that grew consistently with the Group in 2015.

The missions covered the following main areas:

- ▶ Governance and Internal Control;
- ▶ Credit;
- ▶ Insurance;
- ▶ Finances and risks;
- ▶ Information Systems;
- ▶ Projects;
- ▶ Security of persons and assets.

The entities audited in 2015 were mainly:

- ▶ the departments of La Banque Postale itself;
- ▶ the network;
- ▶ the Financial Centres;
- ▶ the insurance and asset management subsidiaries;
- ▶ the providers of outsourced essential services.

Apart from an assignment on the management of the links between the Bank's major programmes, the principal projects audited by Internal Audit in 2015 were:

- ▶ Internal models;
- ▶ Cap Client 3.0.

Compliance and Permanent Control Division

The Compliance and Permanent Control Department is directly attached to the Executive Board and is responsible for:

- ▶ managing the risk of non-compliance as defined in Article 10p of the decree of 3 November 2014 via:
 - the examination of new projects and products: a Product Examination Committee (CEP) determines and evaluates the risks related to the creation of new products. The Director of Compliance and Permanent Control chairs this committee and formulates an opinion in writing prior to any launch including in the case of simple "experimentation",
 - the support of commercial advertising for the completion of product launch media (procedure notes accompanying the products, sales pitches, training media accompanying the product launches, posters, letters, films... sent to customers), the implementation of the principle of subsidiarity results in this responsibility being shared with the subsidiaries,
 - the coordination of measures to combat money laundering and the financing of terrorism, defining procedures, managing TRACFIN (intelligence and action aimed at combating illicit financial circuits) tools and declarations, and the DG TPE (General Directorate of the Treasury and Economic Policy),
 - compliance with the general regulations of the AMF (Autorité des marchés financiers or Financial Markets Authority) for investment services,
 - the development and publication of good conduct rules and the provision of leadership to the ethics correspondents,
 - central expertise in the field of the prevention of fraud (identification and control of the risks of fraud, securing and publication of fraud management processes, awareness raising amongst the players and suitable tools),
 - participation in various works and projects:
 - works covering changes in the principles for the remuneration of sales people: ensuring that the remuneration processes do not generate conflicts of interest between the Bank, its advisers and customers,
 - works relating to cross-cutting projects which have an impact in terms of compliance;
- ▶ the coordination of all Level 2 controls via:
 - the responsibility for the functional management of banking controllers working in the Post Office network and the enterprise business centres, as well as management of Level 2 audits in the Financial Centres, via the dedicated department within the Operations Department, the Department of Operational Risks and Internal Control (DO/DRC); lastly the management of the

controllers in the Information Systems Department (DSI) with the intermediation of the Department of Internal Control,

- supporting and monitoring the departments of the Head Office and subsidiaries in the implementation of their internal control procedures, and ensuring that the monitoring rules concerning essential service providers adhere to regulations.

All these systems work in a coordinated way and fulfil a dual advisory and control role, in order to ensure that the Company's best practices, culture, and values are reflected in its day-to-day activities, so as to protect:

- ▶ customers, from the risk of deficient advisory services;
- ▶ the Bank and its employees, from the risk of non-compliance with the regulations;
- ▶ the community, by combating money laundering and the financing of terrorism.

To carry out its role properly, the Department of Compliance and Permanent Control (DCCP) is organised into three Departments, based on the business lines and the objectives assigned:

- ▶ the Department for the Protection of Customers and Business Ethics (DPCD);
- ▶ Financial Transactions Security Department (DSOF);
- ▶ Permanent Control Department (DCP).

In terms of compliance, La Banque Postale set up a new department within the DCCP in 2015: the Department for the Protection of Customers and Business Ethics. This new department combines the roles of the DCCP in terms of the examination of new products and the verification of investment services and business ethics, and organises this work in relation to the protection of customers. Indeed, the theme of the protection of customers is becoming more and more present in the Bank's environment as well as in the minds and the concerns of legislators and regulators.

The **Department for the Protection of Customers and Business Ethics** is organised into four separate and complementary departments/functions:

- ▶ the customer protection function manages the risk mapping relating to the protection of customers. It also has the role of developing internal compliance standards which will specify, for the business lines and the subsidiaries, the process for taking into account changes in the regulations relating to the protection of customers;
- ▶ the Customer Protection Compliance Department supports the Business Lines and Departments in taking into account the compliance imperatives in commercial developments. This objective is implemented using various complementary elements, by raising awareness, training and supporting the business lines in their operational application and by examining and holding Product Examination Committee meetings, which determine and evaluate the risks of non-compliance for new products or significantly modified products. It also involves verification in order to ensure that the imperatives of compliance have indeed been taken into account.

In the framework of the examination of new product files, the Product Examination Committee determines and evaluates the risks of non-compliance related to the creation of new products and significant modifications to existing products. The Director of Compliance and Permanent Control chairs this committee and formulates an opinion in writing prior to any launch including in the case of simple "experimentation".

- ▶ The function of Head of Compliance for the Investment Departments (RCSI)

This function is set out in the regulations and is common to all banks. The RCSI is the favoured point of contact for the Financial Markets Authority (AMF). It monitors prevention and the implementation of the General Regulations of the AMF within the Bank and its subsidiaries. It participates in projects falling within its scope of responsibilities (financial instruments).

The RCSI of La Banque Postale chairs a quarterly meeting of a committee comprising all the RCCIs and RCSIs of the La Banque Postale Group. Monitoring of new regulations and discussions relating to the compliance of investment services, particularly between producers and distributors, are carried out regularly.

- ▶ The Business Ethics embody the importance afforded by La Banque Postale to respecting its values: "Performance", "Difference", "Cohesion", "Responsibility" and "Accessibility". It defines the rules on individual and collective behaviour and ensures their communication to all persons concerned. Rules of good conduct are incorporated in the internal rules of procedure of La Banque Postale and La Poste. The professional ethics handbook is appended to the internal rules of procedure.

The business ethics structure is organised into three levels:

- ▶ La Banque Postale's Business Ethics Division, which reports to the Compliance and Permanent Control Department;
- ▶ "business ethics correspondents" in the operational units: The La Poste Network, the Financial Centres, the Financial Services and Retail Brand IT Department (DISFE), the other Head Office Departments, subsidiaries, the Asset Management and Insurance units; These employees are in charge of disseminating business ethics standards within their unit. They guarantee and promote La Banque Postale's rules of conduct;
- ▶ local contacts are well-positioned to pick up any potential breaches or problems that come to their attention, which they then communicate up the control chain. They also have an educational role to play by providing information to and raising awareness among their colleagues. Around 100 local contacts are positioned within the Network, with the Managers of the La Poste network. The Risks and Banking Control Director also acts as the local contact person in each Financial Centre.

In terms of governance, a monthly "Business Ethics Committee" meeting, chaired by the Business Ethics Director of La Banque Postale brings together the local contacts from the La Poste network, the DISFE, the Department of Operations, the Department of Human Resources, the Risk Department and the Retail Bank management. This committee is extended to include all the officers of La Banque Postale Group on a quarterly basis.

An "Alert Committee" is chaired by the Business Ethics manager and brings together the local contacts from the La Poste network, the Operations Department, the DISF-E and the HR department. It meets as often as necessary and its role is to debate certain alerts which are difficult to manage.

The Business Ethics Manager of La Banque Postale is a member of the Ethics Committee Le Groupe La Poste. In this respect, he participates in the reviews and work which is common to all the Group's business lines.

Furthermore, the Business Ethics and Authorisations Department also manages the authorisation system, including the insurance authorisations, mapping and the AMF certification.

The prevention of money laundering and the financing of terrorism (AML-CFT) is for its part managed within the **Department of Security for Financial Transactions** (DSOF) which is attached to the Department of Compliance and Permanent Control.

The AML-CFT system of the La Banque Postale's system is articulated on three levels (national, regional, local), enabling it to

assume its responsibilities both on the transactions that it performs independently and on those made in its name and on its behalf by La Poste Network, which is responsible for using the resources necessary for the proper completion of transactions that it performs in the name of, and on behalf of, the Bank.

► The local system

Locally, on the one hand, the system relies on the Establishment Managers (and with effect from 1 January 2016 on the Sector Managers) as regards the post offices and, on the other, on the Risk and Banking Control Managers (DRCB) at the Financial Centres:

- the Establishment Managers (soon to be Sector Managers) are the AML-CFT managers in the post offices.

They are in charge of the Level 1 controls on procedures in post offices relating to the fight against money laundering and the financing of terrorism. They ensure that their employees receive proper training on how to combat money laundering, whether they are new staff or employees undergoing refresher training. Level 2 checks are performed by the banking controllers (COB).

They are also responsible for establishing alerts to spot abnormalities observed in the business activities of the post offices that may constitute a risk of money laundering or financing of terrorism. These alert systems feed into the AML-CFT unit's tools for combating money laundering;

- directors of Risk and Banking Control (DRCB) in the 23 regional Financial Centres, including the 6 National Centres, are responsible for managing and controlling risks, including the risk of money laundering and financing of terrorism. They are responsible for:
 - monitoring specific risk relating to sensitive customers and terminating business relationships,
 - Level 2 control over the entire Financial Centre,
 - making sure that the various departments at the Financial Centre monitor the alert systems,
 - raising the awareness of and training the Financial Centre staff.

► The LCB-FT unit, dedicated on two levels

The first level of the "AML-CFT" unit consists of 7 units (or 60 people), attached operationally to the DSOF. They are responsible for analysing all alerts issued by post offices and Financial Centres, as well as alerts generated by a dedicated Searchspace software package.

One of the units is responsible for all first-level filtering of financial sanctions lists using the Fircosoft tool and vigilance on countries at risk, including fiscally non-cooperative countries.

Following the examination of the alerts and the notifications issued, the analysts in the AML-CFT units proceed: either with justified filing with no action, or with the preparation of an investigation file sent to the second level. 14 TRACFIN informants with regional competence, collaborating with the DSOF, constitute the second level of this system for the money laundering part. These informants receive their investigation files, proceed with a new examination, complete where applicable the information gathered and, where applicable transmit a declaration to TRACFIN. Alerts not lifted by filtering the lists of financial sanctions are forwarded to the DSOF's dedicated operational section, which controls the entire system.

The **Permanent Control Department's** task is to provide an independent measurement of the effectiveness of risk management. This fits into the bank's three lines of defence. It is responsible for coordinating all Level 2 controls, and helps to improve the link between risk and control.

It coordinates all Level 2 controls via:

- responsibility:
 - for the functional management of banking controllers (COB) working in the Post Office network and the enterprise business centres,
 - management of Level 2 audits in the Financial Centres, via the dedicated department within the Operations Department, the Department of Operational Risk and Internal Control (DO/DRC),
 - directing Level 2 audits for the Information Systems Department (DSI) with the intermediation of the DSI's Risk Management Department;
- responsibility for setting up the system for directing the Level 2 audits of the Headquarters divisions, the subsidiaries and of the essential activities outsourced within the LBP Group.

Permanent Level 2 control is the control that is made, retrospectively, by people dedicated to this permanent control function.

In 2015, the DCP strengthened the functional management of the permanent control activities for the various subsidiaries of the La Banque Postale Group with the creation of the Department for the Management of Permanent Control.

2.1.2.5 Controls applied to the preparation and processing of financial information

The accounting function

La Banque Postale Accounting Department is responsible for the preparation and processing of accounting information. The Department's key tasks are to produce and disseminate high-quality accounting information, supported by the managers of La Banque Postale's accounting function and using the accounting project management resources. The Accounting Department stipulates and implements the organisational and IT processes and structures used to produce the financial statements.

In addition to the Accounting Department, La Banque Postale's accounting function includes the banking back-office *accounting* teams, who report to the Financial Centre Directors, or, in some cases, to the Directors of the business lines. The Bank's Accounting Department sends these teams the instructions and control programmes necessary to ensure the consistency and quality of the information produced. The accounting function also includes a centre specialising in the accounting-based processing of the Bank's general resources, together with the Financial Transactions Department's accounting team, which is responsible for recording market transactions in the accounts.

The Accounting Department coordinates and defines the Level 1 justification and control programmes that must be implemented by the Bank's operating Accounting Departments, which are located in the Financial Centres, in the national centres, in the Financial Transactions Department and in the general resources Accounting Departments. These control programmes are reviewed according to the periodic risk analyses that are carried out during control and account preparation tasks.

The Accounting Department finalises the Level 1 controls by performing a series of Level 2 controls. Those controls consist of recurring cross-functional checks, which are designed to ensure the quality and thoroughness of the Level 1 controls performed in the

operating entities. The control process is set out formally in control manuals and is also based on procedures for justifying the accounts and approving the account closing records scheduled in the work programmes. The Level 2 controls are performed by a dedicated team of accounting supervisors.

The second level controls, organised into three units (regional financial centres / general resources / consolidation; loans / specialist activities / national financial centres; market activities). The business units are broken down into control cycles which each give rise to the preparation of a summarised monthly control report and detailed summaries, during the audit phases, setting out the significant events of the cycle, the checks carried out and the analytical review of the activity.

The accounting supervisors' work programmes are periodically updated, in order to:

- ▶ adapt them to changes in business activities and the regulatory environment;
- ▶ incorporate project developments;
- ▶ take account of newly identified risk factors, or conversely, of risks that no longer apply;
- ▶ optimise the effectiveness of the control process as part of the shortening of end-of-period accounting lead-times.

The controls on Retail Banking activities are organised on a declarative basis in the Financial Centres and are finalised by control cycles that are based on the sampling of complete records. In this way, all the centres and cycles are tested several times a year. The work is also incorporated into an accounting quality dashboard, which gives a monthly overview of the results of the controls and the quality of the Level 1 system.

These recurrent checks are reinforced by tightened control periods known as "pre-close periods", which begin one month before the closing date for the half-year and annual financial statements and allow the contributors (centres, and Head Office Departments) to perform a "dress rehearsal". These procedures secure timetables and processes; moreover, they provide interim information on the status of the financial statements to the statutory auditors before they begin their work.

Regarding the scope of financial transactions, the Accounting Department has tightened the coordination process for the parties involved (Financial Transactions Department and Risk Departments). The aim of this system, which takes the form of monitoring meetings and setting down feedback channels, is to:

- ▶ circulate the expected schedules for control deliverables in advance;
- ▶ provide feedback on the control bodies' observations (Internal Audit and statutory auditors);
- ▶ draw up action plans that enable areas for improvement to be monitored.

The entire accounts production system is supplemented by meetings with the statutory auditors' panel, which enable the highlights to be reviewed and the account-closing options to be examined before they are implemented (impacts from new regulations, processing of new products, changes in scope of subsidiaries).

The Accounting Department also co-ordinates the consolidation of the companies that make up the La Banque Postale Group, according to specific instructions.

The process for producing the consolidated financial statements now includes:

- ▶ a process triggered by consolidation instructions sent to all subsidiaries in the scope of consolidation;

- ▶ meetings outlining the Group's news, standards and processes allowing for discussion within the subsidiaries' Accounting Departments;
- ▶ a Level 2 control organised based on a control schedule, the composition of summaries and a system of questionnaires sent to the subsidiaries so that risks can be dealt with and standards application can be coordinated at the Group level;
- ▶ a comparison of the management results with the accounting result;
- ▶ an analytical review procedure presented by the subsidiaries to the Group's Financial Department in the presence of the statutory auditors of the subsidiary and the Group.

The subsidiaries have their own structure that enables them to perform Level 1 and 2 accounting controls at the separate financial statements scope.

Finally, the Accounting Department has identified, inside a dedicated function, responsibility for the definition of accounting standards applicable to the Group (an international standard) and La Banque Postale (French standards). This Department writes the standards manual, interprets new standards and applies them to the Group's accounts. It helps define accounting principles when new business activities or products are launched and responds to business line and Accounting Division requests on the implementation and application of standards. Regular publications are also distributed to the various players within the Bank to inform the business clients about possible changes or to remind them of the principles and methods. It is also within this Department that the IFRS 9 project and its issues are addressed.

Management control function

The Management Control Department is responsible for collating management information.

Management Control consolidates, constructs and quantifies the Bank's budget and medium and long-term plans, handles reporting and monitors the budget. It analyses the performance of the Group, its business lines and its entities.

With the business lines, it develops the business plan for new activities/products and participates in measuring profitability.

It also develops the analytical accounting of the expenses by business line in such a way as to measure the profitability of the various profit centres.

Lastly, management control is responsible for the dissemination of the dashboards to the management as part of its role of management support.

The financial communication function

All financial communication is compiled by the Balance Sheet Management Department, attached to the Financial Department, which ensures their compliance with the general principles and good practices of financial communication as they appear in the "Financial Communication Framework and Practices" (written by the Financial Communication Observatory under the supervision of the French Financial Markets Authority). This department is responsible for information published through financial press releases and for presentations made to institutional investors, financial analysts, rating agencies and for information that is included in documents submitted for approval by the French Financial Markets Authority, including the Registration Document.

2.2 STATUTORY AUDITORS' REPORT PREPARED PURSUANT TO ARTICLE L. 225-235 OF THE FRENCH COMMERCIAL CODE ON THE REPORT OF THE CHAIRMAN OF LA BANQUE POSTALE'S SUPERVISORY BOARD

Financial year ending 31 December 2014

La Banque Postale SA

Registered office: 115, rue de Sèvres – 75275 Paris Cedex 06

Share capital: €4,046,407,595

Ladies and Gentlemen,

In our capacity as the statutory auditors of La Banque Postale S.A. and pursuant to the provisions of Article L. 225-235 of the French Commercial Code, we hereby submit our report on the report prepared by the Chairman of your Company in accordance with the provisions of Article L. 225-68 of the French Commercial Code in respect of the financial year ending 31 December 2015.

It is the Chairman's responsibility to draw up a report on the internal control and risk management procedures implemented at the Company and other information required by Article L. 225-68 of the French Commercial Code, including information on corporate governance procedures, and to submit that report to the Supervisory Board for approval.

Our role is to:

- ▶ inform you of our observations on the information in the Chairman's report on internal control and risk management procedures relating to the production and processing of accounting and financial information; and
- ▶ certify that the report includes the other information required by Article L. 225-68 of the French Commercial Code. It is not our responsibility to check the accuracy of this other information.

We have performed our work in accordance with the professional standards applicable in France.

Information regarding internal control and risk management procedures in respect of the preparation and processing of accounting and financial information

Professional standards require us to implement procedures to assess the accuracy of the internal control and risk management procedure information when preparing and processing the accounting and financial information contained in the Chairman's report. These procedures primarily consist in:

- ▶ familiarising ourselves with the internal control and risk management procedures in respect of the preparation and processing of the accounting and financial information supporting the information presented in the Chairman's report, together with the existing documentation;
- ▶ familiarising ourselves with the work that enabled the information and the existing documentation to be prepared;
- ▶ determining whether any major internal control failings in respect of the preparation and processing of accounting and financial information that we may have identified during our assignment are discussed appropriately in the Chairman's report.

Based on that work, we have no comment to make on the information regarding the Company's internal control and risk management procedures in respect of the preparation and processing of the accounting and financial information in the report prepared by the Chairman of the Supervisory Board pursuant to the provisions of Article L. 225-68 of the French Commercial Code.

Additional information

We hereby certify that the report prepared by the Chairman of the Supervisory Board contains the additional information required by Article L. 225-68 of the French Commercial Code.

The statutory auditors

Paris La Défense, 22 February 2016

KPMG Audit

A division of KPMG SA

Isabelle Goalec

Associate

Neuilly-sur-Seine, 22 February 2016

PricewaterhouseCoopers Audit

Agnès Hussherr

Associate

2.3 INFORMATION ABOUT THE MEMBERS OF THE SUPERVISORY BOARD AND THE EXECUTIVE BOARD

2.3.1 Composition of the Executive Board

La Banque Postale is a Limited Company with Executive and Supervisory Boards.

Executive Management of the Company is provided by the Executive Board, which has the broadest powers to act on behalf of the Company in all circumstances, within the limits of its corporate purpose and subject to the powers expressly conferred on Supervisory Boards and Shareholders' Meetings by French law and the Company's Articles of Association.

The Executive Board comprises two members:

- ▶ Mr Rémy Weber, Chairman;
- ▶ Mr Marc Batave, General Secretary of La Banque Postale.

Messrs Rémy Weber and Marc Batave have the capacity of effective director within the meaning of Article L. 511-13 of the French Monetary and Financial Code.

As previously authorised by the Supervisory Board, members of the Executive Board have divided management duties between themselves. They have also set the amounts in excess of which certain actions committing the Company require prior approval from the Executive Board. Failure to secure that approval may result in the individual concerned being personally liable to the Company and its shareholders.

2.3.2 Mandates and functions of the members of the Executive Board

Nota bene: Terms of office and positions held in companies whose shares are traded on regulated markets are identified by an asterisk.*

Rémy WEBER, born in 1957	Biography
Chairman of the Executive Board	
First appointment: 19 October 2012	▶ Beginning in 1983, various positions in La Banque Française's Foreign Trade Department.
Appointment expiry date: 26 February 2018	▶ From 1987 to 1989, special advisor to the Treasury Department's International Affairs office.
Professional address: La Banque Postale – 115, rue de Sèvres – 75275 Paris cedex 06	▶ In 1990, Deputy Director of Investment and Mergers & Acquisitions at Financière B.F.C.E.
Training: Graduate of IEP Aix en Provence and of HEC	▶ In 1993, Regional Director at the Lyonnaise de Banque; subsequently, General Secretary and Director of Operations (1995-1996), Executive Vice-President from 1996 to 1999 and Chief Executive Officer from 1999 to 2002.
	▶ From 2002 to 2013, Chairman and Chief Executive Officer of CIC Lyonnaise de Banque, member of the Executive Board and then of the Executive Committee of the CIC group.
	▶ Since 15 October 2013, Chairman of the Executive Board of La Banque Postale, Executive Vice-President and Head of Financial Services of La Poste.
Current appointments	Appointments that expired during the last five years
La Poste Group companies	
▶ Executive Vice-President and Head of Financial Services of La Poste (a Limited Company).	▶ Member of the Executive Board of CIC (a Limited Company).
▶ Chairman of the Board of Directors of SF2 (a Limited Company).	▶ Chairman of the Supervisory Board of CIC Banque de Vézille (a Simplified Joint-Stock Company).
▶ Chairman of the Supervisory Board and member of the Compensation Committee of La Banque Postale Asset Management, (a Limited Company with Executive and Supervisory Boards).	▶ Chairman and Chief Executive Officer of CIC Lyonnaise de Banque (a Limited Company).
▶ Director of La Banque Postale Assurance Santé (a Limited Company).	▶ Chairman of Gesteurop (a Simplified Joint-Stock Company).
▶ Chairman of the Board of Directors and Chairman of the Compensation Committee of La Banque Postale Assurances IARD (a Limited Company).	▶ Director of Euro P3C (a Limited Company).
▶ Chairman of the Board of Directors and Chairman of the Appointments-Compensation Committee of La Banque Postale Prévoyance (a Limited Company).	▶ Member of the Management Committee of Euro Information (a Simplified Joint-Stock Company).
▶ Director of Sopassure (a Limited Company).	▶ Permanent Representative of CIC on the Board of Directors of Sofemo (a Limited Company).
▶ Representative of La Banque Postale, Manager of SCI CRSF DOM, CRSF Métropole and Tertiaire Saint Romain.	▶ Permanent Representative of CIC Lyonnaise de Banque on the Board of Directors of CM – CIC Asset Management (a Limited Company).
▶ Director and Vice-Chairman of the Board of Directors of L'envol, La Banque Postale's campus (a non-profit association).	▶ Permanent Representative of CIC Lyonnaise de Banque on the Board of Directors of CM – CIC Factor (a Limited Company).
▶ Director and member of the Audit, Risks and Internal Control Committee and member of the Financial Statements Committee of Société de Financement Local (a Limited Company).	▶ Permanent Representative of CIC Lyonnaise de Banque on the Board of Directors of UVP (a Mutual Insurance Company).
▶ Director of Poste Immo (a Limited Company).	▶ Permanent Representative of the Crédit Mutuel Assurances Group on the Board of Directors of ACM IARD (a Limited Company).
Companies outside the La Poste Group	▶ Permanent Representative of CIC Lyonnaise de Banque, Chairman of the Executive Committee of Danifos (a Simplified Joint-Stock Company).
▶ Vice-Chairman of the Association Française de Banques (French Banking Association).	▶ Permanent Representative of CM-CIC Investissement on the Board of Directors of Descours et Cabaud (a Limited Company).
▶ Permanent Representative of AFB, member of the Executive Committee of the Fédération Bancaire Française (French Banking Federation).	▶ Chief Executive Officer of SF2 (a Limited Company).
▶ Director and, since 30 September 2015, member of the Strategic Committee of CNP Assurances* (a Limited Company).	▶ Member of the Supervisory Board of the Fonds de Garantie des Dépôts.
▶ Member of the Board of Paris Europlace (Association).	▶ Member of the Audit Committee of Société de Financement Local (a Limited Company).
▶ Director and Chairman of the Board of Directors of Opéra de Lyon (Association).	▶ Chairman of the Board of Directors of La Banque Postale Assurance Santé (a Limited Company) until 7 January 2015.
	▶ Chairman and Chief Executive Officer of Sopassure (a Limited Company) until 28 March 2015.
	▶ Chairman of the Compensation Committee of La Banque Postale Asset Management (a Limited Company with Executive and Supervisory Boards) until 17 June 2015.
	▶ Member of the Audit Committee of CNP Assurances* (a Limited Company) until 1 September 2015.

Marc BATAVE, born in 1958**General Secretary and Member of the Executive Board****First appointment: 9 January 2013****Appointment expiry date:** 26 February 2018**Professional address:**

La Banque Postale – 115, rue de Sèvres – 75275 Paris cedex 06

Training: Graduate of the ESSEC**Biography**

- ▶ Crédit du Nord Group from 1983 to 2011:
 - Deputy Head of the Labour Relations Section of the Human Resources Department of Crédit du Nord from 1983 to 1985;
 - Financial Negotiating Department from 1985 to 1986;
 - Head of “Financial Savings and Insurance” Products Department, Head of Retail Banking then Head of Marketing at Crédit du Nord from 1986 to 1993;
 - from 1993 to January 2000, Vice-Chairman, then Chairman of the Executive Board of the Banque Courtois;
 - from January 2000 to July 2011, Head of Customer Relations, Executive Vice-President and then Deputy Chief Executive Officer at Crédit du Nord.
- ▶ La Banque Postale:
 - from¹ November 2012 to 9 January 2013, Head of Business and Professional Activities with La Banque Postale and member of its Executive Committee;
 - General Secretary and member of the Executive Board of La Banque Postale since 9 January 2013.

Current appointments**La Poste Group companies**

- ▶ Permanent Representative of SF2 on the Board of Directors of Tocqueville Finance SA (a Limited Company) and Tocqueville Finance Holding (a Simplified Joint-Stock Company).
- ▶ Chairman of the Directors Committee of La Banque Postale Crédit Entreprises (a Simplified Joint-Stock Company).
- ▶ Director and Chairman of the Financial Committee of La Banque Postale Assurances IARD (a Limited Company).
- ▶ Chairman of the Directors Committee of Titres Cadeaux (a Simplified Joint-Stock Company).
- ▶ Vice-Chairman of the Board of Transactis (a Simplified Joint-Stock Company).
- ▶ Permanent Representative of La Banque Postale on the Board of Directors of La Banque Postale Home Loan SFH (a Limited Company).
- ▶ Chairman of the Supervisory Board and of the Appointments and Compensation Committee of BPE (a Limited Company with Executive and Supervisory Boards) since 27 January 2015.
- ▶ Director of La Banque Postale Collectivités Locales (a Limited Company).
- ▶ Member of the Supervisory Board of La Banque Postale Financement (a Limited Company with Executive and Supervisory Boards).
- ▶ Permanent Representative of La Banque Postale on the Policy Committee of the Adresse Musée de La Poste (Association).
- ▶ Member of the Supervisory Board of the Fonds de garantie des dépôts (Funds).

Companies outside the La Poste Group

- ▶ Permanent Representative of La Banque Postale on the Board of Directors of the OCBF (Association), until 25 January 2016.

Appointments that expired during the last five years

- ▶ Executive Chairman and, until 20 February 2015, Chairman of the Audit and Risk Committee of La Banque Postale Crédit Entreprises (a Simplified Joint-Stock Company).
- ▶ Deputy Chief Executive Officer of Crédit du Nord (a Limited Company).
- ▶ Chairman of the Supervisory Board of La Banque Courtois (a Limited Company with Executive and Supervisory Boards).
- ▶ Director, then Chairman of the Supervisory Board of La Banque Laydernier (a Limited Company with Executive and Supervisory Boards).
- ▶ Chairman of the Supervisory Board of La Banque Kolb (a Limited Company with Executive and Supervisory Boards).
- ▶ Director, then Vice-Chairman of the Supervisory Board of La Société Marseillaise de Crédit (a Limited Company with Executive and Supervisory Boards).
- ▶ Director of Norbail Immobilier (a Limited Company).
- ▶ Director of Antarius (a Limited Company).
- ▶ Director, then Vice-Chairman of the Supervisory Board of La Banque Tarneaud (a Limited Company with Executive and Supervisory Boards).
- ▶ Director of Étoile ID (a Limited Company).
- ▶ Director of Star Lease (a Limited Company).
- ▶ Chairman of the Supervisory Committee, then Director of Étoile Gestion (a Limited Company).
- ▶ Director, then member of the Supervisory Board of La Banque Rhône Alpes (a Limited Company with Executive and Supervisory Boards).
- ▶ Chairman of the Supervisory Board and member of the Compensation Committee of SOFIAP (a Limited Company with Executive and Supervisory Boards) until¹ October 2015.
- ▶ Permanent Representative of LBP on the Board of Directors, Chairman of the Audit and Risk Committee and member of the Appointments & Compensation Committee of BPE (a Limited Company), since 27 January 2015.
- ▶ Permanent Representative of LBP, member of the Supervisory Board of XAnge Private Equity (a Limited Company with Executive and Supervisory Boards) until 29 July 2015.
- ▶ Member of the Nomination and Compensation Committee of La Banque Postale Gestion Privée (a Limited Company with Executive and Supervisory Boards) until 30 November 2015.

2.3.3 Remuneration

The data on remuneration provided below complies with the principles and rules of determination adopted by La Banque Postale and described in detail in the report of the Chairman of the Supervisory Board.

2.3.3.1 Remuneration of members of the Supervisory Board for the 2014 and 2015 financial years

Amount of the attendance fees and other remuneration paid to the members of the Supervisory Board in connection with their appointments at La Banque Postale Group

Name of the corporate officers	Gross amounts due in respect of 2014 (in €)	Recipient	Gross amounts due for 2015 (in €)	Recipient
Philippe Wahl⁽¹⁾				
Attendance fees	90,000	La Poste	90,000	La Poste
Other exceptional remuneration	0		0	
Marc-André Feffer				
Attendance fees	30,500	La Poste	17,500	La Poste
Other exceptional remuneration	0		0	
Yves Brassart				
Attendance fees	15,214	La Poste	34,000	La Poste
Other exceptional remuneration	0		0	
Nathalie Andrieux				
Attendance fees	3,643	La Poste	0	
Other exceptional remuneration	0		0	
Didier Brune				
Attendance fees	6,429	La Poste	0	
Other exceptional remuneration	0		0	
Sylvain de Forges				
Attendance fees	18,214	The party concerned	0	
Other exceptional remuneration	0		0	
Xavier Girre				
Attendance fees	6,643	La Poste	0	
Other exceptional remuneration	0		0	
Bernard Haurie				
Attendance fees	8,571	La Poste	0	
Other exceptional remuneration	0		0	
Nicolas Routier				
Attendance fees	0	La Poste	6,000	La Poste
Other exceptional remuneration	0		0	
Marie-Pierre de Baillencourt				
Attendance fees	8,786	The party concerned	30,000	The party concerned
Other exceptional remuneration	0		0	
Nathalie Dieryckxvisschers				
Attendance fees	0		0	
Other exceptional remuneration	0		0	
Jean-Paul Forceville				
Attendance fees	4,286	La Poste	15,000	La Poste
Other exceptional remuneration				
Georges Lefebvre				
Attendance fees	19,500	La Poste	18,000	La Poste
Other exceptional remuneration	0		0	
Catherine Le Floch				
Attendance fees	7,286	La Poste	33,000	La Poste
Other exceptional remuneration	0		0	

Name of the corporate officers	Gross amounts due in respect of 2014 (in €)	Recipient	Gross amounts due for 2015 (in €)	Recipient
Christiane Marcellier⁽²⁾				
Attendance fees	57,000	The party concerned	73,000	The party concerned
Other exceptional remuneration	0		0	
Didier Ribadeau Dumas⁽³⁾				
Attendance fees	52,334	The party concerned	86,000	The party concerned
Other exceptional remuneration	0		0	
Jean-Robert Larangé				
Attendance fees	0		0	
Other exceptional remuneration	0		0	
Steeve Maigne				
Attendance fees	0		0	
Other exceptional remuneration	0		0	
Françoise Paget Bitsch				
Attendance fees	0		0	
Other exceptional remuneration	0		0	
Maryvonne Michelet				
Attendance fees	0		0	
Other exceptional remuneration	0		0	
Thierry Freslon				
Attendance fees	0		0	
Other exceptional remuneration	0		0	
Hélène Wolff				
Attendance fees	0		0	
Other exceptional remuneration	0		0	
TOTAL	328,406		402,500	

In addition,

(1) Philippe Wahl received from La Poste remuneration for 2015 including benefits in kind of €453,206.

(2) Christiane Marcellier received €26,000 in attendance fees in respect of her mandate with La Banque Postale Asset Management in respect of 2015.

(3) Didier Ribadeau-Dumas received €15,000 in attendance fees in respect of his mandate with BPE and €38,000 in attendance fees in respect of his mandate with Poste Immo in respect of 2015.

Corporate officers do not benefit from equity or debt options on the Company's share capital or performance based shares, and for these reason, the Company does not complete the tables 4 to 10 requested by the AMF's recommendations relating to corporate officers' remuneration.

Remuneration of employee representative members on the Supervisory Board

Employee representative members on the Supervisory Board do not receive any remuneration in respect of their Supervisory Board appointment.

All gross remuneration (including the variable component) paid to employee representatives on the Supervisory Board under their employment contracts was €303,260 in 2015.

2.3.3.2 Remuneration of the members of the Executive Board for 2014 and 2015

Standardised tables that comply with the Afep/Medef and AMF recommendations

Table 1. Summary of the gross remuneration, share options and shares awarded to Executive Board members

(in €)	Financial Year 2014	2015 financial year
Philippe Wahl		
Gross remuneration payable for the financial year (details in Table 2)	0	0
Value of multi-year variable remuneration during the financial year	0	0
Value of share options awarded during the financial year	NA	NA
Value of performance-based shares awarded during the financial year	NA	NA
Total	0	0
Rémy Weber		
Gross remuneration payable for the financial year (details in Table 2)	453,168	453,456
Value of multi-year variable remuneration during the financial year	0	0
Value of share options awarded during the financial year	NA	NA
Value of performance-based shares awarded during the financial year	NA	NA
Total	453,168	453,456
Marc Batave		
Gross remuneration payable for the financial year (details in Table 2)	377,048	415,120
Value of multi-year variable remuneration during the financial year	0	0
Value of share options awarded during the financial year	NA	NA
Value of performance-based shares awarded during the financial year	NA	NA
Total	377,048	415,120
Yves Brassart		
Gross remuneration payable for the financial year (details in Table 2)	104,955	0
Value of multi-year variable remuneration during the financial year	0	0
Value of share options awarded during the financial year	NA	NA
Value of performance-based shares awarded during the financial year	NA	NA
Total	104,955	0
EXECUTIVE BOARD TOTAL	935,171	868,576

Table 2. Summary of the gross remuneration, share options and shares awarded to Executive Board members

(in €)	Financial Year 2014		2015 financial year	
	Amounts payable for the financial year	Amounts paid during the financial year	Amounts payable for the financial year	Amounts paid during the financial year
Philippe Wahl⁽¹⁾				
Fixed remuneration	0	0	0	0
Variable annual remuneration	0	0	0	0
Multi-year variable remuneration*	0	52,588	0	55,628
Severance compensation	0	0	0	0
Attendance fees ⁽¹⁾	0	0	0	0
Benefits in kind	0	0	0	0
Total	0	52,588	0	55,628
Rémy Weber				
Fixed remuneration	450,000	450,000	450,000	450,000
Of which paid by La Banque Postale	360,000	360,000	360,000	360,000
Of which paid by La Poste	90,000	90,000	90,000	90,000
Variable annual remuneration	0	0	0	0
Multi-year variable remuneration	0	0	0	0
Severance compensation	0	0	0	0
Attendance fees ⁽²⁾	0	0	0	0
Benefits in kind	3,168	3,168	3,456	3,456
Total	453,168	453,168	453,456	453,456
Marc Batave				
Fixed remuneration	265,000	265,000	315,000	315,000
Variable annual remuneration	92,750	90,755 ⁽³⁾	79,050 ⁽⁴⁾	92,750
Multi-year variable remuneration	0	0	0	0
Severance compensation	0	0	0	0
Attendance fees ⁽¹⁾	0	0	0	0
Benefits in kind	19,298	19,298	21,070	21,070
Total	377,048	375,053	415,120	428,820
Yves Brassart⁽⁵⁾				
Fixed remuneration	81,667	81,667	0	0
Variable annual remuneration	22,500	65,415	0	22,500
Multi-year variable remuneration	0	0	0	0
Severance compensation	0	0	0	0
Attendance fees ⁽²⁾	0	0	0	0
Benefits in kind	788	788	0	0
Total	104,955	147,870	0	22,500
EXECUTIVE BOARD TOTAL	935,171	1,028,679	868,576	960,404

* Deferred variable remuneration in respect of 2011 and 2012.

(1) Philippe Wahl was a member of the Executive Board until 15 October 2013.

(2) Members of the Executive Board do not receive attendance fees for the positions they hold in companies in La Banque Postale Group.

(3) Including €20,000 as extraordinary remuneration for 2013.

(4) Subject to approval by the French Minister of the Economy.

(5) Yves Brassart was a member of the Executive Board until 7 April 2014.

Table 3. Employment contract, supplementary pension plan and compensation for executive corporate officers

Executive corporate officers	Employment contract		Supplementary pension plan		Other benefits or compensation payable or likely to be payable on account of a termination or a change in position		Compensation related to a non-compete clause	
	Yes	No	Yes	No	Yes	No	Yes	No
Rémy Weber								
Chairman of the Executive Board since 15 October 2013		✓		✓	✓			✓
Marc Batave								
Member of the Executive Board since 9 January 2013		✓*		✓	✓			✓

* Marc Batave's employment contract has been suspended since 9 January 2013.

Benefits allocated to managers for termination or change of position

No benefits were allocated to managers for termination or change of position during the 2014 and 2015 financial years.

Supplementary pension arrangements made for the benefit of Executive Board members

As of 31 December 2015, La Banque Postale had made no supplementary pension arrangements for Executive Board members.

2.3.3.3 Remuneration of the members of the Executive Committee

All the gross remuneration (variable part included) paid in respect of their employment contracts to the members of the Executive Committee, apart from the members of the Executive Board, and apart from Anne-Laure Bourn in respect of her functions as Managing Director of Réseau La Poste (since 1 June 2015) and apart from Robert Villani, who are remunerated by La Poste, amounted to €5,191,681 in 2015.

No other remuneration is paid to Executive Board members. Moreover, they do not receive attendance fees for appointments that they hold in Group companies.

Executive Board members receive the usual end-of-career compensation, which are valued at €726,000 total.

2.3.3.4 Remuneration of regulated employees

The Compensation Committee, pursuant to the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sector, subject to the French Prudential Supervision and Resolution Authority (ACPR), has prepared work for the Supervisory Board, which then decided on the policy for remuneration of regulated employees proposed by the Executive Board.

The Board therefore issued a positive opinion on La Banque Postale's remuneration policy, which has established a global framework for the variable remuneration of the Bank's regulated employees, so as not to jeopardise its ability to generate equity and have a negative impact on its liquidity.

That framework is based on the joint fulfilment of the following two criteria:

- ▶ the total amount of variable remuneration cannot exceed 30% of fixed remuneration;
- ▶ the total amount of variable remuneration must not exceed 5% of La Banque Postale's consolidated gross operating profit.

2.3.3.4.1 The professionals concerned within La Banque Postale

Pursuant to Article L. 511-71 of the French Monetary and Financial Code, the rules relating to remuneration policy are applied to managers of the institution concerned and to those personnel categories, including risk takers, individuals exercising a control function and any employee who, in light of his total income, is in the same pay band, whose professional activities have a significant impact on the risk profile of the Company or the Group.

EU Delegated Regulation No. 604/2014 enacted by the European Commission on 4 March 2014 adopted technical regulatory standards regarding appropriate qualitative and quantitative criteria to identify the categories of employees whose professional activities have a significant impact on an institution's risk profile.

Within La Banque Postale, those professionals covered by rules relating to the remuneration policy and practices of credit institutions in 2015 are:

- ▶ for managers: members of the Operational Committee;
- ▶ for persons exercising control functions: the three directors exercising a control function, i.e. the Chief Risk Officer, the Head of Compliance and the Internal Auditor;
- ▶ for Risk Takers: the Head of Financial Operations and the market traders.

2.3.3.4.2 The principles of remuneration within La Banque Postale

Principle of proportionality for variable remuneration

The remuneration policy of Le Groupe La Banque Postale was adopted taking account of its internal organisation as well as the nature, extent and reduced complexity of its business activities as well as the very low exposure to the risks from the activities of La Banque Postale which fall within the scope of application of the Decree of 3 November 2014. Hence, the La Banque Postale Group has put in place a remuneration policy which guarantees an annual cap and a principal of deferred and conditional payment for remuneration. However, it was not judged appropriate to set up a malus scheme covering variable remuneration, given its low exposure to risks.

These principles would however be reviewed regularly if the risk exposure should change.

Annual cap on variable remuneration

The variable remuneration paid to the professionals in question during a financial year may not exceed 100% of the fixed remuneration.

Variable remuneration will be subject to deferred payment, in accordance with the procedures laid down below, for any professional concerned within La Banque Postale who enjoys variable remuneration in excess of:

- ▶ €150 thousand for members of La Banque Postale's Operational Committee;
- ▶ €150,000 for the directors of the control functions (the Director of Risks, the Director of Compliance and the General Auditor);
- ▶ €150,000 for the Head of the Financial Transactions Department (DOF); and
- ▶ €100,000 for the market operators.

Principle of deferred, conditional payment of variable remuneration

In accordance with the rules relating to the policy and practices for remuneration of credit institutions, La Banque Postale has instituted a deferred payment mechanism, over a period of three years, for the variable part of the remuneration of the professionals involved.

All variable remuneration is spread out in accordance with the following procedures:

- ▶ above the variable remuneration thresholds set above, according to the professional categories in question, a part of the variable portion is paid in the year following that in which the variable portion is recognised (the "Paid Component") and the remainder of the variable remuneration is deferred (the "Deferred Component") over the three years following the year in which payment of the Paid Portion is made;
- ▶ the Paid Component is 60% of the total amount of the variable remuneration and the Deferred Component of 40% of the total amount of the variable remuneration;

- ▶ the Deferred Components will be paid in equal instalments over three years, each year in March;
- ▶ the Deferred Component will be re-evaluated based on the increase in La Banque Postale's equity between the financial year to which the variable component relates and the date of liquidation of said payment minus capital increases subscribed by third parties, and disregarding any potential changes in the dividend distribution rate.

Payment of any Deferred Component likely to be made to the employees in question is subject to achieving positive net income on a consolidated basis at the end of the year preceding that in which the payment is made.

Nature of the targets used to determine the variable remuneration

From 2015 onwards, all strategic management and managers of La Banque Postale will have collective company targets included in the assessment of their performance (with a weighting of 10%), collective targets for their department (weighting 20%), and individual targets (weighting 70%).

Ban on guaranteed variable remuneration

Regulated persons cannot be provided with guaranteed variable remuneration beyond the first year of engagement of the regulated persons concerned and subject to the La Banque Postale Group still being in a healthy and solid financial position. The Supervisory Board meeting of 19 February 2016 approved these principles.

2.3.4 Executive Board internal committees

In 2015, the Executive Board was supported by a system that consists of ten steering committees.

The Operational Committee and the Executive Committee

The **Operational Committee (Comop)**, the body chaired by Rémy Weber and comprising, in addition to its Chairman, 8 members, namely:

- ▶ Mr Marc Batave, member of the Executive Board, General Secretary;
- ▶ Anne-Laure Bourn, Executive Vice-President of Le Groupe La Poste, Chief Operating Officer of the La Poste Network;
- ▶ Catherine Charrier-Leflaive, Head of Human Resources;
- ▶ Florence Lustman, Chief Financial Officer;
- ▶ Didier Moaté, Head of Retail Banking;
- ▶ Patrick Renouvin, Head of Information Systems;
- ▶ Daniel Roy, Director of the Asset Management Business;
- ▶ Robert Villani, Executive Vice-President of the Network in charge of transformation, Director of Operations.

The Comop meets once a week. It is La Banque Postale's policy body and supports the Executive Board, particularly regarding business action.

The **Executive Committee (Comex)** is a platform for communication on key messages from the Company and marketing and distribution news. It monitors the progress of major structuring projects and deals with responsible development policy.

The composition of the Comex is currently as follows:

- ▶ Mr Rémy Weber, Chairman of the Executive Board;
- ▶ Mr Marc Batave, General Secretary, member of the Executive Board;
- ▶ Mr Serge Bayard, Head of Businesses and Land Development;
- ▶ Ms Anne-Laure Bourn, Executive Vice-President of Le Groupe La Poste, Chief Operating Officer of La Poste Network;
- ▶ Mr Didier Brune, Head of Strategy and Development;
- ▶ Ms Catherine Charrier-Leflaive, Head of Human Resources;
- ▶ Ms Alice Holzman, Director of Digital and Communication;

- ▶ Mr Guillaume de Lussac, Head of the Insurance Unit and Chairman of La Banque Postale Assurances IARD;
- ▶ Ms Florence Lustman, Chief Financial Officer;
- ▶ Mr François Géronde, Head of Group Risk;
- ▶ Mr Stéphane Magnan, Head of Financial Operations;
- ▶ Mr Didier Moaté, Head of Retail Banking;
- ▶ Ms Marie-Frédérique Naud, Deputy Head of Retail Banking, in charge of marketing and distribution;
- ▶ Mr Patrick Renouvin, Head of Information Systems;
- ▶ Mr Jean-Marc Ribes, Head of the Wealth Management unit and Chairman of BPE's Executive Board;
- ▶ Mr Dominique Rouquayrol de Boisse, Head of Legal Affairs;
- ▶ Mr Daniel Roy, Head of the Asset Management Business and Chairman of LBPAM's Executive Board;
- ▶ Mr Pierre-Manuel Sroczynski, Head of Permanent Control and Compliance;
- ▶ Mr Julien Têtu, Chairman of the Executive Board of La Banque Postale Financement;
- ▶ Mr Robert Villani, Executive Vice-President of the Network in charge of transformation, Director of Operations;
- ▶ Mr Christophe Van de Walle, Internal Auditor.

Eight ad hoc committees:

- ▶ the Group Risk Management Committee;
- ▶ the ALM Committee;
- ▶ the Group Capital Management Committee;
- ▶ the Strategy Committee for Information Systems and Major Projects;
- ▶ the Marketing and Sales Committee;
- ▶ the Internal Control Coordination and Ethics Committee;
- ▶ the Group Investments Committee;
- ▶ the Management Monitoring Committee for third parties.

Minutes are always drafted after each meeting by the Company Secretary and submitted to the Chairman of the Committee for approval.

ACTIVITIES AND RESULTS OF LA BANQUE POSTALE GROUP

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3.1 BUSINESS ENVIRONMENT AND HIGHLIGHTS

3.1.1 Economic and financial environment

The euro zone and the United States resilient compared with lower growth in emerging countries

2015 saw moderate world growth (around 3%). Weakening Chinese demand drove down the prices for raw materials, especially oil, the price of which also suffered from excess supply. Faced with loss of their export revenue, some countries, such as Brazil or Russia, experienced a substantial recession, which also resulted from their structural handicaps.

The United States economy proved resilient, with growth of slightly less than 2.5%, carried by almost full employment and increases in household purchasing power, as a result of the fall in energy prices, but curbed by the rise in the dollar and falling investments in the oil sector.

The economic recovery in the euro zone was consolidated in 2015, with GDP growing by 1.5%. It relied on several factors: the fall in the price of oil, and of the euro, the low interest rates resulting from the active monetary policy of the ECB and fewer budgetary restrictions after several years of austerity. Consumption, and to a lesser extent exports,

contributed to this gradual recovery. French growth, slightly below that of the euro zone, was not enough to push down unemployment.

Low interest rates in the euro zone

Medium- to long-term interest rates experienced several distinct phases: returns diminished until mid-April under the effect of fears of deflation and the prospect of extended monetary support by the ECB; they then rose again with in particular an upturn in expectations of inflation; then fell once more due to concern about the Greek crisis and the impact of a Chinese economic slowdown on world growth. After reaching 1.3% in June, the return on 10-year French Government bonds fell again to 0.94% in December compared with 0.92% a year earlier.

Short-term interest rates fell in the wake of the increasingly active monetary policy of the ECB. The Eonia, which went into negative territory at the end of 2014 due to abundant bank liquidity and a negative interest rate on bank deposits with the European Central Bank (ECB), fell to -0.20% in December. The 3-month Euribor finished the year at -0.13%.

3.1.2 2015 highlights

In a context where interest rates persisted at historically low levels, Net Banking Income stood at €5,745 million, up by 1.3%. Excluding the home savings provision, it was up by 0.1%. Continuing efforts to reduce operating expenses resulted in an improvement of 0.6 points in the cost-income ratio to 82.1%. Pre-tax income reached €1,094 million, up by 5.5%.

Commercial activity on the retail banking market was dynamic, with home loans up by 43% to €12.8 billion (including SOFIAP and BPE production) and consumer loans up by 7% to €2.3 billion. La Banque Postale relied on a core of 10.8 million active customers, presenting a growing service take-up rate and more than 587,000 high-net-worth customers (+20,000 customers compared with 2014). Ordinary savings funds fell by 3.5% under the effect of the reduced return on Livret A accounts, while demand deposit and home savings funds increased respectively by +7.2% and +8.3%.

La Banque Postale's aim to expand into the high-net-worth customer market resulted in the establishment of a dedicated division, then in the merger of the subsidiaries BPE and La Banque Postale Gestion Privée in November, enabling the introduction of an optimised structure and a full range of products and services dedicated to these customers.

The objective of La Banque Postale is to become a leading bank for corporate and professional customers, as it is already for the local public sector. In 2015 this strategy bore fruit with an increase in loans of +34% on these segments, representing €12.1 billion, including €6.7 billion in medium-/long-term loans. In the corporate segment alone, loan production almost doubled to €5.3 billion.

The Insurance Division business was marked by the good sales momentum of the subsidiaries Assurance IARD and Assurance Santé, their respective stock of policies growing by +19% and +29%. The Assurance Santé policy portfolio benefited in particular from the positive impact of the product *Assurance Coups Durs Santé* (hard times health insurance). The year 2015 was also marked by the launch of a new collective health insurance service intended for the needs of very small, small and medium-sized businesses, and by the creation of a product meeting the needs of ACS (*Aide à la Complémentaire Santé*, supplementary health insurance assistance) recipients, which was awarded the Ministry of Health tender. Work related to the Solvency 2 regulations, which came into force on 1 January 2016, continued throughout the year in the insurance subsidiaries.

Lastly, at the end of the year, La Banque Postale announced that it had entered into a preliminary memorandum of understanding with CNP Assurances, renewing their distribution partnership until 2016, extending it to BPE, and setting up, for new business, a direct partnership in collective credit protection insurance in home loans. This agreement also provides that La Banque Postale take over CNP's share in La Banque Postale Prévoyance, which retains the individual contingency business. La Banque Postale thus completed the formation of its non-life insurance unit.

The Asset Management Division experienced a year of major transformation: La Banque Postale completed its management appraisals for all customer categories, individuals and companies, institutions and key business accounts, independent wealth management advisors, distributor networks, and mutual insurance companies. In order to do this, the Bank formed new partnerships.

New services in diversified funds and international funds were set up under the partnership with Aegon, which resulted in Aegon taking a minority equity stake of 25% in La Banque Postale Asset Management. The Group's SRI range⁽¹⁾ was also strengthened by its merger with Fédériss Gestion d'Actifs, under which Malakoff Médéric acquired 5% of the equity capital of La Banque Postale Asset Management. The new group thus formed should consolidate its position as the fifth largest stakeholder in the French market, with a volume of over €177 billion in funds under management.

In the Private Equity field, La Banque Postale facilitated the merger of XAnge Private Equity, the Group's third-party management company, with Siparex, a major stakeholder in investment capital in France, selling all its equity investment in XAnge to Siparex (70%) and La Poste (20%).

In the sales structure field, La Banque Postale has been involved for 18 months in a process of managerial reorganisation of its network to make its customer service simpler and more commercially effective.

Combining the commercial line management of La Banque Postale and the La Poste Network in 2014 constituted the first stage in this process.

This vast reorganisation is now complete with the 1,600 Sector Managers in place since 2 January 2016. This new stage in giving the sales forces closest to the customer banking responsibilities, which is critical for accelerating the Bank's business development, is supported by an ambitious system for developing banking and managerial skills. The École de la Banque et du Réseau (EBR) has thus developed training courses for the Group's employees, which are adapted to the requirements of the new jobs. In 2015, over 300,000 training hours were devoted to employees of the Bank, the Financial Services and the subsidiaries, representing an unprecedented effort in support.

3.2 ACTIVITIES AND RESULTS OF LA BANQUE POSTALE GROUP

In 2015, La Banque Postale's business activities are part of a coherent strategy, confirmed by the growth in its operating income.

Consolidated income statement (€ million)

Main items in the income statement	2015	2014	%
Net banking income	5,745	5,673	1.3%
Operating expenses	(4,693)	(4,672)	0.4%
Gross operating income	1,052	1,001	5.1%
Cost of risk	(181)	(163)	11.0%
Operating income	871	838	4.0%
CNP at equity*	207	199	3.9%
Pre-tax income	1,094	1,037	5.5%
Taxes	350	335	4.6%
Net income, Group share	707	677	4.4%
Cost-income ratio	82.1%	82.7%	-0.6 point

* Share in net income of CNP Assurances, accounted for under the equity method.

Consolidated net banking income (NBI) amounted to €5,745 million, up 1.3% compared with 2014. Excluding the home savings provision⁽²⁾, it was up by 0.1%. It includes a scope of consolidation effect of €29.6 million⁽³⁾.

In a context of historically low rates that is unfavourable to it, La Banque Postale is accelerating its expansion into its new markets with, in 2015, a rise in consumer loan funds of +12.9% and a growth in corporate loan funds (local public sector, companies and professionals) of +50.4%.

NBI for Retail Banking was up by +0.5%. Excluding the home savings provision, it is down by 0.7%, through the impact of the negative

change in the net interest margin related to the fall in rates. It includes a scope of consolidation effect of €9.3 million⁽⁴⁾.

NBI for the Insurance subsidiaries posted growth of 4.3% to €186 million. Restated from the 2014 reclassification of arrears on the IARD and Health business, it was up by 11%, reflecting the sales momentum of the Property and Casualty and Health insurance business and the growth in Contingency insurance.

NBI of the Asset Management subsidiaries rose by 32.4% to €144 million. It includes a scope of consolidation effect of €20.3 million⁽⁵⁾. It was supported by the successful launch and ramp-up of the new funds at La Banque Postale Asset Management and Tocqueville Finance and by the positive market and performance effects.

(1) Socially Responsible Investment.

(2) €131.9 million in 2014 and €63.5 million in 2015.

(3) Ciloger, Fédériss and SOFIAP.

(4) SOFIAP.

(5) Ciloger and Fédériss.

Net banking income (€ million)	2015	2014⁽¹⁾	%
Retail Banking	5,415	5,386	0.5%
Asset management	144	109	32.4%
Insurance	186	178	4.3%
TOTAL	5,745	5,673	1.3%

(1) Switch of La Banque Postale Gestion Privée business from the Asset Management unit to the Retail Banking unit.

Group operating expenses totalled €4,693 million, up by 0.4%. They include a scope of consolidation effect of €18.9 million⁽¹⁾. They were marked by a fall in expenses for La Banque Postale S.A. (-0.5%) whereas expenses for the subsidiaries (+15%) rose in line with the expansion of their activities.

In 2015 La Banque Postale paid its first contribution to the Single Resolution Fund (SRF) which comes into force on 1 January 2016 and is intended to gradually replace the national funds.

La Banque Postale underwent a tax audit on the 2012 and 2013 financial years, concerning in particular compliance with the regulations applicable to regulated savings. The Bank estimated the risk taken in this respect and set aside the necessary provisions. As for the tax audit concerning the 2009 to 2011 financial years, it was resolved during the year.

The cost-income ratio improved by more than 0.6 points, reaching 82.1%.

Gross operating income amounted to €1,052 million, up 5.1%. It includes the scope of consolidation effects referred to previously.

Cost of risk stood at €181 million, up by €18 million⁽²⁾. It includes a scope of consolidation effect of €1.8 million. This rise is explained both by the rise in funds and by the increased risk cover, in compliance with the cautious rules applied by the Group. The cost of credit risk related to funds remains low at 23 basis points, stable compared with 2014.

The share of profits of equity associates from CNP grew by 3.9% to €207 million.

In total, pre-tax income rose by 5.5% to €1,094 million. It includes proceeds of €16.8 million related to the takeover of Ciloger.

Net income, Group share stood at €707 million and grew by 4.4%.

3.3 ACTIVITIES AND RESULTS BY BUSINESS LINE

3.3.1 Retail Banking

In 2015 the activity of the Retail Banking unit was marked by the persistence of historically low interest rates.

Retail banking (€ million)	2015	2014⁽¹⁾	%
Net banking income	5,415	5,386	0.5%
Operating expenses	(4,519)	(4,518)	0%
Gross operating income	895	868	3.1%
Cost of risk	(181)	(152)	18.7%
Operating income	715	716	-0.2%

(1) Switch of La Banque Postale Gestion Privée business from the Asset Management unit to the Retail Banking unit.

Commercial results of the retail bank

Increasing private customer service take-up

La Banque Postale now relies on a customer base of 10.8 million, including more than 8.6 million who have their main bank account with the bank and over 587,000 high-net-worth customers.

The overall customer service take-up rate increased during the year: the package take-up rate grew by 1.5 points to 58.8% and the card rate grew by 1.2 points to 68.8%. Total payment cards represented 8 million units as at 31 December 2015 in the retail banking segment alone (+1.6%). During the year, 863,000 account openings were recorded, counting both cards and services on opening a current account.

Rise in demand deposit and home loan savings funds

Liquid investments, penalised by interest rate levels, continued to suffer withdrawals in favour of medium-/long-term investments with tax advantages or a return that was still attractive. The context of almost zero inflation and very low interest rates was favourable for the growth of demand deposits.

Overall and despite an unfavourable interest rate context, savings funds (both on and off balance sheet) grew by 2.1% to €305.6 billion.

Home savings funds were up by 8.3% to €30.6 billion, thanks to the Home Loan Savings Plan (PEL) for which the return rate remained very attractive, despite the fall in the customer rate to 2% on 1 February 2015.

(1) Ciloger, Fédéris and SOFIAP.

(2) Restated for the reclassification in 2014 of the arrears on IARD and Health business, it grew by €29 million.

Total savings on the balance sheet, excluding demand deposits, fell by 0.2% to €113 billion. Livret A accounts, for which the return rate was reduced to 0.75% on 1 August 2015, suffered a net outflow of €2.5 billion, bringing down its funds to €60.2 billion.

Demand deposit funds for La Banque Postale's retail customers grew by almost 6% and reached €48.9 billion.

Growth in UCITS and life insurance funds

UCITS funds benefited from the rise in the markets and grew by +5.8% to €13.4 billion. Money market UCITS suffered a net outflow of €0.9 billion over the year.

Life insurance funds totalled €125.2 billion at the end of 2015, up by +1.7%. The cumulative share of unit-linked products in life insurance gross inflows continued to grow to 18.1%, as against 16.4% at the end of 2014.

Continuing expansion of private customer credit activity

La Banque Postale continued to support its customers in financing their projects. Loans to retail customers rose by 2% to €59.4 billion.

Home loan production began to rise again in 2015, buoyed by a high volume of external loan redemptions triggered by very low interest rates.

Home loan production was up by 43%, standing at €12.8 billion (including BPE and SOFIAP production) and marked by a high rate of redemptions and renegotiations. PAS (social home ownership loans) production totalled almost €2.2 billion, representing a rise of 67% compared with the end of 2014. Home loan outstandings increased by 1.2% to €54.1 billion.

Consumer credit, managed by La Banque Postale Financement, was very successful. Consumer loan production totalled €2.3 billion (+7% compared with 2014). It consisted of over €2.1 billion in personal loans and €132 million in revolving credits. Balances rose by 12.9% to €4.5 billion.

Commercial activity of the private bank

The private bank, the result of the merger of La Banque Postale Gestion Privée and BPE, experienced a year of commercial expansion, marked by the arrival in the 33 BPE branches of 20 high-net-worth advisors and engineers.

The Discretionary Asset Management (GSM) business posted gross inflows of €990 million, after record inflows in 2014 of €1,015 billion buoyed by the growth in life insurance policies and the rise in the main stock market indices (CAC 40 up by +8.5% and EuroStoxx 50 by +3.8%). These effects contributed to a growth in funds of almost 25% to over €3.3 billion (including euro fund balances).

Banking activity was marked by the acquisition of new high-net-worth customers, carrying the subsidiary's portfolio to over 64,000 customers. Home loan production totalled €548 million, i.e. a rise of 26% over the year. Total loans rose by +1% to €2.6 billion. Net savings inflows, supported largely by life insurance, contributed to the rise in funds which grew 5% to almost €2.4 billion.

La Banque Postale's high-net-worth customers are increasingly taking up services, with high-added-value cards growing by 26% over the year.

Commercial activity in the local public sector, businesses and professionals segment

New loans to corporate, local public sector and professional customers continued to grow with a production of €12.1 billion, taking outstandings to €9.7 billion, i.e. a growth over the year of more than 50%.

Property leasing production (€614 million) was supported during the year by two large-scale operations conducted with the French State, with the Ministries of Justice and Ecology. Loans to companies and social housing associations grew by over 81% to €5.3 billion.

La Banque Postale is strengthening its position in the financing of local authorities, since loans to local authorities (excluding social housing associations) grew by over 25% to €4.5 billion. As part of this activity, €3.4 billion was granted to CAFFIL over the year as part of the refinancing of loans to local authorities and public health institutions. Since the activity was launched, almost €6 billion have been contributed to CAFFIL.

2015 also saw the strengthening of the partnership between La Banque Postale and Bpifrance as regards financing for business investment projects. The cooperation between the two institutions facilitates the granting of bank loans, by La Banque Postale and guaranteed by Bpifrance, to very small, small and medium-sized businesses. Lastly, a new cooperative factoring service was established in the spring with UGAP (Union des groupements d'achats publics), allowing its suppliers to transfer their invoices (in full or on a case-by-case basis, depending on their cash requirements) to La Banque Postale Crédit Entreprises.

Lastly, upon the occasion of COP21, the European Investment Bank (EIB) confirmed the funding of the "Energy Optimisation of Public Buildings" project, for which it committed itself financially in partnership with several players, including La Banque Postale.

Financial results

Net Banking Income

Net banking income for Retail Banking grew by 0.5% to €5,415 million. It includes a scope of consolidation effect of €9.3 million⁽¹⁾. Excluding the home-savings provision, it fell by 0.7%.

Commissions and other proceeds and expenses

Commissions and other proceeds and expenses, which represent approximately 40% of NBI for Retail Banking, stood at €2,148 million, up by 5.3% compared with 2014. This rise is explained by the rise in banking commissions (+11%) related to the combined effects of the taking out and early repayment benefits of home loans, while financial commissions (including insurance product distribution commissions) fell by 3.3%.

Interest

Interest income, which represents approximately 60% of the NBI for Retail Banking, stood at €3,267 million, down by 2.4% compared with 2014. Excluding the home-savings provision⁽²⁾, it fell by 4.2%. This reduction is explained by the fall in income from centralised savings funds (-3%) related to the outflows recorded on Livret A accounts, as well as the contraction in income from financial portfolios (-5.6%) and from interest income on loans (-1.6%), where the overall return

(1) SOFIAP.

(2) Provisions of €131.9 million in 2014 and €63.5 million in 2015.

suffered the effects of the fall in interest rates on new production and renegotiations.

Operating expenses

Retail banking operating expenses were stable at €4,519 million. They include a scope of consolidation effect of €7 million⁽¹⁾.

The operating expenses of La Banque Postale S.A. represent the majority of the unit's operating expenses, and fell by 0.5% over the whole year, showing the Group's cost control efforts, despite the investments made in the Bank's major transformation programmes directed at effectiveness and business development. The operating expenses for the Retail Banking subsidiaries increased (+18%) with the expansion of their activities, especially private banking and consumer credit.

Gross operating income

The division's gross operating income grew by 3.1% and totalled €895 million. It includes the scope of consolidation effects referred to previously.

Cost of risk

The cost of risk for the business stood at €181 million, up by 18.7%. This rise is explained by the increase in risk cover in accordance with the Group's cautious provisioning rules, for home loans (+€9 million) and consumer credit (+€10 million). The cost of risk on loans, related to outstandings, was stable at 23 basis points.

Operating income

Operating income from retail banking activities stood at €715 million, down 0.2%.

3.3.2 Asset management

Asset management (€ million)	2015	2014 ⁽¹⁾	%
Net banking income	144	109	32.4%
Operating expenses	(79)	(60)	30.2%
Gross operating income	66	49	35.0%
Cost of risk	0.1	0	NS
Operating income	65	49	+34.8%

(1) Switch of La Banque Postale Gestion Privée business from the Asset Management unit to the Retail Banking unit.

NBI for the Asset Management Division increased by 32.4%. It includes a scope of consolidation effect of €20.3 million⁽²⁾. The division's business benefited from the investments made under discretionary management and the launch of the new UCITS during the year.

The assets under management of the division's subsidiaries stood at €182.7 billion (including Fédérés Gestion d'Actifs and Ciloger funds).

La Banque Postale Asset Management funds (including those of LBPSAM and Fédérés Gestion d'Actifs) stood at €177.1 billion (compared with €175.8 billion at the end of 2014, including Fédérés Gestion d'Actifs). Excluding the Fédérés impact, they totalled €150 billion (+0.4%). This development results from a positive market effect of almost €3.9 billion, offset in part by a net outflow of €2.6 billion, focused on money-market UCITS.

LBPAM's expertise on the share market and its commitment to the environment and sustainable development were hailed during 2015. In May 2015, at the ceremony for the "Trophées du Revenu" (income trophies), the management company was awarded the "Golden Trophy" for the best "segment funds" range over three years, as well as the "Silver Trophy" for the best "international shares" range over three years. These prizes pay tribute to both the quality of management by La Banque Postale Asset Management and also to the search for consistency and risk management over time.

The "SRI Prize" was awarded to it at the 2015 Investor Awards⁽³⁾ which were held in November, thus recognising not only the values of the asset management company but also more widely those of La Banque Postale.

Lastly, the LBPAM Obli Crédit fund was rewarded with a "Globe de la Gestion"⁽⁴⁾ (Management Globe) for the consistency of its performance over five years in the Corporate Bond category.

Fédérés funds stood at €27 billion (+2.5%). They were supported by a positive market effect, offsetting an outflow of €0.4 billion throughout the year, following asset reallocations into unlisted instruments by some customers. Lastly, **Ciloger** funds totalled €4.1 billion (+19%).

Tocqueville Finance's overall outstandings stood at €1.5 billion (+6.8%). 2015 was characterised by positive market and performance effects, partly offset by a net outflow of €67 million, focused on collective management.

The management company was rewarded three times during the year: the Tocqueville Value Europe was placed first by Agefi in the category "European shares over three years", and received the "Silver Trophy" from Income for the best fund for shares over three years. The Tocqueville Odyssée fund received the performance label from "Mieux Vivre Votre Argent".

The division's operating expenses were up by 30.2% to €79 million, including a scope of consolidation effect of €11.7 million. They reflect the growth in the unit's activity, in particular the information technology expenses and also the non-recurring fees related to capital transactions during the year.

Gross operating income grew by 35% and totalled €66 million. It includes the scope of consolidation effects referred to previously. Lastly, operating income grew by 34.8%.

(1) SOFIAP.

(2) Ciloger and Fédérés.

(3) Opinion Way survey carried out with internet users of Boursorama and Morningstar (70% retail customers and 30% professionals).

(4) Wealth management/Quantalys survey.

3.3.3 Insurance⁽¹⁾

Insurance (€ million)	2015	2014	%
Net banking income	186	178	4.3%
Operating expenses	(95)	(94)	0.9%
Gross operating income	91	84	8.2%
Cost of risk	(0)	(11)	NS
Operating income	91	73	24%

The NBI of the business division increased by 4.3% to €186 million. Restated for non-recurring items⁽²⁾, it is up by 11%.

It benefited from the good sales results of the services offered by IARD and Health. The policy portfolio of La Banque Postale IARD recorded an appreciable rise of more than 19% while that of La Banque Postale Assurance Santé grew by more than 29% in 2015, thanks in particular to the ACDS (*Assurance Coups Durs Santé*, hard times health insurance) product.

Over the year, **La Banque Postale Assurances IARD** recorded 547,000 new policies, two-thirds of which were concentrated in vehicle and comprehensive home insurance. The policy mix was distorted in favour of comprehensive home insurance, as a result of the launch on 1 February 2015 of a new, more modular home insurance product with added optional covers. At the end of the year, the policy portfolio exceeded 1,350,000, i.e. a rise of over 19%.

La Banque Postale Assurance Santé recorded more than 60,000 new policies over the year. The highlights of 2015 were the introduction of "Oui Santé" (Yes to health) under the tender won by LBPAS and its partners for *Aide à la Complémentaire Santé* (supplementary health insurance assistance), the creation in April of a Collective Health service as part of the ANI reform (*Accord national interprofessionnel*, National Interprofessional Agreement) which made collective health cover mandatory for all businesses from 1 January 2016, and the

ramp-up of the new *Assurance Coups Durs Santé* (hard times health insurance) launched in November 2014, guaranteeing payment of a lump sum in the event of a serious illness said to be "critical". As at 31 December 2015, the ACDS product included 10,323 current policies, taking the policy portfolio to over 102,000, i.e. a rise of +29%.

La Banque Postale Prévoyance recorded nearly 310,000 new individual contingency policies. The home loan cover and consumer loan insurance business continued to grow in line with the expansion of La Banque Postale's loan activities. The year also saw the end of the marketing of the single-premium funeral policy.

La Banque Postale Conseil en Assurances recorded commissions during the year mainly on the Alliatys product, and in particular strong growth in Alliatys Plus policies, relaunched in 2014 and offering new cover: identity, keys and paper theft, data protection (the Sports & Leisure cover being provided by La Banque Postale Assurance Santé).

The operating expenses for the insurance subsidiaries posted moderate growth (+0.9% to €95 million), resulting from the cost control efforts made by the unit's entities.

Gross operating income for the unit stood at €91 million, up by 8.2% compared with 2014. Restated for the reclassification of the cost of risk in NBI, it increased by 24%.

3.3.4 Financial Structure

La Banque Postale has a sound financial structure, strengthened in November 2015 by an issue of €750 million in Tier 2 subordinate securities with a 12-year maturity.

Therefore,

- ▶ the Common Equity Tier 1 ratio⁽³⁾ of La Banque Postale stood at 13.2%, up by 50 basis points compared with 2014;
- ▶ the total solvency ratio of La Banque Postale stood at 18.7%, up by 170 basis points compared with 2014;
- ▶ the estimated leverage ratio excluding delegated acts stood at 3.5%. It was 5.2%⁽⁴⁾ with delegated acts.

La Banque Postale showed a comfortable liquidity position, as shown by:

- ▶ a loan/deposit ratio of 75%⁽⁵⁾;

- ▶ an estimated LCR ratio of 218%, greater than the regulatory requirements.

Publication of the specific capital requirements set by the European Central Bank

At the end of December 2015, La Banque Postale published the results of the Supervisory Review and Evaluation Process (SREP) conducted by the European Central Bank (ECB) about the Pillar 2 requirements. The required phased level of Common Equity Tier 1 (CET1) on a consolidated basis was set at 9.25% as at 1 January 2016. As the French Prudential Supervision and Resolution Authority (ACPR) had furthermore classified La Banque Postale as an "other systemic institution", an additional equity buffer was applied. This amounted to 0.0625% as at 1 January 2016. The total CET1 requirement applicable to La Banque Postale Group thus stood at 9.3125% as at 1 January 2016.

(1) Excluding CNP Assurances's contribution by the equity method.

(2) IARD and Health arrears reclassified in NBI, previously classified as cost of risk for €11 million.

(3) CRR/CRD 4 with transition measures. The fully loaded ratio is 14.2%.

(4) Taking account of the delegated act published by the European Commission on 10 October 2014, on the treatment of the savings funds centralised within the Caisse des dépôts (CDC) subject to authorisation by the ECB.

(5) The loan to deposit ratio for the Group is defined as the ratio between loans and deposits, excluding savings funds centralised within the Caisse des dépôts (CDC).

Rating

At 31 December 2015, La Banque Postale had good credit ratings, reflecting its financial strength and its rigorous risk management:

	Standard & Poor's	Fitch
Long-term rating	A	A-
Outlook	Stable	Stable
Date updated	3 December 2015	21 May 2015
Short-term rating	A-1	F1

In 2015, Fitch downgraded La Banque Postale's long-term rating from A to A-. This action resulted from an assessment of Government support by the agency, following the publication of the BRRD directive and the Single Resolution Mechanism. La Banque Postale's intrinsic rating was raised from BBB+ to A-.

The annual rating review by Standard & Poor's did not result in any change. The rating was confirmed as A, stable outlook. The intrinsic rating (SACP) was maintained at BBB+.

3.4 ANALYSIS OF THE CONSOLIDATED BALANCE SHEET

The following analysis relates to the 2014 balance sheet as restated.

The total consolidated balance sheet stood at €218.7 billion as at 31 December 2015, up by €5.9 billion compared with 31 December 2014, i.e. +2.8%.

The main asset items in the balance sheet comprised:

- ▶ financial assets at fair value through profit and loss (€11 billion as at 31 December 2015 versus €9.7 billion as at 31 December 2014). This item essentially comprised bonds and other fixed-income securities for €10.2 billion versus €8.5 billion at the end of 2014;
- ▶ available-for-sale financial assets (€15.6 billion as at 31 December 2015 compared with €13.1 billion as at 31 December 2014). This item essentially consists of bonds and other fixed-income securities for €10.8 billion versus €9.4 billion at the end of 2014;
- ▶ loans and receivables – credit institutions (€83.1 billion as at 31 December 2015 compared with €83.3 billion as at 31 December 2014). This item mainly comprises accounts and loans – credit institutions and similar for €81.9 billion, which includes funds of Livret A accounts, Sustainable Development accounts, and National Savings accounts (LEP) centralised at the Caisse des dépôts et consignations (CDC) for €75.3 billion;
- ▶ loans and receivables – customers (€73.6 billion as at 31 December 2015 compared with €67.8 billion as at 31 December 2014). This item essentially includes outstandings for home loans, consumer loans and corporate (businesses, professionals and local public sector) loans;

- ▶ financial assets held to maturity (€24.2 billion as at 31 December 2015 versus €28.3 billion as at 31 December 2014). This item, essentially consisting of government paper and similar securities for €21.8 billion, reduces mainly as assets mature.

The main liability items in the balance sheet, apart from the Equity, Group share of €8.9 billion:

- ▶ liabilities due to credit institutions for €15.7 billion (versus €15.2 billion as at 31 December 2014). This item essentially includes securities assigned under repo agreements for €13.4 billion versus €13.3 billion as at 31 December 2014;
- ▶ liabilities to customers for €171.8 billion (versus €167.9 billion as at 31 December 2014). This item comprises demand deposits for €54 billion and special savings accounts for €112.4 billion, including €30.6 billion in home savings, €60.2 billion in Livret A accounts and €21.6 billion in other special accounts (LEP, LDD and other accounts);
- ▶ debt securities for €9.1 billion (versus €9.4 billion as at 31 December 2014);
- ▶ subordinated debt for €3.2 billion (versus €2.5 billion as at 31 December 2014), an item reinforced by a debt issue of €750 million carried out in November 2015.

The Bank's ROA⁽¹⁾ is 0.32% at 31 December 2015, (stable compared with 31 December 2014).

The residual direct PIIGS exposure of La Banque Postale was down to €0.8 billion versus €2 billion at the end of 2014. It was essentially concentrated on Italy and to a lesser extent on Spain.

(1) Return on assets (Net income, Group share/Balance sheet total).

3.5 ADDITIONAL INFORMATION

3.5.1 French Economic Modernisation Act (LME) information – Suppliers' terms of payment

At 31 December 2015, payables to suppliers booked in the separate financial statements of La Banque Postale amounted to almost €86 million, of which over €61 million was payable within one month or less.

(€ '000s)	Reminder of the closing balance	≤ 1 month	> 1 month and ≤ 2 months	Over 2 months
2015	85,959	61,745	24,215	0
2014	52,752	41,222	11,476	0

3.5.2 Amount of non-tax-deductible expenses

The amount of non-tax deductible expenses, as listed in Article 39-4 of the French General Tax Code, was not material.

3.5.3 Research and development, patents and licenses

Research and development expenditure was not material.

3.5.4 Table of delegations granted by the General Meeting of Shareholders and their use in 2015

General Meeting	Purpose of the authorisation given to the Executive Board	Delegation validity period	Limit	Use in 2015
None	None	None	None	None

3.5.5 Appropriation of 2015 net income

Net income for the period	€478,260,808.37
- Allocation to the legal reserve	€(23,913,040.42)
+ Prior retained earnings	€590,256,373.98
TOTAL	€1,044,604,141.93

And decides to allocate it as follows:

▶ dividend	€318,082,823.12
▶ retained earnings	€726,521,318.81
TOTAL	€1,044,604,141.93

The proposed dividend is €9.04 for each of the 35,186,153 shares making up the share capital.

3.5.6 Investment

La Banque Postale has not made any significant investments (investment of over €1 billion) during the financial year.

3.5.7 Internal control

In the framework of the law on Financial Security of 1 August 2003, it is the responsibility of the Chairman of the Supervisory Board to account, in a report attached to the management report, for the conditions governing the preparation and structure of the work performed by the Board and for the internal control procedures instituted by the Company, on a consolidated basis.

This report, made public under the conditions provided for by the Autorité des marchés financiers (AMF) and included in this document (Chapter 2, Chairman's report) comprises two parts:

- ▶ the first covers the work of the Supervisory Board of La Banque Postale;

- ▶ the second brings together information on the principles for organising internal control and risk management monitoring systems within La Banque Postale Group.

3.5.8 Information relating to business locations and business as at 31 December 2015

Article L. 511-45 of the French Monetary and Financial Code requires that credit institutions publish information relating to the financial year ended 31 December 2015 concerning their business locations and their business included in their scope of consolidation, in each State or territory.

Business locations by country as at 31 December 2015

France

Retail Banking

La Banque Postale
SCI CRSF DOM
SCI CRSF
SCI Tertiaire Saint Romain
SF2
La Banque Postale Financement
La Banque Postale Crédit Entreprises
EasyBourse
FCT Elise 2012
BPE
La Banque Postale Collectivités Locales
La Banque Postale Home Loan SFH
SOFIAP

Insurance

CNP Assurances group
La Banque Postale Prévoyance
La Banque Postale Conseil en Assurances
Sopassure
La Banque Postale Assurances IARD
La Banque Postale Assurances Santé

Asset management

La Banque Postale Asset Management
La Banque Postale Structured Asset Management
Tocqueville Finance Holding
Tocqueville Finance SA
Ciloger
Fédérés

Principality of Monaco

Retail Banking

La Banque Postale: post office

Data presented by country as at 31 December 2015

State or Territory Consolidated contribution (€ '000s)	NBI and revenue ⁽¹⁾	FTE staff ⁽²⁾	Net income before tax ⁽³⁾	Amount of income tax for which the business locations are liable	Public grants received ⁽⁴⁾
France	5,744,179	4,321	1,092,617	(349,637)	0
Principality of Monaco	1,053		1,053	(351)	0
GROUP TOTAL	5,745,232	4,321	1,093,670	(349,988)	0

(1) The amount of net banking income and revenue correspond to the contribution by business locations in France and the Post Office in the Principality of Monaco to LBP's consolidated financial statements.

(2) The full-time-equivalent staff includes all employees with a local employment contract as well as employees who have been physically seconded.

(3) This is the profit for the period before corporate income tax and other taxes.

(4) These are public grants actually paid and excluding tax credits.

3.6 POST BALANCE SHEET EVENTS

None.

3.7 RECENT CHANGES AND OUTLOOK FOR 2016

In 2016 and in a context of persistently low rates, La Banque Postale intends to accelerate its business development by offering all its products and services to all its customers in all markets:

- ▶ by relying on industrial and capital partnerships formed in 2015 in the fields of insurance, with Malakoff Médéric and La Mutuelle Générale for the advent of a collective health insurance product, and of asset management, with Aegon Asset Management and Fédéris Gestion d'Actifs, which are opening up new fields of growth in private management and services for high-net-worth customers;
- ▶ by continuing the ramp-up of consumer credit for retail customers, with its subsidiary dedicated to consumer credit, La Banque Postale Financement, and continuing its efforts in preventing over-indebtedness, in a logic of ever more responsible loans;
- ▶ by intensifying its activity aimed at businesses, with which La Banque Postale will continue its development towards a complete banking service of loans, cash flow and investment, while strengthening its status as a regional bank serving the local public ecosystem;
- ▶ by accelerating banking for professionals, with 260 Professional Customer Managers in place by the end of 2016, in post offices throughout France (1,000 by 2020), who will undergo qualification-based training courses run by the *École de la Banque et du Réseau*.

With the introduction of the new managerial organisation of the Network, the Bank will be able to rely on its new sales structure which, with renewed offers, will allow it to bring an all-encompassing approach to customer needs in order to constantly improve its service.

La Banque Postale will continue to carry out its major transformation programmes, notably in information technology, with €1 billion in investments devoted to overhauling its information systems. With this in mind, the Cap Client 3.0 programme, at the heart of the overhaul of the banking distribution model, will continue to be developed and enhanced, in the service of commercial effectiveness, service quality and quality of life at work for staff, after an initial phase completed in 2015 with the assistance in customer interview preparation being brought into general use.

Lastly, digital innovation will remain a major focus of development, serving new uses and enhancing the customer experience, notably as regards means of payment. For example, the electronic "Mes paiements" My Payments portfolio, available since May 2015, will be enhanced in 2016 by the "LBP Pay" service with biometric voice authentication for greater security of use. La Banque Postale is also in the process of obtaining accreditation from the ACPR for the creation of an electronic money establishment. The latter, which will meet the demands of all the branches in the Group, will offer electronic payment services on behalf of third parties, allowing, for example, Bank customers to access customised e-commerce payment services.

3.8 INFORMATION ON THE STATUTORY AUDITORS

Statutory auditors of La Banque Postale	Start date of first assignment	End date of the assignment
PricewaterhouseCoopers Audit (member of the Versailles Regional Chamber of Statutory Auditors) 63, rue de Villiers 92200 Neuilly-sur-Seine Represented by Catherine Pariset for the 2010 financial year and by Agnès Husscherr from the 2011 financial year Alternate Auditor: Étienne BORIS	28 April 2004	The General Meeting called in 2016 to approve the financial statements for the year ending 31 December 2015*
KPMG Audit (member of the Versailles Regional Chamber of Statutory Auditors) Division of KPMG S.A. Tour Eqho 2, avenue Gambetta CS60055 92066 Paris La Défense Represented by Isabelle Goalec for the 2014 financial year and by Marie-Christine Jolys from the 2015 financial year Alternate auditor: Pascal BROUARD	27 May 2010	The General Meeting called in 2016 to approve the financial statements for the year ending 31 December 2015*

* The shareholders will have to decide, on the one hand, on the renewal of PricewaterhouseCoopers Audit and KPMG Audit as statutory auditors and, on the other hand, on the appointment of KPMG Audit FS1, represented by Mr Fabrice ODENT replacing Mr Pascal BROUARD, and the appointment of Mr Jean-Baptiste DESCHRYVER replacing Mr Étienne BORIS, both as alternate auditors.

Furthermore, as regards the audit of the previous accounts:

2014 Financial Year

PricewaterhouseCoopers Audit

63, rue de Villiers
 92200 Neuilly-sur-Seine
 Represented by Agnès Husscherr

KPMG Audit

2, avenue Gambetta
 CS60055
 92066 Paris - La Défense
 Represented by Isabelle Goalec

2013 Financial Year

PricewaterhouseCoopers Audit

63, rue de Villiers
 92200 Neuilly-sur-Seine
 Represented by Agnès Husscherr

KPMG Audit

2, avenue Gambetta
 CS60055
 92066 Paris - La Défense
 Represented by Isabelle Goalec

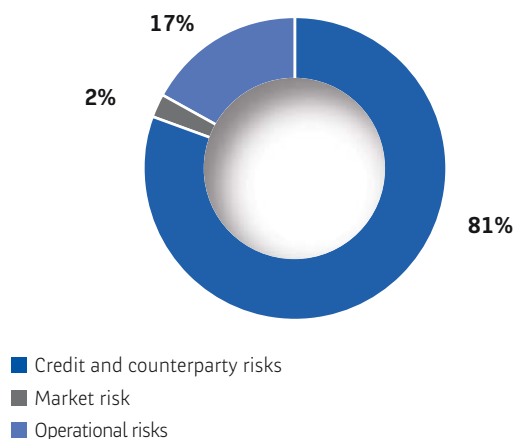
RISK MANAGEMENT

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4.1 GENERAL PROCEDURES FOR RISK CONTROL AND MONITORING

Key figures

Weighted assets by type of risk at 31 December 2015



Indicators	31.12.2015	31.12.2014
Cost of risk on loans (in bp)	23	23
Gross rate of doubtful loans	1.61%	1.35% ⁽¹⁾
Total RWA	€54,208M	€52,662M
Gross hedging rate of doubtful loans	39.4%	43.5%
LCR EBA	218%	184%

(1) Policy change that took place in 2015 (modification of the basis of calculation).

4.1.1 Reference framework

La Banque Postale's internal control system is governed by:

- ▶ the decree of 3 November 2014 on the additional monitoring of financial conglomerates;
- ▶ the decree of 3 November 2014 on internal control;
- ▶ the decree of 3 November 2014 on prudential supervision on a consolidated basis.

The "size" of the institution is embodied in the prudential regulations to regulate the level of obligations to be met in relation to governance, the risk management and control system and capital requirements.

To ensure compliance at all times with the regulatory ratios (solvency, liquidity and leverage), institutions must integrate systems to measure risks taken and potential risks, as well as capital and liquidity management systems. The support for large establishments to develop an internal capacity to evaluate their risks is to be noted within this text.

The role of the supervisory body has been significantly reinforced and it is now responsible for examining the bank's governance system and evaluating its efficiency, for approving and regularly reviewing the strategies governing the taking, management, monitoring and reduction of identified and potential risks. The decree on internal control specifies this role in the definition of the supervision guidelines and policy, approval of the overall limits (in particular liquidity), in establishing a strategy for business continuity and remuneration policy.

As of 1 January 2015, the Supervisory Board of institutions deemed "large" must create three *ad hoc* committees under the terms of the French Monetary and Financial Code, including a Risk Committee.

To support this new role, members of the Supervisory Board shall have the necessary knowledge, skills and expertise to understand and monitor the Group's strategy and appetite for risk. Accordingly, the powers of the ACPR regarding directors, as well as company managers, are reinforced regarding appointments and the assessment of expertise in particular.

Implementation of the CRD IV directive and CRR regulation and the current methodology used to calculate capital requirements:

La Banque Postale has implemented the requirements of Basel 3 since 1 January 2014, namely:

- ▶ the new calculations of solvency ratios with:
 - new weighting rules covering credit institutions (including application of weighting based on the external rating of the institution, rather than on the State where it is based),
 - a change to the application of the Financial Conglomerates Directive for calculating equity;
- ▶ implementing the LCR (short-term liquidity ratio) calculations produced for the regulator;
- ▶ the production of information on the NSFR and leverage ratio to regulators for the calibration of future indicators and associated limits.

The solvency ratio is calculated on a consolidated perimeter; insurance holdings are consolidated by the equity method.

The standard approach is used to quantify the capital requirement under Pillar I for:

- ▶ credit risk;

- ▶ market risk;
- ▶ operational risks.

The general approach is employed, with use of the regulatory settings to apply risk reduction techniques.

For operational risk, the capital requirements are independent of the level of loss under this risk. The amount is calculated based on the NBI generated by each banking activity (including the bank's main activity of retail banking). Each business is weighted (from 12% to 18% for the most risky).

The regulatory framework is divided into internal rules, validated by the Bank's Executive Board:

- ▶ the Risk Management Policy (RMP) for risk management and the Risk Charter (documents prepared by the Group Risk Department and approved respectively in April 2015 and October 2015 by the Executive Board);
- ▶ the Internal Audit Charter for periodic control procedures;
- ▶ the Permanent Control Charter for permanent control.

In addition to the customer segments that were already managed by means of risk control systems already in place since the Bank's creation (Sovereign, Banking and Insurance, Retail Banking) and after receiving successive approvals for the financing of companies and local public sector entities, the Bank has added its own risk control systems.

4.1.2 Operational forms of the reference framework

The Executive Board sets the fundamental principles (strategic orientations, values, appetite for risk, governance) around which each business line arranges its priorities and the associated risk management system under the supervision of the Group Risk Department. These fundamentals are reflected in the Risk Management Policy.

The risk management system has three lines of defence that constitute the general framework of internal control:

- ▶ a first line within the operational business lines responsible for applying the risk management procedures which they will have defined in advance in liaison with the DRG;
- ▶ a second line consisting of the Group Risk Department, which ensures the existence of an appropriate, uniform framework to define and improve the risk management procedures;
- ▶ a third line via internal controls designed to give an independent idea of the effectiveness of the risk management system in place.

The internal control system of La Banque Postale includes permanent and periodic controls. This is based on:

- ▶ a Risk Management Policy and a charter of the Risk Management unit drawn up by the Group's Risk Management Division; a Permanent Control Charter of the La Banque Postale Group drawn up by the Compliance and Permanent Control Division and by the Risk Management Division; a Periodic Control Charter of the La Banque Postale Group drawn up by the inspectorate general. It

establishes a series of principles for risk management and control that must be implemented by each management entity in charge of processes. Each department defines documents and maintains a booklet of its procedures. These include the audit point or points necessary to ensure quality operations;

- ▶ the **responsibility of all the players**, which constitutes the basis of effective management and control procedures. All employees must ensure that the work that they perform and the transactions that they handle are executed in accordance with the expected procedures and the level of quality required. They must be in a position to account for the effective management of the work that they perform and the inherent risks of that work at any time. This principle relies on close involvement of managers;
- ▶ **proportionality between the controls in place and the level of risk to be managed**. Each manager shall analyse their own risk and implement an appropriate control framework in order to achieve a reasonable level of confidence that their business activities are properly managed, and that they comply with the Company's internal and external standards and regulations;
- ▶ **thoroughness of the scope of the control procedures**. It covers all the activities of La Banque Postale. These procedures apply to all kinds of risk, to all those employed directly by the Bank and all those acting in its name and on its behalf, and to all the entities of La Banque Postale Group. The internal control procedures also extend to essential services that have been outsourced.

4.2 RISK MONITORING AND CONTROL

4.2.1 Structural risk factors

The information presented in this section is an integral part of the consolidated financial statements certified by the statutory auditors as information required by IFRS 7.

The Bank has conducted a review of the risks that could have a significant unfavourable effect on its business activities, on its financial position or its results (or on its ability to meet its targets), and believes that there are no material risks other than those presented.

La Banque Postale's structural risk factors are primarily linked to its retail banking activities: **liquidity risk** and **interest rate risk** associated with converting short-term customer deposits to long-term use, **credit risk** on loans granted to its customers and **operational risks** on banking activities.

The **market risk** is also a structural risk factor which is closely monitored by La Banque Postale.

4.2.2 Capital requirements and capital adequacy

Within the prudential scope, insurance companies, the CNP group, La Banque Postale Prévoyance, La Banque Postale Assurances IARD and La Banque Postale Assurance Santé are consolidated using the equity method. The scope and accounting consolidation methods are presented in Note 12 to the consolidated financial statements. La Banque Postale Group has been classified as a financial conglomerate by the French Prudential Supervision and Resolution Authority (ACPR) pursuant to the terms of the EU Financial Conglomerates Directive into French law, and its equity must always be greater than, or equivalent to, the total solvency requirements applicable respectively to its banking and insurance business activities. These requirements are satisfied as at 31 December 2015.

4.2.2.1 Transition from the accounting balance sheet to the prudential balance sheet at 31 December 2015

As stated above, the field of application of the prudential scope as defined in the Order of 20 February 2007 pertaining to capital requirements is different from the field of application of the accounting consolidation scope whose composition is subject to the application of the IFRS.

(€ '000s)	31.12.2015 Statutory format	Adjustments linked to insurance companies consolidated using the equity method	31.12.2015 Prudential format
ASSETS			
Cash and central banks	1,811,631	0	1,811,631
Financial assets at fair value through profit and loss	11,035,274	(78,984)	10,956,290
Hedging derivatives	1,228,567	0	1,228,567
Available-for-sale financial assets	15,610,500	(2,062,718)	13,547,782
Loans and receivables – credit institutions	83,101,861	(1,252)	83,100,609
Loans and receivables – customers	73,628,314	7,499	73,635,813
Revaluation differences on interest rate risk hedged portfolios	178,258	0	178,258
Financial assets held to maturity	24,157,604	(32,765)	24,124,839
Current tax assets	229,206	(1,189)	228,017
Deferred tax assets	296,287	(1,976)	294,311
Accruals and other assets	3,163,141	(560,352)	2,602,789
Non-current assets held for sale	2,349	0	2,349
Deferred profit-sharing	0	0	0
Investments in associates	2,917,881	255,815	3,173,696
Investment property	0	0	0
Property, plant and equipment	657,030	(1,504)	655,526
Intangible assets	499,565	(170,230)	329,335
Goodwill	190,510	0	190,510
TOTAL	218,707,978	(2,647,656)	216,060,322
LIABILITIES			
Central banks	0	0	0
Financial liabilities at fair value through profit or loss	657,456	0	657,456
Hedging derivatives	326,058	0	326,058
Payables - credit institutions	15,741,232	(4,307)	15,736,925
Payables - customers	171,771,151	2,453	171,773,604
Debt securities	9,054,583	0	9,054,583
Revaluation differences on interest rate risk hedged portfolios	704,319	0	704,319
Current tax liabilities	13,787	(4,849)	8,938
Deferred tax liabilities	127,620	(94,253)	33,367
Debts linked to non-current assets held for sale	0	0	0
Accruals and other liabilities	5,199,159	(195,423)	5,003,736
Underwriting provisions of insurance and shadow companies	2,008,711	(2,008,711)	0
Provisions	770,523	(2,075)	768,448
Subordinated debt	3,189,017	0	3,189,017
Non-controlling interests	238,570	(211,134)	27,437
Equity, Group share	8,905,790	(129,357)	8,776,433
Equity capital	4,046,408	0	4,046,408
Consolidated reserves and others	3,299,020	(129,350)	3,169,669
Gains and losses recognised directly in equity	853,551	(7)	853,544
Profit/(loss) for the period	706,811	(0)	706,811
TOTAL	218,707,978	(2,647,656)	216,060,322

4.2.2.2 Composition of equity

Reconciliation of accounting equity and regulatory capital

	31.12.2015	31.12.2014
	Phased-in Basel 3	Phased-in Basel 3
Group shareholders' share capital and retained earnings	8,776,433	8,405,536
Dividend plan	(318,082)	(304,712)
Deduction of <i>goodwill</i> and other intangible fixed assets	(519,845)	(484,420)
Transitory and other adjustments applicable to CET1 equity capital	(783,699)	(925,606)
Common Equity Tier 1 capital	7,514,807	6,690,798
Eligible AT1 equity instruments	800,000	800,000
Additional T1 equity	800,000	800,000
T1 equity	7,954,807	7,490,798
Capital instruments and subordinated loans	2,013,409	1,339,840
Other reintegrations	155,434	147,205
T2 equity	2,168,844	1,487,045
Total capital	10,123,650	8,977,843

4.2.2.3 Super-subordinated securities and preferred shares

Issuer		La Banque Postale		
ISIN	FR0011659184	FR0010969410	FR0011855865	FR0013054913
Law governing the instrument	French law	French law	French law	French law
Regulatory treatment				
Transitory CRR regulations	Additional T1 equity	T2 equity with <i>grandfathering</i>	T2 equity	T2 equity
CRR rules after transition	Additional T1 equity	Not eligible	T2 equity	T2 equity
Level	Consolidated	Consolidated	Consolidated	Consolidated
Type of instruments	Additional CET1 (art. 51/52 of the CRR)	Tier 2 subordinated securities (art. 484)	Tier 2 subordinated securities (art. 63)	Tier 2 subordinated securities (art. 63)
Amount recorded in regulatory capital (€ '000s)	800,000	750,000	750,000	750,000
Nominal value of the instrument (%)	100	100	100	100
Issue price (%)	100	99,310	99,705	99,623
Buyback price		100	100	100
Accounting category	Liabilities at amortised cost	Liabilities at amortised cost	Liabilities at amortised cost	Liabilities at amortised cost
Date of initial issue	13.12.2013	30.11.2010	23.04.2014	19.11.2015
Term	Perpetual	Fixed-term	Fixed-term	Fixed-term
Initial maturity	No maturity date	30.11.2020	23.04.2026	19.11.2027
Buyback option subject to the prior approval of the supervisory authority	Yes	Yes	Yes	Yes
Optional date for exercising the option	13.12.2019 Option in the case of regulatory, fiscal, accounting event or methods for calculating the solvency ratio	Option in the case of fiscal event	23.04.2021 Option in the case of regulatory or fiscal events	19.11.2022 Option in the case of regulatory or fiscal events
Subsequent dates	Every 5 years from 13.12.2019			
Coupons/dividends				
Dividend/coupon	Fixed	Fixed	Fixed	Fixed
Coupon rate	8%	4,375%	2.75%	2.75%
Existence of a mechanism to suspend dividend/coupon payments	Yes	No	No	No
Full discretion, partial discretion or mandatory (in terms of schedule)	Full discretion	Mandatory	Mandatory	Mandatory
Full discretion, partial discretion or mandatory (in terms of the amount)	Full discretion	Mandatory	Mandatory	Mandatory
Existence of a step-up mechanism or another buyback incentive	No	No	No	No
Cumulative or non cumulative	No	No	No	No
Convertible or non-convertible	Yes	Yes	No	No
If convertible, conversion trigger	Decision of the holder or falling 7% under the solvency ratio specified for CET1	Reaching maturity or regulatory disqualification		
If convertible, fully or partially	Always fully converted	Always fully converted		
If convertible, conversion rate	Based on the issuer's equity at the time of conversion	At par		

Issuer	La Banque Postale			
	Mandatory upon trigger criteria and on the choice of the holder	Optional at the choice of the issuer		
If convertible, conversion mandatory or optional				
If convertible, type of instrument converted to	T1 equity	Other		
If convertible, issuer of the instrument converted to	Holder	Holder		
Characteristics in terms of capital reduction	No	No		
In the event of a capital reduction, reduction trigger				
In the event of a capital reduction, total or partial				
In the event of a capital reduction, permanent or temporary				
In the event of a capital reduction, description of the mechanism to re-increase the equity capital				
Rank of the instrument in the case of liquidation				
Existence of non-compliant characteristics	No	No	No	No

4.2.2.4 Capital requirements and capital adequacy

Since 4 November 2014, La Banque Postale has been under the direct supervision of the European Central Bank (ECB). As the sole supervisor, the ECB has as its objective to harmonise the practices of banking supervision for all of the countries in the euro zone (banking union).

Following the Supervisory Review and Evaluation Process (SREP) led by the ECB in 2015, the level of CET1 equity phased-in required

on a consolidated basis for La Banque Postale was set at 9.25% on 1 January 2016. As the French Prudential Supervision and Resolution Authority (ACPR) had furthermore classified La Banque Postale as an "other systemic institution", an additional equity buffer was applied. This amounted to 0.0625% as at 1 January 2016. It will increase in a linear manner to reach the target level of 0.25% in 2019.

The total CET1 requirement applicable to La Banque Postale thus stood at 9.3125% as at 1 January 2016. The full target ratio, including the cushion of 0.25%, will be 9.5% in 2019.

(€ millions)	12.2014	06.2015	12.2015
	CRR	CRR	CRR
TOTAL RISK WEIGHTED ASSETS	52,662	53,765	54,208
Credit risk-weighted assets (including CVA (credit value adjustment))	42,516	43,268	43,815
including Central administrations and central banks	55	88	102
including Institutions	4,693	5,198	5,240
Credit institutions	3,859	4,218	4,272
Other institutions including local authorities	833	980	968
including Companies	5,336	5,665	5,564
including Retail customers	23,264	23,994	24,179
including Shares	5,128	4,940	4,723
including Other assets that are not credit obligations	3,640	2,984	3,685
including Securitisation positions under standard approach	68	63	55
including CVA	331	335	268
Market risk-weighted assets	1,271	1,622	1,215
including General rate risk	445	524	386
including Specific risk	553	841	668
including Equity risk		-	
including exchange rate risk	273	257	160
Operational risk-weighted assets	8,875	8,875	9,179
Common Equity Tier One amounts	6,691	7,043	7,155
Tier 1 capital amounts	7,491	7,843	7,955
Total prudential capital amounts	8,978	9,247	10,124
COMMON EQUITY TIER 1 RATIO	12.7%	13.1%	13.2%
TIER 1 RATIO	14.2%	14.6%	14.7%
SOLVENCY RATIO	17.0%	17.2%	18.7%

Risk-weighted assets over the year in 2015 increased by 3%, or €1,547 million for a growth of net outstandings of €2,739 million.

Credit risk-weighted assets increased by €1,299 million.

The growth of outstanding amounts on home loans and consumer loans of LBPF generated an increase of risk-weighted assets of €734 million.

The development of corporate loans generated €1,020 million in additional RWA.

These increases were offset by a drop in the shares segment of €405 million.

RWA with respect to market risk was stable.

Operational risk-weighted assets increased by €304 million in line with growth in the bank's NBI.

Conglomerate ratio

(€ '000s)

	31.12.2015	31.12.2014	Change
LBP Group equity	10,123,650	8,977,843	1,145,807
Addition of specific items for insurance entities	2,745,024	2,703,954	41,010
Total equity – financial conglomerate	12,868,674	11,681,797	1,186,877
Banking solvency requirement	4,337,159	4,208,454	128,705
Margin requirements for insurance entities	2,761,706	2,706,601	55,105
Surplus or insufficient equity	5,769,809	4,766,743	1,003,066
Ratio	181%	169%	

4.2.2.5 Capital steering and internal capital adequacy

La Banque Postale has implemented a planning system for its capital at the level of the Group, in order to ensure that the following objectives are met:

- ▶ assess the Group's current position in terms of solvency with respect to the risk profile of the Group and its appetite for risk;
- ▶ anticipate future needs through medium-term forecasts integrating internal and external constraints, investment opportunities, as well as any regulatory developments which may impact the bank's capital structure;
- ▶ assess capital adequacy and see to the adequate allocation of its equity between its businesses and subsidiaries, with a view to the Risk/Rewards piloting;
- ▶ define the measures required to achieve the capital objectives defined by management together with its major shareholders.

This planning approach is fully integrated into the strategic piloting of the bank; it is implemented by Finance Department and relies on the following two processes:

The **Capital Management Committee** created in 2014, which meets every quarter under the chairmanship of the Chairman of the Executive Board. The Committee is responsible for:

- ▶ defining the objectives in relation to capital management (target ratios, etc.);
- ▶ examining the equity path and defining the action plans which are necessary in order to achieve the capital objectives defined by management (share issues, capital increase requests, arbitrages/ business orientations, etc.);
- ▶ managing the allocation of equity budgets to the different businesses, subsidiaries and projects in line with the strategic priorities;
- ▶ validating preventive actions tied to the financial strength of the bank, suggested by the Stress Test Operational Committee,

based on the internal stress test results and those conducted at the request of regulators;

- ▶ examining the recommendations of regulatory and supervisory authorities and their impact on La Banque Postale's capital and the methods used.

The **RWA Committee** created in 2014 and chaired by the Finance Department and the Group Risk Department. This committee, which meets quarterly, has as its mission, on the one hand, to validate the assumptions of projected weightings and prudential outstandings; and, on the other, to monitor the developments of the RWA of the businesses in comparison with the RWA estimated in the budget framework.

La Banque Postale also has a process to assess the adequacy of its internal capital (ICAAP), which is built upon the following elements:

- ▶ the assessment and the projection of capital requirements induced by the principal risks of the Group;
- ▶ the evaluation of the Group's financial strength in a stressed economic scenario, through the implementation of an annual internal stress test exercise.

As part of the capital management, the maintenance and development of the recovery plan of the Group are overseen by the Finance Department.

Pursuant to the provisions of the European Directive of 15 May 2014 "establishing a framework for recovery and resolution" transposed by Ordinance No. 2015-1024 of 20 August 2015, La Banque Postale submitted, in December 2015, its preventive recovery plan to the supervisory authority, approved beforehand by the Supervisory Board.

Additionally, La Banque Postale monitors regulatory developments pertaining to recovery and resolution, as well as the work of the Single Resolution Panel⁽¹⁾ which in particular determines requirements in respect of MREL (Minimum Requirement for own funds and Eligible Liabilities).

Not being a bank of worldwide systemic importance, La Banque Postale is not subject to the TLAC (Total Loss Absorbing Capacity). It remains, however, attentive to its developments.

(1) The Single Resolution Council has been fully operational since 1 January 2016.

4.2.2.6 Estimated CRR leverage ratio

(€ millions)	31.12.2015 (prior to delegated act)	31.12.2015 (after delegated act)
Tier 1 capital	7,955	7,955
Total of the IFRS balance sheet	216,060	216,060
Adjustments	+13,369	(61,925)
Exposure to leverage ratio	229,429	154,135
CRR leverage ratio	3.5%	5.2%

The estimated leverage ratio after the application of the delegated act which neutralises the linked assets and liabilities is 5.2%⁽¹⁾.

The leverage ratio has been the subject since 1 January 2015 and up to 31 December 2017 of an observation and calibration phase by the European Banking Authority (EBA) and may, as from January 2018, become a ratio under Pillar 1, within the terms of application which the European Commission may propose to Parliament in its report expected at the end of 2016.

4.2.2.7 Publication of SIFI indicators QIS G-SIBs – Data at 31 December 2015

In accordance with the recommendations of the national supervisor, La Banque Postale sets out below its ten indicators relating to financial institutions of systemic importance to the global economy. These data were established according to the Basel Committee's specific instructions on banking control and cannot be directly compared to other information published by La Banque Postale.

(€)		31.12.2015	31.12.2014 pro forma
Size	Total assets	216,060,322,000	210,506,052,000
Importance (including substitutability/ financial system infrastructure)	Value of domestic payment transactions	647,237,649,795	619,887,968,469
	Private sector deposits from depositors in the EU	165,557,292,668	162,967,294,374
	Private sector loans to recipients in the EU	64,641,263,464	60,848,795,271
Complexity/cross-border activity	Value of OTC derivatives (notional)	76,129,623,293	60,558,394,015
	Cross-jurisdictional liabilities	2,427,406,088	1,108,817,454
	Cross-jurisdictional claims	19,815,605,823	22,763,679,325
Interconnectedness	Intra financial system liabilities	20,208,267,285	19,536,825,650
	Intra financial system assets	29,600,454,199	26,388,346,282
	Debt securities outstanding	12,248,201,000	11,853,228,000

4.2.3 Credit risks

The information presented in this section is an integral part of the consolidated financial statements certified by the statutory auditors as information required by IFRS 7.

4.2.3.1 Credit risk and counterparty risk management policy

The Group Risk Department reports to the Group Risk Management Committee on the drafting and implementation of measures for monitoring and managing credit risks relating to retail and corporate customers in accordance with the decree of 3 November 2014.

In terms of risk monitoring procedures, the Group Risk Department defines the monthly credit risk monitoring indicators approved by the Group Risk Management Committee.

The Group Risk Department hedges credit risk, i.e., the risk incurred in the event that a counterparty defaults (or counterparties considered as a single beneficiary within the meaning of (EU) Regulation No. 575/2013 of the European Parliament and Council relating

to the prudential requirements applicable to credit institutions and investment firms (CRR of 26 June 2013), in particular Articles 387 to 403 and 493.

Review of the internal model ratings in order to adapt them to the new Basel 3 requirements

In connection with the arrangements for granting loans and controlling credit risk, credit rating models for individuals and institutions have been changed significantly since the launch of the Basel 2 Internal Models project in 2013. In particular, this project has enabled a documentary improvement to the use of these models and the implementation of a process created to validate the models, including separation with effect from 2013 of the modelling and validation functions.

In 2015, emphasis was placed on the process of consolidated vision of outstanding amounts, which was updated when an adapted monitoring tool was set up.

(1) Taking account of the delegated act published by the European Commission on 10 October 2014, on processing savings centralised within the Caisse des dépôts (CDC) subject to authorisation by the ECB.

Improvement of the organisation and management of credit risk

The Risk Management Policy and the Risk Charter have been reflected by the establishment of a robust and durable risk structure, taking into account all the changes to La Banque Postale since its inception in order to secure the Group's future results, and taking best market

practices into account in order to measure and control the risks, with the use of internal models for the determination of internal capital.

The risk unit was completely deployed regionally, and has regionalised dashboards to monitor and pilot its risk by staying close to the ground. These dashboards are also used at the centralised level and contribute to the fluidity of exchanges between the centralised functions and the regional functions of the risk unit.

Risk exposure of La Banque Postale Group

(€ '000s)	31.12.2015	31.12.2014
Financial assets at fair value through profit and loss	10,480,239	9,376,732
Trading derivatives	555,035	296,964
Hedging derivatives	1,228,567	1,532,205
Available-for-sale financial assets	15,610,500	13,101,974
Loans and receivables – credit institutions	83,101,861	83,314,646
Loans and receivables – customers	73,628,314	67,856,592
Assets held to maturity	24,157,604	28,296,514
Balance sheet exposure net of impairment charges	208,762,120	203,775,627
Financing commitments given	17,269,595	17,947,758
Guarantees given	3,066,520	3,435,645
Off-balance sheet exposure net of impairment charges	20,336,115	21,383,403
TOTAL NET EXPOSURE	229,098,235	225,159,030

4.2.3.2 Credit risk on retail customers

4.2.3.2.1 Credit risk on retail customers: framework and definition

In terms of financing to individuals, the activities conducted by La Banque Postale Group that give rise to a credit risk include:

- ▶ home loans to individuals and to high-net-worth Limited Property Investment Partnerships (SCIs) (La Banque Postale and its subsidiaries BPE and SOFIAP);
- ▶ overdrafts and means of payment granted to individuals (La Banque Postale and its subsidiary BPE);
- ▶ consumer loans (La Banque Postale Financement, BPE, as well as La Banque Postale for former loans to employees of Le Groupe La Poste);
- ▶ personal micro-loans (La Banque Postale).

Risk management

For retail credit, the Group Risk Department defines, for La Banque Postale Group, the rules and tools governing risk-taking and management of inherent risk, and monitors the effective application of these rules and the proper use of the rules and the functioning of the tools at the level of La Banque Postale S.A., La Banque Postale Financement and BPE and SOFIAP.

It develops the rules for granting and committing to loans.

The Retail Credit Risk Department supervises the LBP Retail Credit Risk Committee that is the highest appointed body within the La Banque Postale Group for making loans to individuals

For management of inherent risk, the Group Risk Department is responsible for the rules on covering risk, working with the Legal Department, the Operations Department and the departments governing provisions for accounts receivable in relation to the Accounts Department.

Beyond the scope of its own authority, it has these “rules of the game” approved by the Group Risk Piloting Committee (chaired by a member of the Executive Board) or by the Executive Board, if requested by the Chairman of the Group Risk Piloting Committee.

After validation, the Retail Credit Risk Department ensures implementation and monitors the proper application of these rules throughout the loan process.

As part of the deployment of the risk unit, the Risk Officers of LBPF, BPE and SOFIAP were placed under the supervision of the Head of Group Risk, in July 2014, January 2015 and November 2015 respectively.

In compliance with applicable regulations, the Retail Credit Risk Department guarantees implementation of audit and risk monitoring procedures and coordinates all necessary related steps.

Monitoring is provided by the Group Risk Piloting Committee over the consolidated scope with specific monitoring of each of the subsidiaries.

La Banque Postale's mortgage guarantee system

General principle

The general principle is that any financing must be fully covered by an “eligible” guarantee, which provides an adequate level of cover:

- ▶ top tier mortgage security rights (or top tier equivalent): money-lender's privilege, conventional mortgage, mortgage pledge granted by a third party as guarantee of a borrower's debt;
- ▶ pledge of financial products (life insurance policies, securities accounts, REIT units) in compliance with the loan amount covered by the pledged savings, as specified in the general terms and conditions for granting loans, depending on the type of investments pledged (equity, bonds, monetary, etc.);
- ▶ guarantee provided by a body authorised and pre-approved by La Banque Postale's Guarantor Referencing Committee.

By way of exception to the preceding principles

Some small home improvement loans are granted with no guarantee.

Bridging loans can be granted without any "eligible" guarantee, if the sale agreement or the promise of sale for the asset that is the subject of the loan has been signed, and the conditions precedent favouring the buyer of the asset have been lifted. In such a case, the bank can take a simple pledge of mortgaged assets (PAH) on the asset to be sold.

If the quality of the file so justifies, the bank may grant an unguaranteed loan, provided that all the unguaranteed loans granted to the same customer together do not exceed the limit fixed by the terms and conditions for granting loans.

If the quality of the file so justifies, La Banque Postale may accept a guarantee from an individual as the principal guarantee, within the limits fixed by the terms and conditions for granting loans.

4.2.3.2.2 Credit risk exposure on transactions with retail customers**2015 financial year**

(€ millions)	31.12.2015					
	Balance sheet (gross)		Off-balance sheet (gross)		Total exposure	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Home loans	54,214	96%	2,275	4%	56,490	81%
Consumer loans	4,553	90%	519	10%	5,072	7%
Current accounts in debit and similar	681	8%	7,867	92%	8,548	12%
TOTAL	59,448	85%	10,662	15%	70,110	100%

2014 financial year

(€ millions)	31.12.2014					
	Balance sheet (gross)		Off-balance sheet (gross)		Total exposure	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Home loans	53,631	96%	2,389	4%	56,020	81%
Consumer loans	4,043	88%	529	12%	4,572	7%
Current accounts in debit and similar	724	8%	8,108	92%	8,832	13%
TOTAL	58,397	84%	11,027	16%	69,424	100%

The distribution of exposure is nearly stable compared with the previous year.

Guarantees received**2015 financial year**

(€ millions)	31.12.2015									
	Security rights		Guarantee by a legal entity		Guarantee by an individual		Unguaranteed		Balance sheet (gross)	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Home loans	17,526		35,209		18		1,461		54,214	
▶ performing loans	17,227	32%	35,028	65%	18	0%	1,428	3%	53,701	99%
▶ impaired loans	299	58%	181	35%	-	0%	33	6%	513	1%
Consumer loans	3		9		1		4,539		4,553	
▶ performing loans	3	0%	8	0%	1	0%	4,227	100%	4,239	93%
▶ impaired loans	-	0%	2	0%	-	0%	312	100%	314	7%

2014 financial year

(€ millions)	31.12.2014									
	Security rights		Guarantee by a legal entity		Guarantee by an individual		Unguaranteed		Balance sheet (gross)	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Home loans	15,925		36,797		27		881		53,631	
▶ performing loans	15,667	29%	36,644	69%	27	0.1%	856	2%	53,195	99%
▶ impaired loans	258	59%	153	35%	-	0%	25	6%	436	0.82%
Consumer loans	4		5		1		4,033		4,043	
▶ performing loans	4	0.1%	4	0.1%	1	0.03%	3,847	100%	3,857	95%
▶ impaired loans	-	0.0%	1	0.3%	-	0%	186	100%	186	4.83%

The share of home loans guaranteed by a legal entity dropped significantly (65% in December 2015 versus 68.6% in December 2014). This difference is stated in favour of the share of security rights, together with the increase of social-access loans (*Prêt à l'Accession Sociale*, or PAS).

Almost all outstanding consumer loans are without guarantees.

Credit quality of financial assets that are neither doubtful nor impaired on an individual basis – Customers

(€ millions)	31.12.2015		31.12.2014	
	Amounts outstanding	%	Amounts outstanding	%
Performing home loans	53,701	100%	53,195	100%
▶ without arrears	53,373	99.4%	52,951	99.5%
▶ with arrears	328	0.6%	243	0.5%
Performing consumer loans	4,239	100%	3,857	100%
▶ without arrears	4,163	98.2%	3,814	98.9%
▶ with arrears	76	1.8%	43	1.1%

The portion of performing loans not in arrears remained very stable (99.4% as compared with 99.5% in 2014). The portion of the performing consumer loans with arrears increased slightly in proportion, going from 1.1% to 1.8%.

Doubtful financial assets – Customers

2015 financial year

(€ millions)	31.12.2015										
	Non-impaired loans with arrears							Guarantees			
	≤ 30 days	> 30 d ≤ 60 d	> 60 d ≤ 90 d	> 90 d ≤ 180 d	> 180 d	Total	Impaired loans	Security rights	Guarantee by a legal entity	Guarantee by an individual	Unguaranteed
Home loans	195	63	34	37	-	328	513	409	396	1	37
Consumer loans	20	12	11	18	15	76	314	0	2	71	316
TOTAL	215	75	45	55	15	405	826	409	398	72	353

2014 Financial Year

(€ millions)	31.12.2014										
	Non-impaired loans with arrears							Guarantees			
	≤ 30 days	> 30 d ≤ 60 d	> 60 d ≤ 90 d	> 90 d ≤ 180 d	> 180 d	Total	Impaired loans	Security rights	Guarantee by a legal entity	Guarantee by an individual	Unguaranteed
Home loans	112	56	37	39	-	243	436	330	320	1	30
Consumer loans	21	22	-	-	-	43	186	-	1	42	186
TOTAL	133	78	37	39	-	287	623	330	320	43	216

Impaired home loans recorded a €77 million increase. A portion of this increase came from a change in methodology which took place in 2015 (downgrading of restructured loans as doubtful, which had previously been classified as sensitive).

The balance of doubtful consumer loans in arrears and impaired consumer loans increased by €161 million in 2015 compared to 2014.

Breakdown of individually impaired financial assets – Private customers

2015 financial year

(€ millions)	31.12.2015			
	Receivables (a)	Retained value of the guarantee	Updated provisions (b)	Updated provision rate (b)/(a)
IMPAIRED HOME LOANS				
Security rights	262	219	78	30%
Guarantee by a legal entity	126	122	10	8%
Guarantee by an individual	1	0	0	26%
Unguaranteed	27	0	12	46%
Loans classified as doubtful according to the contagion principle, but not in arrears	97	90	13	14%
Total impaired home loans	513	431	114	22%
Impaired consumer loans	314	1	149	47%
Total impaired consumer loans	314	1	149	47%
Impaired current accounts in debit and similar	129	0	109	84%
Impaired current accounts in debit and similar	129	0	109	84%

2014 Financial Year

(€ millions)	31.12.2014			
	Receivables (a)	Retained value of the guarantee	Updated provisions (b)	Updated provision rate (b)/(a)
IMPAIRED HOME LOANS				
Security rights	218	154	71	33%
Guarantee by a legal entity	87	87	8	9%
Guarantee by an individual	-	-	-	-
Unguaranteed	23	-	20	87%
Loans classified as impaired according to the contagion principle, but not in arrears	108	95	12	11%
Total impaired home loans	436	336	112	26%
Impaired consumer loans	186	1	107	58%
Total impaired consumer loans	186	1	107	58%
Impaired current accounts in debit and similar	139	-	119	85%
Total impaired current accounts in debit	139	0	119	85%

The provision rate for home loans decreased by 26% to 22%, notably because of write-offs of dossiers provisioned by BPE.

The current account provision rate fell from 85% to 84%.

4.2.3.3 Credit risk on non-retail customers

La Banque Postale's business activities generate credit risk on two levels:

- ▶ within the scope of its commercial economy-financing activities, in September 2011, La Banque Postale obtained authorisation from the French Prudential Control and Resolution Authority to offer financing to corporate customers ("PMOs"). In view of the product ranges offered, the primary customer segments are currently the following: companies, local authorities, public health institutions, social housing associations and non-profit associations;
- ▶ within the scope of its financial market transactions, La Banque Postale must also manage credit risk stemming from interbank cash transactions such as deposits, loans and buybacks (with respect to financial institutions) and issuer risk on debt securities (from Companies, Financial Institutions, Sovereign States, Local Authorities) in the trading room.

These risks come in the form of balance sheet and off-balance sheet commitments (guarantees, collateral, investments of La Banque Postale's insurance subsidiaries, un-drawn proportion of loans granted, etc.).

La Banque Postale has retained a prudent approach and a gradual ramp-up of the business.

The range of finance options offered by La Banque Postale currently includes: overdraft facilities, advances on grants, equipment leasing, medium-term credit for business start-ups and takeovers, bilateral or syndicated loans for large corporate clients, property leasing and factoring business.

In 2015, the range of financing was supplemented by an overdraft offer for small- and medium-sized enterprises of significant size (> €30 million in revenue) or intermediate-size entities with top rating.

Since 2012, La Banque Postale has been providing a financing offering to customers from the Local Social Economy (social housing associations, mutual insurance companies, local and regional authorities, public health establishments, management associations, local non-profit associations): cash lines, medium and long-term financing. Since 2014, the short-term and medium/long-term

financing offers were extended to Social Housing Promoters and semi-public companies.

In 2015, the offers extending to social housing associations and management associations was added to, with the incorporation of the Social Rental Loan.

Since May 2015, La Banque Postale has been deploying an offer of simple derivatives without margin call, intended for Large Corporates, Institutions, Financial Institutions of the housing-financing type (Housing Financing Company) or mortgage-credit type (Mortgage Credit Company), Large Local Authorities, Public Health Institutions, Social Housing Associations.

1) General provisions

La Banque Postale's granting and commitment rules are drawn up in accordance with Articles 111 and 112 of the decree of 3 November 2014 on the internal control of companies in the banking, payment and investment services sector subject to the French Prudential Control and Resolution Authority.

The investigation and decision-making process is based upon: eligibility conditions, analysis and the determination of a financial score specific to each segment, and in some cases, the collection of guarantees.

The aim of the risk management system selected for corporate customer financing is to detect risks at every level in each of the business processes (granting, management, recovery and provisioning). It is based on the following elements:

- ▶ a complete Loan Committee system at different levels of the Bank and an assignee plan tailored to each segment;
- ▶ individual risk monitoring procedures and a management platform for global risk.

For micro-businesses, SMEs, and non-profit associations, the general research and decision-making process is supplemented by a specific banking behaviour score.

For the local public sector, La Banque Postale has the option to refinance its medium and long-term loan production for local authorities and public health establishments with the Caisse Française de Financement Local.

According to the market, transactions of a unit amount greater than or equal to €10 million or €20 million must be approved by a member of the Executive Board.

2) Concerning investment

In investment matters, third parties are systematically rated and allocated an individual limit which is intended to limit the total commitment. Where applicable, these individual limits are supplemented by so-called group limits, which govern exposure to a group of third parties that are considered as a single beneficiary within the meaning of Article 4-39 of (EU) Regulation No. 575/2013 of the European Parliament and of the Council.

La Banque Postale's scope of activities is generally limited to "investment-grade" counterparties and issuers, i.e. those whose internal rating is at least BBB-.

The minimum rating is lowered to BB-⁽¹⁾ in some specific cases, particularly for loans to large corporate clients and to the local public sector, provided that the bank has an on-going business relationship or authorisation from the Executive Board.

Before it can carry out repurchases or forward financial instruments with financial institutions other than the Housing Financing

Companies (SFH) or Mortgage Credit Companies (SCF) exposing it to a counterparty risk, La Banque Postale must first ensure that there is an ISDA or FBF framework agreement with clauses concerning collateral. The quantitative aspects entered into such agreements (instruments concerned, threshold and frequency of margin calls, exemptions, etc.) shall be the subject of approval by the Group Risk Department. In the event of significant deterioration of the risk, the issuers and counterparties concerned are subject to strict monitoring by the Watch List Committee which reports to the Group Risk Management Committee.

The individual limits are supplemented with a set of limits aimed at limiting the risk of concentration on groups of counterparties classified according to their geographic area, business segment, type of activity and internal rating. These diversification limits can be reviewed monthly by the Group Risk Management Committee. This committee also validates a list of authorised countries and a list of authorised currencies.

4.2.3.3.2 Credit and market risk exposure with corporate customers**2015 financial year**

(€ millions)	31.12.2015					
Category	Sovereign	Bank	Corporate	Public admin.	Securitisation	Total
Financial assets at fair value through profit and loss	226	9,203	1,051	-	-	10,480
Available-for-sale financial assets	3,737	9,471	2,132	263	7	15,610
Loans and receivables – credit institutions	79,715	3,374	-	-	-	83,089
Loans and receivables – customers	1,281	2	9,003	4,153	381	14,819
Financial assets held to maturity	22,319	1,831	-	8	-	24,158
TOTAL	107,277	23,881	12,186	4,424	388	148,156

(€ millions)	31.12.2015				
Rating	AAA	AA	A	Other	Total
Financial assets at fair value through profit and loss	-	1,170	5,557	3,753	10,480
Available-for-sale financial assets	1,230	3,599	6,115	4,666	15,610
Loans and receivables – credit institutions	190	81,634	831	433	83,089
Loans and receivables – customers	234	858	4,321	9,406	14,819
Financial assets held to maturity	1,313	22,026	0	819	24,158
TOTAL	2,968	109,288	16,824	19,076	148,156

(€ millions)	31.12.2015			
Geographic area	France	Euro zone	Non-euro zone	Total
Financial assets at fair value through profit and loss	5,605	3,180	1,695	10,480
Available-for-sale financial assets	6,513	4,772	4,326	15,610
Loans and receivables – credit institutions	82,789	61	239	83,089
Loans and receivables – customers	14,225	264	330	14,819
Financial assets held to maturity	18,838	4,508	812	24,158
TOTAL	127,969	12,785	7,402	148,156

(1) According to the ACP correlation tables, BB- corresponds quality level 4 (BB- to BB+ at FITCH and S&P; Ba1 to Ba3 at Moody's; 4 to 5 at COFACE; 4 to 5+ at FIBEN).

2014 Financial Year

(€ millions)

31.12.2014

Category	Sovereign	Bank	Corporate	Public admin.	Securitisation	Total
Financial assets at fair value through profit and loss	783	7,556	1,038	-	-	9,377
Available-for-sale financial assets	2,873	7,999	2,132	88	8	13,101
Loans and receivables – Credit institutions	79,223	4,092	-	-	-	83,314
Loans and receivables – Customers	162	400	4,906	3,890	499	9,857
Financial assets held to maturity	26,463	1,823	-	11	-	28,297
TOTAL	109,504	21,869	8,076	3,990	507	143,946

(€ millions)

31.12.2014

Rating	AAA	AA	A	Other	Total
Financial assets at fair value through profit and loss	-	978	5,875	2,524	9,377
Available-for-sale financial assets	1,562	2,822	4,538	4,180	13,101
Loans and receivables – Credit institutions	-	80,826	1,446	1,042	83,314
Loans and receivables – Customers	290	578	1,610	7,379	9,857
Financial assets held to maturity	1,210	24,684	849	1,552	28,297
TOTAL	3,063	109,888	14,319	16,676	143,946

(€ millions)

31.12.2014

Geographic area	France	Euro zone	Non-euro zone	Total
Financial assets at fair value through profit and loss	5,561	2,712	1,104	9,377
Available-for-sale financial assets	5,998	4,728	2,375	13,101
Loans and receivables – credit institutions	82,340	947	26	83,314
Loans and receivables – customers	9,487	351	19	9,857
Financial assets held to maturity	21,510	5,921	866	28,297
TOTAL	124,896	14,659	4,390	143,946

Financial assets held to maturity

These are good quality assets, essentially consisting of bonds issued or guaranteed by euro zone countries as shown in the above tables (figures shown in millions of euros). The portion of sovereign issuers in this portfolio is 92%. In addition, 97% of portfolio positions consist of issuers with a first-class rating (AAA to AA-).

Financial assets at fair value through profit and loss

The financial assets at fair value through profit and loss essentially comprise securities. The bulk of the financial assets at fair value through profit and loss stem from bank issuers (88% of portfolio positions).

They consist of good quality assets mainly located in France, as shown in the above six tables (figures shown in millions of euros).

Loans and receivables – credit institutions

As part of its day-to-day business, La Banque Postale performs inter-bank transactions, including deposits and securities lending/borrowing.

The counterparty risk attached to inter-bank deposits is managed in the same way as issuer risk (the transactions are included in individual, group, and diversification limits).

At the end of December 2015, La Banque Postale's inter-bank deposits amounted to €3.4 billion. Deposits made with the Caisse des dépôts (reclassified in the "Sovereign" category since 1 January 2014 pursuant to the Capital Requirement Directive IV regulations), as backing for the funds collected on the Livret développement durable, Livret A, and LEP accounts was €75.3 billion at 31 December 2015.

Counterparty risk on securities lending and repos is limited by the fact that La Banque Postale only handles such instruments after signing a framework agreement which provides for collateral. As a result, the credit risk on repo/reverse repo transactions was extremely low as of 31 December 2015.

Sovereign risk

At 31 December 2015, La Banque Postale's direct and indirect exposure to PIIGS was €1.5 billion. This latter amount has been decreasing since 2011. This is primarily due to the redemption of certain lines that had reached maturity. The breakdown of direct and indirect sovereign exposure in 2015 is presented below. A reminder of the 2014 amounts is available in Chapter 5, Note 2.

2015 financial year

La Banque Postale does not have any exposure to Greece, Portugal, Russia, or the Ukraine.

(€ '000s)	Total Bank Portfolio	Assets at fair value through P&L	Derivatives	Total direct exposure ⁽¹⁾	Repurchase transactions	Off-balance sheet ⁽²⁾	Total direct and indirect exposure ⁽³⁾	Exposure (%)
Greece	0	0	0	0		0	0	0.0%
Ireland	0	0	0	0		0	0	0.0%
Italy	562,770	0	0	562,770	246,681	0	809,451	2.4%
Portugal	0	0	0	0		0	0	0.0%
Spain	290,278	0	0	290,278	388,820	0	679,098	2.0%
Total PIIGs	853,048	0	0	853,048	635,501	0	1,488,549	4.3%
Germany	2,133,905	0	6,368	2,140,273	73,417	2,337,184	4,550,874	13.2%
Austria	875	0	0	875	8,315	0	9,190	0.0%
Belgium	2,206,194	0	0	2,206,194	22,798	0	2,228,992	6.5%
France	18,032,214	645,191	28,130	18,705,535	3,145,522	1,007,346	22,858,402	66.4%
Great Britain	0	0	0	0	0	0	0	0%
Luxembourg	18,364	0	0	18,364	0	0	18,364	0.1%
Netherlands	408,302	0	2,659	410,961	27,028	663,634	1,101,623	3.2%
Poland	23,065	0	0	23,065	25,417	0	48,482	0.1%
Slovakia	0	0	0	0	0	0	0	0.0%
Slovenia	0	0	0	0	0	0	0	0.0%
Switzerland	0	0	0	0	0	0	0	0.0%
Supra-national	572,599	0	0	572,599	0	0	572,599	1.7%
Total Europe	23,395,518	645,191	37,156	24,077,865	3,302,497	4,008,164	31,388,526	91.2%
Rest of the world	1,262,107	0	0	1,262,107	282,708	0	1,544,815	4.5%
TOTAL	25,510,673	645,191	37,156	26,193,020	4,220,706	4,008,164	34,421,890	100%

(1) Direct exposure: net carrying amount (including impairment) of exposure on the Bank's own account.

(2) Off-balance sheet transactions include forward bonds (forward prices).

(3) Direct and indirect exposure: direct exposures to which are added indirect exposures via guarantees issued to the Group's UCITS.

Local public sector risk

This is primarily a risk concerning local authorities, as La Banque Postale had prioritised the launch of its financing business on this market in June 2012. The business of financing public health institutions and social housing associations was launched gradually during 2013.

As of 31 December 2015, out of the €8,476 billion in financing granted to the local public sector, €4,495 billion had been used. Close to €3.4 billion in medium- and long-term loans was assigned to CAFFIL in 2015 and thus does not show in these figures.

Corporate risk

At 31 December 2015, La Banque Postale's corporate exposure had significantly increased due to the development of La Banque Postale

loans to companies and the diversification of issuers in which La Banque Postale invests.

In particular, a strong increase of amounts outstanding on real-estate and asset-financing transactions can be noted.

94% of amounts outstanding on rated companies in which the bank has securities investments relate to companies rated at least BBB-. There is strict monitoring of conditions for companies with lower ratings within the portfolio, in order to ensure that risk is mitigated: guarantees, clauses limiting potential deterioration of counterparty credit risk, financial covenants, seniority guarantees.

The majority of these commitments involve French companies.

Credit risk stemming from transactions with corporate customers

2015 financial year

(€ millions)	31.12.2015					
	Balance sheet (gross)		Financial commitments and commitments given		Total exposure	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Capital lease transactions	1,568	89%	201	11%	1,770	11%
Loans to the local public sector	4,495	53%	3,980	47%	8,476	52%
Loans to other corporate customers	3,561	66%	1,816	34%	5,377	33%
Factoring business - commercial receivables	146	100%	0	0	146	1%
Other cash flow loans	0	100%	0	0	0	0%
Current accounts in debit and similar	183	33%	379	67%	562	3%
Other	-	-	-	-	-	-
TOTAL	9,954	61%	6,377	39%	16,330	100%

2014 financial year

(€ millions)	31.12.2014					
	Balance sheet (gross)		Financial commitments and commitments given		Total exposure	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Capital lease transactions	953	87%	137	13%	1,090	8%
Loans to the local public sector	3,597	46%	4,185	54%	7,782	58%
Loans to other corporate customers	1,915	51%	1,844	49%	3,758	28%
Factoring business - commercial receivables	38	100%	-	-	38	0%
Other cash flow loans	-	100%	-	-	-	-
Current accounts in debit and similar	137	21%	502	79%	640	-
Other	-	-	-	-	-	-
TOTAL	6,640	-	6,668	-	13,308	95%

Guarantees received for loans granted to corporate customers

2015 financial year

(€ millions)	31.12.2015									
	Security rights		Guarantee by a legal entity		Guarantee by an individual		Unguaranteed		Balance sheet (gross)	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Capital lease transactions	-	-	207	13%	23	1%	1,343	85%	1,573	100%
▶ performing loans	-	-	207	13%	23	1%	1,338	85%	1,568	100%
▶ impaired loans	-	-	-	8%	-	-	4	92%	5	0%
Loans to the local public sector	-	-	44	1%	-	-	4,452	99%	4,495	100%
▶ performing loans	-	-	44	1%	-	-	4,451	99%	4,494	100%
▶ impaired loans	-	-	-	-	-	-	1	100%	1	0%
Loans to other corporate customers	727	20%	1,543	61%	1	-	1,289	118%	3,561	100%
▶ performing loans	727	20%	1,543	43%	1	-	1,288	36%	3,560	100%
▶ impaired loans	-	-	-	18%	-	-	1	82%	1	0%
Factoring business - commercial receivables	-	-	12	8%	1	4%	134	188%	146	100%
▶ performing loans	-	-	12	8%	-	-	133	91%	145	99%
▶ impaired loans	-	-	-	-	-	3%	1	97%	1	1%

2014 financial year

(€ millions)	31.12.2014									
	Security rights		Guarantee by a legal entity		Guarantee by an individual		Unguaranteed		Balance sheet (gross)	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Capital lease transactions	-	-	177	-	15	-	761	-	953	-
▶ performing loans	-	-	177	19%	15	1.59%	756	79.76%	948	100%
▶ impaired loans	-	-	-	6%	-	-	4	94%	5	0.50%
Loans to the local public sector	-	-	17	-	-	-	3,579	-	3,597	-
▶ performing loans	-	0%	17	0%	-	-	3,579	100%	3,597	100%
▶ impaired loans	-	-	-	-	-	-	-	-	-	-
Loans to other corporate customers	288	-	467	-	-	-	1,160	-	1,915	-
▶ performing loans	288	15.03%	467	24%	-	-	1,160	61%	1,915	100%
▶ impaired loans	-	-	-	-	-	-	-	-	-	-
Factoring business - commercial receivables	-	-	12	-	-	-	26	-	38	-
▶ performing loans	-	-	12	31%	-	1%	26	69%	38	100%
▶ impaired loans	-	-	-	-	-	-	-	100%	-	-

Credit quality of financial assets that are neither doubtful nor impaired on an individual basis - corporate customers

(€ millions)	31.12.2015		31.12.2014	
	Amounts outstanding	%	Amounts outstanding	%
Performing capital lease transactions	1,568	100%	948	100%
▶ without arrears	1,562	100%	948	100%
▶ with arrears	6	-	-	-
Performing loans to the local public sector	4,494	100%	3,597	100%
▶ without arrears	4,492	100%	3,594	100%
▶ with arrears	3	-	3	-
Performing loans to other corporate customers	3,560	100%	1,915	100%
▶ without arrears	3,560	100%	1,915	100%
▶ with arrears	-	-	-	-
Factoring business - performing commercial receivables	145	100%	38	100%
▶ without arrears	124	85%	29	76%
▶ with arrears	22	15%	9	24%

Doubtful financial assets and breakdown of individually impaired financial assets

2015 financial year

(€ millions)	31.12.2015										
	Non-impaired loans with arrears						Guarantees				
	≤ 30 days	> 30 d ≤ 60 d	> 60 d ≤ 90 d	> 90 d ≤ 180 d	> 180 d	Total	Impaired loans	Security rights	Guarantee by a legal entity	Guarantee by an individual	Unguaranteed
Capital lease transactions	4	2	-	-	-	6	5	-	-	-	8
Loans to the local public sector	1	2	-	-	-	3	1	-	-	-	-
Factoring business - commercial receivables	18	4	-	-	-	22	1	-	-	-	-
Loans to other corporate customers	-	-	-	-	-	-	1	-	-	-	1
TOTAL	23	7	-	-	-	30	8	-	-	-	10

2014 Financial Year

	31.12.2014										
	Non-impaired loans with arrears						Guarantees				
(€ millions)	≤ 30 d	> 30 d ≤ 60 d	> 60 d ≤ 90 d	> 90 d ≤ 180 d	> 180 d	Total	Impaired loans	Security rights	Guarantee by a legal entity	Guarantee by an individual	Unguaranteed
Capital lease transactions	-	-	-	-	-	-	5	-	-	-	4
Loans to the local public sector	3	-	-	-	-	3	-	-	-	-	-
Factoring business - commercial receivables	6	3	-	-	-	9	-	-	-	-	-
Loans to other corporate customers	-	-	-	-	-	-	1	-	-	-	1
TOTAL	9	3	-	-	-	12	6	-	-	-	6

2015 financial year

(€ millions)	31.12.2015			
	Receivables (a)	Guarantee amount retained	Updated provisions (b)	Updated provision rate (b)/(a)
IMPAIRED CAPITAL LEASE TRANSACTIONS				
Security rights	-	-	-	-
Guarantee by a legal entity	2	-	1	29%
Guarantee by an individual	-	-	-	-
Unguaranteed	3	-	1	41%
Loans classified as impaired according to the contagion principle, but without arrears	-	-	-	-
TOTAL IMPAIRED CAPITAL LEASE TRANSACTIONS	5	0	2	36%

2014 financial year

(€ millions)	31.12.2014			
	Receivables (a)	Guarantee amount retained	Updated provisions (b)	Updated provision rate (b)/(a)
IMPAIRED CAPITAL LEASE TRANSACTIONS				
Security rights	-	-	-	-
Guarantee by a legal entity	1	-	-	-
Guarantee by an individual	-	-	-	-
Unguaranteed	3	-	2	53%
Loans classified as impaired according to the contagion principle, but without arrears	-	-	-	-
TOTAL IMPAIRED CAPITAL LEASE TRANSACTIONS	5	-	2	37%

4.2.3.4 Securitisation

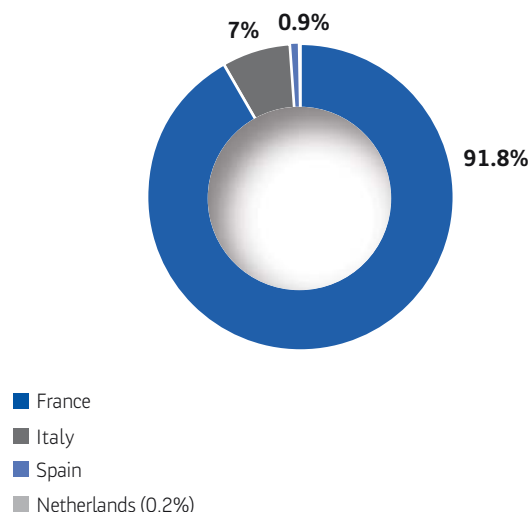
La Banque Postale has an exposure of €388 million on securitisations which are distributed between customer loans and receivables (€381 million) and available-for-sale financial assets (€7 million).

An investment was made with BPI France Financement in 2011, in order to back Livret A and LDD accounts. Since this date only three other investments have been made by La Banque Postale trading room. The first one, for which the underlying assets were receivables from the Syndicat des Transports d'Île-de-France, the second one, for which the underlying assets were receivables from Italian pharmacies, and the third, for which the underlying assets were receivables from EDF.

The other investments in this asset class were transferred to La Banque Postale when it was founded in 2006, and have since been phased out. These other investments represent marginal exposure of approximately 1% of the exposure on this category of issuers.

The quality of the securitisation portfolio is therefore high: all of the tranches in which La Banque Postale has invested since 2011 have a first class rating and almost 92% of positions are held in France.

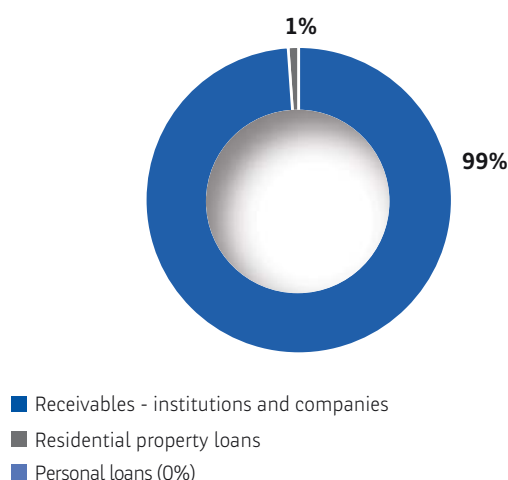
The geographical breakdown of La Banque Postale's securitised assets is as follows:



At 31 December 2015, La Banque Postale learned of a notable downgrade of the credit quality of a single programme of its securitisation portfolio, which represents, however, a marginal exposure (about 0.2%) of the outstanding securitisation amounts.

The bulk of the securitisation portfolio consists of receivables due from institutions and companies linked to the BPI France Financement securitisation process. It should be noted that La Banque Postale receives reports on all the securitisation receivables line-by-line.

The breakdown of La Banque Postale's securitisation portfolio by type of underlying asset is as follows:



4.2.3.5 Counterparty risk

According to the terminology used by La Banque Postale, counterparty risk stems primarily from forward financial instruments.

Exposure is assessed via the present value method.

These transactions primarily take place with banking counterparties. In this context, they are systematically performed as part of

agreements that provide for the netting of exposure and the putting up of collateral with regular margin calls.

The residual risk, which is subject to limits and is periodically monitored by the Enterprise, Public Sector and Institutional Credit Risk Department, is immaterial.

La Banque Postale is primarily exposed to counterparty risk as part of its transactions in the derivatives market.

The risk is limited by the fact that La Banque Postale only deals with top-tier financial institutions with whom it has signed netting and collateral agreements. Furthermore, most of the instruments involved are "plain vanilla" swaps.

At 31 December 2015, total net exposure on such counterparties, after applying the collateral, if there was any, was €500 million.

4.2.3.6 Concentration risk by beneficiary

The regulations on major risks are applied in accordance with the prudential requirements applicable to credit institutions and investment firms published in the Official Journal of the European Union on 26 June 2013 (Directive 2013/36/EU and Regulation (EU) No. 573/2013 from the European Parliament and the Council) and which came into force on 1 January 2014; they specify that institutions must comply with the following limit: the total amount of risks incurred on a single beneficiary must not exceed 25% of a group's net equity capital.

No beneficiary exceeded this limit as of 31 December 2015.

4.2.4 Financial risks

4.2.4.1 Liquidity risk

The ALM Committee is primarily responsible for monitoring liquidity risk. Chaired by a member of the Executive Board, it is composed of, in addition to the Head of Financial Operations, who runs it, the Head of Retail Banking, the Chief Risk Officer and the Head of Management Control.

The ALM Committee reviews customer deposit models on a regular basis, and formally validates the outflow assumptions produced.

It monitors liquidity indicators and anticipates their future development, in light of the Bank's commercial policy, and observations on customer behaviour.

Assessing risk

As of 31 December 2015, La Banque Postale's customer deposits still exceeded its uses. However, the proportion of customer loans has increased and now represents 43% of customer deposits thanks to the growth of corporate loans, particularly to the local public sector.

La Banque Postale is primarily exposed to liquidity risk stemming from the conversion its resources, mainly consisting of demand deposits, in maturities, in long-term uses, either in the form of home loans to individuals, corporate loans, or debt securities.

The available-for-sale securities portfolio consists of the portion of funding resources that is not allocated to securities held to maturity or to customer loans and other short-term assets such as cash securities. Those securities are readily marketable, and can be sold rapidly if the need arises.

Risk management and limits

La Banque Postale's risk management policy identifies two types of liquidity risk, for which it adopts two different monitoring approaches:

- ▶ Cash-flow risk:
 - relating to the institution's cash-flow management;
 - an operational limit that makes it possible for treasury funding requirements to be capped;
 - the amount and length of time the cap applies are set by the Group Risk Piloting Committee.

The short-term liquidity limit is set in accordance with Basel 3 requirements.

It consists of a 30-day limit which compares the liquidity requirement over a 30-day period in relation to the cushion of liquid assets. This liquidity requirement must not exceed the available cushion of liquid assets.

- ▶ Structural liquidity risk:
 - relating to the Bank's balance sheet structure;
 - takes the outflow agreements approved by the ALM Committee into account;
 - management of this risk is assigned to the ALM Committee in accordance with the principles and limits defined by the Risk Committee.

This risk is measured via the medium- to long-term liquidity gap, which corresponds to a "static" outflow from liabilities and assets. It

involves assessing the capacity of the Bank to honour its contractual maturity dates, assuming a possible total halt of commercial activity. Other conservative assumptions on depreciation ("outflows") of balance sheet (and off-balance sheet) items are made. This indicator provides a very prudent estimate of the Bank's liquidity position, with a high degree of confidence.

The net liquidity gap (assets-liabilities) is set at zero for one-year, three-year and five-year intervals. The bank ensures that liabilities always exceed uses.

The outflow agreements selected to measure structural liquidity risk are based on modelling the outflow of liabilities with no fixed maturity and the outflow of off-balance sheet loans granted and on taking the realisation potential of the sovereign debt portfolio into account.

The medium-to-long-term liquidity gap is based on the following assumptions:

- ▶ equity capital net of non-current assets: *in fine*;
- ▶ debts: contractual date or call date;
- ▶ sight deposits/savings accounts/term accounts: outflow agreement;
- ▶ the Home Loan Savings Plan: the outflow is certain (see home loan savings provision);
- ▶ term deposits: contractual date;
- ▶ home loans: contractual maturity + structural early redemptions;
- ▶ home loan savings options: probable production on average maturity observed;
- ▶ bonds/deposits: contractual payment schedule not eligible for ECB refinancing, net of cash buyback limit;

- ▶ off-balance sheet commitments: outflow agreement.

Standard outflow agreements for liabilities with no fixed maturity are reviewed at least once a year in order to reset them at the minimum levels required by changes in the deposit volatility trend (behavioural changes, etc.).

Off-balance-sheet loans are subjected to outflow assumptions based on a behavioural model that takes into account the offer conversion rate, payment periods and the effective life-span of new loans (early redemptions).

Risk exposure

In 2015, La Banque Postale continued to implement a cautious liquidity management policy. That policy resulted in excess liquidity throughout the year, boosted by the quality of the financial assets held by the Bank.

Short-term liquidity risk

Regulatory short-term liquidity risk has been measured since 2015 via the short-term liquidity ratio (LCR), an indicator which confirms a situation of excess short-term liquidity according to Basel recommendations.

This indicator has always been greater than 100%; above the 2015 regulatory limit of 60%. This limit will increase to 70% in 2016, to reach 100% in 2018.

The internal liquidity stress tests were enhanced in 2015 (stress test on collateral and sovereign credit risk) and made it possible to document the robustness of La Banque with regard to liquidity risk.

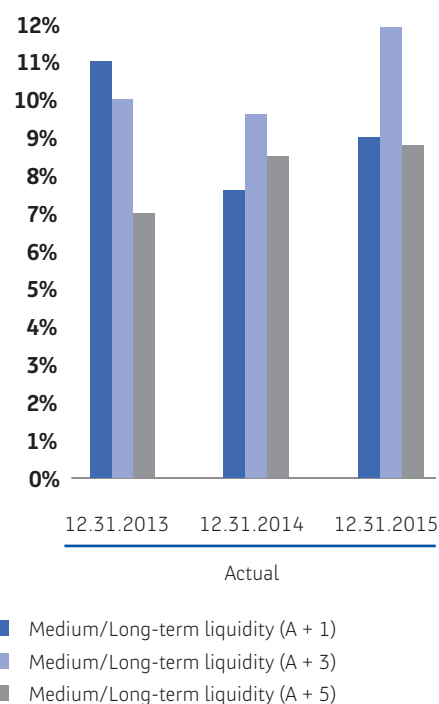
(€)	31.12.2015	31.12.2014
High-quality liquid assets	15,666,525,642	20,341,978,515
Estimated disposals	(7,191,397,898)	(11,070,978,839)
Short-term liquidity ratio (LCR)	218%	184%
Excess high-quality liquid assets	8,475,127,744	9,270,999,676

Long-term liquidity risk

Structural liquidity risk is measured through the liquidity gap, which corresponds to the difference between the stressed static outflows of liabilities (through outflow agreements) and assets. The limit on the structural liquidity indicator was complied with at all times in 2015.

The calculation covers the following maturities: 1 year, 3 years, and 5 years. The liquidity gap is measured every month and presented to the Risk and ALM Committees.

Gap measured between 31 December 2014 and 31 December 2015



A positive gap for a given maturity means that the bank has more inflows than outflows with a longer maturity date.

The positive liquidity gap for maturities under five years reflects La Banque Postale's excess liquidity. This excess liquidity is further reinforced by the quality of the financial assets held by the bank and their accounting classification, which is taken into account for managing its structural liquidity.

The mechanism of liquidity limits is supplemented by stress scenarios, among which, a loss of liquidity due to interest-rate stress or credit-premium stress.

The breakdown of use and resource maturities according to their remaining term is detailed in Note 3.21 "Breakdown of balance sheet items by residual maturity" of the consolidated financial statements.

Risk reduction technique

In addition to the prudent liquidity management system implemented by the ALM Committee and Risk Committee, La Banque Postale has diverse sources of financing:

- ▶ a €20 billion programme of certificates of deposits, of which the amount of certificates issued varies between 15% and 30% of the programme, the goal being to refinance a portion of La Banque Postale's short-term financing requirements and to meet the demand of institutional clients;
- ▶ a €10 billion EMTN programme updated in the summer of 2015. This programme was less than 10% used for senior debt and 15% used for Tier 2 debt at year-end 2015;
- ▶ a €10 billion EMTN programme for issuing home financing bonds (OFH). At the end of 2015, 30% of this programme had been used;
- ▶ a portfolio of securities held to maturity, consisting mainly of rapidly accessible, high-quality government bonds. At the end of 2015, this liquidity reserve amounted to €24 billion. It is a sustainable source of eligible securities providing access to ECB refinancing transactions and the repo market;
- ▶ access to the interbanking market.

4.2.4.2 Encumbered/unencumbered assets

The data below are presented in median value (quarterly database of 2015).

(€ '000s)	Carrying amount of encumbered assets	Fair value of encumbered assets	Carrying amount of non-encumbered assets	Fair value of unencumbered assets
Assets of the reporting institution	101,399,687,510		115,120,984,109	
Equity instruments	-	-	1,116,661,720	1,116,661,720
Debt securities	18,313,109,278	21,201,821,607	33,210,990,455	33,652,951,787
Loans and advances other than loans on demand	82,089,295,731		69,534,360,769	
Other assets	883,287,500		9,091,571,439	

(€ '000s)	Fair value of encumbered collateral received or own debt securities issued	Fair value of collateral received or own debt securities issued available for encumbrance
Collateral received by the reporting institution	2,039,379,925	4,134,635,278
Equity instruments	-	-
Debt securities	1,492,546,299	4,134,635,278
Other collateral received	2,004,959,640	-
Own debt securities issued other than own covered bonds or ABSs	9,280,611,923	-

(€ '000s)	Backed liabilities, potential liabilities or securities which have been loaned	Assets, collateral received and own debt securities issued other than covered bonds and ABSs encumbered
Carrying amount of selected financial liabilities	98,803,423,751	100,234,512,105

La Banque Postale Group's encumbered assets consist of the following:

- ▶ the Group has made or has committed to make securities repurchase agreements and pledges securities in favour of Banque Centrale and Crédit Logement;
- ▶ the Group pledges home loans in order to hedge bond issues made by the Group's home finance company (La Banque Postale Home Loan SFH) in favour of holders;
- ▶ margin calls on securities and derivatives;
- ▶ guarantee deposits.

The median "Encumbered Asset" ratio is 46%.

4.2.4.3 Interest-rate risk

The ALM Committee is primarily responsible for monitoring the interest rate risk.

It monitors interest rate risk indicators and anticipates their future development, in light of the Bank's commercial policy, and observations on customer behaviour.

Assessing risk

Interest rate risk represents the likelihood of seeing La Banque Postale's future margins or economic value affected by fluctuations in interest rates.

La Banque Postale has two different types of indicators for monitoring interest rate risk:

- ▶ indicators that support the hedging decision-making process;
- ▶ indicators aimed at assessing an institution's ability to withstand external stresses.

Sensitivity indicators are part of the first category.

They involve both future income schedules (**sensitivity to future margins**) and the discounted value of future cash flows (**NPV sensitivity**).

These sensitivity ratios are established using deterministic rate scenarios. In fact, it is always necessary to model customer behaviour, and in the present case to model that behaviour in light of changes to the interest rate environment. Among the implicit options available to customers, the most significant, both in terms balance sheet and margin impact, are:

- ▶ the risk of early repayment of outstanding loans if interest rates fall;
- ▶ the risk on home savings: collection at a higher fixed rate than expected in the event of a drop in market rates, use which is more significant than expected of rights to a low fixed-rate loan in the

event of a rise in market rates. These risks are covered by a special provision, the amount of which is determined on the basis of the same home savings account customer behavioural model as the model used in future margin simulations.

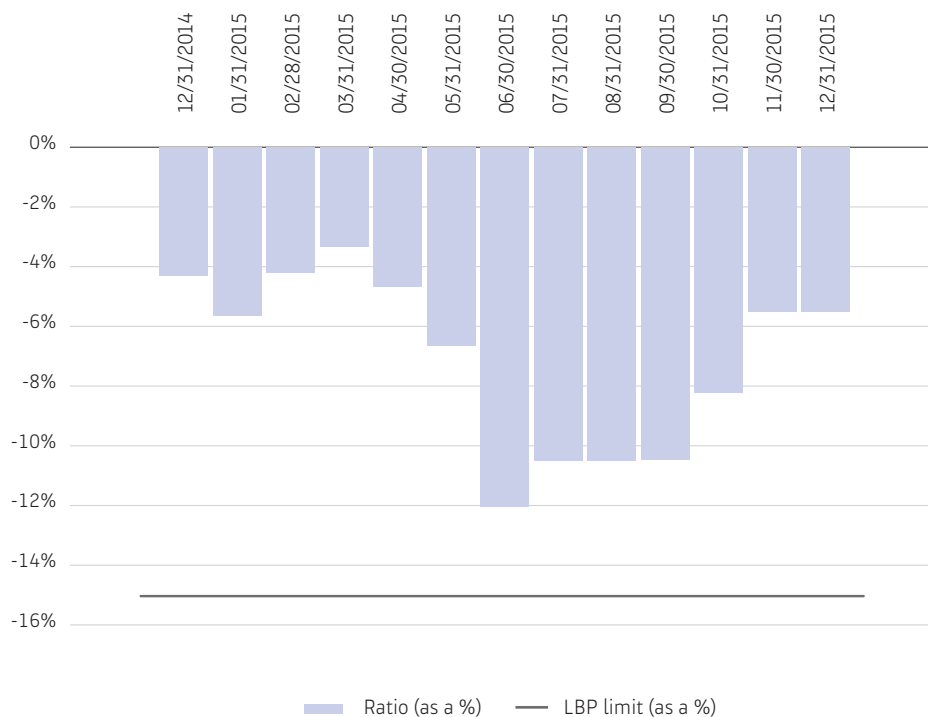
The second category of indicators includes the measurement of economic capital (EC) linked to global interest rate risk:

- ▶ measuring economic capital enables an institution to demonstrate its capacity to withstand adverse market developments within a given confidence interval established on the basis of its equity capital;
- ▶ stress scenarios based on historical or hypothetical situations provide a clearer understanding of an institution's risk profile and are especially useful for estimating measures that would need to be adopted if such a scenario was to materialise.

Managing risk

The interest rate risk is managed either through investments in financial assets, by selecting their maturity dates and coupon indexation terms, or through derivative instruments, whether futures or options.

Risk exposure



In accordance with the Basel Committee's recommendations, the immediate and simultaneous interest rate rise applied for calculating the sensitivity of the economic value of the balance sheet is 200 basis points. This indicator is calculated on the basis of a static balance sheet, without factoring in any new income. Assets and liabilities with no contractual maturity date are liquidated in accordance with the **scenarios** approved by the bank's ALM Committee.

Sensitivity to global interest rate risk peaked in June 2015, when the interest rate liquidity gap reached 12% compared to an internal limit of 15% (this limit is set at 20% in the Basel regulations).

This volatility of the global interest-rate risk can be explained by the volatility of the rate curve, particularly marked by the maturity date of June 2016.

4.2.4.4 Market risk

La Banque Postale is exposed to market risks due to cash flow and balance sheet management activities (portfolio of assets available for sale and hedging transactions).

The market portfolio, which combines all transactions exposed to market risks, includes not only the trading portfolio, defined in Articles 102 to 104 of the Regulation (EU) No. 575/2013 of the European Parliament and Council of 26 June 2013 pertaining to capital requirements for credit establishments and investment firms, but also banking portfolio transactions, including available-for-sale securities and certain lending and borrowing transactions.

In terms of market risk management, La Banque Postale is first and foremost exposed to interest rate risk, credit spread risk and equity

market risk. Exchange-rate risk, notably tied to the activities of international mandates and to financial activities, risks of volatility, or commodities risks are moderate.

Assessing risk

As a precautionary measure, the Bank decided to apply a Value at Risk indicator (one-day, 99%) to all its marked-to-market positions. The limit of the indicator is reviewed by the Group Risk Piloting Committee on a monthly basis.

VaR is a risk indicator that is widely used for assessing a financial instrument portfolio's level of exposure to market risk in the banking and finance industry.

La Banque Postale's VaR indicator not only covers the transaction portfolio (impact on fair value through profit and loss), but also covers positions recognised as assets available for sale (impact on equity).

The VaR indicator used by La Banque Postale is a parametric VaR, calculated using a variance-covariance matrix that includes risk factors such as interest rate, spread and exchange rate risk, volatility, and the risk of movements in the stock market indices to which the bank is exposed. In terms of risk factors, the principal approximation concerns the "specific interest-rate risk": The risk of credit spread (to which bonds are sensitive) is taken into account by a segment-rating approach which captures only a portion of this type of risk.

This matrix is calculated using a scaling factor designed to give a higher weighting to recent movements than to older ones.

La Banque Postale's implementation therefore does not cover second-degree (convex) risks, which are actually rare in its accounts.

The resulting VaR partly covers option-related risks, although second-degree risks are not taken into account. Although they are not currently significant, building option positions could lead Risk Department to adopt a more appropriate methodology.

The Risk Department back-tests the results of the model used to calculate the VaR indicator, in order to assess its quality.

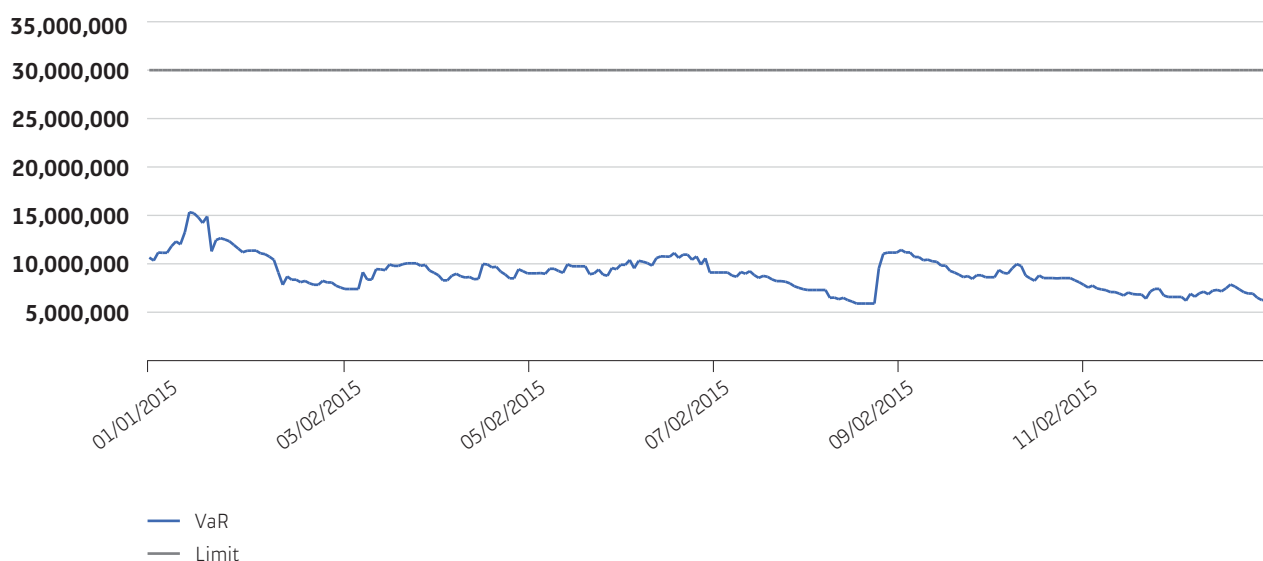
VaR assessments are supplemented by stress scenario simulations, which are run on a monthly basis in order to assess the Bank's exposure to market situations that exceed the confidence interval used for calculating the VaR.

Risk exposure

La Banque Postale's VaR indicator not only covers the transaction portfolio (impact on fair value through profit and loss), but also covers positions recognised as assets available for sale (impact on equity).

The scope of VaR monitoring evolved in 2015 to better reflect the Bank's exposure to market risks. The principal VaR indicator is now calculated based on the Trading Room. The contributions by risk factor on this scope have been calculated since 1 January 2016.

4



(€ millions)	31.12.2014	30.06.2015	31.12.2015
VaR	10.5	9.9	6.3
VaR of trading portfolio transactions	8.8	1.1	1.7

Contribution of risk factors to VaR during 2015

	30.06.2015	31.12.2015
Interest rate	2.7	3.1
Credit spread	6.2	3.4
Change	3.6	1.7
Equity market	4.9	4.2
Volatility	0.6	0.0
TOTAL	9.9	6.3

Statistics for 2015

	Average	Minimum	Maximum
VaR	9.0	5.9	15.3
VaR of trading portfolio transactions	2.4	0.7	14.2

La Banque Postale's VaR is on a downward trend, principally due to the reduction of volatility.

4.2.5 Operational risks

Operational risk management procedures

Pursuant to EU Rule No. 575-2013 of 26 June 2013 and the decree of 3 November 2014, the definition of operational risk which is used by La Banque Postale, validated by the Group Risk Piloting Committee of 26 February 2015, covers the "risk of losses resulting from unsuitability or failure attributable to internal procedures, persons and systems, or to external events. Operational risk notably includes risks linked to events having a low probability of occurrence but a strong impact, risks of internal and external fraud, legal risks, risks of non-compliance (including damage to reputation), and risks linked to the model but excluding strategic risks".

This definition applies to all of the activities of:

- ▶ La Banque Postale and its subsidiaries;
- ▶ La Poste in all sectors performing transactions in the name and on behalf of La Banque Postale;
- ▶ companies in which La Banque Postale, through investment, plays a direct and effective role in management.

The operational risk management procedures rely upon the principal of the empowerment of the businesses in the identification, measurement, hedging and monitoring of their risks.

Missions of the Operational Risk Department

The Group Risk Department is responsible, with respect to the Executive Board, for the procedures for managing and monitoring La Banque Postale Group's operating risks.

As such, the Operational Risk Department, under the responsibility of the Group Risk Department, reports to the Group Risk Management Committee for the creation and implementation of procedures for managing and monitoring operational risks.

As part of monitoring any type of risks associated with operations (volume V of the decree of 3 November 2014), the main missions of the Operational Risk Department are:

- ▶ to define the management policy for operational risks;
- ▶ to provide methods and tools for identifying, rating, and managing operational risks for all players;
- ▶ to ensure that La Banque Postale Group has an operational risk map, to provide the necessary analyses to the appropriate bodies;
- ▶ to monitor and report on the effectiveness of the operational risk management procedures;

- ▶ to coordinate and functionally supervise the persons working in the "Operational Risk" function;
- ▶ to ensure that La Banque Postale has properly defined and documented its objectives concerning Information System security and mapped its main points of vulnerability. The Manager of Information Systems Security (RSSI) of La Banque Postale, attached to the Department of Operational Risks, ensures the proper implementation of these objectives as part of its monitoring mission;
- ▶ to ensure that La Banque Postale Group has Emergency and Business Continuity Plans and supervises tests to perform and carries out necessary improvements.

Players and functional line

The Operational Risk Department relies on networks of correspondents whether dedicated or exercising operational activities, the principals of which are the delegated risk managers in charge of risk management procedures (risk mapping, risk monitoring, reporting of operational-risk incidents, in particular) of their respective scopes.

In the areas of Information Systems security, business continuity and safety of persons and property, the Operational Risk Department also has identified correspondents.

Exposure to the Group's operational risks

The limits are defined in the La Banque Postale Group's Risk Management Policy, approved by the Supervisory Board.

In 2015, there was a significant incident within the meaning of Article 98 of the Decree of 3 November 2014, corresponding to the outcome of the tax audit concerning the conformity of the rules applicable to regulated savings over the course of the 2009 to 2011 financial years. A new tax audit is taking place on the 2012 and 2013 financial years, exposing La Banque Postale to a new penalty level in this field.

Pursuant to the Risk Management Policy of La Banque Postale Group, this incident was brought to the attention of the Risk Committee, the Supervisory Board, and the Regulator.

Since 2007, the "external fraud" family represents the Group's main exposure. These are frequent cases of fraud, mainly linked to means of payment and new distribution channels.

**INCIDENTS LINKED TO OPERATIONAL RISKS IN VALUE
(AVERAGE FROM 2011 TO 2015 AS A %)****BREAKDOWN BY BUSINESS LINE – 2015 DATA**

Retail Banking	96%
Commercial banking	2.50%
Asset management	0.30%
Retail brokering	0.10%
Trading and sales	1.10%

Information System Security**An Information System security approach based on the risks**

Information System Security is defined as an overall system for hedging risks that guarantees an appropriate level of protection of the data and the linked assets in order to guarantee:

- ▶ its *availability*: guarantee that authorised users have access to the necessary resources when required;
- ▶ its *integrity*: guarantee the accuracy and reliability of the information and data processing methods;
- ▶ its *confidentiality* guarantee that only authorised persons can access the information;
- ▶ its *traceability*: be aware of the people who have accessed the information and when.

The process of securing Information Systems is the responsibility of the Business lines under the leadership of the Group RSSI (Manager of Information Systems Security). Cross-entity information security is provided in all business activities of La Banque Postale Group by the RSSI.

The process has four primary focuses:

- ▶ the definition of the ISS Strategy of La Banque Postale, based on the Risk Management Policy. It is composed of the General IS Security Policy, thematic policies, Technical Security Guidelines, operational procedures and IT charters;
- ▶ monitoring of the operational forms of this ISS strategy, and warning in case of any drift;

- ▶ support to business lines, in accordance with the ISS strategy, in their approach to covering IS-related risks:
 - challenging their risks analysis in terms of IS,
 - briefing employees on developments in IS security risks;
- ▶ summarising La Banque Postale Group's exposures to ISS risks in order to assist the Group Risk Department in making Executive Management Bodies aware of risk exposure.

In operational terms, the ISS unit is made up of identified Correspondants attached to the "operational risk" function.

Emergency and Business Continuity Plans

The aim of the General Policy and Governance of the Business Continuity Plan (BCP) is to establish a frame of reference defining the organisation, missions and responsibilities in relation to the BCP, as well as the principles and rules to follow within La Banque Postale Group. This policy forms part of La Banque Postale Group's Risk Management Policy. This policy aims to:

- ▶ control the impact of major events:
 - by implementing and managing developed solutions,
 - by mobilising each stakeholder in La Banque Postale Group;
- ▶ implement governance and a uniform business continuity management system in which the actions are formalised, traced and shared with management, the Group Risk Department and the Executive Board.

Scenarios

The Business Continuity Plan of La Banque Postale is based on several technical emergency Information System solutions and a complete organisational procedure including an organisational plan, response modes and communication actions, etc.

It aims to cover situations of extreme shocks and is designed to minimally confront the crisis scenarios used by La Banque Postale.

The scenarios used by La Banque Postale have been segmented into four categories:

- ▶ damage to buildings;
- ▶ information system and/or technical system failures;
- ▶ absent employees;
- ▶ unavailable service providers.

Organisation

The organisation plan led by the Group RPCA for the Operational Risk Department, and adopted by La Banque Postale Group to implement its Business Continuity Plan (BCP) and maintain it in operating condition, is based on a network of correspondents in liaison with the Group Risk Managers and the Bank's Business lines:

- ▶ the correspondents of the Business Continuity Plans (C-BCP) provide the operational breakdown of the General Policy and Governance of the Business Continuity Plan, controlled by the Group RPCA of La Banque Postale in the business lines and subsidiaries.

They are responsible, within their scopes, for defining and implementing the organisation and resources necessary for managing business continuity concerning the essential and major processes under their responsibility that should be covered by a BCP, organising exercises and promoting the bank's business continuity culture and disseminating this within their corresponding business lines;

- ▶ the Business Continuity Relays (RCA), BCP correspondents in the entities and departments, collect information on critical activities within the essential and major processes and ensure that the BCP is implemented in each entity.

The BCP Division, under the responsibility of the Group RPCA, remains on alert 24/7 to manage major incidents that should be managed by the Bank's managing bodies.

Activities covered by the BCP

To maintain consistency with the other banks operating in Paris, La Banque Postale has grouped its critical business activities by "Banque de France" macro process and excluding Banque de France, prioritising processes according to their criticality, and the Maximum Admissible Period of Interruption.

Updated list of the Banque de France processes and macro processes:

- ▶ market liquidity:
 - interbank credit,
 - daily liquidity management,
 - foreign-exchange transactions;
- ▶ cash and cash equivalents:
 - refinancing by the Central Bank,
 - access to accounts on the Central Bank's books and management of mandatory reserves;
- ▶ non-cash means of payment:
 - bank card transactions,
 - settlement of cross-border transactions,
 - exchanges of transactions between participants on the central system platforms,
 - management of transfers (excluding large amounts),
 - management of cheque transactions,
 - management of international means of payment;
- ▶ management of financial instruments:
 - order reception/transmission,

- negotiation of OTC transactions,
- settlement and delivery;
- ▶ fiduciary system:
 - cash management.

Updated list of macro-processes and processes excluding Banque de France:

- ▶ insurance:
 - management of damages;
- ▶ information technology:
 - incident management and continuity of service,
 - management of information security,
 - crisis management;
- ▶ legal, risk and regulatory control:
 - management of financial sanctions,
 - development of regulatory reports,
 - risk monitoring;
- ▶ human resources:
 - management of payroll, personnel, and employee relations.

Safety of persons and property

The process of ensuring the physical security of persons and property is placed under the responsibility of the relevant businesses, centres, departments and subsidiaries, and under the leadership of the Group's Operational Risk Department. In order to do so, a reference framework, determining the governance and the general principles which must be complied with, is made available to the various players, whether operational or functional, and regularly updated.

This framework addresses problems of security linked to uncertainties, dysfunctions, or malice. It describes the mechanisms and measures for the prevention and protection of the Group's human and corporate assets.

The deployment of this framework and the monitoring of its compliance rest upon a network of contacts working with the Group and business line "risk managers" of the Bank.

4.3 RISK OF NON-COMPLIANCE AND PERMANENT CONTROL

4.3.1 Supervision of the non-compliance risk management procedures

Definition

Non-compliance risk includes the risk of legal, regulatory or disciplinary sanctions, or significant financial loss or damage to reputation, due to failure to comply with provisions relating to banking and financial activities, regardless of whether these provisions are legal or regulatory, directly applicable national or European provisions, professional or ethical standards or instructions from company managers given in accordance with the guidelines of the supervisory body.

The Compliance and Permanent Control Department

The Compliance and Permanent Control Department is directly attached to the Executive Board and is responsible for,

- ▶ managing the risk of non-compliance as defined in Article “10p” of the decree of 3 November 2014 via:
 - the examination of new projects and products: a Product Examination Committee (CEP) determines and evaluates the risks related to the creation of new products. The Director of Compliance and Permanent Control chairs this committee and formulates an opinion in writing prior to any launch including in the case of simple “experimentation”,
 - the support of commercial advertising for the completion of product launch media (procedure notes accompanying the products, sales pitches, training media accompanying the product launches, posters, letters, films, etc. sent to customers), the implementation of the principle of subsidiarity results in this responsibility being shared with the subsidiaries,
 - the coordination of measures to combat money laundering and the financing of terrorism, defining procedures, managing TRACFIN (intelligence and action aimed at combating illicit financial circuits) tools and declarations, and the DG TPE (General Directorate of the Treasury and Economic Policy),
 - compliance with the general regulations of the AMF (Autorité des marchés financiers, or French Financial Markets Authority) for investment services,
 - the development and publication of good conduct rules and the provision of leadership to the ethics correspondents,
 - central expertise in the field of the prevention of fraud (identification and control of the risks of fraud, securing and publishing fraud management processes, awareness raising amongst the players and adapted tools),
 - participation in various initiatives and projects:
 - work covering changes in the principles of the remuneration of sales people: ensuring that the remuneration processes do not generate conflicts of interest between the Bank, its advisers and customers,
 - work relating to cross-cutting projects which have an impact in terms of compliance;
- ▶ the coordination of all Level 2 controls via:
 - the responsibility for the functional management of banking controllers working in the Post Office network and the enterprise

business centres, as well as management of Level 2 audits in the Financial Centres, via the dedicated department within the Operations Department, the Department of Operational Risks and Internal Control (DO/DRC); lastly the management of the controllers in the Information Systems Department (DSI) with the intermediation of the Department of Internal Control,

- supporting and monitoring the departments of the Head Office and subsidiaries in the implementation of their internal control procedures, and ensuring that the monitoring rules concerning essential service providers adhere to regulations.

To do this, the Compliance and Permanent Control Department is divided into three departments:

- ▶ the Department for the Protection of Customers and Business Ethics (DPCD);
- ▶ the Financial Transactions Security Department (DSOF);
- ▶ the Permanent Control Department (DCP).

The Compliance and Permanent Control Department:

- ▶ has its own budget;
- ▶ is entitled to examine the budgets of the other “compliance” functions within the system (notably the internal compliance functions of the Financial Centres, the network banking controllers).

In the event that the Head of Permanent Control and Compliance disagrees with those budgets, the Department can request a final decision from the Executive Board on the matter.

The Head of Permanent Control and Compliance has full responsibility for the functional operation of the Compliance unit, which primarily consists of:

- ▶ the Banking Control Managers (RTB), who are responsible for managing the banking controllers; and
- ▶ the Department of Operational Risk and Internal Control within the Operations Department (DO/DRC), which is responsible for managing the Directors of Banking Risks and Controls (DRCB) and the supervisors in the Financial Centres.

These responsibilities specifically involve managing careers in a manner consistent with the requirements of each organisation.

All these systems work in a coordinated way and fulfil a dual advisory and control role, in order to ensure that the Company's best practices, culture, and values are reflected in its day-to-day activities, so as to protect:

- ▶ the customers, ensuring compliance with customer protection regulations;
- ▶ the Bank and its employees, ensuring compliance with all regulations;
- ▶ the community, by combating money laundering and the financing of terrorism.

It is worth noting that La Banque Postale Group has appointed a Personal Data Protection Officer, or *Correspondant Informatique et Libertés* (CIL), who operates independently of the Compliance and Permanent Control Department and all other departments. The CIL makes sure that French data protection legislation is applied within

La Banque Postale and its subsidiaries, and on behalf of its corporate officers.

Within the DCCP, the Permanent Control Department (DCP) is responsible for the functional management of banking controllers working in the Post Office network and Business Centre of La Banque Postale. With this in mind it provides the banking controllers and their managers with the tools they need to carry out their audit missions: audit plans, audit questionnaires, tools for consolidating aggregate results according to the levels corresponding to the managers' responsibilities.

This responsibility extends to the Directors of Banking Risks and Controls and internal auditors in the Financial Centres, via the operational department responsible for control within the Operations Department and to the Department of Information Systems (DSI) under similar terms.

The DCP is responsible for the functional management of the permanent control procedures put in place by LBP Head Office Departments and its subsidiaries and controls the Outsourced Essential Services.

It thus ensures the uniformity of the procedures for all of the Group's activities, which enables it to formalise an audit plan that integrates in a single document all of the control programmes: Network, Financial Centres, IT, Investment Services, Head Office, Subsidiaries and Plan for the Safeguarding of Employment (*Plan de Sauvegarde de l'Emploi*, or PSE).

In 2015, the DCP strengthened the functional management of the permanent control activities for the various subsidiaries of La Banque Postale Group with the creation of the Department for the Management of Permanent Control.

Protecting customers

From the moment it was founded, La Banque Postale has been structured so as to take this risk into account within an overall framework.

Putting the customer's interests first is a fundamental principle for La Banque Postale. Complying with the rules protecting the customer is a way of applying this fundamental principle.

It takes this risk into account through its mapping of risks connected to customer protection as well as various elements which may contribute to its control: training, policy with regard to remuneration, segmentation of clientèle, monitoring of claims and the validation of advertising and commercial communication supports.

The "customer/product/advisor" segmentation process established by La Banque Postale is used in this instance, in order to check that a product intended for a customer type is indeed disseminated to the appropriate customer, with a suitable degree of advice, and is distributed by a marketing line that is equally appropriate.

In its "Marketing Ethics Charter", La Banque Postale specifies that the contents of all information, including promotional information on financial instruments and banking and insurance products intended for its customers, must be accurate and clear, and must not be misleading.

To this end, the Bank has established a system of controls covering the dissemination of products to the distribution networks and direct customer communication. In this way, the Department of Compliance and Customer Protection validates, with the right to veto in respect of the risk of non-compliance, the market launch materials. As part of this process, it is also responsible for approving employee training materials.

The risk relating to non-compliance with the rules intended to protect customers is taken into account by each Product Review Committee within the Bank. All new products or products that have been affected by significant changes, whether these products are of a purely banking nature or not, are subject to a written opinion from the Head of Permanent Control and Compliance, who chairs this committee.

In 2015, noting that the theme of the protection of customers is becoming more and more present in the Bank's environment as well as in the minds and the concerns of legislators and regulators, La Banque Postale created a new department within the DCCP: the Department for the Protection of Customers and Business Ethics. This new department combines the roles of the DCCP in terms of the examination of new products and the verification of investment services and business ethics, and organises this work in relation to the protection of customers.

4.3.2 Ethics and Investment Services Compliance

Business ethics

When it was founded, La Banque Postale chose to maintain the position of "Head of Business Ethics", in addition to the regulatory position of "Head of Compliance for Investment Services".

This decision gives more meaning and visibility to ethics and thus creates a kind of "benchmark" in matters of "rules of good conduct", which is fully consistent with the "whistle-blowing" procedures in the regulations.

To this end, the banking business ethics function is structured on three levels:

- ▶ La Banque Postale's Business Ethics Division, which reports to the Compliance and Permanent Control Department;
- ▶ "business ethics correspondents" in the operational units: the La Poste Network, the Financial Centres, the Financial Services and Retail Brand IT Department (DISFE), the other Head Office Departments, subsidiaries, the Asset Management and Insurance units;
- ▶ local contacts, which constitute close contacts.

The position of "Business Ethics Officer" defined by La Banque Postale, is held by employees reporting respectively to the Head of Operations, the Director of La Poste Network, the Director of the DISFE, and to the Head Office Departments, to the subsidiaries and to the Asset Management and Insurance Units.

The role of "Business Ethics Officer" can be assigned to an employee with other responsibilities, to the extent that those responsibilities are independent from his or her business ethics.

These employees are in charge of disseminating business ethics standards within their unit. They guarantee and promote La Banque Postale's rules of conduct.

Local contact points are managed by the Business Ethics Officers.

Because they work at grass-roots level, local contacts are well-positioned to pick up any potential breaches or problems that come to their attention, which they then escalate. They also have an educational role to play by providing information to and raising awareness among their colleagues. Around 100 local contact points have been set up throughout the network. The Risks and Banking Control Director also acts as the local contact person in each Financial Centre.

Rules of good conduct are incorporated in the internal rules of procedure of La Banque Postale and La Poste. The professional ethics handbook is appended to the internal rules of procedure.

Ongoing training on business ethics issues is provided in all the entities of the Bank, La Poste Network and the Financial Centres and subsidiaries. Specific training is given to new hires.

In addition, audits are performed to ensure that business ethics standards are applied by the Permanent Control Department by incorporating topics relating to business ethics in the control plans.

La Banque Postale has implemented procedures for withdrawing the right to act in its name and on its behalf from La Poste Network and Financial Centre employees who have breached its business ethics guidelines. This process is managed by the Head of Business Ethics and the Head of Permanent Control and Compliance.

The Business Ethics Division has implemented procedures for escalating and handling breach of business ethics and misuse committed by employees, who have the right to act in the name and on behalf of La Banque Postale. The warnings are observed by the Permanent Control of the Bank and are forwarded to the supervisors working closely with the concerned persons, with a view to measures being taken.

In terms of governance, a monthly "Business Ethics Committee", led by the Head of Business Ethics of La Banque Postale, meets regularly. It brings together contacts from La Poste Network, the DISFE, the Operations Department, the Human Resources Department and

the Risks Department. This committee is extended to include all the officers of La Banque Postale Group on a quarterly basis.

Compliance of investment services

The Head of Compliance for Investment Services (RCSI) is responsible for assessing and controlling the risk of non-compliance with professional obligations designed to preserve the integrity of markets and the primacy of the interests of the clients. The Compliance Officer delegates a large part of the controls to the Permanent Control Department, for the retail banking activities and the Department of Businesses and Regional Development, and to the National Securities Centre for order reception and transmission services, and settlement and custody services.

In addition to the control activity, the RCSI also participates in projects relating to investment, training of the employees concerned and regulatory monitoring. The RCSI also ensures the operational maintenance of the procedures and processes that fall within its remit.

The RCSI chairs La Banque Postale Group's RCCI/CCSN Committee, which is a quarterly forum for Compliance and Internal control managers of subsidiaries providing investment services to discuss experiences and dialogue on expertise.

The RCSI's regulatory reports are sent to the AMF on an annual basis and a quarterly business report, which contributes to the Executive Board's report, is submitted to the Head of Permanent Control and Compliance.

4.3.3 Combating money laundering and illegal activities

Combating money laundering and corruption is the responsibility of the Financial Transactions Security Department (DSOF), which reports to the Compliance and Permanent Control Department.

La Banque Postale's system for combatting money laundering and the financing of terrorism is articulated on three levels (national, regional, local), enabling it to assume its responsibilities both on the transactions that it performs independently and on those made in its name and on its behalf by La Poste Network, which is responsible for implementing the resources necessary for the proper completion of transactions that it performs in the name of, and on behalf of the Bank.

The local system

Locally, on the one hand, the system relies on the Branch Managers (and with effect from 1 January 2016 on the Sector Managers) as regards the post offices and, on the other, on the Risk and Banking Control Managers (DRCB) at the Financial Centres.

- The Branch Managers (soon to be Sector Managers) are the AML-CFT managers in the post offices.

They are in charge of the Level 1 controls on procedures in post offices relating to the fight against money laundering and the financing of terrorism. They ensure that their employees receive proper training on how to combat money laundering, whether they are new staff or employees undergoing refresher training. Level 2 checks are performed by the banking controllers (COB).

They are also responsible for establishing alerts to spot abnormalities observed in the business activities of the post offices

that may constitute a risk of money laundering or financing of terrorism. These alert systems feed into the AML-CFT unit's tools for combating money laundering.

- Directors of Risk and Banking Control (DRCB) in the 23 Financial Centres, including the 6 National Centres, are responsible for managing and controlling risks, including the risk of money laundering and financing of terrorism. They are responsible for:
 - monitoring specific risk relating to sensitive customers and terminating business relationships;
 - Level 2 control over the entire Financial Centre;
 - making sure that the various departments at the Financial Centre monitor the alert systems;
 - raising the awareness of and training the Financial Centre staff.

The AML-CFT unit, dedicated on two levels

The first level of the "AML-CFT" unit consists of 7 units (or around 60 people), attached operationally to the DSOF. They are responsible for analysing all alerts issued by post offices and Financial Centres, as well as alerts generated by a dedicated Searchspace software package.

One of the units is responsible for all first-level filtering of financial sanctions lists using the Fircosoft tool and vigilance on countries at risk, including fiscally non-cooperative countries.

Following the examination of the alerts and the notifications issued, the analysts in the AML-CFT units proceed: either with justified filing

with no action, or with the preparation of an investigation file sent to the second level, 14 TRACFIN informants with regional competence, collaborating with the DSOF, constitute the second level of this system for the money laundering component. These informants receive their investigation files, proceed with a new examination, complete where

applicable the information gathered, and where applicable transmit a declaration to TRACFIN. Alerts not lifted by filtering the lists of financial sanctions are forwarded to the DSOF's dedicated operational section, which controls the entire system.

4.3.4 Permanent Control

The Permanent Control Department's task is to provide an independent measurement of the effectiveness of risk management. This fits into the bank's three lines of defence. It is responsible for coordinating all Level 2 controls, and helps to improve the link between risk and control.

It coordinates all Level 2 controls via:

- ▶ responsibility:
 - for the functional management of banking controllers (COB) working in the Post Office network and the enterprise business centres,
 - management of Level 2 audits in the Financial Centres, via the dedicated department within the Operations Department, the Department of Operational Risk and Internal Control (DO/DRC),

- directing Level 2 audits for the Information Systems Department (DSI) with the intermediation of the DSI's Risk Management Department;
- ▶ responsibility for setting up the system for directing the Level 2 audits of the Headquarters divisions, the subsidiaries and of the essential activities outsourced within the LBP Group.

Permanent Level 2 control is the control that is made, retrospectively, by people dedicated to this permanent control function.

In 2015, the DCP strengthened the functional management of the permanent control activities for the various subsidiaries of the La Banque Postale Group with the creation of the Department for the Management of Permanent Control.

4.4 INSURANCE RISKS

Through its insurance subsidiaries (LBPAI, LBPP, LBPAS, LBPCA) and its relationship with CNP Assurances (in its commercial partnership as in its stake in CNP Assurances), La Banque Postale Group is exposed to risks inherent to the insurance business.

The development of La Banque Postale's activities with its customers has relied, since its creation, on the reinforcement of its insurance offers. In this respect, the insurance business is an important element of the Group's strategy.

4.4.1 Management of insurance risks

All of the subsidiaries and investments of the Group belonging to the insurance sector must meet, at all times, the regulatory requirements of this sector. Indeed, La Banque Postale, while it is not an insurance group within the meaning of Article L. 331-1-2 of the French Insurance Code, as the parent company and head of the financial conglomerate, is responsible for ensuring that each of its subsidiaries meets all the requirements and, more generally, as regards the insurance business as a whole, that the mechanisms for risk control implemented are in line with, in particular, the Risk Management Policy and the Charter of the risk unit of the Group.

The Risk Management Policy of the Insurance Business is carried out on the basis of, notably, the legal and regulatory framework implemented by the "Solvency 2" and "FICOD" directives. This Policy sets out the strategies, principles and processes making it possible to identify, measure, manage and monitor risks to which the insurance activities of La Banque Postale Group are exposed, including those entrusted to its partners from the insurance sector.

Within the framework of the Group's Risk Management Policy and the Charter of the Risk Unit and by delegation of La Banque Postale's Risk Management Department, the implementation of the risk-management mechanism for the piloting, control and monitoring of risks of the Insurance Business is entrusted to the Insurance Risk Department, which:

- ▶ develops and validates a Risk Management Policy for the Insurance Business, which is integrated into the Risk Management Policy of the Group;

- ▶ implements the mechanisms for the control of the La Banque Postale Group's risks, by deploying and adapting them, as applicable, for the Insurance Business, taking into account the applicable sectoral regulations;
- ▶ oversees compliance, by the entities of the Insurance Business, with the mechanisms of the Group and the requirements which are specific to the Business and with the applicable regulations.

Said mechanisms for controlling insurance risk must make it possible for the Group to have a sub-consolidated vision, at the level of the Insurance Business, of the risks taken and the potential risks, and to ensure at all times that they are compatible with the appetite for risk. Equally, this mechanism must make such monitoring possible on a consolidated basis at the level of the Group.

The operational limits are set by type of "insurance" risk, in line with risk tolerance. They provide a strict framework for risk management and the selection of risks.

Risks linked to insurance activities are monitored by La Banque Postale Risk Management Committee, and the CNP Assurances Audit and Risk Committee.

4.4.2 Classification of insurance risks

The management of insurance risks and their analysis are organised around four principal categories, pursuant to the Solvency 2 regulations:

Financial risks

The Financial Risks are defined as all of the risks leading to financial losses, actual or potential, stemming from changes in the financial markets. They correspond:

- ▶ to market risks (interest-rate risk, stock valuation risk, property risk, spread risk, concentration risk, liquidity risk, etc.);
- ▶ to counterparty risk, which is the risk of possible loss which an unexpected default could bring about, or the deterioration of credit quality, of the counterparties and debtors of the insurance subsidiary. It includes contracts making it possible to mitigate the risks, such as reinsurance agreements, securitisations and derivative instruments, and receivables from intermediaries.

Technical Risks, or insurance liability risks

These insurance liability risks include two categories of risk.

- ▶ The risk of subscription is defined as the risk which the insurer takes in distributing insurance contracts to physical persons or to legal entities, stemming from:
 - market segments or risk categories which are not consistent with the risk profile and commercial strategies of the insurance company;
 - complex risk categories which are difficult to assess;
 - insufficient technical competencies within the internal personnel and the sales networks;
 - failure to comply with limits.
- ▶ A risk of catastrophe corresponds to either:

- the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from significant uncertainty, tied to extreme or unusual events, which weighs upon the assumptions made in regards to price and provisioning: risk of catastrophe in life;
- the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from significant uncertainty, tied to extreme or exceptional events, which weighs upon the assumptions made in regards to price and provisioning: risk of catastrophe in non-life;
- the risk of loss, or of an unfavorable change in the value of insurance commitments, resulting from significant uncertainty, tied to major epidemics and to the unusual accumulation of risks which arise under such extreme circumstances, which weighs upon the assumptions made in regards to price and provisioning: risk of catastrophe in health, whether or not it is expressed on a technical basis similar to that of life insurance.

Operational risks and risks of non-compliance

These risks correspond to loss of value tied to failing or unsuitable internal processes or to external events. Operational risk includes legal risks, but does not include risks stemming from strategic decisions, or from reputational risks.

Other risks

Other risks concern those tied to internal and external factors and which may have a significant impact on the strategy and the achievement of the objectives of the insurance subsidiaries or of an entity of the Insurance Business.

This type of risk consists of the risk linked to regulatory developments, risk of distribution, risk to reputation, emerging risk, and partnership risk.

4.4.3 Compliance with the Solvency 2 regulations

Following the transposition of the Solvency 2 directive by the Ordinance of 2 April 2015, the decrees and decisions of 7 May 2015, the technical standards of implementation and the guidelines published throughout the year in 2015, the insurance companies of La Banque Postale Group pursued their effort to become compliant with Solvency 2.

The work carried out concerned, in particular:

- ▶ the definition of insurance risk management policies (subscription, provisioning, internal control, compliance, subcontracting, data quality, etc.);
- ▶ the designation with the ACPR of the actual managers and key functions;
- ▶ implementation of 2015 Solvency 2 preparatory work (ORSA and RSR reports);
- ▶ transmission of the required quantitative statements (QRT).

4.5 LEGAL AND FISCAL RISKS

The Legal Department plays a dual role in the control of legal risks. It advises the bank's departments, enabling them to measure the legal risks inherent to their activity, and it also defends the bank's interests.

The control of legal risks is being extended within the La Banque Postale Group by the formation of a LBP Group legal unit; Because the legal officers of the subsidiaries functionally report to the Legal Director of the La Banque Postale Group, the legal unit makes it possible to ensure consolidated information on and the management of significant legal risks which may impact the subsidiaries.

Moreover, the Legal Department contributes to the work of the Bank's various committees:

- ▶ within the Regulatory Oversight Committee, the Legal Department defines, disseminates and implements the policy positions concerning the laws and regulations which affect the Bank's business activities;
- ▶ within the New Products Committee, the Legal Department analyses the cases presented and issues opinions;
- ▶ within the Disputes & Provisions Committee, the Legal Department discusses the litigations and the provisions to be booked for them;
- ▶ within the Internal Control Coordination Committee, the Legal Department takes part in reviews concerning audits and internal control activities;
- ▶ within the national Watch-list Committees and Special Matters & Disputes Committees concerning business markets and regional authorities, the Legal Department acts as an advisor. It presents the matters being litigated and their provisioning connected to such markets.

Concerning interchange fees, the situation is as follows:

- ▶ Cheque Image Exchange Commissions (EIC).

On 20 September 2010, the French Competition Authority ordered 11 retail banks and the Banque de France to pay a fine of €384.9 million for collusion regarding CEIC. The share of the fine assigned to La Banque Postale amounted to €32.9 million.

On 23 February 2012, the Court of Appeal of Paris annulled the Authority's decision, deeming that no collusion had been established.

On 14 April 2015, the French Supreme Court quashed the judgement of the Appeal Court of Paris on procedural grounds and sent the matter back before the same appeal court, which will rule anew at the end of 2016.

Following the favourable ruling by the Competition Authority on 5 July 2012 regarding interchange fees on direct debits, a study is being conducted to rule on the subject of "R" SEPA fees.

Also, La Banque Postale responded to a notification of complaints from the French Financial Markets Authority (AMF), concerning the obligation of counsel upon the occasion of the buyback of shares of a mutual fund (*Fonds commun de placement*, or FCP) which took place close to the term of said financial instrument.

To the Company's knowledge, there are no other governmental, court or arbitration proceedings, including any proceedings that are pending or threatened, likely to have or having had any significant effect on the Company and/or Group's financial position or profitability over the last 12 months.

Fiscal risks are the responsibility of the Tax Department attached to the bank's Finance Department. This department centralises fiscal management and consultancy for all the bank's different business lines and the subsidiaries of La Banque Postale. It helps the different contacts to prevent and control fiscal risks.

The Tax Department takes part in and issues its opinion within the different internal committees, namely the Product Review Committee, the Regulatory Compliance, Prudential Accounting and Governance Monitoring Committee, Cross-Entity Securities Committee and the Cross-Entity Savings Committee.

La Banque Postale was the subject of a tax reassessment relating to the opening conditions and functioning of the regulated savings accounts for the years 2009 to 2011, which was resolved during FY 2015. The Tax Administration is pursuing its audit on regulated savings for the years 2012 and 2013.

4.6 ENVIRONMENTAL RISKS

These risks are identified and described in Chapter 6 of this Registration Document.

FINANCIAL STATEMENTS AS AT 31 DECEMBER 2015

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5.1 CONSOLIDATED FINANCIAL STATEMENTS

Consolidated income statement

(€ '000s)	Notes	31.12.2015	31.12.2014
Interest and similar income ⁽¹⁾	4.1	4,850,934	5,283,564
Interest and similar expenses	4.1	(1,726,031)	(2,054,963)
Commissions (income)	4.2	2,567,788	2,398,243
Commissions (expenses)	4.2	(275,239)	(280,214)
Net gains or losses on financial instruments at fair value through profit or loss	4.3	(73,771)	19,416
Net gains and losses on assets available for sale ⁽¹⁾	4.4	135,482	130,267
Income from other activities	4.5	1,032,411	923,227
Expenses from other activities	4.5	(766,342)	(746,229)
Net banking income		5,745,232	5,673,311
General operating expense	4.6	(4,467,672)	(4,466,828)
Net depreciation, amortisation and impairment of tangible and intangible non-current assets		(225,505)	(205,575)
Gross operating income		1,052,054	1,000,908
Cost of risk	4.7	(180,938)	(163,010)
Operating income		871,116	837,898
Share of net income from associates		206,793	198,980
Net gains and losses on other assets	4.8	15,760	(620)
Changes in value of goodwill	4.9	0	263
Pre-tax income		1,093,670	1,036,521
Income tax	4.10	(349,988)	(334,574)
Net income		743,681	701,948
Non-controlling interests		36,870	24,761
NET INCOME, GROUP SHARE		706,811	677,186
<i>Basic earnings per ordinary share (in euros)</i>		20.09	19.25
<i>Diluted earnings per ordinary share (in euros)</i>		17.62	16.88
<i>Dividend per ordinary share (in euros)</i>		9.04	8.66

(1) Including a reclassification in 2014 of dividends and similar income into interest income on available-for-sale financial assets for €39 million.

Consolidated balance sheet

(€ '000s)	Notes	31.12.2015	31.12.2014 Restated ⁽¹⁾	31.12.2014 Published
ASSETS				
Cash and central banks	3.1	1,811,631	1,949,649	1,949,649
Financial assets at fair value through profit and loss	3.2	11,035,274	9,673,696	9,673,696
Hedging derivatives	3.3	1,228,567	1,532,205	1,532,205
Available-for-sale financial assets	3.4	15,610,500	13,101,974	13,101,974
Loans and receivables – Credit institutions	3.5	83,101,861	83,314,646	83,314,646
Loans and receivables – Customers	3.6	73,628,314	67,856,592	67,856,592
Revaluation differences on interest rate risk hedged portfolios		178,258	231,296	231,296
Financial assets held to maturity	3.8	24,157,604	28,296,514	28,296,514
Current tax assets	3.9	229,206	200,596	200,596
Deferred tax assets	3.9	296,287	188,581	193,786
Accruals and other assets	3.10	3,163,141	2,287,378	2,287,378
Non-current assets held for sale		2,349	2,349	2,349
Deferred profit-sharing		0	0	0
Investments in associates	3.11	2,917,881	2,836,602	2,836,602
Investment property	3.12	0	0	0
Property, plant and equipment	3.12	657,030	691,532	691,532
Intangible assets	3.12	499,565	523,422	523,422
Goodwill	3.13	190,510	146,608	146,608
TOTAL		218,707,978	212,833,640	212,838,845
LIABILITIES				
Central banks		0	0	0
Financial liabilities at fair value through profit or loss	3.2	657,456	331,999	331,999
Hedging derivatives	3.3	326,058	432,195	432,195
Liabilities due to credit institutions	3.14	15,741,232	15,156,724	15,156,724
Liabilities to customers	3.15	171,771,151	167,910,717	167,910,717
Debt securities	3.16	9,054,583	9,390,578	9,390,578
Revaluation differences on interest rate risk hedged portfolios		704,319	918,956	918,956
Current tax liabilities	3.9	13,787	30,744	30,744
Deferred tax liabilities	3.9	127,620	129,863	129,863
Debts linked to non-current assets held for sale		0	0	0
Accruals and other liabilities	3.17	5,199,159	4,885,727	4,899,425
Underwriting provisions of insurance and shadow companies	3.18	2,008,711	1,787,426	1,787,426
Provisions	3.19	770,523	785,149	785,149
Subordinated debt	3.20	3,189,017	2,458,098	2,458,098
Non-controlling interests		238,570	201,668	201,435
Equity, Group share		8,905,790	8,413,796	8,405,536
Equity capital		4,046,408	4,046,408	4,046,408
Consolidated reserves and others		3,299,020	2,845,408	2,837,147
Gains and losses recognised directly in equity		853,551	844,795	844,795
Profit/(loss) for the period		706,811	677,186	677,186
TOTAL		218,707,978	212,833,640	212,838,845

(1) The retroactive application of IFRIC 21 to the 2014 consolidated financial statements was +€8.5 million on the reserves, offset against a reduction of €13.7 million in social security debt and €5.2 million in deferred tax assets.

Statement of net income and gains and losses recognised directly in equity

	31.12.2015	31.12.2014
NET INCOME	743,681	701,948
ITEMS RECYCLABLE IN PROFIT OR LOSS		
Exchange rate differences		
Revaluation of available-for-sale financial assets		
<i>Change in revaluation reserves</i>	31,608	103,980
<i>Reclassification under net profit</i>	(53,741)	(61,362)
Revaluation of hedging derivatives		
<i>Change in reserves</i>	(7,731)	81,182
<i>Recycling under net profit</i>	0	0
Item of the share in gains and losses recognised directly in equity from associates ⁽¹⁾	(14,576)	219,188
Deferred tax	53,197	(43,019)
ITEMS NOT RECYCLABLE IN PROFIT OR LOSS		
Actuarial differences under defined benefit schemes	686	(1,624)
Other changes	0	0
Items of the share in gains and losses recognised directly in equity from associates ⁽¹⁾	(1,208)	(4,643)
Deferred tax	0	719
TOTAL GAINS AND LOSSES RECOGNISED DIRECTLY IN EQUITY NET OF TAXES	8,236	294,421
NET INCOME AND GAINS AND LOSSES RECOGNISED DIRECTLY IN EQUITY NET OF TAXES	751,917	996,370
Including net income and gains and losses recognised directly in equity, Group share	715,563	950,963
Including net income and gains and losses recorded directly in equity, non-controlling interests	36,354	45,406

(1) Amounts presented net of deferred tax.

Statement of changes in equity

	Equity capital ⁽¹⁾	Issue premium	Legal reserves, retained earnings and other reserves	Consolidated reserves	Actuarial adjustments	Gains or losses, net of tax, recognised directly in equity Translation reserves change in fair value of financial instruments ⁽²⁾ and ⁽³⁾	Profit (loss) for the period attributable to the owners of the parent	Equity, Group share	Equity, non-controlling interests	Total consolidated equity
IFRS equity restated as at 31 December 2013	3,413,735	16,719	1,191,809	1,402,773	(14,308)	585,326	575,571	7,171,623	157,674	7,329,296
Appropriation of 2013 net income			313,197	262,374			(575,571)	0		0
Dividend paid in 2014 in respect of 2013 income ⁽⁶⁾			(260,631)	(39,681)				(300,312)	(11,900)	(312,212)
Capital increase	632,673							632,673	8,400	641,073
Sub-total of movements linked to relations with shareholders	632,673	0	52,566	222,693	0	0	(575,571)	332,361	(3,500)	328,861
Effect of the application of IFRIC 21 ⁽⁴⁾				8,261				8,261		8,261
Changes in gains and losses recognised directly in equity						60,137		60,137	20,645	80,782
Net profit as at 31 December 2014							677,186	677,186	24,761	701,947
Sub-total	0	0	0	8,261	0	60,137	677,186	745,584	45,406	790,990
Share in changes in the equity of associates consolidated using the equity method				722	(4,643)	219,188		215,267		215,267
Other changes ⁽⁵⁾			0	(50,133)	(905)			(51,038)	2,088	(48,950)
IFRS equity restated as at 31 December 2014	4,046,408	16,719	1,244,375	1,584,316	(19,856)	864,651	677,186	8,413,797	201,668	8,615,464
Appropriation of 2014 net income			375,451	301,735			(677,186)	0		0
Dividend paid in 2015 in respect of 2014 income ⁽⁶⁾			(304,712)	(39,681)				(344,393)	(12,906)	(357,299)
Sub-total of movements linked to relations with shareholders	0	0	70,738	262,055	0	0	(677,186)	(344,393)	(12,906)	(357,299)
Changes in gains and losses recognised directly in equity	0	0	0	0	0	25,450	0	25,451	(2,527)	22,923
Net profit as at 31 December 2015							706,811	706,811	36,870	743,681
Sub-total	0	0	0	0	0	25,450	706,811	732,262	34,343	766,604
Share in changes in the equity of associates ⁽⁷⁾	0	0	0	(3,276)	(1,208)	(14,576)	0	(19,060)	0	(19,060)
Other changes ⁽⁸⁾	0	0	1	124,093	686	(1,595)	0	123,185	15,466	138,651
IFRS equity as at 31 December 2015	4,046,408	16,719	1,315,114	1,967,188	(20,378)	873,929	706,811	8,905,790	238,570	9,144,361

(1) As at 31 December 2015, the capital of La Banque Postale consisted of 35,186,153 shares with a nominal value of €115 each.

(2) Gains or losses recognised directly in equity include translation reserves arising from the foreign subsidiaries consolidated by the CNP Assurances group.

(3) As at 31 December 2015, gains or losses recognised directly in equity primarily included €678 million in net unrealised gains on assets available for sale recorded by the CNP Assurances group, compared with €637 million as at 31 December 2014.

(4) This is the effect of the initial application of IFRIC 21 for €8.3 million.

(5) The other changes observed during the 2014 financial year come, for €50 million, from the change in value of the put options on minority interests.

(6) In 2014 and 2015, the €40 million change corresponds to the coupon payment net of deferred tax on the bond debt issued.

(7) Including -€6.4 million from deconsolidated companies (see highlights).

(8) The other changes observed during the 2015 financial year come mainly from €115.5 million in disposal of LBP Asset Management shares to Aegon, €24 million from SOFIAP badwill, a dilution effect from La Banque Postale Assurance Santé for €10.2 million (see highlights) and a loss of €26.7 million in changes in put options on minority interests.

Net cash flow statement

The cash flow statement is presented according to the indirect method model.

Investment activities represent cash flows for the acquisition and disposal of interests in consolidated companies as well as tangible and intangible assets.

Financing activities represent changes linked to structural financial transactions involving equity, subordinated debt and acquisition of non-controlling interests.

Operating activities include those cash flows that fall outside the two previous categories. More specifically, securities relating to strategic investments included in the "Available-for-sale financial assets" and financial assets held to maturity are classified in operating activities.

	31.12.2015	31.12.2014
Pre-tax income	1,093,670	1,036,521
+/- Net depreciation and amortisation of tangible and intangible non-current assets	224,107	205,435
- Changes in goodwill and impairment of other non-current assets	1,392	(123)
+/- Net provisions and impairment charges	287,618	454,639
+/- Share of profits of associates	(206,793)	(198,980)
+/- Net losses or gains on investment activities	(19,470)	620
+/- Net losses or gains on financing activities	0	0
+/- Other movements	155,376	(194,009)
= Total non-cash items included in net pre-tax income and other adjustments	442,230	267,582
+/- Cash flows relating to transactions with credit institutions	4,310,065	(1,583,945)
+/- Cash flows relating to customer transactions	(1,968,667)	(6,157,813)
+/- Cash flows relating to other transactions that have an impact on financial assets or liabilities	174,864	4,555,183
+/- Cash flows relating to other transactions that have an impact on non-financial assets or liabilities	(705,589)	1,586,390
- Taxes paid	(380,982)	(466,953)
= Net decrease/increase in assets and liabilities arising from operating activities	1,429,691	(2,067,139)
Total net cash generated by operating activities (A)	2,965,591	(763,035)
+/- Flows linked to financial assets and investments	88,181	82,388
+/- Flows linked to tangible and intangible non-current assets	(214,126)	(206,055)
Total net cash generated by investing activities (B)	(125,945)	(123,667)
+/- Cash flows from or to shareholders	(357,194)	328,740
+/- Other net cash flows from financing activities	874,219	814,487
Total net cash generated by financing activities (C)	517,025	1,143,227
Impact of changes in exchange rates on cash and cash equivalents (D)	0	0
Net increase (decrease) in cash and cash equivalents (A+B+C+D)	3,356,671	256,525
Net cash flows generated by operating activities (A)	2,965,591	(763,035)
Net cash flows generated by investment activities (B)	(125,945)	(123,667)
Net cash flows generated by financing activities (C)	517,025	1,143,227
Impact of changes in exchange rates on cash and cash equivalents (D)	0	0
Opening cash and cash equivalents	1,863,432	1,606,909
Cash and central banks (assets and liabilities)	1,949,649	1,569,984
Current accounts (assets and liabilities) and overnight loans with credit institutions	(86,217)	36,925
Opening cash and cash equivalents	5,220,102	1,863,432
Cash and central banks (assets and liabilities)	1,811,631	1,949,649
Current accounts (assets and liabilities) and overnight loans with credit institutions	3,408,471	(86,217)
CHANGE IN NET CASH	3,356,671	256,525

The concept of net cash includes cash, receivables and payables to central banks, as well as current accounts (assets and liabilities) held by credit institutions

5.2 NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

The Group's consolidated financial statements for the financial year ending 31 December 2015 were approved by the Executive Board on 8 February 2016. They will be submitted for approval to the General Meeting before 31 May 2016.

Legal and financial framework

1 Founding of La Banque Postale

La Banque Postale is the result of Efposte, which was originally an investment company, becoming an institution approved to operate as a credit institution.

This conversion occurred within the framework of law No. 2005-516 of 20 May 2005 on the regulation of Post Office business.

Pursuant to the above law and to the enacting decree of 30 August 2005, the assets, rights and obligations linked to the accounts and agreements of the Caisse Nationale d'Épargne (CNE) were transferred to La Poste on 31 December 2005. On the same date, these items, together with the assets, rights and obligations linked to La Poste's financial services, were transferred to Efposte, which then changed its name to La Banque Postale, with 31 December 2005 as the legal and accounting start date.

The assets transferred included La Poste's investments in SF2, which acts as a holding company (including for its indirect holdings in the Caisse National de Prévoyance [National Provident Fund]) and in the CRSF Métropole and CRSF DOM Limited Property Investment Partnerships (SCIs), which own La Banque Postale's business premises.

Since this was a transaction between jointly-owned entities, the assets and liabilities transferred were valued at their net book value.

2 Highlights over the period

2.1 Memorandum of understanding between La Banque Postale and CNP

On 10 December 2015, La Banque Postale and CNP Assurances announced that they had entered into a preliminary memorandum of understanding for the renewal of their partnership from 2016 for a period of 10 years.

The renewed partnerships includes the following sections:

- ▶ the renewal of the partnership for a period of 10 years from 1 January 2016, the scope being extended to include BPE, the subsidiary bank of the La Banque Postale Group specialised in asset and wealth management;
- ▶ the establishment with La Banque Postale of a direct partnership in group loan insurance for property loans for a period of 10 years, CNP Assurances taking over this market segment from La Banque Postale Prévoyance;

- ▶ the acquisition by La Banque Postale from CNP Assurances of its participating interest in La Banque Postale Prévoyance. The latter retains in particular the contingency insurance activities for individuals. Subject to finalisation of the agreements and in particular the fulfilment of the conditions precedent, the transaction should be seen in the accounts for the 2016 financial year as La Banque Postale Prévoyance being wholly owned by La Banque Postale.

The agreements should be finalised during the first quarter of 2016, the current agreements continuing until the final agreements are implemented.

This agreement only affects the off balance-sheet commitments of La Banque Postale in the 2015 financial year.

2.2 Aegon Asset Management equity investment in La Banque Postale Asset Management and equity stake in Malakoff Médéric

The Supervisory Board of La Banque Postale meeting on 16 December 2014 and the Board of Directors of Groupe La Poste meeting on 18 December 2014 authorised La Banque Postale to enter into exclusive negotiations with Aegon Asset Management to conclude a partnership in the field of asset management.

This agreement involved Aegon Asset Management taking a 25% minority stake in La Banque Postale Asset Management for the sum of €117 million. This agreement was signed on 3 June 2015 with, as the main impact, Aegon Asset Management gaining a minority equity stake in the capital of LBP Asset Management.

This transaction was followed by the contribution to LBP Asset Management by Malakoff Médéric of the company Fédériss Gestion d'Actifs. As remuneration for this contribution, LBP Asset Management created 3,510 new shares representing 5% of its capital. This creation of new shares generated a dilution of SF2 and Aegon in the capital of LBP Asset Management. Given the shareholders' agreement signed, SF2 disposed of 877 shares for €5.9 million to allow Aegon to maintain its equity at a 25% holding.

The effect of these transactions was the entry of minority interests into the capital of La Banque Postale Asset Management, i.e. a group share/minority interests distribution of €23.8 million (including profit) as at 31 December 2015 and the total consolidation of the Fédériss entity.

The transactions with Malakoff Médéric are described in Note 2.5.

2.3 Completion of SOFIAP's opening balance sheet

On 20 May 2014, La Banque Postale acquired a 66% stake in SOFIAP. Allocation of the acquisition price was finalised in the first half of 2015. The main restatements made represent insignificant amounts. The opening equity of the subsidiary stood at €93.6 million for a 100% holding. Given the share acquired by La Banque Postale and the cost price of the securities, the final negative goodwill stood at €24 million. It was recorded directly in the Group's consolidated reserves as it was an acquisition made in the prior year.

Assets in IFRS – interim situation at May 2014 (€ '000s)	Before (under IFRS)
Cash and central banks	1
Hedging derivatives	5
Available-for-sale financial assets	24
Loans and receivables – Credit institutions	10,928
Loans and receivables - Customers	1,502,322
Revaluation differences on interest rate risk hedged portfolios	75,975
Current tax assets	10,512
Deferred tax assets	9,408
Accruals and sundry assets	12,434
Intangible assets, tangible assets and investment property	1,958
TOTAL ASSETS	1,623,567

Liabilities in IFRS – interim situation at May 2014 (€ '000s)	Before (under IFRS)
Hedging derivatives	76,777
Liabilities due to credit institutions	1,421,340
Liabilities to customers	1,007
Revaluation differences on interest rate risk hedged portfolios	3
Deferred tax liabilities	2,389
Accruals and other liabilities	27,244
Provisions	1,247
Equity	93,560
TOTAL LIABILITIES	1,623,567

2.4 Ciloger

SF2 acquired an additional 45% of Ciloger shares for a price of €19.9 million in June 2015. The entity was fully consolidated by

1 July 2015. The opening equity of the entity stood at €10.6 million. Partial goodwill was recorded for €30.3 million.

2.5 Entry of Malakoff Médéric Assurances into the capital of LBP Assurance Santé

As at 30 July 2015, the 65% stake held by SF2 in LBP Assurance Santé was diluted following, on the one hand, a disposal of 4.9% of its capital to Malakoff Médéric Assurances for €5.4 million, and, on the other hand, a capital increase of €15.5 million allowing respectively La Mutuelle Générale to hold 35% and Malakoff Médéric Assurances to hold 14% of the company's capital. The SF2 equity investment in LBP Assurance Santé stood at 51% as at 31 December 2015.

2.6 Bond issue

On 19 November 2015, La Banque Postale conducted a bond issue of €750 million with a 12-year maturity. This was the fourth issue of Tier II securities by La Banque Postale.

2.7 Highlights for CNP Assurances

Disposal to Barclays Bank of the interest in CNP BVP

On 22 December 2014, CNP Assurances announced the principle of the sale of its 50% stake in the Spanish company CNP BVP (CNP Barclays Vida y Pensiones) to Barclays Bank. As at 31 December 2014, the CNP Assurances interest in CNP BVP was posted in accordance with the requirements of IFRS 5 "Non-current assets held for sale". This transfer was finalised on 21 April 2015, after obtaining the necessary regulatory approvals, for a total amount of €457 million including exceptional dividends of €36 million. This meant a capital gain of €248.5 million before tax, i.e. €231.8 million after tax.

2.8 Merger of LBP Gestion Privée with BPE

The entity LBP Gestion Privée was merged with BPE, effective from 1 January 2015. This transaction had an insignificant impact on the equity of the LBP Group following a capital reduction and then an increase.

LBP Gestion Privée thus changed segment, moving from Asset Management to Retail Banking.

3 Post balance sheet events

La Banque Postale did not identify any post balance sheet events.

Detailed summary of notes

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NOTE 1 PRINCIPAL VALUATION AND PRESENTATION RULES APPLYING TO THE CONSOLIDATED FINANCIAL STATEMENTS

1.1 Regulatory framework

Regulation (EC) No. 1606/2002 of 19 July 2002 requires companies whose debt securities are listed on a regulated market to apply the accounting basis established by the International Accounting Standard Board (IASB). Accordingly La Banque Postale Group has since 1 January 2007 prepared its consolidated financial statements under International Financial Reporting Standards (IFRS) as approved by the European Union. More specifically, the Group has chosen to apply the provisions of European Commission Regulation No. 2086/2004 by adopting IAS 39, with the exception of certain provisions. This European regulation therefore allows certain macro-hedging transactions performed as part of asset and liability management (including notably customer demand deposits) to be treated as fair value hedges.

The full accounting basis adopted in the European Union can be consulted on the European Commission's website at the following address:

http://ec.europa.eu/internal_market/accounting/ias/index_fr.htm.

The consolidated financial statements are presented in thousands of euros.

Presentation of the financial statements

In the absence of any model imposed by IFRS, the Group has used the summary statement format suggested in Recommendation 2013-04 of 7 November 2013 issued by the French National Accounting Authority.

1.2 Standards and interpretations applied by the Group as of 1 January 2015

With respect to the consolidated financial statements for the year ended 31 December 2014, the Group has applied the following standards and interpretations mandatory within the European Union from 1 January 2015:

Standards or Interpretations	Date of adoption by the EU
IFRIC 21 – Levies	13 June 2014
Annual improvements to IFRS – Cycle 2011-2013	18 December 2014

IFRIC 21 – Taxes sets out the conditions for recognition of levies made by a public authority falling within the scope of IAS 37 – Provisions, Contingent Liabilities and Contingent Assets according to their operative event. The operative event may be *ad hoc*, continuous and gradual or arise due to the crossing of thresholds.

The principal consequence of implementing this interpretation is to change the operative event for recognising certain taxes: certain taxes that were distributed over the financial year are recognised in full on 1 January. The main levies involved at Group level are the corporate social solidarity contribution (C3S), the bank levy for systemic risk, property taxes and the contribution to the Single Resolution Fund since 1 January 2015, which are now posted as at 1 January of the year of payment. In addition, the C3S is now recorded on 1 January

of the year in which it becomes payable, on the basis of the revenue achieved during the previous year, whereas it was previously recorded during the year in which the revenue, the tax base, was recorded.

The Group applied the IFRIC 21 interpretation for the first time on 1 January 2015 retrospectively. The effects of applying this interpretation to the 2014 consolidated financial statements are presented in Paragraph 1.4: the Group's consolidated equity as at 1 January 2014 was restated from any impact of C3S. Insofar as certain levies are posted earlier in the accounting period, this causes an increase in general operating expenses in the first half and a decrease by the same amount of the general operating expenses posted in the second half. The impact of the IFRIC 21 interpretation on the income statement is thus nil over the full financial year.

1.3 Standards and interpretations not yet applied

The IASB and IFRIC have issued standards and interpretations that were not compulsory as at 31 December 2015. Standards or interpretations published by the IASB but not yet adopted by the European Union will be mandatory only once they have been adopted.

Standards or Interpretations	Date of adoption by the European Union	Date of entry into force ⁽¹⁾	Application as of 31 December 2015
IAS 19 amendment "Defined Benefit Plans – Employee Contributions"	17 December 2014	1 February 2015	possible
Annual improvements to IFRS – Cycle 2010-2012	17 December 2014	1 February 2015	possible
Amendments to IAS 16 and IAS 41: "Agriculture: bearer plants"	23 November 2015	1 January 2016	possible
Amendments to IFRS 11 "Recognition of acquisitions of interests in joint operations"	24 November 2015	1 January 2016	possible
Amendments to IAS 16 and IAS 38: "Clarifications of acceptable methods of depreciation and amortisation"	2 December 2015	1 January 2016	possible
Annual improvements to IFRS – Cycle 2012-2014	15 December 2015	1 January 2016	possible
Amendments to IAS 1: "Disclosure initiative"	18 December 2015	1 January 2016	possible
Amendments to IAS 27: "Equity method in separate financial statements"	18 December 2015	1 January 2016	possible

(1) Effective for financial years from:

As at 31 December 2015, the Group had not applied these standards.

IFRS 9 "Financial instruments" and IFRS 15 "Revenue from contracts with customers", published respectively in July and May 2014, are not applicable to the 2015 financial year, as they have not been approved by the European Union. Subject to their adoption by the European Union, they should be applicable as at 1 January 2018.

- IFRS 9 "Financial instruments" will ultimately replace IAS 39 "Financial instruments: recognition and measurement". It defines new classification and measurement rules for financial instruments, a new method for impairment of financial assets, as well as the processing of the affected hedging transactions.

The new provisioning method is henceforth oriented towards a model for hedging loan losses that are expected and no longer only those proven.

IFRS 9 defines a single provisioning model, aimed at hedging expected losses and which applies to all financial assets (apart from equity instruments) not revalued at fair value through profit or loss, as well as financing commitments and guarantee commitments.

The current principles of provisioning applied within La Banque Postale Group lead to recognition of asset impairment on an individual and collective basis. Individual provisions are recorded for an asset as soon as there is an objective indication of loss of value. Collective provisions are statistical provisions. They aim to cover the objective indications of loss of value, identified within a portfolio but unable to be allocated individually.

Applying IFRS 9, new impairments, representing the expected losses at one year, will be recorded in the amounts outstanding as soon as they enter the balance sheet, and as long as they do not present any significant deterioration in credit risk.

The provisioning models developed as part of implementing IFRS 9 will result in a review of the current collective provisions.

The methodologies developed interact strongly with the risk monitoring methods, in particular with the Basel methods. They will take into consideration past events such as loss histories, current conditions and reasonable and justifiable forecasts.

At this stage, the implementation project for IFRS 9 has mainly concerned analysis of the standard and the performance of a diagnosis aiming to identify the various effects of the standard and work to be done, for the classification and provisioning sections.

- IFRS 15 will ultimately replace IAS 11 “Construction contracts” and IAS 18 “Revenue”, along with the interpretations linked to these two standards. This new standard defines a single income recognition model for sales of goods, provision of services and

long-term contracts. At the level of the Group, the income concerned is mainly the commissions received that do not come under the scope of IAS 39, *i.e.* those that are not included at the effective interest rate.

The impact of IFRS 15 on the Group financial statements is currently being analysed.

1.4 Impact of the IFRIC 21 interpretation on the 2014 consolidated financial statements

The retroactive application of IFRIC 21 to the 2014 consolidated financial statements had no impact on the annual income statement and of +€8.5 million on the reserves, offset against a reduction of €13.7 million in social security debt and €5.2 million in deferred tax assets.

1.5 Principles adopted for the preparation of the consolidated financial statements

1.5.1 Determining the scope of consolidation

The consolidated financial statements include the financial statements of La Banque Postale, the consolidated financial statements of the sub-groups and the financial statements as at 31 December 2015 of those subsidiary companies and holdings controlled or significantly influenced by La Banque Postale, where such consolidation has a significant impact on the overall consolidated financial statements. Entities that are excluded even though they meet the control criteria are left out where they are regarded as not significant in view of three non-cumulative criteria: a percentage stated on the balance sheet, net banking income and net income, as well as in view of their multi-year financial histories.

1.5.2 Consolidation methods

The scope of voting rights taken into consideration when assessing the nature of the control exerted by the Group includes the existence and effect of potential substantive voting rights, such as potential voting rights that could be exercised to make a decision pertaining to relevant activities at the next General Meeting.

The consolidation methods are applied according to the nature of the control exercised by La Banque Postale on entities.

Structured entities and subsidiaries controlled by the Group are fully consolidated.

A structured entity is created specifically to manage a transaction or group of similar transactions and designed to ensure that voting rights or similar voting rights are not decisive in establishing the control of the entity. They are consolidated when they are substantially controlled by the Group, even if there is no equity link.

In accordance with IFRS 10, analysis of the control is identical to that conducted for a subsidiary.

The control exercised over a subsidiary or a structured entity is assessed based on the following three criteria:

- the power to direct the key activities of the subsidiary, for example through voting rights or other rights;
- the exposure or rights to variable returns generated by the subsidiary; and

- the capacity to allocate those returns *via* the power exercised over the subsidiary.

Joint arrangements in which the Group exercises joint control with other partners are recognised using the equity method in the case of a joint venture or proportionally to the share of interests held, in the case of a joint operation.

The Group exercises joint control over a joint arrangement when decisions about the entity's relevant activities contractually require the unanimous consent of all partners.

A joint venture is a joint arrangement in which each partner has an entitlement to a share of the entity's net assets.

A joint operation is a joint arrangement in which the partners have direct entitlements to the entity's assets and obligations over its liabilities. A joint operation is consolidated according to the share of assets, liabilities, income and expenses controlled by the Group.

Companies over which the Group has a material influence are consolidated using the equity method.

Significant influence is defined as the power to participate in the financial and operating policies of a subsidiary without having control of it. More specifically, that control may stem from representation on the subsidiary's management or supervisory bodies, from involvement in strategic decisions, from the existence of significant inter-company operations, from the exchange of management staff, or from technical dependency. Control is assumed to exist from the moment that the Group holds at least 20% of the voting rights, either directly or indirectly.

1.5.3 Consolidation rules

Restatements and eliminations

The restatements and reclassifications required in order to make the financial statements of all consolidated subsidiary companies comply with the Group's accounting principles are carried out.

Reciprocal accounts are eliminated, together with income and expenses arising from internal Group transactions and which have a material impact on the consolidated financial statements.

Conversion of the financial statements of foreign subsidiaries

For companies where the functional currency is not the euro, the balance sheet statements of foreign subsidiaries are converted at the applicable year-end exchange rate.

Income and expenses in the income statement are converted at the average exchange rate for the period.

Exchange rate differences that arise from changes in the exchange rates applied to equity capital, reserves and net profit are entered under "Unrealised or deferred gains and losses – Translation adjustments".

At the time when the Group prepared its first consolidated financial statements according to IFRS, it made use of the option provided by IFRS 1 to transfer the cumulative translation adjustments as at that date to equity capital. This option only applied to foreign entities of the CNP Assurances group, which became the first adopter of IFRS in financial year 2005. In the event that these entities are subsequently sold, the sale proceeds will only include the reversal of translation adjustments generated from 1 January 2006 onwards.

Business Combinations

Business combinations prior to 1 January 2010 were handled by the Group based on the acquisition method, according to the provisions of the initial version of IFRS 3.

Business combinations since 1 January 2010 are handled by the Group based on the acquisition method, in accordance with revised IFRS 3. Business combinations prior to 1 January 2010 were not restated to reflect the implementation of revised IFRS 3, which is prospectively applied.

The cost of acquisition is defined as the total fair value cost on the date of acquisition of the assets acquired, the liabilities transferred, and the equity instruments issued in exchange for control over the acquired company. Any price adjustments are included in the acquisition cost at their estimated fair value on the purchase date, and revalued on each reporting date, with subsequent adjustments recognised in the profit and loss statement.

The identifiable assets, liabilities and contingent liabilities of the purchased entities are recorded at their fair value on the acquisition date. The contingent liabilities of the acquired entities are only recognised on the consolidated balance sheet if they represent an actual obligation at the time of the combination, and if their fair value can be estimated on a reliable basis.

At the takeover date, non-controlling interests may be measured either at fair value or at their proportional share of the fair value of the identifiable assets and liabilities of the purchased entity. The choice between these two methods is made for each business combination.

Costs that are directly attributable to the business combination transaction represent a separate transaction and are recorded in the profit and loss statement.

The positive difference between the sum of the entity's purchase cost, non-controlling interests and the fair value of any previously held share, and the revalued net assets is recorded as an asset in the consolidated balance sheet under "Goodwill"; any negative difference is immediately allocated to the profit and loss statement.

Analyses required for the initial valuation of these items and any potential adjustments may be performed within a period of 12 months from the acquisition date.

Goodwill is retained on the balance sheet at its historical cost in the reference currency of the subsidiary acquired, and is converted at the official exchange rate at the reporting date.

Goodwill is regularly reviewed by the Group, and impairment tests are performed at least once a year, and as soon as any loss of value occurs.

When the recoverable value of the underlying asset, defined as the higher of the market or value in use of the underlying asset concerned, is lower than its carrying amount, a terminal impairment is charged to the net income statement.

The carrying amount of goodwill for associates is included in their valuation using the equity method.

In cases where minority shares are purchased in a subsidiary over which control has already been established, additional goodwill corresponding to the difference between the total acquisition cost of the additional interest and the Group's share in the net assets acquired is recognised, and deducted from equity if positive. Likewise, a fall in the percentage of the Group's interest in an entity over which it retains exclusive control is treated as a transaction within equity.

At the time an entity is taken over, any share previously held in it is revalued at its market value offset against the profit and loss.

Purchase undertakings granted to minority shareholders of fully consolidated subsidiaries

Non-controlling interests are stakes that do not provide control and include instruments that represent current shares, and grant the right to a share of net assets in the event of liquidation, and other equity instruments issued by the subsidiary and not held by the Group.

In their current wording, IFRS 10 "Consolidated Financial Statements" and IAS 32 "Financial Instruments: Presentation" lead the Group to recognise a debt offset against a reduction in non-controlling interests under commitments to purchase non-controlling interests. The Group has chosen to deduct the difference between the amount of the commitment and the non-controlling interests offsetting the debt from equity.

Subsequent movements are recognised under reserves, Group share.

The share of net profit attributable to minority shareholders who hold purchase options is shown under "Non-controlling interests" in the consolidated income statement.

Consolidation of the insurance activities

The financial assets and liabilities of the Group's insurance companies are largely valued and recognised in accordance with IAS 39.

However, the following policies are recognised according to IFRS 4:

- ▶ insurance policies that include a contingency clause for the policy holder. This category covers contingency insurance, pensions, property damage and unit-linked savings policies with a guaranteed floor;
- ▶ financial contracts issued by the insurer that include a discretionary profit-sharing (PS) clause.

In accordance with the provisions of IFRS 4, local guidelines for valuing underwriting provisions are retained for both types of contract.

The financial contracts covered by IAS 39 are investment contracts with no discretionary profit sharing: a unit-linked savings policy with no euro-denominated or minimum guarantee.

Pursuant to the "shadow accounting" principles set out in IFRS 4, a provision for deferred profit-sharing is recorded for insurance policies that included a discretionary profit-sharing clause. This provision is determined in a way that reflects the potential rights of policyholders to share in unrealised gains on financial instruments valued at fair value or in potential losses in the event of unrealised losses on those instruments.

On each reporting date, the Group's insurance companies implement a liability adequacy test which checks that the recognised insurance liabilities, net of deferred acquisition costs and associated intangible assets, are adequate, using current estimates of future cash flows arising from insurance policies and financial policies with discretionary profit-sharing.

Underwriting provisions and actuarial reserves

Underwriting provisions represent commitments to policy-holders.

- ▶ Actuarial reserves for euro-denominated policies correspond to the difference between the present value of the insurer and the policyholder's commitments.

Life insurance reserves are recorded based on discount rates that are at most equal to prudently estimated rates of return on the underlying assets.

The net present value of commitments is calculated by choosing a discount rate that is at most equal to the pricing rate of the policy involved and by using statutory mortality tables or tables based on experience where these are more cautious. Lower interest rates are factored in to investment income discount rate calculations when the rate is deemed to be too high relative to the expected reinvestment prospects.

Actuarial reserves for on unit-linked policies are valued on the basis of the underlying assets. Gains or losses resulting from the revaluation of these policies are recognised in profit and loss in order to cancel out the impact of movements in underwriting provisions.

- ▶ Contractual equalisation reserves are established to meet the exceptional costs relating to transactions covering natural hazard risks, atomic risks, civil liability risks due to pollution, space risks, risks related to air transport, and risks related to terrorism and terrorist attacks.
- ▶ Other reserves include reserves for outstanding claims. These reserves are valued on the basis on the estimated value of foreseeable expenses net of any recoveries.

Active deferred profit-sharing

Most financial contracts issued to policyholders by the Group's life insurance subsidiaries include a discretionary profit-sharing clause.

The discretionary profit-sharing clause entitles life insurance policyholders to receive a share in any financial gains, as well as the guaranteed income. Pursuant to the "shadow accounting" principles set out in IFRS 4, the provision for deferred profit-sharing for these policies is adjusted to reflect the policyholders' entitlement to any unrealised gains or to their share of unrealised losses on financial instruments valued at fair value under IAS 39. The share of gains to which policyholders are entitled is determined according to the specific features of the policies likely to benefit from such gains.

The amount of the net deferred share in profits established by "shadow accounting" is recognised either in balance sheet liabilities (Net deferred profit-sharing – Liabilities) or assets (Net deferred profit-sharing – Assets) depending on the situation of the entity concerned.

A recoverability test is conducted on any asset-based deferred profit-sharing. The aim of this test is to show that the profit-sharing amount is recoverable through sharing in future or unrealised gains, against the background of the Group's business continuity, and will not result in any inadequacy of the commitments recognised in the Group's accounts in respect of these economic commitments. The recoverability test is performed by using current estimates of future policy cash flows. The test is based on tools for modelling the asset-liability management of the subsidiaries involved, and enables a value to be assigned to commitments under a high number of economic scenarios using a stochastic approach.

In accordance with the recommendation on methods for identifying deferred profit-sharing issued by the French National Accounting Council (CNC), on 19 December 2008, profit-sharing recoverability is based on a prudent assessment of the capacity for holding the assets, particularly in terms of their future collection in forecast cash flows.

Likewise the capacity of future returns to absorb unrealised losses was tested, based on an unfavourable repurchase scenario that has never been experienced up until now.

1.5.4 Segment information

The Group is divided into three separate units for management purposes:

- ▶ the Retail Banking Unit, which includes the banking or credit institution businesses, as well as the Limited Property Investment Partnerships (SCIs) holding operating premises, and the Group holding company;
- ▶ the Asset Management Unit, which includes the Group's UCITS management companies, as well as the discretionary asset management business for high-net-worth customers;
- ▶ the Insurance Unit, which includes the individual or collective property and casualty, contingency, life and health insurance companies.

The segment information in the Notes to the financial statements is shown without any reallocation of shareholders' equity or return on this equity. The segment results are presented by breaking down the segment's internal and external income and expenditure. The tax shown is the real tax charge for each segment. Potential goodwill impairment charges are shown in the segment that the entity involved belongs to. Asset and liability items are shown after elimination of reciprocal transactions.

No presentation by geographical segment is provided, since the Group's business activities outside the domestic French market are not material.

1.6 Presentation and valuation rules

Introduction: Some information on market risk and the disclosures required by IFRS 7 is included in the Risk Management section of the Registration Document.

The information required under IFRS 7 that is presented – which is part of the Notes to the consolidated Financial Statements – is covered by the report on the consolidated Financial Statements issued by the statutory auditors.

1.6.1 Foreign currency transactions

At the reporting date, monetary assets and liabilities denominated in foreign currencies are converted into euros, the Group's functional currency, at the closing rate. Unrealised or realised gains and losses are recognised in the profit and loss statement.

The value of non-monetary assets is converted into euros at the reporting date exchange rate. Exchange differences on non-monetary items denominated in foreign currencies are recognised in the profit and loss statement if the gain or loss on the non-monetary item is recorded in the profit and loss statement, and in equity if the gain or loss on the non-monetary item is recognised in equity.

1.6.2 Financial assets and liabilities

When initially recognised, financial assets and liabilities are valued at fair value, net of acquisition expenses that are directly related to the acquisition (except for financial instruments recognised at fair value through profit and loss).

Financial assets and liabilities are classified in one of the four following categories:

1.6.2.1 Loans and receivables

Loans and receivables are non-derivative financial assets, which are not listed on an active market and for which returns are fixed or can be determined. They include credit institution and customer loans and receivables. Following their initial recognition, they are recognised at amortised cost using the effective interest rate method and may be subject to impairment, if required.

The effective interest rate is the exact rate used for discounting future cash flows at the initial fair value of the loan. It includes transaction costs and ancillary revenues (arrangement fees, commitment fees when drawdown is deemed more likely than not, or participation fees) directly related to the issuance of loans, considered to be an integral part of returns on lending.

Exceptionally, certain securities may be recognised in this category. They are then subject to loans and receivables accounting, valuation, and impairment rules.

In addition to the information required by IAS and IFRS, La Banque Postale has continued to provide the information that was previously required and applied to separate financial statements.

Performing and non-performing doubtful loans outstanding are included in impaired receivables, in accordance with international standards.

Impairment of loans and receivables

The provisioning process applies to unauthorised overdrafts, home loans and consumer credit business, lease finance and loans to corporate customers.

Impairment of loans on an individual basis

The Group begins by identifying whether there is objective evidence of an event occurring after a loan – or group of loans – was granted that is likely to lead to a loss of value. These may be loans that are at least two months in arrears, outstanding debts that are already the object of a disputed recovery process, or commitments with respect to counterparties whose financial position has deteriorated and is reflected in a risk of non-recovery.

A credit risk is deemed proven within three months of the occurrence of one or more missed payments (six months for home loans and public sector entities), or, in cases where an over-indebtedness plan has been requested from the Banque de France, even if these loans present no payment default. Once risk is proven, the relevant outstanding loans and commitments are identified in a specific category.

An impairment is then recorded on the difference between the carrying amount and the net present value of the expected cash flows, discounted at the original effective interest rate, and determined taking account of the financial position of the creditor and the present value of guarantees received. In the case of terminated non-performing loans backed by a guarantee where the amount outstanding is greater than a given minimum amount, an expert appraisal is performed in order to determine the amount of the provision. For amounts below that threshold and performing loans, a prudent estimate is made, which factors in the acquisition cost of the asset.

Loans guaranteed by a private individual or loans with no guarantee are impaired in full.

The amount of the impairment is recognised in "Cost of risk" in the income statement, and the value of the financial asset is reduced through recording an impairment charge.

By applying the contagion principle, all loans outstanding to the same beneficiary are provisioned as soon as one loan to that beneficiary is provisioned within the Group.

In the event of reclassification of impaired home loans, provisions may be reversed fully or in part and loans reclassified as performing loans when all arrears have been paid and regular payment of the amounts corresponding to the contractual instalments have been made again, for a period of at least two months.

Collective loan impairment

In addition, loans that are not impaired on an individual basis are analysed and impaired on the basis of homogeneous portfolios presenting similar risk features and, where required, impaired on a collective basis. This process involves a group of "sensitive loans" indicating initial signs of default, similar at portfolio level to objective evidence of impairment, even though such impairment cannot be individually allocated.

These cases are provisioned on the basis of a likelihood of a switch to doubtful status, calculated based on historical observations. The risk of loss taking into account the nature of the guarantee is calculated in the same way as for individually impaired cases, and is covered by a provision based on the discounted recoverable cash flows.

The amount of the impairment is recognised in "Cost of risk" in the income statement, and the value of the financial asset is reduced through recording an impairment charge.

Impairment of overdrafts

The provisioning of unauthorised overdrafts applies to active and closed accounts. Downgrades are performed on a monthly basis, and factor in the amount and length of the overdraft for each account. Receivables for very small amounts are immediately expensed as losses.

Provisions recorded for active accounts factor in the loan recovery performance for the year just ended according to the level of risk. For closed accounts, the provisions are calculated according to a customer recovery rate based on longer track records.

The Bank examines the position of irregular debt, even when it falls within the authorised overdraft limits, as soon as it involves a counterparty considered as risky and exceeds 30 consecutive days, or else when a payment incident occurs. Impairments on these accounts are then recorded and change with the account balance. The contagion principle applies to other loans of the same category. Beyond a certain period, the account is declared closed.

Forbearance transactions

Forborne loans are receivables for which the entity has modified the original financial conditions due to the borrower's financial difficulties.

The discount noted when a loan is forborne is recorded under cost of risk. It is the difference between the nominal value of the debt before the restructuring and the discounted value at the original effective rate of the new expected future flows.

For un-provisioned forborne loans, this discount is accounted for in the interest rate margin over the residual maturity of the relevant loans.

Financing commitments

Financing commitments that are not viewed as derivative instruments are not shown on the balance sheet.

Guarantees

Guarantee commitments are valued according to the likelihood of these guarantees being exercised. Provisions are charged under liabilities.

1.6.2.2 Financial assets and liabilities at fair value through profit and loss

Securities classified in this category represent financial assets and liabilities held for transaction purposes, i.e. securities originally acquired with the intention of reselling them or buying them back in the short-term, together with assets and liabilities that the Group intended from the outset to classify as valued at fair value through profit and loss, pursuant to the option provided by IAS 39, subject to compliance with the conditions set out in that standard, namely:

- ▶ eliminating or significantly reducing accounting mismatch. This is how the Group assesses the fair value of certain structured issues through profit and loss;
- ▶ group of financial assets/liabilities whose management and performance are assessed at fair value;
- ▶ compound financial instruments containing one or more embedded derivatives. The Group has specifically chosen to register some portions of compound financial instruments as financial assets at fair value through profit and loss, without separating out the embedded derivatives that should be recognised separately.

Movements in fair value are recorded in profit (or loss) for the period under "Net gains or losses on financial instruments at fair value through profit or loss". The same applies to dividends from variable-rate securities and capital gains or losses on disposals. Income received on fixed-rate securities is recorded in "Interest and similar income".

1.6.2.3 Financial assets held to maturity

Financial assets held to maturity are listed financial assets with a fixed or determinable income and maturity that the Group intends and is able to hold until maturity, and that it has not chosen to classify as financial instruments at fair value through profit or loss, or as financial instruments available for sale.

With a few limited exceptions, IAS 39 prohibits the sale or transfer of these securities before they mature. Infringing this rule may result in the Group being prohibited from classifying securities in this category for two financial years.

Interest-rate risk hedging transactions on this category of securities are not eligible for hedge accounting as defined by IAS 39.

At year-end, the securities are valued at amortised cost according to the effective interest rate method, which includes amortisation of the premiums and discounts that correspond to the difference between their acquisition and repayment values.

Income received in respect of these securities is shown in "Interest and similar income" in the income statement.

Where there is objective evidence of impairment, a provision is recorded to represent the difference between carrying amount and estimated recovery value, discounted at the original effective interest rate. This impairment charge is offset against the cost of risk. In the event of a subsequent improvement, the excess provision, which is redundant, is reversed.

1.6.2.4 Available-for-sale financial assets

Available-for-sale financial assets form a category by default, and include financial assets that are not classified as loans and receivables, or as financial assets held to maturity or at fair value through profit and loss.

These assets are recognised on the balance sheet at their market value at the time of their acquisition and at subsequent year-ends until they are sold. Movements in fair value are recorded in a specific line in equity: "Unrealised or deferred gains and losses". These unrealised gains and losses recognised in equity are not recognised in the income statement unless they are sold or impaired. Income accrued or received from fixed-income securities is recognised in profit and loss according to the effective net interest method in "Interest and similar income". Dividends received on variable-income securities are recognised in "Net gains or losses available-for-sale financial assets" in the income statement.

When the securities are sold, unrealised gains and losses that were previously recorded in equity are recycled through the income statement in "Net gains or losses on available-for-sale financial assets".

Impairment charges

In the event of a prolonged or material reduction in the fair value of equity instruments, an impairment charge is recorded on available-for-sale financial assets. The same applies to equity securities in the event of a significant deterioration in the credit risk. The fall in the fair value of a security is deemed to be significant when an equity instrument has lost at least 40% of its value between the acquisition date and the reporting date. When such objective evidence of impairment is observed, the unrealised loss that had hitherto been directly recognised in equity is automatically recognised through profit and loss. The fall in the fair value of a security is assumed to be long-term when the ongoing fall extends over a period of more than 24 months. In this case, the Group examines whether there are grounds to recognise the impairment through profit and loss, depending on the level of significance of the unrealised losses.

This approach does not rule out the line-by-line examination of objective evidence of impairment.

Moreover, as part of its insurance company management process, the CNP Assurances group uses specific criteria to determine evidence of impairment on available-for-sale securities. These criteria are not re-estimated when CNP is included in the Group's consolidated financial statements via the equity method. This principle takes into account the specific management and risk framework that is inherent to CNP Assurances.

For debt instruments such as bonds, an impairment is recorded when there is a proven counterparty risk.

Losses on the impairment of variable-income securities recognised in profit and loss cannot be reversed while the instrument concerned is shown on the balance sheet. They are recognised in "Net gains or losses on available-for-sale financial assets". Losses on the impairment of fixed-income securities are reversible and are recognised in cost of risk when they involve credit risk.

1.6.2.5 Date of entry

Securities are recorded on the balance sheet at their settlement and delivery date, while derivative instruments are entered at their negotiation date. Movements in fair value between the negotiation date and the settlement and delivery date are entered in profit and loss or in equity, depending on their accounting classification. Loans and receivables are recorded on the balance sheet at their payment date.

1.6.2.6 Reclassification of financial assets

A financial asset with a fixed or determinable yield, which was initially recognised in the "Available-for-sale financial assets" category, but which is no longer tradeable on an active market, and which the Group intends and is able to hold for a foreseeable period or until maturity, may be reclassified in the "Loans and Receivables" category.

Reclassifications are carried out at market value on the date of reclassification and financial assets transferred in this way are then valued according to the rules applicable to their new category. The transfer price at the reclassification date represents the initial cost of the asset when determining potential impairment charges. A new EIR is then calculated in order to enable the new depreciated cost to converge towards the repayment value of the instrument. At the same time, profits and losses that were previously recorded in equity are amortised in the profit and loss statement over the residual life of the instrument using the effective interest rate method.

1.6.2.7 Debt

Debt that is not classified in financial liabilities at fair value is initially recorded at cost, which corresponds to the fair value of the amounts borrowed net of transaction costs. At the reporting date, the debt is valued at amortised cost according to the effective interest rate and recorded in the balance sheet under "Liabilities due to credit institutions", "Liabilities to customers", "Debt securities" or "Subordinated debt", except in cases where it has been hedged at fair value.

Liabilities due to credit institutions and to customers

Liabilities due to credit institutions and liabilities to customers are broken down according to their initial maturity or the nature of the debt: demand debt (demand deposits, ordinary accounts) or long-term debt (special scheme savings accounts). This debt includes securities and shares assigned under buyback agreements.

Debt securities

Financial instruments are classified as debt instruments if the issuer is required to remit cash or other financial assets or to exchange instruments under potentially unfavourable conditions.

Debt securities consists of negotiable debt securities issued by La Banque Postale.

The debt is initially recognised at face value and is then valued at amortised cost using the effective interest rate method at subsequent year-ends.

Subordinated debt

Subordinated debt includes debt where repayment is only possible once other senior or secured creditors have been repaid in the event that the debtor's assets are liquidated. This debt is valued according to the amortised cost method, except where it has been hedged at fair value.

1.6.2.8 Distinction between debt and equity: Perpetual super subordinated notes

A debt instrument or a financial liability amounts to a contractual obligation to remit cash or other financial assets, or to exchange instruments under potentially unfavourable conditions. An equity instrument is a contract that highlights a residual interest in the net assets of an entity.

Subordinated securities are classified as debt or equity instruments according to the analysis of their features, and more specifically according to whether or not their method of payment is discretionary.

In light of the conditions specified by IAS 32 for the analysis of the contractual substance of these instruments, and given their contractual characteristics, the perpetual super-subordinated notes issued by the CNP group are classified as "debt instruments".

Subordinated bonds convertible into common shares issued also meet the criteria for classification as "debt instruments", even though the coupons are treated as dividends arising from a reduction in equity. The active deferred tax associated with the distribution of coupons, representative of a tax saving, is an ancillary to coupons paid and as such is recognised in equity in line with the recognition of coupons.

Subordinated bonds convertible into common shares were analysed, in accordance with IAS 32, as hybrid instruments comprising a debt component and an equity component.

1.6.2.9 Financial derivatives and hedge accounting

According to IAS 39, a derivative is a financial instrument or other contract that has the following three characteristics:

- ▶ its value fluctuates according to an interest rate, the price of a financial instrument, the price of a commodity, an exchange rate, a price or share price index, a credit rating or credit index, or another variable known as the underlying asset;
- ▶ it requires a low or nil initial net investment, or a net investment that is lower than the investment required by a non-derivative financial instrument in order to achieve the same sensitivity to the underlying asset;
- ▶ it is unwound at a future date.

Financial derivatives are broken down into two categories:

Derivatives held for transaction purposes

Derivatives belong to the category of financial instruments held for trading, except for derivatives that are used for hedging purposes. Their fair value is recognised in the balance sheet in "Financial instruments at fair value through profit and loss". Movements in fair value and interest accrued or received are recognised in "Net gains and losses on financial instruments at fair value through profit and loss".

Hedging derivatives

Hedging derivatives that qualify as hedging instruments according to IAS 39 criteria are classified in the "Fair value hedges" or "Cash flow hedges" category, depending on the circumstances. They are recognised among "Hedging derivatives" on the balance sheet. Other derivative instruments are classified in "Assets or liabilities at fair value through profit and loss" by default, even if they have been entered into in order to hedge one or several transactions from an economic perspective.

In order to classify a financial instrument as a hedging derivative, the Group must establish the hedge relationship from the outset (hedging strategy, description of the risk hedged, the item hedged, the hedging instrument and the method used to assess its effectiveness). Effectiveness is assessed at inception and at each year-end while it remains in place.

Depending on the nature of the risk covered, the derivative financial instrument is designated as a fair value hedge, a cash flow hedge, or as an exchange rate hedge linked to a net foreign investment.

Fair value hedge

Fair value hedges enable exposure to fluctuations in the fair value of financial assets or liabilities to be hedged; they are primarily used to hedge interest rate risk on fixed-rate assets and liabilities and on overnight deposits, according to the options approved by the European Union.

Any revaluation of the derivative is recognised in profit and loss in a way that mirrors the revaluation of the item hedged. Gains or losses attributable to the hedged risk are recognised in "Net gains or losses on financial instruments at fair value through profit and loss" in the income statement. As soon as the hedge relationship becomes effective, movements in the fair value of the hedged item are mirrored by the movements in the fair value of the hedging instrument. Any potential failure in the hedge is directly recognised in profit and loss. The portion relating to the accrued income or expenses of the derivative instrument is recognised in Income and interest expense in the income statement at the same time as the interest income and expense relating to the hedged item.

As soon as the derivative instrument no longer meets the effectiveness criteria specified by the standard, especially if it is sold, the hedge accounting is prospectively discontinued: the derivative is transferred to "Financial assets at fair value through profit or loss" or "Financial liabilities at fair value through profit and loss" while the re-measurement adjustment of the hedged item is amortised over the remaining period based on the initial life of the hedge.

In the event that the hedged item disappears, the hedging instrument, no longer described as a hedging instrument but still existing, remains recognised on the balance sheet at fair value through profit or loss. A gain or loss on the sale of the hedged item is eventually recognised in profit and loss.

Macro-hedging

The Group applies the provisions of IAS 39, as adopted by the European Union, to macro-hedging transactions that are performed as part of the asset and liability management of fixed-rate positions.

Macro-hedging instruments are mainly interest-rate swaps designated as fair value hedges for the Group's fixed-rate resources.

Macro-hedging derivatives are accounted for according to the same principles as those described above. The revaluation of the hedging component is recognised in "Revaluation differences on portfolios hedged against interest rate risk".

Cash flow hedges

Cash flow hedges are used to hedge exposure to movements in cash flows from financial assets or liabilities, firm commitments or future transactions. More specifically, they are used to cover interest rate risk on variable-rate assets and liabilities.

The effective portion of movements in the fair value of a derivative instrument is entered on a specific line in equity capital, while the ineffective portion is recognised in net profit and loss in "Net gains or losses on financial instruments at fair value through profit and loss."

The portion relating to the accrued income or expenses of the derivative instrument is recognised in "Interest income and expense on hedging transactions" in the income statement at the same time as the interest income and expense relating to the hedged item.

Hedged instruments continue to be recognised according to the rules that apply to their accounting category.

In the event of a break in the hedging relationship, or as soon as the derivative instrument no longer meets the effectiveness criteria specified by the standard, or especially if it is sold, the hedge accounting ceases. The aggregate amounts entered in equity in respect of the revaluation of the hedging derivative are gradually transferred to profit and loss as interest income and expense, or immediately recognised in profit and loss. In the event that the hedged item is sold or redeemed, the derivative is reclassified in "Financial assets at fair value through profit and loss", while the revaluation of the hedged item entered in equity capital is immediately recognised in profit and loss.

Foreign currency hedge of a net investment

The Group does not use this type of hedging.

Embedded derivatives

An embedded derivative is a component of a hybrid instrument. It is separated out of the host contract and recorded separately when, from the beginning of the contract, its economic characteristics and the related risks are not closely linked to those of the host contract, except where the hybrid instrument is valued at fair value through profit or loss.

Day one profit

The Group does not generate any margin when negotiating structured instruments.

1.6.2.10

Guarantee commitments

Financial guarantees

According to IAS 39, a contract meets the definition of a financial guarantee if it includes an indemnity clause, according to which the issuer shall compensate the beneficiary for losses that the latter has suffered due to the default of a debtor who was specifically designated to make a payment on a debt instrument.

According to IAS 39, the financial guarantees provided are valued at their initial fair value at the date they were entered into. They are subsequently valued at the higher of the amount of the commitment and the amount initially recorded, less the commission guarantee, where applicable. In the event of objective evidence of impairment, the financial guarantees given are the subject of a provision under balance sheet liabilities. The provision is offset against the cost of risk.

1.6.2.11 Determining fair value or market value

IFRS 13 defines fair value as the price received for the sale of an asset or paid for the transfer of a liability in a standard transaction between market participants on the valuation date.

When an instrument is initially recognised, its fair value is generally the transaction price.

IFRS 13 recommends using a price quoted on an active market in the first instance to determine the fair value of a financial asset or liability. A market is considered to be active if prices are easily and regularly available from a stock exchange, a broker (multiple inputs), an intermediary or a regulatory agency, and if those prices represent real transactions (volume and price range) under normal competition conditions. In the absence of an active market, the fair value must be determined using valuation techniques. These techniques include the use of recent transactions performed in a normal competition environment. They are based on market data, on the fair value of substantially identical instruments, or on cash flow or option valuation discount models, and involve recognised valuation methods. The aim of a valuation process is to establish what the price of an instrument would be under normal market conditions. For example, the fair value of bonds or of variable-income securities and futures is determined by using quoted prices. The use of valuation techniques that are based on market data usually concerns over-the-counter derivatives, securities where income is taxed at source (treasury bills, certificates of deposit, etc.) and repo deposits.

Financial instruments are presented in Note 6.2 over three levels in descending order of observability of values and parameters used for their valuation:

- ▶ level 1: Instruments valued using quoted prices (non-adjusted) in active markets for identical assets or liabilities.

These specifically include listed shares and derivatives on organised markets (futures, options, etc.);

- ▶ level 2: Instruments valued using inputs other than quoted prices included in Level 1 that are observable for the asset or liability concerned, either directly (i.e. prices) or indirectly (i.e. derived from prices).

These are instruments measured employing valuation techniques that use observable parameters and standard models or instruments that are valued based on similar instruments listed on an active market. This classification concerns interest-rate swaps, caps, etc.;

- ▶ level 3: instruments valued using data that are not based on observable market data.

This primarily involves unlisted equity investments, such as venture capital funds (FCPR) or innovation funds (FCPI).

The market value of unlisted equity investments classified as available-for-sale securities is determined by reference to criteria such as net assets, profitability outlook and discounting of future cash flows. Non-consolidated equity investments whose fair value cannot be assessed on a reliable basis are valued at cost.

The price quoted for an asset held or a liability to be issued is usually the bid price, and it is the ask price for a liability held or an asset to be acquired.

The fair value of financial instruments recognised in the balance sheet at amortised cost is presented in Note 6.1 to the financial statements. All these instruments are considered Level 2, the most significant parameters in terms of the market value of these instruments are considered as being indirectly observable.

1.6.2.12 Derecognition of financial assets or liabilities

Financial assets are derecognised when the contractual rights to the cash flows attached to the financial asset expire or when such rights and virtually all the risks and benefits associated with ownership have been transferred to a third party.

When certain risks and advantages have been transferred and while control of the financial asset is retained, that asset remains on the balance sheet so as to reflect the ongoing involvement in the asset concerned.

A gain or loss on disposal is then recorded in the income statement, at an amount equal to the difference between the carrying amount of the asset and the amount received in exchange.

Financial liabilities are derecognised when the contractual obligation is extinguished, cancelled, or expires.

Repurchase agreements

The assignor does not derecognise the securities. The Group records a liability that represents its commitment to refund the cash received. This debt represents a financial liability, which is recorded at amortised cost and not at fair value.

The assignee does not recognise the assets received, but recognises a receivable on the cash loaned by the assignor. At subsequent year-ends, the assignor continues to value the securities according to the rules applicable to their original category. The nominal value of the receivable is shown in loans and receivables.

Securities lending

The lending and borrowing of securities cannot be treated as a financial asset transfer according to IFRS. Therefore, these transactions cannot result in derecognition of the loaned securities. They remain recognised in their original accounting category and valued according to the rules of that category.

1.6.2.13 Offsetting of financial assets and liabilities

A financial asset and liability are offset and a net balance is shown on the balance sheet only if the Group has a legally enforceable right to offset the amounts recognised, and if it has the intention either to settle the net amount or to realise the asset and settle the liability simultaneously. The legally enforceable right must be irrevocable and must be enforceable under all circumstances.

Repo transactions where the operating principles meet both the criteria required by the standard are offset on the balance sheet.

- ▶ they relate to the same counterparty;
- ▶ they have the same maturity dates set from the outset;
- ▶ they are realised in the same currency;
- ▶ they are settled via a settlement/delivery system that guarantees the delivery of the securities against receipt of the associated cash;
- ▶ the securities are deposited with the same depository.

Offsetting primarily concerns repurchase agreements with the LCH Clearnet clearing house.

1.6.3 Capital lease transactions

Lease transactions are classified as capital lease transactions when they substantially result in the transfer of the risk and benefits relating to the leased asset to the lessee. They are analysed as a financing granted to the lessee for the purchase of an asset.

The present value of the payments due in respect of the agreement, plus the residual value, where applicable, is recorded as a receivable and is shown under customer loans and receivables on the balance sheet.

The interest included in the lease payments is recorded under Interest and similar income in the income statement.

The lease payments received are spread over the term of the capital lease agreement, by dividing them into amortisation of the principal and interest, so as to generate a regular and constant rate of return on the net investment. The interest rate used is the implicit interest rate in the agreement.

In the event of a decrease in the value of the unguaranteed residual values selected for calculating the net investment, the discounted value of this decrease is recorded under expenses relating to other businesses through a reduction in the capital lease receivable under balance sheet assets.

1.6.4 Tangible and intangible assets

Fixed assets shown on the balance sheet include tangible and intangible operating assets, *i.e.* assets used for administrative purposes. The Group has no investment property.

Fixed assets are recognised at their acquisition cost plus acquisition expenses that are directly related and required to put them in working order so that they can be used.

Following their initial recognition, fixed assets are valued at cost less accumulated depreciation and any potential loss of value.

The portion of a fixed asset that can be depreciated is determined after deducting its residual value net of disposal costs, if that value can be measured and is significant.

Fixed assets are depreciated in accordance with the estimated consumption rate of the expected economic benefits, which usually corresponds to the life of the asset.

When a fixed asset includes several components that may be replaced at regular intervals, have different uses, or provide economic benefits at different rates, each component is recognised separately from the outset and is depreciated according to a specific depreciation schedule.

Depending on their components, buildings are therefore amortised over periods ranging between 10 and 80 years:

- ▶ structural work: 80 years;
- ▶ roofing: 60 years;
- ▶ joinery and external works: 40 years;
- ▶ major equipment items: 20 years;
- ▶ small equipment items, and fixtures and fittings: 10 years.

When they meet the criteria for fixed assets, proprietary software packages are recognised at their development cost, including third-party expenses and employee benefits expense directly assigned to the project. They are usually amortised over a period of between three and seven years, depending on their useful life.

Fixed assets that are depreciated are subject to impairment tests in cases where evidence of a loss of value is identified at the reporting date. Fixed assets that are not depreciated are subject to impairment tests in cases where potential evidence of a loss of value is identified at the reporting date, and at least once a year.

If evidence of a loss of value is recorded, the recoverable value of the asset is compared with its net book value. In the event of a loss of

value, an impairment charge is recorded in the income statement. That impairment changes the depreciation schedule of the asset going forwards. The impairment is reversed in the event of a change in the estimated recoverable value or the evidence of impairment disappears.

Depreciation, amortisation and impairment charges are recognised in "Depreciation, amortisation and provisions for impairment of tangible and intangible fixed assets" in the income statement.

Gains and losses on the disposal of operating fixed assets are recorded in the income statement on the "Net gains on other non-current assets" line.

1.6.5 Special scheme savings accounts

The home loan savings accounts (CEL) and home loan savings plan (PEL) offered to individual customers under the provisions of the law of 10 July 1965 include two stages: a stage where funds are gathered in the form of remunerated savings and a stage where they are used to grant home loans.

They generate two kinds of commitments for the lending institution:

- ▶ an obligation to remunerate future savings at a rate fixed at the opening of the account for an indefinite period for PEL accounts opened before 28 February 2011, and at a rate that is reviewed annually for new generation accounts;
- ▶ an obligation to grant customers who request it, a loan at a rate fixed when signing the agreement.

These commitments have potentially unfavourable consequences for the Group, and are the subject of provisions shown in the "Provisions" line in balance sheet liabilities. Movements in those provisions are recorded in the net banking income interest margin.

The provisions are estimated on the basis of customer behaviour statistics and market data for each generation of plans, in order to cover any future expenses arising from the potentially unfavourable interest rate conditions attached to these products relative to the rates offered to retail customers on similar products where the remuneration is unregulated. The provisions only relate to the commitments for home loan savings accounts and plans that exist at the date the provision is calculated.

Provisions are calculated for each generation of home loan savings plans, without offsetting commitments for different generations of home loan savings plans, and for all the home loan savings accounts representing one generation.

At the savings stage, the commitments to be provisioned are evaluated according to the difference between average forecast savings deposits and minimum forecast savings deposits, both of which are determined on a statistical basis by factoring in historical observations on actual customer behaviour.

At the lending stage, the commitments to be provisioned include loans that have already been granted but not yet released at the year-end date, as well as future loans that are viewed as statistically likely based on balance sheet deposits as at the calculation date, and on historical observations on actual customer behaviour.

A provision is recorded when the net present value of future income is negative for a given generation of loans.

That income is assessed relative to the rates offered to retail customers on equivalent savings and lending products that have the same term as the deposits and were agreed on the same day.

1.6.6 Provisions

Provisions recorded in balance sheet liabilities, other than those relating to credit risk or employees benefit obligation, are liabilities whose length or amount is uncertain. A provision is recorded when the Group has an obligation towards a third party and that obligation is likely or certain to cause an outflow of funds for the benefit of the third party with no expectation of a counter-payment that is at least equivalent.

The net present value of the expected outflow is calculated as soon as the impact of that net present value becomes material.

Provisions and provision reversals are recorded in profit and loss on the lines that correspond to the nature of the future expenditure involved.

1.6.7 Interest income and expenses

Interest income and expense are recognised in the income statement for all financial instruments valued at amortised cost using the effective interest rate.

The effective interest rate is the rate that discounts future cash outflows or inflows exactly over the expected life of the financial instrument, so as to arrive at the net carrying amount of the financial asset or liability. The calculation of this rate factors in commissions received or paid, which are by nature an integral part of the effective contract rate.

1.6.8 Commission income and expenses

The Group recognises commissions in profit and loss depending on the services supplied and the way in which the financial instruments to which that service relates are recognised:

- ▶ commissions paid for ongoing services are recognised in profit and loss over the length of the service (commissions on means of payment);
- ▶ commissions paid for one-off services or for a major transaction are recognised in profit and loss in full when the service is provided or the transaction performed (account management commissions, commissions on payment issues);
- ▶ commissions treated as additional interest are an integral part of the effective interest rate. These commissions are therefore recognised under interest income and expenses and not under commissions.

1.6.9 Cost of risk

The cost of credit risk includes impairment charges and reversals on fixed-income securities, and customer loans and receivables, as well as charges and reversals of impairment relating to guarantee commitments given, losses on receivables, and the recovery of amortised receivables.

1.6.10 Income tax

Tax payable

La Banque Postale and some of its French subsidiaries are part of the tax consolidation scope of the La Poste Group.

Deferred tax

A deferred tax charge is recognised on all temporary differences between the carrying amount of an asset or liability and its tax basis, except in exceptional cases.

The tax rates used for valuation purposes are the rates that are expected to be applied when the asset is realised or when the liability is extinguished, to the extent that those rates have been adopted or virtually adopted at the reporting date.

Net deferred tax assets are only taken into account if it is likely that the entity involved has a chance of recovering the tax within a determined time frame.

The Group uses the losses carried forward by its subsidiaries only inasmuch as these entities demonstrate their ability to make them up over a set and reasonable time frame via a multi-year business plan.

Deferred tax is recognised as tax income or expense in the income statement, except for tax relating to unrealised gains and losses on assets available for sale, and for movements in the value of derivatives classified as cash flow hedges, for which deferred tax is charged directly to equity capital.

1.6.11 Employee benefits

La Banque Postale Group provides different types of benefits to its employees, civil servants and contract staff. These benefits fall into four categories:

Short-term benefits

Short-term benefits primarily include salaries, annual paid leave, incentives, profit-sharing and bonuses that are paid within 12 months of the end of the financial year and relate to that year.

They are recognised as expenses for the financial year, including amounts still owing at year-end.

Long-term benefits

Long-term benefits are benefits that usually relate to length of service and are paid to working employees more than 12 months after the end of the financial year, like the Working Hours Savings Accounts, for example.

A provision equivalent to the value of these commitments is recorded at year end.

Termination compensation

This relates to compensation paid to employees when their work contract is terminated before retirement, whether as a result of termination or as part of a voluntary redundancy plan. A provision is recorded for termination compensation. The commitment is valued on the basis of the entitlements earned by all working employees, mainly according to employee turnover, the estimated future salary of beneficiaries at the time they leave the Company, including social security contributions where applicable, and mortality tables (INSEE TH/TF00-02). A net present value is calculated for compensation payable more than 12 months after the reporting date.

Post-employment benefits

Post-employment benefits for employees include retirement compensation, pensions and benefits for pensioners.

The pension plan for contracted staff is a scheme known as a "defined contribution scheme". Such schemes are based on payments to independent bodies that are responsible for paying the amounts due to employees, thus releasing the employer from any subsequent obligation. Therefore, once the contributions have been paid, no liability or commitment is shown in the Group's financial statements. Contributions paid to independent bodies are expensed in the period concerned.

A provision is recorded in balance sheet liabilities for Group employee commitments that are not covered by contributions that are expensed and paid to retirement or insurance funds, primarily for retirement compensation.

These commitments are valued according to the projected unit credit method, in accordance with IAS 19R. Actuarial appraisals are performed every year.

The appraisal calculations involve taking third-party actuarial economic assumptions into account (discount rates, inflation rates, the rate of increase in pensions, etc.), together with assumptions that are specific to the Group (employee turnover rates, the rate of salary increase, etc.).

The provision recorded on the balance sheet for defined benefit post-employment schemes corresponds to the present value of the commitment at the reporting date, modified for actuarial adjustments and the cost of past services that have not been recognised. Actuarial adjustments are now recognised in comprehensive income and the

cost of services recorded in the profit and loss statement. The present value of the commitment is calculated on an annual basis using the projected credit unit method. That value is determined by calculating the net present value of expected future outflows based on the market rate for top-tier corporate bonds, denominated in the currency in which the benefit will be paid. In addition, the term of the bonds selected is close to the average estimated length of the underlying commitment.

The actuarial assumptions used to value employment commitments to employees are reviewed and updated once a year at year-end.

The calculations factor in the following assumptions:

- ▶ the likelihood of working employees staying within the Group, life expectancy trends and estimated salary trends;
- ▶ retirement assumptions;
- ▶ discount rates that enable the present value of commitments to be determined. The discount rates used for the 2015 and 2014 actuarial valuations, based on private top-tier bonds, are as follows:

Commitment length	5 years	10 years	15 years	20 years
2015 discount rate (euro zone)	0.6%	1.3%	1.9%	2.0%
Discount rate 2014 (euro zone)	0.7%	1.3%	1.8%	2.2%

1.6.12 Non-current assets held for sale and discontinued activities

When the Group decides to sell non-current assets or a group of non-current assets, and when it is highly likely that the sale will occur within 12 months, these assets or group of assets are shown separately on the balance sheet under "Non-current assets held for sale". Any liabilities associated with them are also reported under a specific item, "Debts linked to non-current assets held for sale".

In this context, the assets are no longer depreciated and are valued at the lower of their carrying amount or estimated sale price. Impairment losses on an asset or a group of assets held for sale are recognised in the income statement as an impairment that is reversible until the disposal date.

Financial instruments continue to be measured using the IAS 39 accounting principles. Securities classified as available-for-sale financial assets and which are held for sale continue to be valued at their year-end market value, and changes in fair value, with the exception of impairment, are recorded under a separate item in equity (see Note 1.6.2.4).

1.6.13 Use of estimates in the preparation of the financial statements

The preparation of the financial statements involves making assumptions and estimates that may or may not prove accurate in the future. These estimates, which are based on the information available at the reporting date, call upon the judgement of managers and the parties involved in preparing the financial statements, particularly where assessing the fair value of financial instruments is concerned.

Future achievements depend on many factors: fluctuations in interest and foreign exchange rates, the economic environment, changes in regulations or legislation, etc., which means that the final outcome of the transactions concerned may differ from these estimates and have an impact on the financial statements.

The main valuation processes that require the use of assumptions and estimates:

- ▶ the valuation of financial instruments not listed on organised markets involves the use of models based on observable market

data for most OTC instruments. The determination of the value of certain complex instruments that are not traded on an active market is based on valuation techniques which, in certain cases, rely on parameters that are deemed to be non-observable;

- ▶ the determination of the market value of unlisted equity investments classified as "Assets available for sale";
- ▶ the valuation of financial assets and liabilities recognised at cost and for which fair value information must be provided in the notes to the financial statements;
- ▶ credit risk valuations: provisions calculated on a portfolio basis make specific use of estimates on the probability of default, and general use of expert judgements;
- ▶ calculations relating to expenses linked to future employee benefits are based on discount rate assumptions, and employee turnover and salary trend assumptions;
- ▶ the valuation of provisions other than those linked to credit risk is also, by its nature, subject to estimates, as it involves liabilities where the maturity or amount is not accurately determined, and where it is likely or certain that there will be an outflow of funds for the benefit of a third party, with no consideration in an amount that is at least equivalent expected from that beneficiary. Notably, the valuation of the home savings provision uses assumptions of changes in customer behaviour based on historical observations which are not necessarily an accurate guide to the future;
- ▶ the value of goodwill recognised when business combinations occur;
- ▶ performing goodwill impairment tests involves a certain number of assumptions;
- ▶ assessing the effectiveness of hedges in place requires the use of assumptions and estimates of their impact on the hedging;
- ▶ valuing commitments to buy out minority shareholders;
- ▶ the determination of insurance companies' underwriting provisions.

NOTE 2 LA BANQUE POSTALE GROUP'S EXPOSURE TO CREDIT RISKS

Introduction: The note on risk exposure and regulatory ratios is contained in the Risk Management section of the Registration Document.

The information required under IFRS 7 that is presented – which is part of the Notes to the Consolidated Financial Statements – is covered by the report on the Consolidated Financial Statements issued by the statutory auditors.

2.1 La Banque Postale Group's exposure to credit risks

(€ '000s)	31.12.15	31.12.14
Financial assets at fair value through profit and loss	10,480,239	9,376,732
Trading derivatives	555,035	296,964
Hedging derivatives	1,228,567	1,532,205
Available-for-sale financial assets	15,610,500	13,101,974
Loans and receivables – Credit institutions	83,101,861	83,314,646
Loans and receivables – Customers	73,628,314	67,856,592
Assets held to maturity	24,157,604	28,296,514
Balance sheet exposure net of impairment charges	208,762,120	203,775,627
Financing commitments given	17,269,595	17,947,758
Guarantees given	3,066,520	3,435,645
Off-balance sheet exposure net of impairment charges	20,336,115	21,383,403
TOTAL NET EXPOSURE	229,098,235	225,159,030

2.2 Additional information on sovereign exposures

Sovereign exposure has been identified in accordance with the scope defined by the European Banking Authority (EBA), i.e. by selecting exposure to regional authorities, central government and companies benefiting from a government guarantee.

The exposure shown below summarises the exposure for subsidiaries in which La Banque Postale owns an interest of 50% or more.

The information concerning CNP exposures is shown in the financial information published by the latter.

2015 sovereign exposure

La Banque Postale does not hold any exposure on Cyprus, Hungary or Egypt.

(€ '000s)	Total Bank Portfolio	Assets at fair value through P&L	Derivatives	Total direct exposure ⁽¹⁾	Repurchase transactions	Off-balance sheet ⁽²⁾	Total direct and indirect exposure ⁽³⁾	Exposure (%)
Greece	0	0	0	0		0	0	0.0%
Ireland	0	0	0	0		0	0	0.0%
Italy	562,770	0	0	562,770	246,681	0	809,451	2.4%
Portugal	0	0	0	0		0	0	0.0%
Spain	290,278	0	0	290,278	388,820	0	679,098	2.0%
Total PIIGs	853,048	0	0	853,048	635,501	0	1,488,549	4.3%
Germany	2,133,905	0	6,368	2,140,273	73,417	2,337,184	4,550,874	13.2%
Austria	875	0	0	875	8,315	0	9,190	0.0%
Belgium	2,206,194	0	0	2,206,194	22,798	0	2,228,992	6.5%
France	18,032,214	645,191	28,130	18,705,535	3,145,522	1,007,346	22,858,402	64.4%
Great Britain	0	0	0	0	0	0	0	0%
Luxembourg	18,364	0	0	18,364	0	0	18,364	0.1%
Netherlands	408,302	0	2,659	410,961	27,028	663,634	1,101,623	3.2%
Poland	23,065	0	0	23,065	25,417	0	48,482	0.1%
Slovakia	0	0	0	0	0	0	0	0.0%
Slovenia	0	0	0	0	0	0	0	0.0%
Switzerland	0	0	0	0	0	0	0	0.0%
Supra-national	572,599	0	0	572,599	0	0	572,599	1.7%
Total Europe	23,395,518	645,191	37,156	24,077,865	3,302,497	4,008,164	31,388,526	91.2%
Rest of the world	1,262,107	0	0	1,262,107	282,708	0	1,544,815	4.5%
TOTAL	25,510,673	645,191	37,156	26,193,020	4,220,706	4,008,164	34,421,890	100%

(1) Direct exposure: net carrying amount (including impairment) of exposure on the Bank's own account.

(2) Off-balance sheet transactions include *forward bonds* (forward prices).

(3) Direct and indirect exposure: total exposure: direct exposures to which are added the indirect exposures via guarantees issued to the Group's UCITS.

Identification based on the scope defined by the EBA, including local and regional authorities or bodies benefiting from a Government guarantee.

2014 summary of sovereign exposure

(€ '000s)	Total Bank Portfolio	Assets at fair value through P&L	Derivatives	Total direct exposure ⁽¹⁾	Repurchase transactions	Off-balance sheet ⁽²⁾	Total direct and indirect exposure ⁽³⁾	Exposure (%)
Greece	0	0	0	0		0	0	0.0%
Ireland	2,184	0	0	2,184	26,818	0	29,002	0.1%
Italy	1,170,291	0	0	1,170,291	720,145	0	1,890,436	5.2%
Portugal	0	0	0	0		0	0	0.0%
Spain	849,432	0	0	849,432	300,910	0	1,150,342	3.2%
Total PIIGs	2,021,907	0	0	2,021,907	1,047,873	0	3,069,780	8.5%
Germany	2,715,242	0	4,871	2,720,113	64,422	613,790	3,398,325	9.4%
Austria	22,830	0	0	22,830	8,265	0	31,095	0.1%
Belgium	1,559,032	0	5,951	1,564,983	66,475	335,348	1,966,806	5.4%
France	20,915,414	782,728	84,760	21,782,902	1,664,528	1,593,742	25,041,172	69.2%
Great Britain	0	0	0	0	100,000	0	100,000	0.3%
Luxembourg	18,364	0	0	18,364		0	18,364	0.1%
Netherlands	199,583	0	880	200,463	19,136	218,298	437,897	1.2%
Poland	23,591	0	0	23,591	25,416	0	49,007	0.1%
Slovakia	1,126	0	0	1,126		0	1,126	0.0%
Slovenia	6,223	0	0	6,223		0	6,223	0.0%
Switzerland	6,155	0	0	6,155		0	6,155	0.0%
Supra-national	1,142,275	0	0	1,142,275		0	1,142,275	3.2%
Total Europe	26,609,835	782,728	96,462	27,489,025	1,948,242	2,761,178	32,198,444	89.0%
Rest of the world	871,352	0	0	871,352	39,157	0	910,509	2.5%
TOTAL	29,503,094	782,728	96,462	30,382,284	3,035,272	2,761,178	36,178,733	100.0%

(1) Direct exposure: net carrying amount (including impairment) of exposure on the Bank's own account.

(2) Off-balance sheet transactions including forward bonds (forward prices).

(3) Direct and indirect exposure: direct exposures to which are added the indirect exposures via guarantees issued to the Group's UCITS.

Identification based on the scope defined by the EBA, including local and regional authorities or bodies benefiting from a Government guarantee.

2015 change in sovereign exposure to PIIGs

Changes in direct exposure

(€ '000s)	Dec. 2014 Restated Nominal	Impairment charges	Maturity	Disposals	Acquisitions	Transfers	Dec. 2015 Nominal	Dec. 2014 Restated Balance Sheet Value (excluding Derivatives)	Dec. 2015 Balance Sheet Value (excluding Derivatives)
Greece	0	0	0	0	0		0	0	0
Ireland	2,000	0	0	(2,000)	0		0	2,184	0
Italy	53,932	0	(1,000)	0	0		52,932	63,000	63,232
Portugal	0	0	0	0	0		0	0	0
Spain	395,522	0	0	(390,522)	0		5,000	415,574	6,626
Cyprus	0	0	0	0	0		0	0	0
Total available-for-sale financial assets	451,454	0	(1,000)	(392,522)	0		57,932	480,758	69,858
Greece	0	0	0	0	0		0	0	0
Ireland	0	0	0	0	0		0	0	0
Italy	1,081,618	0	(585,000)	0	0		496,618	1,107,291	499,538
Portugal	0	0	0	0	0		0	0	0
Spain	431,000	0	(148,500)	0	0		282,500	433,858	283,652
Cyprus	0	0	0	0	0		0	0	0
Total financial assets held to maturity	1,512,618	0	(733,500)	0	0		779,118	1,541,149	783,190
Greece	0	0	0	0	0		0	0	0
Ireland	0	0	0	0	0		0	0	0
Italy	0	0	0	0	0		0	0	0
Portugal	0	0	0	0	0		0	0	0
Spain	0	0	0	0	0		0	0	0
Cyprus	0	0	0	0	0		0	0	0
Total loans & receivables	0	0	0	0	0		0	0	0
Greece	0	0	0	0	0		0	0	0
Ireland	0	0	0	0	0		0	0	0
Italy	0	0	0	0	0		0	0	0
Portugal	0	0	0	0	0		0	0	0
Spain	0	0	0	0	0		0	0	0
Cyprus	0	0	0	0	0		0	0	0
Total financial assets at fair value through profit and loss	0	0	0	0	0		0	0	0

- ▶ The unrealised gains and losses are €11.044 million. Securities are classified in N1.
- ▶ No impairment on stocks was recorded as at 31.12.2015.
- ▶ Direct exposure: net book value (including impairment) of exposure on the Bank's own account, not including indirect exposure from guarantees provided to the Group's UCITS.
- ▶ As the exposure of the segment is relatively insignificant, it is not shown separately.

Identification based on the scope defined by the EBA, including local and regional authorities or bodies benefiting from a Government guarantee.

Breakdown by maturity

(€ '000s)	Total	Years remaining						
		1	2	3	4	5	<= 10	>= 10
Greece	0	0	0	0	0	0	0	0
Ireland	0	0	0	0	0	0	0	0
Italy	562,770	183,697	0	273,465	67,317	3,555	19,949	14,789
Portugal	0	0	0	0	0	0	0	0
Spain	290,278	283,652	0	0	0	0	3,191	3,434
Cyprus	0	0	0	0	0	0	0	0
TOTAL	853,048	467,349	0	273,465	67,317	3,555	23,140	18,223

2.3 Non-sovereign exposure of several European Union countries

Non-sovereign exposure of several European Union countries in 2015

(€ '000s)	Bank	Corporate	Public administration	Securitisation	Total
Greece	0	0	0	0	0
Ireland	0	92,348	0	0	92,348
Italy	253,734	172,987	0	0	426,721
Portugal	929	7,019	0	0	7,948
Spain	738,476	115,271	0	0	853,747
Cyprus	0	0	0	0	0
Total Available-for-sale financial assets	993,139	387,625	0	0	1,380,764
Greece	0	0	0	0	0
Ireland	0	0	0	0	0
Italy	0	0	0	0	0
Portugal	0	0	0	0	0
Spain	0	0	0	0	0
Cyprus	0	0	0	0	0
Financial assets held to maturity	0	0	0	0	0
Greece	0	0	0	0	0
Ireland	30,489	0	0	0	30,489
Italy	5,097	0	0	0	5,097
Portugal	0	0	0	0	0
Spain	0	0	0	0	0
Cyprus	0	0	0	0	0
Total loans and receivables concerning credit institutions	35,586	0	0	0	35,586
Greece	0	0	0	0	0
Ireland	0	12,805	0	0	12,805
Italy	842,193	115,023	0	0	957,216
Portugal	0	0	0	0	0
Spain	567,274	110,122	0	0	677,396
Cyprus	0	0	0	0	0
Financial assets at fair value through profit and loss	1,409,467	237,950	0	0	1,647,417
TOTAL	2,438,192	625,575	0	0	3,063,767

Non-sovereign exposure of several European Union countries in 2014

(€ '000s)	Bank	Corporate	Public administration	Securitisation	Total
Greece	0	0	0	0	0
Ireland	49,961	101,252	0	0	151,213
Italy	251,587	243,399	0	0	494,986
Portugal	0	0	0	0	0
Spain	1,049,695	96,589	0	0	1,146,284
Cyprus	0	0	0	0	0
Total Available-for-sale financial assets	1,351,243	441,240	0	0	1,792,483
Greece	0	0	0	0	0
Ireland	0	0	0	0	0
Italy	0	0	0	0	0
Portugal	0	0	0	0	0
Spain	0	0	0	0	0
Cyprus	0	0	0	0	0
Financial assets held to maturity	0	0	0	0	0
Greece	0	0	0	0	0
Ireland	30,490	0	0	0	30,490
Italy	0	0	0	0	0
Portugal	0	0	0	0	0
Spain	0	0	0	0	0
Cyprus	0	0	0	0	0
Total loans and receivables concerning credit institutions	30,490	0	0	0	30,490
Greece	0	0	0	0	0
Ireland	0	35,117	0	0	35,117
Italy	583,951	180,713	0	0	764,664
Portugal	0	0	0	0	0
Spain	562,268	71,398	0	0	633,666
Cyprus	0	0	0	0	0
Financial assets at fair value through profit and loss	1,146,219	287,228	0	0	1,433,447
TOTAL	2,527,952	728,468	0	0	3,256,420

NOTE 3 BALANCE SHEET NOTES

3.1 Cash and central banks

(€ '000s)	31.12.2015	31.12.2014
Cash	960,805	1,005,497
Central banks	850,826	944,152
CASH AND CENTRAL BANKS	1,811,631	1,949,649

3.2 Financial assets and liabilities at fair value through profit or loss

Assets and liabilities at fair value through profit and loss

(€ '000s)	31.12.2015			31.12.2014		
	Transaction	Fair value option	Total	Transaction	Fair value option	Total
Government paper and similar securities	225,651	0	225,651	782,728	0	782,728
Bonds and other fixed-income securities	10,180,361	0	10,180,361	8,548,876	0	8,548,876
Equities and other variable-income securities	74,227	0	74,227	45,128	0	45,128
Financial assets at fair value through profit and loss	10,480,239	0	10,480,239	9,376,732	0	9,376,732
Debt securities	0	4,601	4,601	0	4,552	4,552
Financial liabilities at fair value through profit or loss	0	4,601	4,601	0	4,552	4,552

Derivatives held for transaction purposes:

(€ '000s)	31.12.2015		31.12.2014	
	Assets	Liabilities	Assets	Liabilities
Interest rate derivatives	546,240	558,963	279,336	281,896
Credit derivatives	0	1,845	0	3,266
Exchange rate derivatives	2,480	55,695	11,303	518
Other derivative instruments	6,315	36,352	6,325	41,767
TRADING DERIVATIVES AT FAIR VALUE THROUGH PROFIT OR LOSS	555,035	652,855	296,964	327,447

(€ '000s)	31.12.2015		31.12.2014	
	Positive fair value	Negative fair value	Positive fair value	Negative fair value
Conditional transactions	6,315	36,352	6,325	41,767
Interest rate options	6,315	36,352	6,325	41,767
Other derivatives	548,720	616,503	290,639	285,680
Exchange rate contract	2,480	55,695	11,303	518
Interest rate swaps	546,240	558,963	279,336	281,896
Credit derivatives	0	1,845	0	3,266
TOTAL	555,035	652,855	296,964	327,447

(€ '000s)	31.12.2015		31.12.2014	
	Assets	Liabilities	Assets	Liabilities
Total assets and liabilities at fair value through profit or loss	11,035,274	657,456	9,673,696	331,999

3.3 Hedging derivatives

Fair value hedging derivatives

(€ '000s)	31.12.2015		31.12.2014	
	Assets	Liabilities	Assets	Liabilities
Interest rate derivatives	1,126,120	310,339	1,358,548	432,182
Equity and equity-index derivatives	56	0	0	0
Other derivative instruments	0	0	0	13
FAIR VALUE HEDGING DERIVATIVES	1,126,176	310,339	1,358,548	432,195

(€ '000s)	Hedging derivatives		
	Notional amount	Positive fair value	Negative fair value
Rates cap	712,709	3,351	
Interest rate swaps	33,290,831	1,122,769	310,339
TOTAL	34,003,540	1,126,120	310,339
Reminder Total 31 December 2014	32,911,348	1,358,548	432,195

Cash flow hedge derivatives

(€ '000s)	31.12.2015		31.12.2014	
	Assets	Liabilities	Assets	Liabilities
Interest rate derivatives	102,391	15,719	173,657	0
CASH FLOW HEDGE DERIVATIVES	102,391	15,719	173,657	0

(€ '000s)	Hedging derivatives		
	Notional amount	Positive fair value	Negative fair value
Interest rate swaps	700,000	49,516	0
Futures on bonds	4,008,164	52,875	15,719
TOTAL	4,708,164	102,391	15,719
Reminder Total 31 December 2014	3,461,178	173,657	0

Total hedging derivatives (fair value and cash flow)

(€ '000s)	31.12.2015		31.12.2014	
	Assets	Liabilities	Assets	Liabilities
TOTAL HEDGING DERIVATIVES	1,228,567	326,058	1,532,205	432,195

3.4 Available-for-sale financial assets

Available-for-sale financial assets

(€ '000s)	31.12.2015	31.12.2014
Government paper and similar securities	3,165,108	2,212,602
Bonds and other fixed-income securities	10,837,669	9,427,020
Equities and other variable-income securities	1,376,546	1,344,586
Non-consolidated equity investments	231,177	117,766
AVAILABLE-FOR-SALE FINANCIAL ASSETS	15,610,500	13,101,974
Including net unrealised gains and losses on fixed-income securities recorded in reserves	18,118	101,808
Including net unrealised gains and losses on variable-income securities recorded in reserves	162,899	58,562

Details of non-consolidated equity investments

(€ '000s)	31.12.2015					31.12.2014
	Carrying amount of securities	Related advances & receivables	Impairment charges	Net book value	Interest held in %	Net book value of securities
Visa Inc.	103,649	0	0	103,649	ND	0
Crédit Logement	98,102	0	0	98,102	6.0%	93,593
Mandarine Gestion	3,640	0	0	3,640	15%	3,640
Ciloger ⁽¹⁾	0	0	0	0	90.0%	3,055
Bpifrance Financement (Oséo)	4,469	0	0	4,469	0.2%	3,924
Transactis	2,474	0	0	2,474	50.0%	2,474
Titres Cadeaux	2,200	0	0	2,200	50.0%	2,200
Europay	1,339	0	0	1,339	5.6%	1,339
STET ⁽²⁾	6,917	0	0	6,917	5.0%	0
XAnge Private Equity ⁽³⁾	0	0	0	0	-	1,237
Other	9,080	519	(1,212)	8,387		6,304
TOTAL EQUITY INVESTMENTS AND CONSOLIDATABLE ADVANCES	231,870	519	(1,212)	231,177		117,766

(1) Fully consolidated entity (see highlights).

(2) Acquisition of 5% of STET company shares during the financial year.

(3) SF2 concluded the sale of 70% of XAnge Private Equity shares to SIGEFI PRIVATE EQUITY and 20% to La Poste.

Non-consolidated equity investments that are not listed on an active market and for which fair value cannot be assessed on a reliable basis are valued at cost. These investments stood at €26.479 million as at 31 December 2015 as against €20.581 million as at 31 December 2014.

According to the valuation that can be made of the exchange offer, the carrying amount for the Visa Inc. shares represents the best estimate known at the closing date.

3.5 Loans and receivables from financial institutions and similar

(€ '000s)	31.12.2015	31.12.2014
Current accounts in debit	196,298	188,180
Accounts and loans	80,909,917	79,488,425
Securities received under repo agreements	559,073	1,506,878
Subordinated and participating loans	190,216	190,251
Impairment	0	(4)
Accounts and loans – Credit institutions and similar	81,855,504	81,373,730
Securities similar to loans and receivables	1,246,357	1,940,916
Securities similar to loans and receivables	1,246,357	1,940,916
LOANS AND RECEIVABLES FROM FINANCIAL INSTITUTIONS AND SIMILAR	83,101,861	83,314,646

Securities similar to loans and receivables are fixed or determinable-rate non-derivative financial assets that are not traded on an active market.

The Livret A, the Sustainable Development account (LDD) and the National Savings account (LEP) funds centralised in the Caisse des dépôts et consignations (CDC) and shown on the "Accounts and Loans" line amounted to €75,294 million as at 31 December 2015, compared with €78,063 million as at 31 December 2014.

3.6 Loans and receivables – customers

(€ '000s)	31.12.2015	31.12.2014
Current accounts in debit – Customers	863,909	883,718
Factoring business	146,271	38,057
Short-term credit facilities	4,552,688	4,043,134
Home loans	54,213,869	53,630,672
Corporate loans	3,560,245	1,914,776
Loans to the local public sector	4,495,047	3,596,600
Other customer loans	67,308	61,760
Securities received under repo agreements	3,125,977	1,747,817
Impairment charges	(439,498)	(379,940)
Loans and receivables – Customers	70,585,816	65,536,594
Capital lease transactions	1,568,401	952,699
Impairment charges	(1,651)	(1,738)
Capital lease transactions	1,566,750	950,961
Securities similar to loans and receivables	1,475,748	1,369,037
Impairment	0	0
Securities similar to loans and receivables	1,475,748	1,369,037
LOANS AND RECEIVABLES - CUSTOMERS	73,628,314	67,856,592

Securities similar to loans and receivables are fixed or determinable-rate non-derivative financial assets that are not traded on an active market. Following the reclassifications carried out on 1 July 2008

under the October 2008 amendment to IAS 39, securities from "Assets available for sale" now represent only €3.6 million as at 31.12.2015 versus €4.3 million as at 31.12.2014.

Capital lease transactions

(€ '000s)	31.12.2015	31.12.2014
Amount of gross investments	1,702,470	1,060,846
Less than 1 year	184,075	126,788
Between 1 and 5 years	553,591	387,532
More than 5 years	964,803	546,526
Discounted value of minimum payments receivable	1,460,365	903,397
Less than 1 year	146,666	124,186
Between 1 and 5 years	449,906	352,382
More than 5 years	863,793	426,829
Unearned financial income	137,167	152,825
Unguaranteed residual values accruing to the lessor	219,418	4,624

3.7 Impairment of assets

(€ '000s)	31.12.2014	Provisions	Reversals	Accretion	Other ⁽¹⁾	31.12.2015
Loans and receivables – Customers	(381,682)	(218,992)	155,746	1,741	2,038	(441,149)
<i>including collective provisions</i>	(29,763)	(63,307)	44,675	0	(379)	(48,774)
Assets available for sale	(11,579)	(4,370)	22	0	(8)	(15,935)
<i>including equity investments</i>	(948)	(256)	0	0	(8)	(1,212)
Financial assets held to maturity	0	0	0	0	0	0
Other impairment charges	(16,995)	(2,596)	388	0	11,009	(8,194)
Impairment of assets	(410,256)	(225,958)	156,156	1,741	13,039	(465,278)

(1) The "Others" column includes a provision for the customer base that was reclassified in other insurance assets for €10.9 million.

3.8 Financial assets held to maturity

(€ '000s)	31.12.2015	31.12.2014
Government paper and similar securities	21,777,296	25,921,061
Bonds and other fixed-income securities	2,380,308	2,375,453
FINANCIAL ASSETS HELD TO MATURITY	24,157,604	28,296,514

3.9 Current and deferred tax assets and liabilities

(€ '000s)	31.12.2015	31.12.2014 restated
Deferred tax assets	296,287	188,581
Other tax receivables	229,206	200,596
Tax assets	525,493	389,177
Deferred tax liabilities	127,620	129,863
Other tax payables	13,787	30,744
Tax liabilities	141,407	160,607

Deferred tax assets primarily involve the home-savings provision, temporary differences attached to negative swap fair values and on the spreading of loan commissions at the EIR.

Deferred tax was recorded at the rate of 34.43%.

Tax assets are restricted to the capacity of each tax entity to recover them in the near future; deferred tax assets on unrecognised tax losses stand at €46.8 million.

Breakdown of deferred taxes by type

(€ '000s)	31.12.2014 restated	Net profit	Equity	Other	Changes in scope	31.12.2015
Home-savings provision	151,536	21,865	0	135	0	173,536
Retirement provisions	5,938	219	0	5	0	6,161
Other non-deductible provisions	51,165	12,905	0	3,118	238	67,426
Other sources of timing differences	56,341	1,123	0	22,264	0	79,728
Deferred taxes arising from timing differences	264,980	36,112	0	25,521	238	326,851
Fair value of financial instruments and actuarial adjustments	(206,262)	17,079	53,197	(22,197)	0	(158,184)
Recycling of the deferred tax on paid dividends into reserves	0	(24,320)	24,320	0	0	0
Deferred taxes relating to IFRS valuation methods	(206,262)	(7,241)	77,517	(22,197)	0	(158,184)
NET DEFERRED TAX	58,718	28,871	77,517	3,323	238	168,667

3.10 Accruals and other assets

(€ '000s)	31.12.2015	31.12.2014
Prepaid expenses and income receivable	267,706	247,848
Collection accounts	13,146	5,582
Other accruals	1,042,059	593,167
Accruals	1,322,911	846,597
Other debtors	1,427,536	1,114,170
Securities transaction settlement accounts	3,025	2,838
Impairment	(8,194)	(16,995)
Other assets	1,422,367	1,100,014
Reinsurance companies' share of underwriting provisions	4,460	3,234
Other insurance assets ⁽¹⁾	413,403	337,533
Other insurance assets and reinsurance companies' share of underwriting provisions	417,863	340,767
ACCRUALS AND OTHER ASSETS	3,163,141	2,287,378

(1) Including a provision for the customer base that was reclassified in other insurance assets for €10.9 million.

3.11 Holdings valued by the equity method

(€ '000s)	31.12.2015		31.12.2014	
	Valuation of associates consolidated using the equity method	Of which profit	Valuation of associates consolidated using the equity method	Of which profit
Groupe CNP Assurances	2,917,881	206,793	2,836,602	198,980

The data published by the CNP Assurances group show a balance sheet total of €393,732 million, revenue of €31,372 million and a net income, Group share of €1,131 million as at 31 December 2015.

Lastly, the MCEV (Market Consistent Embedded Value) calculated and published by CNP remains markedly higher than its value in the Group's financial statements, as accounted for via the equity method.

3.12 Tangible and intangible assets

(€ '000s)	31.12.2015			31.12.2014 Restated		
	Gross amount	Depreciation, amortisation & impairment	Net amount	Gross amount	Depreciation, amortisation & impairment	Net amount
Software and IT development costs	992,151	(779,312)	212,839	944,084	(705,607)	238,477
Intangible assets in progress	113,837	0	113,837	66,077	0	66,077
Other intangible assets	189,781	(16,892)	172,889	260,508	(41,640)	218,868
Intangible assets	1,295,769	(796,204)	499,565	1,270,669	(747,247)	523,422
Land	170,158	(1,696)	168,462	170,158	(108)	170,050
Buildings	522,735	(201,390)	321,345	516,403	(175,449)	340,954
Plant, equipment and tools	122,049	(76,543)	45,506	106,354	(63,746)	42,608
IT hardware	5,281	(4,315)	966	4,866	(4,009)	857
Property, plant and equipment in progress	8,785	0	8,785	6,932	0	6,932
Other property, plant and equipment	555,066	(443,100)	111,966	525,980	(395,849)	130,131
Property, plant and equipment	1,384,074	(727,044)	657,030	1,330,693	(639,161)	691,532
TOTAL INTANGIBLE ASSETS AND PROPERTY, PLANT AND EQUIPMENT	2,679,843	(1,523,248)	1,156,595	2,601,362	(1,386,408)	1,214,954

3.13 Goodwill

Movements during the period

(€ '000s)	31.12.2015	31.12.2014
Net book value as at 1 January	146,608	146,608
Goodwill arising on investments	43,902	-
Disposals	-	-
Impairments during the period	-	-
Other movements	-	-
Net book value as at 31 December	190,510	146,608

Breakdown of goodwill

(€ '000s)	31.12.2015	31.12.2014
Tocqueville Finance group	27,498	27,498
La Banque Postale Asset Management	24,810	24,810
La Banque Postale Prévoyance	94,300	94,300
EasyBourse	4,722	4,722
Ciloger	30,283	-
Fédéris	13,619	-
Other	0	0
Total goodwill (gross)	195,232	151,330
Impairment of goodwill	(4,722)	(4,722)
TOTAL GOODWILL (NET)	190,510	146,608

3.14 Liabilities due to credit institutions and similar

(€ '000s)	31.12.2015	31.12.2014
Current accounts in credit	345,730	262,130
Accounts and loans	1,953,126	1,527,341
Securities assigned under repo agreements	13,421,589	13,342,830
Other amounts payable	20,787	24,423
LIABILITIES DUE TO CREDIT INSTITUTIONS AND SIMILAR	15,741,232	15,156,724

3.15 Liabilities to customers

(€ '000s)	31.12.2015	31.12.2014
Livret A accounts	60,176,604	62,696,312
Home loan savings schemes and accounts	30,565,002	28,211,226
Other special accounts	21,666,528	22,066,774
Special scheme savings accounts	112,408,134	112,974,312
Current accounts in credit – Customers	54,012,435	50,400,415
Securities loaned	3,448,796	3,034,704
Accounts in credit	1,082,020	722,111
Customer financial borrowings	100,203	216,422
Other amounts payable	719,563	562,753
Liabilities to customers	59,363,017	54,936,405
CUSTOMER TRANSACTIONS	171,771,151	167,910,717

3.16 Debt securities

(€ '000s)	31.12.2015	31.12.2014
Certificates of deposit and treasury bills	4,834,308	5,769,909
Bond borrowings ⁽¹⁾	4,219,612	3,620,281
Other debt securities	663	388
SPECIAL SCHEME SAVINGS ACCOUNTS	9,054,583	9,390,578

(1) Including €3,048 million of covered bonds issued by La Banque Postale Home Loan SFH compared to €2,230 million as at 31 December 2014.

3.17 Accruals and other liabilities

(€ '000s)	31.12.2015	31.12.2014 Restated
Expenses payable and advances	421,403	373,646
Other accruals	1,707,576	1,289,535
Accruals	2,128,979	1,663,181
Securities-related payables	578,901	519,779
Conditional instruments sold	0	8
Guarantee deposits received	1,313,470	1,591,446
Other payables	994,482	944,638
Securities transaction settlement accounts	9,162	8,916
Other liabilities	2,896,015	3,064,787
Other insurance liabilities	174,165	157,759
Other insurance liabilities	174,165	157,759
ACCRUALS AND OTHER LIABILITIES	5,199,158	4,885,727

3.18 Underwriting provisions of insurance companies

(€ '000s)	31.12.2015	31.12.2014
Life insurance underwriting provisions	728,273	697,027
Non-life insurance underwriting provisions	437,200	371,888
Equalisation reserves	14,660	14,033
Other provisions	728,688	591,284
UNDERWRITING PROVISIONS	1,908,821	1,674,232

(€ '000s)	31.12.2015	31.12.2014
Deferred profit-sharing liabilities	99,890	113,194
SHADOW ACCOUNTING	99,890	113,194

► The provision for deferred profit-sharing arises from the application of "shadow accounting": it represents the share of policy-holders, life insurance subsidiaries, in unrealised gains and losses and impairment charged on assets, when the remuneration of contracts is tied to their returns.

► These are reserves built up mainly by La Banque Postale Prévoyance.

3.19 Provisions

(€ '000s)	31.12.2014	Provisions	Reversals	Unused reversals	Other	31.12.2015
Provisions for employee benefits	17,017	2,041	(37)	0	(457)	18,564
Provisions for risk on home savings accounts	440,491	63,505	0	0	0	503,996
Provisions for employee litigation and employee benefits expenses	7,152	6,576	(6,256)	(1,241)	324	6,555
Provisions for signed commitments ⁽¹⁾	35,632	0	(35,404)	(228)	0	0
Other provisions	284,857	84,888	(42,925)	(85,952)	540	241,408
PROVISIONS	785,149	157,010	(84,622)	(87,421)	407	770,523

(1) This provision records the guarantee granted to two Group funds with a capital guarantee at maturity, and which were affected by the restructuring of Greek debt. An initial fund matured in January 2014 with no impact on net profit. The second matured on 16 January 2015, with no impact on the Group's financial statements.

Home savings information (in millions of euros)

Generations	2014 provision	Deposits collected	Loans granted in respect of PEL and CEL accounts	2015 provision	Net movements
More than 10 years	93	5,954		100	7
4 to 10 years	110	8,957		126	16
Less than 4 years	203	10,833		246	43
Total Home Loan Savings Plan	406	25,744	79	472	66
Total Home Loan Savings account	34	4,821	525	32	(3)
TOTAL	441	30,565	604	504	63

3.20 Subordinated debt

(€ '000s)	31.12.2015	31.12.2014
Subordinated debt ⁽¹⁾	3,189,017	2,458,098
TOTAL	3,189,017	2,458,098

(€ '000s)	Date of issue	Maturity date	Currency of origin	31.12.2015
Long-term subordinated debt ⁽²⁾	30.11.2010	30.11.2020	EUR	750,000
Long-term subordinated debt ⁽²⁾	23.04.2014	23.04.2026	EUR	750,000
Long-term subordinated debt ⁽³⁾	19.11.2015	19.11.2027	EUR	750,000
Perpetual subordinated debt ⁽⁴⁾	13.12.2013		EUR	800,000
TOTAL				3,050,000

(1) Balance sheet value including hedging effect and accrued interest.

(2) The issue includes a mechanism for conversion to senior debt with a 30 basis point reduction in the coupon in the event that the instrument is disqualified by the regulatory authorities.

(3) See Highlights over the period.

(4) Issue of a perpetual debt security convertible into shares and repayable in the event of tax, accounting or regulatory changes or on the date of first call. this debt is admitted by regulation in core equity capital (Tier 1). coupons are payable annually.

3.21 Breakdown of balance sheet items by residual maturity

Introduction: The note on liquidity risk is contained in the Risk Management section of the Registration Document.

The disclosures required by IFRS 7 included in this section – and which are an integral part of the notes to the consolidated financial statement – have been approved by the statutory auditors.

La Banque Postale's structural liquidity gap complies with its one-, three- and five-year limits (see Registration Document, Chapter on "Financial management risks", "Liquidity risk exposure"), reflecting excess liquidity of €12.3 billion, €16.4 billion and €12.1 billion respectively.

The ratio of financial liabilities to total liabilities was 12% as at the end of 2015 (versus 11.97% at end 2014).

Almost 76% of these financial liabilities mature in less than one year (issue of certificates of deposit, repurchase agreements and unsecured borrowing) and are covered by a larger liquidity reserve arising in particular from the high-quality financial assets portfolio mentioned above.

The financial commitments (€17 billion) mainly have an overnight drawdown date.

Regarding transactions with the Banque de France, La Banque Postale deposits funds with the Banque De France in order to build mandatory reserves, and marginally, its short-term excess liquidity (€0.9 billion as at 31 December 2015, corresponding to the reserve requirement, see 3.1 Cash and central banks), while it gathers the regulatory minimum enabling the market settlement systems to operate via the 3G pool.

The tables below show the maturity of the Group's financial assets and liabilities according to their contractual maturity date.

Fixed-income securities, loans and debt are broken down according to their contractual maturity date.

Equity investments and UCITs have been entered in the "Undetermined" column.

Overnight receivables and debt are shown in the "Less than three months" column.

The amounts presented in this schedule correspond to those on the balance sheet (including the effects of discounting).

Balance sheet items by remaining periods to maturity as at 31 December 2015

La Banque Postale Group	less than 3 months	3 months to 1 year	1 to 5 years	+ 5 years	indefinite	total
Cash and central banks	1,811,631	-	-	-	-	1,811,631
Financial held-for-trading assets	5,117,316	5,371,347	233,630	312,981	-	11,035,274
Financial assets at fair value through profit and loss	-	-	-	-	-	-
Hedging derivatives – Assets	23,789	29,352	228,266	947,160	-	1,228,567
Available-for-sale financial assets	411,359	876,810	8,298,122	4,425,142	1,599,067	15,610,500
Loans and receivables – Credit institutions	80,057,197	312,499	1,310,542	1,421,623	-	83,101,861
Loans and receivables – Customers	6,487,145	5,245,788	21,251,201	40,577,433	66,747	73,628,314
Revaluation differences on interest rate risk hedged portfolios – Assets	930	4,938	95,652	76,738	-	178,258
Financial assets held to maturity	923,669	1,950,615	10,501,933	10,781,387	-	24,157,604
BREAKDOWN OF ASSETS BY RESIDUAL MATURITY	94,833,036	13,791,349	41,919,346	58,542,464	1,665,814	210,752,009
Central Banks	-	-	-	-	-	-
Financial held-for-trading liabilities	87,099	22,879	204,752	338,125	-	652,855
Financial liabilities at fair value on option	-	-	4,601	-	-	4,601
Hedging derivatives – Liabilities	11,577	26,542	171,872	116,067	-	326,058
Liabilities due to credit institutions	12,310,303	2,295,106	891,236	244,587	-	15,741,232
Liabilities to customers	159,910,249	1,820,433	9,245,532	794,937	-	171,771,151
Debt securities	3,295,256	2,111,544	1,470,389	2,177,394	-	9,054,583
Subordinated debt	-	5,167	849,893	1,533,957	800,000	3,189,017
Revaluation differences on interest rate risk hedged portfolios – Liabilities	-	202	6,032	698,085	-	704,319
BREAKDOWN OF LIABILITIES BY RESIDUAL MATURITY	175,614,484	6,281,873	12,844,307	5,903,152	800,000	201,443,816

Balance sheet items by remaining periods to maturity as at 31 December 2014

(€ '000s)	Less than 3 months	3 months to 1 year	1 to 5 years	More than 5 years	Indefinite	Total
Cash and central banks	1,949,649	-	-	-	-	1,949,649
Financial held-for-trading assets	3,721,759	5,614,092	130,843	207,002	-	9,673,696
Financial assets at fair value through profit and loss	-	-	-	-	-	-
Hedging derivatives – Assets	4,236	11,784	82,609	1,433,576	-	1,532,205
Available-for-sale financial assets	272,498	1,953,809	7,597,776	2,141,460	1,136,431	13,101,974
Loans and receivables – Credit institutions	79,680,759	450,706	2,275,722	907,459	-	83,314,646
Loans and receivables – Customers	4,821,576	4,737,991	19,550,395	38,746,630	-	67,856,592
Revaluation differences on interest rate risk hedged portfolios – Assets	247	3,432	137,904	89,713	-	231,296
Financial assets held to maturity	919,423	3,211,994	10,384,073	13,781,024	-	28,296,514
BREAKDOWN OF ASSETS BY RESIDUAL MATURITY	91,370,147	15,983,808	40,159,322	57,306,864	1,136,431	205,956,571
Central Banks	-	-	-	-	-	-
Financial held-for-trading liabilities	1,523	29,846	68,373	227,705	-	327,447
Financial liabilities at fair value on option	-	-	4,552	-	-	4,552
Hedging derivatives – Liabilities	3,671	13,175	261,559	153,790	-	432,195
Liabilities due to credit institutions	11,026,846	2,963,278	964,654	201,945	-	15,156,723
Liabilities to customers	156,531,000	1,996,583	8,320,184	1,062,950	-	167,910,717
Debt securities	3,711,030	2,333,066	872,264	2,474,218	-	9,390,578
Subordinated debt	-	-	-	1,658,098	800,000	2,458,098
Revaluation differences on interest rate risk hedged portfolios – Liabilities	4	7,657	5,198	906,097	-	918,956
BREAKDOWN OF LIABILITIES BY RESIDUAL MATURITY	171,274,074	7,343,605	10,496,784	6,684,803	800,000	196,599,266

NOTE 4 NOTES TO THE PROFIT AND LOSS STATEMENT

4.1 Interest income and expense and similar items

(€ '000s)	31.12.2015		31.12.2014	
	Income	Expenses	Income	Expenses
Interest and similar income on cash and inter-bank transactions	1,386,179	14,665	1,668,032	(22,135)
Interest and similar income on customer transactions	2,178,189	(1,539,309)	2,202,987	(1,816,026)
Interest on hedged transactions	275,607	(85,743)	210,713	(111,150)
Interest on assets available for sale and held to maturity ⁽¹⁾	1,010,959	0	1,201,832	0
Interest on debt securities	0	(115,644)	0	(105,652)
Interest income and expense	4,850,934	(1,726,031)	5,283,564	(2,054,963)
NET INTEREST INCOME AND EXPENSE	3,124,903		3,228,601	

(1) Including a reclassification in 2014 of dividends and similar income into interest income on available-for-sale financial assets for €39 million.

Interest income received in respect of the centralisation of the Livret A, LDD and LEP funds amounted to €1,329 million as at 31 December 2015, compared with €1,564 million as at 31 December 2014.

4.2 Commissions

(€ '000s)	31.12.2015		31.12.2014	
	Income	Expenses	Income	Expenses
Commissions on cash and inter-bank transactions	34,581	(3,308)	21,749	(2,856)
Commissions on customer transactions	1,472,499	(57,169)	1,474,482	(57,121)
Commissions on financial services supplied	628,633	(146,884)	532,055	(155,653)
Commissions on securities transactions	298,198	(17,665)	252,891	(16,820)
Commissions on insurance services supplied	93,457	(49,917)	83,432	(47,176)
Commissions on financial instruments	0	(263)	0	(576)
Other commissions	40,420	(33)	33,634	(12)
Commission income and expenses	2,567,788	(275,239)	2,398,243	(280,214)
NET COMMISSIONS	2,292,549		2,118,029	

4.3 Net gains and losses on financial instruments at fair value through profit or loss

(€ '000s)	31.12.2015	31.12.2014
Net income from financial instrument held for trading (excluding derivatives)	27,472	50,426
Net income from trading derivatives	(103,134)	(29,850)
Net income from the revaluation of hedged items and hedge derivatives	4,045	474
Income from financial assets designated at fair value through profit and loss	101	(628)
Net income from financial liabilities designated at fair value through profit and loss	(2,255)	(1,006)
NET GAINS AND LOSSES ON FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH PROFIT AND LOSS	(73,771)	19,416

4.4 Net gains and losses on assets available for sale

(€ '000s)	31.12.2015	31.12.2014
Gains on disposals of fixed-income securities	256,937	262,484
Losses on disposals of fixed-income securities	(154,106)	(160,313)
Dividends and similar income ⁽¹⁾	26,744	30,315
Gains on disposals of variable-income securities	7,467	9,162
Losses on disposals of variable-income securities and loss of value	(5,841)	(11,379)
Net gains and losses on disposals of loans and receivables	4,281	(2)
NET GAINS AND LOSSES ON ASSETS AVAILABLE FOR SALE	135,482	130,267

(1) Including a reclassification in 2014 of dividends and similar income into interest income on available-for-sale financial assets for €39 million.

4.5 Total income and expenses from other activities

(€ '000s)	31.12.2015		31.12.2014	
	Income	Expenses	Income	Expenses
Income paid-out, re-invoiced expenses and transfers of expenses	24,742	0	26,916	0
Other sundry operating income and expenses	231,475	(217,951)	167,012	(216,322)
Insurance income and expenses	762,403	(520,946)	711,796	(490,059)
Provisions and other operating expenses	13,791	(27,445)	17,503	(39,848)
Income and expenses from other activities	1,032,411	(766,342)	923,227	(746,229)
NET INCOME AND EXPENSES FROM OTHER ACTIVITIES	266,069		176,998	

4.6 General operating expenses

(€ '000s)	31.12.2015	31.12.2014
Employee benefits expense	(469,237)	(435,532)
Taxes and duties	(72,095)	(104,171)
External services	(3,757,065)	(3,770,742)
Other expenses	(169,275)	(156,383)
Other general operating expenses	(3,998,435)	(4,031,296)
GENERAL OPERATING EXPENSE	(4,467,672)	(4,466,828)

4.7 Cost of risk

(€ '000s)	31.12.2015	31.12.2014
Impairments on customer accounts	(347,548)	(338,104)
Reversals of impairment on customer accounts	276,756	271,620
Losses on unrecoverable impaired receivables	(126,024)	(155,626)
Losses on un-provisioned unrecoverable receivables	(23,922)	(28,221)
Recovery of amortised receivables	5,806	5,619
Impairment on doubtful financial assets	0	0
Reversals of impairment on doubtful financial assets	0	0
Provisions to/reversals from other impairments	33,994	81,702
COST OF RISK	(180,938)	(163,010)

4.8 Gains and losses on other assets

(€ '000s)	31.12.2015	31.12.2014
Capital gains or losses on sale of intangible & tangible assets	(1,086)	(620)
Gains on revaluation of consolidated securities ⁽¹⁾	16,846	0
GAINS AND LOSSES ON OTHER ASSETS	15,760	(620)

(1) The additional acquisition of 45% of Ciloger resulted in a revaluation of Ciloger shares previously held.

4.9 Change in value of goodwill

(€ '000s)	31.12.2015	31.12.2014
CNP	0	0
BPE	0	263
GOODWILL	0	263

4.10 Income tax and deferred taxes

(€ '000s)	31.12.2015	31.12.2014
Current tax	(378,859)	(418,371)
Deferred tax	28,871	83,797
TAXES	(349,988)	(334,574)

Deferred taxes were recorded at the 38% rate for temporary differences materialising in 2015. The rate is 34.43% for temporary differences settled subsequently.

Breakdown of the tax charge

(€ '000s)	31.12.2015		31.12.2014	
Net income, Group share	706,811		677,186	
Non-controlling interests	36,870		24,761	
Share of profits of equity associates	(206,793)		(198,980)	
Goodwill	0		(263)	
Income tax expense	349,988		334,574	
Accounting result before tax	886,876	38.00%	837,278	38.00%
Theoretical income tax expense	(337,013)		(318,166)	
Impact of permanent timing differences	(240)	0.03%	(18,238)	2.18%
Impact of tax rates	(9,227)	1.04%	10,235	-1.22%
Impact of dividend taxation	(6,709)	0.76%	(3,873)	0.46%
Other impacts	3,200	-0.36%	(4,532)	0.54%
RECOGNISED INCOME TAX EXPENSE	(349,988)	39.46%	(334,574)	39.96%

NOTE 5 COMMITMENTS GIVEN AND RECEIVED

Contractual value of commitments given and received:

(€ '000s)	31.12.2015	31.12.2014
FINANCING COMMITMENTS		
To credit institutions and similar	137,351	200,302
To customers	17,132,244	17,747,456
Total financing commitments given	17,269,595	17,947,758
From credit institutions and similar	1,472,010	2,551,647
From customers	900,717	740,035
Total financing commitments received	2,372,727	3,291,682
GUARANTEES		
To credit institutions and similar	291,547	369,669
To customers ⁽¹⁾	2,774,973	3,065,976
Total guarantees given	3,066,520	3,435,645
From credit institutions and similar	27,924,489	29,351,940
From customers	10,278,875	8,687,215
Total guarantees received	38,203,364	38,039,155
COMMITMENTS ON SECURITIES		
Deliverable securities	1,404,646	1,039,830
Total commitments given on securities	1,404,646	1,039,830
Securities receivable	387,001	108,442
Total commitments received on securities	387,001	108,442
OTHER COMMITMENTS		
Other commitments given	7,345,980	6,658,677
Other commitments received	632,792	4,570
Total other commitments	7,978,772	6,663,247

(1) Includes capital guarantees and performance guarantees given to holders of UCITS units issued by Group entities.

Crédit Logement commitment

La Banque Postale has committed to maintain Crédit Logement's basic equity capital at a level equivalent to their holding in the company, i.e. 9.95%, so that the company can maintain its solvency ratio. La Banque Postale has agreed to replenish Crédit Logement's mutual guarantee fund if required, which underwrites borrower

defaults on loans secured by the company. This commitment, which is equivalent to the portion of amounts outstanding granted by La Banque Postale, stood at €292 million as at 31 December 2015. This amount at 31 December 2014 was €369 million.

Fair value of assets received as guarantee and which are available to the Group

The fair value of securities acquired under repo agreements stood at €3.7 billion as at 31 December 2015 (compared with €3.3 billion as at 31 December 2014).

Margin calls on repo securities and derivatives amounted to €1.3 billion as at 31 December 2015 (compared with €1.7 billion as at 31 December 2014).

Other commitments given

Mainly the amount of shares pledged for the benefit of the European Central Bank as part of the financing commitment received from the latter (financing 3G). This guarantee commitment given is recorded at the market value of pledged securities before taking into account different haircuts for securities and receivables into account. The commitment given (€1,375 million) is in return for a financing commitment received (€1,351 million) from the Banque de France (3G funding).

As of 2013, other commitments also include €5,692 million in home loans pledged to cover the bond issues launched by the Group's home loans company (La Banque Postale Home Loan SFH).

Other commitments

In 2015, La Banque Postale received €632 million in securities as collateral for the first time.

NOTE 6 FAIR VALUE OF BALANCE SHEET ITEMS

6.1 Fair value of balance sheet items recognised at amortised cost

The table below shows the fair value of balance sheet items recognised at amortised cost.

(€ '000s)	31.12.2015		31.12.2014	
	Carrying amount	Fair value	Carrying amount	Fair value
ASSETS				
Loans and receivables – Credit institutions	83,101,861	82,435,924	83,314,646	83,563,873
Loans and receivables – Customers	73,628,314	76,159,200	67,856,592	71,508,473
Financial assets held to maturity	24,157,604	27,132,874	28,296,514	31,875,644
LIABILITIES				
Liabilities due to credit institutions	15,741,232	15,147,640	15,156,724	15,735,275
Liabilities to customers	171,771,151	172,193,943	167,910,717	171,152,035
Debt securities	9,054,583	9,052,912	9,390,578	8,968,069
Subordinated debt	3,189,017	3,319,959	2,458,098	2,601,363

Fair value of loans

The scope selected includes all loans drawn on La Banque Postale and shown on its balance sheet. Loans granted but not yet drawn are not taken into account: the assumption is that since their rates were recently set, their value should not diverge from the nominal amount loaned.

The main assumptions underlying the determination of fair value are as follows for the loans marketed by the Bank:

- ▶ the fair value of current account overdrafts is presumed to correspond to the book value due to their short duration (the customer is required to return the account to credit within one month);
- ▶ the fair value of loans is determined on the basis of internal models, which consist in discounting future recoverable capital and interest flows over the residual maturity, based on the rate of internal disposals.

Fair value of deposits

The main underlying assumptions for the calculation are as follows:

- ▶ for deposits where the remuneration rate is regulated, Livret B accounts, savings accounts for young people, National Savings accounts and term deposits, fair value is assumed to be the carrying amount of the amount outstanding;
- ▶ the fair value of overnight deposits is assumed to correspond to the carrying amount of the amount outstanding, net of the fair cost value of the swaps used to hedge overnight deposits (via the carve-out option).

Held or issued debt instruments

The fair value of listed financial instruments corresponds to the closing price. The fair value of unlisted financial instruments is determined by discounting future cash flows at current reporting date market rates.

All these instruments are considered Level 2, the most significant parameters in terms of the market value of these instruments are considered as being indirectly observable.

6.2 Ranking of the financial assets and liabilities recognised on the balance sheet by fair value

Financial instruments are presented in Note 6.2 over three levels in descending order of observability of values and parameters used for their valuation:

- ▶ level 1: Instruments valued using quoted prices (non-adjusted) in active markets for identical assets or liabilities;

These include listed shares and derivatives on organised markets (futures, options, etc.).

- ▶ level 2: Instruments valued using inputs other than quoted prices included in Level 1 that are observable for the asset or liability concerned, either directly (*i.e.* prices) or indirectly (*i.e.* derived from prices);

These are instruments measured employing valuation techniques that use observable parameters and standard models or instruments that are valued based on similar instruments listed

on an active market. This category includes interest rate swaps, caps, floors, etc.;

- ▶ level 3: Instruments valued using data that are not based on observable market data (non-observable data).

This category mainly includes unlisted equity investments.

The market value of unlisted equity investments classified as available-for-sale securities is determined by reference to criteria such as net assets, profitability outlook and discounting of future cash flows. Non-consolidated equity investments whose fair value cannot be assessed on a reliable basis are valued at cost.

The price quoted for an asset held or a liability to be issued is usually the bid price, and it is the ask price for a liability held or an asset to be acquired.

Financial assets

	31.12.2015			31.12.14		
	Value determined using listed prices on an active market (Level 1)	Valuation process using observable data (Level 2)	Valuation process using non-observable data (Level 3)	Value determined using listed prices on an active market (Level 1)	Valuation process using observable data (Level 2)	Valuation process using non-observable data (Level 3)
(€ '000s)						
Government paper and similar securities	225,651	0	0	782,728	0	0
Bonds and other fixed-income securities	2,365,750	7,814,611	0	2,803,328	5,745,548	0
Equities and other variable-income securities	74,227	0	0	45,128	0	0
Financial assets at fair value through profit and loss	2,665,628	7,814,611	0	3,631,184	5,745,548	0
Equities and other variable-income securities	0	0	0	0	0	0
Financial assets designated at fair value through profit and loss	0	0	0	0	0	0
Interest rate derivatives	0	546,240	0	0	279,336	0
Exchange rate derivatives	0	2,480	0	0	11,303	0
Equity and equity-index derivatives	0	6,315	0	0	6,325	0
Transaction derivatives	0	555,035	0	0	296,964	0
Interest rate derivatives	0	1,126,120	0	0	1,358,548	0
Equity and equity-index derivatives	0	56	0	0	0	0
Fair value hedging derivatives	0	1,126,176	0	0	1,358,548	0
Interest rate derivatives	0	102,391	0	96,462	77,195	0
Cash flow hedge derivatives	0	102,391	0	96,462	77,195	0
Government paper and similar securities	3,129,746	35,363	0	2,176,801	35,801	0
Bonds and other fixed-income securities	10,556,268	281,399	0	8,765,582	661,438	0
Equities and other variable-income securities	902,466	276,601	197,478	963,072	265,042	116,472
Non-consolidated equity investments	(1)	0	231,178	(0)	0	117,766
Available-for-sale financial assets	14,588,479	593,364	428,656	11,905,455	962,281	234,238

Transfer from Level 1 to Level 2: €5.9 million (one fixed-income security whose prices are no longer representative of a price quoted on the active market) and €49.5 million (after the streamlining of the fair value interest rate derivatives ranking procedure).

Transfers from Level 2 to Level 1: €1.6 million (one fixed-income security, the transactions for which meet the volume and frequency conditions from now on).

Transfer from Level 3 to Level 1: €8.1 million (passage in Mark-to-Market of a variable-income security).

Financial liabilities

	31.12.2015			31.12.14		
	Value determined using listed prices on an active market (Level 1)	Valuation process using observable data (Level 2)	Valuation process using non-observable data (Level 3)	Value determined using listed prices on an active market (Level 1)	Valuation process using observable data (Level 2)	Valuation process using non-observable data (Level 3)
(€ '000s)						
Debt securities	0	4,601	0	0	4,552	0
Financial liabilities designated at fair value through profit or loss	0	4,601	0	0	4,552	0
Interest rate derivatives	0	558,963	0	0	281,896	0
Exchange rate derivatives	0	55,695	0	0	518	0
Other derivative instruments	0	28,762	0	0	23,423	0
Credit derivatives	0	1,845	0	0	3,266	0
Equity and equity-index derivatives	0	7,590	0	0	18,344	0
Trading derivatives	0	652,855	0	0	327,447	0
Financial liabilities at fair value through profit or loss	0	657,456	0	0	331,999	0
Interest rate derivatives	0	326,058	0	0	432,195	0
Fair value hedging derivatives	0	326,058	0	0	432,195	0

Measurement of the fair value assigned to Level 3: reconciliation of opening and closing balances

	31.12.2015				
	Financial assets at fair value through profit and loss	Financial assets designated at fair value through profit and loss	Transaction derivatives	Hedging derivatives	Available-for-sale financial assets
(€ '000s)					
OPENING				0	234,238
Total gains and losses recorded in profit and loss					(1,838)
Total gains and losses recorded in equity					115,590
Purchases					66,120
Sales					(12,934)
Issues					11
Redemptions					0
Transfer to or outside Level 3					(6,556)
Other movements					34,025
CLOSING					428,656
Total gains and losses recorded in profit and loss for the assets held					428,656

Measurement of the fair value assigned to Level 3: profits and losses for the period recognised in income

None.

NOTE 7 RECLASSIFICATION OF FINANCIAL ASSETS

The Group took the opportunity to reclassify certain available-for-sale financial assets in the "loans and receivables" category made available by the 13 October 2008 amendment to IAS 39 and IFRS 7. The transfer of a portion of the securities held in the assets available for sale portfolio that no longer displayed the expected liquidity to the loans and receivables portfolio enables the perception of the way

the Bank allocates its resources in the financial statements to be improved.

These reclassifications were carried out at fair value on 1 July 2008. As at 31 December 2015, fair values were not significant.

No reclassifications were made in the financial years 2015 and 2014.

NOTE 8 OFFSETTING OF FINANCIAL ASSETS AND LIABILITIES

A financial asset and liability are offset and a net balance is shown on the balance sheet, when the Group has a legally enforceable right to offset the amounts recognised, and has the intention either to settle the net amount or to realise the asset and settle the liability simultaneously.

A financial asset and liability covered by master offsetting agreements or similar agreements fulfilling the definition of an enforceable contract (legally enforceable right to offset securities with the same maturity against cash), which can be exercised under all conditions but does not meet the offsetting criteria, are presented as net book value where they are realised with the same legal entity.

The tables below show the amounts of financial assets and liabilities that were offset in the Group's consolidated balance sheet as well as the amounts that could be offset in compliance with the master offsetting agreements or similar agreements, but which are not eligible to be offset in the consolidated financial statements.

The net positions resulting from these offsetting agreements are not intended to measure the Group's exposure to counterparty risk on these financial instruments.

Offsetting of financial assets and liabilities in 2015

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial assets	Gross value of financial liabilities	Financial assets presented net	Financial instruments	Cash collateral paid	Financial instruments given as guarantee	Net book value
(€ '000s)							
Financial instruments at market value through profit and loss	11,035,274	-	11,035,274	540,588	1,223,361	-	9,271,325
Of which Financial derivatives (includes hedging derivatives)	1,783,603	-	1,783,603	540,588	1,223,361	-	19,654
Loans and receivables – Customers and credit institutions	160,654,250	3,924,075	156,730,175	118,424	37,411	3,526,423	153,047,917
Including repurchase transactions	7,606,389	3,924,075	3,682,314	118,424	37,411	3,526,423	56
Accruals and other assets	3,163,141	-	3,163,141	1,239	-	-	3,161,902
Of which guarantee deposits given	5,271	-	5,271	1,239	-	-	4,032
Other assets not offset	47,779,388	-	47,779,388	-	-	-	47,779,388
TOTAL ASSETS	222,632,053	3,924,075	218,707,978	660,251	1,260,772	3,526,423	213,260,532

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial liabilities	Gross value of financial assets offset in the financial statements	Financial liabilities presented net	Amount not offset		Financial instruments given as guarantee	Net book value
(€ '000s)				Financial instruments	Collateral paid		
Financial instruments at market value through profit and loss	983,514	-	983,514	540,588	405,405	-	37,521
<i>Of which Financial derivatives (includes hedging derivatives)</i>	978,913	-	978,913	540,588	405,405	-	32,920
Liabilities due to credit institutions and to customers	191,436,459	3,924,075	187,512,383	118,424	235,663	16,521,563	170,636,733
<i>Of which repurchase transactions</i>	20,802,088	3,924,075	16,878,013	118,424	235,663	16,521,563	2,363
<i>Including guarantee deposits received</i>	-	-	-	-	-	-	-
Other debt not offset	21,067,720	-	21,067,720	-	-	-	21,067,720
TOTAL LIABILITIES	213,487,692	3,924,075	209,563,617	659,012	641,068	16,521,563	191,741,974

Offsetting of financial assets and liabilities in 2014

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial assets	Gross value of financial liabilities	Financial assets presented net	Amount not offset		Financial instruments given as guarantee	Net book value
(€ '000s)				Financial instruments	Cash collateral paid		
Financial instruments at market value through profit and loss	9,673,696		9,673,696	586,955	1,200,550	-	7,886,192
<i>Of which Portfolio of trading securities</i>			-				-
<i>Of which Portfolio valued at market value through profit and loss</i>			-				-
<i>Of which Financial derivatives (includes hedging derivatives)</i>	1,829,144	-	1,829,144	586,955	1,200,550		41,640
Loans and receivables – Customers and credit institutions	155,359,390	4,188,152	151,171,238	532,429	171	2,715,511	147,923,127
<i>of which repurchase transactions</i>	7,436,314	4,188,152	3,248,162	532,429	171	2,715,511	51
Accruals and other assets	2,287,378		2,287,378	3,249			2,284,129
<i>of which guarantee deposits given</i>	5,015		5,015	3,249			1,766
Other assets not offset	49,706,533		49,706,533				49,706,533
TOTAL ASSETS	217,026,997	4,188,152	212,838,845	1,122,633	1,200,721	2,715,511	207,799,980

	(a)	(b)	(c) = (a) – (b)	(d)		(e)	(f) = (c) – (d) – (e)
	Gross carrying amount of financial liabilities	Gross value of financial assets offset in the financial statements	Financial liabilities presented net	Amount not offset		Financial instruments given as guarantee	Net book value
				Financial instruments	Cash collateral paid		
(€ '000s)							
Financial instruments at market value through profit and loss	764,194		764,194	586,955	130,014	-	47,226
Of which Portfolio valued at market value through profit and loss	4,552		4,552				4,552
Of which Financial derivatives (includes hedging derivatives)	736,191		736,191	586,955	130,014		19,222
Liabilities due to credit institutions and to customers	187,255,593	4,188,152	183,067,441	532,429	91,219	15,645,392	166,798,401
of which repurchase transactions	20,561,833	4,188,152	16,373,681	532,429	91,219	15,645,392	104,641
Other debt not subject to offsetting (excluding Equity)	20,400,239		20,400,239				20,400,239
TOTAL LIABILITIES	208,420,026	4,188,152	204,231,874	1,119,384	221,233	15,645,392	187,245,865

NOTE 9 SEGMENT INFORMATION

La Banque Postale Group is structured around the following divisions:

- **retail banking**, which includes the business activities of La Banque Postale, the CRSF Métropole, CRSF Dom and Tertiaire Saint Romain Limited Property Investment Partnerships (SCIs) that own the operating premises of La Banque, La Banque Postale Financement, Easy-bourse, La Banque Postale Crédit aux Entreprises, La Banque Postale Collectivités Locales, La Banque Postale Home Loan SFH, BPE, SOFIAP as well as the SF2 holding company and FCT Elise 2012;
- **the Insurance Division** consists of the CNP Assurances group, La Banque Postale Prévoyance, La Banque Postale Assurance

Santé, La Banque Postale Assurances IARD, La Banque Postale Conseil en Assurances and Sopassure;

- **asset management** with La Banque Postale Asset Management group, La Banque Postale Structured Asset Management, Tocqueville Finance Holding, Tocqueville Finance SA, Ciloger and Federis.

Except for CNP Assurances' foreign subsidiaries, the Group conducts its business activities in France.

Inter-segment and intra-segment transactions are performed under commercial market conditions.

9.1 Breakdown of results by business segment

Net Banking Income by business segment as at 31 December 2015

	Retail Banking		Insurance		Asset management	
	External activity	Of which inter-segment eliminations	External activity	Of which inter-segment eliminations	External activity	Of which inter-segment eliminations
(€ '000s)						
Interest and similar income	4,804,022	66	46,910	0	2	0
Interest and similar expense	(1725872)	0	(159)	0	0	(66)
Commission income	2,188,786	259,291	90,688	3,863	288,314	905
Commission expenses	(182,230)	(3,560)	(51,382)	(155,185)	(41,627)	(105,314)
Net gains and losses on financial instruments at fair value through profit and loss	(76,418)	0	2,644	0	3	0
Total net gains and losses on AFS assets	127,180	0	7,296	0	1,006	0
Total income and expense from other activities	23,463	0	241,546	0	1,060	0
Internal/external net banking income	5,158,931	255,797	337,543	(151,322)	248,758	(104,475)
Net banking income by segment		5,414,728		186,221		144,283
NET BANKING INCOME				5,745,232		

Net Banking Income restated by business segment as at 31 December 2014

(€ '000s)	Retail Banking		Insurance		Asset management	
	External activity	Inter-segment eliminations	External activity	Inter-segment eliminations	External activity	Inter-segment eliminations
Interest and similar income	5,235,429	97	48,124	0	11	26
Interest and similar expense	(2,054,944)	0	(19)	0	0	(123)
Commission income	2,071,378	241,963	84,677	5,270	242,188	369
Commission expenses	(203,758)	(5,323)	(48,527)	(139,422)	(27,929)	(102,857)
Net gains and losses on financial instruments at fair value through profit and loss	14,900	0	4,514	0	2	0
Total net gains and losses on AFS assets	129,258	0	2,435	0	(1,426)	0
Total income and expense from other activities	(43,172)	0	221,433	0	(1,263)	0
Internal/external net banking income	5,149,091	236,737	312,637	(134,152)	211,583	(102,585)
Net banking income by segment		5,385,828		178,485		108,998
NET BANKING INCOME				5,673,311		

Net Banking Income by business segment as at 31 December 2015

(€ '000s)	Retail Banking	Insurance	Asset management	Total
Net banking income	5,414,728	186,221	144,283	5,745,232
General operating expense	(4,301,254)	(90,929)	(75,489)	(4,467,672)
Net depreciation, amortisation and impairment of tangible and intangible non-current assets	(218,052)	(4,201)	(3,252)	(225,505)
Gross operating income	895,422	91,090	65,542	1,052,054
Cost of risk	(180,829)	0	(109)	(180,938)
Operating income	714,593	91,090	65,433	871,116
Share of profit of equity associates	0	206,793	0	206,793
Gains and losses on other assets	15,782	0	(22)	15,760
Goodwill	0	0	0	0
Pre-tax profit	730,375	297,884	65,411	1,093,670
Income tax	(285,742)	(42,600)	(21,646)	(349,988)
Consolidated net income	444,633	255,283	43,765	743,681
Non-controlling interests	17,048	13,778	6,044	36,870
NET INCOME, GROUP SHARE	427,585	241,505	37,722	706,811

Net Banking Income by business segment as at 31 December 2014

(€ '000s)	Retail Banking	Insurance	Asset management	Total restated
Net banking income	5,385,828	178,485	108,998	5,673,311
General operating expense	(4,317,886)	(90,801)	(58,141)	(4,466,828)
Net depreciation, amortisation and impairment of tangible and intangible non-current assets	(199,728)	(3,500)	(2,347)	(205,575)
Gross operating income	868,214	84,184	48,510	1,000,908
Cost of risk	(152,292)	(10,718)	0	(163,010)
Operating income	715,922	73,466	48,510	837,898
Share of profit of equity associates	0	198,980	0	198,980
Gains and losses on other assets	(620)	0	0	(620)
Goodwill	263	0	0	263
Pre-tax profit	715,565	272,446	48,510	1,036,521
Income tax	(282,149)	(34,944)	(17,481)	(334,574)
Consolidated net income	433,416	237,503	31,029	701,948
Non-controlling interests	14,877	9,635	250	24,761
NET INCOME, GROUP SHARE	418,539	227,868	30,779	677,186

9.2 Balance sheet items by business segment

Balance sheet items by business segment as at 31 December 2015

(€ '000s)	Retail Banking	Insurance	Asset management	Inter-segment eliminations	Total
SEGMENT ASSETS					
Cash and central banks	1,811,631	0	0	0	1,811,631
Financial assets at fair value through profit and loss	10,956,290	78,984	0	0	11,035,274
Hedging derivatives	1,228,567	0	0	0	1,228,567
Available-for-sale financial assets	14,888,765	2,062,104	84,568	(1,424,937)	15,610,500
Loans and receivables	156,722,023	5,755	26,420	(24,023)	156,730,175
Investments in associates	0	2,917,881	0	0	2,917,881
SEGMENT LIABILITIES					
Liabilities at fair value through profit and loss	657,456	0	0	0	657,456
Hedging derivatives	326,058	0	0	0	326,058
Inter-bank transactions and similar: Liabilities due to credit institutions	15,721,335	11,800	(121)	8,218	15,741,232
Receivables – Customer transactions	171,789,632	1,625	12,136	(32,241)	171,771,152
Debt securities	9,054,583	0	0	0	9,054,583

Balance sheet items by business segment as at 31 December 2014

(€ '000s)	Retail Banking	Insurance	Asset management	Inter-segment eliminations	Total
SEGMENT ASSETS					
Cash and central banks	1,949,649	0	0	0	1,949,649
Financial assets at fair value through profit and loss	9,623,876	49,820	0	0	9,673,696
Hedging derivatives	1,532,205	0	0	0	1,532,205
Available-for-sale financial assets	12,539,379	1,896,940	70,622	(1,404,967)	13,101,974
Loans and receivables	151,168,827	2,875	30,884	(31,348)	151,171,238
Investments in associates	0	2,836,602	0	0	2,836,602
SEGMENT LIABILITIES					
Liabilities at fair value through profit and loss	331,999	0	0	0	331,999
Hedging derivatives	432,195	0	0	0	432,195
Inter-bank transactions and similar: Liabilities due to credit institutions	15,155,470	2,544	(75)	(1,215)	15,156,724
Receivables – Customer transactions	167,928,057	657	12,136	(30,133)	167,910,717
Debt securities	9,390,578	0	0	0	9,390,578

NOTE 10 RELATED-PARTY DISCLOSURES

The parties related to La Banque Postale Group include the main managers of Le Groupe La Poste and the companies consolidated by that Group, wholly or jointly controlled subsidiaries, and companies over which the Group has a significant influence. La Banque Postale is an entity controlled by La Poste.

10.1 Relationships between consolidated entities

As transactions between La Banque Postale Group's fully consolidated entities are eliminated on consolidation, the data provided below refer only to reciprocal transactions with companies over which the Group exercises joint control in respect of the portion of those activities not eliminated on consolidation and to those companies over which it exercises a material influence.

(€ '000s)	31 December 2015			31 December 2014		
	With La Poste Group entities(1)	With La Banque Postale Group entities		With La Poste Group entities	With La Banque Postale Group entities	
		Proportional consolidation	Equity Method		Proportional consolidation	Equity Method
Interest	(3,156)	0	0	(1,959)	0	0
Commissions	15,012	0	532,617	13,679	0	569,283
Net income from other activities	(338,375)	0	10,587	1,529	0	21,454
NBI items shared with related parties	(326,519)	-	543,204	13,249	-	590,737
Breakdown of general operating expenses with related parties	(3,243,712)	12	-	(3,294,366)	-	-
Financial assets at fair value through profit and loss	17,068	0	0	0	0	0
Other assets	522,346	0	51,368	148,328	0	146,182
Total assets with related parties	539,414	-	51,368	148,328	-	146,182
Debt	1,186,669	100	0	1,459,636	111	0
Other financial liabilities	313,144	0	0	0	0	0
Other liabilities	67,794	0	133,936	86,831	0	121,566
Total liabilities with related parties	1,567,607	100	133,936	1,546,467	111	121,566
Commitments given	650,000	0	23,614	575,000	0	23,683
Commitments received	0	0	269,314	115	0	138,927
Total commitments shared with related parties	650,000	-	292,928	575,115	-	162,610

10.2 Managers' remuneration

The Group treats members of the Executive Board and the members of the Executive Committee as related parties according to the meaning of IAS 24.

Executive Board members have no contract of employment with La Banque Postale. They therefore receive no remuneration other than that paid in respect of their appointment as company officers. Likewise, they receive no remuneration in respect of their appointments as company officers of subsidiaries of La Banque Postale Group.

Philippe Wahl received a remuneration amount from La Poste due to the fact that he has an employment contract, which was made

necessary by the Post Office Banking system that appointed him Head of the La Poste Financial Services Department (Financial Centres). This remuneration has been included in the amounts presented below.

The remuneration of Management Board members consists of a yearly fixed remuneration component, which may be increased by a yearly capped variable component.

The total gross remuneration paid to members of the Management Board was €960 thousand as at 31 December 2015 and €1.029 million as at 31 December 2014.

The remuneration paid to members of the Executive Committee other than members of the Executive Board, is detailed below:

(€ '000s)	31.12.2015	31.12.2014
Remuneration and benefits in kind	5,191	4,819
Post-employment benefits	726	788
TOTAL	5,917	5,607

These items may be supplemented by severance compensation in the event that their appointments at La Banque Postale are terminated.

NOTE 11 STATUTORY AUDITORS' FEES

For the 2015 financial year:

(amount excluding tax, in € '000s)	Statutory auditors of La Banque Postale				Other auditor taking part in the audit of La Banque Postale Group	
	PricewaterhouseCoopers Audit		KPMG		Other audit firms	
	Amount	%	Amount	%	Amount	%
Statutory audit duties, review of the separate and consolidated financial statements	826	56%	662	91%	391	98%
Parent company	408	28%	400	55%	0	0%
Fully consolidated subsidiaries	418	28%	262	36%	391	98%
Other services relating directly to the Statutory auditors' remit	643	43%	61	8%	1	0%
Parent company	634	43%	50	7%	0	0%
Fully consolidated subsidiaries	9	1%	11	2%	1	0%
Other services	12	0%	7	0%	6	0%
Parent company	0	0%	0	0%	0	0%
Fully consolidated subsidiaries	12	1%	7	1%	6	2%
TOTAL	1,481	100%	730	100%	398	100%

For the 2014 financial year:

(amount restated excluding tax, in € '000s)	Statutory auditors of La Banque Postale				Other auditor playing an important role in the audit of La Banque Postale Group		Other auditor taking part in the audit of La Banque Postale Group	
	PricewaterhouseCoopers Audit		KPMG		Mazars		Other audit firms	
	Amount	%	Amount	%	Amount	%	Amount	%
Statutory audit duties, review of the separate and consolidated financial statements	694	85%	488	78%	422	72%	7	100%
Parent company	332	40%	326	52%	0	0%	7	100%
Fully consolidated subsidiaries	362	44%	162	26%	422	72%	0	0%
Other services relating directly to the Statutory auditors' remit	103	13%	139	22%	1	0%	0	0%
Parent company	89	11%	126	20%	0	0%	0	0%
Fully consolidated subsidiaries	14	2%	13	2%	1	0%	0	0%
Other services	23	0%	0	0%	164	28%	0	0%
Parent company	0	0%	0	0%	164	28%	0	0%
Fully consolidated subsidiaries	23	3%	0	0%	0	0%	0	0%
TOTAL	820	100%	627	100%	587	100%	7	100%

NOTE 12 SCOPE OF CONSOLIDATION

Companies	Nationality	Method ⁽¹⁾	Movements	% Control	% Interest	Method	% Control	% Interest
				31.12.2015	31.12.2015	31.12.2014	31.12.2014	31.12.2014
RETAIL BANKING								
La Banque Postale	French	Parent	-	100.00	100.00	Parent	100.00	100.00
SCI CRSF DOM ⁽²⁾	French	Full	-	99.94	99.94	Full	99.94	99.94
SCI CRSF Métropole ⁽²⁾	French	Full	-	99.99	99.99	Full	99.99	99.99
SCI Tertiaire Saint Romain ⁽²⁾	French	Full	-	100.00	100.00	Full	100.00	100.00
SF2	French	Full	-	100.00	100.00	Full	100.00	100.00
La Banque Postale Financement	French	Full	-	65.00	65.00	Full	65.00	65.00
La Banque Postale Crédit Entreprises	French	Full	-	100.00	100.00	Full	100.00	100.00
EasyBourse	French	Full	-	100.00	100.00	Full	100.00	100.00
FCT Elise 2012	French	Full	-	95.00	95.00	Full	95.00	95.00
BPE ⁽³⁾	French	Full	-	99.99	99.99	Full	99.99	99.99
La Banque Postale Collectivités Locales	French	Full	-	65.00	65.00	Full	65.00	65.00
La Banque Postale Home Loan SFH	French	Full	-	100.00	100.00	Full	100.00	100.00
SOFIAP	French	Full	-	66.00	66.00	Full	66.00	66.00
INSURANCE								
CNP Assurances group	French	Equi.	-	36.25	20.15	Equi.	36.25	20.15
La Banque Postale Prévoyance	French	Full	-	50.00	50.00	Full	50.00	50.00
La Banque Postale Conseil en Assurances	French	Full	-	100.00	100.00	Full	100.00	100.00
Sopassure	French	Join	-	50.02	50.02	Join	50.02	50.02
La Banque Postale Assurances IARD	French	Full	-	65.00	65.00	Full	65.00	65.00
La Banque Postale Assurances Santé	French	Full	-	51.00	51.00	Full	65.00	65.00
ASSET MANAGEMENT								
La Banque Postale Gestion Privée ⁽³⁾	French		Merged	-	-	Full	100.00	100.00
La Banque Postale Asset Management	French	Full	-	70.00	70.00	Full	100.00	100.00
La Banque Postale Structured Asset Management	French	Full	-	70.00	70.00	Full	100.00	100.00
Ciloger	French	Full	Incorporation	90.00	90.00	-	-	-
Fédéris	French	Full	Incorporation	70.00	70.00	-	-	-
Tocqueville Finance Holding	French	Full	-	92.56	92.56	Full	92.52	92.52
Tocqueville Finance SA	French	Full	-	99.89	92.46	Full	99.89	92.42

- (1) Consolidation method:
GLOB: Full consolidation
EQUI: Consolidation using the equity method
CONJ: Joint control recognised on the basis of a proportionate share of assets, liabilities and income held
NI: Not incorporated
- (2) Limited Property Investment Partnerships (SCIs), which own the Bank's operating properties.
- (3) La Banque Postale Gestion Privée was absorbed by BPE on 1 January 2015.

NOTE 13 IFRS 12: DISCLOSURE OF INTERESTS IN OTHER ENTITIES

La Banque Postale Group consists of 25 consolidated entities including one partnership, Sopassure, one significant associated company, the CNP Assurances group consolidated by the equity method and one structured entity (Fonds commun de titrisation Elise). 9 subsidiaries

are fully owned by the Group with 100% interest (in terms of capital) either directly or indirectly. Non-controlling interests are present in 11 consolidated subsidiaries.

1.1 Consolidated subsidiaries

As at 31 December 2015, La Banque Postale Prévoyance, La Banque Postale Financement, and La Banque Postale Asset Management and La Banque Postale Assurances Santé, were determined as being companies with significant non-controlling interests in La Banque Postale Group, either in terms of equity or in terms of income.

In accordance with IFRS chapter 12.B11, the data below is presented as a contribution before elimination of reciprocal transactions.

La Banque Postale Prévoyance

The company is 50% owned by CNP and 50% by SF2, a wholly-owned subsidiary of La Banque Postale S.A. Minority shareholders hold 50% of the voting rights. The contributory balance sheet excluding elimination of reciprocal transactions as at 31.12.2015 is as follows:

(€ '000s)	31.12.2015
ASSETS	
Financial held-for-trading assets	32,465
Available-for-sale financial assets	1,896,524
Overnight accounts and loans – Credit institutions	1,072
Accruals	9,905
Sundry assets	128,812
Other insurance assets and reinsurance companies' share of underwriting provisions	105,545
Intangible assets	158,290
Property, plant and equipment	905
Gross amounts of goodwill	94,300
TOTAL ASSETS	2,427,818

(€ '000s)	31.12.2015
LIABILITIES	
Overnight liabilities due to credit institutions	4,275
Tax liabilities	98,482
Accruals	55,672
Sundry liabilities	42,490
Other liabilities of the insurance business	60,523
Underwriting provisions of insurance companies	1,609,481
Shadow	99,890
Provisions	1,786
Non-controlling interests in equity	205,639
Equity, Group share	249,580
TOTAL LIABILITIES	2,427,818

Net income as at 31 December 2015 is €32,228 thousand, of which €16,961 thousand in non-controlling interests. Dividends paid to non-controlling interests are €9,588 thousand for the 2015 financial year.

La Banque Postale Financement

The company is 65% owned by La Banque Postale and 35% owned by Franfinance. The contributory balance sheet excluding elimination of reciprocal transactions as at 31 December 2015 is as follows:

(€ '000s)	31.12.2015
ASSETS	
Overnight accounts and loans – Credit institutions	431,011
Long-term loans and receivables – Customers	4,380,318
Financial assets held to maturity	384,113
Tax assets	10,125
Accruals	13,422
Sundry assets	2,348
Intangible assets	7,898
Property, plant and equipment	2,414
TOTAL ASSETS	5,231,649
(€ '000s)	31.12.2015
LIABILITIES	
Overnight liabilities due to credit institutions	4,691,667
Overnight liabilities to customers	689
Tax liabilities	1,167
Sundry liabilities	26,358
Provisions	1,190
Non-controlling interests in equity	0
Equity, Group share	510,578
TOTAL LIABILITIES	5,231,649

Net income as at 31 December 2015 is €48,330 thousand, of which €16,916 thousand in non-controlling interests. No dividend was paid.

La Banque Postale Assurance Santé

The company is 51% owned by La Banque Postale, 35% by Mutuelle Générale and 14% by Malakoff Médéric. The contributory balance sheet excluding elimination of reciprocal transactions as at 31 December 2015 was as follows:

(€ '000s)	31.12.2015
ASSETS	
Financial held-for-trading assets	28,218
Available-for-sale financial assets	23,724
Overnight accounts and loans – Credit institutions	605
Accruals	443
Sundry assets	1,339
Other insurance assets and reinsurance companies' share of underwriting provisions	8,080
Intangible assets	642
Property, plant and equipment	13
TOTAL ASSETS	63,064
(€ '000s)	31.12.2015
LIABILITIES	
Overnight liabilities due to credit institutions	-
Tax liabilities	620
Accruals	481
Sundry liabilities	9,173
Other liabilities of the insurance business	4,438
Underwriting provisions of insurance companies	12,222
Non-controlling interests in equity	5,297
Equity, Group share	30,833
TOTAL LIABILITIES	63,064

Net income as at 31 December 2015 is €2,584 thousand, of which €1,068 thousand in non-controlling interests. No dividend was paid.

La Banque Postale Asset Management

The company is 70% owned by La Banque Postale, 25% by Aegon and 5% by Malakoff Médéric. The contributory balance sheet excluding elimination of reciprocal transactions as at 31 December 2015 was as follows:

(€ '000s)	31.12.2015
ASSETS	
Overnight accounts and loans – Credit institutions	2,494
Available-for-sale financial assets	(13,767)
Tax assets	7,829
Accruals	1,056
Sundry assets	28,720
Intangible assets	5,329
Property, plant and equipment	1,486
Gross amounts of goodwill	24,810
TOTAL ASSETS	57,957

(€ '000s)	31.12.2015
LIABILITIES	
Overnight liabilities due to credit institutions	-
Tax liabilities	-
Accruals	35
Sundry liabilities	36,024
Provisions	250
Non-controlling interests in equity	23,789
Equity, Group share	(2,141)
TOTAL LIABILITIES	57,957

Net income as at 31 December 2015 is €30,100 thousand, of which €4,361 thousand in non-controlling interests. Dividends paid to non-controlling interests are €3,165 thousand for the 2015 financial year.

Statutory, contractual or regulatory restrictions may limit the Group's ability to access or transfer certain assets freely to or from other Group entities or to use them and settle the Group's liabilities.

La Banque Postale Group also identified the following points:

- ▶ the Group has made or has committed to make securities repurchase agreements, and pledges securities in favour of the Banque Centrale and Crédit Logement (see Note 3.14 and Note 5);
- ▶ the Group pledges home loans in order to hedge bond issues made by the Group's home finance company (La Banque Postale Home Loan SFH) in favour of holders (see Note 5);
- ▶ the Group has granted capital and performance guarantees to holders of UCITS units issued by the Group (see Note 3.14 and Note 5);
- ▶ the financial assets of insurance subsidiaries locked for the benefit of policy-holders (listed under shadow accounting in liabilities on the balance sheet) and in connection with the acceptance of risk reinsurance (see Note 3.4 and 3.18);
- ▶ guarantee deposits;
- ▶ pledges of securities relating to reinsurance contracts.

Consolidated structured entities

Pursuant to IFRS 10 and 11, and with regard to consolidation thresholds, La Banque Postale Group includes a consolidated structured entity, the securitisation mutual fund "FCT Elise 2012".

The "FCT Elise 2012" entity came within the scope of consolidation in October 2012. This is a French fund whose debt is 95% owned by La Banque Postale and 5% by Crédit Foncier de France.

This fund's assets include zero-interest loans granted to individual customers of La Banque Postale prior to 2010 (the launch date of the commercialisation of zero-interest loans in the Bank's balance sheet). As at 31 December 2015, it represents a total of about €597 million. This fund is fully consolidated.

Partnership

Sopassure is a French entity that is 50% owned by La Banque Postale Group. Meeting the definition of a "joint enterprise", it is presented in the Group's consolidated financial statements on the basis of a proportionate share of assets, liabilities and income held.

The shareholders' agreement established between La Banque Postale and its partner, sets out the conditions for implementation of a joint arrangement and, pursuant to the operating method of the holding company's governance bodies, outlines the direct rights of individual partners on the interest of CNP Assurances, the main asset of Sopassure.

Sopassure has legal reserves that bind the Group to the payment of dividends.

Investments in associates

The state, the Caisse des dépôts, BPCE, Le Group La Poste and Sopassure form a shareholders' agreement on CNP Assurances. This agreement was due to expire on 31 December 2008 and was extended until 31 December 2015 as part of the agreements reached between the partners in June 2006. The commercial agreements that bind CNP Assurances to Caisses d'Épargne and La Banque Postale were also extended to end-2015. Pursuant to the contribution agreement

between La Poste and La Banque Postale, the bank took over the rights and obligations arising from this pact in place of La Poste.

La Banque Postale Group has significant influence on the CNP Assurances group with a percentage stake of 20.15% (including an option to purchase a further 2.01%) as at 31 December 2015.

Detailed information on CNP, the only associate company of La Banque Postale Group, is published in its Registration Document

available at <http://www.cnp.fr/Le-Groupe/Nos-publications/Les-documents-de-reference>.

All the information pertaining to CNP's profit and loss statement and balance sheet can be found in Note 3.11. As regards the statement of comprehensive income, this information is available in the appropriate note at the beginning of this document.

Reconciliation of financial information with the value obtained using the equity method:

(€ millions)	31.12.2015	31.12.2014
Equity, Group share	17,113	16,680
Restatement	(2,688)	(2,658)
Equity as a percentage of interest	2,906	2,825
Net goodwill	12	12
Valuation of associates consolidated using the equity method on the balance sheet	2,918	2,837
Market value	8,542	10,110

Non-consolidated structured entities

As at 31 December 2015, La Banque Postale Group identified the following two groups:

- securitisation; and
- asset management.

Structured entities with financial interests

By nature of operations	Securitisation Carrying amount	Asset management
Selected financial assets recognised on the balance sheet	28,000	3,472
Derivatives		2
Equity instruments		
Debt securities		
Loans and advances	28,000	3,470
Selected financial liabilities and equity recognised on the balance sheet	-	18
Equity instruments issued		
Derivatives		6
Deposits		12
Debt securities issued		
Off-balance sheet items		
Income and losses	-	23,736
Recurring income		23,736
Non-recurring income		

The maximum exposure to risk of loss is, in most cases, limited to units held in funds, with the exception of funds in which La Banque Postale guarantees capital and performance.

In terms of the funds managed by La Banque Postale Structured Asset Management, and given the structuring of derivatives, the guarantee may only be exercised in the event of the default of the providers of performance swaps. The counterparties are market counterparties and the risk of default may be considered as low.

La Banque Postale has issued a capital guarantee for two of the Group's funds that were affected by the restructuring of Greek debt. The first fund matured in January 2014, and the second on 16 January 2015, with no impact on net profit.

Information on structured entities with no financial link

Funds defined as sponsors are those structured by a management company controlled principally by the Group: La Banque Postale Structured Asset Management, La Banque Postale Asset Management, Caffil, Tocqueville, Ciloger and Fédérès.

Income drawn by the Group on these entities stands at €93.7 million and consist mainly of €84.5 million in management fees.

5.3 STATUTORY AUDITORS' REPORT ON THE CONSOLIDATED FINANCIAL STATEMENTS

Financial year ending 31 December 2015

To the Shareholders,

La Banque Postale S.A.
115, rue de Sèvres
75275 PARIS Cedex 06

In accordance with the terms of the assignment entrusted to us by your Annual General Meeting, we hereby submit our report on the financial year ending 31 December 2015, regarding:

- ▶ our audit of the consolidated financial statements of LA BANQUE POSTALE S.A., as appended to this report;
- ▶ the justification of our assessments;
- ▶ the specific verification required by French law.

The consolidated financial statements were prepared by the Executive Board. Our role is to issue an opinion on those financial statements, based on our audit.

I – Opinion on the consolidated financial statements

We have conducted our audit in accordance with the professional standards applicable in France. These standards require that we implement procedures to obtain reasonable assurance that the consolidated financial statements are free of material misstatements. An audit involves examining, by means of spot checks and other selection methods, the evidence supporting the amounts and disclosures shown in the consolidated financial statements. It also involves assessing the accounting principles used, the significant estimates made and the overall presentation of the financial statements. We believe that the evidence we have gathered in order to form our opinion is sufficient and relevant.

We hereby certify that the consolidated financial statements for the financial year present a true and fair view of the net assets, financial position, and profit of the entity formed by the consolidated companies, in accordance with IFRS, as adopted by the European Union.

II – Justification of assessments

Pursuant to the provisions of Article L. 823-9 of the French Commercial Code pertaining to the documentation supporting our findings, we would like to bring the following information to your attention:

Impairment charges and provisions for credit and counterparty risk

Your Group recognises impairments and provisions to cover the credit and counterparty risk that is inherent in its business activities (Notes 1.6.2.1, 3.7 and 4.7 to the financial statements). We have examined the control procedures for monitoring risk, for the processes for identifying exposure, for impairment and provision methods, for risk assessment and the hedging of those risks via individual and collective impairment charges and provisions.

Valuation and impairment of financial instruments

Your Group holds positions in securities and other financial instruments. Notes 1.6.2.2 to 1.6.2.9 to the consolidated financial statements set out the accounting policies relating to securities and financial instruments. We have examined the control procedures for the accounting classification of these positions, and for determining the parameters used to value them. We have verified the appropriateness of the accounting methods selected by the Group and of the information provided in the notes to the financial statements, and have satisfied ourselves that they are applied correctly.

Your Group recognises impairments on available-for-sale financial assets: for equity instruments when there is an objective indication of a prolonged or significant drop in the value of these assets and for debt instruments where there is a proven counterparty risk (Notes 1.6.2.3, 1.6.2.4 and 3.7 to the financial statements). We have examined the control procedures for assessing these risks and for identifying evidence of loss of value, and we have reviewed the valuation of the most significant accounting items, and the estimates that resulted in using impairments to cover losses of value, where applicable.

Liabilities related to insurance contracts

Your Group makes underwriting provisions in order to cover the risks stemming from insurance contracts (Notes 1.5.3 and 3.18 to the financial statements). We have examined the methodology used to assess these liabilities as well as the main assumptions and parameters applied.

Analysis of contingency and loss provisions

Your Group records provisions as liabilities in the balance sheet, as indicated in Notes 1.6.5, 1.6.6 and 3.19 to the financial statements. Our work included assessing the data and assumptions on which these estimates are based, reviewing the calculations performed by the Company, and examining the procedures for approval of these estimates by management. More specifically, with respect to the provision intended to cover the risk of potentially unfavourable consequences of the commitments under Home Savings contracts, we have also examined the control procedures for checking the models and determining the parameters used.

Our assessments were made in the context of our audit of the consolidated financial statements, taken as a whole, and therefore assisted us in reaching our opinion as expressed in the first part of this report.

III – Specific checks

In accordance with the professional standards applicable in France, we have also performed specific checks on the information about the Group provided in the Group management report, in accordance with French law.

We have no observation to make regarding the fair presentation of this information, and its consistency with the consolidated financial statements.

Neuilly-sur-Seine and Paris la Défense, 22 February 2016

The statutory auditors

PricewaterhouseCoopers Audit

Agnès Hussherr
Partner

KPMG Audit

A division of KPMG SA

Marie-Christine Jolys
Partner

5.4 SEPARATE FINANCIAL STATEMENTS

5.4.1 Parent company balance sheet

(€ '000s)	Notes	31.12.2015	31.12.2014
ASSETS			
Cash and central banks	2.1	1,810,629	1,949,228
Government paper and similar securities	5	24,763,143	28,465,955
Receivables from credit institutions and similar	3.1	93,840,801	90,468,563
Customer transactions	4.1	58,721,383	55,879,503
Bonds and other fixed-income securities	5	24,681,881	22,466,338
Equities and other variable-income securities	5	812,985	862,276
Equity investments and other long-term securities	6.2	73,418	7,658
Holdings in related companies	6.1	1,769,943	1,769,956
Intangible assets	7	304,358	315,458
Property, plant and equipment	7	547,245	569,715
Other assets	8.1	1,538,365	1,101,399
Accruals	8.1	1,478,764	1,275,668
TOTAL		210,342,914	205,131,717
LIABILITIES			
Central banks	2.2		
Liabilities due to credit institutions and similar	3.2	19,615,769	18,344,478
Customer transactions	4.2	171,074,497	167,175,981
Debt securities	5.3	5,810,690	6,896,256
Other liabilities	8.2	2,070,619	2,350,050
Accruals	8.2	2,186,347	1,677,455
Provisions	9	915,070	939,149
Subordinate debt	11	3,058,367	2,310,341
General banking risk fund (GBRF)		22,000	22,000
Parent company shareholders' equity (excluding GBRF)	13	5,589,555	5,416,007
▶ Subscribed capital		4,046,408	4,046,408
▶ Issue and transfer premiums		16,719	16,719
▶ Reserves		457,909	449,676
▶ Revaluation differences			
▶ Regulated provisions and capital grants		3	3
▶ Retained earnings		590,256	738,552
▶ Profit/(loss) for the period		478,261	164,649
TOTAL		210,342,914	205,131,717

5.4.2 Parent company net profit

(€ '000s)	Notes	31.12.2015	31.12.2014
Interest and similar income:			
▶ Cash and inter-bank transactions	18	1,476,715	1,734,672
▶ Receivables – Customer transactions	19	1,775,467	1,852,640
▶ Bonds and other fixed-income securities	20	1,142,996	1,360,752
▶ Other interest and similar income	21	207,633	102,761
Interest and similar expenses:			
▶ Cash and inter-bank transactions	18	(41,132)	(91,609)
▶ Receivables – Customer transactions	19	(1,551,751)	(1,805,937)
▶ Bonds and other fixed-income securities	20	(154,680)	(232,141)
▶ Other interest and similar expenses	21	(88,509)	(43,755)
Income from variable-income securities	22	223,306	128,228
Commissions (income)	23	2,409,108	2,279,754
Commissions (expenses)	23	(253,824)	(257,341)
Gains or losses on trading portfolio transactions	24	67,266	(121,046)
Gains or losses on investment portfolio transactions and similar	25	27,765	86,710
Other bank operating income	26	48,050	50,074
Other bank operating expenses	26	(81,894)	(96,683)
Net banking income		5,206,517	4,947,078
General operating expenses:			
▶ Employee benefits expenses	27	(311,385)	(302,595)
▶ Other general operating expenses	28	(3,937,502)	(3,963,172)
▶ Re-invoicing	29	84,346	56,662
Depreciation, amortisation and impairment charges on tangible, and intangible non-current assets	30	(187,800)	(171,750)
Gross operating income		854,176	566,223
Cost of risk	31	(120,003)	(90,102)
Operating income		734,173	476,121
Gains or losses on non-current assets	32	3,015	(648)
Pre-tax profit		737,187	475,473
Non-recurring items			
Income tax	33	(258,927)	(310,824)
Net allocations to the GBRF and regulated provisions			
Parent company net income		478,261	164,649
Parent company net earnings per share (in euros)		13.59	4.68

5.4.3 Parent company off-balance-sheet statement

(€ '000s)	31.12.2015	31.12.2014
Financing and guarantee commitments and commitments on securities given		
► Financing commitments		
– to credit institutions	511,054	689,907
– to customers	15,799,630	16,567,555
► Guarantees		
– to credit institutions	291,547	369,669
– to customers	3,900,070	3,215,416
► Commitments on securities		
– deliverable securities	1,396,417	1,030,185
Financing and guarantee commitments and commitments on securities received		
► Financing commitments		
– from credit institutions	1,470,165	2,537,198
– from customers	900,569	740,000
► Guarantees		
– from credit institutions	27,130,328	28,658,312
– from customers	6,509,078	7,382,285
► Commitments on securities		
– securities receivable	378,772	98,797
Other commitments given and received		
► Other commitments given	7,261,779	6,635,475
► Other commitments received	630,018	

Off-balance sheet commitments relating to cash and forward foreign exchange transactions and to loans and/or borrowings are described in Note 14.

Off-balance sheet commitments relating to forward financial transactions are described in Note 15.

Crédit Logement commitment: La Banque Postale has committed to maintain Crédit Logement's basic equity capital at a level equivalent to their holding in the company, *i.e.* 9.95%, so that the company can maintain its solvency ratio.

Furthermore, La Banque Postale has undertaken to replenish, if necessary, Crédit Logement's mutual guarantee funds, which underwrite borrower defaults on loans secured by the company. The amount of this commitment, which is equivalent to the portion of amounts outstanding granted by the La Poste network, amounted to €291.546 million as at 31 December 2015.

The financing commitments received from customers and deliverable securities largely correspond to repurchase agreements with UCITS.

The guarantees received from credit institutions are made up, for €27,108 million, of endorsements received from Crédit Logement.

The guarantee commitments received from customers (€6,509 million) correspond to the identification of the sureties received on the Bank's issued home loans by guarantee companies other than Crédit Logement.

Other commitments given: La Banque Postale pledges part of its financial assets for the 3G refinancing line with Banque de France (€1,375.132 million), with Crédit Logement (€194.883 million), and part of its outstanding home loans with its home loans company, LBP Home Loan SFH for €5,691.763 million.

Other commitments: La Banque Postale received a project refinancing commitment (colleges, hospital, optical fibre) from the EIB for a total amount of €400 million.

Detailed summary of notes

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NOTE 1 ACCOUNTING PRINCIPLES AND METHODS

Principal valuation and presentation rules applying to the separate financial statements

The separate financial statements have been drawn up in accordance with the general accounting principles applicable to credit institutions in France.

La Banque Postale, which is wholly owned by La Poste, is consolidated in that company's financial statements and is part of its tax consolidation scope. Given the terms of the agreement, the

tax charge recorded in La Banque Postale's financial statements is identical to the charge that would be recorded in the absence of any tax consolidation.

Furthermore, La Banque Postale draws up the consolidated financial statements, of which it is the parent company.

Policy changes and comparability

1 Policy changes

There were no policy changes in the year just ended. The regulations that came into effect in 2015 had no impact on the financial statements. The French National Accounting Authority (ANC) Regulation 2014-07 of 26 November 2014 incorporates in a single text all the accounting regulations applicable to banking establishments while leaving the accounting prescriptions unchanged.

2 Comparability of financial years

Where the balance sheet, income statement and off-balance sheet statement are concerned, the data shown for the 2015 financial year are directly comparable to those for the previous financial year.

Presentation and valuation rules

1 Foreign currency transactions

In accordance with ANC Regulation 2014-07, the assets, liabilities and off-balance sheet commitments denominated in foreign currencies are converted on the spot exchange rate on the last day of the period.

Foreign exchange gains and losses arising on day-to-day transactions entered into in foreign currencies are recognised through profit and loss.

Forward currency hedging transactions are recognised in the off-balance sheet statement. The position is originally recorded on the basis of the cash exchange rate, then the swap points (the difference between the forward rate and the cash rate) are recognised in profit and loss on a pro rata basis.

2 Receivables – Credit institutions and customers – Signed commitments

Credit institution and customer receivables are broken down according to their initial maturity, or the nature of the receivable: demand receivables (ordinary accounts and day-to-day transactions) and long-term receivables (loans, transactions relating to pensions) for credit institutions; commercial receivables, current accounts, short-term credit facilities, equipment lease or home loans and other customer loans. These receivables include loans granted and current accounts in debit, as well as securities received via repo agreements and borrowed securities.

The sureties received are recorded in the off-balance sheet statement and revaluated on a regular basis. In any case, the recorded amount of surety received is limited to the carrying amount of the loan.

The credit risk (credit institution and customer receivables, fixed-income securities, signed commitments and financial instruments) is processed in accordance with the provisions of ANC Regulation 2014-07.

The credit risk for a given counterparty is characterised by the existence of a potential loss relating to the possibility of that counterparty defaulting on the commitments that it has entered into.

The monitoring of receivables is based on an expert system, which uses external or internal ratings or a mix of the two, depending on the category of customers (individuals, corporate customers, etc.).

Loans

Loans are recorded under assets at their repayment value. The corresponding interest is recognised through profit and loss on a pro rata basis.

Doubtful receivables

The doubtful receivables downgrading process applies to unauthorised overdrafts, home loans and consumer credit business, lease finance and loans to corporate customers.

Receivables where the recovery outlook has deteriorated significantly are specifically identified as doubtful non-performing loans within the doubtful loans category.

The downgrading of unauthorised overdrafts applies to active and closed accounts. The effect of downgrading unauthorised overdrafts on active accounts is to downgrade performing loans to doubtful loans. Downgrades are performed on a monthly basis, and factor in the amount and length of the overdraft for each account. The effect of closing the account is to downgrade the receivable to a doubtful non-performing loan. Receivables for very small amounts are immediately expensed as losses.

Receivables for which the institution sees a probable risk of not receiving all or part of the amounts payable in respect of the commitments entered into by the counterparty are classified as doubtful.

Loans are downgraded to performing doubtful status within three months of the occurrence of one or more missed payments (six months for home loans and public sector entities), or in cases where an over-indebtedness plan has been requested from the Banque de France even though these loans present no payment default.

They must be identified when their term expires or when the relationship with the counterparty is terminated (in the case of undated receivables). In addition, loans are automatically downgraded to non-performing doubtful status one year after being classified as doubtful.

By applying the contagion principle, all loans outstanding to the same beneficiary are downgraded to 'doubtful receivables' as soon as one loan to that beneficiary is downgraded within the Group.

Doubtful home loans can be reclassified in performing loans when all arrears have been paid and regular payment of the amounts corresponding to the contractual instalments have been made again, for a period of at least two months.

Loans that are deemed definitely unrecoverable are recorded under losses, while the corresponding impairment charges are reversed.

Forborne loans

Forborne loans are receivables for which the entity has modified the original financial conditions due to the borrower's financial difficulties.

Generally, restructuring consists of an extension or deferment of the maturity period.

Any discount recorded when restructuring a debt is recorded in cost of risk. It is the difference between the nominal value of the debt before the restructuring and the discounted value at the original effective rate of the new expected future flows.

For unimpaired forborne loans, this discount is recognised as a decrease in loans and is added back to the interest margin on the remaining period of the loans in question, according to an actuarial calculation method.

Doubtful forborne loans can be reclassified as performing loans where they comply with the terms of restructuring. Restructured receivables are identified within outstanding loans. When the debt, restructured vis-à-vis its initial conditions, goes unpaid once again, the debt is downgraded as doubtful receivables regardless of the restructuring conditions.

Impairment of loans on an individual basis

The Group begins by identifying whether there is objective evidence of an event occurring after a loan – or group of loans – was granted that is likely to lead to a loss of value. These may be loans that are at least two months in arrears, outstanding debts that are already the object of a disputed recovery process, or when the financial position of the counterparty has deteriorated and is reflected in a risk of non-recovery.

An impairment is then recorded on the difference between the carrying amount and the net present value of the expected cash flows, discounted at the original effective interest rate, and determined taking account of the financial position of the creditor and the present value of guarantees received. In the case of terminated non-performing loans backed by a guarantee where the amount outstanding is greater than a given minimum amount, an expert appraisal is performed in order to determine the amount of the provision. For amounts below that threshold and performing loans, a prudent estimate is made, which factors in the acquisition cost of the asset.

Loans guaranteed by a private individual or loans with no guarantee are impaired in full.

The amount of the impairment is recognised in "Cost of risk" in the income statement, and the value of the financial asset is reduced through recording an impairment charge.

Collective loan impairment

In addition, loans that are not impaired on an individual basis are analysed and impaired on a collective basis, where required. This process involves a group of "sensitive loans" which are a sub-category of performing loans: they present an initial indicator of default, but are not yet downgraded to doubtful.

These cases are provisioned on the basis of a likely downgrade, which is calculated based on historical observations. The risk of loss that takes the nature of the guarantee into account is calculated in the same way as for doubtful cases, and is the subject of a provision, based on the discounted recoverable cash flows.

The amount of the impairment is recognised in "Cost of risk" in the income statement, and the value of the financial asset is reduced through recording an impairment charge.

Impairment of overdrafts

The provisioning of unauthorised overdrafts applies to active and closed accounts. Downgrades are performed on a monthly basis, and factor in the amount and length of the overdraft for each account. Receivables for very small amounts are immediately expensed as losses.

Provisions recorded for doubtful loans on active accounts factor in the loan recovery performance for the year just ended according to the level of risk. For doubtful loans on closed accounts, the provisions are calculated according to a customer recovery rate based on longer track records.

The Bank examines the position of irregular debt, even when it falls within the authorised overdraft limits, as soon as it involves a counterparty considered as risky and exceeds 30 consecutive days, or else when a payment incident occurs. Impairments on these accounts are then recorded and change with the account balance. The contagion principle applies to other loans of the same category. Beyond a certain period, the account is declared closed.

Financing commitments

Financing commitments that are not viewed as derivative instruments are not shown on the balance sheet.

Guarantees

Guarantee commitments are valued according to the likelihood of these guarantees being exercised. Provisions are charged under liabilities.

Interest on doubtful loans is recorded in net banking income and is fully impaired. Impairment charges are recorded under cost of risk.

Securities received under repo agreements and borrowed securities

These securities are recorded under assets in an account that represents the receivable arising from them. The corresponding income is recorded in profit and loss for the financial year on a pro rata basis.

Securities received under repo agreements that are subsequently sold are recorded under securities-related debt under liabilities. They are valued at their market value at that point.

3 Securities

Securities are recorded on the balance sheet in accordance with their type:

- ▶ government paper (Treasury bills and similar securities);
- ▶ bonds and other fixed-income securities (negotiable debt securities, and inter-bank market securities);
- ▶ equities and other variable-income securities.

Applying the provisions of ANC Regulation 2014-07, these securities are recognised based on their destination portfolio, which corresponds to the economic purpose of holding them: transaction, held-for-sale, investment, equity holding securities and equity investments, other long-term securities and shares in related companies.

They are subject to specific valuation rules for each portfolio category, as described below.

In the event of proven credit risk, fixed-income securities recorded in the held-for-sale or investment portfolio are identified as doubtful, according to the same criteria as those applicable to doubtful receivables and commitments.

Trading securities

Trading securities include Treasury bills and negotiable debt securities, in addition to marketable securities. They are purchased or sold with the intention of reselling them or buying them back in the short term. They are traded on active markets.

Trading securities are recognised at their acquisition price on the date of acquisition, excluding expenses and including accrued interest, where applicable. They are valued at their latest market price at each accounting period. Any revaluation differences arising from this valuation are recorded in profit and loss.

Unrealised or realised gains or losses are recognised through profit and loss under the heading "Gains or losses on trading portfolio transactions".

The coupons received are recognised under interest income.

Trading securities which are no longer held with the intention of selling them in the short term can be transferred to the "held-for-sale securities" or "investment securities" categories, if:

- ▶ an exceptional market situation requires a change in the holding strategy;
- ▶ or if fixed-income securities can no longer be traded in an active market after their acquisition, and if the Bank has the capacity to hold them for the foreseeable future or until their maturity.

The securities thus transferred are recorded under their new category at the market value on the date of transfer.

If the characteristics of the market on which the trading securities were purchased change, such that this market can no longer be considered active, the institution determines the revalued value of the concerned securities by using valuation techniques that take the new characteristics of the market into consideration.

Held-for-sale securities

Held-for-sale securities include securities that do not meet the conditions for classification in the transaction or investment portfolios.

Held-for-sale securities are recorded at their acquisition price, excluding expenses, at the date they are acquired. They are managed on a "first-in, first-out" basis and valued as follows, according to homogeneous security groups and without offsetting the gains recorded on other categories of securities:

- ▶ bonds: unrealised losses compared with market value, calculated on the basis of the closing price, are recorded as an impairment;
- ▶ Treasury bills, negotiable debt securities and inter-bank market securities: impairment charges are recorded depending on the issuers' solvency and according to market indicators.

Gains on micro-hedging transactions are taken into account when calculating the impairment charges.

Potential premiums or discounts are spread over the residual life of the security on an actuarial basis.

Income from held-for-sale securities are recognised in the income statement under interest income for fixed income securities, otherwise under income from floating-rate securities.

Realised gains or losses as well as impairment provisions and reversals are recorded in the income statement under the heading "Gains or losses on investment portfolio transactions and similar".

Held-for-sale securities can be transferred to the investment securities category, if:

- ▶ an exceptional market situation requires a change in the holding strategy;
- ▶ if fixed-income securities can no longer be traded in an active market after their acquisition, and if the Bank has the capacity to hold them for the foreseeable future or until their maturity.

The securities thus transferred are recorded under their new category at the market value on the date of transfer.

In the absence of an active market, accounting valuation must be determined using valuation techniques. These techniques include the use of recent transactions performed in a normal competition environment. They are based on market data, on the fair value of substantially identical instruments, or on cash flow or option valuation discount models, and involve recognised valuation methods. The aim of a valuation process is to establish what the price of an instrument would be under normal market conditions. For example, the fair value of bonds or of variable-income securities and futures is determined by using quoted prices. The use of valuation techniques that are based on market data usually concerns over-the-counter derivatives, securities where income is taxed at source (treasury bills, certificates of deposit, etc.) and repo deposits.

Investment securities

Investment securities consist of fixed-income securities, or securities reclassified from the "Held-for-sale securities" or "Trading securities" category, with the clear intention of holding them until maturity. They are recorded at their acquisition price at the date they are acquired, excluding expenses.

Any unrealised losses that may exist between the carrying amount of the securities and their market price are not impaired. Conversely, when it is likely that the institution will not receive all or part of the repayment value when the securities mature, an impairment charge is recorded. The difference between the acquisition and repayment price of the securities (premium or discount) is amortised on an actuarial basis.

The interest from these securities is recognised in the income statement under interest income on fixed-income securities.

Impairment charge provisions or reversals are recognised in the income statement under the heading "Cost of risk".

In case of disposal or transfer of securities to another category constituting a significant amount compared to the total amount of the other investment securities held, they can no longer be classified under this category for the ongoing period and for the two subsequent financial years. All the securities held and classified under "Investment securities" are then reclassified under the "Held-for-sale securities" category. In exceptional market situations that necessitate a change of strategy, if the trading and held-for-sale securities were transferred to this category, the disposals realised before the maturity of these investment securities do not lead to the application of the rule of reclassification of other securities held, described above, if they can be traded once again on an active market.

Equity holdings

Equity holdings correspond to investments that are made on a regular basis, with a view to realising a medium-term capital gain, without any intention of investing in the expansion of the business assets on a long-term basis, or playing an active role in the operating management of the Company issuing the securities. They are recognised at their acquisition price.

An impairment charge is recorded to cover a permanent impairment in the value of the securities due to the intrinsic deterioration of the Company's situation.

Income from equity holding securities is recognised in the income statement under "Income from floating-rate securities". Realised gains or losses as well as impairment provisions and reversals are recorded in the income statement under the heading "Gains or losses on investment portfolio transactions and similar".

Equity investments, other long-term securities and holdings in related companies

Equity investments are valued at their acquisition cost.

Dividends received on these securities are recognised under the heading "Income from floating-rate securities".

They are valued at their value in use, which is estimated based on various criteria, such as net assets, the profitability outlook, and discounted future cash flows. An impairment charge is recorded in the event of permanent impairment of the Company's value in use. Charges net of write-backs, and gains or losses on the disposal of these securities are recognised in the "Gains and losses on non-current assets" item.

4 Tangible and intangible assets

Fixed assets are valued at their acquisition cost, to which initial fixtures and fittings costs may be added in the case of buildings.

As part of applying the provisions of ANC Regulation 2014-03, six components were selected for the Bank's operating properties: structural work, roofing, joinery and external works, major equipment items, small equipment items and fixtures and fittings, and land.

Depreciation is calculated on a straight-line basis over the likely useful life. Depending on their components, buildings are therefore amortised over periods ranging between 10 and 80 years:

- ▶ structural work: 80 years;
- ▶ roofing: 60 years;
- ▶ joinery and external works: 40 years;
- ▶ major equipment items: 20 years;
- ▶ small equipment items, and fixtures and fittings: 10 years.

Installations, and fixtures and fittings are usually depreciated over ten years.

When they meet the criteria for fixed assets, proprietary software packages are recognised at their development cost, including third-party expenses and employee benefits expense directly assigned to the project. They are usually amortised over three to five years.

5 Liabilities due to credit institutions, and customer accounts in credit

This debt includes deposits, agreed borrowings, securities assigned under repo agreements, and loaned securities.

Borrowings

Borrowings are recorded under liabilities at their repayment value. The corresponding interest is recorded through profit and loss on a pro rata basis.

Securities assigned under repo agreements

The arising liability is recorded under liabilities. The securities are kept in their original portfolio and continue to be valued according to the rules applicable to that portfolio. The corresponding interest is recorded through profit and loss on a pro rata basis.

6 Debt securities

Debt securities consists of negotiable debt securities issued by La Banque Postale.

Interest accrued and not received attached to these securities is included in a related debt account through profit and loss.

The issue costs are amortised on an actuarial basis over the term of the corresponding issues as well as the issue premiums and repayments.

7 Provisions

The following items are currently included under this heading:

- ▶ provisions recorded in order to meet employee-related commitments, which mainly correspond to retirement compensation;
- ▶ other provisions recorded pursuant to the provisions of ANC Regulation 2014-03 regarding the recognition of liabilities. These provisions are intended to cover contingencies and charges where the purpose is clearly specified, and where the amount or maturity cannot be accurately determined. The recording of such provisions is conditional on the existence of an obligation towards a third party at the year-end, and on the absence of an amount that is least equivalent expected as consideration from that third party;
- ▶ provisions to cover signed commitments, where the likelihood of a guarantee call has become very high;
- ▶ the home loan savings accounts (CEL) and home loan savings plan (PEL) offered to individual customers under the provisions of the law of 10 July 1965 include two stages: one where funds are gathered in the form of remunerated savings and another where they are used to grant home loans.

They generate two kinds of commitments for the lending institution:

- an obligation to remunerate future savings at a rate fixed at the opening of the account for an indefinite period for PEL accounts opened before 28 February 2011, and at a rate that is reviewed annually for new generation accounts;
- an obligation to grant customers who request it, a loan at a rate fixed when signing the agreement.

These commitments have potentially unfavourable consequences (Notice No. 2006-02 issued by the French National Accounting Council) for the Bank, and are the subject of provisions shown in the balance sheet liabilities (under "Provisions"); movements of these provisions are recorded in the net banking income interest margin.

The provisions are estimated on the basis of customer behaviour statistics and market data for each generation of plans, in order to cover any future expenses arising from the potentially unfavourable interest rate conditions attached to these products relative to the rates offered to retail customers on similar products where the remuneration is unregulated. The provisions only relate to the commitments for home loan savings accounts and plans that exist at the date the provision is calculated.

Provisions are calculated for each generation of home loan savings plans, without offsetting commitments for different generations of home loan savings plans, and for all the home loan savings accounts representing one generation.

At the savings stage, the commitments to be provisioned are evaluated according to the difference between average forecast savings deposits and minimum forecast savings deposits, both of which are determined on a statistical basis by factoring in historical observations on actual customer behaviour.

At the lending stage, the commitments to be provisioned include loans that have already been granted but not yet released at the year-end date, as well as future loans that are viewed as statistically

likely based on balance sheet deposits as at the calculation date, and on historical observations on actual customer behaviour.

A provision is recorded when the net present value of future income is negative for a given generation of loans.

That income is assessed relative to the rates offered to retail customers on equivalent savings and lending products that have the same term as the deposits and were agreed on the same day.

8 Subordinated debt

This item includes debt where repayment is only possible once other senior or secured creditors have been repaid in the event that the debtor's assets are liquidated.

Interest accrued and payable is included in a related debt account through profit and loss.

9 General banking risk fund

The aim of this fund is to counter operational risk and the expenses inherent to the banking and financial asset management business that cannot be covered elsewhere.

10 Transactions on forward financial instruments

Transactions involving interest rate, foreign exchange, or equity futures are recorded in accordance with the provisions of ANC Regulation 2014-07. Commitments relating to these transactions are recorded in the off-balance sheet financial statements at the nominal value of the contract.

The recognition of income or losses on these instruments depends on the management intention.

Macro-hedging transactions:

Income and expenses relating to macro-hedging transactions are recorded through profit and loss on a pro rata basis. An amount offsetting this entry is recorded in accruals until the date when the funds are received or disbursed.

The balances recorded when interest-rate futures arrangements are terminated are immediately recognised through profit and loss.

Micro-hedging transactions:

The income or expense from instruments that are assigned to hedge an item or a homogeneous group from the outset are recorded in profit and loss in a manner that is symmetrical to the hedged item's income or expense.

The balances recorded when interest-rate futures arrangements are terminated are immediately recognised through profit and loss.

Other transactions

These transactions are valued based on their market value at the reporting date.

Where over-the-counter transactions corresponding to isolated open positions are concerned, the income or loss is recorded on a pro rata basis, or when the contract unwinds, depending on their nature. Unrealised gains are not recognised. Potential unrealised losses, defined as the difference between estimated market value and carrying amount, are subject to a provision charge.

Unrealised or realised gains or losses on transactions performed on an organised market are recorded directly in net profit for the financial year.

11 Off-balance sheet commitments

The off-balance sheet statement mainly shows the financing commitments given (cash facilities, overdrafts, irrevocable financing commitments) and the guarantee commitments received or given, which have not led to fund movements.

Other commitments given correspond primarily to the fair value of securities pledged in favour of the European Central Bank as part of the financing commitment received from the latter or as part of collateral for loans in favour of the home loan company of LBP Group (La Banque Postale Home Loan SFH).

12 Employee-related commitments

Most of the employee-related commitments are covered by contributions that are expensed.

In the case of employees' rights to retirement compensation, which are not covered by insurance policies, pursuant to the preferential method specified in CNC Recommendation No. 03-R-01, these rights are provisioned according to an actuarial method that factors in the age and the seniority of the staff, life expectancies, and their likelihood of remaining at the Group until retirement age, as well as the estimated increase in remuneration.

The pension plan for contracted staff is characterised by payments to bodies that release the employer from any subsequent obligation, as the body is responsible for paying the amounts due to the employee. Therefore, once the contributions have been paid, no liability or commitment is shown in the Group's financial statements. Contributions paid to independent bodies are expensed in the period concerned.

The Amending Finance Act of 2006 introduced a reform of the way in which the pensions for government employees attached to La Poste Group were financed, which was applied retroactively as at 1 January 2006.

Under the scheme introduced in 2006, the Group pays an employer contribution, which discharges it of its liabilities. As a result, no provision for the retirement of civil servants is recorded in the financial statements.

13 Commission income and expenses

La Banque Postale recognises commissions in profit and loss depending on the services supplied and the way in which the financial instruments to which that service relates are recognised:

- Commissions paid for ongoing services are recognised in profit and loss over the length of the service (commissions on means of payment).
- Commissions paid for one-off services or for a major transaction are recognised in profit and loss in full when the service is provided or the transaction performed (account management commissions, commissions on payment issues).

14 Cost of risk

The cost of credit risk includes impairment charges and reversals on fixed-income securities and customer loans and receivables, as well as charges and reversals of impairment relating to guarantee commitments given, losses and discounts on receivables, and the recovery of amortised receivables.

15 Corporate income tax

Only the tax payable is recorded in the separate financial statements. The income tax expense indicated in the income statement corresponds to the corporate income tax payable for 2015.

The normal tax rate is 33.3%, plus a 3.3% social security contribution on earnings and a 10.7% exceptional contribution on earnings, i.e. an effective tax rate of 38%.

NOTE 2

2.1 Breakdown of cash and central banks

(€ '000s)	31.12.2015	31.12.2014
Cash	959,872	1,004,395
Central banks	850,711	944,789
Related receivables and central banks	46	44
CASH AND CENTRAL BANKS	1,810,629	1,949,228

2.2 Central banks – Liabilities

(€ '000s)	31.12.2015	31.12.2014
Central banks		
Related liabilities, central banks (creditors)		
CENTRAL BANKS		

NOTE 3

3.1 Debt payable to credit institutions and similar

(€ '000s)	31.12.2015	31.12.2014
Current accounts in debit	37,355	44,576
Overnight accounts and loans	3,612,859	
Securities borrowed overnight		
Securities received under repo agreements	556,572	1,501,530
Other securities borrowed		
Non-allocated securities	2,477	2,070
Doubtful receivables		4
Related receivables	2,501	5,348
Gross total	4,211,764	1,553,528
Impairment charges		(4)
Demand receivables – credit institutions	4,211,764	1,553,524
Term accounts and loans ⁽¹⁾	89,401,733	88,684,171
Securities received under repo agreements		
Other securities borrowed		
Subordinated loans ⁽²⁾	190,095	190,095
Doubtful receivables		
Related receivables	37,209	40,773
Gross total	89,629,036	88,915,039
Impairment charges		
Long-term receivables – credit institutions	89,629,036	88,915,039
DEBT PAYABLE TO CREDIT INSTITUTIONS AND SIMILAR	93,840,801	90,468,563

(1) including accounts opened with the CDC: The balances transferred to the CDC include Livret A, Sustainable Development and National Savings account balances. The balances transferred to the Caisse des dépôts et consignations (CDC) amounted to a total of €75,192.329 million in 2015 versus €77,961.406 million in 2014.

Including loans to subsidiaries of La Banque Postale Group: €12,249.860 million.

(2) These are subordinated loans granted to Crédit Logement to enable the company to comply with its regulatory capital commitments.

3.2 Liabilities due to credit institutions and similar

(€ '000s)	31.12.2015	31.12.2014
Current accounts in credit ⁽¹⁾	1,185,107	1,358,060
Overnight accounts and borrowings	47,763	
Securities loaned overnight		
Securities assigned under repo agreements		
Other amounts payable	15,600	17,130
Related Liabilities		
Demand liabilities to credit institutions	1,248,471	1,375,190
Term accounts and loans ⁽²⁾	4,909,846	3,594,495
Securities loaned		
Securities assigned under repo agreements	13,429,090	13,339,222
Related Liabilities	28,361	35,571
Long-term liabilities to credit institutions	18,367,298	16,969,288
LIABILITIES DUE TO CREDIT INSTITUTIONS AND SIMILAR	19,615,769	18,344,478

(1) Including with subsidiaries of La Banque Postale Group: €849,090 (€ '000s).

(2) Including with subsidiaries of La Banque Postale Group: €3,395,155 (€ '000s).

NOTE 4

4.1 Receivables – Customer transactions

(€ '000s)	31.12.2015	31.12.2014
Commercial receivables		
Current accounts in debit ⁽¹⁾⁽³⁾	872,569	866,514
Loans to financial customers		
Short-term credit facilities ⁽³⁾	1,275,344	966,218
Home loans	49,424,001	48,926,574
Equipment leases	3,210,395	2,609,995
Export credits	0	0
Other loans	1,001,829	895,338
Non-allocated securities ⁽²⁾	32,839	61,263
Securities received under repo agreements	3,126,355	1,747,820
Subordinated loans		
Lease transactions and similar		
Transactions with customers before impairment charges	58,943,332	56,073,723
Impairment relating to customer receivables		
► On current accounts in debit	(125,534)	(113,148)
► On customer loans	(96,415)	(81,073)
CUSTOMER TRANSACTIONS	58,721,383	55,879,503
Of which related receivables	120,693	134,967
Of which gross doubtful receivables	262,445	217,287
Of which gross non-performing doubtful receivables	254,581	219,588
Of which performing restructured receivables	21,483	32,908

(1) Amount of receivables relating to subsidiaries: €96.628 million.

(2) This item primarily represents receivables relating to transactions on mandate.

(3) Amount restated compared with the presentation in the 2014 annual report.

4.2 Liabilities – Customer transactions

(€ '000s)	31.12.2015	31.12.2014
Special overnight accounts	85,574,967	88,844,785
Long-term special accounts	26,393,109	23,716,032
Related Liabilities	13	
Special scheme savings accounts	111,968,089	112,560,817
Current accounts in credit ⁽¹⁾	53,769,753	50,090,611
Related liabilities	10,393	11,514
Current accounts in credit – customers	53,780,146	50,102,125
Customer financial borrowings	98,578	215,865
Term deposits in credit	1,076,596	702,649
Securities loaned		
Securities assigned under repo agreements	3,448,923	3,034,459
Other amounts payable to customers	699,875	551,247
Related Liabilities	2,290	8,819
Other liabilities to customers	5,326,262	4,513,039
CUSTOMER TRANSACTIONS	171,074,497	167,175,981

(1) Including €182.526 million with subsidiary companies versus €119.795 million in 2014.

NOTE 5

5.1 Financial transactions – Breakdown by category

(€ '000s)	31.12.2015				
	Trading securities	Held-for-sale securities	Investment securities	Equity holding securities	Total
GOVERNMENT PAPER AND SIMILAR SECURITIES⁽¹⁾					
Repayment value	225,651	3,098,069	20,419,693		23,743,413
Residual premiums/discounts		160,031	371,114		531,144
Related receivables		28,892	482,961		511,852
Impairment charges		(23,267)			(23,267)
Net book value	225,651	3,263,725	21,273,767		24,763,143
of which loaned securities		129,620	72,228		
of which listed securities	225,651	3,253,683	21,273,767		
BONDS AND OTHER FIXED-INCOME SECURITIES⁽¹⁾					
Repayment value	10,175,601	11,012,655	3,152,062		24,340,318
Residual premiums/discounts		185,258	(27,368)		157,890
Related receivables		128,139	71,683		199,822
Impairment charges		(16,149)			(16,149)
Net book value	10,175,601	11,309,903	3,196,377		24,681,881
of which loaned securities					
of which listed securities	2,587,733	10,035,511	2,373,231		
EQUITIES AND OTHER VARIABLE-INCOME SECURITIES					
Gross value		779,287		49,269	828,556
Related receivables					
Impairment charges		(11,247)		(4,324)	(15,571)
Net book value		768,041		44,945	812,985
of which loaned securities					
of which listed securities		500,679			
NET TOTAL BY PORTFOLIO TYPE	10,401,252	15,341,668	24,470,144	44,945	50,258,010

(1) Details of counterparty risk related to fixed-income securities are given in Note 17.

The balance sheet value of trading securities amount is indicated under "market value".

During the financial year 2015, no investment securities were transferred to investment portfolios.

During the 2015 financial year, the early repurchase of an investment security for €454 million took place complying with Article 7bis of CRB 90-01, and generated a capital gain of €4 million. No short-term investment securities were transferred to investment portfolios.

	31.12.2014				
(€ '000s)	Trading securities	Held-for-sale securities	Investment securities	Equity holding securities	Total
GOVERNMENT PAPER AND SIMILAR SECURITIES⁽¹⁾					
Repayment value	782,728	2,185,522	24,381,378		27,349,628
Residual premiums/discounts		41,441	423,954		465,395
Related receivables		51,917	599,015		650,932
Impairment charges					
Net book value	782,728	2,278,879	25,404,348		28,465,955
<i>of which loaned securities</i>					
<i>of which listed securities</i>	782,728	2,268,810	25,404,348		
BONDS AND OTHER FIXED-INCOME SECURITIES⁽¹⁾					
Repayment value	8,544,178	9,547,236	4,128,832		22,220,246
Residual premiums/discounts		66,936	(33,095)		33,841
Related receivables		140,960	72,487		213,447
Impairment charges		(1,196)			(1,196)
Net book value	8,544,178	9,753,936	4,168,224		22,466,338
<i>of which loaned securities</i>					
<i>of which listed securities</i>	2,984,403	8,261,206	3,268,136		
EQUITIES AND OTHER VARIABLE-INCOME SECURITIES					
Gross value		838,181		48,867	887,048
Related receivables					
Impairment charges		(20,435)		(4,338)	(24,773)
Net book value		817,747		44,529	862,276
<i>of which loaned securities</i>					
<i>of which listed securities</i>		541,087			
NET TOTAL BY PORTFOLIO TYPE	9,326,906	12,850,562	29,572,572	44,529	51,794,570

(1) Details of counterparty risk related to fixed-income securities are given in Note 17.

5.2 Market value of financial transactions

(€ '000s)	Held-for-sale securities		Investment securities		Equity holding securities	
	31.12.2015	31.12.2014	31.12.2015	31.12.2014	31.12.2015	31.12.2014
GOVERNMENT PAPER AND SIMILAR SECURITIES						
Net book value ⁽¹⁾	3,263,725	2,278,879	21,273,767	25,404,348		
Market value	3,370,914	2,357,898	23,844,042	28,495,677		
BONDS AND OTHER FIXED-INCOME SECURITIES						
Net book value ⁽¹⁾	11,309,903	9,753,936	3,196,377	4,168,224		
Market value	11,467,724	9,976,942	3,581,723	4,648,613		
EQUITIES AND OTHER VARIABLE-INCOME SECURITIES						
Net book value	768,041	817,747			44,945	44,529
Market value and/or value in use for equity holdings	807,325	831,508			59,373	53,162

(1) Impairment charges are calculated taking into account unrealised gains and losses relating to any financial instruments assigned as hedges for held-for-sale securities.

5.3 Debt securities

(€ '000s)	31.12.2015	31.12.2014
Short-term securities		
Related liabilities		
Short-term securities		
Inter-bank market securities		
Certificates of deposit	4,835,253	5,769,303
Related liabilities	(945)	606
Inter-bank market securities and negotiable debt securities	4,834,308	5,769,909
Bond borrowings and similar	972,000	1,122,000
Issue premium	(258)	(522)
Related liabilities	139	369
Bond borrowings and similar	971,881	1,121,847
Other debt securities	4,500	4,500
Related liabilities	1	1
Other debt securities	4,501	4,501
DEBT SECURITIES	5,810,690	6,896,256

NOTE 6

6.1 Portfolio breakdown – holdings in related companies

(€ '000s)	31.12.2015				31.12.2014					
	Carrying amount of securities	Advances	Impairment charges	Net book value of securities	Share of equity capital in %	Carrying amount of securities	Advances	Impairment charges	Net book value of securities	Share of equity capital in %
La Banque Postale Gestion Privée ⁽¹⁾						44,923			44,923	100.00%
SF2	1,143,909			1,143,909	100.00%	1,143,909			1,143,909	100.00%
La Banque Postale Crédit Entreprises	220,000			220,000	100.00%	220,000			220,000	100.00%
BPE ⁽¹⁾	157,626			157,626	99.99%	112,716			112,716	99.99%
LBP Home Loan SFH	210,004			210,004	100.00%	210,004			210,004	100.00%
LBP Collectivités Locales	650			650	65.00%	650			650	65.00%
SOFIAP	37,754			37,754	66.00%	37,754			37,754	66.00%
TOTAL EQUITY INVESTMENTS AND CONSOLIDATABLE ADVANCES	1,769,943			1,769,943		1,769,956			1,769,956	
Of which listed investments										

(1) The financial year changes are explained by the merger and absorption of LGBGP with BPE.

6.2 Breakdown of the equity investments and other long-term securities portfolio

(€ '000s)	31.12.2015					31.12.2014				
	Value accounting securities	Advances	Impairment charges	Value net securities	Share of equity capital in %	Value accounting securities	Advances	Impairment charges	Value net securities	Share of equity capital in %
Association certificates ⁽¹⁾	58,269			58,269						
Oséo	3,785			3,785	NS	3,785			3,785	NS
Transactis	2,474			2,474	50.00%	2,474			2,474	50.00%
STET	6,917			6,917	5.01%					
Other	1,972			1,972	NA	1,399			1,399	NA
EQUITY INVESTMENTS AND OTHER LONG-TERM SECURITIES	73,418			73,418		7,658			7,658	
<i>Of which listed securities</i>										

(1) Including €32.928 million reclassified from intangible assets.

NOTE 7 DETAILS OF NON-CURRENT ASSETS

	01.01.2015	Change			31.12.2015			31.12.2014		
(€ '000s)	Gross amount	Additions	Transfers	Disposals	Gross amount	Aggregate depreciation, amortisation and impairment	Net amount	Gross amount	Aggregate depreciation, amortisation and impairment	Net amount
Land										
Buildings ⁽¹⁾	375,723				375,723		375,723	375,723		375,723
Other operating non-current assets	667,937	63,609	516	(26,379)	705,682	(534,161)	171,522	667,937	(473,946)	193,991
Property, plant and equipment	1,043,660	63,609	516	(26,379)	1,081,406	(534,161)	547,245	1,043,660	(473,946)	569,715
Start-up costs										
Franchises, licenses, and patents	268,621	16,553	2,161	(31,457)	255,878	(212,302)	43,576	268,621	(220,677)	47,944
Other intangible assets ⁽²⁾	730,500	108,307	(35,605)	(7,723)	795,479	(534,697)	260,782	730,500	(462,986)	267,514
Intangible assets	999,122	124,860	(33,444)	(39,180)	1,051,357	(746,999)	304,358	999,122	(683,663)	315,458
PROPERTY, PLANT EQUIPMENT AND INTANGIBLE ASSETS	2,042,782	188,469	(32,928)	(65,559)	2,132,763	(1,281,160)	851,603	2,042,782	(1,157,609)	885,173

(1) This item consists of the amounts of equity investments in SCI CRSF and SCI Tertiaire Saint Romain in accordance with the 2007 recommendations of the French Prudential Supervision and Resolution Authority (ACPR).

(2) The transfer amount includes association certificates reclassified in 2015 in the equity investments and other long-term securities item for €32.928 million.

NOTE 8

8.1 Breakdown of accruals and other assets

(€ '000s)	31.12.2015	31.12.2014
Prepaid expenses	34,443	30,076
Income receivable on derivatives	283,363	142,123
Other income receivable	250,309	277,837
Revaluation of derivative and foreign exchange instruments	44	1
Collection accounts	66,606	410,596
Other accruals	844,000	415,036
Accruals	1,478,764	1,275,668
Conditional instruments purchased	16,821	17,937
Collective management of Sustainable Development accounts		
Guarantee deposits paid ⁽¹⁾	850,126	473,363
Securities transaction settlement accounts	3,025	2,792
Related receivables	254	828
Other assets ⁽²⁾	676,891	616,214
Impairment charges	(8,752)	(9,735)
Sundry assets	1,538,365	1,101,399
ACCRUALS AND SUNDRY ASSETS	3,017,129	2,377,067

(1) Including €20,000 million with subsidiary companies.

(2) Including €17,550 million with subsidiary companies.

8.2 Breakdown of accruals and other liabilities

(€ '000s)	31.12.2015	31.12.2014
Advances	297,894	281,189
Expenses payable on derivatives	221,823	136,416
Revaluation of derivative and foreign exchange instruments	772	1,251
Other accruals ⁽¹⁾	1,665,857	1,258,598
Accruals	2,186,347	1,677,455
Conditional instruments sold	19,246	31,665
Securities-related payables		
Sundry payables ⁽²⁾	2,042,545	2,309,888
Securities transaction settlement accounts	8,471	8,460
Related Liabilities	357	37
Sundry liabilities	2,070,619	2,350,050
ACCRUALS AND SUNDRY LIABILITIES	4,256,966	4,027,505

(1) This item primarily represents accruals for means of payment transactions in the Financial Centres.

(2) Including €78.845 million with subsidiary companies.

NOTE 9 BREAKDOWN OF PROVISIONS RECORDED UNDER LIABILITIES

(€ '000s)	31.12.2014	Provisions	Write-back of used provision	Write-back of unused provision	Other changes	31.12.2015
Provisions for retirement and other employee-related commitments ⁽¹⁾	17,194	3,620	(2,296)			18,519
Home-savings provisions	440,100	63,400				503,500
Other provisions	446,223	84,593	(43,644)	(94,109)	(11)	393,052
Provisions (excluding counterparty risk)	903,517	151,613	(45,940)	(94,109)	(11)	915,070
Signed commitments ⁽²⁾	35,632		(35,404)	(228)		
Provisions for counterparty risk recorded under liabilities	35,632		(35,404)	(228)		
PROVISIONS	939,149	151,613	(81,344)	(94,337)	(11)	915,070

(1) La Banque Postale is not bound by any retirement commitments that are not shown in its balance sheet.

(2) Provisions for signed commitments correspond to the risk of the capital and performance guarantees that La Banque Postale has granted on some of the Group's UCITS. The fund matured in January 2015, with no significant impact on net profit.

NOTE 10 BREAKDOWN OF THE HOME SAVINGS OPTIONALITY

(€ '000s)		Deposits collected	Loans granted in respect of PEL and CEL accounts	Provision 2015	Provision 2014	Change in provisions
Generation						
Over 10 years		5,945		100	92	7
4 to 10 years		8,952		126	110	16
less than 4 years		10,822		246	203	43
PEL account total		25,719	79	472	406	66
CEL account total		4,818	525	32	34	(3)
TOTAL		30,537	604	504	440	63

NOTE 11 SUBORDINATED DEBT

(€ '000s)	Date of issue	Maturity date	Rate	Currency of origin	31.12.2015	31.12.2014
Subordinated debt repayable ⁽¹⁾	30.11.2010	30.11.2020	4,375%	EUR	750,000	750,000
Subordinated debt repayable ⁽¹⁾	23.04.2014	23.04.2026	2,750%	EUR	750,000	750,000
Subordinated debt repayable ⁽¹⁾	19.11.2015	19.11.2027	2,750%	EUR	750,000	
Perpetual subordinated debt ⁽²⁾	13.12.2013	NA	8,000%	EUR	800,000	800,000
Interest and similar					8,367	10,341
TOTAL					3,058,367	2,310,341

(1) Called Lower Tier 2 in the calculation of additional equity capital (Article 4d of CRBF Regulation 90-02). These debts are redeemable following approval by the ACPR on the anniversary date of the call or in the event of a regulatory or tax change. The change for the 2015 financial year is explained by the Lower Tier 2 issue for €750 million.

(2) Called Hybrid Tier One in the calculation of additional equity capital (Article 4c of CRBF Regulation 90-02). This debt can, in particular, be repaid by the Bank in the event of changes in the accounting or tax legislation, in the event of changes in the regulations regarding determination of the solvency ratio or downgrading by rating agencies. These securities include a clause for automatic share conversion if the Tier 1 core equity capital ratio falls below 7%. Interest payment is discretionary.

NOTE 12 BREAKDOWN OF TRANSACTIONS WITH CREDIT INSTITUTIONS AND CUSTOMERS BY RESIDUAL MATURITY

(€ '000s)	Accrued interest	<= 3 months	3 months to 1 year	1 to 5 years	> 5 years	31.12.2015
ASSETS						
Receivables – Credit institutions and similar	39,710	80,520,162	2,530,015	5,681,022	5,069,892	93,840,801
Receivables – Customers	124,467	5,436,604	3,898,907	14,630,037	34,631,369	58,721,383
Securities portfolios (transaction, held-for-sale and investment)	627,509	6,713,382	8,146,190	19,299,258	14,658,685	49,445,024
Government paper and similar securities	453,374	960,235	2,006,836	9,247,292	12,095,406	24,763,143
Bonds and other fixed-income securities	174,135	5,753,147	6,139,353	10,051,967	2,563,279	24,681,881
LIABILITIES						
Liabilities due to credit institutions and similar	28,361	13,144,163	2,223,794	1,741,695	2,477,755	19,615,769
Liabilities to customers	12,683	159,220,499	1,815,214	9,238,195	787,906	171,074,497
Debt securities	(1,063)	3,295,363	2,111,890	404,500		5,810,690
Bond borrowings	(119)	132,000	440,000	400,000		971,881
Inter-bank market securities and negotiable debt securities	(945)	3,163,363	1,671,890			4,834,308
Other debt securities	1			4,500		4,501
Subordinated debt	8,367			750,000	2,300,000	3,058,367

NOTE 13 EQUITY CAPITAL

(€ '000s)	General banking risk fund	Equity capital	Issue and transfer premiums	Legal reserves	Other reserves and retained earnings	Parent company net profit	Parent company shareholders' equity (excluding GBRF)	Total parent company shareholders' equity
Equity capital as at 31 December 2012	22,000	3,185,735	16,719	113,141	821,885	460,769	4,598,250	4,620,250
Appropriation of N-1 net income				23,038	437,731	(460,769)		
Dividend N paid for N-1 net profit					(258,183)		(258,183)	(258,183)
Capital increase ⁽¹⁾		228,000					228,000	228,000
N net profit						311,249	311,249	311,249
Equity capital as at 31 December 2013	22,000	3,413,735	16,719	136,179	1,001,433	311,249	4,879,316	4,901,316
Appropriation of N-1 net income				15,562	295,687	(311,249)		
Dividend N paid for N-1 net profit					(260,631)		(260,631)	(260,631)
Capital increase ⁽²⁾		632,673					632,673	632,673
N net profit						164,649	164,649	164,649
Equity capital as at 31 December 2014	22,000	4,046,408	16,719	151,742	1,036,489	164,649	5,416,007	5,438,007
Appropriation of N-1 net income				8,232	156,417	(164,649)		
Dividend N paid for N-1 net profit					(304,712)		(304,712)	(304,712)
N net profit						478,261	478,261	478,261
Equity capital as at 31 December 2015	22,000	4,046,408	16,719	159,974	888,193	478,261	5,589,555	5,611,556

(1) On 13 December 2013, La Banque Postale performed a capital increase for a total amount of €228.000 million, via the issue of 1,982,608 new shares.

The total number of shares was brought to 29,684,650. This capital increase remunerates SCI Tertiaire Saint Romain's contribution and a related current account loan.

(2) On 18 November 2014, La Banque Postale performed a capital increase for a total amount of €632.673 million, via the issue of 5,501,503 new shares.

The total number of shares is now 35,186,153. This capital increase remunerates the Post Office cash contribution.

NOTE 14 BREAKDOWN OF FOREIGN EXCHANGE TRANSACTIONS

(€ '000s)	31.12.2015	31.12.2014
Cash foreign exchange transactions:		
Euros purchased but not yet received		
Currencies purchased but not yet received		(511)
Euros sold but not yet delivered		
Currencies sold but not yet delivered		(11,443)
Lending and borrowing transactions:		
Currencies lent but not yet delivered		
Currencies borrowed but not yet received		
Forward foreign exchange transactions:		
Euros receivable against currencies to be delivered	(2,067,397)	(426,373)
Currencies receivable against euros to be delivered	(4,984,929)	(445,319)
Currencies receivable against currencies to be delivered		
Currencies deliverable against currencies to be received		
Non-accrued swap points:		
Receivable	(3,490)	(332)
Payable	(437)	(20)

NOTE 15

15.1 Breakdown of forward financial instruments

€ '000s	31.12.2015				31.12.2014			
	Position management transactions		Hedging transactions		Position management transactions		Hedging transactions	
	Notional amount	Fair value	Notional amount	Fair value	Notional amount	Fair value	Notional amount	Fair value
FIRM TRANSACTIONS	36,974,902	(27,790)	33,719,294	297,184	25,505,315	97,128	32,207,607	236,297
Organised markets	4,503,544	623			4,171,400	3,226		
Interest rate contracts	4,503,544	623			4,171,400	3,226		
Other contracts								
Over-the-counter markets	32,471,358	(28,413)	33,719,294	297,184	21,333,915	93,902	32,207,607	236,297
Interest rate swaps	25,288,315	(11,807)	33,394,578	305,471	18,570,887	(2,206)	32,205,756	236,651
Fras								
Other contracts	7,183,043	(16,605)	324,716	(8,287)	2,763,028	96,108	1,850	(354)
CONDITIONAL TRANSACTIONS	7,135,384	575,749	10,000	33	8,928,166	505,107	41,700	(611)
Organised markets								
Interest rate options								
Other options								
Over-the-counter markets	7,135,384	575,749	10,000	33	8,928,166	505,107	41,700	(611)
Caps and floors	5,636,482	(1,308)	10,000	33	8,163,386	(11,917)	41,700	(611)
Swaptions	760,000				50,000	509		
Exchange rate options								
Credit derivatives	160,000	(1,845)			195,000	(3,266)		
Other options	578,902	578,902			519,780	519,780		

There was no financial futures transfer from one category to the other.

15.2 Counterparty risk relating to financial futures

A financial asset and liability are offset and a net balance is shown on the balance sheet when La Banque Postale has a legally enforceable right to offset the amounts recognised, and when it intends either to settle the net amount or to realise the asset and settle the liability simultaneously. A financial asset and liability covered by master offsetting agreements or similar agreements fulfilling the definition of an enforceable contract (legally enforceable right to offset securities with the same maturity against cash), which can be exercised under all conditions but does not meet the offsetting criteria, are presented as

net book value where they are realised with the same legal entity. The tables below show the amounts of financial assets and liabilities that were offset in the Bank's balance sheet as well as the amounts that could be offset in compliance with the master offsetting agreements or similar agreements, but which are not eligible to be offset in the Bank's financial statements. The net positions resulting from these different offsetting agreements do not aim to assess the Bank's exposure to counterparty risk on these financial instruments.

2015 Assets

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial assets	Gross value of financial liabilities offset in the financial statements	Financial assets presented net	Amount not offset		Financial instruments given as guarantee	Net book value
(€ '000s)				Financial instruments	Cash collateral received		
Derivatives (Market value)	1,783,547		1,783,547	540,588	1,223,361	-	19,598
Borrowed and loaned securities (amortised cost)	7,606,389	3,924,075	3,682,314	118,424	37,411	3,526,423	56
Other financial liabilities	5,271		5,271	1,239		-	4,032
TOTAL	9,395,207	3,924,075	5,471,132	660,251	1,260,772	3,526,423	23,687

2015 Liabilities

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial liabilities	Gross value of financial assets offset in the financial statements	Financial liabilities presented net	Amount not offset		Financial instruments given as guarantee	Net book value
(€ '000s)				Financial instruments	Cash collateral paid		
Derivatives (Market value)	978,913		978,913	540,588	405,405	-	32,920
Borrowed and loaned securities (amortised cost)	20,802,088	3,924,075	16,878,013	118,424	235,663	16,521,563	2,363
Other financial liabilities			-			-	-
TOTAL	21,781,001	3,924,075	17,856,926	659,012	641,068	16,521,563	35,283

2014 Assets

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial assets	Gross value of financial liabilities offset in the financial statements	Financial assets presented net	Amount not offset		Securities delivered not recognised in the balance sheet	Net book value
(€ '000s)				Financial instruments	Cash collateral received		
Derivatives (Market value)	1,924,319		1,924,319	586,980	1,283,701	-	53,638
Borrowed and loaned securities (amortised cost)	7,436,314	4,188,152	3,248,162	532,429	171	2,715,511	51
Other financial liabilities	3,249		3,249	23	3,226	-	-
TOTAL	9,363,882	4,188,152	5,175,731	1,119,433	1,287,098	2,715,511	53,689

2014 Liabilities

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial liabilities	Gross value of financial assets offset in the financial statements	Financial liabilities presented net	Amount not offset		Securities delivered not recognised in the balance sheet	Net book value
(€ '000s)				Financial instruments	Cash collateral paid		
Derivatives (Market value)	739,301		739,301	586,980	130,014	-	22,307
Borrowed and loaned securities (amortised cost)	20,561,833	4,188,152	16,373,681	532,429	91,219	15,645,392	104,641
Other financial liabilities	23		23	23		-	-
TOTAL	21,301,157	4,188,152	17,113,005	1,119,433	221,233	15,645,392	126,948

NOTE 16 BREAKDOWN OF FINANCIAL INSTRUMENTS BY MATURITY

(€ '000s)	31.12.2015				31.12.2014			
	<= 1 year	1 to 5 years	> 5 years	Total	<= 1 year	1 to 5 years	> 5 years	Total
FIRM TRANSACTIONS	25,664,181	21,719,903	23,310,112	70,694,196	15,384,046	18,632,001	23,696,875	57,712,922
Interest rate contracts	4,303,544	200,000		4,503,544	4,071,400	100,000		4,171,400
Index contracts								
Interest rate swaps	14,179,444	21,193,337	23,310,112	58,682,893	10,027,792	17,051,976	23,696,875	50,776,643
Fras								
Other contracts	7,181,192	326,566		7,507,759	1,284,854	1,480,024		2,764,878
CONDITIONAL TRANSACTIONS	1,485,420	4,769,526	890,438	7,145,384	1,566,703	6,424,484	978,678	8,969,865
Caps and floors	723,787	4,175,835	746,861	5,646,482	1,515,038	5,787,987	902,061	8,205,086
Swaptions	760,000			760,000	50,000			50,000
Exchange rate options								
Credit derivatives		160,000		160,000		195,000		195,000
Other options	1,633	433,691	143,578	578,902	1,665	441,497	76,617	519,779

NOTE 17

17.1 Credit risk

(€ '000s)	Gross performing loans	Gross doubtful performing loans	Gross doubtful non-performing loans	Gross 31.12.2015	Gross 31.12.2014
Receivables – Credit institutions	93,840,801			93,840,801	90,468,563
Receivables – Customers	58,421,960	263,148	258,224	58,943,332	56,073,723
<i>of which current accounts in debit</i>	756,172	15,303	101,094	872,569	785,668
<i>of which short-term credit facilities</i>	1,273,089	1,356	899	1,275,344	1,047,064
<i>of which home loans</i>	49,056,482	233,913	133,605	49,424,001	48,926,574
<i>of which equipment leases</i>	3,210,395			3,210,395	2,609,995
<i>of which export credits</i>					
<i>of which other loans</i>	966,628	12,575	22,626	1,001,829	895,338
Held-for-sale and investment portfolio (fixed-income securities) ⁽¹⁾	24,681,881			24,681,881	22,466,338
Government paper ⁽²⁾	24,763,143			24,763,143	28,465,955
Financing commitments and guarantees given	20,495,986	6,315		20,502,301	20,842,547
TOTAL	222,203,770	269,463	258,224	222,731,457	218,317,126

(1) Excluding government paper.

(2) Excluding trading securities.

17.2 Provisions for counterparty risk

(€ '000s)	31.12.2014	Provisions	Reversals	Other changes ⁽¹⁾	31.12.2015
Receivables – Credit institutions and similar	4	2	(5)		
Receivables – Customers ⁽³⁾	194,222	287,224	(251,589)	(7,907)	221,949
<i>of which current accounts in debit</i>	113,149	147,824	(134,778)	(660)	125,535
<i>of which short-term credit facilities</i>	933	4,288	(4,235)	(8)	978
<i>of which home loans</i>	57,383	133,972	(112,529)	(7,503)	71,324
<i>of which equipment leases</i>					
<i>of which export credits</i>					
<i>of which other loans</i>	22,757	1,140	(46)	263	24,113
Sundry assets ⁽³⁾	4,864	4,888	(5,871)	4,871	8,752
Held-for-sale portfolio (Fixed-income securities)					
Investment portfolio					
<i>Total fixed-income securities</i>					
Impairment charges recorded under assets⁽³⁾	199,089	292,113	(257,465)	(3,036)	230,701
Execution risks on signed commitments ⁽²⁾	35,632		(35,632)		
Other provisions for counterparty risk					
Provisions recorded under liabilities	35,632		(35,632)		
TOTAL IMPAIRMENT CHARGES ON COUNTERPARTY RISK	234,721	292,113	(293,097)	(3,036)	230,701

(1) The other changes correspond to the accretion of impairments, which are recorded in the income statement under the item "interest to customers"; as well as reclassifications to Sundry Assets.

(2) The provision recorded under liabilities for the execution risk on signed commitments corresponds to the assessment of the risk that the guarantees granted on the capital and performance of some Group UCITS may come into play. This provision was fully reversed and used with no impact on the Group's financial statements, after the guarantee concerning the funds was exercised in January 2015.

(3) Including impairment charges

Gross performing loans	16,955	78,100	(57,812)	(1,668)	35,575
Gross doubtful performing loans	41,895	123,608	(115,071)	918	51,351
Gross doubtful non-performing loans	140,239	90,404	(84,582)	(2,286)	143,776

NOTE 18 INTEREST INCOME AND EXPENSES ON CASH AND INTER-BANK TRANSACTIONS

(€ '000s)	31.12.2015	31.12.2014
Interest on current accounts in debit	1,963	3,548
Interest on accounts and loans	1,421,966	1,655,419
Interest on securities borrowed		
Interest on securities received under repo agreements	21,679	46,242
Other interest and similar income	31,107	29,462
INTEREST AND SIMILAR INCOME ON CASH AND INTER-BANK TRANSACTIONS	1,476,715	1,734,672
Interest on current accounts in credit	(813)	(366)
Interest on overnight and term borrowings	(60,682)	(54,926)
Interest on securities assigned under repo agreements ⁽¹⁾	20,449	(35,950)
Other interest and similar expenses	(86)	(367)
INTEREST AND SIMILAR EXPENSES ON CASH AND INTER-BANK TRANSACTIONS	(41,132)	(91,609)

(1) The credit expenses for interest are the result of the negative interest observed over the financial year.

Interest income on accounts and loans includes the return on funds transferred to the Caisse des dépôts et consignations (CDC).

This return includes the interest paid to depositors shown under "Interest and similar expenses – customers" and the additional remuneration received by La Banque Postale.

NOTE 19 INTEREST ON CUSTOMER TRANSACTIONS

(€ '000s)	31.12.2015	31.12.2014
Interest on current accounts in debit	55,565	59,674
Interest on commercial receivables and customer loans		
Interest on short-term credit facilities	19,339	22,370
Interest on equipment leases	58,069	40,914
Interest on home loans	1,574,538	1,684,911
Other interest	18,581	19,310
Interest on other loans and borrowed securities	3	43
Interest on securities received under repo agreements		
Other interest and similar income	36,708	14,995
Doubtful interest	12,665	10,424
INTEREST AND SIMILAR INCOME ON CUSTOMER TRANSACTIONS	1,775,467	1,852,640
Interest on current accounts in credit	(18,224)	(22,299)
Interest on term accounts in credit, borrowings and securities loaned	(4,932)	(9,419)
Interest on securities assigned under repo agreements		
Interest on special savings accounts ⁽¹⁾	(1,513,501)	(1,774,219)
Other interest and similar expenses	(15,094)	
INTEREST AND SIMILAR EXPENSES ON CUSTOMER TRANSACTIONS	(1,551,751)	(1,805,937)

(1) Including €63.400 million corresponding to the provision for home savings in 2015, compared with €131.700 million in 2014.

NOTE 20 INTEREST ON FIXED-INCOME SECURITIES

(€ '000s)	31.12.2015	31.12.2014
Interest and similar income on held-for-sale securities	158,439	217,160
Interest and similar income on investment securities	865,588	1,016,160
Other interest and similar income	118,969	127,432
INTEREST AND SIMILAR INCOME ON BONDS AND OTHER FIXED-INCOME SECURITIES	1,142,996	1,360,752
Interest on negotiable certificates of deposit and negotiable medium-term bills	(8,773)	(12,233)
Interest and expenses on bond borrowings	(1,346)	(3,650)
Other interest expenses	(23,897)	(104,811)
Interest on subordinated debt	(120,665)	(111,446)
INTEREST AND SIMILAR EXPENSES ON BONDS AND OTHER FIXED-INCOME SECURITIES	(154,680)	(232,141)

NOTE 21 OTHER INTEREST AND SIMILAR INCOME

(€ '000s)	31.12.2015	31.12.2014
Income from foreign exchange instruments		
Income from interest rate instruments	207,633	102,761
OTHER INTEREST AND SIMILAR INCOME	207,633	102,761
Expenses on foreign exchange instruments		
Expenses on interest rate instruments	(88,509)	(43,755)
OTHER INTEREST AND SIMILAR EXPENSES	(88,509)	(43,755)

NOTE 22 INCOME FROM VARIABLE-INCOME SECURITIES

(€ '000s)	31.12.2015	31.12.2014
Income from equities and other variable-income securities	15,175	16,652
Income from equity holding securities	390	2
Income from investments	207,741	111,574
INCOME FROM VARIABLE-INCOME SECURITIES	223,306	128,228

NOTE 23 COMMISSIONS

(€ '000s)	31.12.2015		31.12.2014	
	Income	Expenses	Income	Expenses
Cash and inter-bank transactions ⁽¹⁾	34,545	(3,230)	21,669	(2,894)
Customer transactions ⁽¹⁾	971,405	(75,432)	933,694	(74,365)
Securities transactions ⁽¹⁾		(16,507)		(16,211)
Transactions on forward financial instruments		(263)	0	(576)
Supply of financial services ⁽¹⁾	1,365,053	(158,392)	1,299,016	(163,295)
Foreign exchange transactions				
Other commissions	38,105		25,375	
COMMISSIONS	2,409,108	(253,824)	2,279,754	(257,341)

(1) Amount restated compared with the presentation in the 2014 annual report.

NOTE 24 PROFIT ON TRADING PORTFOLIO TRANSACTIONS

(€ '000s)	31.12.2015	31.12.2014
Profit on trading securities transactions	24,927	45,285
Profit (loss) on foreign exchange instrument transactions	70,729	14,462
Loss on forward financial instrument transactions	(28,390)	(180,793)
GAINS OR LOSSES ON TRADING PORTFOLIO TRANSACTIONS	67,266	(121,046)

NOTE 25 PROFIT ON INVESTMENT PORTFOLIO TRANSACTIONS

(€ '000s)	31.12.2015	31.12.2014
Profit from disposal of held-for-sale securities	173,474	233,165
Other interest and expenses on held-for-sale securities		
Impairment charges and reversals on held-for-sale securities and profit (loss) on related hedging transactions	(145,670)	(146,240)
Gains or losses on investment portfolio transactions	27,803	86,925
Loss from disposal of equity holding securities	(39)	(215)
Impairment charges and reversals on equity holding securities		
Gains or losses on equity holding securities transactions	(39)	(215)
GAINS OR LOSSES ON INVESTMENT PORTFOLIO TRANSACTIONS AND SIMILAR	27,765	86,710

NOTE 26 OTHER BANKING OPERATING INCOME AND EXPENSES

(€ '000s)	31.12.2015		31.12.2014	
	Income	Expenses	Income	Expenses
Re-invoiced expenses, income paid out, and transfers of expenses	21,189		23,092	
Other sundry operating income and expenses	17,789	(56,517)	15,096	(60,734)
Provisions and reversals on other operating income and expenses	9,072	(25,376)	11,886	(35,949)
Other banking operating income and expenses	48,050	(81,894)	50,074	(96,683)
NET AMOUNT OF BANKING OPERATING INCOME AND EXPENSES	(33,843)		(46,609)	

NOTE 27

27.1 Employee benefits expenses

(€ '000s)	31.12.2015	31.12.2014
Wages and salaries	(172,750)	(162,798)
Restated ⁽¹⁾	(17,775)	(19,848)
Social security contributions ⁽¹⁾	(72,282)	(70,279)
Incentives and employee profit-sharing	(13,535)	(13,579)
Tax, duties and similar payments on employee compensation ⁽¹⁾	(24,807)	(23,284)
Other expenses ⁽¹⁾	(10,236)	(12,807)
EMPLOYEE BENEFITS EXPENSES	(311,385)	(302,595)
Amount of attendance fees paid to directors	347	307

(1) Amount restated compared with the presentation in the 2014 annual report.

Compensation paid during the year to members of the Executive Board for the financial year amounted to €960 thousand.

No Executive Board member enjoys supplementary retirement benefits.

No other transaction was concluded with members of the Board under previous conditions.

27.2 Headcount

	31.12.2015	31.12.2014
Civil servant staff	583	601
Non-civil servant staff	1,918	1,815
TOTAL HEADCOUNT⁽¹⁾	2,501	2,416
Executives	2,225	2,160
Non-executives	276	256
TOTAL HEADCOUNT⁽¹⁾	2,501	2,416

(1) Headcount expressed as agent equivalents for the year ending 31 December.

NOTE 28 OTHER GENERAL OPERATING EXPENSES

(€ '000s)	31.12.2015	31.12.2014
Taxes and duties	(51,955)	(83,831)
Lease payments		
Rents and rental expenses	(114,078)	(106,573)
Fees	(95,505)	(69,205)
Other operating expenses ⁽¹⁾	(3,675,965)	(3,703,563)
OTHER GENERAL OPERATING EXPENSES	(3,937,502)	(3,963,172)

(1) This item includes in particular expenses related to the service agreements between La Poste and La Banque Postale for €3,138,588 million.

NOTE 29 RE-INVOICING

(€ '000s)	31.12.2015	31.12.2014
Employee benefit expenses are re-invoiced on a euro for euro basis ⁽¹⁾	21,943	19,996
General expenses excluding employee benefits expenses are re-invoiced on a euro for euro basis	62,403	36,665
RE-INVOICING	84,346	56,662

(1) Including the re-invoicing of staff belonging to both companies of La Poste, which amounted to €6.599 million.

NOTE 30 DEPRECIATION, AMORTISATION AND IMPAIRMENT CHARGES

(€ '000s)	31.12.2015	31.12.2014
Depreciation and amortisation of operating non-current assets	(187,800)	(171,750)
Of which amortisation of tangible operating non-current assets	(85,179)	(77,838)
Of which amortisation of intangible operating non-current assets	(102,621)	(93,912)
Reversals of depreciation and amortisation on operating non-current assets		
Net depreciation and amortisation	(187,800)	(171,750)
Impairment of operating non-current assets		
Reversals of impairment charges on operating non-current assets		
Net impairment charges		
NET DEPRECIATION, AMORTISATION AND IMPAIRMENT OF TANGIBLE AND INTANGIBLE NON-CURRENT ASSETS	(187,800)	(171,750)

NOTE 31 COST OF RISK

(€ '000s)	31.12.2015	31.12.2014
IMPAIRMENTS ON		
Customers and credit institutions	(288,896)	(277,608)
Signed commitments ⁽¹⁾		
Investment securities		
Held-for-sale securities		
Sundry debtors	(4,291)	(1,351)
Impairment charges	(293,187)	(278,959)
REVERSALS OF IMPAIRMENT CHARGES ON		
Customers and credit institutions	252,615	258,770
Signed commitments ⁽¹⁾	35,632	83,480
Investment securities		
Held-for-sale securities		
Sundry Debtors	2,332	6,436
Reversals of impairment charges	290,578	348,685
LOSSES AND RECOVERIES		
Losses on signed commitments ⁽¹⁾	(35,404)	(75,094)
Losses on unrecoverable impaired receivables	(64,209)	(65,249)
Losses on unhedged unrecoverable impaired receivables	(23,048)	(24,946)
Recovery of amortised receivables	5,266	5,461
Losses and recoveries	(117,395)	(159,829)
COST OF RISK	(120,003)	(90,102)

(1) These reversals include a guarantee call on a guaranteed fund, which had been affected by the Greek debt restructuring.

Changes in impairment charges relating to a counterparty risk are described in Note 17.

NOTE 32 GAINS AND LOSSES ON NON-CURRENT ASSETS

(€ '000s)	31.12.2015	31.12.2014
Gains or losses on disposal of property, plant and equipment	(1,026)	(629)
Gains or losses on disposal of intangible assets		(19)
Gains or losses on disposal of property, plant and equipment and intangible assets	(1,027)	(648)
Gains or losses on sale of investments, and gains or losses on advances	4,041	
Impairment charges and/or reversals		
<i>including balance of profits or losses on equity investment transactions and advances</i>		
Gains or losses on disposal of investment securities and other long-term securities holdings		
Impairment charges and/or reversals		
<i>including balance of profits or losses on investment securities and other long-term securities holdings transactions</i>		
Gains or losses on transactions on equity investments and other long-term securities	4,041	
GAINS OR LOSSES ON NON-CURRENT ASSETS	3,015	(648)

NOTE 33

33.1 Income tax expense

(€ '000s)	31.12.2015	31.12.2014
Corporate income tax	(258,927)	(310,824)
INCOME TAX EXPENSE	(258,927)	(310,824)
Losses carried forward		

33.2 Nature of differences

(€ '000s)		31.12.2015	31.12.2014
Temporary	Loans & Deposits	64,281	43,242
	Home Savings Provision Optionality	63,400	131,700
	Corporate Social Solidarity Contribution	(491)	(427)
	UCITS	(19,056)	2,231
	Financial instruments	(12,947)	156,940
	Other temporary differences	1,434	38,939
Permanent	Parent-subsidiary regime	(197,353)	(105,995)
	Tax credit	38,782	36,350
	Fines	(18,139)	45,489
	Other differences	30,883	1,350
DIFFERENCES		(49,206)	349,819

NOTE 34 INFORMATION ON THE AUDIT
OF THE FINANCIAL STATEMENTS

Information on the statutory auditors' fees is given in the notes to the consolidated financial statements of La Banque Postale Group; as a consequence, this information is not provided in the notes

to the La Banque Postale S.A. parent company separate financial statements.

NOTE 35 BUSINESS LOCATION DETAILS

List of investments in the regions that have not entered into a tax assistance agreement

Name	Status	% of capital held	voting rights	Legal form	Business
None					

5.4.4 Information concerning the subsidiaries and equity stakes held by La Banque Postale as at 31 December 2015

	Subsidiaries (+50% of capital held)					
(€)	SF2 ⁽¹⁾	SCI Tertiaire Saint Romain ⁽²⁾	SCI CRSF Métropole ⁽³⁾	SCI CRSF DOM ⁽⁴⁾	BPE ⁽⁵⁾	LBP Home Loan SFH ⁽⁶⁾
SIREN number	424 176 238	478 301 286	445 061 369	445 047 442	384 282 968	522 047 570
Equity capital	1,053,573,881	64,001,500	256,411,996	2,333,111	102,410,685	210,000,000
Reserves and retained earnings before appropriation of net income	251,702,000	(13,792,400)	10,520,360	584,194	11,661,810	1,479,506
Share of capital held (%)	100.00%	99.99%	99.99%	99.94%	99.99%	100.00%
Carrying amount of securities held						
► Gross	1,143,908,526	116,999,885	256,391,996	2,331,611	157,626,139	210,004,000
► Net	1,143,908,526	116,999,885	256,391,996	2,331,611	157,626,139	210,004,000
Loans and advances granted by the Company and not yet repaid	-	90,000,000	-	-	1,662,767,000	20,000,000
Amount of sureties and guarantees given by the Company	-	-	-	-	129,796,000	5,691,763,656
Revenues ⁽¹⁾ for the previous financial year (excluding tax)	99,652	13,413,630	37,659,012	900,779	78,436,698	3,538,709
Net income for the last financial year	262,441,436	3,770,544	7,053,804	509,604	12,586,537	1,630,180
Dividends received by the Company in the previous financial year	181,442,115	0	10,255,680	0	0	0
Comments	Holding company	Property letting company	Property letting company	Property letting company	Bank	Financial services advisory company

(1) Depending on the subsidiary's business, revenue is presented if it is a trading company, and net banking income is presented if it is a bank or financial company.

(1) 115, rue de Sèvres 75275 Paris Cedex 06.

(2) 35-39, boulevard Romain-Rolland 75014 Paris.

(3) 115, rue de Sèvres 75275 Paris Cedex 06.

(4) 115, rue de Sèvres 75275 Paris Cedex 06.

(5) 62, rue du Louvre 75002 Paris.

(6) 115, rue de Sèvres 75275 Paris Cedex 06.

Subsidiaries (+50% of capital held)				Subsidiaries (10% TO 50% of capital held)				
LBP Collectivités Locales ⁽⁷⁾	La Banque Postale Crédit Entreprises ⁽⁸⁾	SOFIAP ⁽⁹⁾	Gallieni SF2-5 ⁽¹⁰⁾	Transactis ⁽¹¹⁾	PayLib ⁽¹²⁾	GIE CR CESU ⁽¹³⁾	SGFGAS ⁽¹⁴⁾	GEXBAN ⁽¹⁵⁾
792 665 572	514 613 207	391 844 214	522 058 544	479 874 257	522 048 032	487 708 455	390 818 235	750 411 316
700,000	220,000,000	60,137,760	40,000	4,948,120	1,099,725	420,000	825,015	300,000
1,151,384	(34,479,434)	28,349,707	(11,688)		(55,068)			
65.00%	100.00%	66.00%	100.00%	50.00%	20.00%	16.67%	14.30%	16.67%
649,997	220,000,000	37,754,126	40,000	2,474,062	219,945	70,000	140,465	50,000
649,997	220,000,000	37,754,126	40,000	2,474,062	219,945	70,000	140,465	50,000
	4,341,466,000	1,592,373,000	-	26,250,000	-	-	-	-
	(1,309,275,255)	62,500,000	-	-	-	-	-	-
3,500,000	217,113,136	24,148,737	-	NA	152,807	NA	NA	NA
162,762	(9,903,405)	404,373	(2,272)	NA	(185,003)	NA	NA	NA
0	-	0	0	-	0	-	-	-
Mortgage brokerage company	Financial company	Financial company	Financial services advisory company	Financial services holding company	Payment company	Universal employment services cheques	Guarantee fund management company	Company to protect the "banque" domain name

(7) 115, rue de Sèvres 75275 PARIS Cedex 06.

(8) 115, rue de Sèvres 75275 PARIS Cedex 06.

(9) 7, rue Pierre-Levée 75011 PARIS.

(10) 115, rue de Sèvres 75275 PARIS Cedex 06.

(11) 33, place des Corolles – Tour Europe La Défense II 92400 COURBEVOIE.

(12) 115, rue de Sèvres 75275 PARIS Cedex 06.

(13) 155, avenue Gallieni 93170 BAGNOLET.

(14) 13, rue Auber 75009 PARIS.

(15) 36, rue Taitbout 75009 PARIS.

5.4.5 La Banque Postale – Table featuring key financial data for the past five years

	2011	2012	2013	2014	2015
FINANCIAL POSITION					
Share capital	3,185,734,830	3,185,734,830	3,413,734,750	4,046,407,595	4,046,407,595
Number of shares	27,702,042	27,702,042	29,684,650	35,186,153	35,186,153
COMPREHENSIVE INCOME					
Revenue*	8,050,572,378	8,652,820,008	7,912,903,096	7,474,544,915	7,378,305,936
Profit before corporate income tax, depreciation, amortisation and net provision charges	898,153,178	879,964,839	891,541,339	927,845,727	960,973,920
Income tax	(102,022,457)	(229,083,049)	(267,492,028)	(310,824,005)	(258,926,682)
Profit after corporate income tax, depreciation, amortisation and provisions	183,460,386	460,769,474	311,249,224	164,648,962	478,260,808
Proposed profit for distribution	185,603,681	258,183,031	260,631,227	304,712,085	318,082,823
EARNINGS PER SHARE					
Profit after corporate income tax, and before depreciation, amortisation and provisions	27.95	23.50	20.84	17.52	19.95
Profit after corporate income tax, depreciation, amortisation and provisions	6.62	16.63	10.49	4.68	13.59
Proposed profit for distribution	6.70	9.32	8.78	8.66	9.04
EMPLOYEES					
Average headcount	2,072	2,159	2,275	2,389	2,473
Payroll expenses	127,027,761	134,089,621	142,101,291	153,564,624	161,840,302
Amounts paid for employee benefits (Social Security, social welfare organisations, etc.)	57,418,540	59,876,174	64,044,525	70,300,209	82,518,567

* This is all the bank operating income (profits or losses from financial transactions are taken at their net amount).

5.5 STATUTORY AUDITORS' REPORT ON THE SEPARATE FINANCIAL STATEMENTS

La Banque Postale S.A.

Registered office: 115, rue de Sèvres – 75275 Paris Cedex 06

Share capital: €4,046,407,595

Financial year ending 31 December 2015

Ladies and Gentlemen,

In accordance with the terms of the assignment entrusted to us by your Annual General Meeting, we hereby submit our report on the financial year ending 31 December 2015, regarding:

- ▶ our audit of the La Banque Postale S.A. parent company separate financial statements, as appended to this report;
- ▶ the justification of our assessments;
- ▶ the specific checks and information required by law.

The separate financial statements have been prepared by the Executive Board. Our role is to issue an opinion on those financial statements, based on our audit.

1 – Opinion on the separate financial statements

We have conducted our audit in accordance with the professional standards applicable in France. These standards require that we implement procedures to obtain reasonable assurance that the separate financial statements are free of material misstatements. An audit involves examining, by means of spot checks and other sampling methods, the evidence supporting the amounts and disclosures shown in the separate financial statements. It also involves assessing the accounting principles used, the significant estimates made and the overall presentation of the financial statements. We believe that the evidence we have gathered in order to form our opinion is sufficient and relevant.

We hereby certify that the separate financial statements for the financial year present a true and fair view of the results of the transactions for the year just-ended, as well as of the Company's financial position and net assets at the end of that financial year.

2 – Justification of assessments

Pursuant to the provisions of Article L. 823-9 of the French Commercial Code relative to the justification of our assessments, we bring the following information to your attention:

Depreciation and provisioning of credit and counterparty risks

Your Company records provisions for impairment to cover the direct and indirect credit and counterparty risks inherent in its activities (as described in Note 1-“Accounting valuation principles and methods – Presentation and valuation rules”, in Sections “2-Receivables – Credit institutions and customers – Signed commitments”, “3-Securities”, “7-Provisions”, and detailed in Notes 4.1-“Receivables – Customer transactions”, “9-Breakdown of provisions recorded under liabilities”, “17.1-Credit risk”, “17.2-Provisions for counterparty risk” and “31-Cost of risk” of the financial statements). We have examined the control procedures for monitoring risk, for the processes for identifying exposure, for impairment and provision methods, for risk assessment and the hedging of those risks via individual and collective impairment charges and provisions.

Valuation of securities and financial instruments

Paragraphs “3-Securities” and “10-Transactions on forward financial instruments” in Note “1-Accounting valuation principles and methods – Presentation and valuation rules” of the notes to the financial statements set forth the accounting policies applicable to securities and financial instruments. We have examined the control procedures relating to accounting categories, the definition of transactions, and the determination of the parameters utilised for the valuation of the Bank's positions concerning securities and financial instruments. We have verified the appropriateness of the accounting methods selected by your organisation, and have satisfied ourselves that they are applied correctly.

Analysis of contingency and loss provisions

Your organisation records provisions for liabilities in the balance sheet, as indicated in Paragraph 7 "Provisions" of Note 1 "Accounting valuation principles and methods – Presentation and valuation rules" and in Note 9 "Breakdown of provisions recorded in liabilities" to the financial statements. Our work included assessing the data and assumptions on which these estimates are based, reviewing the calculations performed by the Company, and examining the procedures for approval of these estimates by management.

More specifically, with respect to the provision intended to cover the risk of potentially unfavourable consequences of the commitments under Home savings contracts (Note 10 "Breakdown of home savings optionality"), we have also examined the control procedures for checking the models and determining the parameters used.

Our assessments were made in the context of our audit of the separate financial statements, taken as a whole, and therefore assisted us in reaching our opinion as expressed in the first part of this report.

3 – Specific checks and information

We also performed the specific checks specified in law, in accordance with the professional standards applicable in France.

We have no observation to make as to the true and fair presentation and consistency with the separate financial statements of the information on the Company's financial position and annual accounts provided in the Executive Board's management report and in the documents sent to you.

With regard to the information provided pursuant to the provisions of Article L. 225-102-1 of the French Commercial Code on the remuneration and benefits awarded to corporate officers, and on the commitments granted for their benefit, we checked that this information matched the financial statements or the data used to prepare these financial statements, and where applicable, the information gathered by your Company from companies that control your Company or that it controls. Based on this work, we hereby certify the accuracy and truthfulness of that information.

Paris La Défense, 22 February 2016

KPMG Audit
A division of KPMG SA
Marie-Christine Jolys
Associate

Neuilly-sur-Seine, 22 February 2016

PricewaterhouseCoopers Audit
Agnès Hussherr
Associate

CORPORATE SOCIAL RESPONSIBILITY

6

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NB: The whole of this chapter meets the regulatory reporting obligation under Article 225 of the Grenelle law II and decree No. 2012-557 of 24 April 2012 on the transparency obligations of corporate, social and environmental responsibility.

NB: The acronym CSR stands for Corporate Social Responsibility.

6.1 CSR GOVERNANCE AT LA BANQUE POSTALE

Since its creation, La Banque Postale, a public service bank serving the real economy, has chosen a unique, solid, responsible and sustainable business model. As a bank for everyone, it has always welcomed every person with respect and consideration, irrespective of their situation. A useful bank, it offers responsible, simple and innovative services along with quality advice. La Banque Postale maintains close relationships with all of its customers, individual and corporate, thanks to the post offices' unique network and its numerous interconnected and long-distance access services. Focused on regional development, La Banque Postale harnesses French people's savings for local development and energy transition projects in the country. The bank built on trust, it gives first priority to its customers' interests and to the management of both financial and extra-financial risks. As a "civic-minded bank", it shares and creates a new relationship with money and the bank along with its customers. This relationship of trust, acclaimed by its customers and stakeholders alike, is its greatest pride and its finest quality; it is built each day through respect for the men and women working in its organisation, and through respect for the environment.

As of 2014, La Banque Postale's governance of Corporate Social and Environmental Responsibility (CSR) is the remit of the Bank's **Executive Committee**, chaired by the Chairman of the Executive Board, which deals, twice a year, with CSR-related issues. The Executive Committee validates the selected projects, decides on the major strategic guidelines regarding CSR and ensures that the proposed projects can produce results that will make CSR a factor of differentiation, performance and profitability for La Banque Postale. In 2015, the Executive Committee approved the budget for La Banque's

Carbon Fund and other projects for which financing is required (see the chapter on *Commitment to the environment*); confirmed the action programmes that were proposed following the outcome of the extra-financial ratings exercises, and chose the projects selected as part of the in-house CSR Diagnostic during the spring of 2015. Moreover, since 2011, the **performance reviews** that are part of Le Groupe La Poste's key governance systems have included a focus on CSR. This body enables La Banque Postale to bring attention, on an ad-hoc basis, to topical issues and keep track of CSR strategic developments and indicators.

La Banque Postale's current **CSR policy** was defined in the period 2012-2015. It is based on five focus areas, broken down into 12 missions and 25 priority projects, each of which is backed by monitoring indicators and qualitative and quantitative objectives (see section on "La Banque Postale's CSR policy"). In 2015, the first stage in updating our CSR policy saw us refocus policy structure around four economic, social, societal and environmental commitments. Projects will also be reviewed in 2016 and new ones planned for the 2016-2020 period.

La Banque Postale's **CSR guidelines** — based on ISO 26000 — helped us to prepare the framework to assess and prioritise CSR issues. In 2015, this materiality analysis measured the importance of these challenges in the eyes of internal and external stakeholders and provided the information to map the most relevant issues for the Bank. The exercise will prove an invaluable source for updating our CSR policy in 2016.

Materiality analysis

The **materiality matrix** was drawn up internally and positioned four out of five customer topics in the first quartile of the matrix: responsible customer relations, responsible offering, data confidentiality and access to products and services. The analysis confirms the Bank's strategic plan and its focus on always placing customers' interests first.

The fifth topic, new consumer modes and practices, is close to the first quartile and can therefore be viewed as emerging. This positioning is in line with the improvement priorities identified by extra-financial ratings agencies and with the internal CSR diagnostic conducted in 2015, which found that CSR was not adequately considered in designing products and services.

In response, the Bank launched its green range ("*Gamme Verte*") in October 2015 (see "*Responsible Offering*"). La Banque Postale's line-up of loan, savings and insurance offerings now includes green value-added products and services.

Another concern that becomes clear from the materiality matrix is the importance of embedding CSR in governance bodies. In response, the members of the Supervisory Board will receive training in CSR issues starting in the first half of 2016. In another symbol of its CSR commitment, La Banque Postale's incentive agreement included a sustainable development indicator (the Bank's extra-financial credit rating) in the calculation criteria for the first time in 2015.

Last but not least, the inclusion of two supplemental CSR modules in the training catalogue of the École de la Banque et du Réseau also adds weight to the bid to raise awareness of the issues (see "*Raising awareness*" below).

Another concern that emerged from the materiality matrix as deserving of particular attention is the identification and management of extra-financial risks. When considered in light of Article 173 of the French Energy Transition and Green Growth Act (*loi Transition Énergétique pour la Croissance Verte*), the centrality of the risks associated with climate change comes to the fore. Accordingly, for the first time in 2015, during the half-year review of trading room exposure to extra-financial risk, La Banque Postale included a measure of the level of susceptibility to climate risk. The Bank assesses the indirect carbon footprint of its portfolios and the findings inform the Bank's investment decisions taking the companies' environmental impact into account (see the section on "*Management of extra-financial risks*").

In conclusion, a comparison between the results of La Banque Postale's materiality matrix and the action programmes that emerged from the CSR Diagnostic exercise confirms that the decisions made in this respect are firmly within the guidelines established.

Raising awareness

Throughout the year, the CSR department and the CSR correspondents in the various entities and establishments raise employee awareness on CSR issues and projects. The teams are mobilised every year during the five weeks of nationwide events organised around the following themes: sustainable development, mobility, socially responsible investment, employment of disabled persons and reducing waste. As an example, during the 2015 Sustainable Development Week, the Bank's CSR policy was highlighted via a temporary exhibition at 37 locations throughout France, focusing in particular on responsible products and services. Employees were also provided with kits to raise awareness of environmentally friendly practices.

The Internal CSR network, for its part, with about 140 employees, receives special attention as the main driver for the reporting and consolidation of extra-financial information. Conference calls are organised every two months to pass on information from head office to the field and to share local best practices. The CSR department

held an information and discussion seminar on 2 December 2015 to reassert the importance of the annual extra-financial reporting process and unite people from all departments, subsidiaries and locations around the issues. In 2015, La Banque Postale also put together **two CSR training modules**: the first addresses "The basics of sustainable development and CSR", while the second focuses on "How to be proactive and implement La Banque Postale's CSR policy". The two modules form part of the training catalogue offered by the École de la Banque et du Réseau and may be taken by the 70,000 employees of the Bank, Financial Services and La Poste Network who are interested in Corporate Social Responsibility and its operational implications on the ground.

Lastly, on the Executive Committee's suggestion, initiatives to increase awareness of CSR challenges will be introduced for the members of the Supervisory Board. A specific training module is being developed and will be ready during 2016.

6.2 LA BANQUE POSTALE'S CSR POLICY

La Banque Postale's CSR policy, developed up to 2015 and validated by the Responsible Development Committee in June 2012, is based on 12 missions and 25 flagship/priority projects. It will be reviewed in 2016 to cover the period 2016-2020. The table below shows where to find the results of this roadmap in the pages that follow.

Missions	Projects	Revenues
Help to maintain social links (teaching the use of banking services and budget management, face-to-face relationships, etc.)	Assist financially-vulnerable youths in the management of their budgets and bank accounts	See chapter on Economic commitment > Banking accessibility > A partnership approach to contribute to the development of financial education
	Offer employees a programme which enables them to get involved on a voluntary basis in the teaching of budget and bank account management	See chapter on Economic commitment > Banking accessibility > A partnership approach to contribute to the development of financial education
Promote access to financial products and services for all	Expand the offer dedicated to vulnerable customers	See chapter on Economic commitment > Banking accessibility > Promote access to financial products and services for all
	Give advisors solutions to meet the expectations of disabled persons	See chapter on Societal commitment > Customer accessibility to premises and services
Identify and spread good customer relations practices, over and above regulatory requirements	Lay down a Responsible Customer Relations Charter	NA
	Assist vulnerable customers in their relationship with the Bank	See chapter on Economic commitment > Responsible customer relations > Listening to customers
Engage in responsible commercial management with bank advisors	Design and share a framework to measure the expected quality of service and that delivered to customers	NA
	Set up variable remuneration partly based on the contribution to collective results and qualitative performance	See chapter on Economic commitment > Responsible customer relations > Appropriate and responsible counselling
Assist people undergoing financial difficulties	Use synergy with local players to expand the regional map of social assistance organisations	See chapter on Economic commitment > Responsible customer relations > Assistance to people experiencing financial difficulties
Put forward a transparent, simple, clear and responsible offering focused on essentials	Take social and environmental responsibility criteria into account in the entire product/service offering	See chapter on Economic commitment > Responsible offering > paragraph ESG Checklist: integration of ESG criteria
Integrate Corporate Social Responsibility in a dedicated eco-responsible offering	Develop a range of eco-responsible products with social and/or environmental added value (savings products, credit products, insurance products, etc.)	See chapter on Economic commitment > Responsible offering > Products and services with added social and/or environmental value
	Involve all Asset Management subsidiaries in ESG integration	See chapter on Economic commitment > Responsible offering > Responsible asset management
	Extend the ESG integration process to the Insurance Division	See chapter on Economic commitment > Responsible offering > Responsible insurance
Systematically take into account extra-financial risks in the management of all projects conducted by La Banque Postale	Raise risk managers' awareness of the need to integrate ESG risks in their risk management	See chapter on Economic commitment > Management of extra-financial risks > Integrating extra-financial risks into operational risks
	Offer the business lines an opportunity study tool integrating Corporate Social Responsibility and suited to the Project Management Method	See chapter on Economic commitment > Management of extra-financial risks > Integrating extra-financial risks into operational risks
Provide the business lines concerned with appropriate extra-financial risk management tools	Lay down sector-specific policies or investment guidelines for higher-risk sectors covering asset management and the financing activities of corporate customers	See chapter on Economic commitment > Management of extra-financial risks > Measuring the level of exposure to extra-financial risks
	Analyse the extra-financial risk level of the stock market portfolio at regular intervals	See chapter on Economic commitment > Management of extra-financial risks > Measuring the level of exposure to extra-financial risks

Be a responsible employer	Develop responsible management (respect for employees, giving meaning, managing change)	See chapter on Social commitment > Career development and employee support and Occupational health, safety and well-being
	Integrate Corporate Social Responsibility criteria in the managers' variable remuneration	See chapter on Social commitment > Comprehensive and competitive compensation policy
	Promote equal opportunities	See chapter on Social commitment > Diversity, disability and equal opportunity
Promote the societal values of the Bank with its internal and external stakeholders	Promote employees' civic commitment	See chapter on Societal commitment > Corporate sponsorship and partnerships > Leave for humanitarian missions and skills-based volunteering at national level
	Deploy a responsible purchasing policy, both in-house and with the supply chain	See chapter on Societal commitment > A responsible purchasing process
Control the environmental impact of business activities	Control CO ₂ emissions	See chapter on Environmental commitment > Combating climate change
	Control paper consumption	See chapter on Environmental commitment > Paper Consumption
	Roll out the Green IT project	See chapter on Environmental commitment > Combating climate change > Greenhouse gas emissions related to computer equipment

6.2.1 Economic commitment

6.2.1.1 Banking accessibility

Originating from La Poste's Financial Services, La Banque Postale is the only bank that was granted a **banking accessibility** function through the Economy Modernisation Act of 2008. Welcoming every person, irrespective of their situation, and offering them appropriate banking solutions – such is the Bank's commitment. Under the law of 9 February 2010, La Banque Postale must also **prevent over-indebtedness** and **promote micro-loans**.

In the new public service contract for 2013-2017, La Banque Postale has confirmed its commitment to provide information to and raise awareness among people in financial difficulty by offering the most appropriate products and services, especially in terms of modern and inexpensive means of payment. La Banque Postale has also committed to facilitate social home ownership through loans suited to the resources of low-income people.

In addition to its banking accessibility function and its reasonable pricing policy, La Banque Postale thus plays an essential role in combating banking exclusion through its daily actions to enable access to quality banking services to the greatest number of people, and by providing guidance to financially vulnerable customers, notably to prevent over-indebtedness and **develop an original, comprehensive approach to banking inclusion**.

A partnership approach to contribute to the development of financial education and to combat banking exclusion

As a bank for everyone, La Banque Postale has made assistance to customers in financial difficulty one of the objectives of its strategic plan for 2011-2015, "Putting the customer first: making the difference".

Its commitment involves assistance on several **training projects** focused on the use of **banking services**.

For example, La Banque Postale, in partnership with, notably, the Missions Locales network, has offered **budget management workshops for young people** since 2012. These workshops, run by volunteer

employees of Le Groupe La Poste, cover budget management, how to use a bank account, how to use credit and how to save. Several hundred young people accommodated by local organisations were thus able to benefit from these workshops over four years.

In 2014, this commitment by employees of La Banque Postale and Le Groupe La Poste was extended to include new **skills-based volunteer assignments to promote banking inclusion**. Since 2014, around 200 employees have volunteered to carry out four types of assignments: budget and finance workshops with young people or partner non-profit associations working to combat banking exclusion; sponsorship of a mini-enterprise to help a team of 10 to 20 students "create a business", supervised by the *Entreprendre pour Apprendre* non-profit association; and assistance for creating a micro-enterprise with PlaNet Finance France. This programme was awarded the 2015 "Special jury prize" during the "R Awards 2015" in recognition of employees' volunteer work to help vulnerable customers. Organised by the experts in the Club *Génération Responsable's* working committees, the annual "R Awards" recognise noteworthy responsible initiatives by distribution and commercial companies organised into retail outlets.

These initiatives supplement **partnerships established with non-profit associations involved in providing assistance to vulnerable populations throughout France** in Post Office branches and supported by La Poste Network. More than 100 non-profit partners (including PIMMS, FACE and Unis-Cité, amongst others) are active in 66 regions throughout France. As of the end of 2015, and 343 Post Office branches located in deprived urban areas (ZUS by their French acronym) can offer interpreters or mediators.

La Banque Postale and La Poste also provides training sessions to local associations, as well as a turnkey kit of instructive tools on the use of postal services, including banking services (La Poste guide according to customers' real-life situations, "step-by-step" fact sheets on transactions carried out in an office/on internet/by phone, training materials, model bank letters).

Regarding instruction on budgeting and finance, La Banque Postale also supports the non-profit association, **L'Institut pour l'éducation financière du public (IEFP)** (Institute for the financial education of

the public), which is accredited by the French Ministry of Education. This public interest organisation, better known under the name *Finance pour tous*, was created to help citizens acquire basic knowledge of finance. Its goal is to enable everyone to understand the economic workings of the world in which they live and to make informed decisions on the matters that concern them. Since 2014, La Banque Postale has sat on the Board of Directors of this non-profit association and has circulated educational and instructive documents on how to properly manage a budget to its advisors. The Finance Pour Tous team now also has an employee in the Bank under a skill-based sponsorship scheme.

La Banque Postale and La Poste Network also decided to support the plan to create the **magazine Debout**, aimed not only at the 8.6 million people living below the poverty line (14% of the population according to INSEE) but also at low-income households, students and social workers. This free educational magazine is distributed to social and non-profit associations and offers advice, fact sheets, tips and instruction leaflets. Within Le Groupe La Poste, it is sent to the Company's social workers in particular, who are in charge of providing support to La Poste employees in distress.

Lastly, La Banque Postale supports the non-profit association **CRESUS**, recognised as being of public interest, in its initiatives to promote budget management education. La Banque Postale accordingly takes part in promoting the **DYLEMME** game and in the Budget Days initiated in the City of Strasbourg in 2014.

To expand its knowledge of the needs and practices of customers in a situation of financial vulnerability, La Banque Postale has, since 2012, undertaken a programme of exchange and cooperation with its stakeholders involved in combating banking exclusion. For example, La Banque Postale actively participates in the public authorities' **deliberations on banking inclusion**. In December 2012, it was a member of the working group that led to the production of an action plan to combat banking exclusion, part of the Multi-Year Plan to combat poverty and promote social inclusion that was adopted in January 2013.

In 2014, La Banque Postale accordingly contributed to the **Caisse des dépôts** report to encourage the growth and promotion of micro-loans in France, and to the **CCSF report** to develop education in banking and budget management.

In 2015, La Banque Postale participated in the process leading to the introduction of Budget Help Points.

Lastly, La Banque Postale sits, alongside representatives of the government, consumer and family non-profit associations, non-profit associations combating exclusion, and other lending institution representatives, on the **Observatoire de l'Inclusion Bancaire (OIB)**. The creation of this observatory, provided for by the Banking Act of 26 July 2013, is one of the key measures of the multi-year plan to combat poverty and promote social inclusion. Its purpose is to monitor lending institutions' practices with regard to banking inclusion, especially towards populations in financial difficulties. The work of the Observatory will provide public authorities and all the stakeholders with objective data, both quantitative and qualitative, to assess practices and changes in practices in order to identify potential improvements.

La Banque Postale has also initiated **direct exchanges and nurtured relations with public players in the social sector and non-profit associations combating exclusion** so as to promote "banking inclusion", i.e. the establishment of schemes facilitating access to and use of financial services for customers in a socially vulnerable situation.

Convinced that only active and organised cooperation will make it possible to meet the challenges of banking and financial exclusion, in October 2012, La Banque Postale founded a think tank tasked with developing new practices in response to the needs of customers in a

situation of financial vulnerability. The ambition of this think tank, called **"The Initiative against banking exclusion"**, is to:

- ▶ increase mutual knowledge between populations in financial difficulty and institutions, banking and other types, interacting with them;
- ▶ learn together in order to create and test products, services and practices that take into account the real expectations of these customers;
- ▶ promote and defend, especially to public authorities, the most appropriate solutions created collectively.

As an open organisation, this think tank welcomes all players in the social, non-profit association and banking world who share its goals and want to develop new initiatives to combat banking and financial exclusion. It includes, at present, ADIE (*Association pour le droit à l'initiative économique*, Association for the Right to Economic Initiative), ANDML, the Salvation Army, ATD Fourth World, La Banque Postale, CRESUS (*Chambre régionale du surendettement social*, regional chamber for social over-indebtedness), the French Red Cross, Emmaüs France, Habitat et Humanisme, Restos du cœur, Secours catholique, Soliha, Secours populaire and UNCCAS (the national union of municipal centres for social action). 2015 saw two new organisations join the think tank (ANDML and Soliha). Also this year, a new group was formed to hear the concerns of the volunteers working in the non-profit sector with vulnerable groups and discuss matters related to banking. The aim is to deepen the Bank's understanding of their needs and improve practices.

La Banque Postale also supports the **Action Tank Entreprise et Pauvreté** ("Company and poverty"), a non-profit association (*association de loi 1901*) that aims to promote the development of experimental entrepreneurial projects having an impact on the reduction of poverty and exclusion in France. The Malin, Mobiliz and Optique Solidaire programmes are promoted by account managers of La Banque Postale's support platform (**L'Appui**). As part of the work of the Action Tank *Entreprise et Pauvreté* (Company and poverty action tank) this year, La Banque Postale helped to specify the parameters of a "mobility flat-rate package" and contributed to the discussions on a multi-risk housing product for vulnerable customers.

Promote access to financial products and services for all

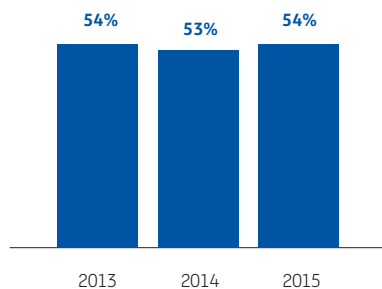
Under French law, everyone is entitled to open a deposit account and to basic banking services. Through the network of post offices, La Banque Postale undertakes to welcome any person, irrespective of their situation.

Faithful to its Post Office values of local presence and service to the man in the street, La Banque Postale is guided by the principle of welcoming everyone, and a policy of offering each of its customers, whatever their situation, the most suitable banking and insurance services, for a reasonable price (*for accessibility to the premises and services for disabled customers, see the chapter on societal commitment*).

Regarding affordability, La Banque Postale reasserts its policy of moderate prices and customer service. As a civic-minded bank, La Banque Postale has chosen to use reasonable prices, i.e. prices that cover the costs inherent in a sustainable high-quality service and robust coverage of its customers' essential needs, while ensuring a reasonable margin for the Bank to finance its expansion. La Banque Postale is accordingly one of the least expensive major retail banks.

Regarding the accessibility of its bank product offering, La Banque Postale offers thresholds of accessibility to its products that are the lowest on the market.

La Banque Postale allows every French resident, including the most impoverished, to have a bank account for domiciliation of their income, withdrawing cash and issuing payment orders at its counters. As part of this public service and access to banking mission, the bank is therefore obliged to open a **Livret A** account "for any person who requests it" and to effect deposits and withdrawals of a minimum of €1.50 on such accounts (compared with €10 at other banks). La Banque Postale managed a large number of small transactions on a daily basis during the financial year: at the end of 2015, out of nearly 17.5 million Livret A accounts, 54% had assets of less than €150. This role makes the Bank a major player in promoting access to banking services.



■ Percent of Livret A accounts with a balance of less than €150

Moreover, La Banque Postale has always promoted access to accounts and basic banking services for financially vulnerable populations. It offers them a range of alternative payments to cheques ("GPA"), the *Formule de Compte simplicité* ("easy account"). The Bank makes this offer to customers who have had their banking services suspended or have had a card suspended for misuse or over-indebtedness. Since October 2014, in accordance with the July 2013 Banking Act, it also offers it to customers in vulnerable situations who have had recurring payment incidents for three consecutive months. With this *Formule de Compte*, it is possible to pay for purchases and settle invoices with a systematic authorisation card (the Réalys card), unlimited debits, two free bank cheques per month, and four free funds transfers per month, including one standing order. To facilitate management of their account, the customer receives a monthly statement online or by mail, online account management services, and a "balance" alert service via SMS, with three free alerts per month. In the event of an incident, the costs of rejection of debit and intervention fees are capped at five transactions each per month, at a special rate. The subscription to the *Formule de Compte simplicité*, consistent with the Bank's moderate pricing policy, is below the ceiling provided for in the decree.

In addition, in January 2014, La Banque Postale launched a **frequent-authorisation Visa card** in response to the needs of the greatest number of customers. This card provides access to services such as insurance and roadside assistance, and to the payment and withdrawal caps of a conventional Visa card. It also makes it possible to pay into revenue collection systems (motorway tolls and some car parks), which do not accept the Réalys card (systematic authorisation).

With more extensive services while maintaining risk control, this card is a real innovation allowing adaptation to customers' use.

Lastly, since April 2013, La Banque Postale has launched the **Protectys Card**, the first prepaid and rechargeable bank card for protected adult customers or their legal representatives. This international Visa card, when used with a PIN code, allows withdrawals and payments to be made within the limits of a weekly amount set by the legal representative. In addition, an alert system keeps the representative,

as well as the protected adult, informed of the amounts used. In addition to simplifying management of everyday expenses and budgets, all transactions can be very clearly followed. More than one in four protected adults have an account at La Banque Postale: this new card is a real innovation for these individuals, unmatched by any competitor. At the end of 2015, 3,100 Protectys Cards had been distributed (versus 2,210 at the end of 2014); they represent 4% of the number of prepaid cards.

Facilitating access to credit

La Banque Postale also promotes **access to credit for customers on a modest budget**, while remaining extremely vigilant regarding the solvency of its borrowers. It offers responsible credit with follow-up and guidance aimed at protecting the customer, and within this mode of operation unique to the Bank, it grants home loans and consumer loans, both redeemable and renewable.

Regarding **home loans**, La Banque Postale enables young people under the age of 36 to benefit from home loans, even without a down payment. Although it is extremely demanding with regard to the solvency of loan applicants, it has also enhanced access to credit via an offering of "**PAS**" **loans providing access to social home ownership**. With this offer, introduced at the end of 2012 in response to the needs of its customers, La Banque Postale helped more than 34,200 customers obtain access to home ownership. Thanks to all the home buying solutions proposed in partnership with social housing organisations, in 2015, La Banque Postale placed €2,165 million on the market in outstanding loans for low-cost home ownership. At the end of 2015, La Banque Postale had 159 partners, a large majority of which are social housing associations. In the interests of improving management of partnerships promoting home ownership among customers and to encourage the granting of regulated loans, in 2013 and 2014, La Banque Postale deployed Social Home Ownership Scheme Officers, reporting to the new regional Operational Directors for Property Prescription. Their mission is to facilitate regional contacts between social housing associations, the Network and the Bank's specialist property advisors.

Finally, PSLAs (*prêts sociaux à la location accession, rent-to-own social loans*) were also launched in 2013. This offering will continue to expand in 2015. La Banque Postale has undertaken to finance 520 housing units via PSLA loans (see *Enterprise and Territory chapter, Societal Commitment section*).

As regards home loans, at the end of 2015, 20.32% of borrowers earned less than two minimum wages per month.

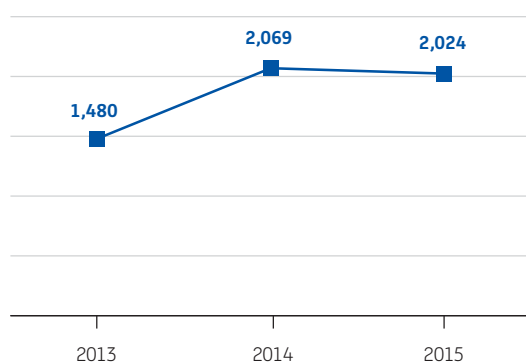
With regard to **consumer credit**, loans priced among the lowest in the market are offered by La Banque Postale Financement with affordable terms and financing amounts: personal loans (car, work, projects), debt consolidation, products for young people, as well as a service specific to temporary employees.

With personal student loans, apprenticeship loans and €1 driving licence loans, La Banque Postale also responds to the specific needs of young people.

The personal loan for temporary workers enables La Banque Postale Financement to fulfil its role as a civic-minded Bank by offering financing to customers often excluded from other organisations.

Since February 2014, La Banque Postale goes further: for those "refused consumer loans" via the La Banque Postale Financement platform, customers excluded from banking services due to a lack of financial resources have been introduced to the **assisted micro-loans scheme** and either directed to the Crédit Municipal de Paris, a partner of La Banque Postale (for customers in the Paris region), or to the website www.france-microcredit.org for all other customers, to identify the partner closest to their home for microcredit financing.

Since 2012, La Banque Postale has offered personal micro-loans in partnership with local non-profit associations, responsible for identifying individuals who do not have access to banking services due to their low solvency and assisting them in their plans (partner associations include: Secours Catholique, UDAF, Croix-Rouge française, Les Restaurants du Cœur, etc.). In 2015, 32 new agreements were signed to meet the expectations of the most vulnerable customer looking for small amounts of financing, bringing to 132 the number of active partnerships. The Banque Postale offering is now proposed in 75 French departments (vs. 68 in 2014). In 2015, 2,024 personal micro-loans were disbursed, which represents a market share of 13.5% (vs. 13.9% in 2014). In all, since 2007, La Banque Postale disbursed 8,022 personal micro-loans for a total amount of €19 million, representing a market share of 9.6% (+0.9% in 1 year), making it the No. 5 personal micro-loans operator in France (as in 2014).



■ Number of micro-loans disbursed (including home micro-loans) ✓

Since August 2013, La Banque Postale has received the authorisation of the Social Cohesion Fund to finance, via personal micro-loans, so-called **"Précarité énergétique" (fuel poverty) projects**. Granted for a maximum amount of €10,000 for a maximum period of 72 months, this personal micro-loan is aimed at financing work that reduces a home's fuel poverty, adaptation or accessibility renovation work on a home occupied by an elderly or disabled person, and slum clearance work. In 2015, 52 non-profit associations worked alongside the Bank to develop this type of financing through partnership agreements in 33 regions in France, with 12 new agreement signed in 2015.

In 2015, La Banque Postale was especially active in expanding its home renovation loans to tackle fuel poverty. France's Energy transition for green growth Act (*Loi transition énergétique pour la croissance verte*) sets out the basic principles of interest-free eco loans (dubbed Eco-PTZ) and home improvement grants (ANAH) which should open the way for the Bank to provide a more efficient range of solutions for customers in social housing in 2016.

Since 2012, La Banque Postale has offered **business micro-loans** in partnership with ADIE. This non-profit association, which is a specialist in aid for micro-entrepreneurs, provides its expertise to train the Bank's advisors in providing assistance to these project leaders. The two partners are especially interested in financially vulnerable customers residing in deprived urban areas who want to

lead a project. The goal is to help people excluded from the labour market and having no access to bank loans to set up their business thanks to a small loan over a short period of time. La Banque Postale customers in search of this financing are identified in Post Office branches and, since 2014, also via La Banque Postale's Online Bank in Châlons-en-Champagne, which directs them to the ADIE's national phone platform in Lille, so that ADIE can assist them with their career plan. Since the introduction of this partnership, around 1,500 micro-entrepreneurs have been assisted and more than 200 have been able to complete their projects thanks to ADIE financing. Also, since 2015, customer support managers have received ADIE training in promoting entrepreneurship. By offering appropriate financing solutions with a benchmark non-profit association, La Banque Postale combats banking exclusion in a concrete manner and fully plays its role with small business operators.

6.2.1.2 Responsible customer relations

The welcome given customers, customer management and quality of service are perfectly in line with La Banque Postale's "Civic-minded Bank" strategy. A responsible customer relationship is a relationship based on quality advice, ensured by an appropriate counselling method and customer-focused commercial management and advisor remuneration. Responsible practices are implemented in all circumstances throughout the banking relationship: trust, support, listening, monitoring and transparency.

Appropriate and responsible counselling

The counselling method is based on La Banque Postale's **professional ethics handbook** (see the section on Management of Extra-Financial Risks), which clearly emphasises the importance of responsible sales practices. In addition, La Banque Postale's **semantic guide** reflects its fundamentals and its values, and enforces clear, simple, and transparent marketing pitches.

La Banque Postale always strives to ensure that its products are suited to its customers' situations and needs. Since its introduction in 2016, the **7G method**, approved by extra-financial rating agencies, has underpinned the customer-advisor relationship. It is based on exhaustive knowledge of customers, ensuring that they receive the right advice for their needs and plans. A number of developments between 2012 and 2015 made it possible to further develop the quality of advisory work, via an interview preparation tool that provides a clear picture and thorough understanding of each customer, and a comprehensive, educational diagnostic tool to help devise the most appropriate financial solutions with customers.

In order to identify and understand customers' needs and offer them the right products, La Banque Postale's Banking Advisory Line is structured in order to best meet their expectations. For example, right from the start, the Bank set up a network of specialist **property advisors**. This has enabled customers to benefit from the expert counselling of 689 advisors, supported by 48 CPCIs (*Conseillers prescription crédit immobilier*, prescription home loan advisors). Moreover, to meet customer requirements, the Bank has trained specialised advisors dedicated to corporate customers (companies, organisations and social housing associations). In order to ensure the quality of the service provided, the Bank's advisors receive regular training.

From the beginning, La Banque Postale pays close attention to the way in which it promotes its products to its customers, using **clear, informative communication materials**: instruction leaflets, videos, key points, guides, etc. The various communication campaigns based on transparency, simplicity and clarity contribute to building a long-term, quality relationship right from the start. A property guide is available on La Banque Postale's website, and is updated regularly so that all customers may stay informed.

Lastly, to build customer satisfaction, the quality of counselling and the development of a long-term relationship are based on a **commercial management system** focused on the training of advisors and a **remuneration system** that includes qualitative and quantitative components, both individual and collective. This is why each advisor signs an annual performance contract and reviews his/her progress with the line manager three times a year at joint evaluation interviews. The contract is structured around three pillars:

- ▶ fundamentals of the advisor's job: based on a good knowledge of the customer and product range, the duty to provide advice corresponding to the customer's needs and plans, risk management and compliance with ethical and compliance rules and, lastly, the search for collective success to achieve customer satisfaction;
- ▶ activities: emphasising the importance of proactiveness in responding to customers' requests and the knowledge of our sales methods ensuring the quality of advisory services;
- ▶ qualitative and quantitative indicators best characterising performance.

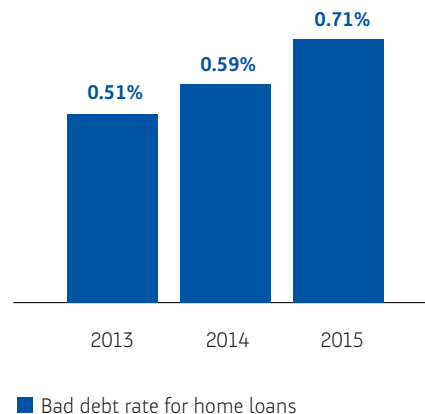
On 17 December 2014, the Bank signed a social agreement for its bank marketing line with the trade unions. In force as of 1 January 2015, the agreement embodies La Banque Postale's commitment to developing its advisory role, while guarding against the risk of flawed advisory services that could result from a situation where variable remuneration forms too significant a portion of total remuneration.

For 2016, La Banque Postale is making changes to the variable remuneration system applicable to advisors. By adopting a pay scheme based, equally, on the collective team performance and on each individual's contribution to the team's results, La Banque Postale has continued to pursue its aim of a remuneration model that reflects its principles of ensuring first-rate advice for customers in the framework of long-term relationships.

Contract signing and monitoring: cautious risk management, regular monitoring and prevention of over-indebtedness

The signing of a product contract and its subsequent monitoring are crucial stages in building a responsible customer relationship. Prudent risk management and regularly monitoring the customer's situation are thus essential.

For example, in the commercialisation of a home loan offer, the specialist property advisors carry out a personalised study of the real estate transaction and consider the acquisition project within a comprehensive approach (taking into consideration the remaining disposable income, promoting home savings schemes, etc.). Thanks to appropriate advisory services and an objective analysis of customers' situations, La Banque Postale's bad debt rate remains among the lowest on the market (0.71% as of 31 December 2015 versus 0.59% as of 31 December 2014 and 1.73% for the market average at the end of 2014), while managed outstanding loans exceeded €50,051 billion.



La Banque Postale's bad debt rate is among the lowest on the market (market average as of the end of 2014: 1.73%).

The criteria for granting **consumer credits** are also stringent and based on an exacting lending policy and cautious risk management to avoid customer over-indebtedness. As of its founding, La Banque Postale made prevention of over-indebtedness and assistance to its customers the focus of its responsible lender approach. For this purpose, it designed and established a comprehensive and coherent system for preventing over-indebtedness, coming into play during the lending stage and continuing throughout the contract period. The guidelines are intended to anticipate and identify potential financial difficulties to be in a position to act early and provide support:

- ▶ **when examining the consumer loan application**, La Banque Postale calculates the borrower's repayment capacity using a budget simulation signed by the borrower, knowledge of the customer's history, and a precise examination of the supporting documents for acceptance of the loan;
- ▶ **throughout the duration of the loan**, La Banque Postale remains vigilant under its customer relations management scheme in order to detect any signs of financial difficulty as early as possible. To this effect, all the advisors in the Customer Relations Centre of La Banque Postale Financement are trained in detecting signs of vulnerability;
- ▶ **as part of customer relations**, on each contract anniversary date, the borrower is offered a budget assessment to update his/her situation and check its appropriateness with respect to the outstanding loan. These tailored assessments between advisor and client are useful for customers in planning or adjusting their budget, and are also the opportunity to update customers' data, restructure or adjust a loan and discuss new loan applications.

The Hamon Act passed on 17 March 2014 in France allowed the widespread introduction of **revolving credit**. This offer, fully compatible with the provisions of the law, now forms an integral part of La Banque Postale's range of consumer loans.

Positioned between an overdraft facility and a personal loan, it enables customers to cope with temporary cash flow shortfalls and unexpected expenses, or carry out small projects under well-managed conditions. Moreover, the Extension Option, which can be activated or deactivated at any time via phone or internet, makes it possible to credit the CCP post office account, if the overdraft facility is exceeded.

The revolving credit range is both simple and responsible: rates among the lowest on the market, a range of repayment periods, including an accelerated rate (30% faster than the legal obligation), and partial

or complete early repayment at no extra cost is possible at any time and can be arranged by phone or online.

In keeping with the Bank's values, this offer is clear, detailed, transparent and responsible. It is entirely based on knowledge of the customer, developed through the quality of the banking relationship. Indeed, preventing over indebtedness has been a core concern in the designing of this offer. The offer is accordingly reserved for customers of La Banque Postale having a Compte courant postal (CCP: post office bank account). It is offered mainly in Post Office branches, following a detailed examination of the customer's expenses and income. An introductory guide setting out the good and bad uses of revolving credit is also available to customers.

Customers also receive comprehensive information throughout the term of their loan, through a dedicated account statement, real-time information and SMS/e-mail alerts.

Lastly, to identify any financial difficulty, an annual budget assessment is offered to all customers and special assistance is always available in the event of hard times.

Assistance to people undergoing financial difficulties

In parallel with its banking accessibility actions, La Banque Postale is very committed to assisting people undergoing financial difficulties. For this purpose, it now has an original scheme, set up with the help of non-profit associations involved in combating social exclusion, such as the French national union of communal social action centres (UNCCAS) and the regional chamber for social over-indebtedness (CRESUS).

In November 2013, La Banque Postale created "**L'Appui de La Banque Postale**", a banking and budgetary advisory and guidance platform accessible to customers via a unique toll-free number. This new service has a dual mission: on the one hand, assisting any customers of La Banque Postale experiencing one-off or recurring financial difficulties, and, on the other hand, improving the prevention of financial difficulties. The customer service managers on this new platform assess the customer's spendable income after reviewing their budget to check for any non-conferred rights or to identify any cases of heavy indebtedness or over-indebtedness.

The L'Appui customer service managers can then propose, where applicable, to put the customer in contact with partners, non-profit associations or voluntary groups (CCAS, UDAF (*Union départementale des associations familiales*, the regional union of family associations), FASTT (*Fonds d'action sociale du travail temporaire*, the social action fund for temporary work), FACE (*Fondation agir contre l'exclusion*, the foundation for action to combat exclusion), etc.) to promote access to social rights or rates; and for poor debts with specialist debt restructuring or loan consolidation agencies, such as La Banque Postale Financement or CMP Banque (Crédit municipal de Paris Banque), or CRESUS for cases of over-indebtedness. Finally, under certain conditions, the platform can provide access to social offers suited to the needs of customers in difficult financial situations, developed by Action Tank *Entreprise et Pauvreté*. As of the end of December 2015, more than 16,200 customers had been able to receive support from L'Appui.

On 25 June 2014, L'Appui de La Banque Postale was selected among "15 solidarity involvement initiatives that are changing France".

These initiatives are supported by the President of the Republic as part of the programme called *La France s'engage*. In November 2014, La Banque Postale was honoured by the website www.choisir-ma-banque.com, winning the special "*Banque de tous*" prize for 2015, notably thanks to L'Appui (<http://www.lestropheesdelabanque.com/#prixspeciaux>).

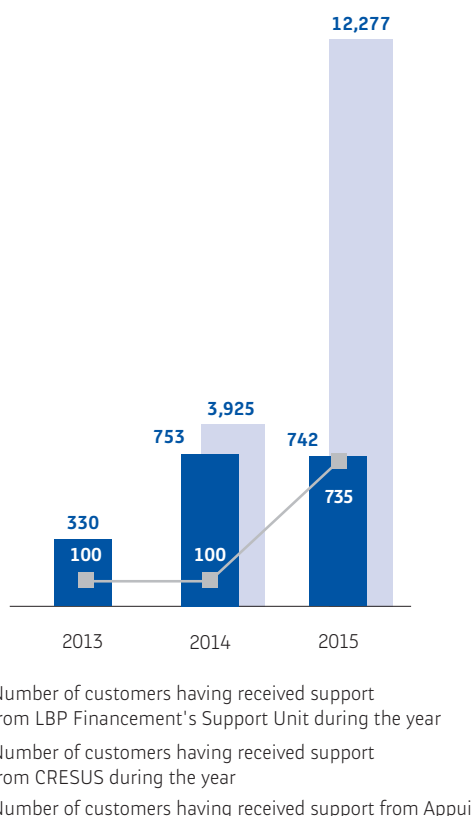
La Banque Postale, a partner of CRESUS since 2010 within the framework of the business of its specialist consumer lending subsidiary, therefore, with the launch of the L'Appui platform, strengthened its ties with this non-profit association recognised as a mission in the public interest. From now on, active customers of La Banque Postale undergoing financial difficulties associated with heavy indebtedness or over-indebtedness and who cannot be effectively assisted by the L'Appui platform will be directed to the non-profit association CRESUS. This organisation will provide intermediation support with various creditors to obtain coordinated and long-lasting adjustments as well as social and economic assistance for the customer's financial recovery. This collaboration was developed as part of a partnership agreement between La Banque Postale and CRESUS, signed in December 2013.

In November 2015, the French data protection authority (CNIL) approved the general outline of the proposed trial of the platform and authorised La Banque Postale to extend the scope of its L'Appui actions to all Bank customers experiencing temporary or more long-term financial difficulties and to all of its contact channels. The year-end saw the L'Appui team grow to 36 employees, all of them trained in providing support for customers with limited budgets. The scope of L'Appui now extends to La Banque Postale customers in the French Overseas Departments.

As part of its consumer lending and revolving credit business since 2012, La Banque Postale Financement has established a **two-level support system** in order to monitor customers experiencing financial difficulties.

- ▶ a **support unit**, dedicated to vulnerable customers who accept specific monitoring based on listening and education, was established when this activity was launched. With the help of the customer, the advisor carries out a detailed analysis of the person's financial situation and difficulties, draws up a diagnostic to guide the customer towards loan restructuring or loan consolidation, or more comprehensive support if needed. Regular meetings are scheduled to ensure on-going monitoring. In 2015, 742 customers were assisted by the support unit;
- ▶ for the most complex situations and for loans taken out with other lenders, La Banque Postale Financement has entered into an agreement with CRESUS (see above). In such cases, CRESUS initiates direct actions to rebalance the budget of customers having submitted an excessive debt file, to put them in contact with social bodies, or to steer them towards its local branch or assistance network. In 2015, 34 customers were assisted by CRESUS in this way.

In addition to this service, La Banque Postale Financement also set up a preferred **partnership with L'Appui** to provide guidance for heavily indebted customers, based on loan consolidation applications rejected by the loan application unit at the Customer Relations Centre.

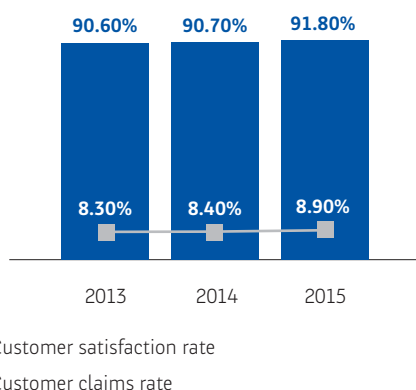


Listening to customers

Quality of service is the number one priority of La Banque Postale's 2011-2015 strategic plan: "Putting the customer first: making the difference". Indeed, this is a major **lever to ensure customer satisfaction and loyalty**. Various systems make it possible to monitor changes in the quality of service delivered:

- **national satisfaction surveys** were conducted across France. In 2015, the customer satisfaction rate was 91.8% (stable result compared with 2014) with 38% of customer "very satisfied", and the customer claims rate was 8.9%. Lastly, in terms of image, La Banque Postale has maintained its leading position on rates and geographical proximity.

Overall, it remains very well positioned for the image criteria measured except for modernity, but we would like to stress that although it is still lagging behind its competitors on this criterion, it has progressed in the past few years;



- listening to customers also means **listening to their complaints**. More than 400 employees handle customer complaints on a daily basis: the Financial Centres handle the first processing phase and the Customer Relations Department the second phase, processing appeals. In 2015, 90% of claims were processed in five days in the Financial Centres. In 2013, the Claims project, carried out to comply with the regulatory obligations of the Prudential Supervision and Resolution Authority (ACPR), led to increased awareness of "where and how to file a complaint", in particular with the creation of a new level of referral, the "appeal", and the modification of the Mediator's Charter. In terms of processing, this project allowed for homogenisation of claims processing and follow-up for all business lines and products. Since 2014, analysing the causes of complaints has enabled us to set up action plans to eradicate failures and bad practices. All of these projects fully contribute to improving the quality of service for our customers;
- moreover, the quality measuring systems established by the Quality Department, the Quality Barometer of Information Systems, Participative Innovation, Qualirritants and Quality Intelligence, all contribute to improving the customer experience from end to end by simplifying products, processes and organisations. They are important drivers for continuously improving **service quality**;
- lastly, in 2012, the Bank launched the **Customer Lab**, a collaborative platform for our customers, which involves them even more in the life of the Bank. Customers are encouraged to comment on news, share their opinion on our products and services, discuss the most recent trends in banking and also have the exclusive opportunity to beta-test some of our services. Customers are invited to comment on our news, give their opinions on our products and services, discuss the latest banking trends and exclusively beta test some of our services. Listening to customers and involving them in product design and adjustment promotes innovation, transparency, community and trust. To date, this exchange platform has around 25,000 users, more than 650 discussion topics posted, and around 3,000 published comments.

Other systems have been established by the Network:

- **the quality measuring systems established by the Network Quality Department** and the Operations Department were enhanced, to supplement and refine the insights obtained from the customer satisfaction indices and optimise management control over the fundamentals of quality of service;
- **the quality inspection system**: waiting, handling, "BRASMA", clarity and making bank appointments;
- **measuring bank advisory services**: welcome, receptiveness and efficiency of the advisor;
- **measuring phone accessibility**;
- **perceived service**: customer feedback systems designed to go further with customers, gain in-depth knowledge of their perceptions and be able to contact them in reply if they so wish. Customers can directly express their views regarding their satisfaction, with their intent enabling La Banque Postale to optimise the fluidity of circuits from end to end.

Responsible marketing data protection policy

The **Marketing Ethics Charter** governing how banking, financial and insurance products are marketed is the basis of the responsible marketing and client data protection policy of La Banque Postale. La Banque Postale's data protection and freedom policy is overseen by a dedicated individual, the Personal Data Protection Officer, or *Correspondant Informatique et Libertés* (CIL), who ensures that the Bank's marketing (and internal) procedures, do not infringe the main principles of protecting its customers' right to privacy.

The training provided to La Banque Postale advisors includes a module on knowledge of the customer and compliance with data

confidentiality. The general conditions of sale for post office bank accounts, savings and online banking also include terms and conditions relating to customers' confidential information.

La Banque Postale's marketing procedures that refer to access to products and services require employees to accurately enter information in the Customer Relations File tool. Good customer knowledge helps to prevent abusive canvassing to concentrate on customers' actual needs.

The security section on our website labanquepostale.com provides information for all users on best practices and how to ensure the security of personal data when managing accounts online. The legal information section on the site sets out our policy for protecting all our users' data.

With regard to **mass marketing**, La Banque Postale's sales and solicitation practices are based on processes that define the eligibility of customers targeted by marketing campaigns and the degree of commercial pressure by distribution channel. The Bank has an array of tools, such as its Marketing Plan and Customer Dictionary, to help define marketing and solicitation strategies suited to every customer segment, thereby avoiding blanket mass marketing campaigns and fruitless canvassing of customers.

The marketing procedures followed by the Post Office network include **the facility for customers to unsubscribe from La Banque Postale's marketing efforts**. The same principles apply to digital marketing, where our data protection policy explicitly mentions:

- ▶ general information on the use of cookies and collection of information on LBP.fr: the generic message is displayed to users the first time they visit the LBP site. It reappears for users who deleted their cookies before returning to the site. Clicking on the message brings up all the required information and the process for accepting or rejecting cookies;
- ▶ how to access the general legal information that can be consulted at the bottom of each page on the site: these legal notices include a specific paragraph on cookies and how customers' information is managed;
- ▶ information on how to unsubscribe from our emails, which is also included on our customer newsletters and all email solicitations to customers or opt-in prospects;
- ▶ information on the customer section (where customers are logged in), where users can update their personal data and opt-in directly from their LBP.fr customer area.

Naturally, all of these legal notices have been approved by the Legal Department and by the French data protection authority (CNIL).

6.2.1.3 Responsible offering

La Banque Postale is committed to proposing to its customers a simple, clear and responsible offering of products and services, focused on essentials, at an affordable price.

ESG Checklist: integration of ESG criteria

Since June 2009, La Banque Postale has made sure that ESG (environmental, social and governance) criteria are systematically taken into account in the design of its range of products and services. It has therefore set up an **ESG checklist**: a tool which sets out the Bank's five founding values (accessibility, performance, difference, responsibility, cohesion) through 19 ESG criteria which are fundamental for La Banque Postale (e.g. ethical advice, transparency, simplicity, clarity, and combating climate change and tax evasion).

Following the set-up of the tool, the product managers were trained in its use. They are thus aware of the main CSR requirements.

The ESG checklist is supervised by the Compliance and Permanent Control Department, which ensures that it is present in each product file presented to the new product review committee ("CEP"). In 2015, La Banque Postale held 49 CEP meetings. All of La Banque Postale's new products must therefore meet extra-financial criteria covering their design, their distribution and customer support.

Products and services with added social and/or environmental value

In addition to integrating ESG criteria into its offering, right from its design phase, La Banque Postale offers various products with added social or environmental value.

For example, the **Livret A** account helps to finance social housing and is consistent with the principle of banking accessibility for all. Through **personal micro-loans**, customers who would generally be excluded from bank credit can get loans for amounts from €300 to €3,000 and up to €10,000 for entrepreneurial **micro-loans**.

In August 2013, La Banque Postale also received the authorisation of the Social Cohesion Fund to grant the new **Précarité énergétique** (fuel poverty) **personal micro-loans** (home micro-loans) allowing customers to borrow up to €10,000. The **Simplicité** account provides an alternative to payment by cheque (see the section on Banking Accessibility).

As a civic-minded bank, La Banque Postale also proposes to its customers its new **"Intérêts Solidaires" service**, which allows them to transfer all or part of the interest from a passbook savings account (Livret A account, Sustainable Development account (LDD) or National Savings account (LEP)) to one of the 11 non-profit associations that are members of the "Initiative against banking exclusion" think tank, of which the Bank is a founding member (see section on Promoting access for all to financial products and services in the Economic Commitment chapter). It supports this solidarity initiative by making a 10% contribution to the amount of their donation. This service was awarded Finansol certification in 2015. La Banque Postale is the first financial institution to obtain Finansol certification for a service.

Under its partnership with the Pasteur Institute, BPE, a subsidiary of La Banque Postale, offers its high-net-worth customers **BPE Altruïs**, a card which makes a donation (between €0.5 and €2) to the Pasteur Institute, paid automatically at the end of the month, when a payment of over €20 is made. Donations to the Institute by BPE customers in 2015 totalled around €35,000.

In 2015, a year that saw Paris host COP 21, La Banque Postale further expanded its energy transition products and services with a range of green loans for individuals, legal entities, and the local public sector.

For private customers, the Bank offers a green range ("**Gamme verte**") with interest-free eco loans (Eco PTZ), a green home improvement loan to improve energy efficiency, home micro-loans, electric or hybrid vehicle loans (for cars, but also bikes, motorcycles, and even electric scooters), together with a dedicated insurance product. To encourage its private customers to embrace environmental issues, La Banque Postale is committed to offering advantageous terms on these loans. The Bank has also formed a partnership with Treez, an organisation working on reforestation. For each product sold, Treez replants a tree in France and the customer receives a wooden bracelet as a symbol of the tree. Under certain conditions, eco-driving lessons by MobiGreen, a Le Groupe La Poste subsidiary, are offered on taking out a motor insurance policy.

In addition to financing solutions, the Bank also offers private customers a range of savings products to encourage energy transition with the **"LBPAM Responsable Actions Environnement" thematic SRI fund**, which is invested specifically in European energy companies engaged in promoting sustainable development.

In the space of a few years, La Banque Postale has grown to be one of the leading lenders for the public sector, with in excess of €6 billion granted for projects managed by public authorities. A large number of the public sector projects funded relate to energy transition and include: new builds, renovation of public buildings, rehabilitation of social housing projects, a methanisation plant and clean transport, amongst others.

Loans are offered over the medium and long term (up to 25 years) and are granted in cooperation with CAFFIL or the EIB, which introduced a special "Optimisation of energy efficiency" funding package for new buildings or the renovation of buildings to bring them up to standard. The EIB also introduced a "college" funding package for work on campuses in all French regions (see chapter on "Societal commitment")

For businesses, the Bank offers a range of financing solutions, including clean vehicle fleet leasing. It is also active in funding many specialist renewable energy companies in the photovoltaic, wind energy and other sectors.

Responsible asset management

In keeping with its signature brand, "A Civic-minded bank", La Banque Postale is committed to responsible asset management. A direct application of the principles of sustainable development to asset management, **socially responsible investment (SRI)** is based on the integration of ESG (environmental, social and governance) criteria into investment decisions and portfolio management, in addition to financial criteria. In SRI management, companies are no longer selected solely on the basis of their ability to generate profit, but also for their ability to preserve natural resources for future generations, improve the working conditions of their employees and develop balanced relationships with all of their partners (customers, suppliers, shareholders, civil society). SRI strives to reconcile performance with social and environmental impact, encouraging companies to make societal responsibility a central part of their practices and strategies.

To this effect, La Banque Postale Asset Management (LBPAM) manages SRI funds for retail customers and institutional investors. For retail customers, in 2006 La Banque Postale launched the *"Investir autrement"* range, which meets the expectations of customers who are particularly sensitive to the issue of sustainable development and who wish to give meaning to their investments.

To bolster the credibility of its range and help it to stand out in an emerging SRI market, the Bank encourages subsidiaries to have funds evaluated by external agencies

The SRI funds constituting this range are assessed every year by Novethic, an SRI research centre and subsidiary of Caisse des dépôts. In 2015, the six funds in the *"Investir autrement"* range (LBPAM Responsable Actions Euro, LBPAM Responsable Actions Europe, LBPAM Responsable Actions Monde, LBPAM Responsable Actions Solidaire, Libertés et Solidarité) obtained the **Novethic SRI label**, which aims to guarantee a transparent SRI selection process and an ESG analysis of at least 90% of the portfolio. One fund intended mainly for institutional clients also obtained the Novethic SRI Label for the first time in 2015: LBPAM Responsable Trésor.

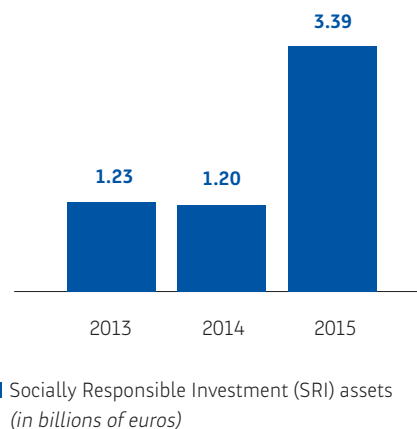
Seven funds managed by Fédérès Gestion d'Actifs, which became a subsidiary of LBPAM in 2015, were also awarded the Novethic SRI Label in 2015.

Also meeting customers' expectations with regard to solidarity-based financing, two of the *Investir autrement* funds (LBPAM *Responsable Actions Solidaire* and *Libertés et Solidarité*) received the **Finansol label**, which has recognised solidarity-based savings investments since 1997.

To promote these responsible solutions, every year La Banque Postale takes part in the SRI Week during which it offers its customers and advisors information and promotional materials for its *"Investir autrement"* range. In addition, as soon as they take up their posts, advisors received training in SRI funds to deepen their knowledge of the products.

As at end-2015, **SRI assets** managed by LBPAM and its subsidiaries amounted to €3.39 billion, or 1.9% of total assets under management. This represents a very substantial (+182%) increase over 2014, for which there are two main reasons:

- ▶ the first of these is the acquisition during the year of Fédérès Gestion d'Actifs, which has a range of SRI funds for institutional investors, particularly mutual insurance companies (+€1.47 billion);
- ▶ secondly, LBPAM was successful in its tender offer for a French pension fund, which is managed according to specific SRI criteria (+€0.72 billion).



In 2015, SRI investments accounted for 1.9% of all investments managed by LBPAM.

For customers looking to boost their wealth while encouraging socially responsible finance, this year La Banque Postale also launched a **new range of formula funds, LBP EthicEuro**. Managed by La Banque Postale Structured Asset Management (a LBPAM subsidiary) within the framework of the stock savings plan (PEA by the French acronym) and life insurance policies. These funds with guaranteed or protected capital offer the performance potential of an index consisting of European companies selected partly on ESG (environmental, social and governance) and ethical criteria, and partly on financial criteria. At the end of 2015, La Banque Postale's wealth advisors had collected €515 million on these products.

Moreover, since 2009, La Banque Postale has been working to strengthen **ESG integration on its asset** management business lines management under ESG integration, i.e. the integration of SRI principles into all of its conventional asset management activities.

At the end of 2015, **LBPAM's** managed assets integrating ESG criteria ✓ (excluding SRI funds) totalled €94.74 billion, i.e. 63.12% of all assets under management (excluding Fédérès Gestion d'Actifs, the subsidiary that was acquired during 2015), remaining stable year-on-year.

These assets correspond to the portfolios managed on behalf of certain institutional customers, at their request, through the following methods:

- ▶ for government bonds: prior filtering of the countries according to predefined ESG criteria;
- ▶ for private issuers: quarterly ESG rating of the portfolios and exclusion or close monitoring of securities presenting a high ESG risk.

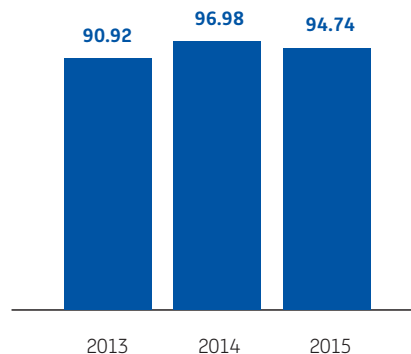
Furthermore, initiatives are being taken at LBPAM to develop ESG integration for all assets under management, without them being subject to separate recognition:

- ▶ the results of the ESG analyses are also made available to all the management teams, directly on the software platform used by the fund managers;
- ▶ LBPAM's SRI fund managers and analysts work together to prepare meetings with companies and voting decisions at certain Annual General Meetings, for example;
- ▶ since 2014, monthly meetings have been organised at LBPAM between SRI analysts and investment management teams, to discuss ESG issues for a business line. These meetings aim to improve SRI analysis and enhance fund managers' knowledge of ESG issues;
- ▶ LBPAM actively plays its role as shareholder by exercising the voting rights attached to the UCITS managed, according to a single voting policy. LBPAM took part in 196 Annual General Meetings of European companies in 2015. For the voting process, LBPAM gives priority to open discussion with the companies.

For further information on LBPAM's commitments, its methodology and voting policy, visit the webpages on this topic at www.labanquepostale-am.fr/isr.html.

Fédérés Gestion d'Actifs, a subsidiary of LBPAM since 2015, incorporates ESG criteria for all the equity portfolios it holds directly, excluding index funds and all directly held loan portfolios:

- ▶ in addition to financial criteria (growth, valuation), the weighting given to companies' extra financial rating in the security selection model has been 20% since 2009;
- ▶ Fédérés Gestion d'Actifs incorporates two types of exclusion in its investment policy: ethical exclusion, meaning that the fund will not invest in securities when the issuer is based in a non-cooperative tax jurisdiction; and norm-based exclusion, forbidding investment in issuers with the most controversial and risky ESG practices, based on four benchmark ESG criteria (corruption, human rights, pollution and audit systems).



■ Funds integrating ESG criteria (in billions of euros) ✓
 In 2015, the funds integrating ESG criteria accounted for 63.12% of all investments managed by LBPAM (excluding Fédérés Gestion d'Actifs).

Apart from the actions taken by LBPAM and its Fédérés subsidiary, all the asset management subsidiaries in the Group's Asset and Wealth Management Division reasserted their commitment to integrating extra-financial criteria. In 2013, a **Responsible Asset Management Committee (CGAR)** was set up. Its goal is to put forward and implement programmes for integrating extra-financial criteria common to all the asset management business lines of La Banque Postale in order to make these criteria a factor of differentiation, performance and profitability. This committee, which met three times in 2015, is overseen by Daniel Roy, a member of the Bank's Operational Committee and Head of Asset and Wealth Management Division, and brings together all the Managing Directors of the management companies of La Banque Postale Group.

The United Nations **principles for responsible investment (PRI)**, serving as a common base for the commitment of the Group's investment management companies, were signed by all the players concerned. Following LBPAM in 2009, XAnge Private Equity in 2011, and Tocqueville Finance and Ciloger in 2012, La Banque Postale Gestion Privée in turn signed the principles in 2013 (at end-2015, 34% of assets managed by LBPGP integrated ESG criteria, i.e. 100% of its directly held securities). Therefore, 100% of the management companies of the Asset and Wealth Management Division are now signatories.

Ciloger, a dedicated real estate savings subsidiary, launched a new real estate investment trust (REIT) in 2015 focusing on middle-income housing (under the Pinel Act). The Ciloger Habitat 5 "SCPI" real estate investment trust allows individuals to establish a property portfolio of new homes that are environmentally friendly and affordable for middle-income households. A signatory of the PRI, Ciloger was eligible for the BREEAM IN USE certification for six of the flagship office buildings it manages, for an area totalling 30,000 sq. m.

La Banque Postale published a **sectoral policy on defence** in 2015, which aims to establish a framework for the Group's activities in a sector which presents substantial ESG challenges (see "Management of extra-financial risks"). It is updated by the Responsible Asset Management Committee, with the assistance of an external service provider, and then distributed to the relevant Group entities.

Responsible insurance

La Banque Postale's insurance businesses fully comply with the CSR approach adopted by all Group business activities. La Banque Postale aims to offer insurance solutions corresponding to its socially responsible signature; through its remedial function, insurance plays an essential role in the life of its customers, especially those who are most vulnerable. The aim is to develop simple solutions, designed to protect all its customers in the event of difficulties, for the best protection/price ratio and on a sustainable basis.

Offers screened with the ESG checklist

The Insurance Unit of La Banque Postale has trained its project managers in risk identification, specifically including an analysis of the Group's CSR objectives in this approach. These ESG criteria are also taken into account in selecting partners for the products distributed by La Banque Postale.

La Banque Postale Assurance IARD innovations

La Banque Postale Assurances IARD promotes **eco-mobility** through its motor insurance policies for green cars (electric or hybrid). Marking the launch of this insurance range, La Banque Postale Assurances IARD offered eco-driving lessons to the first 150 subscribers.

The **idea for Proxi-client** came from internal discussions within La Banque Postale Assurances IARD also, based on the idea that, because of our business, we were too passive when customers were faced with a dramatic event. The role of an insurance provider is to compensate victims, according to the damage they incur. We think that being more closely involved in a major event can also weaken our position. Therefore, it was our duty as insurance professionals to make contact with the individuals to find out how they are, to ask about their experience of what can be a painful event. We see time and time again that our ability to listen to customers and pay attention to them provides the friendly support they expected. Sometimes, the conversation reveals the need for the person to consult a psychologist. La Banque Postale Assurance IARD provides this service free of charge through its specific partner in the field. We go that extra mile with a friendly gesture that reflects the Group's DNA as the **civic-minded insurance company**. It goes without saying that there is no sales pitch or promotion of any kind whatsoever during the conversation.

Dependency insurance range

As life expectancy grows and the population ages, loss of independence is becoming a real social challenge. 50% of French people already grapple with dependency, either their own or that of a close relative. To meet this challenge, La Banque Postale Prévoyance introduced an affordable and very comprehensive range of dependency insurance products designed to meet all needs. It features two contracts: **the Forfait Autonomie** contract is a simple offering that allows vulnerable customers to insure their care at home, complementing any state aid they might be eligible for. **The Assurance Autonomie** contract, which is comprehensive, adaptable and can be tailored to personal needs, contributes to financing and supporting the loss of autonomy through the payment of a capital sum and a monthly lifetime pension, and a series of assistance guarantees: assistance with administration, social security procedures, psychological counselling, a home audit,

practical training for the carer, respite care, visits by the postman/woman, etc. The person covered by the policy can draw on these services if they themselves become a carer for a dependent close relative. The Assurance *Autonomie* policy is offered to customers who need supplementary income to finance their loss of autonomy or have personal wealth to protect, as well as to customers who wish to sign up to protect a relative.

This product is one of the rare dependent coverage insurance policies to receive the GAD (*Garantie assurance dépendance*) label created by the French Federation of Insurance Companies. It quickly garnered the Trophée Or de l'Assuré 2015 for La Banque Postale Prévoyance, awarded by French people.

New supplementary health insurance assistance for vulnerable customers

La Banque Postale Assurance Santé launched **Oui Santé** on 1 July 2015, as a coinsurance product with its partners Malakoff Médéric, LMG and UMC. As of that date, only 20 or so insurance products, including *Oui Santé*, were selected in tender processes as suitable for vulnerable customers eligible for supplementary health insurance assistance (ACS).

Support for several dedicated insurance initiatives

La Banque Postale is a founding member of the public-interest foundation "**Entrepreneurs de la Cité**", designed to promote insurance protection for entrepreneurs.

Since June 2012, La Banque Postale has been a **signatory of** (the *Principles for Sustainable Insurance* (PSI)), a UN-backed initiative. The purpose of these Principles is to boost sustainable development in the industry by promoting the integration of environmental, social and governance criteria in insurers' decisions, products and processes. The PSI fully reflect La Banque Postale's view regarding the social utility of insurance. By joining this international initiative, La Banque Postale rehabilitates the social utility of its business; the PSI offer it a broad framework for collective exchanges and progress.

Continuing the work conducted in 2013 on incorporating environmental, social and governance (ESG) risks into operational risk management policy for the banking sector, a process in which the Bank was actively involved, the **Club Finance de l'ORSE** carried out a specific review of the insurance sector in 2014 (insurance companies, mutual insurance companies and Provident institutions). The Insurance unit of La Banque Postale took part in this working group, which published a practical guide in 2015. The guide is designed to provide guidelines for the sector to help them to improve risk management through careful incorporation of Corporate Social Responsibility (CSR) in their strategy and activities. This gave La Banque Postale the opportunity to cast valuable light on the management of extra-financial risks during the public presentation of this guide in October 2015.

La Banque Postale Prévoyance is committed to the "**Elderly dependence**" research chair, founded by the Fondation Médéric Alzheimer, in partnership with the École d'Économie de Paris. The purpose of the chair is to promote research into the economics of dependency of elderly people. Some of the missions of the research chair include developing a dynamic microsimulation tool, representative of the population in France, to model supply and

demand for care and services connected with loss of autonomy. A major partner of the chair, La Banque Postale Prévoyance will contribute to its work and operation through both scientific and financial support.

Enhanced protection of means of payment

To adapt to new consumer practices, Alliatys Plus, La Banque Postale's insurance policy for means of payment, has been enriched since July 2014 by an Identity Protection guarantee. In the event of identity theft, the customer enjoys legal protection and coverage of their financial loss and, in the event of attacks on their reputation on the internet, a service to eliminate or cover up insults or slander. The Alliatys guarantees now also extend to payments by mobile phone.

Facilitating management of direct debits

To ensure a smooth switchover to SEPA and help customers to manage their budgets, La Banque Postale introduced online direct debit management in January 2015. As well as the ability to consult the list of direct debits active on the account, customers can stop payment on one or more occasions, cancel an order or dispute a transaction from their customer account page.

6.2.1.4 Management of extra-financial risks

Integrating extra-financial risks into operational risks

In accordance with the management policy for operational risk, the business lines are responsible for identifying and addressing operational risk — including extra-financial risks.

This principle is reinforced by La Banque Postale's governance model applied to new products and services. An analysis of extra-financial risks is always included in the risk assessments carried out when proposals are submitted to the Product Review Committee (see "Responsible offering").

Furthermore, to assist project managers to examine the extra-financial risks related to their project, an ESG checklist was drawn up in 2014. Addressing issues from the point of view of corporate, social and environmental responsibility (CSR), the checklist can be used to assess the risks and impacts of a product, raise awareness of sustainable development among the bank's actors, provide ideas for the educational sales argument for customers, as well as for product design.

The ESG checklist is an integral part of the risk assessment process and is a document that must be presented to the Product Review Committee. La Banque Postale's CSR unit mines the results of the ESG checklist to analyse the ESG issues highlighted and to begin awareness raising actions where necessary.

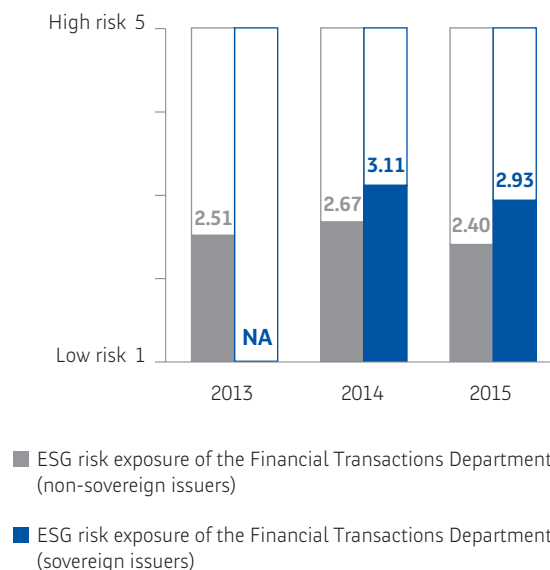
Lastly, in 2015, the assessment of ESG criteria remained one of the components of the image impact of the risk rating grid confirming the incorporation of extra-financial factors in the assessment of operational risk.

Measuring exposure to climate risk

For the first time in 2015, La Banque Postale applied a methodology to measure the level of exposure to climate risk attaching to the portfolios managed by its Financial Operations Department. The bank measured the carbon intensity of its corporate bonds based on data provided by a specialist agency, enabling it to manage its exposure to securities that emit the highest levels of greenhouse gases. At the end of December 2015, the carbon intensity of the corporate bond segments of our portfolios was 103.25 tCO₂/€M of revenue. This is low because it is closely correlated with the sector breakdown of the portfolio, which is heavily invested in the financial sector (industrial or energy sectors have far higher carbon intensity). The exercise also helped to identify the most carbon intensive assets and to inform any potential divestments decisions.

Measuring the level of exposure to extra-financial risks

Since 2011, in order to measure the ESG risk exposure of proprietary trading carried out by the Financial Transactions Department, La Banque Postale has adapted the method developed by the SRI Department of La Banque Postale Asset Management (LBPAM) to analyse the extra-financial risks of sovereign and non-sovereign counterparties. In 2014, the annual measurements became half-yearly. The results at end-December continue to show controlled overall exposure: for non-sovereign issuers, 64.6% of the assets are invested in issues with a risk scale ranging from low to moderate (vs. 63.5% in June 2015). Exposure to the most risky securities remains very low (1% at end-December, vs. 0.4% in June 2015).



At the same time, since 2010, LBPAM has stepped up its responsible practices by integrating environmental, social and governance (ESG) criteria in **selecting its market intermediaries**. This process is based on a questionnaire drawn up by LBPAM's SRI and Sustainable Development Department, sent to all market intermediaries. Close to 80 financial institutions were approached in 2014 and 2015.

The model was presented during a web conference to members who are signatories of the Principles for Responsible Investment. The objective is to encourage other investors to contribute to devising a single questionnaire to improve transparency and responsible practices in the financial sector, in terms of governance or compensation for example.

Moreover, as stipulated in the **Defence sector policy**, La Banque Postale makes sure that none of the portfolios managed by asset and wealth management actors include companies involved in controversial weapons (antipersonnel mines or cluster bombs) or non-conventional weapons (biological, chemical, nuclear, depleted uranium, blinding laser and incendiary weapons), irrespective of the type of financial instruments issued (shares, bonds, or money-market instruments). To this end, in 2012, La Banque Postale subscribed to a database kept by an independent third-party expert to reinforce its methods and to share an exclusion list used by all members of the Asset and Wealth Management Division in the Responsible Asset Management Committee (CGAR). This list is then shared with the Financial Transactions Department for proprietary trading and with the Risk Department and the Enterprise Department for credit transactions.

At the same time, the CGAR maintained a heightened level of vigilance in 2015 on a certain number of **securities with high extra-financial risk** that contravene international conventions and the principles of the Global Compact. These are frequently controversial and therefore do not align with La Banque Postale's civic values.

Furthermore, in keeping with La Banque Postale's governance principles, agricultural commodities are excluded from the range of its authorised financial instruments.

In January 2016, the Bank's Executive Committee approved the launch of a **Responsible Financing Charter** governing the granting of corporate loans. The Charter stipulates that loan applications will be rejected for a certain number of sectors, deemed too risky from an extra-financial point of view (gambling, pornography, tobacco, nightclubs, the coal industry), as well as organisations and companies that have gravely and repeatedly been in breach of the law, codes of conduct or conventions (infringement of environment law, international codes and conventions, or fundamental rights at work).

Finally, as an essential player in the French economy, La Banque Postale **combats tax evasion** by strictly complying with applicable rules and prevention measures. As a French retail bank, its activities are almost exclusively conducted on French territory. It has no activities in countries blacklisted by the Tax Justice Network. At the very most, La Banque Postale has pursued very limited business in European countries where La Poste already conducted business at the time of the founding of La Banque Postale. The profits from this business are fully taxable at common law rates. The tax management of all Group entities and companies is handled or controlled directly by La Banque Postale's Tax Department in Paris. This management is based on principles of stringent compliance with applicable regulations and transparency with respect to the authorities. Furthermore, the monitoring of customers' activities in terms of tax compliance is carried out as part of the **fight against money laundering, terrorism financing and fraud**. Measures have been set up to control international transactions between France and countries presenting risks. This monitoring generates alerts which are subsequently handled by a dedicated tool. Over 100 people are dedicated to this activity within the Financial Operations Security Department.

Following the Paris attacks in 2015, this division developed a new series of alerts based on "weak signals", below the thresholds used for combating money laundering and focusing more on behavioural indicators. The initial results are very satisfactory.

Professional ethics: better risk management in business processes

True to its values of providing local services to the largest number of people, La Banque Postale is committed to promote ethical and responsible behaviour. The **2015 BVA ethics environment barometer survey** conducted among large French companies and employees of Le Groupe La Poste shows that 94% of employees of La Banque Postale say that they are involved in the Company's ethical actions. Moreover, 89% of them consider that there has been a positive change in ethical behaviour in the Company.

The **professional ethics handbook** of La Banque Postale is circulated in La Poste Financial Services, to La Poste Network and the Information Systems Department (DSI-DISFE) shared by La Banque Postale and La Poste Network. It puts emphasis on the best practices to be implemented in banking, financial and insurance matters with respect to customers, employees and third parties. The handbook is part of the internal rules of procedure of La Banque Postale and La Poste, and is enforceable against all employees.

The projects initiated in previous years were continued in 2015. The memo on how to handle suspected **weaknesses** identified in Financial Centres was finalised. In addition, the procedure for improving employees' working environment was updated and circulated to the Network Head of Business Ethics and the Business Ethics Officers. This procedure aims to improve the security of access to employees' personal information, while at the same time guaranteeing the availability of professional information.

Another project in 2015 focused on overall management of regulatory approvals (canvassing, insurance, certification). As a result, the scope of the functions concerned was redefined and the procedures for managing the three regulatory approvals were updated.

The actions started in 2014 to overhaul the business ethics section of the Group intranet continued this year with updates to procedures and documents.

Employees receive training in business ethics as soon as they take up their duties and throughout their professional career. Campaigns for training in rules of good conduct have been conducted since 2006. They cover the key business ethics guidelines in the Handbook regarding: respect for customers' needs, banking secrecy and data confidentiality, prevention of conflicts of interest, and compliance with rules for the use of Information Systems. Moreover, the head of business ethics contacts newcomers to LBP: he uses an awareness-raising film presenting several sequences of business ethics rules followed by discussions with the participants. He also plays a role during the integration of new organisations, e.g. for La Banque Postale's acquisition of SOFIAP. Finally, the Business Line Correspondents are involved with this subject in their organisations. In 2015, more than 600 of the Bank's employees were trained by the Heads of Business Ethics of La Banque and the Network. The DSI-DISFE ran an e-learning awareness raising campaign and roughly 1,220 employees connected to the module.

The process of **detection and monitoring of misappropriation of funds and ethical violations**, computerised in 2013 and covering the whole range of the Bank's business, factored in the structural changes of 2015. There were further developments to the dedicated information system for this process in 2015 with the addition of follow-up and monitoring features. It should be recalled that the system can notify managers of any breach of the rules so that they may take the necessary measures.

Regarding governance, monthly Cross-Entity **Business Ethics Committees**, led by the Head of Business Ethics, were held regularly in 2015, and were expanded in January and May 2015 to include all employees of the Bank's subsidiaries (insurance, asset management, wealth, real estate, etc.). Progress on the business ethics action plan is specifically monitored.

The **five major risk types**, which are integrated into the risk tools and matrices managed by the Operational Risks Department, were reviewed. All Risk Managers are made aware of these risks. Business ethics checkpoints are therefore present in the Level 1 and 2 control grids.

The Business Ethics Division of La Banque Postale takes part in the **Ethics Committee of La Poste**, a body that brings together the Ethics Departments of La Poste's four Business Lines.

In case of suspected breaches of ethical rules or faults, the **whistleblowing process and alert system** provide for the relay of information to La Banque Postale's Head of Business Ethics. He/she is also informed by the compliance officers working in the Bank's various departments, at the subsidiaries, in the La Poste Network and the IS Department. Whistleblowing is done via a strictly confidential, secure e-mail address. The name of the whistle blower is kept secret to protect them from any retaliatory measures.

6.2.2 Social commitment

To meet its commercial development and customer satisfaction challenges, La Banque Postale pays close attention to all of its teams, without exception, whether at La Banque Postale and its subsidiaries, at La Poste Financial Services or within the Banking Advisory Line of La Poste Network.

By setting up a single HR Department for La Banque Postale, the Financial Services and the La Poste Network in 2014, a centralised, simplified and people-centred management system was established. In 2015, through the creation of the École de la Banque et du Réseau, and the establishment of mobility service teams and a team dedicated to transformations, the HRD received a further boost through additional strategic and operational building blocks, positioning the Department at the heart of the Group's transformations.

Because the HR Department recognises that employees must be both the agents and beneficiaries of change, it implements the resources necessary to support and assist them in their jobs every day, to develop their professional skills and to act proactively to create and consolidate the business lines of the future.

6.2.2.1 Career development and employee support

La Banque Postale's human resources policy aims to provide the Bank's 30,855 employees with a working environment that promotes their **personal and professional commitment and development**. In a changing context, the HR Department of La Banque Postale, Financial Services and La Poste Network ensures on a daily basis that the changes needed for the development of La Banque Postale are implemented with respect for all.

It places great emphasis on supporting each employee in their professional ambitions throughout their career, but also on providing support for retraining of all those affected by a transformation project in their area. In doing so, it is committed to the Bank's social model.

Accordingly, the staff agreement concerning the banking advisory business lines, signed on 17 December 2014, embodies the Bank's commitment to supporting bank advisors as their role changes and to

offering them career development opportunities. Besides immediate salary measures, a sign of recognition for these jobs, two projects were the subject of negotiations in 2015: commercial management and career paths. 2016 will see one additional project covering the prerequisites for the position of banking advisor.

The French banking and financial sector agreement, signed on 17 December 2015, also set out the principles of support for employees at a time of profound change in Financial Centres: these include joint development of career plans, training and skills development, professional development, and management of working conditions.

These two flagship agreements demonstrate the commitment of the Human Resources Department of La Banque Postale, Financial Services and La Poste Network to placing the Group's men and women and their development first as part of a holistic approach to managing the changes in the sector.

The **mobility of employees** of La Banque Postale Group is therefore a key issue for the Company.

No less than 254 combined career paths were created among employees of La Banque, Financial Services and the La Poste Banking Advisory Line (including banking support), 37.8% of which were in sales positions.

In 2015, there were 1,856 job transfers and 1,933 people were also promoted as part of their professional development.

The 46 Career Development Advisors in the Financial Centres and 75 in the Network, as well as about 30 Career Managers at the Head Office of the Bank and the Network, provide personalised support to employees: regular personal interviews, posting of job announcements, discussions between HR professionals on job profiles, and advice on personal development. To encourage mobility between La Banque Postale branches and the Network, especially in banking activities, the HRD created 13 mobility teams throughout the country (60 employees). The teams are tasked with internal recruitment between branches and external recruitment, in accordance with standardised methods. They have four objectives: improve knowledge of employees to encourage proactive career management, provide alternative sourcing solutions to recruitment

agencies, simplify the task of recruiter managers, and improve the experience of employees who are changing positions.

Working closely with the local HR teams, the mobility teams support their work through two innovative approaches: a direct approach to employees to submit applications for positions that may be suitable for them, and drawing up formal individual development plans to take employees to the next level.

La Banque Postale Group is also an **open group**. This year it recruited 726 people from outside Le Groupe La Poste, 47% in our Banking Advisory Lines and 136 in the subsidiaries.

Also, from 12 to 16 October 2015, Le Groupe La Poste organised the third Career Development Week with "Changing jobs" as its main theme.

In light of current and future changes and developments – business line change, creation of new functions, etc. – the teams of La Banque Postale and Financial Services were naturally mobilised on this occasion. Through the events offered, Career Development Week forms part of a policy of developing a culture of career development in employees, with HR players and managers, by inviting them to become involved individually and collectively in designing, recognising and providing support for career plans.

The actions organised throughout France (visits to sites and subsidiaries, workshops, forums and talks, etc.) were intended to inform personnel and managers about professional development opportunities (growing business lines, possible career paths), and about mechanisms facilitating job transfers and career development within and between branches, and also outside the Group (business start-ups, etc.). All these are opportunities from which everyone can build their career path.

New methods for circulating information on businesses and career opportunities are now conducted, on a permanent basis, in Banque/FS/Network scope entities, notably using ESM: web conferences outlining positions vacant on the Job Exchange, information meetings or workshops on changing jobs in the banking sector, and communication campaigns using all available channels to improve visibility of the business lines recruiting staff.

Employee training

Officially created in June 2015, the **École de la Banque et du Réseau** is crucial to the management of the Group's transformation. Its goal is to provide support to the 70,000 employees of La Banque Postale, Financial Services and La Poste Network, and to train them in the new skills required for the businesses of the future.

The momentum created by the École de la Banque et du Réseau is already delivering dividends:

- ▶ introduction of training leading to qualification for the Network's management: 11 weeks' training for 1,600 Sector Heads, modular programmes for their 4,000 immediate subordinates, amongst others;
- ▶ support for new businesses: Professional Customer Manager, Savings Development Officer;
- ▶ training in home loans for managers and advisors. All of which will amount to 38,000 trainee days;
- ▶ translate the synergy generated between the La Poste Network and La Banque Postale into a common training programme for the regional managers and Heads of Financial Centres.

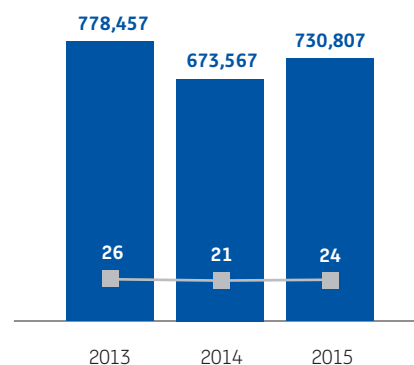
Building on these initial training programmes, the École will also be responsible for onboarding for new hires and continuing professional development for employees to maintain skills levels or to learn new skills to develop their careers. With this in mind, the École provides courses for almost 1,000 employees leading to a qualification or diploma: *Brevet professionnel Banque* (2-year diploma), *BTS banque* (2-year post-baccalaureate diploma), *licence* (3-year post-baccalaureate degree), *CESB Management* (graduate management programme), *CESB Gestion du patrimoine* (graduate wealth management programme). It is stepping up its activities to deliver innovative courses to improve competencies and enhance our performance.

For example, 730,807 hours of training were provided in 2015, i.e. a little over 24 hours per employee.

To deliver successful training for employees at all levels, the École draws on specialist internal course developers and trainers, and on leading partners in education, such as the *École Supérieure de La Banque-CFPB*, HEC and Dauphine.

Backed by a **scientific committee** of experts in banking, business and education, which ensures the academy remains abreast of best practices in its environment, the École de la Banque et du Réseau is structured to meet the strategic challenges facing the Group's various branches.

Marking its first anniversary in 2016, the École de la Banque et du Réseau builds and develops talent: it provides training for all, geared to meet precise needs.



■ Number of training hours

■ Number of training hours per employee

In 2015, 24,758 employees attended at least one training programme during the year.

6.2.2.2 Youth employment, integration and training

Since 2013, to facilitate the integration of young people into the Company, both managers and young people have a dedicated HR contact person who assists them in defining their needs and in the recruiting process. He / she ensures the integration of students into the teams and the satisfactory performance of their assignment.

La Banque Postale Group consolidated its relationship with the student community: The Bank now has **32 partners** among management schools, engineering schools and universities throughout France. The Bank conducted over 60 initiatives at trade shows, forums, presentations, educational games, case studies, recruiting workshops, and even examination boards. In this way, it makes its business lines and subsidiaries more well-known, improves its attractiveness and promotes student access to the world of work. One of the year's highlights was the renewal of the disability partnership agreements with higher educational institutes École supérieure des sciences économiques et commerciales (ESSEC) and Sciences Po Paris in order to improve the access to postsecondary studies of students with

disabilities. La Banque Postale also makes a preferential commercial offer for education financing to all the students at its 32 institutional partners.

Actively involved in the **integration and training of young people** into the labour market, La Banque Postale had 1,100 apprentices as of 31 December 2015 under apprenticeship or occupational contracts with a level of education ranging from Bac+1 to Bac+5 for a term of 1 to 2 years.

A survey conducted among students with an internship or apprenticeship at the Bank during the summer of 2013 showed that 91% believe that their work experience in the Bank allowed them to acquire new skills, and 84% believe that it will be a great addition to their CV. With regard to students at the end of their studies, a more precise qualitative follow-up of their internship or apprenticeship within La Banque Postale has been introduced in order to replenish the pool of young talent. In its major survey, "Best Employers in France", conducted by Capital magazine and published in the first half of 2015, LBP is ranked fifth out of 30 banks, financial institutions and insurance companies.

6.2.2.3 Comprehensive and competitive remuneration for everyone

La Banque Postale's ambitions for the future are to accelerate its commercial development and build the bank of tomorrow. The Bank supports this ambition with employees whose everyday dedication makes quality of service a catalyst of customer satisfaction and retention. To meet these new challenges, La Banque Postale has a human resources policy based on a comprehensive compensation system, applying fundamental principles of fairness and transparency. It aims to recognise skills development, establish a link between employees and performance, retain loyalty and support career paths.

To recognise the career development of its employees, La Banque Postale has negotiated, within the framework of the **compulsory annual negotiations** ("NAO"), a budget of 1.2% of payroll earmarked for wage hikes on fixed compensation, notably including general pay rise measures reserved for employees on the lowest wages. Le Groupe La Poste also negotiated a budget of 1.2% of payroll for employees in Financial Services in Groups A as part of these obligatory annual negotiations.

In the framework of the revaluation campaign, the average wage increase for female employees was noticeably higher than the one for male employees, with 0.1 point difference, both in La Banque Postale and the Financial Services, for personnel in Group A equivalent positions.

For 2015, La Banque Postale increased the **budget for professional gender equality** to €100,000, a 40% increase over the prior year. This budget, which is set aside to tackle pay differences between men and women, in similar job positions, and to address the individual situations of employees beginning their careers, was used to improve the pay of 89 bank employees.

To implement La Banque Postale's new **profit-sharing agreement**, which includes an extra-financial criterion for the first time, the budget allocated to it totalled €10.2 million, up sharply from 2013. This strong performance reflects La Banque Postale's commitment to CSR, since its extra-financial rating is now included in the agreement's two performance criteria. Profit sharing in the amount of €4.6 million can also be added to this allocation. For Financial Services, the overall bonus allocation generated in 2015 by the performance of Le Groupe La Poste in financial year 2014 made it possible to pay €5.8 million to its employees. The Group's new incentive agreement retains a sustainable development criterion, embedding its commitment to sustainable development in its compensation policy in the long term.

With a view to encouraging the creation of medium- and long-term savings, Le Groupe La Poste offers its employees the option of taking

part in **group savings** and **collective pension schemes** (PEG, PERCO). At least 30% of the investment vehicles of these schemes are made up of socially responsible investment assets. Each year, the Group allocates an employer's contribution of up to €2,400 to boost employees' investments. In 2015, this amounted to €2.2 million for Financial Services personnel. Including the bonus scheme, Le Groupe La Poste paid its Financial Services employees €8 million for their collective performance. La Banque Postale also offers this option to its employees with an employer's contribution of €1,150 to the amounts invested, encouraging them to choose socially responsible investments through a bonus contribution mechanism on Decisiel Action Solidaire. Moreover, La Banque Postale signed an agreement at the start of the year to extend the benefits of the employee savings plan (PERCO) to all its subsidiaries. For 2015, this employer's contribution amounted to €2.6 million in support of its employees' investments in employee savings plans (PEG & PERCO).

During the year, La Banque Postale, in cooperation with the trade unions party to the annual compulsory negotiations (NAO), increased measures in support of bank personnel and their spouses who are caring for dependent elderly relatives. It pays the cost of access to a dedicated forum offering information, guidelines and advice that is available to all employees.

6.2.2.4 Dialogue and employee relations

Right from its launch, La Banque Postale has paid special attention to ensuring **high-quality employee relations**, based on trust and mutual respect. La Banque negotiated four agreements in 2015, notably concerning Group PERCO, and the La Banque Postale Group profit-sharing and incentive schemes.

The standards of La Banque Postale's employee relations have thus been improving constantly since 2006. Between 2006 and 2015, 124 collective agreements were signed between La Banque Postale and Financial Services, including seven this year.

2015 was a particularly interesting year for employee relations in the Financial Services. Employee relations negotiations led to the signature of a collective agreement on 17 December 2015 on the future of jobs in the sector: "*Avenir des Métiers Bancaires 2016-2020*". The agreement will support the employee relations framework for major transformation programmes affecting La Banque Postale's operations. EXCELLO (*Excellence Opérationnelle des centres financiers et nationaux* – operational excellence of financial and national centres) was central among them, as the changes in middle office, back office and the HR function of the Financial and National Centres were presented.

These major transformation projects were presented to the Financial Services employee relations committee before presentation to the relevant regional employee relations bodies (local employee relations committees, CHSWCs (committee for health, safety and working conditions) and the technical committees). The projects are managed according to the change management model developed by Le Groupe La Poste, which entails an initial phase of listening to personnel, followed by an impact assessment and meetings with employee relations bodies. In addition, six plenary negotiation sessions were held, as well as many interim bilateral meetings to reach the AMB3 agreement.

Financial Services emphasised transparency and openness in this employee relations process. 17 plenary trade union meetings and three national Committee meetings took place in 2015 under the 2011-2015 agreement on the future of jobs in the banking sector (*Avenir des Métiers Bancaires des Centres financiers 2011-2015*), and more than 60 preparatory bilateral meetings were held with employee relations bodies.

As regards cross-cutting Financial Services/Network/La Banque Postale activity, 2015 was devoted to the presentation

of materials covering the entire range mentioned above (*École de La Banque et du Réseau*, CAP client 3.0, etc.) and involving the same large number of bodies.

Lastly, negotiations were also held involving banking advisors at La Poste. Thus, to recap, a framework agreement was signed on 17 December 2014 setting out a number of immediate measures and referring three projects for negotiation for this job category (commercial management, jobs and career development, and work environment). The agreement on commercial management was signed on 15 July 2015, and discussions on career paths are at an advanced stage. As regards work environment, the matter will be launched in the near future.

These discussions have taken place during an election year because employees of Le Groupe La Poste will vote in November on renewing the terms of office of their seven employee representatives on the Board of Directors of La Poste.

6.2.2.5 Occupational health, safety and well-being

The Financial Services continue the deployment of a policy for the prevention of occupational risks through initiatives adapted to the actual work.

Thus, **preventative initiatives connected to musculoskeletal disorders** (MSDs) have been launched, raising awareness with regard to working on a screen, intended for all persons working on a computer. Since early 2014, a training course for employees entitled "I protect my back and my joints", concerning movements and positions, has been provided by OSH experts and medical personnel. This one-day training course presents concepts of anatomy, ergonomics, observation of work situations, etc. and practical exercises on the layout of computer work stations and stretching and relaxation exercises.

Two new training courses were deployed in the framework of the **prevention and management of psychosocial risk** (PSR):

- ▶ a training course "taking into account the psychological difficulties of its employees" for managers, in order to develop an adequate position in the management of persons who are suffering or who are vulnerable because of a mental disability or psychological problems;
- ▶ specific training for employees of the L'Appui unit, making it possible to reinforce behavioural competencies (management of emotions, etc.) and to be assisted, on a volunteer basis, by psychological support being made available.

Financial Services continue to implement the **occupational stress assessment and monitoring procedure** (DESSP) which has been in place since 2009. This procedure, carried out as part of the medical check-up, aims to establish an objective record of the stress level, identify its factors, and determine appropriate actions to reduce occupational stress.

Financial Services is deploying a new tool for analysing human impacts within the context of transformation projects. This tool, deployed within each entity, makes it possible to reinforce the taking into account of work conditions during projects, through a multidisciplinary approach (occupational health services, preventive personnel, HR, social assistants, CHSWC (Committee for Health, Safety and Working Conditions, etc.) and with the active participation of employees and managers.

The National Committee for Occupational Health and Safety ("Commission nationale santé sécurité au travail", or CNSST) of the **Financial Services** continues to monitor and propose prevention initiatives, as well as bear in mind the human factor in projects. Various subjects have been shared, such as the presentation of the impact-study approaches in the framework of significant transformation projects, as well as the feedback from local impact studies; a proposed approach to wearing Personal Protective Equipment (PPE), the

presentation of various training courses, the proposed deployment of dual screens, etc.

The prevention sector and occupational health services continue their work of accompanying employees and managers, and ensuring that work conditions are taken into account within their respective entities, in particular by the adaptations of workstations and the organisation of working groups.

The intervention of the Financial Services' ergonomists, in synergy with local prevention teams, has made it possible to pursue initiatives for the improvement of employee working conditions, in particular, on projects for the re-adaptation of work spaces.

Over the course of 2015, four agreements containing commitments to Occupational Health and Safety were signed:

a future for each postal worker: professionalisation of the prevention sector and evolution of the CHSWCs (Committees for Health, Safety and Working Conditions);

a Disability Agreement: job retention with the deployment of the Committee for Return to Work and Job Retention ("Commission de retour et de maintien dans l'emploi", or CRME), support for all disabled postal workers, retirement planning, etc;

AMB3 ("Avenir des Métiers Bancaires", Future of Banking Businesses), including three subjects on occupational health and safety: "**reorientation**" interviews for employees who have been absent from work for a minimum period of 15 days, the review of new measures to be put into place in order to improve conditions for the practice of the occupations, for example: repetitive tasks, disconnection, management of difficult calls, collective flow management;

Occupational Equality Agreement: the battle against sexism and stereotypes, voluntary part-time work arrangements, separation of private life from work life (right to disconnect, meetings and training, family caregivers, leaves), prevention and attention to domestic and workplace violence.

Well-being at work

The measures provided for by **La Banque Postale's Health and Well-being at Work agreement of 22 April 2010** are in fact still being applied at present, and further negotiations on the subject will be started soon with the social partners. The three essential measures are:

- ▶ the DESSP (Dispositif d'évaluation et de suivi du stress professionnel, or mechanism for the assessment and monitoring of occupational stress), which ended on 16 October 2015;
- ▶ the 2015 Annual Prevention Plan;
- ▶ the DUERP (Document unique d'évaluation des risques professionnels, or single occupational risk assessment document).

In addition, to reaffirm that La Banque Postale and Financial Services are always concerned for the well-being of their personnel at work, a **Commitment and Life at Work Division** was created in September 2014, within La Banque Postale's HR Department, the Financial Services, and the La Poste Network. The mission of this division is: "to encourage, generate and maintain employees' commitment to their work."

Within this framework, in 2015, the HR Departments of La Banque Postale, the Financial Services, and the Network, voluntarily posted an updated policy of "consideration of people."

A postal worker should be considered and treated as having "a purpose in his own right," on the one hand because it is the moral duty of a business such as La Poste to act in that manner, and on the other hand, because he will become an excellent resource all the more when he is not being treated as a resource, but as having a purpose in his own right. The overhauled management must also translate this strong will to generate commitment on the part of the greatest number of postal workers by the manifestation of true consideration for people.

The quality of life in the workplace is above all connected to the **ability of individuals to lose themselves** in their work, itself the fruit of a considerate work environment.

This philosophy of consideration for people in service to their willingness to commit is taken into account in the **management modules** taught at the École de La Banque et du Réseau.

The manager's Roadmaps integrate in a significant manner indicators of the reality and quality of this commitment: a social barometer and short-term absenteeism. A certain number of accompaniment measures are put in the service of the managers to assist the implementation of their missions: coaching, mentoring, and mediation. Practices are developed in order to contribute to the advancement of the awareness of the need to go beyond messages, by knowing how to modify one's behaviours: feedback, 360 degrees, discussion space, networking workshops, etc.

It is important to understand how much this philosophy, intellectually seductive for a great number, demands a very strong requirement from all, from the business's managers to the line managers, in matters of coherence, conscience, courage and serenity.

In June of 2015, the Human Resources Department of La Banque Postale and of the Financial Services launched the first survey on the satisfaction of all employees with the quality of life in the workplace: Financial Centres and National Centres, IT Department of the Financial Services and the Retail Brand (DISFE), Department of Businesses and Regional Development (DEDT) and Department of Financial Services (DSF), LBP departments.

The **social barometer** has as its ultimate goal to offer a vision of the perception in time of the quality of life in the workplace within establishments, in order to act on common themes such as finding a balance between private and professional life, the work environment, recognition, management, etc.

This barometer has as its objective to make it possible:

- ▶ in a context of transformation, to see to the satisfaction of employees with their quality of life in the workplace, by a plan of targeted initiatives adapted with respect to the results of the barometer;
- ▶ to monitor over time the integration and the appropriateness of the transformations;
- ▶ to issue an alert in the event of risk to a population or to an establishment.

Thus, between 17 June and 8 July 2015, 48% of employees responded to the questionnaire.

Moreover, within the Operational HR Department of the Financial Services, a specific position **for mediation and support was created**. This position supports and advises managers and local HR teams with the aim of handling complex individual situations within Financial Services and the Bank. Solutions are implemented on a case-by-case basis: individual support, professional or geographical mobilities, etc.

Moreover, as part of the improvements in work/life balance, but also with a view to participating in stress reduction, a **telework ✓** agreement was signed on 25 June 2013 at Le Groupe La Poste. To promote this balance, La Banque Postale also signed a telecommuting agreement within the Economic and Social Unit companies on 10 January 2014, for which negotiations are underway. So far, at La Banque Postale, 129 employees and managers have embarked on this experiment in remote work and communication, based on universal trust, with great satisfaction.

Finally, in view of the increase in **uncivil behaviour in post offices**, the Department for Safety and Prevention of Incivilities of La Poste Network continues to provide training for all post office employees in preventing incivilities. To date, over 30,000 employees have participated in a training course. In addition, the number of reported incivilities on the ORAS application (Outil de Recueil des Atteintes

Sûreté, or security incidents data gathering tool) increased to 13,500. Specific measures were initiated in 2014, notably with the CTPI experiment (Comités territoriaux de prévention des incivilités, territorial committees for prevention of incivilities) in seven Regional Banking Departments. The CTPI aims to produce an "incivility" diagnosis of the offices in question and propose and monitor actions to be implemented to improve employees' working conditions. This new body was made standard in the volunteer Regional Departments in 2015. From now on, an overall policy for incivility prevention is available to all the players concerned.

Also within Financial Services, a draft initiative for the prevention and management of internal and external incivilities was initiated in 2015. It has as its objective to put into place concrete actions within the framework of a policy for the prevention and management of internal and external incivilities and also to respond to three categories of needs:

- ▶ to be informed of the incivilities;
- ▶ to monitor incivilities;
- ▶ to anticipate incivilities.

Thus, the teams of the HR Department of Financial Services, in association with the employee representatives of the CNSST SF, launched a national diagnostic at the end of 2015. Round-tables were held in several entities with managers and employees, in order to provide a forum for free expression on the theme and to construct a pertinent action plan.

6.2.2.6 Diversity, disability and equal opportunity

Commitments and agreements

Respecting and promoting the principle of equal opportunity and equal treatment is something which applies to all company players, at all levels and at all stages of their working lives. As "a caring, socially responsible bank", La Banque Postale is committed to promoting diversity and equal opportunity, to give everyone access to its various business lines. It also pursues an employment development policy for people with disabilities, promoting their integration and ensuring their career development.

A third disability agreement, signed in February 2014 at La Banque Postale, concerns employees of La Banque Postale and of La Banque Postale Crédit Entreprises. This agreement allows the continuation of actions undertaken since 2008 by La Banque Postale, namely: hiring, integration, training, job retention and awareness raising among the various actors in the company. Employees are made more aware of disability throughout the year through key events (an Employment of Disabled Persons Week, Health-Disability Meetings which make it possible to focus on certain themes: incapacitating illnesses, visual disability, etc.). They are also informed of these events by the distribution of flyers, the dissemination of articles on the intranet and dedicated communication screens, etc.

Various jobs are also the target of specific awareness raising (buyers, trainers, etc.). External awareness raising is also implemented via participation in hiring forums, partnerships with grandes écoles, universities, non-profit associations working with disabled persons, etc.

With respect to La Poste's Financial Services, the **sixth La Poste disability agreement was signed in May 2015**. Through this new agreement, La Poste is pursuing and reinforcing its commitments to promote the retention of disabled persons in their jobs.

In particular, it gives priority to keeping disabled persons in their jobs by creating a Committee for Return to Work and Job Retention in each entity. It also aims at pursuing efforts in matters of hiring persons with a disability, and turning to the subsidised/sheltered worker sector.

Moreover, the mobilisation to develop digital accessibility is being reinforced.

Since 2012, a network of 29 local disabled-persons' representative officers have been contributing to the implementation of the commitments of the agreements and are the preferred spokespersons with respect to disability, both in job retention and in raising employee awareness. Their roles, duties and contact data are disseminated by posting up in the entities and on the intranet. Each officer organises at least one awareness raising initiative per year and receives all the employees who so request.

On 30 September 2013, La Banque Postale signed a three-year renewal of the agreement, thereby confirming its commitment to diversity and equal opportunity at all stages of working life. La Banque establishes initiatives for employee awareness raising and information on this subject. Curricula on diversity appear in the training catalogue, in order to make it possible for everyone to best apprehend what diversity and its challenges represent.

In addition, since 18 April 2013, the signature date of the **Diversity Charter**, La Banque Postale has been pursuing its wish to integrate and to promote each person on the basis of his or her competencies, without discrimination, in order to best reflect in its workforce the diversity of the French population.

A new **Occupational Equality agreement of Le Groupe La Poste** was signed in July 2015. It covers all aspects connected to relations between men and women, and in particular, the weight of stereotypes in the relations, a job gender mix through hiring and promotion, equality between men and women, and separation between personal and work life, right to disconnection, etc. It is promoted by the HR Department of each entity which ensures its implementation at all levels. Communication tools are used, such as, for example, an "HR Guide to Parenthood" which informs employees, particularly young parents, of existing services, a "Caregiver's Guide" for family caregivers, etc.

In terms of actions, the entities arrange local forums with non-profit organisations and address subjects according to their population (skill-based sponsorship oriented towards older workers, solidarity leave, stereotypes, gender equality, etc.).

Actions of the diversity, disability and equal opportunity mission

To fulfil its mission and achieve its objectives, La Banque Postale undertook numerous actions and took part in several events in 2015.

In matters concerning disability, particularly initiatives undertaken to promote hiring of disabled persons, La Banque Postale was present at various **hiring forums** (online forums Handi2days in April and Handilive, and Adapt forum in November). In 2015, one disabled employee was hired by La Banque Postale and six were in Financial Services, which also took on three persons as apprentices. Moreover, thanks to the signing of partnership agreements with the ESSEC and Sciences Po, La Banque Postale is helping to expand access to knowledge by raising the awareness of students and future managers with regard to the professional integration of disabled people, and by creating an annual disability scholarship programme (ESSEC).

In La Poste's Financial Services, close to 600 actions **to keep employees in their jobs** were carried out in 2015, at a cost of over €700,000. La Banque Postale and Financial Services supported around 800 disabled employees.

Within the scope of La Banque Postale, the Disability Mission made adaptations to approximately ten positions: in particular through the adaptation of working hours and the assumption of transportation costs between people's homes and the workplace, and costs for training outside of the Company's training plan. In addition, half-

days of leave were granted to employees of the Bank for administrative or medical procedures related to their disabilities, or those of their disabled close relatives. So that disabled employees may have better access to training, since November 2013 they may indicate their training adaptation needs directly in the management tool. A project aimed at accessibility of e-learning modules was initiated in 2015.

The Disability Mission has also set up awareness-raising actions aimed at all employees of La Banque Postale to break down barriers and stereotypes linked to disability or its representation. In 2015, La Banque Postale accordingly renewed the programme for learning French Sign Language.

It was able to mobilise employees to make purchases in the subsidised/sheltered sector, within the framework of the Sustainable Development Week in June, by inviting employees to play a sheltered-sector discovery game, and by inviting organisations which assist disabled persons through employment ("Etablissements et Services d'Aide par le Travail", or ESAT) and sheltered workshops ("Entreprises adaptées") to present their activities. In addition, every year La Banque Postale takes part in the national Week for Employment of Persons with Disabilities ("**Semaine pour l'emploi des personnes handicapées**" - SEPH), a week which in 2015 was the "disability and diversity week" in order to take all of La Banque's commitments to the employees. Theatrical performances followed by time for exchanges on disability took place within the departments of the head offices of La Banque Postale, as well as a "Prejudice Tree" event to enable employees to deconstruct their preconceived notions in relation to disability.

In the Financial Services, a number of activities were carried out again this year: the disability officers mobilised in order to offer various events. They carried out the following activities: installation of a message tree on diversity, a café-theatre "the invisible handicap (what, you're handicapped?)" ("le handicap invisible, t'handi quoi?"), a photo competition (Nantes), and a quiz on diversity and disability (Nancy), a workshop on motor or visual disability (Strasbourg), the organisation of a Management Committee in an ESAT (Bordeaux), raising of awareness of digital accessibility (Grenoble), a "silent café" where employees could order a coffee using sign language (DISFE, Chalon, Marseilles, etc.) and several other actions in order to raise the awareness of each employee with respect to disability and to change their outlooks.

In addition to the Disability and Diversity Week, La Poste's Financial Services also participate in the **Handifférences trophies** (Le Groupe La Poste's in-house trophies). This initiative, being held for the fifth time, aims to recognise, encourage and support Le Groupe La Poste employees who have become actively involved in the integration of their disabled colleagues. The collection of good practices, of male and female postal workers in this domain, makes it possible to promote exchanges and to set an example. In 2015, the Head of Human Resources and Employee Relations of Le Groupe La Poste won second prize at the Toulouse Financial Centre: for a project initiated in 2012, aimed at supporting an employee, then a manager in the inheritances services, in his wish to evolve professionally towards a sales position.

Lastly, in 2015, Le Groupe La Poste participated for the first time in the **Free Handi'se Trophy**, which made it possible for two employees, one able-bodied and the other disabled, from the Rennes Financial Centre, to experience an out-of-the-ordinary adventure. This trophy was an opportunity to leave behind prejudices against disability and to promote diversity within the company. With this in mind, all of the employees were invited to support the La Poste team, "the Fidelo'Postes".

As regards diversity, actions were also varied, with the mobilisation of actors during Women's Day through an exhibition on the job-gender mix (portraits of women and men working in jobs which are

generally reserved for the other sex) in order to create an exchange on the subject. The diversity disability mission also participated in the Professional Development Week in order to inform women and men in the Company of existing services to promote a better separation between private and professional life. Lastly, during Diversity and Disability Week, and in extension of Le Groupe La Poste's initiative,

silhouettes were put into place in order to challenge and raise the awareness of employees on various aspects of diversity and disability, to foster exchanges and discussions, and to contribute to modifying any behaviours which are disrespectful of diversity.

6.2.3 Societal commitment

Proud of its values, La Banque Postale wishes to share its commitments towards society with its employees and all other stakeholders.

6.2.3.1 A responsible purchasing process

La Banque Postale's responsible purchasing process, implemented since the end of 2009, is fully consistent with the Purchasing Department's cost control policy. It is based on the following four pillars:

- ▶ the signing of a Responsible Purchasing Charter;
- ▶ turning to the subsidised/sheltered sector;
- ▶ integrating extra-financial criteria into the selection and monitoring of suppliers;
- ▶ making La Banque Postale's invitations to tender accessible to small and medium-sized enterprises.

The **Responsible Purchasing Charter**, established in June 2009 and updated in 2014, consolidates the process with suppliers. This document raises their awareness of La Banque Postale's CSR policy and encourages them to commit to a CSR approach. Moreover, in the Charter, the supplier undertakes to comply with the regulations in force, which are worded in a more formal manner.

La Banque Postale's Responsible Purchasing Charter must be signed for each new contract with a supplier, or in the steering committees for ongoing contracts when the Charter has not been already signed. In signing this Charter, the supplier undertakes to:

- ▶ comply with the 10 principles of the Global Compact and the eight Fundamental Conventions of the ILO (International Labour Organization);
- ▶ develop within his enterprise a management system and working conditions respectful of human dignity and workers' rights;
- ▶ comply with social and environmental regulations by establishing practices (transport policy, recyclability criteria, final waste management, etc.) for himself and his subcontractors.

At the end of 2015, 72% of the Top 150 suppliers had a responsible commitment representing 65% of the total purchasing volume managed by La Banque Postale.

Increasing contributions to the indirect employment of people with disabilities

The actions pursued by the Purchasing Department have enabled it in particular to meet objectives set in terms of purchases from the **subsidised/sheltered employment sector**. In 2015, purchases by La Banque Postale from the subsidised and sheltered sector amounted to €909,606 VAT inclusive, an amount that has, moreover, continually increased in recent years.

The Purchasing Department, with the support of consultants, is always identifying new services in connection with the subsidised and sheltered employment sector for tenders. Services such as printing,

intersite shuttling or catering are in part dedicated to this sector, and competitive bidding is done with the ordinary sector.

Integrating extra-financial criteria in supplier selection and monitoring

Every buyer at La Banque Postale ensures that social, societal and environmental criteria in line with the purchased service is integrated into the supplier specifications and during the supplier selection process. During the service monitoring phase, an annual assessment is carried out by the supplier which it integrates, were applicable, its sustainable development actions.

An ongoing discussion in collaboration with the consultants is also conducted on the improvement of supplier specifications to ensure that services are in line with the CSR policy of La Banque Postale. Notably, in 2015, the DHA (Purchasing Department) carried out an Energy Audit consultation (under the "DDADDUE Act") for all of the sites concerned, and deployed the energy conventions piloted together with the Purchasing Department of Poste Immo.

Depending on the purchasing categories, environmental and social concerns represent in general 10% of the global weighting of the rating criteria of the invitations to tender.

Supplier risk assessment

The CSR Centre, in collaboration with the Purchasing Department, created a kit grouping together various **awareness-raising and dialogue tools** on the challenges, risks and opportunities of having a responsible purchasing approach: the analysis matrix on CSR challenges, risks and opportunities in matters of purchasing, CSR scorecards by purchasing category, an awareness-raising poster, and an intranet space dedicated to responsible purchasing.

The **La Poste matrix** was updated in 2014 by La Banque Postale and the CSR Department of La Poste. This tool provides possibilities to be considered in order to mitigate legal, social, environmental and societal risks, and also to improve the positive impact of the purchasing act on various levels:

- ▶ social, e.g. the inclusion of employees with disabilities by taking into account accessibility when purchasing IT upgrades;
- ▶ societal, e.g. regional development by buying from the social and solidarity economy;
- ▶ environmental, e.g. improvement of the quality of life at work by buying a partition capable of reducing air pollution; in September 2014, the introduction of an electric vehicle for mail shuttles between locations;
- ▶ economic, e.g. the possibility of developing a competitive advantage for a La Poste product or service through an evaluation of the suppliers' variants.

6.2.3.2 Accessibility of the premises and services for customers

La Poste Network, a showcase for La Banque Postale in the regions, has committed itself, since 2007, to a major programme of modernisation designed to facilitate the **accessibility of Post Office branches**, products and services for disabled persons. At the end of September of 2015, within the framework of the filing of the Scheduled Accessibility Agendas initiated by regulatory developments published in 2014, 5,096 post offices (54%) had a sales space which was accessible to all disabled persons, of which 3,628 among them (38% of all the facilities) have an exterior access for persons with reduced mobility.

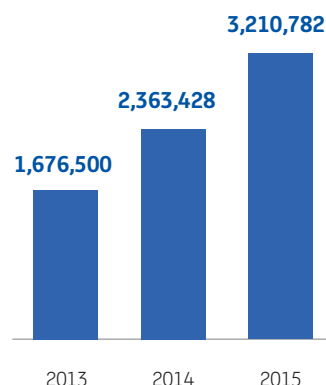
At the end of 2015, 89 of the Automatic Teller Machines (ATMs) situated on post office facades are either directly accessible to persons with reduced mobility (PRMs), or situated in direct proximity to another ATM which is accessible to PRMs in the same post office. The provision of accessible ATMs and SSTs (Self-Service Terminals) of La Banque Postale for blind persons or persons with poor vision is also underway, with a steadily-increasing accessibility rate at the end of 2015 of 74%, or 5,680 machines. ATMs which are located inside the offices are all accessible. Moreover, the Bank's monthly newsletter is available on the internet in a version accessible to the visually impaired. At the end of 2015, 1,163 customers had registered to receive their **bank statements in Braille**. At the same time, electronic bank statements were modified so that they could be read by a speech synthesiser used by blind and partially sighted people, using Jaws reading software. LBP information

In rural areas, La Poste is involved in reducing the **digital divide** and in improving customer service. Thus, more than 2,500 digital tablets have been rolled out since 2014 in the La Poste Agence Communale service points. Available to customers on a self-service basis, they provide access to banking and postal services, but also to town hall and institutional partner websites, such as the CAF (family benefits fund) or Pôle Emploi (the French national employment agency).

To facilitate the reception and access to Post Office and Bank offers for migrant segments of **the public, asylum seekers and refugees**, specific measures have been taken in 120 reference Post Office branches located near "CADA" centres (Asylum Seeker Reception Centres). This mainly involves special training for employees of the Post Office branches in question. These measures fall within the framework of partnership agreements established with immigrant aid organisations FTDA and OFII. In sensitive urban areas, close to 350 post offices benefit from the mobilisation of close to 160 partner non-profit associations to accompany the most vulnerable customer bases in their postal and banking efforts. In this way, sociocultural mediators or interpreters perform standby duties in post offices.

6.2.3.3 Corporate sponsorship and partnerships

In 2015, all of the corporate sponsorships that La Banque Postale participated in amounted to €3,210,781.70, around 35% more than in 2014. The most significant projects are described below.



■ Financial commitment for sponsorship in euros

L'envol, La Banque Postale's campus

Since 2012, La Banque Postale has committed itself to a new social sponsorship approach: **L'Envol, La Banque Postale's campus**. The purpose of this non-profit association, supported by the French Department of Education, is to promote the academic achievement of approximately 60 talented young students each year, guiding them in their choices and providing them with the educational support and materials needed for them to succeed in their studies. Coming from modest backgrounds, these young people are spotted in their early teens and given personalised support from secondary school to selective higher education by a sponsor who is an employee of La Banque Postale or Le Groupe La Poste for the entire duration of the programme (six to eight years). Present throughout France, including in French overseas departments, half in rural areas and the other half in urban areas, this equal opportunities programme is consistent with the Group's values of local presence and regional development. To implement this project, L'Envol is backed by Frateli, a benchmark partner with regard to equal opportunity.

L'Envol accompanies students in six fields: their relationship with themselves, with others, with the world, with the future, with their studies, and with commitment. The students thus become aware of all the aspects in which they can progress and in which L'Envol can assist them.

Employees' commitment is on a voluntary basis taken out of their personal time (evening, week-end or leave time). Their commitment is on a long-term basis (individual sponsorship for at least three years) and some participate actively, during major events to design activities and preparatory work meetings, and as moderators during events. There are over 380 employees of La Banque and of Le Groupe La Poste who will be involved.

As proof of recognition, L'Envol has won numerous prizes since its launching: the Trophée France Mécénova in 2013, the Cachet d'Europe in 2013, and the Trophée National de l'Entreprise Citoyenne in 2014.

In 2014, all the students passed the university entrance exam (Baccalauréat) cum laude! They choose their vocations in conjunction with L'Envol, which assists them in their thinking to work out their **career plan**. They pursue their post-secondary studies in a great variety of sectors (political sciences, medicine, preparatory classes, etc.) while continuing to receive counselling from their sponsor.

In the framework of "**L'Envol online: the virtual campus**", over 800 hours of tutoring and 711 hours of English courses were provided to secondary-school students between September 2014

and June 2015. 65% of them log in to the collaborative area each week to discuss L'Envol and perpetuate the community and team spirit.

Each year, L'Envol **organises six major gatherings** to promote community spirit addressed to students according to their level of education: integration campus and weekend in Paris (classes of 2014 and 2015, 2nd and 1st levels), "Cap sur le Sup" work placement and discovery trip to Berlin (class of 2013, "Terminale" level), "Campus vers le Sup" (classes of 2012 and 2013, university students) and immersion trip to England (class of 2014, 1st).

The cultural and corporate openness extends throughout the year through 14 local events organised by sponsors from the same region/department in order to discover together all of the riches of the cultural and economic heritage. The young people in the L'Envol programme also received 45 computers (purchase of portable computers for students through Ecodair, an entity which salvages, repairs and resells IT equipment) and webcams.

At the end of August 2015, **the new class** integrated L'Envol during the annual integration programme: group projects, teaching workshops, fun activities, sharing of experiences, etc. L'Envol now numbers four classes and 240 students (30 academies represented)

L'Envol wishes to accompany talents in their diversity. That is why this year we created the "**vocational path programme**", intended for students in vocational secondary schools, in the catering, art and metal-industry sectors. The 1st class will arrive in spring of 2016, then a 2nd at the start of the 2016/2017 school year. This new programme was developed in partnership with Réussir Moi Aussi ("I Want to Succeed, Too").

The current "general and technological path" programme is continuing its development, welcoming a 5th class. L'Envol will in the end count close to 800 students.

Skills-based volunteering

In 2015, the skills **volunteer programme** initiated by La Banque Postale and the La Poste Network continued its momentum. With respect to budgetary workshops, over 60 employees were involved, first addressing a young audience in the Local Missions which implement the Garantie Jeunes ("Youth Guarantee") programme, for which the budgetary workshop has become vital, as well as in the Écoles de la Deuxième Chance ("Second-Chance Schools"). The volunteer employees also worked with an adult audience on behalf of non-profit association partners of the Club de l'Initiative ("Initiative Club") (Restos du Cœur, etc.) or partners of the Network Fondation Agir Contre l'Exclusion ("Foundation against Exclusion"), PIMMS ("Points Information Médiation Multi Services") Multi-Service Mediation Information Points, etc.). Twenty or so employees sponsored micro-businesses within the framework of the Entreprendre Pour Apprendre ("Undertake to Learn") programme (the winner of "la France s'engage") and ten or more contributed their support to micro-entrepreneurs with PlaNet Adams in sensitive areas in the Paris region. In total, close to a hundred employees thus showed their solidarity commitment. This initiative was rewarded in November 2015 with an R award, a Special Jury Prize for "true know-how" given by the Club Génération Responsable during the COP 21 at the Grand Palais.

Supportive partnerships of La Banque Postale

True to its values of commitment, responsibility and solidarity, La Banque Postale continues to support national causes by making an on-line donation collection tool available to its customers on its website. In 2013, for example, three donation collections were carried out for the Red Cross, the AFM-Téléthon (French Muscular Dystrophy Association) and Hôpitaux de Paris-Pièces jaunes. La Banque Postale also continued the support it has provided for over ten years to the Solidarité Sida non-profit association combating AIDS.

From 30 September 2013 and up until 29 May 2015, La Banque Postale was the exclusive partner of **La Quotidienne** on

France 5. This programme, broadcast at 11:45 am from Monday to Friday, highlights new forms of consumption that promote trust, exchange and social links (collaborative, solidarity-based, responsible, sustainable and economical consumption). Topics already covered in this programme include: home loans, volunteer work, socially responsible investment, energy savings and greenwashing.

The collaborative economy

Since June 2011, La Banque Postale has also supported the collaborative economy thanks to a partnership agreement signed with **KissKissBankBank**, a crowdfunding platform that enables project starters to raise funds through their friends and the general public. Each month, La Banque Postale provides up to 50% financing for a favourite project: 57 projects have been supported in this way since the partnership was launched. This partnership has also included, since 2013, **HelloMerci**, a platform for solidarity lending between private individuals. Over 20 projects received the support of La Banque Postale on this platform.

Lastly, in 2015, La Banque Postale pursued its commitment in the **Social Cup**, the first French cup for student social entrepreneurship, launched with KissKissBankBank (KKBB) and MakeSense. This second competition saw more than 450 students mobilise in the 12 participating cities, to propose over 80 innovative social-enterprise projects. 12 projects were decided upon for the final, which took place in January 2016, with Values for IT winning. These 12 finalist projects received a financial allowance from La Banque Postale for their first crowdfunding campaign launched on KKBB. Via these partnerships and initiatives, La Banque Postale encourages entrepreneurial spirit and the expansion of the collaborative economy.

6.2.3.4 Dialogue with stakeholders

The discussions that it conducts with non-profit associations within the framework of the Alliance Dynamique in order to promote the social and solidarity economy (see below) or as part of the Initiative against banking exclusion (see section on *Banking Accessibility*) shows to what extent La Banque Postale is open to dialogue with external stakeholders.

In the **discussions held with the consumer associations** of Le Groupe La Poste (since 1989), La Banque Postale takes part in the first discussion level. Twice a year, the Chairman of the Executive Board meets the national spokespersons of approved consumer associations.

True to its values of local presence and transparency, La Banque Postale maintains its ties with local public-sector players, **notably through its local finance steering committee**, composed of elected representatives, former parliamentarians and experts. This committee is responsible for foresight, observation, and advice: assessment of risks, monitoring, proposing new services, etc.

In order to meet its commitments as regards social home ownership, La Banque Postale pursues its exchanges with the players of the social housing sector in the framework of its **steering committee for access to social home ownership** (a committee made up of notable people from the fields of housing and social home ownership). Chaired by the Chairman of La Banque Postale's Executive Board, this committee is responsible for advice, planning, and observation. Meeting at least twice per year, it thus plays a role in setting up an innovative model for home loans aimed at low-income households, one of La Banque Postale's key strategic aims (see chapter on *Banking Accessibility*).

6.2.3.5 Local presence: Financing corporate and regional development

La Banque Postale continues to develop its services to regions, professionals and large companies. 2015 was marked by various high points: the operational launch of the "Banque des Pros" (Banking for

Professionals) Programme with the installation of 100 professional client managers in the Network, the marketing of collective health insurance with the commitment in the field of Collective Insurance Special Advisors, the start of medium- to long-term corporate lending, and the attainment of the position as a leader among local authorities.

La Banque Postale thus strengthened its position as a regional bank by supporting and financing the real economy in very close touch with its customers' needs. True to its commitments, it supports its customers by offering them a range of simple, accessible, useful and responsible products, consolidating its positioning as a "civic-minded bank" with all its corporate customers.

The offer to local authorities

Three years after the launch of its financing offer for the local public sector, La Banque Postale has become a leading lender in the market. As a Civic-minded Bank, it addresses both small local bodies and large urban areas. Whatever the size of their territory, it aims to be a long-term partner for all and for all local projects.

Around half of the local communities that it assists are towns of less than 5,000 inhabitants.

Its comprehensive range of finance products is now proposed to all local public players. It further enlarged its offer by offering longer-term loans, revolving loans as well as investment solutions.

In 2015, La Banque Postale became involved with ODAS National Observatory of Social Action ("Observatoire National de l'Action Sociale") in order to promote, among elected officials, the establishment of "citizen days" in our communities. Such days are an opportunity to mobilise the population in order to carry out projects to improve their quality of life, bringing together people around civic actions, by facilitating exchanges and sharing.

A new partnership with the EIB

In 2014, La Banque Postale signed a partnership agreement with the European Investment Bank (EIB) to invest €300 million in support of three major programmes launched by the Government: the Hôpital Avenir ("Future Hospital") plan, the Très Haut Débit ("High-Speed Broadband") programme and the Collèges et Emplois des Jeunes ("Youth Academies and Employment") programme. In December 2015, La Banque Postale again mobilised its know-how to promote energy transition, by signing a memorandum of understanding with the EIB, in the amount of €100 million, aimed at financing the "Energy optimisation of public buildings" project launched by the Ministry of Ecology, Sustainable Development and Energy.

This funding, organised by the EIB, falls within the framework of the French "Energy Transition for Green Growth" Act. It makes it possible to rehabilitate and renovate public buildings with the objective of reducing their energy consumption, all while optimising their energy performance. It also makes it possible to finance the construction of new buildings which are exemplary from an energy point of view. This investment should have a positive impact on employment, while reducing the costs for the operation of such buildings.

Supporting social housing landlords and tenants

Two out of three social housing associations are customers of La Banque Postale, which covers all their routine banking needs. The Bank also remains close to the needs of council housing tenants. It makes life easier for them, **via simple, secure solutions for paying their rent**: direct debit, fund transfer, SEPA interbank transfers, cash with the Eficash service at the post office, or checks with automated and specific processing: Externis. These services make the collection activity social housing associations flexible and safe.

Committed **to access to social home ownership**, La Banque Postale proposes a financing offer for council housing organisations, in the

form of PSLAS (prêts sociaux à la location accession, rent-to-own social loans). In 2014, it signed a partnership agreement with the Fédération nationale des sociétés coopératives d'HLM (FNSCHLM) to promote social home ownership and support the expansion of council housing cooperative companies. Under this partnership, La Banque Postale joined the Board of Investors of the Société de financement de l'habitat coopératif (SFHC), on which FNSCHLM relies, particularly for complementary financing for its projects. It thus plays an active role in supporting cooperative housing projects and contributes to the search for innovative solutions in the production and management of rental property. New in 2015, La Banque Postale obtained approval to distribute the Social Housing Loan ("Prêt Locatif Social" – PLS).

An historical player in the provision of cash flow services and cash management, La Banque Postale bases its customer relationship on its values of local availability, accessibility and trust. By now meeting the **essential requirements of business customers** with simple and appropriate offers, La Banque Postale enables these customers to manage their businesses with equanimity.

The financing solutions proposed by La Banque Postale for businesses meet their needs both for large transactions and for their cash management.

In 2015, La Banque Postale increased equipment for its small and medium-sized business customers with account management products and cash flow products. It also supports them with an increasingly comprehensive financing offer to assist them in the diversity of their needs and their business.

La Banque Postale has a dedicated team capable of handling all the needs of its large business and institutional customers. To date, more than 250 large businesses and institutions already trust it as an innovative banking partner, expert on its business lines, and providing high quality performance.

In 2015, La Banque Postale provided special support for the short-term financing requirements **of pension funds and social organisations**. It is now developing the financing **of the health and social welfare sector** throughout the country. In cooperation with mutual insurance companies, it will contribute to major structural projects such as the development of healthcare centres, which involve both the mutual insurance companies and the hospital sector.

A close relationship with non-profit associations and VSEs/Pros

La Banque Postale is strengthening its close relationship of trust with professionals, very small enterprises and local non-profit associations. It has started establishing a dedicated banking sector, which will take into account the two aspects of the banking relationship, professional and personal, for its professional customers. By 2020, 1,000 Professional Client Managers ("RC Pros") will assist and advise professional clients in the post office branches. In 2015, 100 RC Pros were installed across the country.

Close relationships under partnerships

La Banque Postale has been a partner of the **Union nationale interfédérale des œuvres et organismes privés non lucratifs sanitaires et sociaux** (UNIOPSS) since 2012. It shares common values with this federation, such as commitment, solidarity, social innovation, combating exclusion, etc. Its ambition being to be closer to the regions, La Banque signed an agreement in September 2014 with one of the regional unions which are members of that federation: URIOPSS Provence Alpes Côte d'Azur et Corse (PACA).

In the education sector, La Banque Postale signed an agreement with the **Fédération nationale des organismes de gestion des établissements de l'enseignement catholique** (FNOGEC), a federation that contributes to the expansion of Catholic Education for more than 2,000,000 pupils.

Lastly, the Bank extended its partnership with the **ASPTT sports federation**. Both want to strengthen their historical relationship in order to develop new projects.

Promoting the Social and Solidarity Economy (SSE)

La Banque Postale supports **the Social and Solidarity Economy (SSE)** by proposing a comprehensive banking offer completely dedicated to mutual insurance companies and social welfare players.

Moreover, after having established a major two-year partnership with the Conseil national des chambres régionales de l'économie sociale (CNCRES), La Banque Postale contributes to regional recognition of the SSE. Concerned with rewarding social innovation, La Banque awarded the "proximity/local initiative" prize to Mutualité Française de Normandie and to Mutuelle JUST, during the 6th Argus de l'Innovation Mutualiste et Paritaire competition, in the framework of the Month of the Social and Solidarity Economy in November 2015.

Committed to the Dynamic Alliance

In 2014, Le Groupe La Poste initiated the Dynamic Alliance, a commitment charter, which strengthens its cooperation with 30 social and solidarity economy players. A legitimate and committed partner of non-profit associations as part of its contribution to regional development, La Banque Postale is naturally involved in this approach. It thus continues to deploy a varied range of goods and services adapted to the needs of the social and solidarity economy focusing on solidarity financing and savings.

6.2.3.6 La Banque Postale, a committed and recognised player with regard to Corporate Social Responsibility

As a subsidiary of Le Groupe La Poste, which has been a signatory to the **UN Global Compact** since 2003, La Banque Postale upholds the principles set forth by the Global Compact regarding Human Rights, Labour Standards, Environmental Protection and the Combat against Corruption.

Regarding Respect for Human Rights and Labour Standards, La Banque Postale, which is a French retail bank operating exclusively on French territory, is not concerned by the issues inherent in the activities of corporate and investment banking (CIB). Nevertheless, it undertakes to promote and respect the Human Rights described in the Universal Declaration of Human Rights for its business and within the framework of its relations with its suppliers. It considers the International Labour Organization's Declaration on Fundamental Principles and Rights at Work as a benchmark platform (see section on *Social Responsibility*). The Bank upholds freedom of association and recognises collective bargaining rights. Forced or compulsory labour and child labour are of course prohibited. Any form of discrimination is prohibited at La Poste and La Banque Postale. The Company reiterates its attachment to compliance with rules of equality and respect for diversity in all its forms. As an example, the trade union organisations signed various agreements concerning job equality between men and women, employment of disabled persons, and the inter-generational contract designed to promote corporate values. The Company's internal rules also reiterate the prohibition of any harassment at work, and establishes procedures for reporting any presumed situation of discrimination or harassment to the operational Human Resources

Department. A mediation unit was also put into place to address suspicious cases (see section on *Corporate Responsibility*).

In France, the employee training sessions on business ethics cover the **fight against corruption** (see Management of Extra-Financial Risks). Moreover, La Banque Postale ensures that its suppliers share its values by having them sign a Responsible Purchasing Charter (see *Societal Responsibility*), underlining the importance of respect for Human Rights, labour standards and the environment.

In January of 2015, La Banque's Executive Committee validated the creation of a **Responsible Financing Charter** which proscribes any interaction with organisations and businesses which have violated legislation, codes of conduct, or international conventions in a serious and repeated manner.

Since 2010, La Banque Postale has been issued **extra-financial agency ratings** on a regular basis. Following the evaluation completed by **Oekom** in January 2015, La Banque Postale topped the list of international financial institutions with regard to its extra-financial performance. This ranking attests to the quality of the CSR measures implemented. At the time of its last evaluation in April 2015, **Vigeo** ranked La Banque Postale as the 2nd bank of those which the panel evaluated, only one point away from the leader. Among La Banque Postale's strong points, the agencies emphasised its responsible marketing policy and the transparency of contracts, the measures taken to ensure access to financial services for all, the development of financial services with significant social benefits, and a good integration for social and environmental issues in asset management.

La Banque Postale's responsible behaviour is also acknowledged by the French people. According to the **Annual observatory of sustainable development published** by the IFOP (Institut français d'opinion publique, French Institute of Public Opinion), once again in 2015 the French chose La Banque Postale as the top French bank for its commitment to sustainable development, this for the seventh consecutive year. Its status as a "Civic-minded Bank" is thus confirmed.

Moreover, La Banque Postale strives to convey its values by participating **in the major committees tasked with promoting CSR**. It also actively participates in various working groups led by ORSE ("Observatoire de la Responsabilité Sociétale des Entreprises", the Observatory of Corporate Social Responsibility), in the Greater Public Commission of the Forum for Responsible Investment ("Commission Grand Public du Forum pour l'Investissement Responsable") (FIR), in the CSR/SRI steering committees of Paris Europlace, in the Sustainable Development Commission of the Fédération Bancaire Française (FBF) and in Medef's CSR and Extra-Financial Performance Committees to advance major CSR projects (taking into account extra-financial criteria in the insurance sector, promotion of SRI with private customers, enhancement of actions in the finance sector to promote the environment, measurement of the carbon footprint of the financial sector, etc).

In 2015, La Banque Postale was especially active in the preparation of COP 21, which was held in Paris in December. Together with Le Groupe La Poste, a major COP partner, La Banque was able to put forward its all-new range of products and services making it possible to work for energy transition (see section on Economic Responsibility for a description of the Green Product Range)

6.2.4 Environmental commitment

In terms of environmental measures, La Banque Postale implements simple, concrete, rated measures which contribute to the protection of the environment. The goal of its environmental policy is to reduce its direct and indirect impacts on the environment.

Commitments

As part of the **"energy transition"** project in its new strategic plan for the period 2015-2020, Le Groupe La Poste has set itself new environmental objectives, particularly to **lower its greenhouse gas emissions by 15%** as part of the fight against climate change. La Banque Postale undertakes to contribute fully to these ambitious objectives by committing to reducing Greenhouse Gas emissions connected to the main sources of its emissions: buildings and IT, employee travel, and paper consumption.

At the same time, the CSR teams also strive to reduce water consumption, improve waste management, limit the impact on biodiversity and reduce the environmental impact of information and payment systems.

6.2.4.1 Combating climate change

Well aware of its impact and its role, La Banque Postale pays close attention to direct greenhouse gas emissions from its buildings and those caused by its employees' travel, as well as certain indirect emissions linked to its products. The control of its direct footprint is governed by **an energy efficiency policy for its buildings** and a **responsible mobility policy**.

La Banque Postale's Carbon Fund

In 2014, La Banque Postale reinforced its environmental policy by creating an internal "Carbon Fund", thus joining Le Groupe La Poste in its initiative for the internalisation of the cost of this negative externality. Its financing is in fact established according to the CO₂ emissions induced by its principal emission sources (buildings and IT, travel, paper) in the amount of €7 per tonne of CO₂ equivalent emitted. The financial package thus constituted is dedicated to supporting projects for the reduction of CO₂ emissions both internally and externally.

The 2015 edition released an overall financial package of **€331,274**, taxes excluded, making it possible to finance 11 internal projects selected following an invitation to tender launched in March, as well as an external project for reduction of CO₂ emissions.

Internally, the financial support of the "Carbon Fund" in particular made it possible to carry out energy-saving work such as LED relamping or the optimisation of boiler rooms, and also to see innovating projects emerge such as the provision of an electrically-assisted bicycle fleet for the employees of one of the sites of the head office, which will be operational in early 2016.

Externally, the "Carbon Fund" made it possible to finance, alongside the mail and parcel service branch ("Branche-Service-Courrier-Colis") of Le Groupe La Poste, the "Climate + Territories" programme of the Massif Central PIG (public interest group), a pioneering initiative having as its objective to progressively construct a national programme for combating climate change through better forest management.

Contributing to the objective of a 15% reduction of CO₂ emissions by La Banque Postale between 2013 and 2020, the "Carbon Fund" has already been extended for 2016.

Energy consumption and greenhouse gas emissions related to buildings

At the same time, the energy efficiency policy, validated by the Responsible Development Committee in June 2009, still continues around the following main aspects:

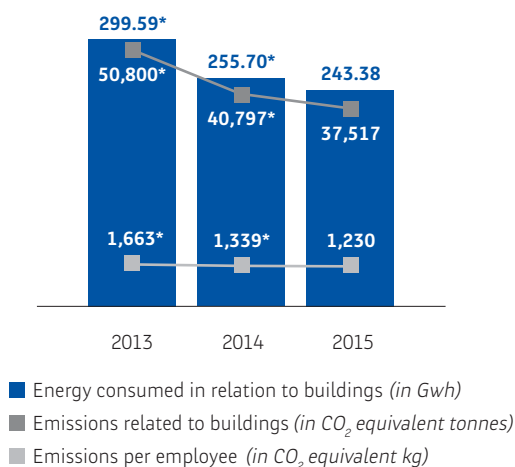
- ▶ energy savings work on buildings;
- ▶ eco-responsible behaviour of employees;
- ▶ temperature control in the premises.

As the first main aspect of this policy, numerous **awareness raising initiatives** are conducted by the CSR correspondents on the occasion of the European Sustainable Development Week each year, as well as awareness raising in eco-gestures on the Bank's intranet. Since 2012, about 40 key CSR correspondents have also been trained in **energy management** in the Financial Centres & National Centres in order to:

- ▶ learn to monitor energy consumption;
- ▶ introduce measures to reduce consumption and raise employees' awareness.

Under the aegis of the Real Estate Department of La Banque Postale, work for the thermal insulation of premises, roofing repairs, heating regulation, replacement of obsolete air-conditioning systems or boilers has been regularly carried out since 2010 and shall continue through to 2020. These measures have enabled La Banque Postale to maintain its building-related greenhouse gas emissions in recent years despite the increase in business. Between 2012 and 2015, a 12% drop in CO₂ emissions was observed (at constant scope between 2012 and 2015, excluding BPE and the Banking Advisory Line).

In 2015, these emissions amounted to 37,517 tonnes of CO₂ equivalent. For the first time this year, La Banque Postale was able to integrate, within its publication scope (restated over three years on a historical basis), the greenhouse gas emissions connected to consumption by the Banking Advisory Line's buildings.



The total energy consumption includes the consumption of electricity, natural gas, fuel oil, district heating, and propane gas.

Scope:

La Banque Postale Group	Financial Services	Banking Advisory Line	Subsidiaries: 54.45% of are ^a
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The 11 **energy audits** carried out in 2015 in response to the DDADDUE Act covering over 70% of La Banque Postale SA's direct energy bill, have made it possible to identify actions to reduce the energy emissions of the buildings concerned, which will be taken into account in the renewal of La Banque Postale's 2015-2020 environmental policy.

Moreover, since 1 October 2015, La Banque Postale has been buying, in order to supply all of its major sites (power exceeding 36 KVA) with **electricity which is from a 100% renewable source**, pursuant to the agreements negotiated by Le Groupe La Poste. This initiative falls fully within the framework of the "La Poste 2020: Conquering the Future" strategic plan, with, in particular, the ambition of providing itself with electricity which is from a 100% renewable source, in all of its property stock managed by Poste Immo. This operation is a new example of the possibility of allying economic performance and reducing its ecological footprint. This decision contributes to the CSR commitments of the Group, of providing an example and of responsible regional economic development, and promotes, through this purchase, the development of energy from a renewable source in France.

As part of this same objective of reducing building-related greenhouse emissions, Poste Immo is participating this year and for the second time in the **CUBE 2020 competition** organised by IFPEB, aimed at reducing energy consumption by buildings which have been registered solely thanks to raising the occupants' awareness and eco-gestures, and the optimisation of the equipment in place. Out of 40 buildings registered, representing more than 380,000 sq.m. and 16,000 employees, seven participant buildings form part of La Banque Postale's property stock. It will be recalled that Poste Immo and, more generally, Le Groupe La Poste, was the winner of the 2014 competition, with a remarkable performance of -20.7% for the Rennes Colombier site.

Moreover, in response to the regulatory obligations of the Grenelle II Act, Poste Immo is involving landlords and tenants in improving the energy and environmental performance of its buildings through the development of a palette of expertise, notably by the implementation of eco-gestures, the use of **green lease committees** aimed at improving

the maintenance, and the quality of equipment and its proper utilisation by occupants. The green lease initiative was deployed in 2015 in buildings concerned with the "environmental annex" (leases for premises exceeding 2,000 sq.m. for offices or commercial use). 25 of La Banque Postale's buildings were involved.

In anticipation of the decree on service sector renovation, Poste Immo is a signatory to the **Tertiary Charter** committing it to improve by 25% the energy performance of its properties of more than 5,000 sq.m. (useful rental area) between 2011 and 2020. The green lease initiative was thus extended to this new scope. Of the 120 buildings registered, 15 buildings accommodating employees of La Banque Postale are now subject to this charter.

Greenhouse gas emissions related to computer equipment

The energy efficiency assessment conducted in 2007 and 2008 revealed that the share of electricity consumption attributable to IT systems was between 40% and 50%.

Along with the responsible purchasing of computer hardware and services, the IT Department of the Financial Services and Retail Brand (DISFE) has committed to a Green IT action plan.

For example, all the desktop and laptop PCs of La Banque Postale, the Financial Centres and the Network (Post Office branches) bought since 2012, and gradually replaced, bear the EPEAT eco-label. Likewise, all of the printers and photocopiers of La Banque Postale, the Financial Centres and the Network (post office branches) bought, or hired, since 2014 are labelled Energy Star (gradual replacement over four years).

Finally, measuring the carbon footprint of the various installed computer bases has been possible since 2013 at the level of Le Groupe La Poste, thanks to the "Green Argile" IT tool. For example, in 2015, the information distributed and Data Centres of La Banque Postale represented about 6,150 equivalent tonnes (versus 8,015 CO₂ equivalent tonnes in 2014). It should be noted that these data should not be added to the building-related greenhouse gas emissions as it already includes the use phase of the computer equipment.

Greenhouse gas emissions due to employee travel

La Banque Postale's responsible mobility policy takes into consideration the impact of its vehicles and their fuel consumption, employees' business travel by rail or by air, and their commutes between home and work.

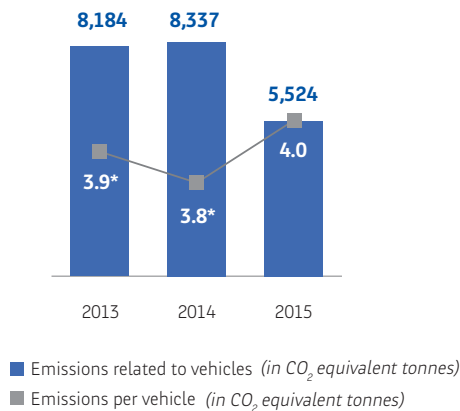
La Banque Postale's vehicles

In order to reduce the impact of the vehicles and their use, **eco-responsible driving courses** have been set up since 2007 in the Financial Centres and at the head Offices. In 2015, 2,155 employees were trained in the framework of this programme. Thanks to the Carbon Fund, and in order to give new life to this programme, La Banque Postale launched a pilot training programme in 2015 for a sample of its employees, on the prevention of road risks and eco-conduct, in collaboration with Mobigreen, a subsidiary of Le Groupe La Poste.

With respect to **the fleet of La Banque Postale's company-owned vehicles**, 94% of the vehicles of the fleet were emitting less than 119 grammes of CO₂ per km at the end of 2015, of which 25% emitted less than 101 grammes. In 2015, the fuel consumption of La Banque Postale's service and company-owned vehicles sharply decreased, with 5,524 tonnes of CO₂ equivalent (versus 8,337 tonnes of CO₂ equivalent in 2014). This decrease can be explained notably by the departure of vehicles from the former Bank Marketing Department

* Data restated on a historical basis.

at the La Poste Network. Between 2012 and 2015, the total of the CO₂ equivalent emissions emitted per vehicle of La Banque Postale decreased by 3%.



Scope:

La Banque Postale Group	Financial Services	Banking Advisory Line	Subsidiaries: 93.6% of are ^a
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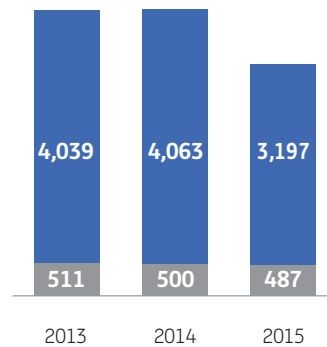
Electric vehicles

Since 2014, La Banque Postale has been committed to examining, within the framework of the renewal of the service fleet of the Financial and National Centres and at the head offices of La Banque Postale, the possibility of including electric vehicles, where appropriate.

In line with the roll-out of the first electric vehicle to the Financial Centre of Marseilles in 2014, the Centres of Lyon and Limoges also each benefited from a vehicle in 2015. Subject to the need for renewal, the roll-out of two other electric vehicles to Limoges may be possible in 2016. With respect to the head office, it replaced two diesel service vehicles with hybrid vehicles, and equipped its Paris head office with an electric vehicle. This initiative was made possible owing to the integration of some electric vehicle listings in La Banque's supplier catalogue.

Business travel by rail and air and commuting to work

In 2015, employee travel by rail accounted for 487 CO₂ equivalent tonnes (versus 500 in 2014) and air travel accounted for some 3,197 CO₂ equivalent tonnes (versus 4,063 in 2014). Along the path of 2012-2015, the CO₂ emissions related to air travel decreased by 9%, while those related to rail travel remained stable (+1%).



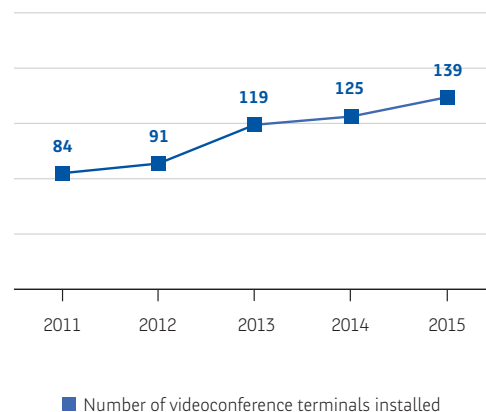
■ Emissions related to business travel by train (in CO₂ equivalent tonnes)
■ Emissions related to business travel by plane (in CO₂ equivalent tonnes)

Scope:

La Banque Postale Group	Financial Services	Banking Advisory Line	Subsidiaries: 81% of are ^a
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Videoconferencing roll-out

In order to reduce the number of business trips, La Banque Postale has installed videoconference terminals in the Financial and National Centres, the head offices, and some subsidiaries since 2011. As at 31 December 2015, 139 videoconference terminals were installed within La Banque Postale entities.



In order to reduce the impact of its employees' travel, La Banque Postale has set up initiatives to raise awareness. These include the **European mobility week**, which takes place in September. In fact, every year, La Banque Postale reiterates its commitment to responsible mobility and raises the awareness of its employees on its implications. With in particular numerous events planned in the entities in 2015:

- bicycles: diagnostic and repair workshops, tests of electrically-assisted bikes, a competition for the employee who comes with the most original bicycle, a cycling loop in Village La Poste sites in collaboration with the head offices of the business branches;

* Data restated on a historical basis.

- promotion of alternative transportation: with demonstrations of electric vehicles, events focused on original means of transport, such as the two-seater, the tandem, or the Segway!;
- but also getting around on foot: with guided visits of the city centre of Nantes and Clermont-Ferrand, sessions with an ASPTT sports coach, running sessions, etc.

This week was also an occasion to focus on CSR, and to renew, at the national level, the survey on employee travel between home and work.

Employee travel between home and work

Thanks to the participation of employees in **the home-work survey** distributed during the **2015 Mobility Week**, La Banque Postale was able to calculate trends in the environmental footprint related to its employees' travel between home and work. The results of this survey show that 127,682,788 km were travelled by La Banque Postale employees this year, or the equivalent of 3,192 revolutions of the Earth and 16,266 tonnes of CO₂ equivalent.

While the number of kilometres travelled increased by 11% in comparison with 2013 (115,342,651 km in 2013), the carbon footprint (tonnes of CO₂ equivalent emitted) increased only by 1% (16,092 tonnes of CO₂ equivalent in 2013) pointing to a favourable trend in employee behaviours.

Today, 11% of the kilometres, as compared to 7% in 2013, were travelled by La Banque Postale employees with non-polluting means of transport, also called active modes of transport: bicycle, scooter, roller blades, or walking. Moreover, 10,916 tonnes of CO₂ equivalent were saved thanks to the use of public transportation (41% of the kilometres were travelled using public transportation) and 2,836,260 km and 682 tonnes of CO₂ equivalent were avoided thanks to ride-sharing, i.e. 408,745 km more than in 2013. However, the main means of transport for 38% of employees is still single passenger car use (as compared with 37% in 2013).

To encourage travel by green transport systems, 22 bikes including 13 power-assisted bikes are made available to employees in the Financial and National Centres.

Indirect greenhouse gas emissions related to the Bank's products

La Banque Postale's goal is to control the indirect greenhouse gas emissions related to its products. In this framework, La Banque Postale Asset Management calculated the carbon intensity (which corresponds to greenhouse gas emissions based on the level of activity) of about 2,000 businesses, with the aid of a database dedicated to environmental impacts. As an initial step for an improved integration of the efforts to combat climate change in investments, this information is made available to all LBPAM's fund managers.

In addition, carbon intensity is a factor actively taken into account in the process of defining the investment universes of three SRI

funds of the Investir Autrement ("Invest Differently") range: LBPAM Responsable Actions Euro, LBPAM Responsable Actions Europe and LBPAM Responsable Actions Monde. Accordingly, the securities of European companies having relatively high greenhouse gas emissions relative to their sector of activity are excluded from these two funds. The funds' average carbon intensity is compared to the one of their respective benchmarks. This information is sent to investors quarterly via the LBPAM website.

Other projects support this ambition:

- a dedicated thematic fund: the LBPAM Responsable Actions Environnement fund, created in 2009, which aims to invest, via European markets, in environmental endeavours, particularly in the fight against climate change;
- investments in "responsible bonds": at the end of 2013, LBPAM established a specific methodology for evaluating "responsible bonds". These bonds are distinguished from conventional instruments by the issuer's commitment to use the funds raised for environmental or social projects. The issuers of these bonds are varied, including business development banks and local authorities. Built jointly by the SRI analysts and credit fund managers, this methodology factors in the issuer's ESG rating and a qualitative evaluation of the projects related to the issue (ESG quality of the issue, transparency regarding the projects financed, reporting). Via this dedicated rating, fund managers are encouraged to pay special attention to responsible bond issues. The total assets invested in responsible bonds by LBPAM amounted to €257 million (compared to €116 million at the end of 2014);
- the ESG checklist (see section on Responsible Offering): it includes an item on combating climate change. Each product is therefore examined in terms of its impact on the reduction of CO₂ greenhouse gas emissions.

2015 was marked by an important growing awareness by investors of their role with respect to climate change. This shift was fostered by the outlook of the COP21 which took place in Paris. It was accentuated by the Energy Transition Act for green growth enacted on 17 August 2015, which created new obligations for transparency and commitment for institutional investors, through its Article 173.

Within this framework, LBPAM has proven its commitment to energy transition by associating itself with various initiatives in place.

- in August 2015, LBPAM joined the IIGCC (Institutional Investors Group on Climate Change), a forum whose mission is to change investment practices by encouraging the adoption of public policies promoting transition towards a low carbon economy and the development of solutions for adaptation to climate change;
- in November 2015, LBPAM signed the Montreal Carbon Pledge, thus committing itself to measuring and publishing the assessment of the average intensity of its open share portfolio

investments. The first measure was communicated as of the month of December 2015: on 30 October 2015, the average carbon intensity of its open funds invested in shares was 223 tonnes of CO₂ equivalent per million euros of revenue. In comparison, the average carbon intensity of the stock-market indexes "Euro Stoxx 300" and "MSCI World" were, respectively, 230 and 234 tonnes of CO₂ equivalent per million euros of revenue⁽¹⁾.

Because the responsibility of investors with respect to climate change can appear complex to measure, LBPAM hosted a section devoted to the COP21 on its website⁽²⁾, in order to help its clients understand the challenges and to be informed of the initiatives being carried out by the management company.

6.2.4.2 Paper consumption

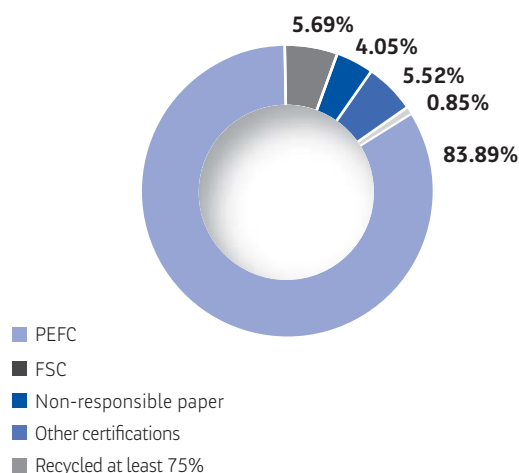
For the first time this year, La Banque Postale was able to integrate into its scope of publication (with historic reprocessing) the greenhouse-gas emissions connected to the consumption of paper of the Banking Advisory Line (allocation to external consumption to clients).

Thus, of the 8,684 tonnes consumed in 2015 (versus 8,676 in 2014):

- ▶ 9% was internal and represented 26 kilogrammes per employee;
- ▶ 91% was external (directly to customers and communications) and represented 0.73 kilogrammes per active customer.

In 2015, the **portion of "responsible" paper**, in other words, recycled or sourced from forests which are sustainably managed, was 97.1% as compared with 99.7% at the end of 2014.

PAPER CERTIFICATION



In the LBP scope, Financial Services, 81% of Subsidiaries and excluding LCB, or 72% of total consumption.

At constant scope (excluding the Banking Advisory Line), paper consumption decreased by 29% between 2012 and 2015. This decrease resulted in particular from a 31.5% drop in "external" paper consumption sent to clients, and owing to going paperless (for example, online account statements, etc.).

6.2.4.3 Waste management

Awareness raising

In parallel with the reinforcement of social and environmental criteria in the specifications for the cleaning-service providers and waste management of the premises, La Banque Postale participated in November 2015 in the **European Week for Waste Reduction (EWWR)**, for the third consecutive year. This event was in particular the occasion for CSR teams to raise employee awareness of the "3 Rs" of the EWWR: Reduce waste – Reuse products – Recycle materials.

La Banque Postale thus put into place various actions in the field in order to increase awareness of the reduction and recycling of waste. In the Financial and National Centres, numerous collections were organised: pens, caps, plastic bottles, batteries, coffee capsules, file folders, eyeglasses, etc., were collected to be recycled or given to non-profit association partners. 18 Financial Centres also rolled out the national initiative of Recy'go, Le Groupe La Poste's paper-recycling service. This service is also being progressively rolled out in La Banque Postale's different sites.

Other initiatives were also implemented, for example: upcycling and origami workshops using recycled materials in the Clermont-Ferrand and Nantes Financial Centres, a solidarity exchange of toys and games between colleagues at the Financial Centre of Grenoble, or the expansion of the Rennes collaborative library.

Recygo offers a paper-recycling service

At the time of COP21, Le Groupe La Poste demonstrated its commitment to energy recycling with the roll-out of Recy'Go. This involved an **office paper-recycling** service offered by the mail and parcel service branch ("Branche Service Courrier Colis"). The principle is simple: during his rounds, the postal worker collects office paper and deposits it into a mail platform. Nouvelle Attitude, a subsidiary of Le Groupe La Poste, then carries out the sorting of the paper, in order to enhance its value, before transmitting it to nearby paper recyclers located in France.

Recy'go has two positive results:

- ▶ first of all, environmental, through its initiative of circular savings (recycling) and of neutral carbon emission inverse logistics, thanks to the optimisation of the return trips of the postal workers to their mail platform;
- ▶ solidarity, on the other hand, through Nouvelle Attitude, a business which operates with the vocational integration sector through economic activity. Nouvelle Attitude in fact employs persons needing vocational integration, provides them with training, and promotes their return to work.

Since 2013, in tune with the Group and its CSR policy, La Banque Postale has been deploying the Recy'Go paper service in its Financial and National Centres. At the end of 2015, 14 Financial Centres were equipped; and three other Centres, as well as the three sites of La Banque's head office will be, between now and the end of 2016. Since it was put into place in 2013, Recy'Go has made it possible to collect 407.7 tonnes of paper for recycling.

(1) http://www.labanquepostale-am.fr/actualites/archives/2015/lbpam_mesure_L_intensite.html

(2) http://www.labanquepostale-am.fr/isr/zoom_sur_cop21.html

6.3 CSR INDICATORS

The CSR indicators published in this section support La Banque Postale's transparency objective and substantiate the qualitative elements described in the previous sections. They have been grouped according to four categories: economic indicators, social indicators, societal indicators, and environmental indicators.

As an introduction to the indicator tables, the following methodology notice provides the required information for the proper understanding of the indicators, their scope and their possible limitations.

6.3.1 Note on methodology

The reporting protocol supports the definition of the CSR indicators established in order to report on the CSR performance of La Banque Postale. The information is reported by a network of over one hundred CSR correspondents who contribute to the extra-financial reporting process.

The CSR indicators were built with regard to the indicators suggested by the French NRE Act on new economic regulations, Article 225 of the Grenelle II Act, and according to their relevance to La Banque Postale's business activity. The indicators put forward by the Global Reporting Initiative (GRI), in particular in its Financial Services Sector Supplement (FSSS), were also taken into account. National methodology such as ADEME's Bilan Carbone® (carbon

footprint) was used as a guideline, particularly for the calculation of environmental indicators.

For each indicator, the figures for the last three years were included whenever possible. The data is presented on a like-for-like basis and the changes in the scope are explained. Due to a change in scope, a change in methodology and a subsequent data correction, the 2012, 2013 and 2014 data have been adjusted since the previous publications for comparison purposes and are therefore followed by an asterisk*.

6.3.1.1 Scopes of the extra-financial reporting process

The aim of La Banque Postale's feedback process is to cover all of the Bank's business activities and their impacts, all of the physical entities (buildings) and all of the players at La Banque Postale. Various scopes have therefore been defined in order to account for the corporate, social and environmental impacts of business activities in a relevant way. The table below presents the data from the targeted **extra-financial scope as at 31 December 2015**.

La Banque Postale Group (legal entity)	▶ Head Office of La Banque Postale ▶ Regional Banking Departments ▶ Regional Representatives	2,438 employees (i.e. 8% of the personnel of La Banque Postale Branch) as at 31.12.2015 55,705 m² (i.e. 14% of the occupied area) as at 31.12.2015
Financial Services (employees of the Le Groupe La Poste working under the name of and on behalf of La Banque Postale)	▶ 19 metropolitan Financial Centres, four Financial Centres in the French overseas departments, six National Centres ▶ IT Department of Financial Services and the Retail Brand (DISFE) ▶ Bank Marketing Department ▶ Department of Businesses and Regional Development	15,934 employees (i.e. 52% of the personnel of La Banque Postale Branch) as at 31.12.2015 301,996 m² (i.e. 76% of the occupied area) as at 31.12.2015
Banking Advisory Line (employees of Le Groupe La Poste working under the name of and on behalf of La Banque Postale) – The positions taken into account in the LCB are the following: Customer Advisor, Financial Advisor, Customer Manager, Specialised Wealth Management Advisor, Specialised Real Estate Advisor, CFAS, CPCI, banking support position: banking sales monitor, youth facilitator, loan assistant, and DOPI.	▶ Advisors working in post offices	10,742 employees (i.e. 35% of the personnel of La Banque Postale Branch) as at 31.12.2015 Operating in post offices, the surface area occupied by the Banking Advisory Line is included in the scope of the La Poste Network.
Subsidiaries (18 subsidiaries are consolidated in the extra-financial report)	▶ Employees working in the 17 subsidiaries within the scope of consolidation	1,741 employees (i.e. 6% of the personnel of La Banque Postale Branch) as at 31.12.2015 39,767 m² (i.e. 10% of the occupied area) as at 31.12.2015

Note that Post Office counter clerks who work for the different business activities of Le Groupe La Poste are excluded from the extra-financial scope of La Banque Postale.

The scope is the same for all the economic indicators which cover all of La Banque Postale. However, for the other indicator categories, the scope may vary from one indicator to another. For each indicator, the scopes actually covered are specified in a reference box as shown below and followed by an explanatory sentence where required:

Scope covered: Entity Scope not covered: Entity

Where applicable, for the corporate responsibility and social indicators, the coverage rate is calculated according to the number of employees. For the environmental indicators, it is calculated according to the area occupied.

Consolidation of subsidiaries

The consolidation of subsidiaries within the extra-financial scope is based on the principle of accounting consistency as well as on the principle of relevance of their various impacts. The goal is thus to include all consolidated subsidiaries in which the Group holds an interest of at least 50% (fully consolidated), as well as certain non-consolidated subsidiaries which have relevant impacts on the Bank's interests (see organisation chart in Section 1.4 of the Registration Document). In 2015, the 20 consolidated subsidiaries were the following:

- ▶ retail banking: La Banque Postale Financement (LBPF), Easybourse, Titres Cadeaux, La Banque Postale Immobilier Conseil (LBPIC), La Banque Postale Crédit Entreprises (LBPCE), La Banque Postale Collectivités Locales (LBPCL), BPE, SOFIAP and SFH Home Loan;
- ▶ asset management: La Banque Postale Gestion Privée (LBPGP merged with BPE at the end of 2015), La Banque Postale Asset Management (LBPAAM), La Banque Postale Structured Asset Management (LBPSAM), Tocqueville Finance SA, Ciloger and Fédérés (merged with LBPAAM during 2015);
- ▶ insurance: La Banque Postale Prévoyance (LBPP), La Banque Postale Conseil en Assurances (LBPCA), La Banque Postale Assurances IARD (LBPIARD), La Banque Postale Assurances Santé (LBPAS) and SOP ASSURE;
- ▶ included in the calculation of the SRI portion in the employee savings plans for 2015, 2014 and 2013 are investments made in all of La Banque Postale's Décisiel funds, and no longer in the one Décisiel solidarity fund, as was the case for the preceding 2014 Report;
- ▶ the SRI amounts managed by Fédérés asset management are also taken into account in the SRI investments.

In 2015, these 20 subsidiaries were either all included, all excluded, or partially included in the calculation of the indicators. Where only part of the subsidiaries was covered, in addition to the coverage rate shown in the scope reference box, details of the subsidiaries covered are given below the indicator.

SOP ASSURE and SFH HOME LOAN, having neither staff nor area at their disposal, are in effect excluded from the scope of extra-financial reporting.

Fédérés, Asset Management a new subsidiary of La Banque Postale acquired during 2015, was deliberately left outside of the consolidation scope of the extra-financial environmental reporting, with the latter putting into place a reliable reporting process with a view to its integration.

The scope of the social and societal indicators covers 18 subsidiaries (including Fédérés and excluding SFH Home Loan and SOP ASSURE). The scope of the environmental indicators covers 17 subsidiaries (excluding Fédérés, SFH Home Loan and SOP ASSURE).

6.3.1.2 Information feedback in 2015

Economic indicators

- ▶ SRI funds (excluding third-party mandates integrating ESG criteria) include funds where at least 90% of the assets were assessed according to environmental, social and governance (ESG) criteria;
- ▶ included in the calculation of the SRI portion in the employee savings plans for 2015, 2014 and 2013 are investments made in all of La Banque Postale's Décisiel funds, and no longer in the one Décisiel solidarity fund, as was the case for the preceding 2014 Report;
- ▶ the SRI amounts managed by Fédérés asset management are also taken into account in the SRI investments.

Social and societal indicators

- ▶ the 18 subsidiaries included in the extra-financial scope were covered by most of the social indicators;
- ▶ only working employees are included in the total workforce (staff on permanent contracts, civil servants, staff on permanent contracts and emplois d'avenir (jobs of the future workers). Apprenticeship contracts, occupational contracts, work-study scheme trainees and corporate officers are no longer included in the total workforce as part of the protocol harmonisation process with Le Groupe La Poste. The distribution by age of the staff numbers only takes into account permanent contracts;
- ▶ the permanent workforce is made up of permanent employees and civil servants;
- ▶ the Banking Advisory Line has no strategic women executives and thus reports 0. In 2015, the Tocqueville subsidiary was taken into account in the indicator;
- ▶ days' absence for work-related accidents are monitored on a calendar basis;
- ▶ monitoring of occupational diseases is performed by La Banque Postale but the quantification is not consolidated at present, since the materiality of this indicator is not considered relevant to its service activity;
- ▶ the number of sick days is reported in calendar days, and takes into account permanent employees and state employees. In 2015, a change in method was made: the indicator includes days of absence over the period from 1 January 2015 to 31 December 2015. During previous fiscal years, the recorded days corresponded to the days for which the absence began during fiscal year N, and could extend over to fiscal year N+1: the number of days of absence for N+1 was estimated;
- ▶ dismissals do not include the revocation of the appointments of state employees and the termination of trial periods at the employer's initiative;
- ▶ the training indicator takes into account completed training to date, chargeable or non-chargeable, and e-learning;
- ▶ subcontracting at La Banque Postale is not significant and does not concern La Banque Postale's core business activities. Subcontractors remain in all circumstances under the authority of the Service Provider, who retains sole responsibility for performance of all the services, and more specifically for compliance with quality, security and confidentiality levels. See Article 28 of the contracts signed by suppliers.

Environmental indicators

- ▶ the following indicators are tracked over a sliding 12-month period, from 1 December 2015 to 30 November 2015, with regard to: energy consumption and greenhouse-gas emissions related to buildings, greenhouse-gas emissions related to vehicles, the number of employees trained in eco-responsible driving, water consumption and tonnes of Waste from Electrical and Electronic Equipment (WEEE) collected;
- ▶ energy consumption is monitored mainly on the basis of invoices and, in the possible case of an invoicing delay, on the basis of meter readings, in order to report the most exhaustive data possible;
- ▶ the water consumption of two sites of the IT Department of the Financial Services and the Retail Brand (DISFE) is not included in the extra-financial report;
- ▶ the four Financial Centres located in the French overseas departments are not included in the environmental criteria, except for the vehicle, videoconference and paper indicators;
- ▶ the data was converted into CO₂ equivalents based on Version 7.04 of ADEME's Bilan Carbone® (carbon footprint). The emission factors for gas, fuel oil, diesel oil and petrol include the upstream and combustion processes. The emission factor for electricity includes line losses;
- ▶ in 2015, the Banking Advisory Line was integrated in the scope of publication of building-related energy consumption and paper consumption, according to a distribution key based upon the accounting base, making it possible to distribute the charges attributable to LCB employees working in the name and on behalf of La Banque Postale;
- ▶ the emission factor utilised for the conversion of LCB's district heating consumption is the French average of the District Heating Energy Factor of Version 7.04 of Bilan Carbone. The Energy Factor utilised for Propane Gas was also pulled from Version 7.04 of Bilan Carbone;
- ▶ in 2015, gas consumption for 2014 and 2013 was reprocessed following an update of certain data which had been extrapolated during the preceding campaign, with invoices received during 2015;

- ▶ in 2015, BPE was integrated into the reporting scope in the majority of the environmental indicators involving the reprocessing of historical data up to 2013;
- ▶ the National Customer Introduction Centres (CNMRs) of La Banque Postale were not integrated into the scope of Financial Services; the work to integrate these new sites is ongoing;
- ▶ paper scrap in production is included in total consumption. "Urgent" paper consumption excluding framework contracts is not taken into account in the graphic chain's paper consumption. The contribution is marginal;
- ▶ for certain missing data, and in cases where such an approach would be considered relevant, an extrapolation of missing or erroneous consumption could be performed based on the actual consumption data deemed most reliable;
- ▶ the CO₂ emissions related to travel by train and by plane of the Transactis and SFIL subsidiaries are recorded in addition to the 15 subsidiaries of the reporting scope, the sample size of the reporting data not allowing us to remove them from the consolidated report.

6.3.1.3 Data verification

In 2011, La Banque Postale initiated a verification process for its responsible development indicators by an independent third party. In the framework of Article 225 of the Grenelle II Act, La Banque Postale has since continued this process. All of the audit missions were the subject of a moderate assurance opinion, published in La Banque Postale's Registration Documents. In 2015, for the first time, certain key indicators would become the subject of a reasonable assurance opinion.

On 13 May 2013, the decree determining the procedures used by the independent third party to carry out its mission was published. Accordingly, pursuant to Article L. 225-102-1 of the French Commercial Code, the report of one of the statutory auditors of La Banque Postale, designated as an independent third party, can be found after this section on responsible development indicators. This report concerns the presence of the CSR Information set out by Article R. 225-105-1 of the French Commercial Code, and expresses a reasoned opinion on the sincerity of the information published in the Management report included in the Registration Document for the financial year ended 31 December 2015.

6.3.2. Economic indicators

The indicators presented in the following table supplement the Banking Accessibility, Responsible Customer Relations, Responsible Offering and Management of Extra-Financial Risks sections of this document. For all of these indicators, the scope is as follows:

	2015	2014	2013
BANKING ACCESSIBILITY			
Number of personal micro-loans disbursed (including home micro-loans) ✓	2,024	2,069	1,480
To facilitate the extension of personal micro-loans, 32 new partnership agreements were signed in 2015. 2015 market share: 13.5% (vs. 13.9% in 2014).			
Percentage of consumer loans less than or equal to €1,500	7%	7%	8%
Home loans: percentage of borrowers earning less than 2 minimum wages per month	20.32%	22.12%	NA
Percent of Livret A accounts with a balance of less than €150	54%	53%	

	2015	2014	2013
RESPONSIBLE CUSTOMER RELATIONS			
Customer satisfaction rate	91.80%	90.70%	90.60%
Customer claims rate	8.90%	8.40%	8.30%
Home loans: Bad debt rate	0.71%	0.59%	0.51%*
La Banque Postale's bad debt rate is among the lowest on the market (market average as of the end of 2014: 1.73%).			
Number of customers having received support from LBP Financement's Support Unit during the year	742	753	330
Number of customers having received support from CRESUS during the year	735	100	100
Number of customers supported by L'Appui	12,277	3,925	NA

	2015	2014	2013
RESPONSIBLE OFFERING			
Socially Responsible Investment (SRI) assets in € billions	3.39	1.20	1.23
In 2015, SRI investments accounted for 1.9% of all investments managed by LBPAM.			
Funds integrating ESG criteria in € billions ✓	94.74	96.98	90.92
In 2015, the funds integrating ESG criteria accounted for 63.12% of all investments managed by LBPAM (excluding Fédérus Asset Management).			

	2015	2014	2013
MANAGEMENT OF EXTRA-FINANCIAL RISKS			
ESG risk exposure of the Financial Transactions Department (non-sovereign issuers)	2.4	2.67	2.51
ESG risk exposure of the Financial Transactions Department (sovereign issuers)	2.93	3.11	NA

	2015	2014	2013
Number or Percentage of employees trained in combating money laundering and terrorism financing over the last three years			
La Banque Postale Employees	61%	55%	73%
Financial Centre Employees	90%	84%	92%
Network employees	89%	94%	86%

* Restated data.

6.3.3 Social indicators

The indicators presented in the following table supplement the Social Responsibility section of this document.

	2015	2014	2013
EMPLOYMENT: TOTAL WORKFORCE, HIRES AND DISMISSALS			
Number of employees of Le Groupe La Banque Postale as a number of people	30,855	31,182	31,563*
La Banque Postale Group	2,438	2,351	2,228
Financial Services	15,934	16,492	18,386*
Banking Advisory Line	10,742	10,784	9,538
Subsidiaries	1,741	1,555	1,411

Includes permanent employees, state employees, temporary employees, and contrat d'avenir personnel (excluding work-study employees and dormant contracts), and banking support positions.

The **30,855** employees of Le Groupe La Banque Postale work in France.

Scope:	La Banque Postale Group	Financial Services	Banking Advisory Line	Subsidiaries
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Percentage of employees aged under 25 in the permanent workforce	1.15%	1.46%	1.80%
Percentage of employees aged 55 and over in the permanent workforce	24.69%	23.61%	21.92%

Scope:	La Banque Postale Group	Financial Services	Banking Advisory Line	Subsidiaries
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Number of CDI (permanent) employees recruited	726	819	1,134
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Includes the number of permanent hires following a temporary contract, an apprenticeship contract or an occupational contract, and external permanent hires.

Scope:	La Banque Postale Group	Financial Services	Banking Advisory Line	Subsidiaries
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Number of redundancies	93	88	106
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La Banque Postale has not made anyone redundant on economic grounds over the past three years.

Excluding termination of a trial period by the employer (impossibility of distinguishing whether the employers or employees are the cause) and excluding revocation, numbering 1 in 2012 and 1 in 2014 for the Financial Services

Scope:	La Banque Postale Group	Financial Services	Banking Advisory Line	Subsidiaries
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	2015	2014	2013
REMUNERATION			
Average gross annual remuneration for women in €	37,682	36,575	35,719*
Average gross annual remuneration for men in €	45,014	43,537	42,307*

Indicators calculated using the average annual FTE headcount (permanent, state employees).

Scope:	La Banque Postale Group	Financial Services	Banking Advisory Line	Subsidiaries
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* Restated data.

	2015	2014	2013
Amount of the incentive plans in €	18,480,534	11,386,351	11,609,921*
Amount of profit sharing in €	10,513,569	6,921,837	5,853,038*
Amount of employer's contribution in €	5,519,269	4,735,505	4,609,254*
Portion of socially responsible investment in employee savings	29.06%	30.43%	32.82%*

Includes amounts paid yearly in respect of the previous financial year.

Scope: La Banque Postale Group Financial Services Banking Advisory Line Subsidiaries: 29% of the workforce
4 of the 18 subsidiaries included in the HR scope: LBPCE, LBP IARD, LBPCA and LBPGP

	2015	2014	2013
FIGHT AGAINST DISCRIMINATION: GENDER EQUALITY IN THE WORKPLACE AND EMPLOYMENT OF DISABLED PERSONS			
Percentage of women in the workforce	61.81%	61.93%	61.78%
Percentage of women in executive positions	55.77%	55.48%	54.76%
Percentage of women in strategic executive ✓	35.80%	35.02%	35.86%*

Scope: La Banque Postale Group Financial Services Banking Advisory Line Subsidiaries

	2015	2014	2013
Percentage of women on the Executive Board of La Banque Postale	23.80%	27.78%	33.30%
Percentage of women on the Supervisory Board of La Banque Postale	40%	46.67%	33.30%

Scope: La Banque Postale Group Financial Services Banking Advisory Line Subsidiaries

	2015	2014	2013
Percentage of Employment Obligation Beneficiaries	2.97%	3.07%	2.92%

Percentage calculated according to AGEFIPH rules.

Scope: La Banque Postale Group Financial Services Banking Advisory Line Subsidiaries

	2015	2014	2013
Number of declared disabled employees assisted	812	799	794

Moreover, the percentage of Employee Obligation Beneficiaries is only calculated at Le Groupe La Poste level.

Scope: La Banque Postale Group Financial Services Banking Advisory Line Subsidiaries

	2015	2014	2013
WORK ORGANISATION: OVERTIME, PART-TIME, ACCIDENTS AND ABSENCES			
Amount of overtime per employee in hours	1.88	2.02	2.09

Includes the number of overtime hours declared by each employee under permanent contract and state employees.

Scope: La Banque Postale Group Financial Services Banking Advisory Line Subsidiaries

	2015	2014	2013
Percentage of part-time employees in the workforce	9.01%	10.60%	10.89%

Includes employees on permanent contracts and state employees who have chosen to work part-time.

In 2015, 88.9% of part-time employees were women (86.3% in 2014).

Scope: La Banque Postale Group Financial Services Banking Advisory Line Subsidiaries

* Restated data.

	2015	2014	2013
Number of teleworking ✓	237	185*	NA

Scope: La Banque Postale Group Financial Services Banking Advisory Line Subsidiaries

	2015	2014	2013
Frequency rate of work accidents	4.62	4.28	4.51
Severity rate of work accidents	0.14	0.13	0.13
Number of days of work stoppage due to work accidents and travel per employee	0.49	0.54	0.57

Includes accidents and days off work for permanent, state and temporary employees.

Scope: La Banque Postale Group Financial Services Banking Advisory Line Subsidiaries

	2015	2014	2013
Rate of absenteeism due to illness	5.23%	4.91%	4.83%
Number of days of work stoppage due to illness per employee	19.52	18.38	18.01

Includes accidents and days off work for permanent and state employees

Scope: La Banque Postale Group Financial Services Banking Advisory Line Subsidiaries

	2015	2014	2013
EMPLOYEE RELATIONS			
Number of collective agreements signed	6	7	5

Between 2006 and 2015, 124 collective agreements were signed. Some of these agreements affect employees from the Banking Advisory Line and subsidiaries. Please refer to the publications from previous years for more information on agreements, particularly those pertaining to health and safety at work.

Scope: La Banque Postale Group Financial Services Banking Advisory Line Subsidiaries: 5% of the workforce

The agreements made by La Banque Postale concern the UES (economic and social unit), comprising La Banque Postale and the following two subsidiaries: LBPGP and LBPCF.

	2015	2014	2013
TRAINING			
Number of training hours	730,807	673,567	778,457
Number of training hours per employee	23.69	21.60	24.66

In 2015, 24,758 employees attended at least one training programme during the year.

Scope: La Banque Postale Group Financial Services Banking Advisory Line Subsidiaries: 71% of the workforce

Subsidiaries, excluding LBPCF and LBP FI and CIOGER

	2015	2014	2013
Number of employees on banking courses leading to a qualification or diploma	138	153	186

Includes employees in first and second years of banking courses leading to a qualification or diploma.

Scope: La Banque Postale Group Financial Services Banking Advisory Line Subsidiaries

* Restated data.

6.3.4 Societal indicators

The indicators presented in the following table supplement the Societal responsibility section of this document.

	2015	2014	2013
RESPONSIBLE PURCHASING			
Number of Responsible Purchasing Charters signed by suppliers	298	237	NA

Certain subsidiaries use La Banque Postale contracts.

Please refer to the information dedicated to La Banque Postale's responsible purchasing in the Societal Responsibility section for more information regarding the consideration of extra-financial issues and supplier and subcontractor relationships.

In order to ensure the reliability of the data, we have used, since 2015, information obtained from the www.provigis.com internet platform, on which La Banque Postale's suppliers have agreed to file and update the various contractual documents, including the Responsible Purchasing Charter.

Scope: La Banque Postale Group Financial Services Banking Advisory Line Subsidiaries

	2015	2014	2013
Progression of purchases from the subsidised/sheltered employment sector	2%	9%	1%

Progression calculated relative to the previous year.

Please refer to the subsections on diversity, disability and equal opportunity in the Social Responsibility section for further information.

Scope: La Banque Postale Group Financial Services Banking Advisory Line Subsidiaries

	2015	2014	2013
CIVIC COMMITMENT			
Financial commitment for sponsorship in euros	3,210,782	2,363,428	1,676,500

Scope: La Banque Postale Group Financial Services Banking Advisory Line Subsidiaries

Territorial, economic and social impact and stakeholder relations

Please refer to the Societal Responsibility section of this document as well as the Social Responsibility section in which a paragraph is dedicated to La Banque Postale's relationships with academic institutions.

Compliance with the fundamental conventions of the ILO (International Labour Organisation)

Please refer to the end of the Societal Responsibility section of this document regarding compliance with fundamental labour rights for employees, suppliers and subcontractors.

Corruption Prevention

Please refer to the end of the Management of extra-financial risks section of this document focusing on business ethics.

Health and Safety of customers

Please refer to the Banking Accessibility (combating banking exclusion) and Responsible Customer Relations (preventing over-indebtedness and support in the event of financial insecurity) sections of this document.

6.3.5 Environmental indicators

The indicators presented in the following table supplement the Environmental responsibility section of this document.

	2015	2014	2013
Total Carbon footprint of La Banque Postale (Tonnes of CO ₂ equivalent)	74,454	81,241	91,592

The CO₂ footprint takes into account the following emission sources: buildings, business travel and commuting between home-work, paper consumption. LCB's consumption is included in the building and paper consumption items.

	2015	2014	2013
BUILDINGS			
Energy consumed in Gwh	243.38	255.70*	299.59*
Emissions related to buildings in CO ₂ equivalent tonnes	37,517.00	40,797*	50,800*
Emissions per employee in CO ₂ equivalent kg	1,230	1,339*	1,663*

The total energy consumption includes the consumption of electricity, natural gas, fuel oil, district heating, and propane gas.

Scope: La Banque Postale Group Financial Services Banking Advisory Line Subsidiaries: 54.45% of area

12 of the 17 subsidiaries included: LBPFI, LBPIARD, Easybourse, LBPAM, LBPSAM, Titres Cadeaux, LBPCE, LBPAS, LBPCL, Tocqueville Finance SA, LBPP, BPE. The Banking Advisory Line is integrated on an accounting pro rata basis.

	2015	2014	2013
TRAVEL			
Emissions related to vehicles in CO ₂ equivalent tonnes	5,524	8,337*	8,184*
Emissions per vehicle in CO ₂ eq. tonnes	4	3.8*	3.9*

Scope: La Banque Postale Group Financial Services Banking Advisory Line Subsidiaries: 93.6% of area

15 of the 17 subsidiaries included: LBPFI, LBPIARD, Easybourse, LBPAM, LBPSAM, Titres Cadeaux, LBPCE, LBPIC, LBPGP, LBPAS, LBPCL, Tocqueville FI, BPE, SOFIAP. Exclusion of the vehicles from the former Bank Marketing Department transferred to the Network in October 2014.

	2015	2014	2013
Emissions related to business travel by train in CO ₂ equivalent tonnes	487	500	511
Emissions related to business travel by plane in CO ₂ equivalent tonnes	3,197	4,063*	4,039

Scope: La Banque Postale Group Financial Services Banking Advisory Line Subsidiaries: 81% of area

14 of the 17 subsidiaries included: LBPFI, LBPAS, titres cadeaux, LBPIC, Toqueville, LBPCE, Easybourse, IARD, LBPGP, LBPAM, LBPSAM, LBPCL

	2015	2014	2013
Number of employees trained in eco-responsible driving	38	20	91

By the end of 2015, 2,155 employees had therefore been trained since 2008 in the Financial Centres and in the head offices (excluding awareness-raising activities).

Scope: La Banque Postale Group Financial Services Banking Advisory Line Subsidiaries

	2015	2014	2013
Number of videoconference terminals	139	125	119

Scope: La Banque Postale Group Financial Services Banking Advisory Line Subsidiaries: 18%

* Restated data.

	2015	2014	2013
RESOURCES			
Paper consumption in tonnes	8,684	8,676	9,065%
Emissions related to paper in CO ₂ equivalent tonnes	11,463	11,452	11,966
Portion of responsible paper out of total paper consumption	97.06%	99.80%	96.62%
Consumption of paper for internal purposes per employee in kilos	26	28	29
Consumption of paper for external purposes per active customer in kilos	0.73	0.73	0.76

Paper is the main raw material used by La Banque Postale, which is mindful of the quality of the paper as well as the volumes consumed.

Scope: **La Banque Postale Group** **Financial Services** **Banking Advisory Line** **Subsidiaries: 81% of area**

10 of the 17 subsidiaries included: LBPF, LBPIARD, Easybourse, LBPAS, LBPP, LBPAM, LBPCE, LBPCL, LBP Immo Conseil and BPE. The Banking Advisory Line is integrated on an accounting pro rata basis.

	2015	2014	2013
Water consumption in millions of litres	108.51	112.95*	133.98*
Consumption per employee per day in litres	27	28*	30*

With respect to La Banque Postale's business activities, only the water consumed by company restaurants and sanitary appliances is taken into account. La Banque Postale consumes only potable water coming from French municipal utilities and is therefore not faced with the issue of depletion of water resources. However, as part of its policy of controlling the use of resources, reducing water consumption is a constant operating objective of the locations and is covered by monitoring and reporting.

Scope: **La Banque Postale Group** **Financial Services** **Banking Advisory Line** **Subsidiaries: 61% of area**

7 of the 17 subsidiaries included: LBPF, LBPIARD (hors Centre de Relation client), LBPAM, LBPSAM, LBPAS, Tocqueville Finance SA, BPE.

	2015	2014	2013
Collection of WEEE (waste electrical and electronic equipment) in tonnes	87.95	60.7	32.2

Scope: **La Banque Postale Group** **Financial Services** **Banking Advisory Line** **Subsidiaries**

* Restated data.

Only the Financial Centres, which account for 76% of the area occupied by Financial Services, are included in the scope.

Use of soil

This item does not apply to La Banque Postale's business activities.

Atmospheric discharges

Please refer to the Environmental responsibility section of this document concerning the fight against climate change as well as the related environmental indicators in this section. For further information, also refer to La Banque Postale's response to Article 75 of the Grenelle II Act.

Discharges into the soil and water

This item does not apply to La Banque Postale's business activities.

Other nuisances of an auditory, visual or olfactory type

This item does not apply to La Banque Postale's business activities.

Measures taken to ensure compliance with legal provisions relating to the environment

In view of its business activities and its culture as a public-interest organisation, La Banque Postale has implemented particularly thorough procedures to control its business activities, which involve the Risk Department (in a regulatory watch role) and the Compliance Department. La Banque Postale therefore fulfils its obligations in respect of caring for the environment, particularly in terms of collecting and sorting its waste, and of the renovation work done on its buildings.

Measures taken to preserve and promote biodiversity

The actions and initiatives conducted by La Banque Postale, particularly to control its CO₂ emissions, or through the inclusion of environmental criteria in purchasing specifications, help to *limit* its impact on the environment. Furthermore, La Banque Postale took part in the FBF Working Group on the carbon footprint of means of payment, with a view to moving the banking sector forward on this issue. In addition, La Banque Postale installed beehives on the roofs of its Paris Head Office in 2012, thereby contributing to plant pollination and the protection of biodiversity.

Company environmental assessment or certification initiatives

Please refer to the Paragraph concerning the extra-financial agency ratings in the Societal Responsibility section of this document.

Expenses incurred in order to prevent the Bank's activities from having a negative impact on the environment

The expenses incurred in order to protect the environment are not identified among the overall expenses incurred by La Banque Postale's CSR section.

Internal organisation, employee training and awareness-raising

Please refer to the Governance of responsible development at La Banque Postale section of this document on governance bodies and employee awareness-raising.

Resources dedicated to preventing risks

Please refer to the Management of extra-financial risks section of this document.

Amount of provisions and guarantees for environmental risks

The nature of La Banque Postale's business activities does not require provisions or guarantees for environmental risks.

6.4 REPORT OF ONE OF THE STATUTORY AUDITORS, DESIGNATED AS INDEPENDENT THIRD PARTY, ON THE CONSOLIDATED SOCIAL, ENVIRONMENTAL AND SOCIETAL INFORMATION IN THE MANAGEMENT REPORT

Report of one of the statutory auditors, designated as independent third party, on the consolidated social, environmental and societal information in the management report

Financial year ending 31 December 2015

To the shareholders,

In our capacity as statutory auditors of LA BANQUE POSTALE S.A. designated as an independent third party, accredited by COFRAC under number 3-1049 ⁽¹⁾, we hereby present our report on the consolidated social, environmental and societal information for the financial year ended 31 December 2015 presented in the management report (hereinafter, the "CSR Information"), pursuant to the provisions of Article L. 225-102-1 of the French Commercial Code.

Responsibility of the Company

It is the responsibility of the Executive Board to prepare a management report that includes the CSR Information pursuant to Article R. 225-105-1 of the French Commercial Code, prepared in accordance with the reporting protocol used by the Company (hereinafter, the "Framework"), a summary of which is included in the management report and available upon request at the Company's registered office.

Independence and quality control

Our independence is defined by regulatory provisions, the professional code of ethics and the provisions of Article L. 822-11 of the French Commercial Code. In addition, we have implemented quality control procedures that include documented policies and procedures whose purpose is to ensure compliance with the applicable ethical rules, professional standards and legal and regulatory provisions.

Responsibility of the statutory auditors

It is our duty, based on our work:

- ▶ to certify that the required CSR Information is included in the management report or, if it is omitted, that such omission is explained in accordance with Article R. 225-105, Paragraph 3, of the French Commercial Code (Certification of presentation of CSR Information);
- ▶ to provide limited assurance as to whether the CSR Information, taken as a whole, is fairly presented in all material respects in accordance with the Framework (Reasoned opinion as to the fair presentation of the CSR Information);
- ▶ to express a conclusion of reasonable assurance on the fact that the information selected by the Company and identified by the symbol ũ in Chapter 6.3 "CSR indicators" of the management report, have been drawn up, with regard to all their significant elements, pursuant to the Framework (report of reasonable assurance on selected CSR Information).

Our work, mobilising the skills of six people, took place between November 2015 and February 2016 for a total intervention of approximately eight weeks. We called upon our experts in Corporate Social Responsibility to assist us.

We conducted the work described below in accordance with the professional standards applicable in France and with the Order of 13 May 2013 defining the terms pursuant to which a third-party independent organisation shall carry out its assignment as well as, with respect to the fairness opinion and the report of reasonable assurance, with the international standard ISAE 3000 ⁽²⁾.

1. Certificate of presentation of CSR Information

Nature and extent of work

On the basis of interviews with the relevant department managers, we have familiarised ourselves with the Company's sustainable development policies, in terms of the social and environmental consequences of the Company's activity and its societal commitments, as well as, where applicable, the actions or programmes arising therefrom.

- ▶ We have compared the CSR Information presented in the management report with the list provided for in Article R. 225-105-1 of the French Commercial Code.
- ▶ Where certain consolidated information was missing, we verified that explanations were provided in accordance with the provisions of Article R. 225-105, Paragraph 3 of the French Commercial Code.

(1) The scope of which is available on the www.cofrac.fr website

(2) ISAE 3000 – Assurance engagements other than audits or reviews of historical financial information.

- We have verified that the CSR Information covers the consolidation scope, namely the Company and its subsidiaries within the meaning of Article L. 233-1, as well as the companies that it controls within the meaning of Article L. 233-3 of the French Commercial Code, subject to the limits specified in the Paragraph entitled “Methodology Notice” in the management report.

Conclusion

On the basis of this work, and in light of the limits referred to above, we attest that the required CSR Information is presented in the management report.

2. Reasoned opinion on the fairness of the CSR Information

Nature and extent of work

We conducted approximately 20 interviews with the persons responsible for preparing the CSR Information within the departments charged with collecting information. Where necessary, we also interviewed the persons responsible for internal control and risk management procedures. We conducted these interviews in order to:

- analyse the appropriateness of the Framework in terms of its relevance, completeness, reliability, neutrality and clarity, taking into consideration industry best practices;
- verify the implementation of procedures for collecting, compiling, processing and auditing the CSR Information to ensure that it is exhaustive and consistent, and to familiarise ourselves with the internal control and risk management procedures with respect to the preparation of CSR Information.

We determined the nature and extent of our tests and audits based on the nature and amount of CSR Information and in light of the Company's characteristics, the social and environmental effects of its activities, its sustainable development policies and industry best practices.

For the CSR Information that we deemed the most significant (presented in the tables below):

- at the level of the consolidating entity, we reviewed documents and conducted interviews to corroborate the qualitative information (such as organisation, policies, and actions), we implemented analytic procedures with respect to the quantitative information, and we verified, on a sampling basis, the calculations and consolidation of data. We verified the consistency of the information and its concordance with the other information included in the management report;
- using a representative sample of entities ⁽¹⁾ that we chose based on their activity, their contribution to consolidated indicators, their location and a risk analysis, we conducted interviews to verify the proper implementation of procedures and to identify possible omissions, and implemented detailed tests based on sampling, which consisted in verifying the calculations performed and reconciling the data with the supporting documentation. The sample thus selected represents 86% of the headcount and between 11% and 46% of the quantitative environmental information, and 100% of the quantitative societal information presented.

Social information	Level of assurance
Total headcount and breakdown by age, gender and geographic area	Moderate
Recruitment and dismissal of permanent employees	
Number of sick days	
Number of training hours	
Number of teleworking employees	Reasonable
Percentage of women in strategic executive posts	
Environmental information	
Energy consumption and related CO ₂ emissions	Moderate
Paper consumed and proportion of responsible paper	
CO ₂ emissions related to vehicles	

(1) Environmental information: The Financial Centres of Orleans, of Marseilles and of Lyon, the IT Department of Financial Services and the Retail Brand (DISFE) of Ivry, Véhiposte and the Purchasing Department.

Social information: head office of La Banque Postale, Financial Services and the Human Resources Services Centre (CSRH) of Dijon.
Societal and economic information on Sustainable Development: head office of La Banque Postale.

Societal and economic information	Level of assurance
Fight against corruption, number of employees trained to combat money laundering	Moderate
Banking accessibility: number of customers supported by L'Appui and breakdown by type of customer guidance	
Number of micro-loans granted in the year Assets integrating ESG criteria (Environment, Social and Governance)	Reasonable
Qualitative information	
Workforce themes	Review of collective labour agreements Measures taken to promote gender equality
Environmental themes	The organisation of the Company in order to take into account environmental issues, and, if applicable, approaches for assessment or certification in environmental matters. Policy on environmental approach: Carbon Project: Adaptation to the consequences of climate change
Societal themes	Test of materiality Regional, economic and social impact of the Company's activities Actions undertaken in order to prevent corruption; number of products screened with the ESG checklist Trading room exposure to extra-financial risks

For the other consolidated CSR Information, we analysed its consistency with our knowledge of the Company.

Finally, we analysed the relevance of any explanations relating to the total or partial omission of certain information.

We believe that the sampling methods and sample sizes that we used, exercising our professional judgement, enable us to reach a conclusion of limited assurance. A higher level of assurance would have required more extensive verification work. Due to the use of sampling techniques, as well as other limits inherent in the functioning of any information and internal control system, the risk of a failure to detect a significant anomaly in the CSR Information cannot be entirely eliminated.

Conclusion

On the basis of our work, we have found no significant anomalies that would cause us to doubt that the CSR Information, taken as a whole, is fairly presented in accordance with the Framework.

3. Report of reasonable assurance on selected CSR Information

Nature and extent of work

Concerning the information selected by the Company and identified by the symbol ✓, we carried out work of a similar nature to that described in Paragraph 5 above for the CSR Information considered to be the most important, but in a more in-depth manner, in particular with respect to the number of tests.

The selected sample thus represents 100% of the quantitative social information and 100% of the quantitative societal and economic information, in connection with Responsible Development, identified by the symbol ✓.

We consider that this work makes it possible for us to state a reasonable assurance as to the information selected by the Company.

Conclusion

In our opinion, the information selected by the Company and identified by the symbol ✓ was established, in all of its significant aspects, in a truthful manner, pursuant to the Framework.

Paris-La Défense, on 22 February 2016

KPMG S.A.

Anne Garans

Partner Department
of Climate Change and Sustainable Development

Marie-Christine Jolys

Partner

GENERAL INFORMATION

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7.1 PUBLICLY AVAILABLE DOCUMENTS

All documents made available to the public under legal conditions may be consulted at La Banque Postale's registered office at 115, rue de Sèvres, 75,275 Paris Cedex 06. La Banque Postale's Registration Documents are also available on the www.labanquepostale.com website.

The Company's Articles of Association are included in this Registration Document. All reports, letters and other documents, historical

financial information, assessments and statements drawn up by an expert at the Company's request, where a section is included or mentioned in this document, together with all financial information, including information related to the subsidiaries for each of the two years prior to the publication of this document, can be consulted on the La Banque Postale Group website, or otherwise by writing to the Company Secretary at the Bank's registered office.

7.2 SIGNIFICANT CHANGES

There have been no significant changes in the Group's financial or commercial position since the close of the last financial year for which audited financial statements have been published, and specifically

since the signing of the statutory auditors' report on the consolidated financial statements on 22 February 2016.

7.3 MATERIAL CONTRACTS

To La Banque Postale's knowledge, no material contracts have been entered into other than agreements entered into as part of the normal

course of business, or in relation to the shareholders (as presented in Chapter 1, which provides an Overview of the Group).

7.4 SITUATION OF DEPENDENCY

Not applicable.

7.5 REGULATIONS

7.5.1 Banking activities

La Banque Postale, a subsidiary of La Poste which holds the entirety of the share capital, is a Limited Company with Executive and Supervisory Boards, which was licensed as a bank by the French Credit Institution and Investment Firms Committee (CECEI) in 2005, and has been registered as an insurance intermediary by the French Insurance Intermediaries Registration Body (ORIAS) since May 2007. La Banque Postale is also in the process of obtaining accreditation from the ACPR for the creation of an electronic money establishment.

In this respect, La Banque Postale meets the needs of all types of customers and provides a complete banking, financial, savings and insurance offering:

- ▶ banking services: holding of postal current accounts and payment services, short-term overdrafts, property and consumer loans, loans to businesses and public bodies;
- ▶ financial instruments: holding of securities accounts, investment in financial securities including units or shares of collective investment funds and forward financial instruments;

- ▶ savings products: savings products subject to the specific tax regime and unregulated savings products, employee savings products and insurance-related products.

It also offers payment services not related to a bank account, such as postal mandates, money transfers, manual currency exchange and travellers' cheques.

Banking and related transactions, investment and related services, savings products, and manual foreign exchange are regulated by the French Monetary and Financial Code.

Insurance products are governed by the French Insurance Code.

These codified provisions, together with the non-codified legal and regulatory provisions, govern the activity of La Banque Postale in their respective fields.

Moreover, La Banque Postale is subject to supervision by the relevant industry authorities: European Central Bank (single supervision mechanism in effect since for November 2014), French Prudential

Supervision and Resolution Authority (ACPR) and the French Financial Markets Authority.

Lastly, the European BRRD Directive (Bank Recovery and Resolution Directive), which defines a European system for recovery and resolution, was transposed into French law in August 2015. It

provides for the preparation and maintenance of preventive plans for recovery and resolution.

The Single Resolution Mechanism entered fully into effect on 1 January 2016. The Single Resolution Council will define the resolution strategies of institutions within the Banking Union.

7.5.2 The banking accessibility function

The legislator has entrusted La Poste with a public interest role to ensure banking accessibility ⁽¹⁾: “in the banking, financial and insurance fields, La Poste shall offer products and services as widely as possible, particularly the ‘Livret A’ accounts” ⁽²⁾. La Poste shall carry out this role via La Banque Postale, its subsidiary, a credit institution ⁽³⁾.

The banking accessibility function is exercised through Livret A accounts.

Until 1 January 2009, La Banque Postale, Caisses d'Épargne and, subject to specific conditions, Crédit Mutuel, were the only institutions allowed to distribute Livret A accounts.

The law on the Modernisation of the Economy dated 4 August 2008 generalised the distribution of the Livret A to all banks as at 1 January 2009. However, it set out specific obligations for La Banque Postale in terms of the distribution and operation of the Livret A in respect of its banking accessibility function:

- ▶ La Banque Postale is obliged to offer, free of charge, a Livret A to any natural person, any association mentioned in 5 of Article 206 of the General Tax Code, to low-rent housing bodies and to co-ownership syndicates which request it;
- ▶ the minimum amount of individual cash withdrawal or deposit transactions is set at €1.50;
- ▶ La Banque Postale is obliged to allow holders of the Livret A to make payment and withdrawal transactions free of charge in all post offices where it offers these same transactions to holders of postal current accounts;
- ▶ La Banque Postale is obliged to authorise, on the Livret A, in accordance with the conditions set out in the general regulations, all the transactions listed in the decrees of 4 December 2008

and 14 May 2010, particularly the domiciliation of income paid by public bodies and transfers and direct debits for certain transactions (social minimums, income tax, miscellaneous taxes, gas and electricity invoices, social housing landlords, etc.);

- ▶ La Banque Postale is obliged to provide the following additional services free of charge: transfer to a sight account by the holder of the Livret A (or his legal representative or agent) regardless of which institution holds the account; bank's cheque drawn in favour of the holder of the Livret A (or his legal representative or agent); provision of a cash withdrawal card which is usable in the ATMs of La Banque Postale.

At the end of 2015, almost 54% of La Banque Postale's Livret A accounts held by individuals, i.e. 9.5 million accounts, had an average balance of less than €150. These accounts, which amount to only 0.35% of deposits outstanding, nonetheless generate very substantial management costs because they are amongst the most used savings accounts, accounting for more than 47% of the transactions made on Livret A accounts.

La Banque Postale has also undertaken, under the terms of the law of 9 February 2010, to fight and prevent over-indebtedness and to promote micro-loans.

In respect of these specific obligations which are incumbent on it in terms of the distribution and operation of the Livret A, La Banque Postale receives annually a “compensation in proportion to the public economic interest service role which is entrusted to it”.

This compensation is fixed by decree:

- ▶ for the period 2009-2014 (decrees of 4 December 2008 and 29 July 2013, in application of Article R. 221-8-1 of the French Monetary and Financial Code);

	2009	2010	2011	2012	2013	2014
Amount (€ millions)	280	270	260	250	246	242

- ▶ for the period 2015-2020 (decree of 26 February 2015 in application of Article R. 221-8-1 the French Monetary and Financial Code).

	2015	2016	2017	2018	2019	2020
Amount (€ millions)	235	225	210	190	170	150

On 23 January 2013, the European Commission approved the public service compensation granted to La Banque Postale in order to guarantee accessibility to “Livret A” banking. The European Commission considered that the public financing granted by France to La Banque Postale from 2009 to 2014, intended to improve banking accessibility, is compliant with EU regulations in terms of state aid.

(1) Law of 2 July 1990.

(2) Article L. 518-25 of the French Monetary and Financial Code.

(3) Article L. 518-25-1 of the French Monetary and Financial Code.

7.6 LEARN MORE ABOUT LA BANQUE POSTALE

All the information is available at www.labanquepostale.com

This website provides an overview of La Banque Postale, its business lines, news, etc.

All financial information is available at www.labanquepostale.com/groupe/Investisseur.html

This section of the site is completely dedicated to financial information. It can be used to download information on all financial and institutional editions, financial press releases, the financial timetable, and presentations to investors.

ARTICLES OF ASSOCIATION

8

The LBP's Articles of Association can be consulted on the website www.labanquepostale.com. The Articles of Association shown below are up-to-date at the date of filing of the present document.

TITLE I. CHARACTERISTIC FEATURES OF THE COMPANY

Article 1. Form

The Company was set up in the form of a Limited Company with a Board of Directors, and registered with the Paris Trade and Companies Registry.

It was turned into a Limited Company with Executive and Supervisory Boards by a decision of the Combined General Meeting of Shareholders of 12 December 2005.

The Company is governed by current laws and regulations, and specifically by:

- ▶ the provisions of the French Commercial Code regarding commercial companies;
- ▶ the provisions of the French Monetary and Financial Code regarding credit institutions;
- ▶ the provisions of law No. 2005-516 of 20 May 2005 regarding the regularisation of the Post Office business;
- ▶ the provisions of law No. 83-675 of 26 July 1983 regarding the democratisation of the public sector, in accordance with Article 40 of law No. 90-568 of 2 July 1990 regarding the organisation of La Poste's public service;
- ▶ and these Articles of Association.

Article 2. Corporate purpose

- a) The corporate purpose of the Company, in France and abroad, is:
 - ▶ banking transactions, as defined in Article L. 311-1 of the French Monetary and Financial Code, and specifically loan transactions;
 - ▶ transactions relating to banking transactions, as defined in Article L. 311-2 of the French Monetary and Financial Code;
 - ▶ the execution of order reception and transmission investment services on behalf of third parties, of order execution services on behalf of third parties, of trades on its own account, of investment advisory services, of underwriting services, and of guaranteed placement and non-guaranteed placement services, within the meaning of Article L. 321-1 of the French Monetary and Financial Code covering financial instruments as a whole;
 - ▶ services relating to investment services, as defined in Article L. 321-2 of the French Monetary and Financial Code;
 - ▶ custodian account administration services.
- b) Subject to the provisions of Paragraph c), the Company may not perform:
 - ▶ consumer credit transactions that are not related to a bank overdraft, or are not related to the regulated savings business (Sustainable Development account (LDD) and home loan savings), except where these transactions are dedicated to repair, improvement or maintenance works for a building or land;
 - ▶ leasing, discounting and factoring transactions;
 - ▶ transactions to finance entities whose main corporate purpose is to perform market, securitisation or acquisition transactions.
- c) However, the Company may:
 - ▶ grant consumer loans to the employees of Groupe La Poste companies;

- ▶ grant professional micro-loans aimed at creating companies or jobs in their own right, personal micro-loans aimed at financing personal projects, or social micro-loans to vulnerable or excluded persons.
- d) The Company may also perform all transactions other than those listed above on a habitual basis, including acting as an insurance intermediary, including insurance broking, in accordance with the provisions of the French Insurance Code, under the conditions defined by a decree of the Minister for the Economy and Finance.
- e) The Company receives Livret A deposits and distributes Livret A accounts in accordance with the provisions of Article L. 515-25-1 of the French Monetary and Financial Code.
- f) Generally speaking, the Company may perform all financial, commercial, industrial, securities or property transactions that may relate to the above businesses, directly or indirectly, or are likely to make performing those transactions easier, on its own account and on behalf of third parties, or as a joint venture.

Article 3. Name

The Company's name is "*La Banque Postale*".

The Company's name must always be immediately and legibly followed by the words "Limited Company with Executive and Supervisory Boards", written in full, a statement of the amount of the share capital, and by the place where and the number under which the Company is registered with the Trade and Companies Registry in all deeds and documents issued by the Company and intended for third parties, including letters, invoices, announcements, and miscellaneous publications.

Article 4. Registered office

The established registered office is at 115 rue de Sèvres – 75275 Paris Cedex 06.

They may be transferred to any other location in the same department or in a neighbouring department by a simple decision of the Supervisory Board, which shall be subject to approval by the next Ordinary General Meeting.

In this case, the Supervisory Board shall also be authorised to amend the Articles of Association accordingly.

Article 5. Duration

The duration of the Company is 99 years from the date of its registration with the Trade and Companies Registry, except in the event of dissolution, or of an extension decided by the Extraordinary General Meeting.

Article 6. Share capital

The share capital is set at four billion forty-six million four hundred and seven thousand five hundred and ninety-five euros (€4,046,407,595).

It is divided into thirty-five million one hundred and eighty-six thousand one hundred and fifty-three (35,186,153) fully paid-up shares of a single class.

In accordance with the provisions of Article 16-II-1 of law No. 2005-516 of 20 May 2005 on the regulation of the Post Office business, La Poste owns a majority interest in the Company's share capital.

These Articles of Association do not provide for any specific advantage in favour of anyone whatsoever.

Article 7. Changes to the share capital

The share capital may be increased, decreased, or amortised in accordance with the current laws and regulations.

TITLE II. RIGHTS AND OBLIGATIONS OF THE SHAREHOLDERS

Article 8. Share payments – Rights and obligations

The shares are paid up under the conditions specified by the current laws and regulations.

The amounts still payable on the shares to be paid up in cash are called up by the Executive Board. However, subscribers and shareholders may pay all or part of said amounts in advance, if they wish to do so.

Subscribers and shareholders shall be made aware of calls for funds by any means, at least fifteen days before the date set for each payment.

Any shareholder who does not make the payments required for the shares that they own when these payments are due shall automatically be liable to pay a late interest charge to the Company at the legal rate.

In addition to a voting right, each share grants the right to ownership of the Company's assets, and to a share of the profits and liquidation premiums, which is proportional to the number of shares outstanding.

Every time that holding several shares is required in order to exercise any right, single securities, or a number of securities that is lower than the one required shall not grant their owners any rights over the Company; in this event, shareholders shall be personally responsible for assembling the number of shares required.

Article 9. Form of the shares

The shares are registered shares.

They give rise to registration in the separate financial statements under the conditions and according to the terms provided for by current legal and regulatory provisions.

Article 10. Sale and transfer of shares

Ownership of the shares results from their being recorded in an individual account in the name of the holder(s) on the ledgers held for this purpose at the Company's registered office.

Share transfers are carried out by account-to-account transfer.

Except in the event of:

- i) inheritance;
- ii) liquidation of joint ownership of assets between spouses;
- iii) transfer to a spouse, an ascendant or a descendant;

iv) sale or donation of shares for the benefit of a private individual or a company that is already a shareholder, or has recently been appointed as a member of the Supervisory Board, where the sale is unrestricted, the sale of shares to a non-shareholder third party, regardless of the reason or in any form, is also subject to CRBF Rule No. 96-16, and to the provisions applicable to companies in the public sector, as well as to the approval of the Supervisory Board, in accordance with the provisions of Article L. 228-24 of the French Commercial Code, under the following conditions:

- ▶ the seller must forward to the Company the approval request, including the surname, names and address of the buyer, the number of shares that they plan to sell, and the price proposed,
- ▶ the approval is granted (i) either by the seller being informed of the decision of the Supervisory Board, acting on a simple majority of its members present or represented, (ii) or within a period of three months from when the request was made, if there is no answer from the Supervisory Board,
- ▶ in the event that the suggested buyer is not approved, and unless the seller decides to abandon the planned sale, the Executive Board is required to have the shares purchased, either by a shareholder or by a third party, or by the Company, with the seller's agreement, within three months from the date when the refusal is delivered, in order to reduce the share capital. The seller may abandon their planned sale on condition that they inform the Company via an extra-judicial deed, or by registered letter with request for an acknowledgement of receipt within thirty (30) days from the date the Company notified the seller of the name of the buyer suggested by the Supervisory Board,
- ▶ if the purchase has not occurred when the three-month period provided for above expires, the approval is considered as having been granted. However, this period may be extended by a court decision at the Company's request,
- ▶ if no agreement is reached between the parties in the sale scenarios listed above, the price of the shares shall be determined through an expert appraisal, under the conditions specified in Paragraph 4 of Article 1,843 of the French Civil Code.

Shares issued for cash and shares representing contributions in kind are only marketable once the Company has been registered with the Trade and Companies Registry, and as soon as a capital increase transaction occurs.

TITLE III. ADMINISTRATION AND CONTROL OF THE COMPANY

The Company is managed by an Executive Board, which performs its duties under the control of a Supervisory Board.

I. Executive Board

Article 11. Executive Board – Composition

The Executive Board consists of at least two and at most five members, who are appointed by the Supervisory Board.

The members of the Executive Board must be private individuals, who may be chosen from outside the Company's shareholders, and even among the Company's salaried employees. No person shall be appointed as a member of the Executive Board if they do not fulfil the conditions of adequacy, professional competence and good repute required by the regulations applicable to companies exercising the business activities described in Article 2 of these Articles of Association.

If a member of the Supervisory Board is appointed to the Executive Board, their Supervisory Board mandate shall end as soon as they take up their duties.

In the event that a seat falls vacant, the Supervisory Board must fill it within two months, and the substitute member shall be appointed for the period remaining until the Executive Board is renewed.

Otherwise, any interested party may ask the Chairman of the Commercial Court, acting in summary proceedings, to make this appointment on a provisional basis.

Article 12. Length of term of office – Age limit

The Supervisory Board appoints members of the Executive Board for a period of five years, which expires at the first Supervisory Board meeting held following the fifth anniversary of this appointment. The Executive Board is renewed in its entirety when a five year period has elapsed.

Members of the Executive Board may be re-elected.

Any member of the Executive Board may be dismissed by the Supervisory Board, or by the General Meeting. In the event that the interested party has entered into an employment contract with the Company, the termination of their duties as a member of the Executive Board shall not result in the termination of this contract.

No private individual who has reached the age of 65 May be appointed as a member of the Executive Board, or be reappointed to this position.

When the interested party has reached the age limit, they are automatically considered to have resigned from the date of the next meeting of the Supervisory Board, which shall see to their replacement.

Article 13. Chairman of the Executive Board – Chief Executive Officers – Accountable director

13.1 Chairman

The Supervisory Board shall appoint one of the Executive Board members as Chairman.

The Chairman shall perform their duties during their term of office as a member of the Executive Board.

The Chairman shall represent the Company in its dealings with third parties.

The Supervisory Board may dismiss the Chairman of the Executive Board from their duties as Chairman at any time, based on a majority vote of the members present or represented.

13.2 Chief Executive Officers

The Supervisory Board may assign the same power of representation to one or several members of the Executive Board, who shall then bear the title of Chief Executive Officer. In such a case, one of the Chief Executive Officers appointed in this way will also act in the capacity of accountable director, according to the meaning of Article 13.3 below.

The Supervisory Board may dismiss the Chief Executive Officer(s) from their duties as Chief Executive Officer(s).

The Supervisory Board may remove from the Chief Executive Officer(s) their powers to represent the Company in its dealings with third parties under the same conditions.

13.3 Accountable managers

The Supervisory Board assigns the capacity of accountable manager to at least two of the members of the Executive Board. These directors are responsible for effectively determining the Company's direction, in accordance with the provisions of Article L. 511-13 of the French Monetary and Financial Code, and must fulfil the conditions of good repute and experience listed in Article L. 511-10 of the aforementioned Code, it being specified that the Chairman of the Executive Board shall be one of the accountable managers.

13.4 Representation of the Company

Any action committing the Company towards third parties shall be duly performed by the Chairman of the Executive Board or by any other member who has been granted the title of Chief Executive Officer by the Supervisory Board.

The Chairman of the Executive Board, and the Chief Executive Officer(s), where applicable, are authorised to delegate part of their powers to any corporate officers that they deem appropriate. They may specifically delegate any power to represent and commit the Company in its dealings with third parties to a member of the Executive Board who has the skills required, as resulting from the division of duties set out under Article 13.5.

13.5 Division of management duties

Members of the Executive Board may divide the management tasks between them, with the authorisation of the Supervisory Board. However this division of powers may not prevent the accountable managers, according to the meaning of the banking regulations, from fulfilling their remits and obligations, as defined by the French Monetary and Financial Code. Moreover, it may not result in stripping the Executive Board of its role as a collective management body. The accountable managers must effectively determine the Company's direction. They shall also present the division of their respective powers to the Supervisory Board. Measures that each member of the

Executive Board takes individually, within their area of responsibility, shall be deemed to have been accomplished collectively by the Board, and shall commit it in its entirety.

However, the Executive Board may decide that any action committing the Company beyond an amount that it shall determine on a regular basis must be authorised in advance by the Board itself. Failure to secure this approval may result in the individual concerned being personally liable towards the Company and its shareholders.

Article 14. Powers of the Executive Board

The members of the Executive Board shall manage the Company on a collective basis.

The Executive Board has been invested with the most extensive powers to act in the Company's name under all circumstances. It exercises these powers within the limits of the corporate purpose, and subject to those powers expressly granted to the Supervisory Board and to shareholders' meetings in law and by these Articles of Association.

In its dealings with third parties, the Company shall be committed even by actions of the Executive Board that are not related to the corporate purpose, unless it proves that the third party was aware that the action exceeded that purpose, or could not ignore this fact given the circumstances, although the sole publication of the Articles of Association is not enough to amount to this proof.

However, the following actions are subject to the prior authorisation of the Supervisory Board, pursuant to the law:

- ▶ disposals of property assets;
- ▶ full or partial disposals of equity investments;
- ▶ the granting of securities in order to guarantee corporate commitments.

The following corporate transactions and decisions are also subject to the prior authorisation of the Supervisory Board:

- ▶ the strategic plan and decisions specifically relating to the launch of new businesses, to the setting up of subsidiaries or branches in France and abroad, to the acquisition of companies, to the signing of any alliance or partnership, to any transfer of assets, including under a universal transfer of assets, where the amount exceeds €12,000,000, and, more generally, to any investment or divestment amounting to over €12,000,000;
- ▶ decisions relating to the award of equity subscription or purchase options, or of equivalent securities, to the corporate officers and/or managers, together with the award of free shares;
- ▶ decisions relating to financing transactions likely to alter the Company's financial structure in a material way;
- ▶ draft resolutions to be submitted to the Shareholders' Meeting, pursuant to Article L. 228-92 of the French Commercial Code, and relating to the issuance of marketable securities, regardless of whether they entitle the holder to a proportional share of the capital and/or the voting rights, and to the setting of the issuance terms and conditions for said marketable securities;
- ▶ dividend distribution proposals and related transactions.

The Executive Board shall present a written report, reviewing the main actions or events that have occurred in the management of the Company, to the Supervisory Board at least once a quarter.

In the three months following the close of each financial year, the Executive Board shall approve the separate financial statements and the consolidated financial statements, where applicable, and present them to the Supervisory Board for examination and checking. It will suggest the appropriation of net income for the year just ended.

The Executive Board shall convene the General Meetings of Shareholders, shall set their agenda and execute their decisions.

Article 15. Structure and operation of the Executive Board

The Executive Board shall meet as often as the Company's interests require it to do so, and at least once a month, on the invitation of its Chairman, its Chief Executive Officer, if it has one, or of at least half of its members, either at the registered offices, or at any other location mentioned in the notice of meeting.

The agenda shall be set by the author of the notice of meeting, on the day before the scheduled meeting at the latest. However, in the event of emergency, the agenda may be set only at the time of the meeting.

The notice of meeting shall be delivered by all means by standard letter, registered letter, personal delivery, fax, email with or without acknowledgement of receipt and even orally.

The statutory auditors shall be invited to the Executive Board meetings at which the separate or interim financial statements are approved.

A member of the Executive Board may ask another member to represent them.

The Chairman, or in their absence, a member who is present and appointed by the Executive Board and takes the title of Chairman, shall chair the meetings.

The actual presence of at least half the members is required for the discussions to be valid, or the presence of both members, if the Executive Board consists of only two members. For the purpose of calculating the quorum and majority, members who take part in the Executive Board meeting by videoconferencing means that fulfil the technical features guaranteeing effective participation in the Executive Board meeting, where discussions must be broadcast on an uninterrupted basis, shall be deemed present, except in the event that the Executive Board consists of two members, and for the adoption of the decisions listed in Article L. 225-37 of the French Commercial Code.

In the event that the vote is split, the Chairman shall have the casting vote.

Regardless of their form, the discussions of the Executive Board shall be recorded in minutes drawn up in a special ledger, or on serially numbered loose-leaf sheets. These sheets or ledger are held at the Company's registered office. They are signed by the Chairman and all the Executive Board members present, and are circulated to all members of the Executive Board.

Copies or excerpts of the minutes of the discussions are duly certified by the Chairman of the Executive Board, or by one of the members of the Executive Board empowered for this purpose.

Where applicable, the Executive Board ratifies the internal rules specifying its operating procedures.

Article 16. Remuneration of Executive Board members

The Supervisory Board sets the remuneration method and amount for each member of the Executive Board.

Article 17. Holding of multiple offices by Executive Board members

Members of the Executive Board must comply with the rules on holding multiple offices, as defined by the current laws and regulations.

Any private individuals who find themselves in breach of the above provisions when they take up a new office, must resign from one of their offices within three months of their appointment. Once this deadline has expired, they shall be deemed to have resigned from their new office as a member of the Company's Executive Board, and must return any remuneration received, without this situation resulting in the calling into question of the discussions in which they took part.

Article 18. Responsibilities of Executive Board members

Without prejudice to the specific responsibility that may arise from the Company entering receivership, the members of the Executive Board shall be liable, individually or jointly, depending on the case, towards the Company or third parties, either for breaching the legal or regulatory provisions applicable to limited companies, or for breaching the Articles of Association, or for errors committed under their management.

II. Supervisory Board

Article 19. Supervisory Board

The Company's Supervisory Board is governed by the provisions of Articles L. 225-68 et seq. of the French Commercial Code, and by the provisions of law No. 83-675 of 26 July 1983 on the democratisation of the public sector.

19.1 Composition

19.1.1 – In accordance with Article 6 of law No. 83-675 of 26 July 1983 on the democratisation of the public sector, the Supervisory Board shall consist of at least 9, and at most 18 members, one-third of whom shall be employee representatives, in accordance with Article 40 of law No. 83-675 of 26 July 1983.

Except for the employee representatives, members of the Supervisory Board are appointed among private individuals or companies by the Ordinary General Meeting, which may dismiss them at any time, except, where applicable, for Government representatives, who are appointed by decree.

19.1.2 – Employee representative members of the Supervisory Board are elected under the conditions specified in Chapter II of law No. 83-675 of 26 July 1983.

Any employee representative may be dismissed for gross misconduct in the exercise of their office as a member of the Supervisory Board, through a summary ruling of the Chairman of the District Court at the request of the majority of the members of the Supervisory Board.

19.2 Renewal

In accordance with the provisions of law No. 83-675 of 26 July 1983, and of Decree No. 83-1160 of 26 December 1983, adopted pursuant thereto, the offices of all members of the Company's Supervisory Board shall end on the same day, at the end of a five-year term.

In the event that a Supervisory Board member's seat falls vacant, for any reason whatsoever, their substitute shall only exercise their office for the period remaining until the renewal of the entire Board.

In the event that a new member is appointed to the Board by the General Meeting outside the date when the entire Board is renewed, the new member shall only hold their office for the period remaining until the renewal of the entire Board.

19.3 Restrictions on the holding of multiple offices

Members of the Supervisory Board must comply with the rules on the holding of multiple offices as defined in the provisions of the French Commercial Code, and, where applicable, by the provisions of law No. 83-675 of 26 July 1983.

Any private individuals who find themselves in breach of the above provisions when they take up a new office, must resign from one of their offices within three months of their appointment.

Once this deadline has expired, they shall be deemed to have resigned from their new office, and must return any remuneration received, without this situation resulting in the calling into question of the discussions in which they took part.

19.4 Combining an office with an employment contract

Without prejudice to the provisions of Article 19.7 of these Articles of Association, and in accordance with the provisions of Article 15 of law No. 73-1196 of 27 December 1973, members of the Supervisory Board may combine their duties with an employment contract, as long as that contract corresponds to an actual position.

19.5 Incompatibility & Restrictions

Fulfilment of the Supervisory Board member's office must not be incompatible with the interested party holding certain public or professional offices.

No member of the Supervisory Board may be a member of the Executive Board. If a member of the Supervisory Board is appointed to the Executive Board, their Supervisory Board mandate shall end as soon as they take up their duties.

In addition, no one may be appointed to the Supervisory Board or remain on the Board if they find themselves subject to any court order that results in them being prohibited from running or directing any firm or company.

19.6 Membership of the Board by legal entities

A legal entity may be appointed as a member of the Supervisory Board. The legal entity is required to appoint a Permanent Representative at the time it is appointed.

Permanent representatives are subject to the same rules as members who are private individuals, particularly where restrictions and disqualifications, and the age limit are concerned.

In cases where the legal entity withdraws its Permanent Representative's mandate, it is required to provide for their replacement at the same time. The same applies in the event of the death or resignation of the Permanent Representative. The legal entity is required to notify the Company of this death or resignation, together with the identity of the member's successor without delay, by registered letter with request for an acknowledgement of receipt.

19.7 Status of the employee representative members of the Supervisory Board elected under the conditions specified in law No. 83-675 of 26 July 1983

In accordance with the provisions of Section III of law No. 83-675 of 26 July 1983, a Supervisory Board employee representative member's mandate is incompatible with any other office involving the representation of employees' interests within the Company or its subsidiaries, or with acting as a full-time union representative. The appointment to the Supervisory Board of an employee performing such duties shall terminate said duties.

Employee representative members of the Supervisory Board shall be granted a minimum time period of 15 hours per month to fulfil their mandate. The length of the Supervisory Board meetings is not deductible from this allowance, nor is the time spent on their training in company management.

The employee representatives' mandates shall end automatically when they no longer fulfil the eligibility conditions specified by law No. 83-675 of 26 July 1983.

Article 20. Shares held by members of the Supervisory Board

Subject to the exemptions provided for in law, members of the Supervisory Board who are appointed by the General Meeting of Shareholders must each hold at least one (1) share in the Company for the entire duration of their office.

If, on the day of their appointment, a member of the Supervisory Board does not own the required number of shares, or if they cease to own them during their mandate, they shall automatically be deemed to have resigned if they have not rectified their position within six months.

The provisions relating to the ownership of shares issued by the Company do not apply to employee representative members.

Article 21. Length of term of office – Age limit

Without prejudice to the application of Article 19.2 of these Articles of Association, members of the Supervisory Board are appointed for a period of five years. They may be re-elected.

No private individual or legal entity representative who is aged over 70 may be appointed or elected as a member of the Supervisory Board if their appointment results in over one-third of the Supervisory Board members exceeding this age limit.

If the proportion of one-third is exceeded due to the fact that a serving member of the Supervisory Board comes to be older than 70, the oldest member of the Supervisory Board shall automatically be deemed to have resigned.

Article 22. Vacancy-Co-option-Approval

In the event of a vacancy due to the death or resignation of one or more members appointed by the General Meeting, the Supervisory Board may replace them on a temporary basis. The appointment of the substitute members must be approved at the next General Meeting.

If approval is not granted, the resolutions voted and the actions accomplished by the Supervisory Board or by this member during their management term would nonetheless remain valid.

Pursuant to the provisions of law No. 83-675 of 26 July 1983, when a seat is left vacant by an employee representative, the candidate on

their list immediately after the last candidate elected shall be called upon to replace them. If the list in question is not sufficient to fill the vacancies, the seats that are not filled shall remain vacant up until the following election. However, if the number of vacancies exceeds half the employee representative seats, a partial election shall be organised, except during the last six months of the mandate.

Substitute members shall only hold their office for the period remaining until the renewal of the entire Supervisory Board.

If the number of Supervisory Board members falls below the legal minimum, the Supervisory Board must immediately convene the Ordinary General Meeting in order to supplement the numbers on the Board.

Article 23. Board office

The Supervisory Board shall elect a Chairman and a Vice-Chairman among its members. The Chairman, or in the absence of the Chairman, the Vice-Chairman, where applicable, is responsible for convening the Supervisory Board and directing its discussions. The Chairman and the Vice-Chairman, where applicable, shall hold their office for the duration of their mandate as a member of the Supervisory Board.

The Supervisory Board shall determine their remuneration, where applicable.

The Supervisory Board may appoint a secretary, who may be chosen from outside its members.

Article 24. Supervisory Board discussions-minutes

The Supervisory Board meets at the registered office or in any other location specified in the notice of meeting, as often as the Company's interests require it to do so, and at least once a quarter, in order to review the Executive Board's report.

The agenda is set by the Chairman, and may be set even just at the time of the meeting.

The Supervisory Board is convened by the Chairman, by any means.

The Company's Works Council shall be represented at the meetings of the Supervisory Board in accordance with the provisions of Article L. 432-6 of the French Labour Code.

However, the Chairman must convene the Supervisory Board at a date that cannot be later than within 15 days, when a member of the Board or at least one-third of the members of the Supervisory Board presents them with a reasoned request to this effect. If the request is not acted upon, its authors may convene the Board themselves, and specify the agenda for the meeting.

In addition, and in accordance with the provisions of law No. 83-675 of 26 July 1983, at least one third of the members of the Supervisory Board may convene the Supervisory Board if it has not met for over two months, specifying the agenda of the meeting.

A member of the Supervisory Board may give another member of the Board a mandate to represent them at any Supervisory Board meeting by letter, email, or fax.

Each member of the Supervisory Board may only have one proxy for a given meeting.

Under the conditions and subject to the exceptions provided for in law, the Supervisory Board's resolutions may be voted by videoconference or through the use of all means of telecommunication or remote transmission that enable the members to be identified under the conditions set by the current legislation.

An attendance register is kept, which is signed by the Supervisory Board members taking part in the meeting. The actual presence of at least half the Supervisory Board members is required for the discussions to be valid. Members of the Supervisory Board who take part in the Supervisory Board meeting *via* videoconference, or by any of the telecommunication or remote broadcasting means listed in the previous Paragraph, shall be deemed present for the purpose of calculating the quorum and majority.

Decisions are taken by majority vote of the members who are present or represented; each member who is present or represented has one vote. The Chairman of the meeting has the casting vote in the event of a split vote.

The Supervisory Board's discussions are recorded in minutes that are entered into a special ledger held at the registered office. The minutes shall mention the members of the Supervisory Board who took part in said Board meeting by videoconference or any other telecommunication or remote broadcasting means.

Article 25. Remit and powers of the Supervisory Board

The Supervisory Board exercises ongoing control over the management of the Company through the Executive Board, and grants the latter prior authorisation to enter into transactions that the Executive Board cannot perform without its authorisation, in accordance with Article 14 of these Articles of Association.

The Supervisory Board shall hold discussions on the Company's main strategic, economic, financial and technological orientations, and specifically on the corporate or programme contract, prior to the Executive Board's decisions.

The Supervisory Board may authorise the Executive Board to dispose of property assets, to dispose of equity investments partially or in full, and to grant securities in order to guarantee the commitments made by the Company up to a maximum amount that it sets for each transaction, with the option to delegate. When a transaction exceeds the amount set in this way, the Supervisory Board's authorisation is required in each case.

In addition, the Supervisory Board shall authorise the transfer of shares to a third party, in accordance with the provisions of Article 10 of these Articles of Association.

The Board shall perform the checks and controls that it deems necessary at any time of the year, and may ask for disclosure of the documents that it considers necessary to perform its remit.

It shall authorise agreements, in accordance with the provisions of Article L. 225-86 of the French Commercial Code.

It shall present its observations on the Executive Board's report, and on the financial statements for the year to the Annual Ordinary General Meeting.

It shall decide on relocating the registered office within the same department or to a neighbouring department, subject to the approval of this decision by the next Ordinary General Meeting.

The Supervisory Board may grant any special mandates for one or several determined purposes to one or several of its members.

The Supervisory Board shall approve the internal rules specifying its operating procedures, and those of the special committees that it may have set up.

The Supervisory Board shall appoint, and may dismiss the members of the Executive Board.

The Supervisory Board shall suggest the appointment of the statutory auditors to the Meeting of Shareholders.

The Supervisory Board's discussions are recorded in minutes that are entered into a special ledger or on sequentially numbered loose-leaf sheets. These sheets or ledger are held at the Company's registered office. They are signed by the Chairman of the meeting and one of the Supervisory Board members present. In the event that the Chairman of the meeting is unable to attend, they are signed by two members of the Supervisory Board. The minutes are circulated to all members of the Supervisory Board.

Article 26. Remuneration of Supervisory Board members

The General Meeting may award an annual fixed amount, in the form of attendance fees, to members of the Supervisory Board, as remuneration for their duties. This amount is recorded in operating expenses.

The Supervisory Board shall be free to divide the total amount allocated between its members.

The remuneration of the Chairman and Vice-Chairman shall be determined by the Supervisory Board.

The Supervisory Board may award exceptional remuneration amounts for special remits or mandates entrusted to members of the Board. These exceptional remuneration amounts are subject to the provisions of Article L. 225-86 of the French Commercial Code.

However, the mandates of the employee representative members are unpaid, without prejudice to reimbursement by the Company of the expenses claimed in respect of exercising said mandate.

Article 27. Liability of Supervisory Board members

The Supervisory Board members are responsible for personal errors committed in the execution of their mandate. They are not held liable for management actions and for their outcome.

They may be pronounced civilly liable for the offences committed by members of the Executive Board, if they did not disclose them to the General Meeting when they became aware of them.

The employee representative members of the Supervisory Board, elected within the framework of law No. 83-675 of 26 July 1983, may not be declared severally liable with the members of the Supervisory Board who represent the shareholders under any circumstances. Their responsibility is assessed taking the fact that their mandate is unpaid into account.

Article 28. Supervisory Board Committees

The Supervisory Board may decide to set up committees responsible for assisting it within its midst, and shall determine the composition, the special powers and the potential remuneration of their members, who shall execute their tasks under its responsibility. The Chairman of each committee is appointed by the Supervisory Board.

Article 29. Audit Committee

The Supervisory Board shall set up an Audit Committee, which shall determine its own work programme. The programme shall be executed by Company staff or by staff outside the Company, at the Audit Committee's choosing.

Article 30. Non-voting advisors

The Supervisory Board may appoint one or several non-voting advisors, whose remit is to assist the Supervisory Board in performing its control duties, and who take part in Supervisory Board meetings on a non-voting basis.

Each non-voting advisor is appointed for a period of one year, which is renewable indefinitely.

Non-voting advisors need not necessarily be shareholders, and their work on behalf of the Company may result in a remuneration amount set by the Supervisory Board.

TITLE IV. SHAREHOLDERS' MEETINGS**Article 31. General Meetings – Convening of composition**

General Meetings are convened by the Executive Board under the conditions determined in law, or, where applicable, by the Supervisory Board, the statutory auditors, or a corporate officer appointed by the Chairman of the Commercial Court, acting on a summary basis at the request of one or several shareholders who represent at least 5% of the share capital.

The meetings take place at the registered office or at any other location in France specified in the notice of meeting.

The General Meeting meets at least once a year before 31 May in order to approve the separate financial statements.

The notice of meeting is issued 15 days before the meeting date, either via a standard letter, or via a registered letter with request for an acknowledgement of receipt addressed to each shareholder, or via a notice inserted into a legal bulletin in the department where the registered office is located.

In the event the announcement is made via the insertion of a notice, every shareholder must also be convened via a standard letter, or a registered letter with request for an acknowledgement of receipt.

When a meeting has not been able to deliberate legitimately, due to the lack of the required quorum, a second meeting, and where applicable, a second deferred meeting shall be called in the same manner as the first meeting, and the notice of meeting shall remind the invitees of the date of the first meeting, and shall set out its agenda again.

All shareholders may take part in the meetings, in person or by proxy, on presentation of proof of identity and of the ownership of their shares, in the form of a registered entry in their name in the Company's ledgers, at least three days before the meeting. The Executive Board may cancel or shorten this deadline, but only for the benefit of all shareholders.

All shareholders may also vote remotely, according to the legal and regulatory procedures.

Shareholders who take part in the meeting via videoconference, or via any other means that enables them to be identified, the nature and conditions for which are determined by Council of State decree, shall be deemed present for calculating the quorum and majority.

A shareholder can only be represented by their spouse or another shareholder.

Corporate shareholders take part in meetings via their legal representatives or via any person appointed for this purpose by the latter.

The meetings are chaired by the Chairman of the Supervisory Board or, in their absence, by the Vice-Chairman specifically appointed to this effect by the Supervisory Board. Otherwise, the General Meeting shall appoint its own Chairman.

In the event that the meeting is convened by a statutory auditor or by a court-appointed corporate officer, the General Meeting shall be chaired by the author of the notice of meeting.

The council thereby formed shall appoint a secretary, who may be chosen from outside the members of the General Meeting.

The deputy returning officers' duties shall be fulfilled by the two members of the General Meeting who are present and accept their office, both for themselves and as proxies, and who hold the largest number of shares.

The General Meeting's discussions are recorded in minutes signed by the members of the Board, which are entered into a special ledger in accordance with the law. Copies and excerpts of these minutes are duly certified under the conditions set in law.

Article 32. General Meeting discussions

Ordinary and Extraordinary General Meetings, sitting under the quorum and majority conditions specified by the respective provisions that govern them, exercise the powers that are assigned to them in law.

TITLE V. BUSINESS YEAR – FINANCIAL STATEMENTS – CONTROL**Article 33. Business year**

Every business year runs for a period of 12 months, which begins on 1 January and ends on 31 December every year.

Article 34. Appropriation of net income

If a distributable profit, as defined by law, arises from the financial statements for the year, as approved by the General Meeting, the latter

may decide to assign that profit to one or several reserve headings, for which the Meeting sets the allocation and use, to carry it forward, or to distribute it.

After observing the existence of reserves available to it, the General Meeting may decide to distribute amounts drawn from these reserves. In this case, the decision shall expressly indicate the reserve headings from which the withdrawals are made.

However, dividends are deducted from the distributable profit for the year as a priority.

The General Meeting has the power to grant each shareholder the option of payment of the dividend or interim dividends in cash or in shares, for all or part of the dividend or interim dividend distributed.

The procedures for paying dividends in cash are set by the General Meeting, or otherwise by the Executive Board.

However, the dividend payment must occur within a maximum period of nine months after the close of the financial year, unless that period is extended by a court order.

When a balance sheet drawn up during or at the end of the financial year, and certified by a statutory auditor, shows that the Company has made a profit since the close of the previous financial year, after recording the required depreciation and amortisation and provision charges, and after deducting prior losses, where necessary, as well as the amounts to be recorded under reserves pursuant to the law and to the Articles of Association, and taking earnings carried forward into account, an interim dividend may be distributed, before the approval of the financial statements for the year. The amount of this interim dividend may not exceed the amount of the profit thus determined.

The Company may not demand that shareholders return a dividend, unless it was distributed in breach of legal provisions, and the Company establishes that the beneficiaries were aware of the irregular nature of this distribution at the time it was made, or could not ignore it given the circumstances.

Any recovery action shall lapse three years after these dividends are paid. Dividends that are not claimed within five years of their payment shall lapse.

Article 35. Statutory auditors

The Company is controlled by at least two statutory auditors, who fulfil the legal eligibility conditions.

Each statutory auditor is appointed by the Ordinary General Meeting for six financial years, in compliance with the special regulations that apply depending on the Company's business activities. Their mandate expires following the General Meeting that approves the financial statements for the sixth financial year.

The Ordinary General Meeting appoints at least two deputy statutory auditors, who are called upon to replace the official auditors in the event of their refusal, unavailability, resignation or death.

The Company shall inform the Banking Commission of the name of the statutory auditors that it is thinking of appointing. The Banking Commission has a period of two months to issue its opinion on the proposed appointment. The Company's managers shall disclose the Banking Commission's opinion to the General Meeting.

Article 36. Government commissioner

A Government Commissioner appointed pursuant to the provisions of Section II of Article 511-32 of the French Monetary and Financial Code fulfils their duties within the Company's bodies, under the conditions specified in Articles D. 615-3 and seq. of the French Monetary and Financial Code.

TITLE VI. DISSOLUTION – DISAGREEMENTS

Article 37. Dissolution

When the Company's term expires, or in the event of early dissolution, the General Meeting shall choose the method of liquidation and shall appoint one or several liquidators, whose powers it shall determine, and who shall fulfil their duties in accordance with the law.

Article 38. Disagreements

Any disagreements on corporate issues that may arise during the life of the Company or its liquidation, either between the shareholders, the members of the Board, or the statutory auditors and the Company, or between the shareholders themselves, shall be judged in accordance with the law and governed by the jurisdiction of the competent courts.

SUPERVISORY BOARD CHARTER AND INTERNAL RULES

9

9.1 SUPERVISORY BOARD MEMBERS' CHARTER

At its meeting of 25 January 2006, La Banque Postale's Supervisory Board adopted this Charter for the Board member (the "Charter"), which aims to specify the rights, obligations and principles applicable to the members of La Banque Postale's Supervisory Board.

Article 1. Assumption of office

When they assume office, each member of the Supervisory Board is given a copy of the legal and regulatory provisions that apply to their position within La Banque Postale, a copy of the internal rules of the Supervisory Board and of the special committees set up within the Board, and this Charter, as well as the provisions relating to the rights and obligations of Board members, as defined in Articles 7 to 13 of Section II, Chapter 1, of the law of 26 July 1983 on the democratisation of the public sector.

Article 2. Compliance with laws and regulations and the corporate interest

2.1 - Every member of the Board must be fully aware of their rights and obligations at all times. Specifically, they must understand and comply with the legal and regulatory provisions applicable within La Banque Postale, and with the provisions of the internal rules of the Supervisory Board and of the existing special committees.

2.2 - Every member of the Board shall act in the Company's corporate interest at all times. They shall abide by the principles listed in the Charter.

2.3 - Every member of the Board may, at any time, consult the Supervisory Board's Secretariat regarding the scope of the provisions governing the rights and obligations relating to their office.

Article 3. Holding of office – Guiding principles

Every member of the Board shall fulfil their duties with independence and loyalty, and in a professional manner, and shall undertake to take the measures required when they believe in good faith that they are no longer fully able to carry out their mandate.

Article 4. Personal involvement

4.1 - Every member of the Board undertakes to devote all the time and attention required by their mandate to examine the applications submitted to the Board and the issues that are entrusted to them on a more specific basis, as well as to the work of the committee(s) of which they are a member. They undertake to take part in all the Supervisory Board meetings in an attentive and diligent manner, unless they are prevented from doing so.

4.2 - Every member of the Board is responsible for requesting the information that they believe is useful to them within the appropriate time frame, in order to be able to discuss it with the Board in full knowledge of the facts.

4.3 - Every member of the Board must familiarise themselves with the Company's business lines and specific features, its challenges, its values, and its regulatory environment. Every member of the Board must make efforts to update the knowledge that is useful to them in fulfilling their mandate properly.

Article 5. Duty to speak

5.1 - Every member of the Board has a duty to express the questions and opinions resulting from the fulfilment of their mandate.

5.2 - In the event of a disagreement, they shall ensure that their position or proposals are expressly entered in the minutes of the discussions.

Article 6. Independence

6.1 - Every member of the Board undertakes to maintain their independence of analysis, judgment, decision and action under any circumstance, and to reject any direct or indirect pressure that may be exercised on them.

6.2 - Every member of the Board undertakes not to accept any benefits of any kind from La Banque Postale or from related firms or companies, either directly or indirectly, which are likely to be considered of a nature to compromise their independence during the term of their mandate or beyond it.

6.3 - Every member of the Board undertakes, during the term of their mandate, to notify the Chairman of the Supervisory Board immediately of any situation involving the holding of multiple offices, within companies or other corporate customers governed by French or foreign law.

Article 7. Potential conflicts of interest

7.1 - Without prejudice to the application of the French Commercial Code provisions relating to the control of regulated agreements, every member of the Board shall inform the Supervisory Board and its Chairman of any situation concerning them that is likely to create a conflict, even one that is potential or temporary, with the interests of La Banque Postale or any of its subsidiaries, as soon as they become aware of it.

7.2 - In such cases, the member of the Supervisory Board shall:

- ▶ abstain from taking part in the discussions and from any decision on the issues in question, if the conflict of interest is temporary;
- ▶ take all measures aimed at ending said conflict of interest, including tendering their resignation from their office as a member of the Board to the Chairman of the Supervisory Board, if it turns out that the conflict of interest is ongoing.

7.3 - Generally speaking, every member of the Board shall undertake to avoid any conflict that may exist between their material or moral interests and those of La Banque Postale or any of its subsidiaries.

Article 8. Confidentiality

8.1 - Every member of the Board personally undertakes to respect the absolute confidentiality of the information that they receive, of the discussions in which they participate, and of the decisions taken by the Supervisory Board, under the conditions determined in Article 8 of the Supervisory Board internal rules.

8.2 - Every member of the Board shall refrain from using, revealing or disclosing, for their own benefit or for the benefit of any third party, any non-public information regarding La Banque Postale or any of its subsidiaries, their activities or their projects, that they are aware of due to their capacity as a Board member.

Article 9. Effectiveness of the Board's operations

9.1 - Every member of the Board shall contribute, through their active participation, to the collective spirit and effectiveness of the work performed by the Supervisory Board and by any special committees set up within it, and to the tasks in which they participate.

9.2 - Every member shall express any recommendation that they believe will improve the operating procedures of the Supervisory Board, particularly within the context of any meeting of the Supervisory Board that addresses its operations. The same goes for any of the special committees where they participate in the tasks.

9.3 - Along with the other members of the Supervisory Board, every member shall strive to ensure that the control bodies fulfil their remit effectively, and without hindrance. Specifically, members shall ensure that they are informed of the implementation of procedures enabling controls on compliance with the laws and regulations within the Company.

9.4 - Every member shall ensure that, without exception, the positions adopted by the Supervisory Board are the subject of formal decisions, which are correctly reasoned and registered in the minutes of its meetings.

9.5 - In the event that a member of the Supervisory Board ceases to be in a position to fulfil their mandate in compliance with the Charter, whether of their own volition or for any other reason, they must inform the Chairman and the Board, seek solutions to resolve the situation and, failing that, make their mandate available to the Board.

Article 10. Endorsement of the Charter

Every member of the Supervisory Board shall endorse this Charter as soon as they assume their office.

9.2 INTERNAL RULES OF THE SUPERVISORY BOARD OF LA BANQUE POSTALE

The Supervisory Board of La Banque Postale (the **Company**) decided at its meeting of 25 January 2006 to adopt the present internal rules of the Board (the **Internal Rules**) which are designed to supplement the articles of Section III of the Company's Articles of Association, particularly with regard to the functioning and organisation of the Supervisory Board and its relations with the Executive Board.

Article 1. Powers of the Supervisory Board

The Supervisory Board exercises the powers granted to it by the French Commercial Code, the law of 26 July 1983 on the democratisation of the public sector and the Company's Articles of Association, particularly Article 25.

Moreover, in accordance with the provisions of Article L. 225-68 of the French Commercial Code and Article 14 of the Company's Articles of Association, the following corporate transactions and decisions are subject to the prior authorisation of the Supervisory Board:

- ▶ disposals of property assets, full or partial disposals of equity investments, and the granting of securities in order to guarantee corporate commitments;
- ▶ the strategic plan and decisions specifically relating to the launch of new businesses, the setting up of subsidiaries or branches in France and abroad, the acquisition of companies, the signing of any alliance or partnership, any transfer of assets, including under a universal transfer of assets, where the amount exceeds €12,000,000 and, more generally, to any investment or divestment amounting to over €12,000,000;
- ▶ decisions relating to the award of equity subscriptions or purchase options, or of equivalent securities, to the corporate officers and/or managers, together with the award of free shares;
- ▶ decisions relating to financing transactions likely to alter the Company's financial structure in a material way;

- ▶ draft resolutions to be submitted to the Shareholders' Meeting, pursuant to Article L. 228-92 of the French Commercial Code, and relating to the issuance of marketable securities, regardless of whether they entitle the holder to a proportional share of the capital and/or the voting rights, and to the setting of the issuance terms and conditions for said marketable securities;
- ▶ dividend distribution proposals and related transactions.

The Supervisory Board also performs the duties provided for by the French Monetary and Financial Code and by the Decree of 3 November 2014 on internal control. Pursuant to these provisions, it adopts and regularly revises the general principles of the remuneration policy; in particular, it approves the overall risk limits and determines guidelines regarding the programme of periodic audit assignments, compliance obligations and the risk management function.

The Board may ask the Chairman, or a member of the Board appointed for this purpose, or else one of the committees provided for in Article 2, for verifications or specific information or any other assignments regarding specific items.

Article 2. Supervisory Board Committees

In order to prepare some of the Supervisory Board's work, the Board creates committees. It determines their composition and responsibilities and appoints the Chairman:

- ▶ Risk Committee;
- ▶ Financial Statements Committee;
- ▶ Appointments Committee;
- ▶ Compensation Committee;
- ▶ Strategy Committee.

Article 3. Participants in Supervisory Board meetings

3.1 Appointment of participants

In addition to the members of the Supervisory Board appointed in accordance with the legal and regulatory provisions, the following shall take part in meetings of the Supervisory Board, in a non-voting role:

- ▶ the statutory auditors, who by law must be invited to attend any Supervisory Board meetings at which the Company's separate or interim financial statements are examined;
- ▶ the Secretary of the Works Council, who must be invited to attend by law ⁽¹⁾;
- ▶ Government commissioner ⁽²⁾;
- ▶ the members of the Executive Board;
- ▶ the Secretary of the Board;
- ▶ any person whose skills and expertise the Chairman may deem necessary to the accomplishment of the Board's tasks.

The persons thus invited may, like the members of the Supervisory Board, attend the Board meeting by the means and under the conditions stipulated in Article 5.4 hereafter.

Their attendance at the Board meeting shall be mentioned in the minutes of each meeting.

3.2 Chairmanship and Secretariat of the Supervisory Board

- (a) The Chairman, or the Vice-Chairman where applicable in the absence of the Chairman, directs the discussions and ensures compliance with the legal and regulatory provisions in relation to the internal rules. He may, if necessary, order any adjournment of the meeting.
- (b) The Board may appoint, under the conditions of Article 23 of the Articles of Association, a permanent secretary of the Company's Supervisory Board, with the following powers:
 - ▶ organising meetings of the Supervisory Board, in accordance with the principles set out in Article 4 of these regulations, keeping an up-to-date schedule of meetings of the Board and preparing minutes reporting the proceedings of each meeting in accordance with the provisions of Article 6 of these regulations;
 - ▶ certifying any copy or excerpt of the minutes of the decisions of the Supervisory Board and of the proceedings of the Company's General Meeting;
 - ▶ maintaining the register of share movements and the Company's shareholder registers, maintaining them up-to-date and certifying any copy of these documents;
 - ▶ maintaining the register of Supervisory Board minutes and the register of minutes of General Meetings;
 - ▶ and in general, completing all legal formalities of filing, publicity and registration with the Trade and Companies Registry (RCS).
- (c) The Secretary of the Supervisory Board nominated, except in the case of absence, as meeting secretary at each Supervisory Board meeting, is in charge of maintaining the Supervisory Board attendance register, counting the votes and drawing up the minutes of the meeting under the responsibility of the Chairman of the Board.

Article 4. Notice of meetings of the Supervisory Board

4.1 Meeting notice

(a) Frequency

The Supervisory Board shall meet as often as the Company's interests require it to do so, when convened by the Chairman, and at least once each quarter to review the Executive Board's report.

However, the Chairman must convene a Board meeting at a date that cannot be later than within 15 days, when at least one member of the Executive Board or at least one-third of the members of the Supervisory Board present him with a reasoned request to this effect. If the request is not acted upon, its authors may convene the Board themselves, and specify the agenda for the meeting.

In addition, and in accordance with the provisions of law No. 83-675 of 26 July 1983, at least one-third of the members of the Supervisory Board may convene the Supervisory Board if it has not met for over two months, specifying the agenda of the meeting.

(b) Form and content

The participants shall be invited to attend Supervisory Board meetings by any means (ordinary or registered letter, fax, telegram or email), and for this purpose shall provide their contact details to the Secretary of the Board. The notice of meeting shall be issued by the Chairman, or in the absence of the Chairman, the Vice-Chairman, where applicable, except in the cases provided above in Paragraphs 2 and 3 of Article 4.1 (a). It may be communicated by the Secretariat of the Board.

The notice of meeting shall indicate the date, venue and agenda of the meeting, and, where applicable, the necessary information to allow members of the Board to take part in meetings by the means referred to in Article 5.4 below. This latter information may, however, be specified subsequently by the author of the notice of meeting with the same formal requirements as the notice of meeting itself.

Meetings of the Supervisory Board shall take place either at the registered office or at any other location indicated in the notice of meeting.

(c) Provisional schedule

At the last Board meeting for the financial year, at the latest, the Supervisory Board shall establish a provisional schedule of its upcoming meetings. This provisional schedule shall be updated by the Board during the year.

4.2 Deadlines for meeting notices

A period of at least ten (10) days must be observed between the date of sending the notice and the date on which the Supervisory Board meeting covered by said notice takes place.

However, the Chairman is authorised to add to or amend the agenda of a meeting convened previously by sending another notice before the planned date of the meeting, specifying the agenda thus added to or amended and giving a reminder of the date and venue of the meeting.

The Chairman may also, in case of emergency, convene an extraordinary meeting of the Supervisory Board on a defined agenda. In this case, the minimum period of ten (10) days does not apply.

(1) Pursuant to Article L. 432-6 Paragraphs 1 and 3 of the French Labour Code.

(2) Pursuant to Article L. 511-32 of the French Monetary and Financial Code.

4.3 Documents and information

The necessary and relevant internal documents to enable the participants to give an informed decision regarding the items on the agenda shall be sent by mail or by secure electronic media, if possible at the same time as the notice of meeting and except in exceptional cases at least six (6) days before the date of the Board meeting.

The documents communicated to the participants shall be treated as strictly confidential, in the terms specified in Article 9 below, unless otherwise decided at the Supervisory Board meeting.

The minutes of the previous meeting shall be approved at the next Supervisory Board meeting.

Article 5. Proceedings of Supervisory Board meetings

5.1 Attendance register

An attendance register is maintained, which is initialled at the start of the meeting by the Supervisory Board members attending either in their personal capacity or in their capacity as proxy.

When persons participate in the Board meeting by the means referred to in Article 5.4 below, the attendance register shall be initialled in their name by the meeting Chairman with an indication of the means of participation of the persons concerned.

5.2 Quorum for the Board meeting and verification of the quorum

(a) The quorum for the Supervisory Board meeting is reached when at least half the Board members are effectively present. Members of the Supervisory Board who take part in the Supervisory Board meeting by the means referred to in Article 5.4 below shall be deemed present for the purpose of calculating the quorum.

The quorum shall be recorded by the Secretary at the start of each meeting. His observation shall be recorded in the minutes of the meeting.

(b) When the Supervisory Board deliberates on an agreement that is within the scope of application of Articles L. 225-86 et seq. of the French Commercial Code (so-called regulated agreements), the Board members having an interest in the agreement are not counted for calculating the quorum. The Supervisory Board can in that case conduct business only if half the Board members not having an interest in the agreement are effectively present.

5.3 Powers

A member of the Supervisory Board may give another member of the Board a mandate to represent them at any Supervisory Board meeting by letter, email, or fax.

Each member of the Supervisory Board may only have one proxy for a given meeting.

5.4 Proceedings

Under the conditions and subject to the exceptions provided for in law, the Supervisory Board's resolutions are voted (i) either through the actual presence of the members at the meeting place, (ii) or by videoconferencing or using all telecommunications facilities, or any other means authorised by the regulations, that enable the members to be identified under the conditions set by the current laws and regulations, (iii) or by a combination of these means.

If videoconferencing or telecommunications facilities are provided to enable all or part of the members to take part in the meeting, the Chairman of the Board shall ensure that the facilities thus implemented by the Company offer technical characteristics ensuring continuous effective participation and retransmission of the discussions. Otherwise, the Board members in question cannot be considered present and, given the lack of a quorum, the meeting must be postponed.

It is the responsibility of each Board member or each participant to be equipped to take part remotely in the meetings via these facilities.

5.5 Voting procedures

Voting in the Supervisory Board takes place by a show of hands.

The Supervisory Board's decisions are taken by majority vote of the Board members present or represented; each member has one vote. In the event of a split vote, the meeting Chairman shall have the casting vote.

Members of the Board who take part in the Supervisory Board meeting by the means referred to in Article 5.4 above shall be deemed present for the purpose of calculating the majority.

When voting on a so-called regulated agreement as referred to in Article L. 225-86 of the French Commercial Code, those persons having an interest in the agreement shall declare themselves before voting on the decision and may not take part in the vote in accordance with the current legal provisions. For this ballot, the majority is calculated taking into account only those members having a voting right.

Any member of the Supervisory Board who leaves a Board meeting when it is in progress is deemed not to take part in voting on the resolutions put to the vote in his absence, unless he has given an explicit proxy in writing to another member of the Board before leaving. This departure must be taken into account with regard to the quorum needed for the Board to be able to duly conduct business.

Article 6. Minutes

6.1 Contents of the minutes

The minutes of each meeting of the Supervisory Board shall mention the date, time and place of the meeting and state the meeting agenda. It shall indicate the names of the Board members, specifying whether they are present or participating in the meeting by the means referred to in Article 5.4 above, represented or absent and, where applicable, the names and job titles or positions of the other participants in the meeting. The minutes shall also mention, where applicable, any technical incident relating to videoconferencing, when said incident has disturbed the meeting proceedings.

The minutes report the substantive statements of each of the Board members and other participants, contains, in extenso, the text of the resolutions voted on by the Board members and mentions departures as provided for above in Article 5.5 Paragraph 5. For any vote on the text of a resolution, the minutes report the result of the vote, giving details of votes for, votes against, abstentions and, where applicable, the opinions of persons attending the Board meeting in an advisory role. They specify whether the resolution has been passed or not as a result of this vote.

Where applicable, the minutes record statements, reservations or specific opinions that any Board member expressed the wish to see mentioned in the minutes during the meeting.

6.2 Procedure for drawing up the minutes

As soon as possible following each meeting of the Supervisory Board, draft minutes containing all the information referred to in Article 6.1 above shall be drawn up by the Secretary of the Board.

This draft shall be forwarded to each Board member with the information and documents mentioned in Article 4.3 above relating to the next meeting.

The Board members may express their comments at the Supervisory Board meeting, which establishes the final terms of the minutes allowing them to be retranscribed on the legal register.

This formal approval does not prevent the possibility of establishing excerpts of the minutes necessary for the accomplishment of legal formalities between two meetings of the Supervisory Board.

6.3 Form of the minutes

All minutes shall be typewritten and paginated with no discontinuity in a register kept by the Secretary of the Supervisory Board and stored by the Board at the Company's registered office.

After approval by the Board, the minutes shall be signed by the Chairman and at least one member of the Board.

6.4 Copies or excerpts produced in evidence or made public

Copies or excerpts of minutes to be produced in evidence or made public shall be certified in compliance with the original by the Chairman of the Supervisory Board, the Vice-Chairman of the Supervisory Board, a member of the Executive Board or by the Secretary.

6.5 Confidentiality of the debates and the minutes

Minutes and all excerpts shall be confidential, under the terms specified in Article 8 below, except when their publication is required by law or by binding regulations, or except if the Supervisory Board decides otherwise.

The same holds true for any position expressed during Supervisory Board meetings by any of its members or participants. By derogation, each member of the Board may freely state their personal position on the subjects discussed by the Board, except if such statements or positions mention information that is confidential.

Article 7. Information conveyed to the Supervisory Board and committees

7.1 - Each member of the Supervisory Board or committees may request any information necessary to accomplish their remit from the Executive Board.

7.2 - Requests for information shall be sent to the Executive Board by the Chairman of the Supervisory Board, or, if the Chairman is absent or unavailable, by the Vice-Chairman, or by the Chairman of the committee in question. The Executive Board shall send the information and documents that it has obtained to the Board or committee making the request by return mail.

7.3 - To this effect, the members of the Executive Board, at the time of their appointment, shall become acquainted with the respective

powers of the committees and agree to forward to the Supervisory Board, via its Chairman, the documents needed for its remit and to accept any request for information or the production of documents.

Article 8. Means made available to the members of the Supervisory Board

8.1 - The members of the Supervisory Board must have the necessary means to perform their mandate.

8.2 - The Company shall provide to the members of the Supervisory Board the ability to send and receive all correspondence related to their remit, with a guarantee of confidentiality.

8.3 - Every member of the Supervisory Board elected by the personnel shall have, for this purpose, a time credit of 15 hours per month to perform their mandate.

Article 9. Obligation of confidentiality

9.1 - Every member of the Supervisory Board and any person taking part in a meeting of the Supervisory Board is required to observe the utmost confidentiality with regard to the documents and information of which they have knowledge when performing their duties and may not disclose any of it, in any way, to outsiders.

9.2 - In particular, except for documents for which the Chairman explicitly authorises disclosure to third parties, the documents and exhibits forwarded to Board members before Supervisory Board meetings, or during or as a consequence of said meetings (or outside of any meeting, within the more general framework of the Board members' performance of their mandate), are of a strictly confidential nature and may not be disclosed to third parties in any way.

9.3 - If necessary, these documents may be marked as a reminder of their confidential nature. The absence of such an indication in no case amounts to a derogation from the rule of confidentiality.

9.4 - Regarding confidential operations, the Chairman is not required to provide written information to the Board members. He may thus choose to communicate the information in question orally at Board meetings intended to provide knowledge of these plans. Board members and participants are in that case required to preserve the oral nature of the information thus transmitted, and may not report it to third parties or disclose it.

9.5 - The confidentiality rules summarised in the internal rules apply in the same terms to the Board members and to any person called upon to take part in the work of the Supervisory Board, in any capacity.

9.6 - Failure to comply with the obligation of confidentiality mentioned in this article exposes the faulty Board member or participant to a civil suit for damages brought by the Company, without prejudice to any other legal action which could also be considered.

Article 10. Liability of Supervisory Board members

10.1 - The Supervisory Board members are liable, under civil and penal law, for the faults they commit when performing their mandate under the conditions set by the current legislation.

10.2 - In accordance with Article 22 of the law of 26 July 1983, when the liability of an employee-elected member of the Supervisory Board is involved, it shall be assessed while taking into account the non-remunerated nature of his mandate.

Article 11. Remuneration of Supervisory Board members – Reimbursement of expenses

11.1 - The General Meeting that approves the separate financial statements may determine a total amount of attendance fees which may be awarded to Board members for their duties performed in the current financial year and in subsequent financial years, until a further resolution.

The Supervisory Board distributes this amount among the Board members except for the members representing the employees, who perform their duties on a non-remunerated basis, in accordance with the law of 26 July 1983.

11.2 - The Board members representing the employees and those representing the shareholders are entitled, upon presentation of substantiating documents, to the reimbursement of travel and travel-related expenses they have reasonably paid to perform their duties.

Article 12. Date of adoption and amendment of the internal rules

12.1 - The internal rules came into effect on 25 January 2006. They underwent revision by the Supervisory Board on 29 March 2007 and 16 December 2014.

12.2 - Any amendment of the Supervisory Board's internal rules is adopted by a majority vote of the Board members present or represented, under the conditions summarised above.

Article 13. Communication of the internal rules

13.1 - The texts of these internal rules and the internal rules of the committees, together with the Board Members' Charter, appended to the internal rules to which they must subscribe by signing the deed of membership attached in appendix, shall be communicated to every member of the Supervisory Board at the time of their appointment.

13.2 - The text of these regulations is also communicated to the members of the Executive Board when they are appointed.

The members of the Supervisory Board and/or the Executive Board may also consult them at any time by contacting the Secretary of the Supervisory Board.

13.4 - At each meeting of the Supervisory Board, the text of the internal rules is made available to anyone taking part in the meeting, particularly the invited persons mentioned in Article 3.1 above, to whom the internal rules are applicable.

STATUTORY AUDITORS' SPECIAL REPORT ON RELATED-PARTY AGREEMENTS AND COMMITMENTS

10

GENERAL MEETING TO APPROVE THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

La Banque Postale S.A.

Registered office: 115, rue de Sèvres – 75275 Paris Cedex 06

To the Shareholders,

In our capacity as your Company's statutory auditors, we hereby present our report on related-party agreements and commitments.

Our role is to inform you, based on the information that has been provided to us, of the characteristic features and of the main terms and conditions of the agreements and commitments that have been disclosed to us, or of which we may have become aware during our assignment. It is not up to us to issue an opinion on their usefulness and legitimacy, or to see whether other agreements and commitments exist. Your role, in accordance with the terms of Article R. 225-58 of the French Commercial Code, is to assess the Company's interest in entering into these agreements and commitments, with a view to their approval.

Furthermore, it is our role, where applicable, to disclose the information specified in Article R. 225-58 of the French Commercial Code on the execution of the agreements and commitments that have already been approved by the General Meeting during the financial year just ended.

We have performed the checks that we considered necessary, in light of the professional standards of the French National Institute of Statutory Auditors relating to this assignment. These checks consisted in ensuring that the information provided to us was consistent with the background material from which it was derived.

Agreements and commitments submitted for the approval of the General Meeting

Agreements and commitments approved during the financial year just ended

Pursuant to Article L. 225-88 of the French Commercial Code, we have been informed of the following agreements and commitments, which have been the subject of prior authorisation by your Supervisory Board.

Framework Memorandum of Understanding between LBP and Malakoff Médéric, La Mutuelle Générale and La Banque Postale Assurance Santé pertaining to health insurance

Nature and purpose

The Supervisory Board of 20 January 2015 authorised La Banque Postale to enter into a framework memorandum of understanding between the Company, acting jointly with SF2, and Malakoff Médéric (MM), La Mutuelle Générale (LMG) and La Banque Postale Assurance Santé (LBPAS), providing for a health-insurance agreement under the terms that were presented to it.

Terms and Conditions

The Framework Memorandum of Understanding was signed on 3 April 2015, as well as the Health Insurance Agreement, which was entered into between LBP, SF2, LMG, Malakoff Médéric Assurance (MMAss), Malakoff Médéric Santé (MMS) and LBPAS.

The Health Insurance Agreement provides that LMG and MMAss shall hold together 49% of the share capital and of the voting rights of LBPAS and that La Banque Postale shall hold 51%.

The Health Insurance Agreement includes the terms and conditions pertaining to the Health Insurance section, in particular (i) the objectives and scope of the partnership agreement over all of the health insurance operations, (ii) the operational and commercial model for the Small Group Offer (*Offre Petites Collectives*), (iii) the modalities for the implementation of Extra Opportunities (*Opportunités Additionnelles*), and (iv) the financial elements over all of the health insurance operations.

The term of the agreement is for 15 years, renewable each 5-year period.

According to the terms of this agreement, LBPAS has exclusive rights to the provision of exclusive products developed by the new group, and LBP is the exclusive distributor for LBPAS in La Banque Postale's distribution channels, in metropolitan France and in the overseas departments, without prejudice to the possibility for LBPAS of distributing the products through other channels authorised by La Banque Postale. Also, LBPAS may distribute the exclusive products through Remote Health Insurance Platforms.

The terms relating to the governance of LBPAS and the rules for the transfer of LBPAS securities are featured in a new shareholder pact signed on the date of these agreements between LBP, SF2, LMG, and MMAss in the presence of LBPAS (the "LBPAS Pact") which will be effective and which will replace, as from the Completion Date, the Initial Pact, which shall terminate as from said date.

Pursuant to this framework memorandum of understanding, La Banque Postale has collected commissions related to the distribution of the products of this new group, representing an amount of €8,852 million for the financial year ending 31 December 2015.

The person concerned with this agreement is Rémy Weber, Chairman of La Banque Postale's Executive Board, and Director of La Banque Postale Assurance Santé.

Preliminary memorandum of understanding with CNP Assurances regarding life insurance, capitalisation of borrowers' insurance, and pensions

Nature and purpose

The meeting of the Supervisory Board of 9 December 2015 authorised the signature of the Preliminary Memorandum of Understanding.

Terms and Conditions

The non-binding Preliminary Memorandum of Understanding was signed on 18 December 2015. The purpose of the agreement is to define the principles to be implemented within the framework of the negotiation of final contracts pertaining to the Draft Renewed Partnership Agreement, built around three major components:

- ▶ the renewal of the partnership agreement with CNP Assurances for a term of ten years, according to revised terms and conditions;
- ▶ the future buyback by SF2, a subsidiary of La Banque Postale, of all of the equity interest of CNP Assurances in La Banque Postale Prévoyance;
- ▶ the conclusion of a distribution contract with CNP Assurances on borrower group health insurance contracts.

The Preliminary Memorandum of Understanding does not contain any commitment by the parties to reach an agreement on the definitive terms of the Draft Renewed Partnership Agreement, or of any contractual document related thereto.

The Parties undertake to cooperate and to negotiate in good faith the definitive terms of the Draft Renewed Partnership Agreement.

This commitment had no impact on the financial statements for financial year 2015.

The persons concerned by this agreement are the following: Philippe Wahl, Chairman of the Supervisory Board of La Banque Postale, Director of CNP Assurances; and Rémy Weber, Chairman of La Banque Postale's Executive Board, Director of CNP Assurances.

Agreements and commitments already approved by the General Meeting

Agreements and commitments approved in prior financial years and that continued to be implemented during the last financial year

Pursuant to Article R. 225-57 of the French Commercial Code, we have been informed that implementation of the following agreements and commitments, which had already been approved by the General Meeting in prior financial years, was ongoing during the financial year just ended.

La Banque Postale's commitments granting compensation to Executive Board member Marc Batave in the event of termination of his term of office.

Nature and purpose

The Supervisory Board meeting of 31 July 2013 modified the clause for granting compensation to Executive Board members in the event of termination of their term of office.

Subject to the approval of the French Investments Agency (APE), the Supervisory Board meeting of 27 February 2013 authorised severance compensation payments to be made to Executive Board members in the event of termination of their duties. This agreement had been approved by the General Meeting of 28 May 2013 based on the special report of the Statutory Auditors of 28 February 2013.

Terms and Conditions

The initial commitment stipulated that severance compensation would be made in the event of dismissal during their term of office and in the event of a merger, change of control or change of strategy resulting in the departure of the Executive Board member, except in cases of gross misconduct or serious professional misconduct having a material impact on the Company's financial position. It also stipulated that where a director's term of office is not renewed, the decision of whether to make a compensation payment would be at the Supervisory Board's discretion, on the basis of advice received from the Appointments and Remuneration Committee.

During the Supervisory Board meeting of 31 July 2013, the APE ruled out making severance compensation payments in case of non-renewal of the office term.

The other terms and conditions authorised by the Supervisory Board meeting of 27 February 2013 remained unchanged.

Compensation is due subject to fulfilling a performance condition according to which a success rate of 80% or above in meeting the annual targets set by the Executive Board for two out of the last three full financial years.

The severance compensation due to Mr Marc Batave will be equal to the aggregate amount of the director's last annualised fixed remuneration, on the day of termination of his duties, and to the average annualised variable component of his remuneration over the last three years.

Should an executive rejoin the Public Sector within two years of his or her forced departure from the Company, the compensation will be reduced commensurate with the remuneration (including bonuses) accruing to the civil service rank in question.

Mr Marc Batave will be entitled to an unemployment insurance policy taken out by La Banque Postale and providing compensation in all cases limited to one year's remuneration over the chosen compensation period. This insurance policy will replace the severance compensation listed above on completion of the waiting period.

This commitment had no impact on the financial statements for financial year 2015.

La Banque Postale's commitment granting compensation to Rémy Weber in the event of termination of his term of office

Nature and purpose

Subject to the approval of the Minister of the Economy, the Supervisory Board of 15 October 2013 authorised a severance compensation payment to be made to the Chairman of the Executive Board in the event of termination of his duties.

Managers concerned

Rémy Weber, Chairman of La Banque Postale's Executive Board

Terms and Conditions

Subject to the approval of the Minister of the Economy and subject to fulfilling the performance condition set out below, in accordance with and under the conditions provided for in Article L. 225-90-1 of the French Commercial Code, Rémy Weber, Chairman of the Executive Board will receive a compensation payment, except in the case of gross misconduct or serious professional misconduct having a material impact on the Company's financial position, in the following cases:

- ▶ dismissal during their term of office;
- ▶ a merger, change of control or change of strategy resulting in the departure of the Executive Board member.

Payment of this compensation shall be subject to fulfilment of a performance condition, according to which a success rate of 80% or above in meeting the annual targets set by the Executive Board, as defined by the Supervisory Board, for two out of the last three full financial years.

The severance compensation shall be equal to a maximum of twice his fixed annual remuneration as on the day of termination of his duties.

This commitment had no impact on the financial statements for financial year 2015.

Framework memorandum of understanding setting out the principles for collaboration between CNP, Écureuil Vie and La Banque Postale

Nature and purpose

La Banque Postale has entered into a memorandum of understanding governing the principles according to which CNP Assurances and Écureuil Vie collaborate with La Banque Postale branches to distribute insurance policies.

The provisions of this memorandum apply from 1 January 2006 to 31 December 2015.

Terms and Conditions

This memorandum had no bearing on the accounts of La Banque Postale for the financial year ended 31 December 2015.

Implementation memorandum between La Banque Postale and CNP Assurances regarding the distribution of life insurance and investment-based insurance policies

Nature and purpose

La Banque Postale has agreed a memorandum governing the principles of collaboration with CNP Assurances in the framework of the distribution of CNP Assurances' life insurance and investment-based insurance policies via La Banque Postale within its scope of operations.

The provisions of this memorandum apply from 1 January 2006 to 31 December 2015. The conditions of their partnership are subject to review.

A negotiating committee, designated by the Chairman of the Executive Board of La Banque Postale and the Chairman of the Executive Board of CNP, is responsible for proposing a draft amendment to the partnership agreement covering the 2013/2015 period.

Terms and Conditions

This memorandum had no bearing on the accounts of La Banque Postale for the financial year ended 31 December 2015.

Partnership agreement with CNP, as amended on 9 July 1998, 6 June 2006, and 24 July 2006

Nature and purpose

La Banque Postale has agreed a memorandum governing the principles of collaboration with CNP Assurances in the framework of the distribution of CNP Assurances' life insurance and investment-based insurance policies via La Banque Postale within its scope of operations. Pursuant to the framework agreement mentioned above, the amendment to the partnership agreement between La Banque Postale and CNP was signed on 24 July 2006, primarily in order to define the new tariff breakdowns, applying retroactively from 1 January 2006 to 31 December 2015.

Terms and Conditions

Pursuant to this amendment, the amount of income received by La Banque Postale Group was €533.4 million for the financial year ending 31 December 2015.

Memorandum of agreement between CNP Assurances and La Banque Postale regarding the increased autonomy of La Banque Postale Prévoyance

Nature and purpose

The agreement signed on 17 January 2011 aims to determine the terms and conditions under which La Banque Postale Prévoyance may acquire greater autonomy to perform services described in the agreement, immediately or gradually depending on the area, within three years at the most from the date of the agreement, by granting La Banque Postale Prévoyance the appropriate means and resources.

Terms and Conditions

This memorandum had no bearing on the accounts of La Banque Postale for the financial year ended 31 December 2015.

The statutory auditors

Neuilly-sur-Seine, 7 March 2016

PricewaterhouseCoopers Audit

Agnès Hussherr
Associate

Paris La Défense, 7 March 2016

KPMG Audit
A division of KPMG SA

Marie-Christine Jolys
Associate

PERSON RESPONSIBLE FOR THE REGISTRATION DOCUMENT

11

Person responsible for the Registration Document

Rémy Weber
Chairman of the Executive Board
La Banque Postale Group

Statement by the person responsible for the Registration Document

I hereby certify that I have taken all reasonable steps to ensure that the information contained in this Registration Document is, to my knowledge, consistent with reality, and does not contain any omission likely to affect its import.

I certify that, to my knowledge, the financial statements have been drawn up in accordance with applicable accounting standards, and give a true and fair view of the assets, financial position and results of the Company and of all companies included in the scope of consolidation, and that all the information shown in the management report (featured on pages 65 to 76 of this Registration Document) provides a true picture of the business trend, the results and of the financial position of the Company and of all companies included in the scope of consolidation, together with a description of the main risks and uncertainties that they are facing.

I have received a letter from the Statutory Auditors stating that they have completed their assignment, and in which they mention that they have checked the information relating to the financial position and financial statements provided in this document, and have read this document from end to end.

The financial information which has been incorporated by reference for the 2014 financial year was the subject of a report by the Statutory Auditors, appearing on pages 171 and 172 of the 2014 Registration Document, which contains an observation.

Paris, 16 March 2016
Rémy Weber
Chairman of the Executive Board

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12.1 REGISTRATION DOCUMENT CORRELATION TABLE

(Appendix 1 of European Regulation 809/2004)

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12.2 ANNUAL FINANCIAL REPORT CORRELATION TABLE

Pursuant to Article 222-3 of the French Financial Markets Authority General Regulations (Autorité des marchés financiers, AMF), the annual financial report mentioned in Section I of Article L. 451-1-2 of the French Monetary and Financial Code includes the items described in the following pages of the Registration Document:

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► Statutory Auditors' report on the consolidated financial statements	172-173

In addition, and pursuant to Article 28 of EC Regulation 809/2004 of 29 April 2004, the following documents have been included in this Registration Document for reference purposes:

- the separate and consolidated financial statements for the 2014 financial year, together with the Statutory Auditors' report on the separate and consolidated financial statements, which are shown on pages 171-172 and 211-212 respectively of the 2014 Registration Document, as filed with the AMF on 16 March 2015 under No. D.15-0141;
- the separate and consolidated financial statements for the 2013 financial year, together with the Statutory Auditors' report on the separate and consolidated financial statements, which are shown on pages 176-177 and 219-220 respectively of the 2013 Registration Document, as filed with the AMF on 10 March 2014 under No. D.14-0128.

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